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Organizational Behavior

EIGHTEENTH EDITION



Stephen P. Robbins • Timothy A. Judge



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Organizational Behavior

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Stephen P. Robbins

–San Diego State University

Timothy A. Judge

–The Ohio State University



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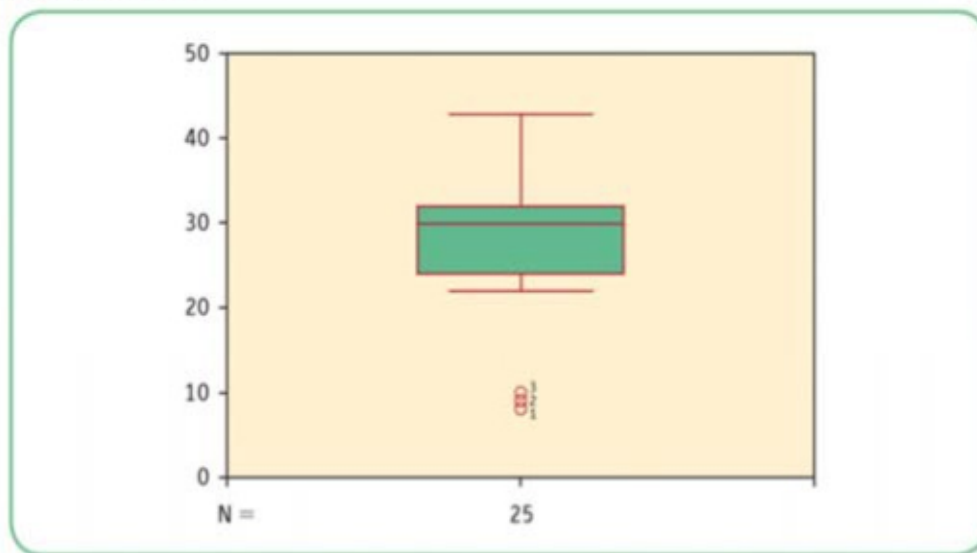
Subject Index

Welcome to your ebook

In this ebook, we combine trusted content from leading authors with a selection of interactive features specifically designed to support you in your study, including:

Test Your Understanding

Given the following box plot:



3.6a – What is the median?

- ☐ 45
- ☒ 30
- ☐ 22
- ☐ 10

This is correct. The bar within the box indicates the median.

Multiple choice questions at the end of key sections enable you to check your understanding of what you have just read, whilst dedicated feedback provides further information to support your learning.

Simply choose an answer and click ‘Check answer’ to get feedback on the answer option selected. You can try each question as many times as you like via the ‘reset’ button, and at any stage in your study.

End of Chapter Quiz

1. Which one of the following represents the best estimate of the population mean?

- ☐ The sample mean
- ☒ The mean of several sample means
- ☐ The mode of several sample means
- ☐ The median of several sample means

This is correct. The means of several sample means tend to be a much better approximation of the population mean than any single sample mean.

[Reset](#) [Check answer](#)

2. If you obtained a sample of data that was relatively normally distributed and had no extreme scores, which measure of central tendency would you opt for?

- ☒ Mode
- ☐ Median
- ☐ Mean
- ☐ None of the above

This is incorrect. Remember we only use the mode when conditions are not suitable for better measures of central tendency or if we have categorical data.

[Reset](#) [Check answer](#)

3. Which of the following measures of central tendency are sensitive to extreme scores?

- ☐ Mode
- ☒ Median
- ☐ Mean
- ☐ None of the above

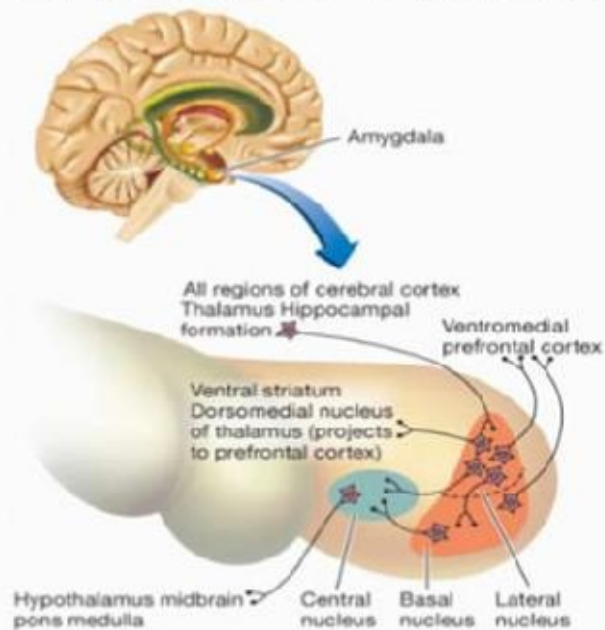
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End of chapter quizzes provide an opportunity to test and consolidate your understanding of topics and help you when preparing for exams. You can attempt these questions as many times as you wish, and at any time.

Figure 11.2 Amygdala Projections

This figure shows a much-simplified diagram of the major divisions and connections of the amygdala that play a role in emotions.

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Explore

A discussion on the role of the amygdala on the emotion of fear:

<https://www.psychologytoday.com/blog/i-got-mind-tell-you/201508/the-amygdala-is-not-the-brains-fear-center>

Annotated weblinks* to useful sources of further information are incorporated throughout chapters to help you expand your knowledge of a topic or explore it further.

Further thinking exercises help you critically reflect on concepts or consider the real-world applications of a topic.

Infant-directed speech

Watch this video to see an example related to this topic.



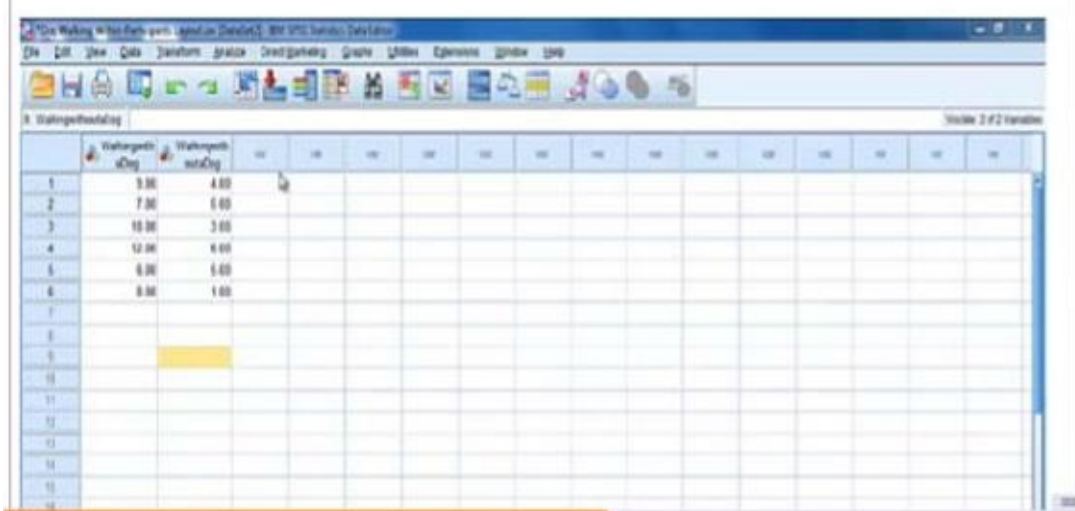
In the literature you may see this referred to as mother-child speech, parentese, baby talk, motherese or infant-directed speech. This is the kind of speech that is heard when adults talk to infants. This kind of speech has a number of distinct characteristics different from normal adult-to-adult speech. It is generally of a higher pitch. It also tends to use a greater range of pitch, frequently exaggerated. This kind of speech is often slower, and words are articulated much more clearly. It is also simpler, using less complex clauses and phrases. There is also more repetition than is usually heard in adult-to-adult speech.

Adults seem to make use of this kind of speech, almost without realising it, in their interactions with infants. There is evidence that shows that infant-directed speech exists in many different languages, even sign language (for more information on this, see Acquiring the speech sounds (phonology) of a language may be facilitated by the use of infant-directed speech, which explains

Videos are incorporated into selected enhanced ebooks and vary according to subject area. For example, you can consider real life examples of a concept through the short video clips.

SPSS: generating scattergrams

Watch this video demonstrating how to generate scattergrams using SPSS. You can also refer to the labelled screenshots following on from the video.

A screenshot of the SPSS Statistics Data Editor window. The window title is 'SPSS Statistics Data Editor'. The menu bar includes File, Edit, View, Data, Transform, Statistic, Graphs, Utilities, Extensions, and Window. The toolbar contains various icons for file operations, editing, and analysis. The data grid shows two variables: 'Walkingstart' and 'Walkingend'. The first six rows contain data, and the rest are empty. The 'Walkingstart' variable has values 5.00, 7.00, 10.00, 12.00, 6.00, and 8.00. The 'Walkingend' variable has values 4.00, 6.00, 3.00, 6.00, 6.00, and 1.00. The data grid is labeled 'Variable 1 of 2 Variables'.

Or you can gain useful skills by following screencasts showing how to use SPSS from within our statistics titles.

About the Authors



Stephen P. Robbins

Ph.D. University of Arizona

Stephen P. Robbins is Professor Emeritus of Management at San Diego State University and the world's best-selling textbook author in the areas of both management and organizational behavior. His books are used at more than a thousand U.S. colleges and universities; have been translated into 19 languages; and have adapted editions for Canada, Australia, South Africa, and India. Dr. Robbins is also the author of the best-selling books *The Truth about Managing People*, 2nd ed. (Financial Times/Prentice Hall, 2008) and *Decide & Conquer*

(Financial Times/Prentice Hall, 2004).

In his “other life,” Dr. Robbins actively participates in masters’ track competitions. Since turning 50 in 1993, he’s won 18 national championships and 12 world titles, and set numerous U.S. and world age-group records at 60, 100, 200, and 400 meters. In 2005, Dr. Robbins was elected into the USA Masters’ Track & Field Hall of Fame.



Timothy A. Judge

Ph.D. University of Illinois at Urbana-Champaign

Timothy A. Judge is currently the Joseph A. Alutto Chair in Leadership Effectiveness at the Department of Management and Human Resources, Fisher College of Business, The Ohio State University. He has held academic positions at the University of Notre Dame, University of Florida, University of Iowa, Cornell University, Charles University in the Czech Republic, Comenius University in Slovakia, and University of Illinois at Urbana-Champaign. Dr. Judge’s primary research interests are in (1) personality, moods, and emotions; (2) job attitudes; (3) leadership and influence behaviors; and (4) careers (person–organization fit,

career success). Dr. Judge has published more than 154 articles in these and other major topics in journals such as the *Academy of Management Journal* and the *Journal of Applied Psychology*. He is a fellow of several organizations, including the American Psychological Association and the Academy of Management. Among the many professional acknowledgments of his work, most recently Dr. Judge was awarded the Academy of Management Human Resources Division's Scholarly Achievement Award for 2014. Dr. Judge is a co-author of *Essentials of Organizational Behavior*, 14th ed., with Stephen P. Robbins, and *Staffing Organizations*, 8th ed., with Herbert G. Heneman III. He is married and has three children—a daughter who is a health care social worker, a daughter who is studying for a master's degree, and a son in middle school.

Preface

The World's Most Successful Organizational Behavior Text Is Better Than Ever

Employability

A new **Employability Skills Matrix** at the beginning of each chapter provides students with a visual guide to features that support the development of skills employers are looking for in today's business graduates, helping students to see from the start of class the relevance of the course to their career goals.

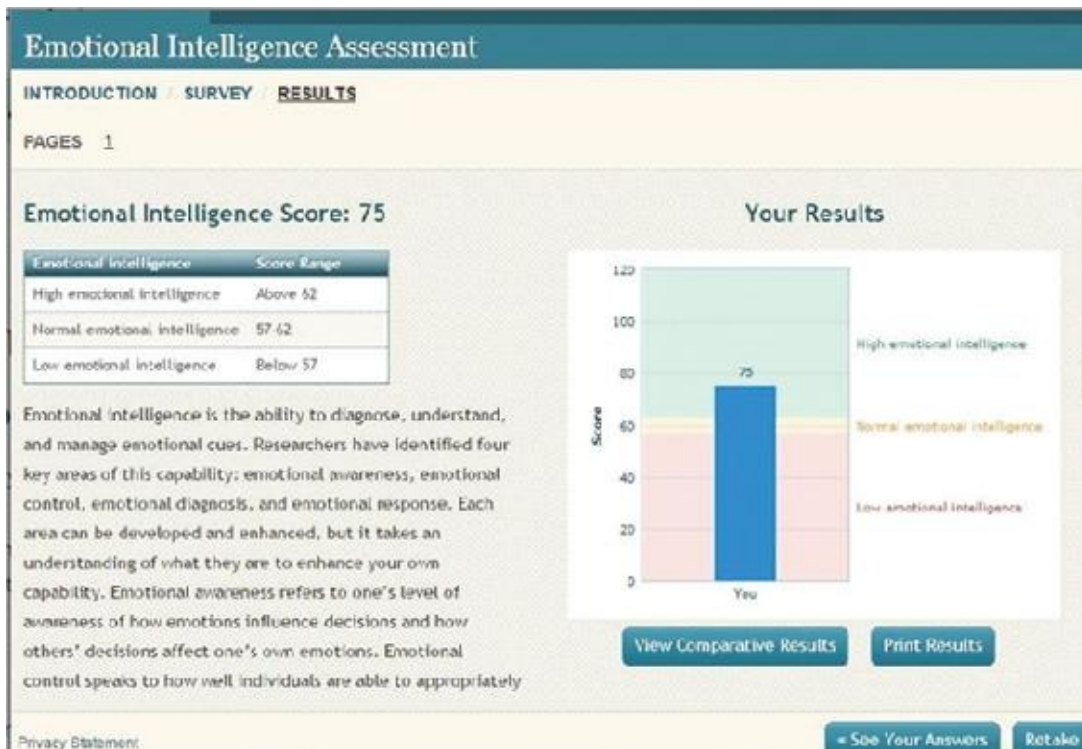
Employability Skills Matrix (ESM)								
	Myth or Science?	Career Objectives	An Ethical Choice	Point/Counterpoint	Experiential Exercise	Ethical Dilemma	Case Incident 1	Case Incident 2
Critical Thinking		✓	✓	✓	✓	✓	✓	✓
Communication	✓	✓			✓		✓	
Collaboration					✓		✓	
Knowledge Application and Analysis			✓	✓	✓	✓	✓	✓
Social Responsibility		✓	✓	✓	✓	✓	✓	✓

(Employability Skills Matrix for Chapter 2)

This matrix identifies which features and end-of-chapter material will help you develop specific skills employers are looking for in job candidates.

Develop Self-Awareness and an Awareness of Others

The authors have recommended a **Personal Inventory Assessment** for each chapter, which is assignable in MyLab Management. These assessments help develop professionalism and awareness of oneself and others, skills necessary for future career success.



(Personal Inventory Assessment in MyLab Management for Chapter 6)

Applied Learning Opportunities Throughout

Multiple opportunities to apply course concepts are found throughout the text and in MyLab Management. Each chapter references MyLab Management exercises such as branching, scenario-based **Try It Mini Sims**, and **Watch It Videos** about real companies. Global examples embedded throughout show how culture and diversity have an impact on the application of OB concepts.

Menu Motivation MY PROGRESS - 44%

Mentoring Moment: Re-Familiarize Yourself with the Three Motivation Theories

Review the theories of goal setting, expectancy and equity. What are their similarities and differences? Consider Sean's comments about the problems of the sales team in the Northeast Region wearing unprofessional attire, lack of good customer service, lack of understanding the commission system, high rate of absenteeism and turnover. Which of these three theories would best address solving these problems with the sales team?



Click Next to continue.

Previous Next

(Try It Mini Sim in MyLab Management for Chapter 7)

Dusit/Shutterstock

Homework: Watch It: Video - Verizon Diversity (6:30 mins)

Score: 0 of 1 pt 1 of 5 (0 complete) HW Score: 0%, 0 of 5 pts

Video 2.1 Question Help

Chapter 2 Video_Verizon Diversity_6.30 mins

One-time training sessions on diversity aren't typically effective. Which of these statements demonstrates how Verizon is using a system that the text explains is more effective?

- ☐ A. Every business leader has diversity woven into his or her business objectives.
- ☐ B. The Diversity Department handles all diversity issues, so managers don't have to worry about diversity.
- ☐ C. Employee training sessions are longer.
- ☐ D. The CEO talks about diversity in his annual report.
- ☐ E. Leaders must attend multiple diversity classes.

Click to select your answer and then click Check Answer.

All parts showing Clear All Check Answer

(Watch It Video in MyLab Management for Chapter 2)

Additional Application Practice in End-of-Chapter

Experiential Activities, Ethical Dilemmas, and two Cases are included at the end of each

chapter. Also, **five Comprehensive Cases** at the end of the textbook provide more practice than any other text available.

ETHICAL DILEMMA BYOD

“What’s your cell phone number? Good, I’ll call you about the meeting.” If you’re like many people in the world who have used a smartphone for years, or one of the 1.3 billion people who bought one recently, chances are you’ve used it for work. In fact, your employer may have even invited—or asked—you to use your smartphone, tablet, or laptop in your job. Such is the bring-your-own-device (BYOD) trend, which started out of friendly convenience but now carries major ethical issues. For instance:

(Page 454)

EXPERIENTIAL EXERCISE Choosing the Right Modes of Communication

Pair up with someone you never worked with before. In this exercise, you will pretend to be Gerard, the head of the accounting department in the company. During an intense week, you receive the following email from the human resources director.

We believe that your department would be a great environment for this employee to feel motivated and successful on the job. Two colleagues from HR will assist the employee in the transition process, which will begin next month. All the people involved in this process demonstrated great collaboration with us, and we

(Page 453)

CASE INCIDENT 1 Warning: Collaboration Overload

“Regardless of what you’re giving us, we’re dying by e-mail,” an executive told Jamie McLellan, a CTO at an advertising agency. McLellan invested in many different collaboration tools with the goal of helping the employees work more efficiently. Many organizations have taken this same approach through open-plan offices, such as those in many knowledge-intensive companies like Facebook, which has a notorious 430,000-square-foot open office space. Among these tools, employees can use them to create internal team websites, chat, and share documents. However, almost

all the time spent collaborating with others (that is, time spent collaborating with others on one’s work) translates to a decrease in productivity.

Collaboration overload occurs when too many people are involved in decision making within a team. A number of collaboration tools can lead to collaboration overload, including communication tools that require more meetings and decision making. Although there is much to be gained from collaboration, there is a need to tone down the risk of collaboration overload.

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Real and Relevant Examples

Every chapter is filled with examples to make OB more meaningful and help students recognize course concepts in action. **Profiles of real company leaders** throughout illustrate how course concepts have helped their success.

The transformational leadership of Netflix CEO Reed Hastings has helped the company grow from a small DVD rental service to an Internet streaming service with 93 million customers in more than 190 countries. Hastings encourages employees to take risks, empowers them to make decisions, and gives them the freedom and responsibility to create innovative ideas and products.

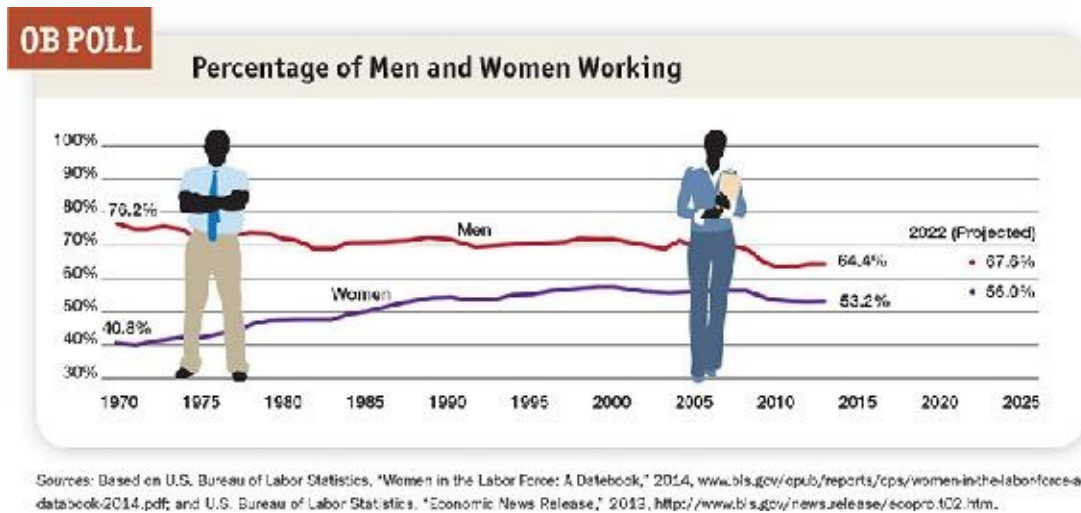
Source: Bernd Van Jutrczenka/DPA Picture Alliance/Alamy Stock Photo



Bernd Van Jutrczenka/DPA Picture Alliance/Alamy Stock Photo

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The **OB Poll** in each chapter highlights statistics that challenge common assumptions.



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The **Point/Counterpoint** feature presents opposing positions on hot topics in Organizational Behavior to help students learn to think critically.

Nonunion Positions and the Gig Economy Are Bad for Workers

POINT

What do Uber, Etsy, and Amazon Turk all have in common? All of these platforms are fuel for short-term freelance work, and a reflection of what economists have dubbed the gig economy. Fifty years ago, employers expected workers to stay with a company for 30 years. In exchange for their loyalty, employees were given more opportunities and a pension. Unlike the labor market of today, companies promoted from within. As this practice fell by the wayside, employers hired employees for shorter and shorter periods. Now, many new jobs are not long-term or even short-term positions: They're gigs. Employees work as independent contractors, using third-party platforms to connect to clients. Because these employees do not have a traditional employment contract, they have complete flexibility: They can work as much or

COUNTERPOINT

While the gig economy has its drawbacks, these platforms exist for a reason. Employers and employees alike are fed up with traditional employment. Yes, some people who work through freelance apps use it as a primary source of income. But there are just as many, if not more, who just want a flexible second job to get a little extra cash. If these positions were like the services they are replacing (e.g., cab companies), then gig employees would have to agree to specific policies regarding sick days and work a set schedule. I'm also skeptical of this idea that freelancers are replacing traditional employment. Yes, some city-level data shows that gig-based jobs increased while payroll jobs decreased. But there are also more data from 2010 to 2014 that suggest that contractor and payroll jobs have increased in most sectors that support freelance platforms. For

(Page 692)

The recently added **Career OBJECTIVES** provide advice, in question-and-answer format, to help students think through how OB concepts can help them address issues they may face in today's workforce.

Career Objectives

Is it wrong that I'd rather have guys on my team?

Please don't call me sexist; women are great colleagues and equally effective managers, but I'd rather have men on my team. It's more relaxing for me, and for the other guys I think, because we naturally understand each other and can talk freely. The teams with all men that I've been in have all been very productive.

—Jorgie

Dear Jorgie,
With all the talk currently focused on gender diversity in organizations, your

of team diversity's potential for higher morale, trust, and satisfaction. Notice that these are values as opposed to the reported reality from the paragraph above. Ellison concluded that there is a "mismatch between the kind of workplace people think they would like and the actual workplace that would make them happier."

Don't think this is your ticket to male-only teams, though. Happiness aside, this study found that diverse teams realized significantly greater rev-

You would be better off putting your efforts into creating an egalitarian atmosphere and choosing your teammates based on what they can contribute to your team.

Sources: Based on D. Diaz-Garcia, A. Gonzalez-Morano, and F. Jose Saez-Martinez, "Gender Diversity within R&D Teams: Its Impact on Radicalness of Innovation," *Innovation Management Policy & Practice* 15, no. 2 (2013): 149–60; S. Hoogendoorn, H. Costerbaek, and M. van Praag, "The Impact of Gender Diversity on the Performance of Business Teams: Evidence from a Field Experiment," *Manage-*

(Page 369)

Key Changes to the Eighteenth Edition

- **NEW** Employability matrix at the beginning of every chapter provides students with a visual guide to features that support the development of skills employers are looking for in today's business graduates, helping students to see from the start of class the relevance of the course to their career goals.
- **NEW** Application and Employability section in every chapter summarizes the relevance of each chapter for students' employability, the skills learned from chapter features, and

the skills to be learned in the end-of-chapter material.

- *NEW* Personal Inventory Assessments (PIAs) in Chapter 4, “Personality and Values,” and Chapter 8, “Motivation: From Concepts to Applications,” reflect the most empirically sound Organizational Behavior research.
- *NEW* “Try It” single-chapter and multichapter mini simulations give students a chance to apply what they’ve learned about organizational behavior to real-world situations.
- *NEW AND UPDATED Opening Vignettes* in every chapter bring current business trends and events to the forefront.
- *NEW AND UPDATED* content in every chapter reflects the most current developments in OB research. This new content includes the following topics:
 - Expatriate Readjustment
 - Deviance and Counterproductive Work Behaviors
 - Customer Satisfaction
 - Emotional Labor
 - Mindfulness
 - Unemployment/Job Search
 - Behavioral Ethics
 - Deonance Theory
 - Third-Party Observations of Injustice
 - Job Enrichment
 - Voice
 - Abusive Supervision
 - Executive Board Composition
 - Espoused and Enacted Climates
 - High-Performance Work Systems
 - Human Capital Resources
 - Sleep Deprivation
 - Recovery Experiences
 - Job Demands
- *NEW* photos and captions in over 75 percent of chapters link the chapter content to

contemporary, real-life worldwide situations to enhance students' understanding of hands-on application of concepts.

- *NEW Point/Counterpoint* features reflect ongoing tensions between perspectives in OB, focusing students' attention on new topics in 5 of 18 chapters.
- The following end-of-chapter material is either completely new or substantially revised and updated for each chapter (along with assisted-graded writing questions), bringing the most contemporary thinking to the attention of students:
 - *Experiential Exercise* (9 of 18 total)
 - *Ethical Dilemma* (9 of 18 total)
 - *Case Incidents* (18 of 36 total)
- Updated References throughout every chapter.

Chapter-by-Chapter Changes

Chapter 1: What Is Organizational Behavior?

- Revised *Learning Objectives*
- New *Opening Vignette* (Road Warriors)
- New research in The Importance of Interpersonal Skills and Big Data
- New major section: Employability Skills

Chapter 2: Diversity in Organizations

- New *Opening Vignette* ("Foodtrepreneurs" Unite!)
- New section on Expatriate Adjustment
- Revised/updated sections: Demographic Characteristics, Tenure, Sexual Orientation and Gender Identity, and Ability
- New research in Stereotype Threat; Discrimination in the Workplace; Age, Sex, Race, and Ethnicity; Hidden Disabilities; Religion; Sexual Orientation and Gender Identity; and Intellectual Abilities
- Updated *OB Poll* (Gender Pay Gap: Narrowing but Still There)

- Updated *An Ethical Choice* (Global Diversity: Affirmative Action)
- New *Ethical Dilemma* (Voiding the “License to Discriminate”)
- New *Case Incident 1* (Can Organizations Train Diversity?)
- New *Try It Mini Simulation* (Human Resources)

Chapter 3: Attitudes and Job Satisfaction

- New *Opening Vignette* (In the Legoland Wonderland)
- Revised/updated sections: Attitudes, Organizational Commitment, Perceived Organizational Support, Employee Engagement, and Organizational Citizenship Behavior (OCB)
- New research in Job Satisfaction and Involvement, Employee Engagement, Personality, Customer Satisfaction, and Counterproductive Work Behavior (CWB)
- New international research in Attitudes, Job Conditions, and Corporate Social Responsibility (CSR)
- Updated *Exhibit 3-2* (Worst Jobs of 2016 for Job Satisfaction)
- New *Try It Mini Simulation* (Attitudes and Job Satisfaction)
- New *Experiential Exercise* (Job Attitudes Situational Interview)
- New *Case Incident 1* (On-Boarding ... or On-Leaving?)

Chapter 4: Personality and Values

- Revised *Learning Objectives*
- New *Opening Vignette* (Leading the “Quiet Revolution”)
- New major section on Personality, Job Search, and Unemployment
- Revised/updated section: The Big Five Personality Model
- New research in Conscientiousness at Work, Emotional Stability at Work, Extraversion at Work, Openness at Work, Agreeableness at Work, and Proactive Personality
- New Feature! *Personal Inventory Assessment* (Core Five Personality Dimensions)
- Updated *Myth or Science?* (We Can Accurately Judge Individuals’ Personalities a Few Seconds after Meeting Them)
- Revised *Summary*

- Revised *Questions for Review*
- New *Case Incident 2* (The Clash of the Traits)

Chapter 5: Perception and Individual Decision Making

- New *Opening Vignette* (Individual Intuition Igniting Innovation)
- Revised section on Halo and Horns Effects
- Revised/updated sections: Context, Attribution Theory, Selective Perception, Confirmation Bias, and Three Ethical Decision Criteria
- New research in Context, Bounded Rationality, Intuition, Escalation of Commitment, Risk Aversion, Personality, Gender, and Three Ethical Decision Criteria
- New international research in Contrast Effects
- New *Try It Mini Simulation* (Perception and Individual Decision Making)
- New *Point/Counterpoint* (Implicit Assessment)
- New *Experiential Exercise* (Mafia)
- New *Case Incident 1* (Warning: Collaboration Overload)
- New *Case Incident 2* (How Do Employees Justify Cyberloafing?)

Chapter 6: Emotions and Moods

- New *Opening Vignette* (Objections Sustained)
- Revised/updated sections: What Are Emotions and Moods?, The Basic Emotions, Moral Emotions, Do Emotions Make Us Ethical?, and Emotion Regulation Techniques
- New research in The Function of Emotions, Do Emotions Make Us Ethical?, Stress, Age, Sex, Emotional Labor, Affective Events Theory, Emotional Intelligence, and Emotion Regulation Techniques
- New international research in The Basic Emotions, Experiencing Moods and Emotions, Emotional Labor, Emotional Intelligence, and Emotion Regulation Techniques
- Updated *OB Poll* (Emotional States)
- New *Try It Mini Simulation* (Emotions and Moods)
- Updated *Experiential Exercise* (Mindfulness at Work)
- New *Case Incident 1* (Hiring an Emotionally Intelligent Employee)

- New *Case Incident 2* (When the Going Gets Boring)

Chapter 7: Motivation Concepts

- Revised *Learning Objectives*
- New *Opening Vignette* (When Goals Go out of Control)
- New sections on Equity Theory/Organizational Justice and Others' Reactions to Injustice
- Revised/updated sections: Hierarchy of Needs Theory, Two-Factor Theory, McClelland's Theory of Needs, Other Contemporary Theories of Motivation, and Expectancy Theory
- New research in McClelland's Theory of Needs, Self-Determination Theory, Goal-Setting Theory, Goal Commitment, Task Characteristics, Implementing Goal Setting, Equity Theory/Organizational Justice, and Job Engagement
- New international research in McClelland's Theory of Needs, Self-Determination Theory, and Equity Theory/Organizational Justice
- Revised *Summary*
- Revised *Implications for Managers*
- Revised *Questions for Review*
- New *Ethical Dilemma* (Follies of Reward)
- New *Case Incident 2* (Laziness Is Contagious)
- New *Try It Mini Simulation* (Motivation)

Chapter 8: Motivation: From Concepts to Applications

- New *Opening Vignette* (Employees Trading Places)
- New Section on Job Enrichment
- Revised/updated sections: Relational Job Design, Flextime, Job Sharing, Telecommuting, and How to Pay: Rewarding Individual Employees through Variable-Pay Programs
- New research in The Job Characteristics Model, Flextime, Telecommuting, Participative Management, Using Rewards to Motivate Employees, How to Pay: Rewarding Individual Employees through Variable-Pay Programs, Bonus, and

Employee Stock Ownership Plan

- New international research in The Job Characteristics Model, Flextime, How to Pay: Rewarding Individual Employees through Variable-Pay Programs, and Flexible Benefits: Developing a Benefits Package
- New Feature! *Personal Inventory Assessment* (Diagnosing Poor Performance and Enhancing Motivation)
- New *Point/Counterpoint* (Gainsharing: Fair Shares?)
- Updated *OB Poll* (Who Works from Home?)
- Updated *An Ethical Choice* (Workers' Cooperatives)
- New *Try It Mini Simulation* (Motivation: From Concepts to Applications)
- New *Experiential Exercise* (Developing an Organizational Development and Compensation Plan for Automotive Sales Consultants)
- New *Ethical Dilemma* (You Want Me to Do *What?*)
- New *Case Incident 1* (We Talk, But They Don't Listen)
- New *Case Incident 2* (Will More Money Fill the Gap?)

Chapter 9: Foundations of Group Behavior

- New *Opening Vignette* (A Tale of Two Cops)
- New research in Social Identity, Group Development, Role Expectations, Negative Norms and Group Outcomes, Status and Stigmatization, and Group Property 6: Diversity
- New international research in Group Property 4: Size and Dynamics and Group Property 6: Diversity
- New *Try It Mini Simulation* (Group Behavior)
- New *Point/Counterpoint* (Diverse Work Groups Are Smarter and More Innovative)
- New *Ethical Dilemma* (It's Obvious, They're Chinese)
- New *Case Incident 1* (You Are All Fired, but You Are Hired!)

Chapter 10: Understanding Work Teams

- New *Opening Vignette* (RadioImmaginaria: A Radio for Teenagers Managed by

Teenagers)

- Revised/updated section: Diversity of Members
- New research in Multiteam Systems, Adequate Resources, Leadership and Structure, Team Composition, Common Plan and Purpose, Team Identity, Team Cohesion, Conflict Levels, and Training: Creating Team Players
- New international research in Conflict Levels
- New *Try It Multi-Chapter Mini Simulation* (Innovation and Teams)
- New *Try It Mini Simulation* (Virtual Teams)
- New *Try It Mini Simulation* (Teams)
- New *Experiential Exercise* (Should You Use Self-Managed Teams?)
- New *Ethical Dilemma* (When Your Cycling Skills Matter!)
- New *Case Incident 1* (Trusting Someone You Can't See)

Chapter 11: Power and Politics

- New *Opening Vignette* (A Tale of Presidential Corruption)
- New research in Coercive Power, Social Network Analysis: A Tool for Assessing Resources, Applying Power Tactics, and Interviews and IM
- New international research in Performance Evaluations and IM
- New *Try It Mini Simulation* (Power and Politics)
- New *Ethical Dilemma* (Sexual Harassment and Office Romances)
- New *Case Incident 1* (Should Women Have More Power?)
- New *Case Incident 2* (Where Flattery Will Get You)

Chapter 12: Communication

- New *Opening Vignette* (The Oakhurst Comma)
- Revised/updated section: Social Media Websites
- New research in Upward Communication, The Grapevine, Meetings, E-Mail, Information Overload, Language, and Silence
- New international research in Cultural Barriers
- New *Try It Multi-Chapter Mini Simulation* (Diversity)

- New *Try It Mini Simulation* (Communication)
- New *Experiential Exercise* (Conveying Tone through E-Mail)
- New *Case Incident 1* (Do Men and Women Speak the Same Language?)
- New *Case Incident 2* (An Underwater Meeting)

Chapter 13: Leadership

- New *Opening Vignette* (From “Wacky” Vision to Total Hotel Industry Disruption)
- New section on Abusive Supervision
- Revised/updated sections: Trait Theories, Behavioral Theories, Leader-Member Exchange (LMX) Theory, How Charismatic Leaders Influence Followers, How Transformational Leadership Works, Evaluation of Transformational Leadership, Responsible Leadership, Authentic Leadership, and Ethical Leadership
- New research in Trait Theories, Leader-Member Exchange (LMX) Theory, What Is Charismatic Leadership?, Are Charismatic Leaders Born or Made?, How Charismatic Leaders Influence Followers, Does Effective Charismatic Leadership Depend on the Situation?, Transactional and Transformational Leadership, How Transformational Leadership Works, Evaluation of Transformational Leadership, Transformational versus Transactional Leadership, Authentic Leadership, Ethical Leadership, Servant Leadership, The Role of Time, and Training Leaders
- New international research in Leader-Member Exchange (LMX) Theory, Are Charismatic Leaders Born or Made?, How Transformational Leadership Works, Evaluation of Transformational Leadership, Authentic Leadership, Ethical Leadership, and Servant Leadership
- New *Try It Multi-Chapter Mini Simulation* (Leadership and Teams)
- New *Try It Mini Simulation* (Leadership)
- Revised *Implications for Managers*
- New *Experiential Exercise* (What’s in a Leader?)
- New *Ethical Dilemma* (Innocent, but What about Trust?)
- New *Case Incident 1* (Sharing Is Performing)

Chapter 14: Foundations of Organization Structure

- Revised *Learning Objectives*
- New *Opening Vignette* (Samsung: Transforming a Hierarchy)
- Revised/updated sections: Departmentalization, The Simple Structure, The Virtual Structure, and The Leaner Organization: Downsizing
- New research in Work Specialization, Centralization, Boundary Spanning, The Bureaucracy, The Divisional Structure, The Virtual Structure, The Leaner Organization: Downsizing, Technology, and Organizational Designs and Employee Behavior
- New international research in Boundary Spanning
- New *Point/Counterpoint* (Open-Air Offices Inspire Creativity and Enhance Productivity)
- Revised *Questions for Review*
- New *Case Incident 2* (Turbulence on United Airlines)
- New *Try It Mini Simulation* (Organizational Structure)

Chapter 15: Organizational Culture

- New *Opening Vignette* (“Uniform” Culture)
- Updated/revised sections: A Definition of Organizational Culture, Culture Creates Climate, Barriers to Acquisitions and Mergers, and Top Management
- New research in A Definition of Organizational Culture, Do Organizations Have Uniform Cultures?, Strong versus Weak Cultures, The Functions of Culture, Culture Creates Climate, The Ethical Dimension of Culture, Culture As an Asset, Barriers to Diversity, Toxicity and Dysfunctions, Symbols, and Developing an Ethical Culture
- New international research in Culture Creates Climate, Culture and Innovation, and Barriers to Acquisitions and Mergers
- Updated *Myth or Science?* (An Organization’s Culture Is Forever)
- Updated *An Ethical Choice* (A Culture of Compassion)
- New *Point/Counterpoint* (Organizational Culture Can Be “Measured”)
- New *Experiential Exercise* (Culture Architects)
- Updated *Case Incident 1* (Culture of Fear)
- New *Try It Mini Simulation* (Organizational Culture)

Chapter 16: Human Resources Policies and Practices

- New *Opening Vignette* (An Unusual Perk)
- Updated/revised sections: Types of Training, Improving Performance Evaluations, and The Leadership Role of HR
- New research in Recruitment Practices, Selection Practices, Application Forms, Background Checks, Assessment Centers, Interviews, Interpersonal Skills, Evaluating Effectiveness, and The Leadership Role of HR
- New international research in Who Should Do the Evaluating?
- Updated *An Ethical Choice* (HIV/AIDS and the Multinational Organization)
- New *Experiential Exercise* (Designing a Virtual Assessment Center Exercise)
- New *Ethical Dilemma* (Should I Pay the Staff More and Reduce Company's Profit?)

Chapter 17: Organizational Change and Stress Management

- New *Opening Vignette* (Stress and Well-Being)
- Revised/updated sections: Change, Forces for Change, Process Consultation, Stimulating a Culture of Innovation, Stressors, and Physiological Symptoms
- New research in Implementing Changes Fairly; Selecting People Who Accept Change; Sources of Innovation; Context and Innovation; Stressors; Personal Factors; Perception; Physiological Symptoms; Managing Stress; Individual Approaches; Selection and Placement, and Training; Goal Setting; Redesigning Jobs; Employee Sabbaticals; and Wellness Programs
- New international research in Implementing Changes Fairly, Demands and Resources, Cultural Differences, Physiological Symptoms, and Psychological Symptoms
- New *Try It Multi-Chapter Mini Simulation* (Change)
- New *Experiential Exercise* (Learning from Work)
- New *Ethical Dilemma* (The Fear of Redundancy and Ceasing Operations)
- New *Case Incident 2* (Sweat the Stress)

Chapter 18: Conflict and Negotiation

- New *Opening Vignette* (Bargaining Chips)

- Revised/updated section: Stage III: Intentions and Managing Functional Conflict
- New research in Types of Conflict, Stage IV: Behavior, Integrative Bargaining, Personality Traits in Negotiations, Moods and Emotions in Negotiations, and Gender Differences in Negotiations
- New international research in Loci of Conflict and Culture in Negotiations
- New *Exhibit 14-7* (Integration of Two Bargaining Strategies within One Negotiation Episode)
- New *Point/Counterpoint* (Nonunion Positions and the “Gig Economy” Are Bad for Workers)
- New *Ethical Dilemma* (The Case of the Overly Assertive Employee)

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The following supplements are available with this text:

- Instructor's Resource Manual
- Test Bank
- TestGen[®] Computerized Test Bank
- PowerPoint Presentation

This title is available as an eBook and can be purchased at most eBook retailers.

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Contributors

Iva Bimpli, University of Leeds

Michele Kehoe, National College of Ireland

John Opute, London South Bank University
Stephanie Pougnet, Ecole hôtelière de Lausanne, University of Applied Sciences Western
Switzerland (HES-SO)
Andrew Richardson, University of Leeds
Marcello Russo, University of Bologna
Jon and Diane Sutherland
Randall Zindler, Lancaster University Management School

Reviewers

Maria Adamson, Middlesex University London
Charbel N. Aoun, Lebanese American University
Nishat Babu, Aston University
Pawan Budhwar, Aston University
Robin Cheng, Taylor's University
Roberta Fida, University of East Anglia
Elham Hasham, Notre Dame University–Louaize
Renate Grau, University of Applied Sciences and Arts, Northwestern Switzerland
Stephanie K. Jones, Maastricht School of Management
Yong Wooi Keong, Sunway University
Wendong Li, The Chinese University of Hong Kong
Neelofer Mashood, Middlesex University Dubai
Catherine Ng, Hong Kong Baptist University
John Opute, London South Bank University
Riani Rachmawati, University of Indonesia
Sununta Siengthai, Asian Institute of Technology

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Contributor:

Dr. Oliver Mallett, University of Stirling, UK

Reviewer:

Dr. Mustafa B Ozturk, Queen Mary University of London, UK

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What Is Organizational Behavior?



Source: Jason Redmond/Reuters/Alamy Stock Photo

Learning Objectives

After studying this chapter, you should be able to:

- 1-1** Demonstrate the importance of interpersonal skills in the workplace.
- 1-2** Define *organizational behavior* (OB).
- 1-3** Show the value of OB to systematic study.
- 1-4** Identify the major behavioral science disciplines that contribute to OB.
- 1-5** Demonstrate why few absolutes apply to OB.

1-6 Identify managers' challenges and opportunities in applying OB concepts.

1-7 Compare the three levels of analysis in this text's OB model.

1-8 Describe the key employability skills gained from studying OB that are applicable to other majors or future careers.

MyLab Management Chapter Warm Up

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the chapter warm up.

Road Warriors

Logan Green was very frustrated with how difficult it was to get around Southern California. Deciding to leave his car at home while heading off to college, he relied on a mix of public transportation and rideshares arranged through Craigslist and often found himself waiting long periods for rides and occasionally stranded. After years of being vexed by these problems, inspiration struck during a postgraduation trip to Zimbabwe: "There was this crowdsourced transportation network where anyone could be a driver and they could set their own routes." It was perplexing to Logan how a country like Zimbabwe with very little resources could have a better transportation network than Southern California. Drawing from this experience, Logan created Zimride, a platform from which people can find and manage carpools.

Later, Zimride caught the attention of John Zimmer, a Cornell graduate who was living in New York City and working as an analyst at Lehman Brothers. After completing Lehman's two-year analyst program, John "did not feel a connection" to what he was doing, and decided to leave Lehman in order to pursue a partnership in Zimride, much to the dismay of his colleagues on Wall Street. Since his formative years at Cornell, John was captivated by the idea of sustainable transportation, a concept that he was introduced to during his coursework. The problem to John was that current transportation systems are not sustainable: "Seventy percent of car seats are unused. Seventy percent of our highway infrastructure is

inefficient.”

Together, John and Logan envisioned a transportation revolution: They wanted to completely change the way people get from one place to another. Under the banner of their shared vision, the two started Lyft, an app-based ridesharing platform that operates in hundreds of U.S. cities and is valued today at \$5.5 billion, more than double its 2015 valuation. John and Logan are very different from one another—Logan, an introvert, came from an alternative background, with his parents sending him to a high school in which students took class trips to sweat lodges for self-discovery. John, on the other hand, is very extroverted and assertive, and was raised in a middle-class suburb in Connecticut. Despite their personality differences, they worked extremely well together to foster the exponential growth of Zimride and Lyft.

In spite of the lightning fast growth rate of Lyft, John and Logan have not forgotten the drivers and employees that are the foundation of Lyft: They strive to foster a culture and climate of employee appreciation and recognition. As Logan notes, “The more employees a company has, the less likely anyone gets noticed. And when employees don’t feel individually responsible for the company’s success, things slow down.” To help employees feel appreciated, Lyft makes sure to celebrate both employee and work-group accomplishments, giving awards that are customized to each group. Lyft also makes sure that drivers feel welcome, too, recognizing them in newsletters and blogs, and flying them to headquarters to get their feedback and input.

John and Logan also wanted to emphasize that the Lyft experience is all about community, fun, and positivity. They decided that a pink mustache, or a so-called carstache, was the way to go. A customer looking up toward an approaching Lyft car may see an (often glowing) pink mustache attached to the front of the car, and the Lyft driver will also often fist-bump the passenger when he or she gets in, emphasizing how customers should feel relaxed and happy about their ride experience.

Although Lyft grew quickly, employees at Zimride were left uncertain about the future and wondering if they would get a chance to contribute to Lyft. Zimride had over 150 paying clients, and John and Logan had to approach the situation delicately. They made the decision to restructure, and they re-employed 90 percent of its employees to work at Lyft. Eventually, however, they sold Zimride to Enterprise’s vanpooling business. To this day, Lyft has been a strong player in the new ridesharing industry and has faced its share of challenges, setbacks, and successes.

Sources: Based on L. Buchanan, "Lyft's CEO on Creating a Great Company Culture," *Inc.*, June 2015, <http://www.inc.com/magazine/201506/leigh-buchanan/logan-green-on-employee-recognition.html>; D. L. Cohen, "Former Lehman's Banker Drives Startup Zimride," Reuters, September 15, 2010, <http://www.reuters.com/article/us-column-cohen-zimride-idUSTRE68E3KN20100915>; K. Kokalitcheva, "Lyft Raises \$1 Billion, Adds GM as Investor and Partner for Driverless Cars," *Fortune*, January 4, 2016, <http://fortune.com/2016/01/04/lyft-funding-gm/>; R. Lawler, "Lyft-Off: Zimride's Long Road to Overnight Success," TechCrunch, August 29, 2014, <https://techcrunch.com/2014/08/29/6000-words-about-a-pink-mustache/>.

The details of Logan and John's experiences with Lyft reflect the increasing complexity, and speed, of organizational life. They also highlight several issues of interest to those of us seeking to understand organizational behavior, including motivation, justice, ethics, turnover, emotions, personality, and culture. Throughout this text, you'll learn how organizational challenges often cut across areas like these, which is exactly why the systematic approach pursued in this text and in your course is important.

The Importance of Interpersonal Skills

1-1 Demonstrate the importance of interpersonal skills in the workplace.

Until the late 1980s, business school curricula emphasized the technical aspects of management, focusing on economics, accounting, finance, and quantitative techniques. Coursework in human behavior and people skills received relatively less attention. Since then, however, business schools have realized the significant role that interpersonal skills play in determining a manager's effectiveness. In fact, a survey of over 2,100 CFOs across 20 industries indicated that a lack of interpersonal skills is the top reason why some employees fail to advance.¹

Incorporating OB principles into the workplace can yield many important organizational outcomes. For one, companies known as good places to work—such as Adobe, LinkedIn, Fast Enterprises, World Wide Technology, Bain & Company, Google, the Boston Consulting Group, and Facebook²—have been found to generate superior financial performance.³ Second, developing managers' interpersonal skills helps organizations attract and keep high-performing employees, which is important because outstanding employees are always in short supply and costly to replace. Third, strong associations exist between the quality of workplace relationships and employee job satisfaction, stress, and turnover. One very large study of hundreds of workplaces and more than 200,000 respondents showed that social relationships among coworkers and supervisors were strongly related to overall job satisfaction. Positive social relationships were also associated with lower stress at work and lower intentions to quit.⁴ Additional research suggests that positive work relationships help employees to flourish, leading to improvements in job and life satisfaction, positive emotions at work, and perceptions that one's work has meaning.⁵ Fourth, increasing the OB element in organizations can foster social responsibility awareness. Accordingly, universities have begun to incorporate social entrepreneurship education into their curriculum in order to train future leaders in addressing social issues within their organizations.⁶ This is especially important because there is a growing need for understanding the means and outcomes of corporate social responsibility (CSR).⁷



IBM Chief Executive Virginia Rometty has the interpersonal skills required to succeed in management. Communication and leadership skills distinguish managers such as Rometty, who is shown here at a panel discussion in Washington, D.C. Rometty is an innovative leader capable of driving IBM's entrepreneurial culture, and her skills have helped her rise to the top of her profession.

Source: Jonathan Ernst/Reuters/Alamy Stock Photo

We understand that in today's competitive and demanding workplace, managers can't succeed on their technical skills alone. They also have to exhibit good people skills. This text has been written to help both managers and potential managers develop people skills and to acquire the knowledge that understanding human behavior provides.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

1.1.1 What do CFOs see as being the top reason why some employees fail to advance?

- lack of financial skills
- lack of public speaking skills

- ☐ lack of interpersonal skills
- ☐ lack of organizational skills

Check answer

Reset

1.1.2 Which of the following is a key business benefit of developing managers' interpersonal skills?

- ☐ rapid turnover of staff
- ☐ retention of high-performing employees
- ☐ a formal office environment
- ☐ high rates of absenteeism

Check answer

Reset

Management and *Organizational Behavior*

1-2 Define *organizational behavior* (OB).

Let's begin by briefly defining the terms *manager* and *organization*. First, the most notable characteristic of **managers** ⓘ is that they get things done through other people. They make decisions, allocate resources, and direct the activities of others to attain goals. Managers are sometimes called *administrators*, especially in nonprofit organizations. They do their work in an **organization** ⓘ, which is a consciously coordinated social unit composed of two or more people, that functions on a relatively continuous basis to achieve a common goal or set of goals. By this definition, manufacturing and service firms are organizations, and so are schools; hospitals; churches; military units; nonprofits; police departments; and local, state, and federal government agencies.

More than ever, new hires and other employees are placed into management positions without sufficient management training or informed experience. According to a large-scale survey, more than 58 percent of managers reported that they had not received any training, and 25 percent admitted that they were not ready to lead others when they were given the role.⁸ Added to that challenge, the demands of the job have increased: The average manager has seven direct reports (five was once the norm), and less time than before to spend directly supervising them.⁹ Considering that a Gallup poll found organizations chose the wrong candidate for management positions 82 percent of the time,¹⁰ we conclude that the more you can learn about people and how to manage them, the better prepared you will be to be the right management candidate. OB will help you get there. Let's start by identifying a manager's primary activities.

The work of managers can be categorized into four different activities: **planning** ⓘ, **organizing** ⓘ, **leading** ⓘ, and **controlling** ⓘ. The *planning* function encompasses defining an organization's goals, establishing an overall strategy for achieving those goals, and developing a comprehensive set of plans to integrate and coordinate activities. Evidence indicates the need for planning increases the most as managers move from lower-level to midlevel management.¹¹

When managers engage in designing their work unit's structure, they are *organizing*. The organizing function includes determining what tasks are to be done, who is to do them, how

the tasks are to be grouped, who reports to whom, and where decisions are to be made.

Every organization contains people, and it is management's job to direct and coordinate those people, which is the *leading* function. When managers motivate employees, direct their activities, select the most effective communication channels, or resolve conflicts, they're engaging in leading.

To ensure that the activities are going as they should, management must monitor the organization's performance and compare it with previously set goals. If there are any significant deviations, it is management's job to get the organization back on track. This monitoring, comparing, and potential correcting is the *controlling* function.

Management Roles

Henry Mintzberg, now a prominent management scholar, undertook a careful study of executives early in his career to determine what they did on their jobs. On the basis of his observations, Mintzberg concluded that managers perform 10 different, highly interrelated roles or sets of behaviors, thus serving a critical function in organizations.¹² As shown in Exhibit 1-1, these 10 roles are primarily (1) interpersonal, (2) informational, or (3) decisional. Although much has changed in the world of work since Mintzberg developed this model, research indicates the roles have changed very little.¹³

Interpersonal Roles All managers are required to perform duties that are ceremonial and symbolic in nature. For instance, when the president of a college hands out diplomas at commencement or a factory supervisor gives a group of high school students a tour of the plant, they are acting in a *figurehead* role. Another key interpersonal role all managers have is a *leadership* role. This role includes hiring, training, motivating, and disciplining employees. The third role within the interpersonal grouping is the *liaison* role, or contacting and fostering relationships with others who provide valuable information. The sales manager who obtains information from the quality-control manager in his own company has an internal liaison relationship. When that sales manager has contact with other sales executives through a marketing trade association, he has external liaison relationships.

Exhibit 1-1 Mintzberg's Managerial Roles

Role	Description
Interpersonal	
Figurehead	Symbolic head; required to perform a number of routine duties of a legal or social nature
Leader	Responsible for the motivation and direction of employees
Liaison	Maintains a network of outside contacts who provide favors and information
Informational	
Monitor	Receives a wide variety of information; serves as nerve center of internal and external information of the organization
Disseminator	Transmits information received from outsiders or from other employees to members of the organization
Spokesperson	Transmits information to outsiders on organization's plans, policies, actions, and results; serves as expert on organization's industry
Decisional	
Entrepreneur	Searches organization and its environment for opportunities and initiates projects to bring about change
Disturbance handler	Responsible for corrective action when organization faces important, unexpected disturbances
Resource allocator	Makes or approves significant organizational decisions Responsible for representing the organization at major negotiations
Negotiator	

Source: H. Mintzberg, *The Nature of Managerial Work*, 1st ed., © 1973, pp. 92–93. Reprinted and electronically reproduced by permission of Pearson Education, Inc., New York, NY.

Informational Roles To some degree, all managers collect information from outside organizations and institutions, typically by scanning the news media and talking with other people to learn of changes in the public's tastes and what competitors may be planning. Mintzberg called this the *monitor* role. Managers also act as a conduit to transmit information to organizational members. This is the *disseminator* role. In addition, managers perform a *spokesperson* role when they represent the organization to outsiders.

Decisional Roles Mintzberg identified four roles that require making choices. In the *entrepreneur* role, managers initiate and oversee new projects that will improve their organization's performance. As *disturbance handlers*, managers take corrective action in response to unforeseen problems. As *resource allocators*, managers are responsible for allocating human, physical, and monetary resources. Finally, managers perform a *negotiator* role, in which they discuss issues and bargain with other units (internal or external) to gain advantages for their own unit.

Management Skills

Another way to consider what managers do is to look at the skills or competencies they need to achieve their goals. Researchers have identified a number of skills that differentiate effective from ineffective managers.¹⁴ Each of these skills is important, and all are needed to become a well-rounded and effective manager.

Technical Skills **Technical skills** ⓘ encompass the ability to apply specialized knowledge or expertise. When you think of the skills of professionals such as civil engineers or oral surgeons, you typically focus on the technical skills they have learned through extensive formal education. Of course, professionals don't have a monopoly on technical skills, and not all technical skills have to be learned in schools or other formal training programs. All jobs require some specialized expertise, and many people develop their technical skills on the job.

Human Skills The ability to understand, communicate with, motivate, and support other people, both individually and in groups, defines **human skills** ⓘ. Many people may be technically proficient but poor listeners, unable to understand the needs of others, or weak at managing conflicts. Managers must have good human skills because they need to get things done through other people.

Conceptual Skills Managers must have the mental ability to analyze and diagnose complex situations. These tasks require **conceptual skills** ⓘ. Decision making, for instance, requires managers to identify problems, develop alternative solutions to correct those problems, evaluate those alternative solutions, and select the best one. After they have selected a course of action, managers must be able to organize a plan of action and then execute it. The abilities to integrate new ideas with existing processes and to innovate on the job are also

crucial conceptual skills for today's managers.

Effective versus Successful Managerial Activities

Fred Luthans and his associates looked at what managers do from a somewhat different perspective.¹⁵ They asked, “Do managers who move up most quickly in an organization do the same activities and with the same emphasis as managers who do the best job?” You might think the answer is yes, but that's not always the case.

Luthans and his associates studied more than 450 managers, all engaged in four managerial activities:

1. **Traditional management.** Decision making, planning, and controlling.
2. **Communication.** Exchanging routine information and processing paperwork.
3. **Human resources management.** Motivating, disciplining, managing conflict, staffing, and training.
4. **Networking.** Socializing, politicking, and interacting with outsiders.

The “average” manager spent 32 percent of his or her time in traditional management activities, 29 percent communicating, 20 percent in human resources management activities, and 19 percent networking. However, the time and effort that different *individual* managers spent on those activities varied a great deal. As shown in Exhibit 1-2, among managers who were *successful* (defined in terms of speed of promotion within their organization), networking made the largest relative contribution to success, and human resources management activities made the least relative contribution. Among *effective* managers (defined in terms of quantity and quality of their performance and the satisfaction and commitment of employees), communication made the largest relative contribution and networking the least. Other studies in Australia, Israel, Italy, Japan, and the United States confirm the link between networking, social relationships, and success within an organization.¹⁶ The connection between communication and effective managers is also clear. Managers who explain their decisions and seek information from colleagues and employees—even if the information turns out to be negative—are the most effective.¹⁷



When you see this icon, Global OB issues and research are being discussed in the paragraph.

This research offers important insights. *Successful* (in terms of promotion) managers give almost the opposite emphases to traditional management, communication, human resources management, and networking as do *effective* managers. This finding challenges the historical assumption that promotions are based on performance, and it illustrates the importance of networking and political skills in getting ahead in organizations.

Now that we've established what managers do, we need to study how best to do these things. **Organizational behavior (OB)** ⓘ is a field of study that investigates the impact that individuals, groups, and structure have on behavior within organizations for the purpose of applying such knowledge toward improving an organization's effectiveness. That's a mouthful, so let's break it down.

Exhibit 1-2 Allocation of Activities by Time



Source: Based on F. Luthans, R. M. Hodgetts, and S. A. Rosenkrantz, *Real Managers* (Cambridge, MA: Ballinger, 1988).

OB is a field of study, meaning that it is a distinct area of expertise with a common body of knowledge. It focuses on three determinants of behavior in organizations: individuals, groups, and structure. In addition, OB applies the knowledge gained about individuals, groups, and the effect of structure on behavior in order to make organizations work more effectively.

To sum up our definition, OB is the study of what people do in an organization and the

way their behavior affects the organization's performance. Because OB is concerned specifically with employment-related situations, it examines behavior in the context of job satisfaction, absenteeism, employment turnover, productivity, human performance, and management. Although debate exists about the relative importance of each, OB includes these core topics:

- Motivation
- Leader behavior and power
- Interpersonal communication
- Group structure and processes
- Attitude development and perception
- Change processes
- Conflict and negotiation
- Work design¹⁸

MyLab Management Watch It

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the video exercise.

Herman Miller Organizational Behavior

Watch it video.

A **transcript** of this video is available [here](#).

Transcript

Herman Miller Organizational Behavior

>> Herman Miller has been making furniture for so long that some

>> of their first cutting-edge styles are now retro classics.

>> As the company responsible for the implementation

>> of the first office cubicle,

>> Herman Miller has had a great deal of influence

>> on how a company is structured in the modern world.

>> After all, the cubicle movement led from closed divisive offices

>> to open air common spaces that fostered greater communication

>> and collaboration and helped to do away with some

>> of the fiefdom mentality that has plagued companies

>> in the mid-20th century.

>> Even as its influence changes in organizational behavior

>> and business, Herman Miller itself has evolved

>> to stay competitive and fresh.

>> Herman Miller is essentially structured

>> around vertical markets, and then we have kind

>> of a matrix organization that goes across that,

>> and they are set up structurally on paper, if you will,

>> in a fairly traditional fashion.

>> That being said, leadership

>> of Herman Miller essentially conveys a vision and a mission

>> and some goals, and we actually empower the employees

>> to go approach getting the work done

>> in whatever fashion makes sense to produce the most innovative

>> and creative solutions.

>> The company employs project teams that carry a new item

>> from design to delivery.

>> Even outside suppliers have seats on these teams.

>> And they are amorphous.

>> They come together, they work through the success

>> of that initiative, and then they break up

>> or they come together again around another need.

>> This system doesn't always work perfectly,

>> but even when it fails, Herman Miller can glean benefits.

>> A great example of this is the Mediform team,

>> which in the 70s worked to develop products

>> to help the baby boomer generation age with dignity.

>> The project was scrapped, but some of the materials

>> and ergonomic solutions they developed proved

>> to be incredibly valuable with the advent

>> of the personal computer.

>> The increasing time that people were spending

>> at workstations and in front of PCs was an opportunity for us

>> to apply those same concepts and technology.

>> That became, in fact, the foundation of the Aeron Chair,

>> a chair which we've sold now over six million units

>> and better than \$3 billion worth of revenue.

>> Leadership is an important factor in making the teams work.

>> When you units have autonomy, they risk losing their way

>> or bogging down and infighting,

>> so energetic guidance can keep rudderless teams on track.

>> Management is the glue

>> that holds a Herman Miller team together.

>> We really do need to balance the need

>> for autonomy with accountability.

>> One of the things that we do is we start

>> with a very clear vision and a set of goals,

>> but we also really strongly encourage all of our employees

>> to be innovative and creative in seeking new solutions.

>> Communication keeps information flowing

>> and resolves any misunderstandings or disputes,

>> so the ability to communicate clearly

>> and effectively is a critical requirement

>> in all managers and team leaders.

>> Interpersonal skills are incredibly important

>> at Herman Miller.

>> We like to say that we're serious about business

>> and we're serious about people.

>> The bottom line is it doesn't matter how extraordinarily

>> talented you are

>> from a technical proficiency perspective.

>> If you can't work well with somebody else,

>> then you're not going to be able to participate in the types

>> of team structures that we set up at Herman Miller,

>> and you're simply not going to be successful here.

>> One of the things that's interesting at Herman Miller is

>> if you take a look at our performance review form,

>> it actually comes in two halves.

>> The first half, the expected results,

>> tends to focus specifically on the accountabilities

>> and your technical skills, but the second half talks

>> about integrity and trust, leadership skills,

>> how you're developing others, how you're working

>> and playing well with others, in essence.

>> And that counts for 50 percent

>> of your performance review score,

>> so we really do weigh them equally.

>> Herman Miller has created some of the most remarkable,

>> functional, and renowned designs,

>> in the office furniture industry.

>> The Aeron Chair, which we mentioned earlier,

>> is so influential and imitated, that it's not only won a host

>> of awards inside and outside the office furniture industry,

>> but it's actually earned a permanent place

>> in the New York Museum of Modern Art.

>> And just as Herman Miller continues to stay a step ahead

>> of design trends

>> and cutting-edge ergonomic technology,

>> the company will continue evolve and refine itself internally

>> to meet the business challenges of the future.

>> [Music]



Manufacturer and retailer Lush Cosmetics incorporates standard benefits, training, and a good working environment with the chance to learn different skills and be fully engaged in the product creation process. Lush retail outlets are encouraged to be fun and quirky, employees included.

Source: Stephen Barnes/Business/Alamy Stock Photo

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

1.2.1 Which of the following is not a core topic of organizational behavior?

- ☐ motivation
- ☐ attitude development
- ☐ conflict
- ☐ resource allocation

Check answer

Reset

1.2.2 On average, managers spend most of their time doing which managerial activity?

- ☐ traditional management
- ☐ communication
- ☐ human resource management
- ☐ networking

Check answer

Reset

Complementing Intuition with Systematic Study

1-3 Show the value of OB to systematic study.

Whether you've explicitly thought about it before or not, you've been "reading" people almost all your life by watching their actions and interpreting what you see, or by trying to predict what people might do under different conditions. This casual approach to reading others can often lead to erroneous predictions, but using a systematic approach can improve your accuracy.

Underlying the systematic approach in this text is the belief that behavior is not random. Rather, we can identify fundamental consistencies underlying the behavior of all individuals and modify them to reflect individual differences.

These fundamental consistencies are very important. Why? Because they allow predictability. Behavior is generally predictable, and the *systematic study* of behavior is a way to make reasonably accurate predictions. When we use the term **systematic study** ⓘ, we mean looking at relationships, attempting to attribute causes and effects, and basing our conclusions on scientific evidence—that is, on data gathered under controlled conditions and measured and interpreted in a rigorous manner.

Evidence-based management (EBM) ⓘ complements systematic study by basing managerial decisions on the best available scientific evidence. For example, we want doctors to make decisions about patient care based on the latest available evidence, and EBM argues that managers should do the same, thinking more scientifically about management problems. A manager might pose a question, search for the best available evidence, and apply the relevant information to the question or case at hand. You might wonder what manager would not base decisions on evidence, but the vast majority of management decisions are still made "on the fly," with little to no systematic study of available evidence.¹⁹

Systematic study and EBM add to **intuition** ⓘ, or those "gut feelings" about what makes others (and ourselves) "tick." Of course, the things you have come to believe in an unsystematic way are not necessarily incorrect. Jack Welch (former CEO of General Electric) noted, "The trick, of course, is to know when to go with your gut." But if we make *all* decisions with intuition or gut instinct, we're likely working with incomplete information—like making an investment decision with only half the data about the potential for risk and

reward.

Relying on intuition is made worse because we tend to overestimate the accuracy of what we think we know. Surveys of human resources managers have also shown that many managers hold so-called commonsense opinions regarding effective management that have been flatly refuted by empirical evidence.

We find a similar problem in chasing the business and popular media for management wisdom. The business press tends to be dominated by fads. As a writer for *The New Yorker* put it, “Every few years, new companies succeed, and they are scrutinized for the underlying truths they might reveal. But often there is no underlying truth; the companies just happened to be in the right place at the right time.”²⁰ Although we try to avoid it, we might also fall into this trap. It’s not that the business press stories are all wrong; it’s that without a systematic approach, it’s hard to separate the wheat from the chaff.

Big Data

Data has been used to evaluate behavior since at least 1749, when the word *statistic* was coined to mean a “description of the state.”²¹ Statistics back then were used for purposes of governance, but since the data collection methods were clumsy and simplistic, so were the conclusions. Big data—the extensive use of statistical compilation and analysis—didn’t become possible until computers were sophisticated enough to store and manipulate large amounts of information. Let’s look at the roots of the application of big data for business, which originated in the marketing department of online retailers.

Myth or Science?

Management by Walking Around Is the Most Effective Management

This is mostly a myth, but with a caveat. Management by walking around (MBWA) is an organizational principle made famous with the 1982 publication of *In Search of Excellence* and based on a 1970s initiative by Hewlett-Packard—in other words, it’s a dinosaur. Years of research indicate that effective management practices are not built

around MBWA. But the idea of requiring managers at all levels of the organization to wander around their departments to observe, converse, and hear from employees continues as a common business practice.

Many companies expecting managers and executives to do regular “floor time” have claimed benefits from increased employee engagement to deeper management understanding of company issues. A recent three-year study also suggested that a modified form of MBWA may significantly improve safety in organizations because employees become more mindful of following regulatory procedures when supervisors observe and monitor them frequently.

While MBWA sounds helpful, its limitations suggest that modern practices focused on building trust and relationships are more effective for management. Limitations include available hours, focus, and application.

1. Available hours. Managers are charged with planning, organizing, coordinating, and controlling; yet even CEOs—the managers who should be the most in control of their time—report spending 53 percent of their average 55-hour workweek in time-wasting meetings.
2. Focus. MBWA turns management’s focus toward the concerns of employees. This is good, but only to a degree. As noted by Jeff Weiner, CEO of LinkedIn, “Part of the key to time management is carving out time to think, as opposed to constantly reacting. And during that thinking time, you’re not only thinking strategically, thinking proactively, thinking longer-term, but you’re literally thinking about what is urgent versus important.” Weiner and other CEOs argue that meetings distract them from their purpose.
3. Application. The principle behind MBWA is that the more managers know their employees, the more effective those managers will be. This is not always (or even often) true. As we’ll learn in Chapter 5, knowing something (or thinking we know it) should not always lead us to act on *only* that information because our internal decision making is subjective. We need objective data to make the most effective management decisions.

Based on the need for managers to dedicate their efforts to administering and growing businesses, and given the proven effectiveness of objective performance measures, it seems the time for MBWA is gone. Yet there is that one caveat: Managers

should know their employees well. As Rick Russell, CEO of Greer Laboratories, says, “Fostering close ties with your lieutenants is the stuff that gets results. You have to rally the troops. You can’t do it from a memo.” Management should therefore not substitute walking around for true management.

Sources: Based on G. Luria and I. Morag, “Safety Management by Walking Around (SMBWA): A Safety Intervention Program Based on Both Peer and Manager Participation,” *Accident Analysis and Prevention* (March 2012): 248–57; J. S. Lublin, “Managers Need to Make Time for Face Time,” *The Wall Street Journal*, March 17, 2015, <http://www.wsj.com/articles/managers-need-to-make-time-for-face-time-1426624214>; and R. E. Silverman, “Where’s the Boss? Trapped in a Meeting,” *The Wall Street Journal*, February 14, 2012, B1, B9.

Background It’s difficult to believe now, but not long ago companies treated online shopping as a virtual point-of-sale experience: Shoppers browsed websites anonymously, and sellers tracked sales data only on what customers bought. Gradually, though, online retailers began to track and act on information about customer preferences that was uniquely available through the Internet shopping experience, information that was far superior to data gathered in simple store transactions. This enabled them to create more targeted marketing strategies than ever before. The bookselling industry is a case in point: Before online selling, brick-and-mortar bookstores could collect data about book sales only to create projections about consumer interests and trends. With the advent of Amazon, suddenly a vast array of information about consumer preferences—what customers bought, what they looked at, how they navigated the site, and what they were influenced by (such as promotions, reviews, and page presentation)—became available for tracking. The challenge for Amazon then was to identify which statistics were *persistent*, giving relatively constant outcomes over time, and which were *predictive*, showing steady causality between certain inputs and outcomes. The company used these statistics to develop algorithms to forecast which books customers would like to read next. Amazon could then base its wholesale purchase decisions on the feedback customers provided, both through these passive collection methods and through solicited recommendations for upcoming titles.



Current Usage No matter how many terabytes of data firms can collect or from how many sources, the reasons for data analytics include *predicting* any event, from a book

purchase to a spacesuit malfunction; detecting how much *risk* is incurred at any time, from the risk of a fire to that of a loan default; and *preventing* catastrophes large and small, from a plane crash to an overstock of product.²² With big data, U.S. defense contractor BAE Systems protects itself from cyberattacks; San Francisco's Bank of the West uses customer data to create tiered pricing systems; and London's Graze.com analyzes customers' preferences to select snack samples to send with their orders.²³

Naturally, big data has been used by technology companies like Google and Facebook, who rely on advertising dollars for revenue and thus need to predict user behavior. Companies like Netflix and Uber similarly use big data to predict where and when customers may want to use their services, although their revenue comes from subscribers to their services. Insurance firms predict behavior to assess risks, such as the chance of traffic accidents, in order to set customer premiums. Even museums like the Solomon R. Guggenheim Museum in New York, the Dallas Museum of Art, and the Minneapolis Institute of Arts analyze data from transmitters, kiosks, and surveys to cater to their paying guests.²⁴

Online retailers like eBay and Amazon that market tangible products through online platforms also rely on big data to predict what will sell. For organizations like Nielson Holdings, which tracks television and radio watching, the results of data analyses *are* the product they sell. Still other organizations collect big data but do not use it directly. These are often organizations whose primary business is not online. Kroger, a U.S. grocery store chain, collects electronic information from 55 million customers who have loyalty cards and sells the data to vendors who stock Kroger's shelves.²⁵ Sometimes technology companies simply sell their data; Twitter sells 500 million tweets a day to four data assimilation companies.²⁶



New Trends While accessibility to data increases organizations' ability to predict

human behavioral trends, the use of big data for understanding, helping, and managing people is relatively new but holds promise. In fact, research on 10,000 workers in China, Germany, India, the United Kingdom, and the United States indicated that employees expect the next transformation in the way people work will rely more on technological advancements than on any other factor, such as demographic changes.²⁷ Organizations are also beginning to focus more on fast data, emphasizing a consistent influx of actionable data that can be used to guide business decisions in real time.²⁸

It is good news for the future of business that researchers, the media, and company leaders

have identified the potential of data-driven management and decision making. A manager who uses data to define objectives, develop theories of causality, and test those theories can determine which employee activities are relevant to the objectives.²⁹ Big data has implications for correcting management assumptions and increasing positive performance outcomes. It is applied increasingly toward making effective decisions (Chapter 5) and managing human resources (HR; Chapter 16). It is quite possible that the best use of big data in managing people will come from organizational behavior and psychology research, where it might even help employees with mental illnesses monitor and change their behavior.³⁰

Limitations As technological capabilities for handling big data have increased, so have issues of privacy. This is particularly true when data collection includes surveillance instruments. For instance, an experiment in Brooklyn, New York, has been designed to improve the quality of life for residents, but the researchers will collect intensive data from infrared cameras, sensors, and smartphone Wi-Fi signals.³¹ Through similar methods of surveillance monitoring, a bank call center and a pharmaceutical company found that employees were more productive with more social interaction, so they changed their break-time policies so more people took breaks together. They then saw sales increase and turnover decrease. Bread Winners Café in Dallas, Texas, constantly monitors all employees in the restaurant through surveillance and uses the data to promote or discipline its servers.³²

These big data tactics and others might yield results—and research indicates that, in fact, electronic performance monitoring does increase task performance and citizenship behavior (helping behaviors toward others), at least in the short term.³³ But critics point out that after Frederick Taylor introduced surveillance analytics in 1911 to increase productivity through monitoring and feedback controls, his management control techniques were surpassed by Alfred Sloan's greater success with management outcomes, achieved by providing meaningful work to employees.³⁴ This brings up a larger concern: What do people think about big data when *they* are the source of the data? Organizations using big data run the risk of offending the very people they are trying to influence: employees and customers. As Alderman Bob Fioretti said about the 65 sensors installed on Chicago's streets, "This type of invasion is a very slippery slope."³⁵

We must keep in mind that big data will always be limited in predicting behavior, curtailing risk, and preventing catastrophes. In contrast to the replicable results we can obtain in the sciences through big data analytics, human behavior is often capricious and predicated

on innumerable variables. Otherwise, our decision making would have been taken over by artificial intelligence by now! But that will never be a worthy goal.³⁶ Management is more than the sum of data.

Therefore, we are not advising you to throw intuition out the window. In dealing with people, leaders often rely on hunches, and sometimes the outcomes are excellent. At other times, human tendencies get in the way. Alex Pentland, a celebrated MIT data scientist, proposes a new science termed *social physics*, which is based on improving the way ideas and behaviors travel. Studies on social physics would lead to subtler forms of data collection and analysis than some of the more intrusive surveillance methods mentioned previously, while still informing managers on how to help employees focus their energies.³⁷ The prudent use of big data, along with an understanding of human behavioral tendencies, can contribute to sound decision making and ease natural biases. What we are advising is to use evidence as much as possible to inform your intuition and experience. That is the promise of OB.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

1.3.1 In order to predict human behavior, it is best to supplement your intuitive opinions with information derived in what fashion?

- ☐ common sense
- ☐ direct observation
- ☐ systematic study
- ☐ speculation

Check answer

Reset

1.3.2 Which of the following beliefs explains the usefulness of the systematic approach to the study of organizational behavior?

- Human behavior does not vary a great deal between individuals and situations.

- ☐ Human behavior is not random.
- ☐ Human behavior is not consistent.
- ☐ Human behavior is rarely predictable.

Check answer

Reset

Disciplines That Contribute to OB

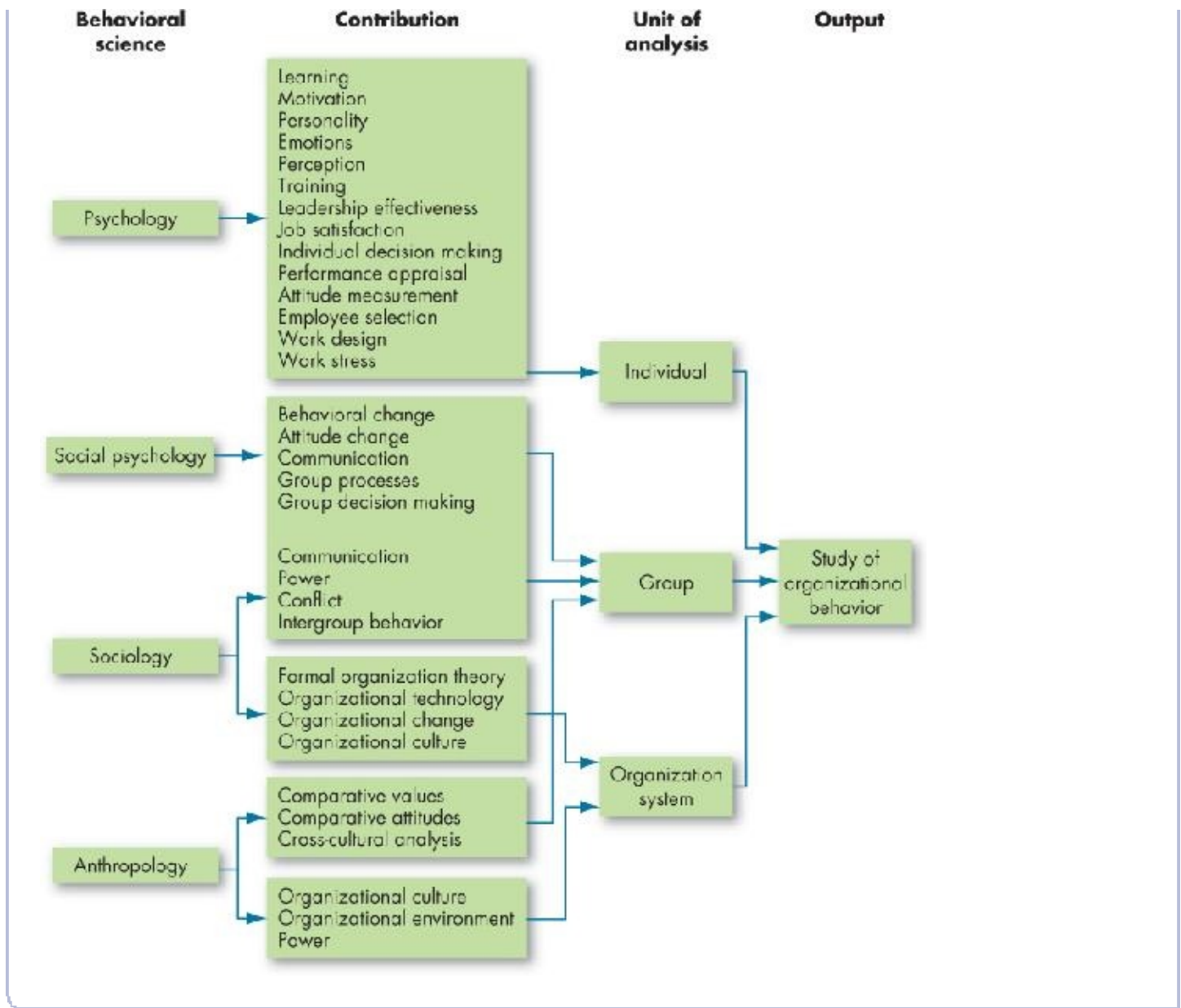
1-4 Identify the major behavioral science disciplines that contribute to OB.

OB is an applied behavioral science built on contributions from a number of behavioral disciplines, mainly psychology and social psychology, sociology, and anthropology. Psychology's contributions have been principally at the individual or micro level of analysis, while the other disciplines have contributed to our understanding of macro concepts such as group processes and organization. Exhibit 1-3 is an overview of the major contributions to the study of organizational behavior.

Psychology

Psychology ⓘ seeks to measure, explain, and sometimes change the behavior of humans and other animals. Contributors to the knowledge of OB are learning theorists; personality theorists; counseling psychologists; and, most important, industrial and organizational psychologists.

Exhibit 1-3 Toward an OB Discipline



Early industrial/organizational psychologists studied the problems of fatigue, boredom, and other working conditions that could impede efficient work performance. More recently, their contributions have expanded to include learning, perception, personality, emotions, training, leadership effectiveness, needs and motivational forces, job satisfaction, decision-making processes, performance appraisal, attitude measurement, employee-selection techniques, work design, and job stress.

Social Psychology

Social psychology ⓘ, generally considered a branch of psychology, blends concepts from both psychology and sociology to focus on people's influence on one another. One major

study area is *change* —how to implement it and how to reduce barriers to its acceptance. Social psychologists also contribute to measuring, understanding, and changing attitudes; identifying communication patterns; and building trust. They have made important contributions to our study of group behavior, power, and conflict.

Sociology

While psychology focuses on the individual, **sociology** ⓘ studies people in relation to their social environment or culture. Sociologists have contributed to OB through their study of group behaviors in organizations, particularly formal and complex organizations. Perhaps most important, sociologists have studied organizational culture, formal organization theory and structure, organizational technology, communications, power, and conflict.

Anthropology

Anthropology ⓘ is the study of societies to learn about human beings and their activities. Anthropologists' work on cultures and environments has helped us understand differences in fundamental values, attitudes, and behavior among people in different countries and within different organizations. Much of our current understanding of organizational culture, organizational climate, and differences among national cultures is a result of the work of anthropologists or those using their methods.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

1.4.1 Organizational behavior is constructed from all of the following disciplines except _____.

- physics
- psychology
- anthropology

☐ sociology

Check answer

Reset

1.4.2 Group behavior, power, and conflict are central areas of study for _____.

- ☐ archaeologists
- ☐ philanthropists
- ☐ anthropologists
- ☐ social psychologists

Check answer

Reset

There Are Few Absolutes in OB

1-5 Demonstrate why few absolutes apply to OB.

Laws in the physical sciences—chemistry, astronomy, physics—are consistent and apply in a wide range of situations. They allow scientists to generalize about the pull of gravity or to be confident about sending astronauts into space to repair satellites. Human beings are complex, and few, if any, simple and universal principles explain organizational behavior. Because we are not alike, our ability to make simple, accurate, and sweeping generalizations about ourselves is limited. Two people often act very differently in the same situation, and the same person's behavior changes in different situations. For example, not everyone is motivated by money, and people may behave differently at a religious service than they do at a party.

That doesn't mean, of course, that we can't offer reasonably accurate explanations of human behavior or make valid predictions. It does mean that OB concepts must reflect situational, or contingency, conditions. We can say x leads to y , but only under conditions specified in z —the **contingency variables** ⓘ. The science of OB was developed by applying general concepts to a particular situation, person, or group. For example, OB scholars would avoid stating that everyone likes complex and challenging work (a general concept). Why? Because not everyone wants a challenging job. Some people prefer routine over varied work or simple over complex tasks. A job attractive to one person may not be to another; its appeal is contingent on the person who holds it. Often, we'll find both general effects (money does have some ability to motivate most of us) and contingencies (some of us are more motivated by money than others, and some situations are more about money than others). We'll best understand OB when we realize how both (general effects, and the contingencies that affect them) often guide behavior.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

1.5.1 Which of the following statements best describes contingency variables?

- ☐ They are scientific factors based on universal truths.
- ☐ They are factors that moderate the relationship between two or more events or situations.
- ☐ There is general consensus among OB researchers that they can be controlled.
- ☐ They are the cause-and-effect principles that tend to apply to all situations that have been discovered.

Check answer

Reset

1.5.2 Given the climate of 'temporariness' in modern organizations, employees must _____.

- ☐ continually update their knowledge and skills
- ☐ be prepared to stay in the same position for longer periods of time
- ☐ have closer connections with their peers
- ☐ foster friendship within the work environment

Check answer

Reset

Challenges and Opportunities

1-6 Identify managers' challenges and opportunities in applying OB concepts.

Understanding organizational behavior has never been more important for managers. Take a quick look at the dramatic changes in organizations. The typical employee is getting older, the workforce is becoming increasingly diverse, and global competition requires employees to become more flexible and cope with rapid change.

As a result of these changes and others, employment options have adapted to include new opportunities for workers. Exhibit 1-4 details some of the types of options individuals may find offered to them by organizations or for which they would like to negotiate. Under each heading in the exhibit, you will find a grouping of options from which to choose—or combine. For instance, at one point in your career, you may find yourself employed full-time in an office in a localized, nonunion setting with a salary and bonus compensation package, while at another point you may wish to negotiate for a flextime, virtual position and choose to work from overseas for a combination of salary and extra paid time off.

Exhibit 1-4 Employment Options

Categories of Employment	Types of Employment	Places of Employment	Conditions of Employment	Compensation for Employment
Employed	Fulltime	Anchored (office/cubicle)	Local	Salary
Underemployed/underutilized	Parttime	Floating (shared space)	Expatriate	Hourly
Re-employed	Flextime	Virtual	Short-term assignee	Overtime
Unemployed/jobless	Job share	Flexible	Flexpatriate	Bonus
Entrepreneur	Contingent	Work from home	International business traveler	Contract
Retired	Independent contractor		Visa employee	Time off
Job seeking	Temporary		Union/nonunion employee	Benefits
Furloughed	Reduced hours			
Laid off	Intern			

Sources: Based on J. R. Anderson, E. Binney, N. M. Davis, G. Kraft, S. Miller, T. Minton-Eversole, ... and A. Wright,

“Action Items: 42 Trends Affecting Benefits, Compensation, Training, Staffing and Technology,” *HR Magazine* (January 2013): 33; M. Dewhurst, B. Hancock, and D. Ellsworth, “Redesigning Knowledge Work,” *Harvard Business Review* (January–February 2013): 58–64; E. Fraenheim, “Creating a New Contingent Culture,” *Workforce Management* (August 2012): 34–39; N. Koeppen, “State Job Aid Takes Pressure off Germany,” *The Wall Street Journal*, February 1, 2013, A8; and M. A. Shaffer, M. L. Kraimer, Y.-P. Chen, and M. C. Bolino, “Choices, Challenges, and Career Consequences of Global Work Experiences: A Review and Future Agenda,” *Journal of Management* (July 2012): 1282–1327.

In short, today’s challenges bring opportunities for managers to use OB concepts. In this section, we review some of the most critical issues confronting managers for which OB offers solutions—or at least meaningful insights toward solutions.

Economic Pressures

When the U.S. economy plunged into a deep and prolonged recession in 2008, virtually all other large economies around the world followed suit. Layoffs and job losses were widespread, and those who survived the ax were often asked to accept pay cuts. When times are bad, as they were during the recession, managers are on the frontlines with employees who are asked to make do with less, who worry about their futures, and who sometimes must be fired. The difference between good and bad management can be the difference between profit and loss or ultimately between business survival and failure.

Managing employees well when times are tough is just as hard as when times are good, if not harder. In good times, understanding how to reward, satisfy, and retain employees is at a premium. In bad times, issues like stress, decision making, and coping come to the forefront.

Continuing Globalization



Organizations are no longer constrained by national borders. Samsung, the largest South Korean business conglomerate, sells most of its products to organizations in other countries, Burger King is owned by a Brazilian firm, and McDonald’s sells hamburgers in more than 118 countries on six continents. Even what is arguably the U.S. company with the strongest U.S. identity—Apple—employs twice as many workers outside the United States as it does inside the country. And all major automobile makers now manufacture cars outside their borders; Honda builds cars in Ohio, Ford in Brazil, Volkswagen in Mexico, and both Mercedes and BMW in the United States and South Africa.

The world has become a global village. In the process, the manager's job has changed. Effective managers anticipate and adapt their approaches to the global issues we discuss next.

Increased Foreign Assignments You are increasingly likely to find yourself in a foreign assignment—transferred to your employer's operating division or subsidiary in another country. Once there, you'll have to manage a workforce with very different needs, aspirations, and attitudes than those you are used to back home. To be effective, you will need to understand everything you can about your new location's culture and workforce—and demonstrate your cultural sensitivity—before introducing alternate practices.

Working with People from Different Cultures Even in your own country, you'll find yourself working with bosses, peers, and other employees born and raised in different cultures. What motivates you may not motivate them. Or your communication style may be straightforward and open, which others may find uncomfortable and threatening. To work effectively with people from different cultures, you need to understand how their culture and background have shaped them and how to adapt your management style to fit any differences.



Guy Woolaert, senior vice president and chief technical and innovation officer of The Coca-Cola Company, has worked effectively with people from many cultures. He learned from his 20 years of assignments abroad in Europe, the Pacific, and

other geographic regions how to adapt his management style to reflect the values of different countries.

Source: Robin Nelson/ZUMA Press, Inc./Alamy Stock Photo



Overseeing Movement of Jobs to Countries with Low-Cost Labor It is

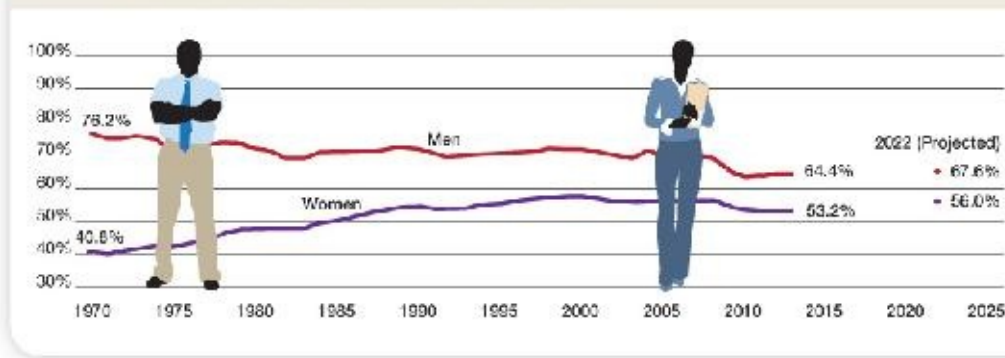
increasingly difficult for managers in advanced nations, where the minimum wage can be as high as \$16.88 an hour, to compete against firms that rely on workers from developing nations where labor is available for as little as \$0.03 an hour.³⁸ In a global economy, jobs tend to be created where lower costs give businesses a comparative advantage, although labor groups, politicians, and local community leaders see the exporting of jobs as undermining the job market at home. Managers face the difficult task of balancing the interests of their organizations with their responsibilities to the communities in which they operate.



Adapting to Differing Cultural and Regulatory Norms To be effective, managers

need to know the cultural norms of the workforce in each country where they do business. For instance, a large percentage of the workforce enjoys long holidays in some countries. There will be country and local regulations to consider, too. Managers of subsidiaries abroad need to be aware of the unique financial and legal regulations applying to guest companies or else risk violating them. Violations can have implications for operations in that country and also for political relations between countries. Managers also need to be cognizant of differences in regulations for competitors in that country; understanding the laws can often lead to success rather than failure. For example, knowing local banking laws allowed one multinational firm—the Bank of China—to seize control of a storied (and very valuable) London building, Grosvenor House, from under the nose of the owner, the Indian hotel group Sahara. Management at Sahara contends that the loan default that led to the seizure was a misunderstanding regarding one of their other properties in New York.³⁹ Globalization can get complicated.

Percentage of Men and Women Working



Sources: Based on U.S. Bureau of Labor Statistics, “Women in the Labor Force: A Datebook,” 2014, www.bls.gov/opub/reports/cps/women-in-the-labor-force-a-databook-2014.pdf; and U.S. Bureau of Labor Statistics, “Economic News Release,” 2013, <http://www.bls.gov/news.release/ecopro.t02.htm>.

Workforce Demographics

The workforce has always adapted to variations in economies, longevity and birth rates, socioeconomic conditions, and other changes that have widespread impact. People adapt to survive, and OB studies the way those adaptations affect individuals’ behavior. For instance, even though the 2008 global recession ended years ago, some trends from those years are continuing: Some people who had long been unemployed left the workforce altogether,⁴⁰ while others have cobbled together several part-time jobs⁴¹ or settled for on-demand work.⁴² Additional options that have been particularly popular for younger educated workers have included obtaining specialized industry training after college,⁴³ accepting full-time jobs that are lower-level,⁴⁴ and starting their own companies.⁴⁵ As students of OB, we can investigate what factors lead employees to make various choices and how their experiences affect their perceptions of their workplaces. This understanding can help us predict organizational outcomes.



Longevity and birth rates have also changed the dynamics in organizations. Global longevity rates have increased six years in a very short time (since 1990),⁴⁶ while birth rates are decreasing for many developed countries, trends that together indicate a lasting shift toward an older workforce. OB research can help explain what this means for attitudes, organizational culture, leadership, structure, and communication. Socioeconomic shifts have a profound effect on workforce demographics. The days when women stayed home because it was expected are just a memory in some cultures, while in others, women face significant

barriers to entry into the workforce (see OB Poll). We are interested in how these women fare in the workplace and how their conditions can be improved. This is just one illustration of how cultural and socioeconomic changes affect the workplace, and it is one of many. We will discuss how OB can provide understanding and insight on workforce issues throughout this text.



MyLab Management Personal Inventory Assessments

Go to www.pearson.com/mylab/management to complete the Personal Inventory Assessment related to this chapter.



Global food and drinks giant Danone has focused on customer-led corporate culture and behavior. It maintains a high visibility through sponsorship, advertising, and other promotional activities. Its customer-responsive culture aims to appeal to all age groups, and it includes participants and audiences for their annual Danone Nations Cup, won in 2016 by Germany.

Source: CrowdSpark/Alamy Stock Photo

Workforce Diversity

One of the most important challenges for organizations is **workforce diversity** ⓘ, a trend by which organizations are becoming more heterogeneous in terms of employees' gender, age, race, ethnicity, sexual orientation, and other characteristics. Managing this diversity is a global concern. Though we have more to say about diversity in Chapter 2, we start here by saying that diversity presents great opportunities and poses challenging questions for managers and employees. How can we leverage differences within groups for competitive advantage? Should we treat all employees alike? Should we recognize individual and cultural differences? What are the legal requirements in each country? Does increasing diversity even matter?

Customer Service

Service employees include technical support representatives, fast-food workers, salesclerks, nurses, automobile repair technicians, consultants, financial planners, and flight attendants. The shared characteristic of their jobs is substantial interaction with an organization's customers. OB can help managers increase the success of these customer interactions by showing how employee attitudes and behavior influence customer satisfaction.

Many organizations have failed because their employees failed to please customers. Management needs to create a customer-responsive culture. OB can provide considerable guidance in helping managers create such cultures—in which employees establish rapport with customers, put customers at ease, show genuine interest, and are sensitive to a customer's individual situation.⁴⁷

People Skills

As you proceed through the chapters of this text, we'll present relevant concepts and theories that can help you explain and predict the behavior of people at work. You'll also gain insights into specific people skills you can use on the job. For instance, you'll learn ways to design motivating jobs, techniques for improving your management skills, and how to create more effective teams.

Networked Organizations

Networked organizations allow people to communicate and work together even though they may be thousands of miles apart. Independent contractors can telecommute via computer and

change employers as the demand for their services changes. Software programmers, graphic designers, systems analysts, technical writers, photo researchers, book and media editors, and medical transcribers are just a few examples of people who can work from home or other nonoffice locations.

The manager's job is different in a networked organization. Motivating and leading people and making collaborative decisions online require different techniques than when individuals are physically present in a single location. As more employees do their jobs by linking to others through networks, managers must develop new skills. OB can provide valuable insights to help hone those skills.

Social Media

As we will discuss in Chapter 12, social media in the business world is here to stay. Despite its pervasiveness, many organizations continue to struggle with employees' use of social media in the workplace. In February 2015, a Texas pizzeria fired an employee before she showed up for her first day of work after she tweeted unflattering comments about her future job. In December 2014, Nordstrom fired an Oregon employee who had posted a personal Facebook comment seeming to advocate violence against white police officers.⁴⁸ These examples show that social media is a difficult issue for today's managers, presenting both a challenge and an opportunity for OB. For instance, how much should HR look into a candidate's social media presence? Should a hiring manager read the candidate's Twitter feeds or do a quick perusal of her Facebook profile? We will discuss this issue later in the text.

Once employees are on the job, many organizations have policies about accessing social media at work—when, where, and for what purposes. But what about the impact of social media on employee well-being? One recent study found that subjects who woke up in a positive mood and then accessed Facebook frequently found their mood decreased during the day. Subjects who checked Facebook frequently over a two-week period reported a decreased level of satisfaction with their lives.⁴⁹ Managers—and the field of OB—are trying to increase employee satisfaction and therefore improve and enhance positive organizational outcomes. We will discuss these issues further in Chapters 3 and 4.

Employee Well-Being at Work

The typical employee in the 1960s and 1970s showed up at a specified workplace Monday through Friday and worked for clearly defined 8- or 9-hour chunks of time. That's no longer true for a large segment of today's workforce because the definition of the workplace has expanded to include anywhere a laptop or smartphone can go. Even if employees work flexible hours at home or from half a continent away, managers still need to consider their well-being at work.

One of the biggest challenges to maintaining employee well-being is the new reality that many workers never get away from the virtual workplace. While communication technology allows many technical and professional employees to do their work at home or on the beach in Tahiti, it also means that many feel like they're not part of a team. "The sense of belonging is very challenging for virtual workers, who seem to be all alone out in cyberland," said Ellen Raineri of Kaplan University.⁵⁰ Another challenge is that organizations are asking employees to put in longer hours. According to one study, one in four employees shows signs of burnout, and two in three report high stress levels and fatigue.⁵¹ This may actually be an underestimate because workers report maintaining "always on" access for their managers through e-mail and texting. Employee well-being is challenged by heavy outside commitments. Millions of single-parent employees and employees with dependent parents face significant challenges in balancing work and family responsibilities, for instance.

As a result of their increased responsibilities in and out of the workplace, employees want jobs that give them flexibility in their work schedules so they can better manage work-life conflicts.⁵² In fact, 56 percent of men and women in a recent study reported that work-life balance, more than money, recognition, and autonomy, was their definition of career success.⁵³ Most college and university students say attaining balance between personal life and work is a primary career goal; they want a life as well as a job. Organizations that don't help their employees achieve work-life balance will find it increasingly difficult to attract and retain the most capable and motivated individuals.

As you'll see in later chapters, the field of OB offers a number of suggestions to guide managers in designing workplaces and jobs that can help employees deal with work-life conflicts.

Positive Work Environment

A real growth area in OB research is **positive organizational scholarship** ⓘ (also called

positive organizational behavior), which studies how organizations develop human strengths, foster vitality and resilience, and unlock potential. Researchers in this area say too much of OB research and management practice has been targeted toward identifying what's wrong with organizations and their employees. In response, they try to study what's *good* about them.⁵⁴ Some key topics in positive OB research are engagement, hope, optimism, and resilience in the face of strain. Researchers hope to help practitioners create positive work environments for employees.



Twitter employees rave about their company's culture, which creates a positive work environment where smart and friendly colleagues learn; share values, ideas, and information; and work together to help the company grow and succeed. At Twitter's San Francisco headquarters, employees like Jenna Sampson, community relations manager, enjoy free meals, yoga classes, and a rooftop garden.

Source: Noah Berger/Reuters

Positive organizational scholars have studied a concept called reflected best-self by asking employees to think about when they were at their personal best in order to understand how to exploit their strengths. The idea is that we all have things at which we are unusually good, yet we focus too often on addressing our limitations and rarely think about how to exploit our strengths.⁵⁵

Although positive organizational scholarship does not deny the value of the negative (such

as critical feedback), it does challenge researchers to look at OB through a new lens and pushes organizations to exploit employees' strengths rather than dwell on their limitations. One aspect of a positive work environment is the organization's culture, the topic of Chapter 15. Organizational culture influences employee behavior so strongly that organizations have begun to employ a culture officer to shape and preserve the company's personality.⁵⁶

Ethical Behavior

In an organizational world characterized by cutbacks, expectations of increasing productivity, and tough competition, it's not surprising many employees feel pressured to cut corners, break rules, and engage in other questionable practices. They increasingly face **ethical dilemmas and ethical choices** ⓘ, in which they are required to identify right and wrong conduct. Should they blow the whistle if they uncover illegal activities in their company? Do they follow orders with which they don't personally agree? Do they play politics to advance their careers?



What constitutes good ethical behavior has never been clearly defined and, in recent years, the line differentiating right from wrong has blurred. We see people all around us engaging in unethical practices: Elected officials pad expense accounts or take bribes; corporate executives inflate profits to cash in lucrative stock options; and university administrators look the other way when winning coaches encourage scholarship athletes to take easy courses or even, in the case of the University of North Carolina–Chapel Hill, sham courses with fake grades.⁵⁷ When caught, people give excuses such as “everyone does it” or “you have to seize every advantage.”

Determining the ethically correct way to behave is especially difficult for both managers and employees in a global economy because different cultures have different perspectives on certain ethical issues.⁵⁸ The definition of fair treatment of employees in an economic downturn varies considerably across cultures, for instance. As we'll see in Chapter 2, perceptions of religious, ethnic, and gender diversity also differ across countries.

Today's manager must create an ethically healthy climate for employees in which they can do their work productively with minimal ambiguity about right and wrong behaviors. Companies that promote a strong ethical mission, encourage employees to behave with integrity, and provide strong leadership can influence employees to behave ethically.⁵⁹ Classroom training sessions in ethics have also proven helpful in maintaining a higher level

of awareness of the implications of employee choices as long as the training sessions are given on an ongoing basis.⁶⁰ In upcoming chapters, we'll discuss the actions managers can take to create an ethically healthy climate and help employees sort through ambiguous situations.

An Ethical Choice

Vacation: All I Ever Wanted

Do you work to live, or live to work? Those of us who think it's a choice might be wrong. Almost one-third of 1,000 respondents in a study by Kelton Research cited workload as a reason for not using allotted vacation days. Consider Ken Waltz, a director for Alexian Brothers Health System. He has 500 hours (approximately 3 months) in banked time off and no plans to spend it. "You're on call 24/7 and these days, you'd better step up or step out," he says, referring to today's leaner workforce. "It's not just me—it's upper management.... It's everybody."

Many people feel pressure, spoken or unspoken, to work through their vacation days. Employers expect workers to do more with less, putting pressure on workers to use all available resources—chiefly their time—to meet manager expectations. In today's economy, there is always a ready line of replacement workers, and many employees will do everything possible to stay in their manager's good graces.

The issue of vacation time is an ethical choice for the employer *and* for the employee. Many organizations have "use it or lose it" policies whereby employees forfeit the paid time off they have accrued for the year if they haven't used it. When employees forfeit vacation, the risk of burnout increases. Skipping vacation time can wear you down emotionally, leading to exhaustion, negative feelings about your work, and a reduced feeling of accomplishment. You may find you are absent more often, contemplate leaving your job, and grow less likely to want to help anyone (including your managers). Even though these are negative consequences for your employer as well as for you personally, the employee must often take charge of the situation. Here are some ways you can maintain your well-being and productivity:

1. Recognize your feelings. We solve few problems without first recognizing them.

According to a recent study by ComPsych involving 2,000 employees, two in three identified high levels of stress, out-of-control feelings, and extreme fatigue.

2. Identify your tendency for burnout. Research on 2,089 employees found that burnout is especially acute for newcomers and job changers. Burnout symptoms should level off after 2 years, but each individual experiences stress differently.
3. Talk about your stressors. Thomas Donohoe, a researcher on work–life balance, recommends talking with trusted friends or family. On the job, discussing your stress factors in an appropriate manner can help you reduce job overload.
4. Build in high physical activity. Research found an increase in job burnout (and depression) was highest for employees who did not engage in regular physical activity, while it was almost negligible for employees who did engage in regular physical activity.
5. Take brief breaks throughout your day. For office employees, the current suggestion from experts is to spend at least 1 to 2 minutes of every hour standing up to combat the effects of all-day sitting. Donohoe also suggests snack breaks, walks, or short naps to recharge.
6. Take your vacation! Studies suggest that recovery from stress can happen only if employees are (1) physically away from work and (2) not occupied by work-related duties. That means telling your manager that you will log off your e-mail accounts and shut off your phone for the duration of the vacation.

It is not always easy to look beyond the next deadline. But to maximize your long-term productivity and avoid stress, burnout, and illness—all of which are ultimately harmful to employer aims and employee careers alike—you should not succumb to vacation deficit disorder. Educate your managers. Your employer should thank you for it.

Sources: Based on B. B. Dunford, A. J. Shipp, R. W. Boss, I. Angermeier, and A. D. Boss, “Is Burnout Static or Dynamic? A Career Transition Perspective of Employee Burnout Trajectories,” *Journal of Applied Psychology* 97, no. 3 (2012): 637–50; E. J. Hirst, “Burnout on the Rise,” *Chicago Tribune*, October 29, 2012, 3-1, 3-4; B. M. Rubin, “Rough Economy Means No Vacation,” *Chicago Tribune*, September 3, 2012, 4; and S. Toker and M. Biron, “Job Burnout and Depression: Unraveling Their Temporal Relationship and Considering the Role of Physical Activity,” *Journal of Applied Psychology* 97, no. 3 (2012): 699–710.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

1.6.1 _____ is a measure of how organizations are becoming more heterogeneous in terms of gender, race, and ethnicity.

- ☐ Globalization
- ☐ Workforce diversity
- ☐ Affirmative action
- ☐ Organizational culture

Check answer

Reset

1.6.2 Timothy works with people of various nationalities and faiths. How can he effectively manage people from different cultures?

- ☐ by adapting his management style to their differences
- ☐ by keeping a straightforward and open communication style
- ☐ by using his own motivations to guide others
- ☐ by treating everyone uniformly, regardless of their background

Check answer

Reset

Coming Attractions: Developing an OB Model

1-7 Compare the three levels of analysis in this text's OB model.

We conclude this chapter by presenting a general model that defines the field of OB and stakes out its parameters, concepts, and relationships. By studying the model, you will have a good picture of how the topics in this text can inform your approach to management issues and opportunities.

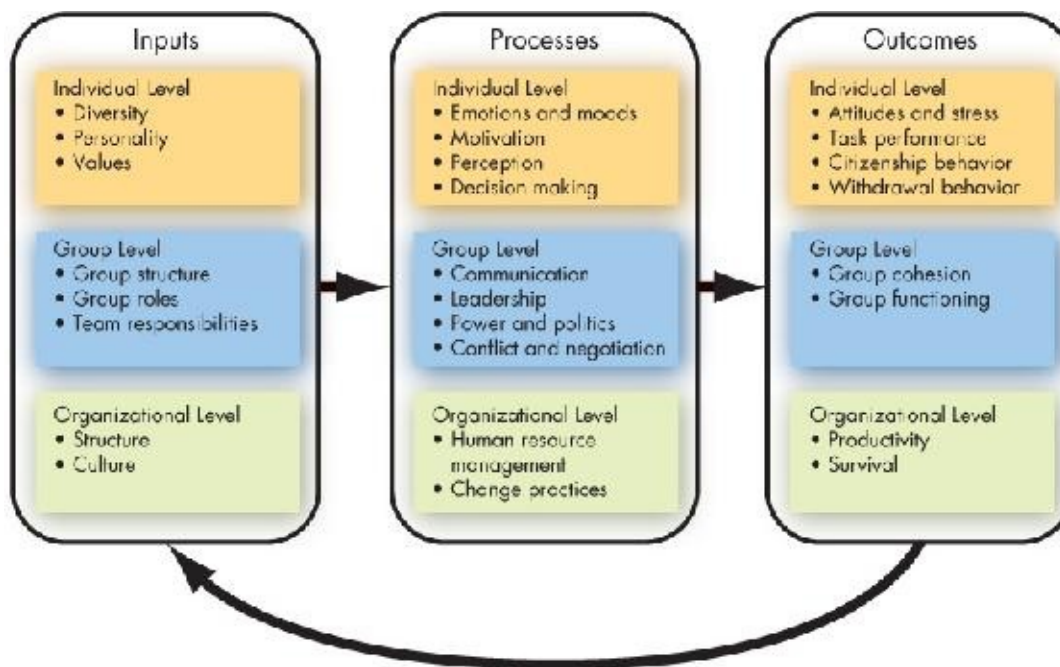
An Overview

A **model** ⓘ is an abstraction of reality, a simplified representation of some real-world phenomenon. Exhibit 1-5 presents the skeleton of our OB model. It proposes three types of variables (inputs, processes, and outcomes) at three levels of analysis (individual, group, and organizational). In the chapters to follow, we will proceed from the individual level (Chapters 2 through 8), to group behavior (Chapters 9 through 14), to the organizational system (Chapters 15 through 18). The model illustrates that inputs lead to processes, which lead to outcomes; we will discuss these interrelationships at each level of analysis. Notice that the model also shows that outcomes can influence inputs in the future, which highlights the broad-reaching effect that OB initiatives can have on an organization's future.

Inputs

Inputs ⓘ are variables like personality, group structure, and organizational culture that lead to processes. These variables set the stage for what will occur in an organization later. Many are determined in advance of the employment relationship. For example, individual diversity characteristics, personality, and values are shaped by a combination of an individual's genetic inheritance and childhood environment. Group structure, roles, and team responsibilities are typically assigned immediately before or after a group is formed. Organizational structure and culture are usually the result of years of development and change as the organization adapts to its environment and builds up customs and norms.

Exhibit 1-5 A Basic OB Model



Processes

If inputs are like the nouns in OB, processes are like the verbs. **Processes** ⓘ are actions that individuals, groups, and organizations engage in as a result of inputs and that lead to certain outcomes. At the individual level, processes include emotions and moods, motivation, perception, and decision making. At the group level, they include communication, leadership, power and politics, and conflict and negotiation. At the organizational level, processes include human resources management and change practices.

Outcomes

Outcomes ⓘ are the key variables that you want to explain or predict and that are affected by other variables. What are the primary outcomes in OB? Scholars have emphasized individual-level outcomes, such as attitudes and stress, task performance, citizenship behavior, and withdrawal behavior. At the group level, cohesion and functioning are the dependent variables. At the organizational level, we look at overall productivity and survival. Because these outcomes will be covered in all the chapters, we'll briefly discuss each here so you can understand the goal of OB.

Attitudes and Stress Employee attitudes are the evaluations that employees make, ranging from positive to negative, about objects, people, or events. For example, the statement “I really think my job is great” is a positive job attitude, and “My job is boring and tedious” is a negative job attitude. **Stress** ⓘ is a psychological process that occurs in response to environmental pressures.

Some people might think influencing employee attitudes and stress is purely soft stuff and not the business of serious managers, but as we will show, attitudes often have behavioral consequences that relate directly to organizational effectiveness. The belief that satisfied employees are more productive than dissatisfied employees has been a basic tenet among managers for years, though only now has research begun to support it. Ample evidence shows that employees who are more satisfied and treated fairly are more willing to engage in the above-and-beyond citizenship behavior so vital in the contemporary business environment.

Task Performance The combination of effectiveness and efficiency at doing your core job tasks is a reflection of your level of **task performance** ⓘ. If we think about the job of a factory worker, task performance could be measured by the number and quality of products produced in an hour. The task performance of a teacher would be the level of education that students obtain. The task performance of consultants might be the timeliness and quality of the presentations they offer to the client. All these types of performance relate to the core duties and responsibilities of a job and are often directly related to the functions listed on a formal job description.

Obviously task performance is the most important human output contributing to organizational effectiveness, so in every chapter we devote considerable time to detailing how task performance is affected by the topic in question.

Organizational Citizenship Behavior (OCB) The discretionary behavior that is not part of an employee’s formal job requirements, and that contributes to the psychological and social environment of the workplace, is called **organizational citizenship behavior (OCB)** ⓘ, or simply citizenship behavior. Successful organizations have employees who do more than their usual job duties—who provide performance *beyond* expectations. In today’s dynamic workplace, where tasks are increasingly performed by teams and where flexibility is critical, employees who engage in good citizenship behaviors help others on their team,

volunteer for extra work, avoid unnecessary conflicts, respect the spirit as well as the letter of rules and regulations, and gracefully tolerate occasional work-related impositions and nuisances.



These employees of W. L. Gore & Associates engage in good citizenship behavior, one of the primary individual-level outcomes in organizational behavior. Working in teams, these employees perform beyond expectations in helping each other, recognizing their peers, and doing more than their usual job responsibilities.

Source: W. L. Gore/PR Newswire/AP Images

Organizations want and need employees who will do things that aren't in any job description. Evidence indicates organizations that have such employees outperform those that don't. As a result, OB is concerned with citizenship behavior as an outcome variable.

Withdrawal Behavior We've already mentioned behavior that goes above and beyond task requirements, but what about behavior that in some way is below task requirements?

Withdrawal behavior ⓘ is the set of actions that employees take to separate themselves from the organization. There are many forms of withdrawal, ranging from showing up late or failing to attend meetings to absenteeism and turnover.



Employee withdrawal can have a very negative effect on an organization. The cost of employee turnover alone has been estimated to run into the thousands of dollars, even for

entry-level positions. Absenteeism also costs organizations significant amounts of money and time every year. For instance, a recent survey found the average direct cost to U.S. employers of unscheduled absences is 8.7 percent of payroll.⁶¹ And in Sweden, an average of 10 percent of the country's workforce is on sick leave at any given time.⁶²

It's obviously difficult for an organization to operate smoothly and attain its objectives if employees fail to report to their jobs. The workflow is disrupted, and important decisions may be delayed. In organizations that rely heavily on assembly-line production, absenteeism can be considerably more than a disruption; it can drastically reduce the quality of output or even shut down the facility. Levels of absenteeism beyond the normal range have a direct impact on any organization's effectiveness and efficiency. A high rate of turnover can also disrupt the efficient running of an organization when knowledgeable and experienced personnel leave and replacements must be found to assume positions of responsibility. Research indicates that, in general, turnover is significantly harmful for organizational performance.⁶³

Career OBjectives

What do I say about my termination?

I got fired! When prospective employers find out, they'll never hire me. Is there anything I can say to turn this around?

— *Matt*

Dear Matt:

Under this dark cloud, there are some silver linings: (1) Firing, or involuntary termination, happens to just about everyone at least once in a career, and (2) there is a worldwide job shortage of skilled workers. You might be amazed to know that, historically, individuals from age 18 to 44 have changed jobs an average of 11 times over their early careers. In fact, you can probably expect to stay in a job for less than three years, which means you'll have a lot of jobs in your lifetime.

Therefore, you shouldn't feel hopeless; you are likely to find your next job soon. ManpowerGroup's recent survey of over 37,000 employers in 42 countries found that 36 percent of organizations have talent shortages, the highest percentage in 7 years.

Still, we know you are worried about how to present the facts of your involuntary termination to prospective employers. If you give a truthful, brief account of the reason for your termination, you can position yourself well. Here are some additional suggestions:

- *Remember your soft skills count; in fact, they top the lists of employer requirements for all industries.* According to Chuck Knebl, a communications manager for the job placement company WorkOne, use your résumé and cover letter, interviews, and thank-you notes to showcase your communication skills. Employers report they are also looking for a teamwork attitude, positivity, personal responsibility, and punctuality, so use every opportunity to demonstrate these traits.
- *Although your soft skills count, don't forget your technical skills; employers agree they are equally important.* Knebl advises you to use your résumé to list your technical abilities and be prepared to elaborate upon request. Need some more skills? Job training has been shown to be helpful and can sometimes be free through colleges and unemployment offices.
- *Emphasize your ongoing training and education, especially as they relate to new technology; top performers are known to be continuous learners.* Also, if you've kept up with recent trends in social media, show it, but don't go on about your friend's tweet to Rihanna.

Best wishes for your success!

Sources: Based on Bureau of Labor Statistics, United States Department of Labor, Employment Projections, http://www.bls.gov/emp/ep_chart_001.htm; G. Jones, "How the Best Get Better and Better," *Harvard Business Review* (June 2008): 123–27; ManpowerGroup, "The Talent Shortage Continues/2014," http://www.manpowergroup.com/wps/wcm/connect/0b882c15-38bf-41f3-8882-44c33d0e2952/2014_Talent_Shortage_WP_US2.pdf?MOD=AJPERES; J. Meister, "Job Hopping Is the 'New Normal' for Millennials: Three Ways to Prevent a Human Resource Nightmare," *Forbes* (August 14, 2012), <http://www.forbes.com/sites/jeannemeister/2012/08/14/job-hopping-is-the-new-normal-for-millennials-three-ways-to-prevent-a-human-resource-nightmare/>; and N. Schulz, "Hard Unemployment Truths about 'Soft' Skills," *The Wall Street Journal*, September 19, 2012, A15.

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All organizations have some turnover, of course. Turnover rates vary greatly by country and in part reflect the economy of that country. The U.S. national turnover rate in 2014 averaged about 40 percent; often the average is around 3 percent per month.⁶⁴ Is this good or bad? To answer that question, we need to know why there is turnover. Turnover includes voluntary terminations by the employee (quitting); involuntary terminations by the employer without cause (layoffs and discharges); and other separations, including involuntary terminations with cause (firing). The yearly average for quitting in 2014 was about 20 percent, layoffs and discharges averaged about 14 percent, and other separations averaged about 4 percent for the year. Therefore, about half the turnover was due to employees quitting their jobs; about 35 percent was due to layoffs and discharges; and the remainder was for other reasons, including firings.

While high turnover often impairs an organization's ability to achieve its goals, quitting is not all bad. In fact, U.S. Federal Reserve Chairwoman Janet Yellen has discussed the positive aspect of turnover for the economy: People quit because they are optimistic about their outside prospects.⁶⁵ If the "right" people are leaving—the poorer performers—quits can actually be positive for an organization. They can create opportunities to replace underperforming individuals with others who have higher skills or motivation, open up increased opportunities for promotions, and bring new and fresh ideas to the organization. In today's changing world of work, reasonable levels of employee-initiated turnover improve organizational flexibility and employee independence, and they can lessen the need for management-initiated layoffs. While it is reasonable to conclude that high turnover often indicates high employee withdrawal (and thus has a negative effect on organizational performance), zero turnover is not necessarily the goal. It's also important for organizations to assess which employees are leaving, and why.

So why do employees withdraw from work through counterproductive behaviors or quitting? As we will show later in the text, reasons include negative job attitudes, emotions, moods, and negative interactions with coworkers and supervisors.

Group Cohesion Although many outcomes in our model can be conceptualized as individual-level phenomena, some relate to the way groups operate. **Group cohesion** ⓘ is the extent to which members of a group support and validate one another at work. In other words, a cohesive group is one that sticks together. When employees trust one another, seek common goals, and work together to achieve these common ends, the group is cohesive; when employees are divided among themselves in terms of what they want to achieve and have little loyalty to one another, the group is not cohesive.

There is ample evidence showing that cohesive groups are more effective.⁶⁶ These results are found both for groups studied in highly controlled laboratory settings and for work teams observed in field settings. This fits with our intuitive sense that people tend to work harder in groups that have a common purpose. Companies attempt to increase cohesion in a variety of ways, ranging from brief icebreaker sessions to social events like picnics, parties, and outdoor adventure-team retreats. Throughout the text, we assess whether these specific efforts are likely to result in increases in group cohesiveness. We'll also consider ways that picking the right people to be on the team in the first place might be an effective way to enhance cohesion.

Group Functioning In the same way that positive job attitudes can be associated with higher levels of task performance, group cohesion should lead to positive group functioning. **Group functioning** ⓘ refers to the quantity and quality of a group's work output. Similar to how the performance of a sports team is more than the sum of individual players' performance, group functioning in work organizations is more than the sum of individual task performances.

What does it mean to say that a group is functioning effectively? In some organizations, an effective group is one that stays focused on a core task and achieves its ends as specified. Other organizations look for teams that are able to work together collaboratively to provide excellent customer service. Still others put more of a premium on group creativity and the flexibility to adapt to changing situations. In each case, different types of activities will be required to get the most from the team.

Productivity The highest level of analysis in OB is the organization as a whole. An organization is productive if it achieves its goals by transforming inputs into outputs at the lowest cost. Thus, **productivity** ⓘ requires both **effectiveness** ⓘ and **efficiency** ⓘ.

A hospital is *effective* when it meets the needs of its clientele successfully. It is *efficient* when it can do so at a low cost. If a hospital manages to achieve higher output from its present staff by reducing the average number of days a patient is confined to a bed or increasing the number of staff–patient contacts per day, we say the hospital has gained productive efficiency. A business firm is effective when it attains its sales or market share goals, but its productivity also depends on achieving those goals efficiently. Popular measures of organizational efficiency include return on investment, profit per dollar of sales, and output per hour of labor.

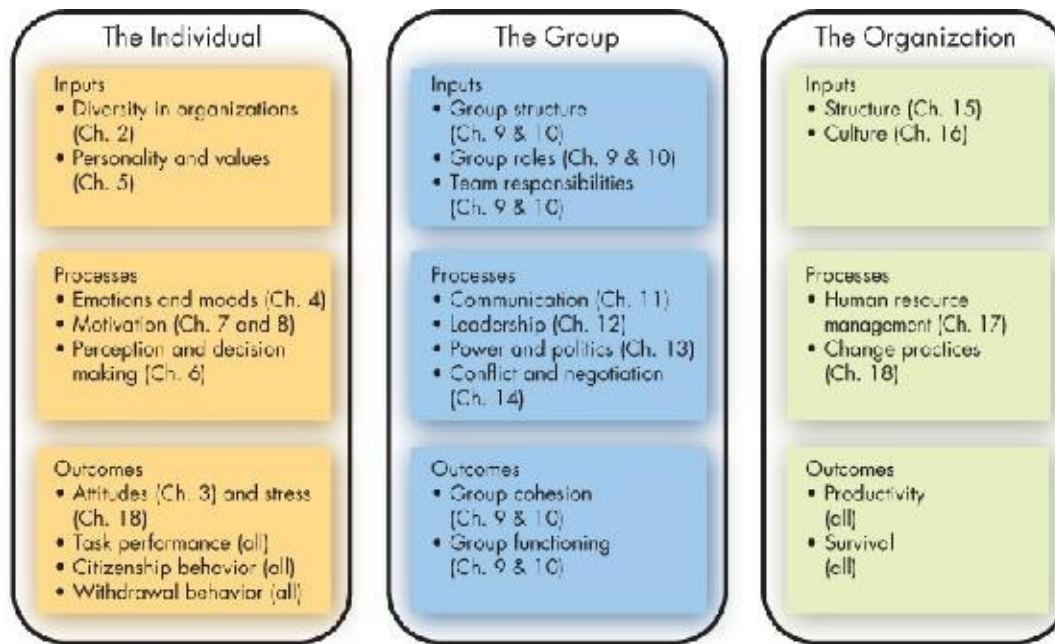


Service organizations must include customer needs and requirements in assessing their effectiveness. Why? Because a clear chain of cause and effect runs from employee attitudes and behavior to customer attitudes and profitability. For example, a recent study of six hotels in China indicated that negative employee attitudes decreased customer satisfaction and ultimately harmed the organization's profitability.⁶⁷

Survival The final outcome we will consider is **organizational survival** ⓘ, which is simply evidence that the organization is able to exist and grow over the long term. The survival of an organization depends not just on how productive the organization is but also on how well it fits with its environment. A company that is very productive in making goods and services of little value to the market is unlikely to survive for long, so survival also relies on perceiving the market successfully, making good decisions about how and when to pursue opportunities, and successfully managing change to adapt to new business conditions.

Having reviewed the input, process, and outcome model, we're going to change the figure up a little bit by grouping topics together based on whether we study them at the individual, group, or organizational level. As you can see in Exhibit 1-6, we deal with inputs, processes, and outcomes at all three levels of analysis, but we group the chapters as shown here to correspond with the typical ways research has been done in these areas. For example, it is easier to understand one unified presentation about how personality leads to motivation, which leads to performance, than to jump around levels of analysis. Each level builds on the one that precedes it, so after going through them in sequence, you will have a good idea of how the human side of organizations functions.

Exhibit 1-6 The Plan of the Text



Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

1.7.1 The variables, such as personality, group structure, and culture, which lead to processes are called _____.

- ☐ resources
- ☐ abilities
- ☐ inputs
- ☐ ethics

Check answer

Reset

1.7.2 _____ are actions that individuals, groups, and organizations engage in as

a result of inputs.

- ☐ Cultures
- ☐ Structures
- ☐ Outcomes

Check answer

Reset

Employability Skills

1-8 Describe the key employability skills gained from studying OB that are applicable to other majors or future careers.

Challenges relevant to OB can be found in just about every function of business, from finance and accounting to management and marketing. Without a doubt, at some point in your career, you will come across an issue that hinges to a large degree on the behavior of people in organizations. A review of the great challenges that most businesses face reveals that OB is an essential piece of the puzzle in solving many problems that involve managing integrity/social responsibility, resource management, competition among businesses, bolstering customer and employee loyalty, reducing uncertainty, complying with government regulation, managing risks, and finding the right staff—all while growing revenue and increasing profit.⁶⁸

But OB is not relevant to business majors only; it is important for all students, no matter what their majors are. At first glance, for example, it might not seem as if a university student with a microbiology degree would have any need to take an OB class. But what happens after that student graduates? Wouldn't knowledge of OB principles and concepts help him or her apply to and be successful at a job as a biology technician with Battelle? What about a graduate with a nursing degree working at the Mayo Clinic? A computer science graduate who is about to begin work with Cisco? OB principles matter for students of all majors and can help increase employability as well as interpersonal skills in the workplace. These skills can even help you to become successful in your classes as you interact with other students and your professors! Clearly, the knowledge of OB concepts such as stress management, change, attitudes, emotions, and motivation, among others, can help you navigate your interactions with your classmates as you continue to learn.

People, along with their behaviors, differences, attitudes, emotions, moods, personalities, values, intentions, thoughts, and motivations, are inextricably linked to life in the workplace. As Benjamin Schneider notes, “The people make the place.”⁶⁹ These employees interact and communicate with one another within and across work groups, departments, teams, and organizations to help accomplish the organization's goals. Leaders within these organizations (along with the employees themselves) seek to effect change, establish an organizational

culture, and set policies and procedures: processes that inevitably involve leadership, politicking, conflict, and negotiation. Given the pervasiveness of OB in organizational life, entry-level employees and working professionals would therefore benefit from having solid foundational skills in OB, such as communication, collaboration, critical thinking, problem solving, social responsibility, and knowledge application and analysis.

In this section, we explore the career employability skills that a course in OB can help expand for those who select *any* major—from English, to engineering, to political science.

Employability Skills That Apply across Majors

Throughout this text, you'll learn and practice many skills that hiring managers identify as important to success in a variety of business settings, including small and large firms, nonprofit organizations, and public service. These skills will also be useful if you plan to start your own business, for example:

- *Critical thinking* involves purposeful and goal-directed thinking used to define and solve problems and to make decisions or form judgments related to a particular situation or set of circumstances. It involves cognitive, metacognitive, and dispositional components that may be applied differently in specific contexts.
- *Communication* is defined as effective use of oral, written, and nonverbal communication skills for multiple purposes (e.g., to inform, instruct, motivate, persuade, and share ideas); effective listening; using technology to communicate; and being able to evaluate the effectiveness of communication efforts—all within diverse contexts.
- *Collaboration* is a skill in which individuals can actively work together on a task, constructing meaning and knowledge as a group through dialogue and negotiation that results in a final product reflective of their joint, interdependent actions.
- *Knowledge application and analysis* is defined as the ability to learn a concept and then apply that knowledge appropriately in another setting to achieve a higher level of understanding.
- *Social responsibility* includes skills related to both business ethics and corporate social responsibility. Business ethics includes sets of guiding principles that influence the way individuals and organizations behave within the society that they operate. Corporate social responsibility is a form of ethical behavior that requires that organizations

understand, identify, and eliminate unethical economic, environmental, and social behaviors.

Each of the chapters in the text start with what we refer to as the employability skills matrix (ESM). As you can see on the next page, this matrix links the five employability skills that were just defined with special features in each chapter, including Myth or Science?, Career OBjectives, An Ethical Choice, Point/Counterpoint, Experiential Exercise, Ethical Dilemma, and Case Incident. Within these sections, you will be primed to think critically and apply your knowledge to consider special cases and concepts. You will also learn how to improve your collaboration and communication skills by learning what you might do or say in these given situations to navigate the work world positively and effectively. You will be confronted with ethical dilemmas in which you will consider the ethics of particular behaviors in the workplace. We recommend that you review and consider the ESM in advance of reading the chapter so that you have a better idea of the skills you will be developing from each section. All five of these skills are critical to success in careers that are relevant to OB and other majors alike. In the chapters to come, you will engage in a variety of activities and become exposed to several cases in which you will be developing these skills.

Employability Skills Matrix (ESM)

	Myth or Science?	Career OBjectives	An Ethical Choice	Point/Counterpoint	Experiential Exercise	Ethic Diler
Critical Thinking				✓	✓	✓
Communication	✓	✓	✓		✓	
Collaboration	✓	✓			✓	✓
Knowledge Application and		✓		✓	✓	✓

Analysis						
Social Responsibility			✓		✓	✓

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

1.8.1 Choose the most appropriate response to the following question:
Organizational behavior is relevant to which group of students?

- ☐ business and management students
- ☐ social science students
- ☐ all students
- ☐ students focused on leadership roles

Check answer

Reset

1.8.2 Key employability skills that are developed through the study of organizational behavior do not include which of the following?

- ☐ financial
- ☐ critical thinking
- ☐ communication
- ☐ social responsibility

Check answer

Reset

Summary

Managers need to develop their interpersonal, or people, skills to be effective in their jobs. Organizational behavior (OB) investigates the impact that individuals, groups, and structure have on behavior within an organization, and it applies that knowledge to make organizations work more effectively.

Implications for Managers

- Resist the inclination to rely on generalizations; some provide valid insights into human behavior, but many are erroneous. Get to know the person, and understand the context.
- Use metrics rather than hunches to explain cause-and-effect relationships.
- Work on your interpersonal skills to increase your leadership potential.
- Improve your technical skills and conceptual skills through training and staying current with OB trends like big data and fast data.
- OB can improve your employees' work quality and productivity by showing you how to empower your employees, design and implement change programs, improve customer service, and help your employees balance work–life conflicts.

The Battle of the Texts

Point

Walk into your nearest major bookstore and you'll see shelves of management books whose titles tell us the topics we apparently need to know about:

- *The Secret* (Blanchard & Miller, 2014)
- *Turn the Ship Around!* (Marquet, 2013)
- *The Way You Do Anything Is the Way You Do Everything* (Evans, 2014)

- *Leadership Safari* (Iannucci, 2014)
- *Business Is a Baby* (Noh, 2014)
- *Think Like a Freak* (Dubner & Levitt, 2014)
- *Spiraling Upward* (Wallbridge, 2015)
- *Refire! Don't Retire* (Blanchard & Shaevitz, 2015)
- *Top Dog* (Bronson & Merryman, 2015)

Popular books on organizational behavior often have cute titles and are fun to read, but they make the job of managing people seem like it's just a matter of having a good slogan and five easy steps. If you dig into the texts, you'll find that most are based on the author's opinions rather than substantive research. Most become popular in part because people largely agree with the opinions they are reading and enjoy the author's writing style. Often, the writers are presentation speakers or consultants whose real business is in delivering ideas to you. When the author is a veteran from the business world, it is doubtful that one person's experience translates into an effective management practice for everyone. Even when the authors are numbers-oriented, as are the *Think Like a Freak* authors Steven Levitt and Stephen Dubner, their conclusions for management are not management research based. So why do we base our own management philosophies on these books when, with a little effort, we can access knowledge produced by thousands of scientific studies on human behavior in organizations?

Organizational behavior is a complex subject. Few if any simple statements about human behavior are generalizable to all people in all situations. Would you try to apply leadership insights you got from a book about *Star Wars* or *Breaking Bad* to managing software engineers in the twenty-first century? Surely not. Neither should we try to apply leadership insights that aren't based on research about the type of workplaces in which we function.

Counterpoint

People want to know about management—the good, the bad, and the ugly. People who have experience or high interest write about the topics that interest readers, and publishers put out the best of these texts. When books become popular, we know people are learning from them and finding good results by applying the author's management

ideas. Texts like these can provide people with the secrets to management that others have worked out through experience. Isn't it better to learn about management from people in the trenches instead of the latest obscure references from academia? Many of the most important insights we gain in life aren't necessarily the product of careful empirical research studies.

Unhelpful management guides sometimes do get published, and once in a while they become popular. But do they outnumber the esoteric research studies published in scholarly journal articles every year? Far from it; sometimes it seems that for every popular business text, there are thousands of scholarly journal articles. Many of these articles can hardly be read by individuals in the workplace—they are buried in academic libraries, riddled with strange acronyms and insider terms, and light on practical application. Often they apply to specific management scenarios, so they are even less generalizable. For example, a few recent management and OB studies were published in 2015 with the following titles:

- “Transferring Management Practices to China: A Bourdieusian Critique of Ethnocentricity” (Siebers, Kamoche, & Li, 2015)
- “Cross-Cultural Perceptions of Clan Control in Korean Multinational Companies: A Conceptual Investigation of Employees’ Fairness Monitoring Based on Cultural Values” (Yang, 2015)
- “The Resistible Rise of Bayesian Thinking in Management: Historical Lessons from Decision Analysis” (Cabantous & Gond, 2015)
- “A Model of Rhetorical Legitimation: The Structure of Communication and Cognition Underlying Institutional Maintenance and Change” (Harmon, Green, & Goodnight, 2016)

We don't mean to poke fun at these studies, but our point is that all ways of creating knowledge can be criticized. If business books are sometimes light reading, academic articles can be esoteric and even less relevant. Popular books can add to our understanding of how people work and how to manage them best. We shouldn't assume they are not of value. And while there is no one right way to learn the science and art of managing people in organizations, the most enlightened managers gather insights from multiple sources: their own experience; research findings; observations of others; and, yes, the popular business press. Authors and academics have an important role to play,

and it isn't fair to condemn business books with catchy titles.

Chapter Review

MyLab Management Discussion Questions

Go to www.pearson.com/mylab/management to complete the problems marked with this icon .

Questions for Review

- 1-1** What is the importance of interpersonal skills in the workplace?
- 1-2** What is the definition of organizational behavior (OB)?
- 1-3** How does systematic study contribute to our understanding of OB?
- 1-4** What are the major behavioral science disciplines that contribute to OB?
- 1-5** Why are there so few absolutes in OB?
- 1-6** What are the challenges and opportunities for managers in using OB concepts?
- 1-7** What are the three levels of analysis in our OB model?

Experiential Exercise I'm a team leader; I don't need any help.

Students will create teams of approximately four or five members and consider the following scenario. One of the team members is the CEO of a startup that creates robots for technology-assisted surgery, and the others are members of the board of directors. You noticed that one of your teams, headed by Mark, a team leader with a PhD in robotics from a prestigious university, is experiencing problems in the development of a new robot prototype for heart surgery. You decided to participate in some of their meetings to understand more.

Here the notes that you wrote down in one of their meetings:

- *The meeting starts with Mark communicating general information about the company's current projects. He then reviews the team's progress and members start to discuss a major problem they are facing that is preventing the robot from working as required.*
- *Caroline and Nicolas say that they have reviewed all the steps of robot development to understand where the problem was but were not able to discover anything unusual.*
- *Lara and Matthaeus describe the different attempts they have been making in the previous weeks, which resulted in no significant improvements in the robot functioning.*
- *All of them propose to Mark that he consult with senior managers outside the team and look for help. Mark disagrees; he has some notion of how to fix the problem.*
- *The team members say that an external eye on the project would still be helpful. Mark seems to not hear their requests and quickly terminates the meeting, promising to have a solution in ten days on his own.*

Your team should discuss what recommendations you can offer Mark based on your notes. The following questions can serve as the basis for class discussion.

Questions

- 1-8.** What do you think explains Mark's attitude and why he is reluctant to ask for external help?
- 1-9.** Should the board intervene in managing this situation? What help can be given to Mark to improve his work attitude?
- 1-10.** Let us suppose that the board decides to introduce to the team headed by Mark

another team member who has experienced similar problems in the past. How do you think the rest of the team and Mark will react to this change? What can be done to favor a smooth integration of this new component of the team?

Ethical Dilemma There's a Drone in Your Soup

It is 2020, and drones are everywhere. Alibaba quadcopters have been delivering special ginger tea to customers in Beijing, Shanghai, and Guangzhou for years; Amazon's octocopters finally deliver packages in most major cities within 30 minutes without knocking down pedestrians; and college students everywhere welcome late-night nachos from Taco Bell Tacocopters. Indoor drones are still in the pioneering phase—backyard enthusiasts are building tiny versions, but no large-scale commercial efforts have been made to address indoor utility drones. That's all about to change.

You work for a multinational technology corporation on a sprawling, 25-acre headquarters campus, with offices in 2 million square feet of interior space in one large building and four additional smaller (but still large) buildings. The official Head of Interior Spaces is your boss; you're the leader of the Consideration of New Things team. In a meeting with your team, your boss says, "I've just heard from my friend at Right To Drones Too (R2D2) that his group has perfected their inside drone. It's small and light but can carry up to 10 pounds. It includes a camera, a speaker, and a recorder."

Your team expresses surprise; no one even knew an inside utility drone was under development, and governments worldwide are still haggling over regulations for drones. Your boss goes on enthusiastically, "I've seen the little drones, and I think you'll be impressed—not only can they scoot across the quad, but they can fetch things off tables, grab me a latté, attend meetings for me, check over your shoulders to see what you're working on ... anything! They're really accurate, agile, and super quiet, so you'll barely even know they're around. My friend wants us to have the first 100 drones here for free, and he's willing to send them over tomorrow. I figure we can hand them out randomly, although of course we'll each have one."

Your boss sits back, smiling and expecting applause. You glance at your team members and are relieved to see doubt and hesitation on their faces.

"Sounds, uh, great," you reply. "But how about the team takes the afternoon to set the ground rules?"

Questions

1-11. How might the R2D2 drones influence employee behavior? Do you think they will

cause people to act more or less ethically? Why?

- 1-12.** Who should get the drones initially? How can you justify your decision ethically? What restrictions for use should these people be given, and how do you think employees, both those who get drones and those who don't, will react to this change?
- 1-13.** How will your organization deal with sabotage or misuse of the drones? The value of an R2D2 drone is \$2,500.
- 1-14.** Many organizations already use electronic monitoring of employees, including sifting through website visits and e-mail correspondence, often without the employees' direct knowledge. In what ways might drone monitoring be better or worse for employees than covert electronic monitoring of Web or e-mail activity?

Case Incident 1 Apple Goes Global

It wasn't long ago that products from Apple, perhaps the most recognizable name in electronics manufacturing around the world, were made entirely in the United States. This is not the case anymore. Now, almost all of the approximately 70 million iPhones, 30 million iPads, and 59 million other Apple products sold yearly are manufactured overseas. This change represents more than 20,000 jobs directly lost by U.S. workers, not to mention more than 700,000 other jobs given to foreign companies in Asia, Europe, and elsewhere. The loss is not temporary. As the late Steven P. Jobs, Apple's iconic cofounder, told President Obama, "Those jobs aren't coming back."

At first glance, the transfer of jobs from one workforce to another would seem to hinge on a difference in wages, but Apple shows this is an oversimplification. In fact, some say paying U.S. wages would add only \$65 to each iPhone's expense, while Apple's profits average hundreds of dollars per phone. Rather, and of more concern, Apple's leaders believe the intrinsic characteristics—which they identify as flexibility, diligence, and industrial skills—of the labor force available to them in China are superior to those of the U.S. labor force. Apple executives tell of shorter lead times and faster manufacturing processes in China that are becoming the stuff of company legend. "The speed and flexibility is breathtaking," one executive said. "There's no American plant that can match that." Another said, "We shouldn't be criticized for using Chinese workers. The U.S. has stopped producing people with the skills we need."

Because Apple is one of the most imitated companies in the world, this perception of an overseas advantage might suggest that the U.S. workforce needs to be better led, better trained, more effectively managed, and more motivated to be proactive and flexible. If U.S. and western European workers are less motivated and less adaptable, it's hard to imagine that does not spell trouble for the future of the American workforce.

Perhaps, though, Apple's switch from one hundred percent American-made items to ten percent represents the natural growth pattern of a company going global. At this point, the iPhone is largely designed in the United States (where Apple has 43,000 employees); parts are made in South Korea, Taiwan, Singapore, Malaysia, Japan, Europe, and elsewhere; and products are assembled in China. The future of at least 247 suppliers worldwide depends on Apple's approximately \$30.1 billion in orders per quarter. And we can't forget that Apple

posted \$16.1 billion in revenue from China in the first quarter of 2015, up 70 percent from the first quarter of 2014, perhaps in part because its manufacturing in China builds support for the brand there.

As maker of some of the most cutting-edge, revered products in the electronics marketplace, perhaps Apple serves not as a failure of one country to hold onto a company completely but as one of the best examples of global ingenuity.

Questions ★

- 1-15.** What are the pros and cons for local and overseas labor forces of Apple's going global? What are the potential political implications for country relationships?
- 1-16.** Do you think Apple is justified in drawing the observations and conclusions expressed in this case? Why or why not? Do you think it is good or harmful to the company that its executives have voiced these opinions?
- 1-17.** How could managers use increased worker flexibility and diligence to increase the competitiveness of their manufacturing sites? What would you recommend?

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Case Incident 2 Big Data for Dummies

Do you need big data? Maybe the question is better phrased as: Can you afford not to use big data? The age of big data is here, and to ignore its benefits is to run the risk of missed opportunities.

Organizations using big data are quickly reaping rewards, as a survey of 2,022 managers worldwide indicated recently. In fact, 71 percent of respondents agreed that organizations using big data will gain a “huge competitive advantage.” These managers also saw the need for big data: Fifty-eight percent responded that they never, rarely, or only sometimes have enough data to make key business decisions. They have witnessed the benefits of big data: Sixty-seven percent agreed that big data has helped their organization to innovate. So why did only 28 percent find that their access to useful data increased significantly in a year?

According to Amy Braverman, a principal statistician who analyzes NASA’s spacecraft data, the problem is in interpreting the new kinds and volumes of data we are able to collect. “This opportunistic data collection is leading to entirely new kinds of data that aren’t well suited to the existing statistical and data-mining methodologies,” she said. Information technology and business leaders agree: In a recent survey, “determining how to get value” was identified as the number one challenge of big data.

With strong need combating the high hurdle for usability, how should a company get started using big data? The quick answer seems to be “hire talent.” But not just anyone will do. Here are some points to ponder when hiring data professionals:

1. **Look for candidates with a strong educational background in analytics/statistics.** You want someone who knows more than you do about handling copious amounts of data.
2. **The ideal candidates will have specific experience in your industry or a related industry.** “When you have all those Ph.D.s in a room, magic doesn’t necessarily happen because they may not have the business capability,” said Andy Rusnak, a senior executive at Ernst & Young.
3. **Search for potential candidates from industry leader organizations that are more advanced in big data.**
4. **Communication skills are a must.** Look for a candidate “who can translate Ph.D. to English,” says SAP chief data scientist David Ginsberg. He adds, “Those are the hardest

people to find.”

5. **Find candidates with a proven record of finding useful information from a mess of data, including data from questionable sources.** You want someone who is analytical *and* discerning.
6. **Look for people who can think in 8- to 10-week periods, not just long term.** Most data projects have a short-term focus.
7. **Test candidates’ expertise on real problems.** Netflix’s director of algorithms asks candidates, “You have this data that comes from our users. How can you use it to solve this particular problem?”

Questions ★

- 1-18. Let’s say that you work in a metropolitan city for a large department store chain, and your manager puts you in charge of a team to find out whether keeping the store open an hour longer each day would increase profits. What data might be available for your decision-making process? What data would be important to your decision?
- 1-19. What kinds of data might we want in OB applications?
- 1-20. As Braverman notes, one problem with big data is making sense of the information. How might a better understanding of psychology help you sift through all this data?

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MyLab Management Writing Assignments

If your instructor has assigned this activity, go to www.pearson.com/mylab/management for the following assisted-graded writing assignments:

- 1-21. You have read the chapter and Case Incident 1, and let’s say that you are now an Apple manager whose employees are losing their jobs to overseas workers. What would you advise your teams to do in order to find re-employment in their professions? What types of training—basic, technical, interpersonal, problem solving—would you recommend?
- 1-22. Refer again to Case Incident 2. Why do you think it is important to have

educated, experienced statisticians on any team that is using big data for decision making? What might be the consequences of hiring someone with less experience?

1-23. MyLab Management only—additional assisted-graded writing assignment.

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⁶⁸ W. F. Cascio and H. Aguinis, "Research in Industrial and Organizational Psychology from 1963 to 2007: Changes, Choices, and Trends," *Journal of Applied Psychology* 93, no. 5 (2008): 1062–81; G. George, J. Howard-Grenville, A. Joshi, and L. Tihanyi, "Understanding and Tackling Societal Grand Challenges through Management Research," *Academy of Management Journal* 59, no. 6 (2016): 1880–95; and L. W. Porter and B. Schneider, "What Was, What Is, and What May Be in OP/OB," *Annual Review of Organizational Psychology and Organizational Behavior* 1, no. 1 (2014): 1–21.

⁶⁹ B. Schneider, "The People Make the Place," *Personnel Psychology* 40 (1987): 437–53; and B. Schneider, H. W. Goldstein, and D. B. Smith, "The ASA Framework: An Update," *Personnel Psychology* 48 (1995): 747–73.

End of Chapter Quiz

Test Your Understanding

1 Until the late 1980s, business school curricula emphasized the _____ aspects of management.

- ☐ ethical
- ☐ people
- ☐ technical
- ☐ human

Check answer

Reset

2 There is a connection between companies which have _____ and the incorporation of organizational behavior principles.

- ☐ high turnover rates
- ☐ specialized technical processes
- ☐ superior financial performance
- ☐ long-lasting CEOs

Check answer

Reset

3 Navar is a manager at a mid-sized consulting firm. Within his role, he is responsible for motivating those under him to go out and meet new clients. Which of the four managerial activities is Navar exhibiting?

- ☐ traditional management
- ☐ communication
- ☐ human resource management
- ☐ networking

Check answer

Reset

4 Betty believes that it is best to take the casual or common sense approach to reading others. She needs to remember that _____.

- ☐ the casual approach is nonsensical, and should be avoided as much as possible
- ☐ the systematic approach and the casual approach are one and the same
- ☐ laboratory experiments on human behavior often result in unreliable findings
- ☐ the casual or common sense approach to reading others can often lead to erroneous predictions

Check answer

Reset

5 Basing managerial decisions on the best available scientific support is called _____.

- ☐ intuition
- ☐ organizational process
- ☐ organizational behavior
- ☐ evidence-based management

Check answer

Reset

6 _____ focuses on the study of people in relation to their social environment.

- ☐ Psychology
- ☐ Sociology
- ☐ Corporate strategy
- ☐ Political science

Check answer

Reset

7 This field of study has helped us understand differences in fundamental values, attitudes, and behavior between people in different countries and within different organizations.

- anthropology
- corporate strategy
- political science

☐ operations research

Check answer

Reset

8 Austin is a graduate student helping to organize a study on individual job satisfaction. The study focuses on the top five causes of satisfaction or dissatisfaction in a job. His department is surveying 200 individuals in 100 different types of organizations. Austin is most likely a graduate student in the department of _____.

- ☐ psychology
- ☐ anthropology
- ☐ political science
- ☐ social psychology

Check answer

Reset

9 Human beings are complex, and few, if any, simple and universal principles explain organizational behavior (OB). Nevertheless, it does not mean that OB cannot offer reasonably accurate explanations of human behavior or make valid predictions. It does mean that OB concepts must _____.

- ☐ focus on the reliability and validity of research data
- ☐ attempt to establish cause-and-effect relationships
- ☐ be consistently applicable across a wide range of situations
- ☐ reflect situational, or contingency, conditions

Check answer

Reset

10 Munwar and Jackson both work as logistics supervisors at a successful restaurant management company. Recently, the manager for District G retired and both Munwar and Jackson have been approached about filling the position. While Munwar was excited about the possible promotion, Jackson was not interested in the position because it would require relocation and travel as well as the supervision of over 200 employees. Jackson's behavior can be explained through _____.

- ☐ sociology
- ☐ big data
- ☐ organizational behavior
- ☐ contingency variables

Check answer

Reset

11 Which of the following is not an action characteristic of an organization in flux?

- replacing temporary workers with permanent ones
- reorganizing divisions

- ☐ downsizing operations
- ☐ subcontracting noncritical services and operations to other organizations

Check answer

Reset

12 An ethically healthy climate _____.

- ☐ exists where employees confront a minimal degree of ambiguity regarding what constitutes right and wrong behaviors
- ☐ is non-existent in businesses
- ☐ seldom allows employees to do their work productively
- ☐ cannot be created by managers, but must be dictated by the organization's mission

Check answer

Reset

13 At the individual level, processes can include all but which of the following?

- ☐ emotions and moods
- ☐ motivation
- ☐ perception
- ☐ leadership

Check answer

Reset

14 According to Robbins and Judge, organizational behavior can be analyzed on all of the following levels except _____.

- ☐ outcome
- ☐ group
- ☐ organizational
- ☐ individual

Check answer

Reset

15 Which of the following is not a topic in the study of organizational behavior?

- ☐ personality
- ☐ motivation
- ☐ communication
- ☐ marketing

Check answer

Reset

2

Diversity in Organizations



Source: Justin Sullivan/Getty Images

Learning Objectives

After studying this chapter, you should be able to:

- 2-1** Describe the two major forms of workplace diversity.
- 2-2** Demonstrate how workplace discrimination undermines organizational effectiveness.
- 2-3** Describe how the key biographical characteristics are relevant to Organizational Behavior (OB).
- 2-4** Explain how other differentiating characteristics factor into OB.

2-5 Demonstrate the relevance of intellectual and physical abilities to OB.

2-6 Describe how organizations manage diversity effectively.

This matrix identifies which features and end-of-chapter material will help you develop specific skills employers are looking for in job candidates.

Employability Skills Matrix (ESM)

	Myth or Science?	Career Objectives	An Ethical Choice	Point/Counterpoint	Experiential Exercise	Ethic Dilemma
Critical Thinking		✓	✓	✓	✓	✓
Communication	✓	✓			✓	
Collaboration					✓	
Knowledge Application and Analysis			✓	✓	✓	✓
Social Responsibility		✓	✓	✓	✓	✓

MyLab Management Chapter Warm Up

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the chapter warm up.

“Foodtrepreneurs” Unite!

In the “melting pot” of San Francisco, California, a single commercial kitchen in the Mission District harbors what may be “the most important food organization in San Francisco.” La Cocina, “the kitchen” in Spanish, acts as an anchor to the community, where it enables low-income, female food entrepreneurs from diverse ethnic backgrounds to formalize, grow, and develop their businesses. La Cocina provides affordable kitchen space (at roughly a third of the San Francisco market rate), specialized knowledge of the food industry, and business development opportunities to these diverse entrepreneurs so that these women can have an opportunity to do what they love to do while fostering an inclusive, vibrant San Francisco united by the love of food.

So why is La Cocina so important to San Francisco? For one, the city of San Francisco is fundamentally changing. What was once an extremely diverse city has experienced a drastic change in ethnic composition accompanied by its rising cost of living. Wealthy businessmen and engineers have been flocking to the area, drawn in by the economic boom and resurgence of the tech industry in the area. Notably, the area surrounding San Francisco is home to a number of tech and social media giants, including Facebook, Google, Uber, Tesla, Twitter, and Apple, among others. La Cocina and its underlying spirit may serve a very important purpose to the area; it might “prove to be the key for San Francisco to remain San Francisco,” preserving its unique cultural heritage and diversity. As of 2015, La Cocina works with 33 business owners from a multitude of backgrounds. Of these women, 91 percent are people of color, 60 percent are immigrants, and 70 percent are parents.

Without La Cocina, becoming successful in the food industry would have been even more difficult. There are substantial barriers to entry in the food industry, and La Cocina enables these women to overcome them. First, the food industry is male dominated. In 2013, nearly 75 percent of food businesses were owned by men, and they earn, on average, 24 percent more than women. Second, the rising costs in San Francisco has led to a cultural exodus from the city. As Executive Director Caleb Zigas notes, “It’s getting increasingly harder to find these kinds of foods made here in the city. From a general food perspective and a consumer of food, and as a person who has lived in a city my whole life, one of the scariest things happening is watching the foods that I love move to the suburbs.”

The success of La Cocina has enabled many women to start careers doing what they love. A variety of La Cocina alumna, including Veronica Salazar of El Huarache Loco and Guisell

Osorio of Sabores del Sur now have their own restaurants (and some of their products are sold nationwide in stores like Whole Foods). What started as a relatively small, community kitchen concept in the late 1990s by the Women's Initiative for Self-Employment transformed from a \$400,000-a-year organization (with 1.5 employees) to a \$2,000,000-a-year organization (with 17 employees). The success of this concept has inspired many others to imitate it in other cities. For example, Kitchener started in Oakland, California, after Sophia Chang's ice cream business shut down due to a lack of affordable commercial kitchen space. She notes that "Kitchener was inspired a lot by La Cocina" and if it had been around in the 1980s when her mother came to the United States from China, they would have had a very different life, one that did not involve "30 years of hard labor to provide for her family."

Sources: Based on La Cocina, <https://www.lacocinasf.org/>, accessed February 20, 2017; D. Kopf, "San Francisco's Diversity Numbers Are Looking More and More Like a Tech Company's," *The Atlantic* (May 9, 2016), <https://www.theatlantic.com/business/archive/2016/05/san-francisco-diversity-migration/481668/>; P. Lucchesi, "A Success Story for Women: La Cocina's Kitchen Incubator," *San Francisco Chronicle* (May 13, 2015), <http://www.sfchronicle.com/food/article/A-success-story-for-women-La-Cocina-s-kitchen-6253539.php>; and A. Wunderman, "These Organizations Are Bringing Diversity to the Restaurant Business," *Paste* (January 30, 2017), <https://www.pastemagazine.com/articles/2017/01/la-cocina-entrepreneurship.html>.

The barriers and hardships facing immigrants and women such as those in the San Francisco area are substantial, and they are examples of why diversity is so important for organizations. The story of La Cocina, and the impact it has had on the food industry across America, is one hopeful account of a business incubator drawing strength from a diverse community. In this chapter, we look at how organizations should work to maximize the potential contributions of a diverse workforce. Because each of us is different from others in myriad ways, we consider diversity in many different forms. We also show how individual differences in abilities affect employee behavior and effectiveness in organizations.

Diversity

2-1 Describe the two major forms of workplace diversity.

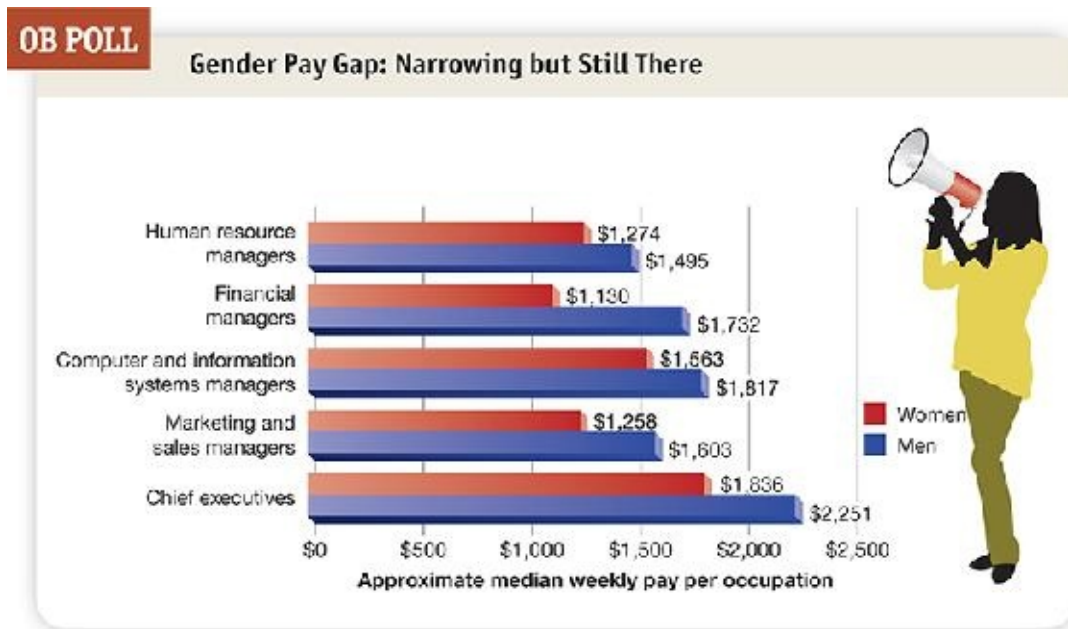
We are, each of us, unique. This is obvious enough, but managers sometimes forget they need to recognize the individual differences in their employees in order to capitalize on their unique strengths. In this chapter, we'll learn how individual characteristics like age, gender, race, ethnicity, and abilities can influence employee performance. We'll also see how managers can develop awareness about these characteristics and manage their diverse workforces effectively. But first, let's consider an overview of the changing workforce.

Demographic Characteristics



The predominantly white, male managerial workforce of the past has given way to a gender-balanced, multiethnic workforce. For instance, in 1950, only 29.6 percent of the U.S. workforce was female,¹ but by 2016, women comprised 46.8 percent.² Both in the United States and internationally, women today are much more likely than before to be employed full time, have an advanced education, and earn wages comparable to those of men (see the OB Poll).³ In addition, the earnings gap between whites and other racial and ethnic groups in the United States has decreased significantly, partially due to the rising number of minorities in the workforce. Hispanics will increase from 13 percent of the workforce in 2014 to 25.1 percent in 2044, blacks will increase from 12 to 12.7 percent, and Asians from 5 to 7.9 percent.⁴ Workers over the age of 55 are an increasingly large portion of the workforce as well, both in the United States and globally. In the United States, the 55-and-older age group will increase from 19.5 percent of the labor force in 2010 to 25.2 percent by 2020.⁵ In some other parts of the world (like Europe), the discussion has shifted to the wage gap between women and men rather than race or other contextual issues. For example, in the United Kingdom, the Office of National Statistics has indicated that the pay gap between women and men could be because of lower female representation at senior levels and the types of jobs that have traditionally been dominated by either gender. It is also argued that a gender pay gap is not the same as an equal pay gap. Different pay for people performing the same job has been illegal in the United Kingdom since 1970. It appears that the gender pay difference

demonstrates a demographic pay gap, and the solutions to the two issues seem to be rather different.⁶



Source: US Bureau of Labor Statistics, *Highlights of Women's Earnings in 2015* (Report No. 1604, November 2016):

<https://www.bls.gov/opub/reports/womens-earnings/2015/pdf/home.pdf>.

Levels of Diversity

Although much has been said about diversity in age, race, gender, ethnicity, religion, and disability status, experts now recognize that these demographic characteristics are just the tip of the iceberg.⁷ These characteristics mostly reflect **surface-level diversity** ⓘ, not thoughts and feelings, and can lead employees to make stereotypes and assumptions about others from certain demographic backgrounds. However, evidence has shown that people are less concerned about demographic differences if they see themselves as sharing more important characteristics, such as personality and values, that represent **deep-level diversity** ⓘ.⁸

Managing diversity involves everyone and benefits everyone. Consider the following example. Philip and Sharon are managers who do not seem to have much in common. Philip is a recently hired young man with a marketing degree from an Eastern European–dominant neighborhood in London. Sharon is an older woman from rural Manchester who started as a secretary after college and worked her way up the hierarchy. At first, these coworkers may notice their surface-level differences in education, ethnicity, regional background, and gender. However, as they get to understand one another, they may find they are both deeply

committed to their families, share a common way of thinking about work problems, like to work collaboratively, and are interested in international assignments. These deep-level similarities can overshadow the more superficial differences between them, and research suggests they will work together. Additionally, increasing support for equal opportunities and diversity should be viewed as mutually supportive and the combination as important. Diversification with culturally related countries might lead to greater homogeneity of perception, particularly if it concentrates on individuals rather than groups and includes improvement of opportunities for all individuals. In effect, managing diversity involves everyone and benefits everyone as separate groups are not singled out.

Throughout this text, we will encounter differences between deep- and surface-level diversity in various contexts. Diversity is an important concept in OB because individual differences shape preferences for rewards, communication styles, reactions to leaders, negotiation styles, and many other aspects of behavior in organizations. Unfortunately, increased diversity may also mean increases in discriminatory practices, which we will discuss next.

An Ethical Choice

Global Diversity: Affirmative Action

Across the globe, support for affirmative action is aimed at bridging inequalities in several facets of life, including bridging inequalities in employment pay, promoting diversity, favoring members of a disadvantaged group who suffer or have suffered from discrimination within a culture—it varies from region to region. In a historic move in the United States, Wal-Mart (a retailing giant) vowed to hire any returning U.S. veteran who applied for work. As a result, the company hired more than 42,000 veterans by mid-2014 with an expectation that the total number will climb to 100,000 by 2018. Other businesses have launched similar initiatives. A coalition of these companies, which originally included 11 members, now consists of 230 companies from several businesses. Sometimes, affirmative action is required to give an unfairly disadvantaged workforce segment an opportunity to succeed, whether it is achieved through percentages or by hiring prospective employees from the desired

group.

In the United Kingdom, the Equality Act 2010 promotes positive action with respect to employment. As an example, Section 158 of the Equality Act 2010 builds on existing legislation or positive action and extends it to include other protected statuses, such as age and disability. In Australia, the Affirmative Action (Equal Employment Opportunity for Women) Act 1986 requires all private sector employers in Australia with more than 100 employees to report annually on programs they have developed to improve women's employment opportunities. In South Africa, the Employment Equity Act seeks to eliminate unfair discrimination in employment and thereby achieve a diverse workforce where no one feels disadvantaged. Also in place is the broad-based Black Economic Empowerment, a legislative framework to help reverse the legacy of apartheid.

Ordinarily, affirmative action is needed to give an unfairly disadvantaged workforce segment or group an opportunity to succeed, but success will depend on the sincerity and consistency of purpose of governments and business organizations as well as the attitude of the individual or group concerned. However, it is evident that resources are scarce and will continue to be so—there are only so many jobs to go around. CEOs and HR managers must balance the ethics of affirmative action against the need to strengthen their workforce for the good of their organization and society at large.

Sources: Based on "100,000 Jobs Mission Hires over 200,000 Veterans," *Veteran Jobs Mission* press release (February 9, 2015), <https://www.veteranjobsmission.com/press-releases/750>; D. C. Baldridge and M. L. Swift, "Withholding Requests for Disability Accommodation: The Role of Individual Differences and Disability Attributes," *Journal of Management* (March 2013): 743–62; "Walmart Celebrates More Than 40,000 Hires in First Year of Veterans Commitment," Walmart Foundation press release (May 21, 2014), <http://news.walmart.com/news-archive/2014/05/21/walmart-celebrates-more-than-40-000-hires-in-first-year-of-veterans-commitment>; B. Yerbak and C. V. Jackson, "Battling to Get More Vets in the Work Force," *Chicago Tribune* (October 28, 2012), http://articles.chicagotribune.com/2012-10-28/business/ct-biz-1028-vets-20121028_1_train-veterans-unemployment-rate-war-zone; "Veterans Unemployment Drops but Remains High," *HR Magazine*, February 2013, 16; J. Sheridan Alison "Affirmative Action in Australia—Employment Statistics Can't Tell the Whole Story," *Women in Management Review* 10, no. 2 (1995): 26–34; T. Jarrett, The Equality Act 2010 and Positive Action, *Library House of Commons, Business and Transport Section*, last updated, 24 October 2013.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

2.1.1 Differences in characteristics such as personality, values, and beliefs form part of _____.

- ☐ surface-level diversity
- ☐ deep-level diversity
- ☐ lateral-level diversity
- ☐ organizational-level diversity

Check answer

Reset

2.1.2 Which of the following statements is true regarding surface-level diversity?

- ☐ Surface-level diversity will overcome fundamental differences and promote harmony.
- ☐ Surface-level diversity can co-exist with deep-level diversity within an organization.
- ☐ Surface-level diversity does not affect employees' perceptions.
- ☐ Surface-level diversity, not thoughts and feelings, is mostly reflected in demographics.

Check answer

Reset

Discrimination

2-2 Demonstrate how workplace discrimination undermines organizational effectiveness.

Although diversity presents many opportunities for organizations, diversity management includes working to eliminate unfair **discrimination** ⓘ. To discriminate is to note a difference between things, which in itself isn't necessarily bad. Noticing one employee is more qualified is necessary for making hiring decisions; noticing another is taking on leadership responsibilities exceptionally well is necessary for making promotion decisions. Usually when we talk about discrimination, though, we mean allowing our behavior to be influenced by stereotypes about *groups* of people. **Stereotyping** ⓘ is judging someone on the basis of our perception of the group to which that person belongs. To use a machine metaphor, you might think of stereotypes as the fuel that powers the discrimination engine. Stereotypes can be insidious not only because they may affect the perpetrators of discrimination but also because they can affect how potential targets of discrimination see themselves.

Stereotype Threat

Let's say that you are sitting in a restaurant, waiting for the blind date your coworker arranged to find you in the crowded room. How do you think your coworker described you to this person? Now consider how you would describe yourself to this new person if you'd talked on the phone before the date. What identifiable groups would you mention as a shorthand way for your date to know a bit about you so he or she could recognize you in the restaurant?

Chances are good that you'd mention your race, something about how you express your gender (such as the way you dress), how old you are, and maybe what you do for a living. You might also mention how tall you are if you are remarkably tall or short, and—if you're candid—you might mention something about your build (heavysset, petite, in between). Overall, you'd give cues to your blind date about characteristics that are *distinctive*, or that stand out, about you. What you tell someone about yourself says a lot about what you think

about yourself. Just as we stereotype others, we also stereotype ourselves.

Stereotype threat ⓘ describes the degree to which we agree internally with the generally negative stereotyped perceptions of our groups. Along with that comes a fear of being judged when we are identified with the negative connotations of that group. This can happen when we are a minority in a situation. For instance, an older worker applying for a job in a predominately millennial-age workforce may assume the interviewer thinks he is out of touch with current trends. What creates a stereotype threat is not whether the worker is or is not up to date with trends, but whether he agrees internally that older workers (the group he identifies with) are out of date (the stereotype). In Europe, there appears to be an aging workforce. The negative stereotypes about the older worker, extending to such beliefs among outgroups that they have lower dexterity and physical ability, may increase their apprehension and thus lead older employees to take on more demanding jobs. In essence, they put in extra effort and time that would otherwise have been superfluous just to avoid a stereotype threat.

People become their own worst enemies when they feel stereotype threat. Ironically, they may unconsciously exaggerate the stereotype, like an older job applicant who talks about aging, rambles during the conversation, and discloses too much.⁹ Second, employees may engage in self-handicapping, in which they avoid effort so that they can attribute their potential failure to other sources, such as stress or “having a bad day.”¹⁰ Third, people may overcompensate for the stereotype threat they feel or work to avoid confirming the stereotype. A Hispanic who tries to be as busy as possible at work and rushes conspicuously around the office may be attempting to overcome a stereotype threat of Hispanics as slower workers. This may happen even if the workplace has many ethnic minority employees because minorities perceive stereotypes about each other.¹¹ Stereotype threat can serve as a “brain drain” for employees, causing them to deplete their working memories so that they do not perform as well on employment tests or training.¹²

Stereotype threat has serious implications for the workplace. Stereotype threat can occur during preemployment tests and assessments, performance evaluations, and everyday workplace exchanges. It can lead to underperformance on tests, performance evaluations, training exercises, negotiations, and everyday interactions with others as well as to disengagement, poor job attitudes, a reluctance to seek feedback, and poor performance in the employees experiencing the threat.¹³ We can combat it in the workplace by treating employees as individuals and not highlighting group differences. The following

organizational changes can be successful in reducing stereotype threat: increasing awareness of how stereotypes may be perpetuated (especially when developing policies and practices), reducing differential and preferential treatment through objective assessments, confronting microaggressions against minority groups, and adopting transparent practices that signal the value of all employees.¹⁴



MyLab Management Personal Inventory Assessments

Go to www.pearson.com/mylab/management to complete the Personal Inventory Assessment related to this chapter.

Discrimination in the Workplace

To review, unfair discrimination assumes that everyone in a group is the same rather than looking at the characteristics of individuals within the group. This discrimination is often very harmful for employees, as we’ve just discussed, as well as for organizations.

Exhibit 2-1 provides definitions and examples of some forms of discrimination in organizations. Although many are prohibited by law and therefore are not part of organizations’ official policies, the practices persist. Tens of thousands of cases of employment discrimination are documented every year, and many more go unreported. Because discrimination has increasingly come under both legal scrutiny and social disapproval, most overt forms have faded, which may have resulted in an increase in more covert forms like incivility or exclusion, especially when leaders look the other way.¹⁵

Exhibit 2-1 Forms of Discrimination		
Type of Discrimination	Definition	Examples from Organizations
Discriminatory policies or	Actions taken by representatives of the	Older workers may be targeted for layoffs because they are highly paid

practices	organization that deny equal opportunity to perform or unequal rewards for performance.	and have lucrative benefits.
Sexual harassment	Unwanted sexual advances and other verbal or physical conduct of a sexual nature that create a hostile or offensive work environment.	Salespeople at one company went on company-paid visits to strip clubs, brought strippers into the office to celebrate promotions, and fostered pervasive sexual rumors.
Intimidation	Overt threats or bullying directed at members of specific groups of employees.	African-American employees at some companies have found nooses hanging over their work stations.
Mockery and insults	Jokes or negative stereotypes; sometimes the result of jokes taken too far.	Arab-Americans have been asked at work whether they were carrying bombs or were members of terrorist organizations.
Exclusion	Exclusion of certain people from job opportunities, social events, discussions, or informal mentoring; can occur unintentionally.	Many women in finance claim they are assigned to marginal job roles or are given light workloads that don't lead to promotion.
Incivility	Disrespectful treatment, including behaving in an aggressive manner, interrupting the person, or ignoring his or her opinions.	Female lawyers note that male attorneys frequently cut them off or do not adequately address their comments.

Sources: Based on J. Levitz and P. Shishkin, "More Workers Cite Age Bias after Layoffs," *The Wall Street Journal*, March 11, 2009, D1–D2; W. M. Bulkeley, "A Data-Storage Titan Confronts Bias Claims," *The Wall Street Journal*, September 12, 2007, A1, A16; D. Walker, "Incident with Noose Stirs Old Memories," *McClatchy-Tribune Business News*, June 29, 2008; D. Solis, "Racial Horror Stories Keep EEOC Busy," *Knight-Ridder Tribune Business News*, July 30, 2005, 1; H. Ibish and A. Stewart, *Report on Hate Crimes and Discrimination against Arab Americans: The Post-September 11 Backlash*, September

11, 2001–October 11, 2001 (Washington, DC: American-Arab Anti-Discrimination Committee, 2003); A. Raghavan, “Wall Street’s Disappearing Women,” *Forbes*, March 16, 2009, 72–78; and L. M. Cortina, “Unseen Injustice: Incivility as Modern Discrimination in Organizations,” *Academy of Management Review* 33, no. 1 (2008): 55–75.

As you can see, discrimination can occur in many ways, and its effects can vary depending on organizational context and the personal biases of employees. Some forms of discrimination, exclusion and incivility, for example, are especially hard to root out because they may occur simply because the actor isn’t aware of the effects of his or her actions. Like stereotype threat, actual discrimination can lead to increased negative consequences for employers, including reduced productivity and organizational citizenship behavior (OCB), more conflict, increased turnover, and even increased risk-taking behavior.¹⁶ Unfair discrimination also leaves qualified job candidates out of initial hiring and promotions. Thus, even if an employment discrimination lawsuit is never filed, a strong business case can be made for aggressively working to eliminate unfair discrimination.

Whether it is overt or covert, intentional or unintentional, discrimination is one of the primary factors that prevent diversity. On the other hand, recognizing diversity opportunities can lead to an effective diversity management program and ultimately to a better organization. *Diversity* is a broad term, and the phrase *workplace diversity* can refer to any characteristic that makes people different from one another. The following section covers some important surface-level characteristics that differentiate members of the workforce.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

2.2.1 _____ can be defined as actions taken by representatives of the organization that deny equal opportunity to perform or equal rewards for performance.

- Intimidation
- Exclusive practices
- Sexual harassment
- Discriminatory policies or practices

Check answer

Reset

2.2.2 Which of the following is not a consequence of discrimination for employers?

- ☐ reduced productivity
- ☐ workplace diversity
- ☐ reduced citizenship behavior
- ☐ negative conflicts

Check answer

Reset

Biographical Characteristics

2-3 Describe how the key biographical characteristics are relevant to Organizational Behavior (OB).

Biographical characteristics ⓘ such as age, gender, race, and disability are some of the most obvious ways employees differ. Let's begin by looking at factors that are easily definable and readily available—data that can be obtained, for the most part, from an employee's human resources (HR) file. Variations in surface-level characteristics may be the basis for discrimination against classes of employees, so it is worth knowing how related they actually are to work outcomes. As a general rule, many biographical differences are not important to actual work outcomes, and far more variation occurs *within* groups sharing biographical characteristics than between them.

Age



Age in the workforce is likely to be an issue of increasing importance during the next decade for many reasons. For one, the workforce is aging worldwide in most developed countries;¹⁷ by 2014–2024 projections, the average annual growth rate of workers over age 54 in the labor force is expected to be 1.8 percent, which is over three times greater than that of the overall labor force.¹⁸ In the United States, the proportion of the workforce age 55 and older is 22 percent and increasing,¹⁹ and legislation has, for all intents and purposes, outlawed mandatory retirement. The United States and Australia, among other countries, have laws directed against age discrimination.²⁰ Most workers today no longer have to retire at age 70, and 62 percent of workers age 45 to 60 plan to delay retirement.²¹



The stereotypes of older workers as being behind the times, grumpy, and inflexible are changing. Managers often see a number of positive qualities that older workers bring to their jobs, such as experience, judgment, a strong work ethic, and commitment to quality. The Public Utilities Board, the water agency of Singapore, reports that 27 percent of its workforce is over age 55 because older workers bring workforce stability.²² And industries like health care, education, government, and nonprofits often welcome older workers.²³ But older

workers are still perceived as less adaptable and less motivated to learn new technology.²⁴ When organizations seek individuals who are open to change and training, the perceived negatives associated with age clearly hinder the initial hiring of older workers and increase the likelihood they will be let go during cutbacks.

Myth or Science?

Bald Is Better

Surprisingly, it appears true that bald is better for men in the workplace. A recent study showed that observers believe a male's shaved head indicates greater masculinity, dominance, and leadership potential than longer or thinning hair. Thinning hair was perceived as the least powerful look, and other studies have agreed that male-pattern baldness (when some hair remains) is not considered advantageous. Why is this?

In some respects, the reported youthful advantage of a shaved head is counterintuitive. Because we have more hair when we are young, and contemporary culture considers youthfulness a desirable characteristic in the workplace (if you doubt this, see the discussions on aging in this chapter), it would make more sense for a hairless head to be a distinct disadvantage. Yet the media is loaded with images of powerful men with shaved heads—military heroes, winning athletes, and action heroes. No wonder study participants declared that the men with shaved heads were an inch taller and 13 percent stronger than the same men with hair.

A bald head has become the hallmark of some important business leaders, notably Jeff Bezos of Amazon, Lloyd Blankfein of Goldman Sachs, Marc Andreessen of Netscape, and “Shark Tank” investor Daymond John. Men who shave their heads report it can give them a business advantage, whether or not it makes them look younger (which is debatable). According to psychologist Caroline Keating, just as older silver-back gorillas are “typically the powerful actors in their social groups,” so it is in the office, where baldness may “signal who is in charge and potentially dangerous.” Research professor Michael Cunningham agrees, adding that baldness “is nature’s way

of telling the rest of the world you are a survivor.” Men with shaved heads convey aggressiveness, competitiveness, and independence, he adds. Will you join the 13 percent of men who shave their heads? Though we don’t wish to advocate head shaving for this reason, it does demonstrate how biased we continue to be in judging people by superficial characteristics. Time will tell if this situation ever improves.

Sources: Based on D. Baer, “People Are Psychologically Biased to See Bald Men as Dominant Leaders,” *Business Insider* (February 13, 2015), <http://www.businessinsider.com/bald-men-signals-dominance-2015-2>; J. Misener, “Men with Shaved Heads Appear More Dominant, Study Finds,” *The Huffington Post* (October 1, 2012), www.huffingtonpost.com/2012/10/01/bald-men-dominant-shaved-heads-study_n_1930489.html; A. E. Mannes, “Shorn Scalps and Perceptions of Male Dominance,” *Social Psychological and Personality Science*, (2012), doi: 10.1177/1948550612449490; and R. E. Silverman, “Bald Is Powerful,” *The Wall Street Journal* (October 3, 2012), B1, B6.

Now let’s look at the evidence. What effect does age actually have on turnover, absenteeism, productivity, and satisfaction? Regarding turnover, the older you are, the less likely you are to quit your job.²⁵ As workers get older, they have fewer alternate job opportunities because their skills have become more specialized. Within organizations, older workers’ longer tenure tends to provide them with higher wages, longer paid vacations, and benefits that may bind them to their employers.

It may seem likely that age is positively correlated to absenteeism, but this isn’t true. Most studies show that older employees have lower rates of avoidable absence versus younger employees.²⁶ Furthermore, older workers do not have more psychological problems or day-to-day physical health problems than younger workers.²⁷



The majority of studies have shown “virtually no relationship between age and job performance,” according to Director Harvey Sterns of the Institute for Life-Span Development and Gerontology.²⁸ Indeed, some studies indicate that older adults perform better. In Munich, a 4-year study of 3,800 Mercedes-Benz workers found that “the older workers seemed to know better how to avoid severe errors,” said Matthias Weiss, the academic coordinator of the study.²⁹ Related to performance, there is a conception that creativity lessens as people age. Researcher David Galenson, who studied the ages of peak creativity, found that people who create through experimentation do “their greatest work in

their 40s, 50s, and 60s. These artists rely on wisdom, which increases with age.”³⁰



At Tofutti, maker of dairy-free products, older employees are an integral part of the workforce. Tofutti’s CEO David Mintz values the experience, work ethic, maturity, enthusiasm, knowledge, and skills that older workers bring to their jobs. He says older employees have fewer absences, make fewer mistakes, are better at solving problems, and are willing to work more hours.

Source: Julio Cortez/AP images

What about age and satisfaction? Regarding life satisfaction, which we will discuss further in later chapters, there is a cultural assumption that older people are more prone to depression and loneliness. Actually, a study of adults ages 18 to 94 found that positive moods increased with age. “Contrary to the popular view that youth is the best time of life, the peak of emotional life may not occur until well into the seventh decade,” researcher Laura Carstensen said.³¹

Regarding job satisfaction, an important topic in Chapter 3, a review of more than 800 studies found that older workers tend to be more satisfied with their work, report better relationships with coworkers, and are more committed to their organizations.³² Other studies, however, have found that job satisfaction increases up to middle age, at which point it begins to drop off. When we separate the results by job type, though, we find that satisfaction tends to increase continually among professionals as they age, whereas among nonprofessionals, it

falls during middle age and then rises again in the later years.

In sum, we can see that the surface-level characteristic of an employee's age is an unfounded basis for discrimination and that an age-diverse workforce is a benefit to an organization.

Sex

Few issues initiate more debates, misconceptions, and unsupported opinions than whether women perform as well on jobs as men.

The best place to begin to consider this topic is with the recognition that few, if any, differences between men and women affect job performance.³³ Though men may have slightly higher math ability and women slightly higher verbal ability, the differences are fairly small, and there are no consistent male–female differences in problem-solving ability, analytical skills, or learning ability.³⁴ One meta-analysis of job performance studies found that women scored slightly higher than men on performance measures.³⁵ A separate meta-analysis of 95 leadership studies indicated that women and men are rated equally effective as leaders.³⁶



Yet biases and stereotypes persist. In the hiring realm, managers are influenced by gender bias when selecting candidates for certain positions.³⁷ For instance, men are preferred in hiring decisions for male-dominated occupations, particularly when men are doing the hiring.³⁸ Once on the job, men and women may be offered a similar number of developmental experiences, but females are less likely to be assigned challenging positions by men, assignments that could help them achieve higher organizational positions.³⁹ Men are more likely to be chosen for leadership roles even though men and women are equally effective leaders. A study of 20 organizations in Spain, for example, suggested that men are generally selected for leadership roles that require handling organizational crises.⁴⁰ According to Naomi Sutherland, senior partner in diversity at recruiter Korn Ferry, “Consciously or subconsciously, companies are still hesitant to take the risk on someone who looks different from their standard leadership profile.”⁴¹

Sex discrimination has a pervasive negative impact. Notably, women still earn less money than men for the same positions,⁴² even in traditionally female roles.⁴³ Furthermore, the sex differences in promotions, bonuses, and salaries (across 97 different studies and nearly 400,000 people) are 14 times larger than their differences on performance evaluations.⁴⁴

Working mothers also face “maternal wall bias,” meaning they are often not considered for new positions after they have children, and both men and women experience discrimination for their family caregiving roles.⁴⁵ Women who receive fewer challenging assignments and development opportunities from biased managers tend to curtail their management aspirations.⁴⁶ Women who are assertive in the workplace tend to be liked less and perceived as less hireable.⁴⁷



We’ve seen that there are many misconceptions and contradictions about male and female workers. Thankfully, many countries, including Australia, the United Kingdom, and the United States, have laws against sex discrimination. Other countries, such as Belgium, France, Norway, and Spain, are seeking gender diversity through laws to increase the percentage of women on boards of directors.⁴⁸ Gender biases and gender discrimination are still serious issues, but there are indications that the situation is improving.

Race and Ethnicity



Race is a controversial issue in society and in organizations. We define *race* as the heritage people use to identify themselves; *ethnicity* is the additional set of cultural characteristics that often overlaps with race. Typically, we associate race with biology, and ethnicity with culture, but there is a history of self-identifying for both classifications. Laws against race and ethnic discrimination are in effect in many countries, including Australia, the United Kingdom, and the United States.⁴⁹

Race and ethnicity have been studied as they relate to employment outcomes such as hiring decisions, performance evaluations, pay, and workplace discrimination. Individuals may slightly favor colleagues of their own race in performance evaluations, promotion decisions, and pay raises, although such differences are not found consistently, especially when highly structured methods of decision making are employed.⁵⁰ Also, some industries have remained less racially diverse than others. For instance, U.S. advertising and media organizations suffer from a lack of racial diversity in their management ranks even though their client base is increasingly ethnically diverse.⁵¹ In the United Kingdom, there have been demands that the Government stop auditing and start acting against racial discrimination. Research suggests that many BAME (Black, Asian, and Minority Ethnic) professionals in UK organizations, including universities, are among the most qualified and experienced in

their teams and functions, but they struggle to achieve the career progression they are qualified for. In the education sector, where the numbers of ethnic minority students are rising, figures published by the Higher Education Statistics Agency in 2017 showed there were no Black academics in the manager, director, and senior official categories in 2015–16.⁵²

Members of racial and ethnic minorities report higher levels of discrimination in the workplace.⁵³ African Americans generally fare worse than whites in employment decisions (a finding that may not apply outside the United States). They receive lower ratings in employment interviews, lower job performance ratings, less pay, and fewer promotions.⁵⁴ While this does not necessarily prove overt racial discrimination, African Americans are often discriminated against even in controlled experiments. For example, one study of low-wage jobs found that African American applicants with no criminal history received fewer job offers than did white applicants with criminal records.⁵⁵

As we discussed before, discrimination—for any reason—leads to increased turnover, which is detrimental to organizational performance. While better representation of all racial groups in organizations remains a goal, an individual of minority status is much less likely to leave the organization if there is a feeling of inclusiveness, known as a **positive diversity climate** ⓘ.⁵⁶ A positive climate for diversity can also lead to increased sales, commitment, and retention, suggesting there are organizational performance gains associated with reducing racial and ethnic discrimination.⁵⁷

How do we move beyond the destructiveness of discrimination? The answer is in understanding one another's viewpoint. Evidence suggests that some people find interacting with other racial groups uncomfortable unless there are clear behavioral scripts to guide their behavior,⁵⁸ so creating diverse work groups focused on mutual goals could be helpful, along with developing a positive diversity climate.

Disabilities



Workplace policies, both official and circumstantial, regarding individuals with physical or mental disabilities vary from country to country. Countries such as Australia, the United States, the United Kingdom, and Japan have specific laws to protect individuals with disabilities.⁵⁹ These laws have resulted in greater acceptance and accommodation of people with physical or mental impairments. In the United States, for instance, the representation of

individuals with disabilities in the workforce rapidly increased with the passage of the Americans with Disabilities Act (ADA, 1990).⁶⁰ According to the ADA, employers are required to make reasonable accommodations so their workplaces will be accessible to individuals with physical or mental disabilities.

The U.S. Equal Employment Opportunity Commission (EEOC), the federal agency responsible for enforcing employment discrimination laws, classifies a person as *disabled* who has any physical or mental impairment that substantially limits one or more major life activities. One of the most controversial aspects of the ADA is the provision that requires employers to make reasonable accommodations for people with psychiatric disabilities.⁶¹ Examples of recognized disabilities include missing limbs, seizure disorder, Down syndrome, deafness, schizophrenia, alcoholism, diabetes, depression, and chronic back pain. These conditions share almost no common features, so there's no specific definition about how each condition is related to employment.

Since it was first introduced in the United Kingdom some 20 years ago, discrimination law has defined disability using the following formulation: "A disabled person is someone who suffers from a physical or mental impairment which has a substantial and long-term adverse effect on his ability to carry out normal day to day activities."

The final clause ("normal day-to-day activities") has always been the subject of controversy, and the courts have always interpreted it as referring to ordinary, everyday tasks that the average man or woman in the street performs. An individual is not disabled for the purposes of the Equity Act (formerly the Disability Discrimination Act) because you cannot play football or because you cannot climb a mountain. The impairment must stop you from basic, common daily activities like getting dressed, making breakfast, and getting to work.

The controversy arises because this often means that someone is not classified as disabled and hence has no case in law when their impairment prevents them from carrying out an aspect of their work that does not fall under the definition of normal day-to-day activities. In the United Kingdom, a number of cases involve dismissal because of an inability to lift heavy weights, which is not a "normal day-to-day activity" and hence is not the basis for successful disability discrimination claims. It is interesting to see how the case law further develops in this area from the perspective of the United States and the United Kingdom.

The impact of disabilities on employment outcomes has been explored from a variety of perspectives. On one hand, when disability status is randomly manipulated among hypothetical candidates, disabled individuals are rated as having superior personal qualities

like dependability.⁶² Another review suggested that workers with disabilities receive higher performance evaluations. However, individuals with disabilities tend to encounter lower performance expectations and are less likely to be hired.⁶³ Mental disabilities may impair performance more than physical disabilities: Individuals with common mental health issues such as depression and anxiety are significantly more likely to be absent from work.⁶⁴



The elimination of discrimination against the disabled workforce has long been problematic. In Europe, for instance, policies to motivate employers have failed to boost the workforce participation rate for workers with disabilities, and outright quota systems in Germany, France, and Poland have backfired.⁶⁵ However, the recognition of the talents and abilities of individuals with disabilities has made a positive impact. In addition, technology and workplace advancements have greatly increased the scope of available jobs for those with all types of disabilities. Managers need to be attuned to the true requirements of each job and match the skills of the individual to them, providing accommodations when needed. But what happens when employees do not disclose their disabilities? Let's discuss this next.

Hidden Disabilities

As we mentioned earlier, disabilities include observable characteristics like missing limbs, illnesses that require a person to use a wheelchair, and blindness. Other disabilities may not be obvious, at least at first. Unless an individual decides to disclose a disability that isn't easily observable, it can remain hidden at the discretion of the employee. These are called *hidden disabilities* (or invisible disabilities). Hidden, or invisible, disabilities generally fall under the categories of sensory disabilities (for example, impaired hearing), autoimmune disorders (like rheumatoid arthritis), chronic illness or pain (like carpal tunnel syndrome), cognitive or learning impairments (like attention deficit hyperactivity disorder [ADHD]), sleep disorders (like insomnia), and psychological challenges (like PTSD).⁶⁶

As a result of recent changes to the Americans with Disabilities Act Amendments Act (ADAAA) of 2008, U.S. organizations must accommodate employees with a very broad range of impairments. However, employees must disclose their conditions to their employers in order to be eligible for workplace accommodations and employment protection. Many employees do not want to disclose their invisible disabilities, so they are prevented from getting the workplace accommodations they need in order to thrive in their jobs. Research indicates that individuals with hidden disabilities are afraid of being stigmatized or ostracized

if they disclose their disabilities to others in the workplace, and they believe that their managers will think they are less capable of strong job performance.⁶⁷ Add this to the challenge of receiving a diagnosis for a condition that one did not previously have and these fears are compounded even more so than if the diagnosis was made for employees when they were younger.⁶⁸

In some ways, a hidden disability is not truly invisible. For example, a person with undisclosed autism will still exhibit the behaviors characteristic of the condition, such as difficulty with verbal communication and lack of adaptability.⁶⁹ You may observe behaviors that lead you to suspect an individual has a hidden disability. Unfortunately, you may attribute the behavior to other causes—for instance, you may incorrectly ascribe the slow, slurred speech of a coworker to an alcohol problem rather than to the long-term effects of a stroke.

As for the employee, research suggests that disclosure helps all—the individual, others, and organizations. Disclosure may increase the job satisfaction and well-being of the individual, help others understand and assist the individual to succeed in the workplace, and allow the organization to accommodate the situation so that the employee and the organization achieve top performance.⁷⁰

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

2.3.1 One issue that does seem to differ between men and women, especially when the employee has preschool-age children, is _____.

- ☐ preference for work schedules
- ☐ willingness to conform
- ☐ willingness to learn new skills
- ☐ the ambition to excel

Check answer

Reset

2.3.2 Which of the following statements is not an accurate representation of statistical findings showing the differences in outcomes and attitudes between Whites and African Americans?

- African Americans and Hispanics also have lower turnover rates than Whites.
- African Americans and Hispanics perceive discrimination to be more prevalent in the workplace.
- Substantial racial differences exist in attitudes toward affirmative action, with African Americans approving of such programs to a greater degree than Whites.
- African Americans generally fare worse than Whites in employment decisions.

Check answer

Reset

Other Differentiating Characteristics

2-4 Explain how other differentiating characteristics factor into OB.

The last set of characteristics we'll look at includes tenure, religion, sexual orientation and gender identity, and cultural identity. These characteristics illustrate deep-level differences that provide opportunities for workplace diversity as long as discrimination can be overcome.

Tenure

Except for gender and racial differences, few issues are more subject to misconceptions and speculations than the impact of seniority and *tenure*, meaning time spent in a job, organization, or field.

Extensive reviews have been conducted of the seniority–productivity relationship.⁷¹ The evidence demonstrates a positive relationship between organizational tenure (i.e., how long an employee has been in his or her organization) and job performance. As such, organizational tenure appears to be a good predictor of employee performance, although there is some evidence that the relationship is not linear: Differences in organizational tenure are more important to job performance for relatively new or inexperienced employees than among those who have been on the job longer. To use a National Football League (NFL) analogy, a second-year quarterback has more of an edge over a rookie than a tenth-year quarterback has over one in his ninth year. Job tenure, on the other hand (i.e., how long an employee has been in his or her job), demonstrates a weak, inconsistent effect on employee outcomes, indicating that employees may lose desire for further career advancement.

Religion



Religious and nonreligious people question each other's belief systems, and people of different religious faiths often conflict. There are few—if any—countries in which religion is a nonissue in the workplace. For this reason, employers are prohibited by law from discriminating against employees based on religion in many countries, including Australia, the United Kingdom, and the United States.⁷²

Islam is one of the most popular religions in the world, and it is the majority religion in many countries. However, in the United States, Muslims are a minority group that is growing. There are nearly 3 million Muslims in the United States, and the number is predicted to double by 2030, when they will represent 1.7 percent of the population, according to the Pew Research Center. At that point, there will be as many Muslims in the United States as there are Jews and Episcopalians.⁷³ Despite these numbers, there is evidence that people are discriminated against for their Islamic faith even in the workplace. For instance, U.S. job applicants in Muslim-identified religious attire who applied for hypothetical retail jobs had shorter, more interpersonally negative interviews than applicants who did not wear Muslim-identified attire.⁷⁴ One's own religious commitment predicts whether or not an employee will intervene when observing religious discrimination.⁷⁵

Faith can be an employment issue wherever religious beliefs prohibit or encourage certain behaviors. The behavioral expectations can be informal, such as employees leaving work early on Christmas Eve. Or they may be systemic, such as the Monday to Friday workweek, which accommodates a Christian tradition of not working on Sundays and a Jewish tradition of not working on Saturdays.

Religious discrimination has been a growing source of discrimination claims in the United States, partially because the issues are complex. Recently, Samantha Elauf, who was turned down for employment because she wears a hijab (a head scarf), sued for religious discrimination. "I learned I was not hired by Abercrombie because I wear a head scarf, which is a symbol of modesty in my Muslim faith," she said. She was not aware of the organization's rule against head coverings and did not mention her reason for the scarf. Should employers be required to deduce why applicants dress as they do and then protect them? Even the Supreme Court is not certain.⁷⁶

Sexual Orientation and Gender Identity

While much has changed, the full acceptance and accommodation of lesbian, gay, bisexual, transgender, and questioning (LGBTQ) employees remains a work in progress. In the United States, a Harvard University study sent fictitious but realistic résumés to 1,700 actual entry-level job openings. The applications were identical with one exception: Half mentioned involvement in gay organizations during college, and the other half did not. The applications without the mention received 60 percent more callbacks than the ones with it.⁷⁷ Another

study suggests that the hirability perceptions of lesbian and gay candidates made by women are actually higher than those for heterosexuals, suggesting that the bias is complicated and nuanced.⁷⁸



Perhaps as a result of perceived discrimination, many LGBTQ employees do not disclose their status. For example, John Browne, former CEO of British Petroleum (BP), hid his sexual orientation until he was 59, when the press threatened to disclose that he was gay. Fearing the story would result in turmoil for the company, he resigned. Browne wrote recently, “Since my outing in 2007, many societies around the world have done more to embrace people who are lesbian, gay, bisexual, or transgender. But the business world has a long way to go.”⁷⁹

U.S. federal law does not prohibit discrimination against employees based on sexual orientation, although 29 states and more than 160 municipalities do. For states and municipalities that protect against discrimination based on sexual orientation, roughly as many claims are filed for sexual orientation discrimination as for sex and race discrimination.⁸⁰ Some other countries are more progressive: For instance, Australia has laws against discriminating on the basis of sexual preference, and the United Kingdom has similar laws regarding sexual orientation.⁸¹ However, the distinctions in these laws may not be broad enough—researchers have acknowledged a new acronym, QUILTBAG, to describe individuals who are queer/questioning, undecided, intersex, lesbian, transgender, bisexual, asexual, or gay.⁸²

The rights and freedoms of LGBT citizens are significantly influenced by the prevailing cultural traditions and religions of people living in some regions of the world, such as the Middle East and some Asian countries. Several Middle Eastern countries have received strong international criticism for discriminating against this group. The Human Rights Watch believes the main argument can be made by framing the situation of people in terms of their rights violation and protection. Southern and East Africa, the Middle East, and South Asia remain very conservative in this regard while Western Europe tends to be permissive and has prohibited discrimination at the workplace based on sexual orientation.⁸³ As a first step in the United States, the federal government has prohibited discrimination against *government* employees based on sexual orientation. The EEOC recently held that sex-stereotyping against lesbian, gay, and bisexual individuals represents gender discrimination enforceable under the Civil Rights Act of 1964.⁸⁴ Even in the absence of federal legislation, many organizations

have implemented policies and procedures that cover sexual orientation. IBM, once famous for requiring all employees to wear white shirts and ties, has changed its ultraconservative environment. Former vice president Ted Childs said, “IBM ensures that people who are gay, lesbian, bisexual or transgender feel safe, welcomed and valued within the global walls of our business.... The contributions that are made by [gay and transgender] IBMers accrue directly to our bottom line and ensure the success of our business.”⁸⁵

Career OBjectives

Should I come out at work?

I’m gay, but no one at my workplace knows it. How much should I be willing to tell? I want to be sure to have a shot at the big positions in the firm.

— *Ryan*

Dear Ryan:

Unfortunately, you are right to be concerned. Here are some suggestions:

- *Look for an inclusive company culture.* Apple CEO Tim Cook said, “I’ve had the good fortune to work at a company that loves creativity and innovation and knows it can only flourish when you embrace people’s differences. Not everyone is so lucky.” Recent research has focused on discovering new methods to counteract a discrimination culture in the United States, the United Kingdom, and Australia.
- *Choose your moral ground.* Do you feel you have a responsibility to “come out” to help effect social change? Do you have a right to keep your private life private? The balance is a private decision. A recent study by the U.S. Human Rights Campaign indicated that only half of LGBT employees nationwide disclose their status.
- *Consider your future in top management.* Corporate-level leaders are urged to be open with peers and employees. As Ernst & Young global vice chairperson Beth Brooke said about her decades of staying closeted, the pressure to be “authentic” adds stress if you are keeping your gay status a secret.
- *Weigh your options.* The word from people at the top who are gay (some who have come out and others who have not) is mixed. Brooke said, “Life really did

get better” after she announced her status in a company-sponsored video. Mark Stephanz, a vice chairman at Bank of America Merrill Lynch, agreed, remarking that “most people still deal with you the same way they always do.” Yet Deena Fidas, deputy director for the largest LGBT civil rights group in the United States, reported that being gay in the workplace is still “far from being a ‘nonissue.’”

- *Be aware of international and national laws.* Sadly, some nations and states are intolerant. You will need to study the laws to be sure you will be safe from repercussions when you reveal your status.

So think about your decision from both an ethical and a self-interested point of view. Your timing depends not only on what you think are your ethical responsibilities but also on your context—where you work, the culture of your organization, and the support of the people within it. Thankfully, globalization is ensuring that the world becomes increasingly accepting and fair.

Good luck in your career!

Sources: Based on M. D. Birtel, “‘Treating’ Prejudice: An Exposure-Therapy Approach to Reducing Negative Reactions Toward Stigmatized Groups,” *Psychological Science* (November 2012): 1379–86; L. Cooper and J. Raspani, “The Cost of the Closet and the Rewards of Inclusion,” Human Rights Campaign report (May 2014), http://hrc-assets.s3-website-us-east-1.amazonaws.com/files/assets/resources/Cost_of_the_Closet_May2014.pdf; N. Rumens and J. Broomfield, “Gay Men in the Police: Identity Disclosure and Management Issues,” *Human Resource Management Journal* (July 2012): 283–98; and A. M. Ryan and J. L. Wessel, “Sexual Orientation Harassment in the Workplace: When Do Observers Intervene?” *Journal of Organizational Behavior* (May 2012): 488–509.

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IBM is not alone. Surveys indicate that more than 90 percent of Fortune 500 companies have policies that cover sexual orientation. As for gender identity, companies are increasingly adopting policies to govern the way their organizations treat transgender employees. In 2001,

only eight companies in the Fortune 500 had policies on gender identity. That number is now more than 250.



Among the Fortune 1000, however, some noteworthy companies do not currently have domestic-partner benefits or nondiscrimination clauses for LGBT employees, including Berkshire Hathaway, currently number 4 in the *Fortune* rankings of the largest U.S. companies.⁸⁶ Some companies claim that they do not need to provide LGBT benefits for religious reasons. Recently, the U.S. Supreme Court allowed that Hobby Lobby, a retail arts and crafts chain, does not need to provide contraception insurance coverage due to the religious objections of its founding family, and many fear that this ruling will pave the way for overt LGBT discrimination by organizations.⁸⁷ Some organizations that claim to be inclusive don't live up to the claim. For example, a recent study of five social cooperatives in Italy indicated that these so-called inclusive organizations actually expect individuals to remain quiet about their status.⁸⁸

Thus, while times have certainly changed, sexual orientation and gender identity remain individual differences that organizations must address in eliminating discrimination and promoting diversity.

Cultural Identity

We have seen that people sometimes define themselves in terms of race and ethnicity. Many people carry a strong *cultural identity* as well, a link with the culture of family ancestry or youth that lasts a lifetime, no matter where the individual may live in the world. People choose their cultural identity, and they also choose how closely they observe the norms of that culture. Cultural norms influence the workplace, sometimes resulting in clashes. Organizations must adapt.

Workplace practices that coincided with the norms of a person's cultural identity were commonplace years ago, when societies were less mobile. People looked for work near familial homes and organizations established holidays, observances, practices, and customs that suited the majority. Organizations were generally not expected to accommodate each individual's preferences.



Thanks to global integration and changing labor markets, today's organizations do well to understand and respect the cultural identities of their employees, both as groups and

as individuals. For foreign managers interacting with subordinate employees in the United Arab Emirates, avoiding conflict and confrontation is paramount. Managers rarely disappoint their subordinates with a simple “no,” believing that blunt truth sometimes destroys harmony. While Italian and French managers may be familiar with such indirectness, Americans and Australians may come across as brutally candid.⁸⁹

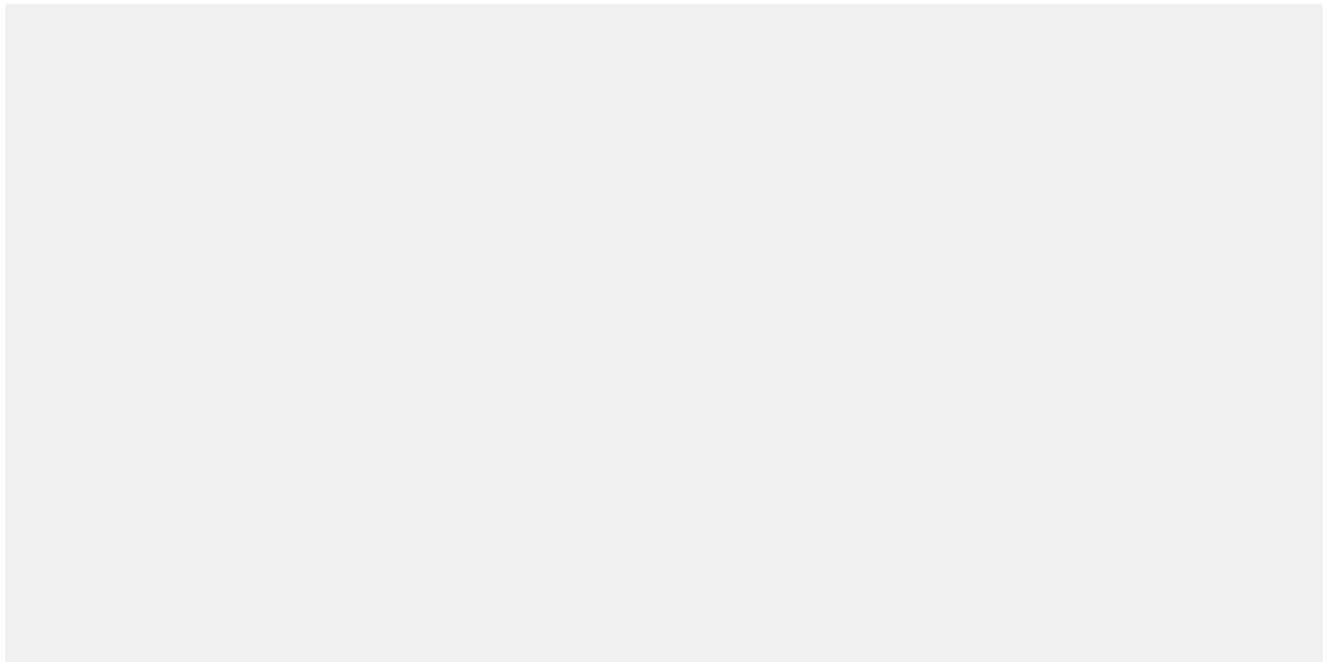
An organization seeking to be sensitive to the cultural identities of its employees should look beyond accommodating its majority groups and instead create as much of an individualized approach to practices and norms as possible. Often, managers can provide the bridge of workplace flexibility to meet both organizational goals and individual needs.

MyLab Management Watch It

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the video exercise.

Verizon Diversity

Watch it video.



A **transcript** of this video is available [here](#).

Transcript

Verizon Diversity

>> Diversity has been a part
>> of the fabric of our organization for decades.
>> And so we've had a diversity strategy in place,
>> going back to the 70's.
>> Every business leader within the organization
>> has diversity woven into their business objectives,
>> just the same as they would have
>> any other business objective.
>> What diversity means for us here at Verizon
>> is that everyone has an opportunity to play.
>> That everyone's opinions and thoughts are heard.
>> That you have an equal seat at the table.
>> My name is Kathy Bowman-Williams.
>> I am the manager of diversity and inclusion at Verizon.
>> So if you have an idea, no matter what your race,
>> gender, cultural background is,
>> that you're able to express that idea,
>> and it be received and taken seriously.
>> I graduated from University of Puerto Rico in May 2009.
>> My name is Gimbert Richiez.
>> I've been working for Verizon for 2-1/2 years.
>> I'm an in-home network engineer.
>> When I first got to Verizon I was a little scared,

>> 'cause as I said, I graduated from the Caribbean island,

>> I came here, it was my very first full-time job.

>> And I was afraid of that, a different language,

>> and then a different culture, a different people.

>> I remember the first day when I got here,

>> I've got my co worker from Haiti in front of me,

>> and next to me my co worker from Morocco.

>> And then there was this other lady from Russia.

>> So, since the very first day, the very first week,

>> I started to learn that this was a very diverse place.

>> I'm responsible for a lot of the diversity initiatives or program.

>> So, our employee resource groups.

>> Verizon has ten employee resource groups,

>> which I work with or manage,

>> to develop their strategic goals and objectives for each year.

>> I also am responsible for any diversity initiatives

>> that this organization puts out.

>> So our women's summit, our global diversity summit,

>> our youth summit, which reaches out beyond the organization

>> and into our communities.

>> I also work with the Verizon Foundation on

>> diverse organizations that we should be partnering with,

>> and how we should be funding them.

>> As well as partnering with our marketing organization

>> on what communities we should be investing in

>> and how we should be marketing

>> to various communities or cultures.

>> In addition to that, working through some talent

>> development opportunities within the company.

>> So what are we doing to develop our diverse talent?

>> And how are we getting that out to the workforce?

>> From our entry level managers all the way to our executives.

>> So my role touches just about everything

>> that we do in the company.

>> It's impressive how, by being from a different background

>> or having a different idea, it's impacting the projects

>> and the things that we are working on.

>> And that's what we're looking for, right?

>> I think that's why Verizon is so diverse,

>> because we are looking to always improve

>> our network service.

>> And that's how we do it.

>> One of the biggest challenges initially was really understanding

>> the cultures in the various countries.

>> As we know from various studies,

>> diversity does not translate necessarily outside of the U.S.

>> It doesn't mean the same thing.

>> So really, getting within each one of those countries individually

>> and understanding what's significant to them?

>> What are the things that they have challenges with?

>> Then that becomes the strategy within that particular country.

>> Versus taking our diversity strategy and initiatives

>> and pushing them out to every country.

>> So it really was a challenge to really identify that,

>> to understand it, and then to roll out some of these initiatives

>> so that it made sense to them.

>> I found more often than not that issues around women,

>> and not issues that are necessarily negative,

>> but around development, around flexibility,

>> around movement within the organization.

>> Those are really the main underlying issues with,

>> or things that we could manage and deal with from

>> a diversity perspective in many of the countries outside of the U.S.

>> So developing specific training classes

>> to help women move up within the company.

>> Providing them with mentoring opportunities.

>> Some other things were flexibility.

>> How do we get them to manage work life?

>> So providing EAP services

>> that help them to balance work and life effectively.

>> Verizon has a very diverse workforce of more than

>> 190,000 employees based all throughout the U.S.

>> and all throughout the globe.

>> In addition to having a really diverse workforce,

>> we also serve a very diverse base of customers.

>> Not just in the U.S.

>> but throughout the whole world.

>> And so we have a multi-cultural marketing team

>> that is devoted solely to how to best reach those customers.

>> Diversity is important to us not only because

>> it's the right thing to do, but we know that research shows

>> that it can deliver shareholder value.

>> And it can build us in the market place.

>> Diversity really comes across in our marketing approach

>> from the very beginning.

>> From sales all the way to the service of a customer.

>> So when they call for customer service,

>> whether they have a question about their bill,

>> whether they want to order new service,

>> or whether they need technical support,

>> there's someone in customer service

>> who literally speaks their language and can help them.

>> Demographics show that diverse communities

>> are growing fast in this nation.

>> At Verizon, diversity has always been an important part

>> of who we are, and a part of the fabric of everything we do.

>> We'll continue to grow, and it will always be an important part

>> of how we do business and how we serve our customers.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

2.4.1 In the United States, there are no federal laws prohibiting discrimination based on which of the following?

- ☐ religion
- ☐ gender
- ☐ sexual orientation
- ☐ race

Check answer

Reset

2.4.2 The manner in which people carry themselves in terms of race and ethnicity is commonly referred to as _____.

- ☐ heritage
- ☐ ethnic background
- ☐ cultural identity
- ☐ regionalistic customs

Check answer

Reset

Ability

2-5 Demonstrate the relevance of intellectual and physical abilities to OB.

Contrary to what we were taught in grade school, we weren't all created equal in our abilities. For example, regardless of how motivated you are, you may not be able to act as well as Leonardo DiCaprio, play basketball as well as LeBron James, or write as well as J. K. Rowling. Of course, all of us have strengths and weaknesses that make us relatively superior or inferior to others in performing certain tasks or activities. From management's standpoint, the challenge is to understand the differences and thus increase the likelihood that a given employee will perform the job well.

What does *ability* mean? As we use the term, **ability** ⓘ is an individual's current capacity to perform the various tasks in a job. Overall abilities are essentially made up of two sets of factors: intellectual and physical.

Intellectual Abilities

Intellectual abilities ⓘ are abilities needed to perform mental activities—thinking, reasoning, and problem solving. Most societies place a high value on intelligence, and for good reason. Smart people generally earn more money and attain higher levels of education. They are also more likely to emerge as leaders of groups. However, assessing and measuring intellectual ability are not always simple. IQ tests are designed to ascertain a person's general intellectual abilities, but the origins, influence factors, and testing of intelligence quotient (IQ) are controversial.⁹⁰ So, too, are popular college admission tests, such as the SAT and ACT, and graduate admission tests in business (GMAT), law (LSAT), and medicine (MCAT). The firms that produce these tests do not claim that they assess intelligence, but experts confirm that they do.⁹¹

The seven most frequently cited dimensions making up intellectual abilities are number aptitude, verbal comprehension, perceptual speed, inductive reasoning, deductive reasoning, spatial visualization, and memory.⁹² Exhibit 2-2 describes these dimensions.

Exhibit 2-2 Dimensions of Intellectual Ability

Dimension	Description	Job Example
Number aptitude	Ability to do speedy and accurate arithmetic	Accountant: Computing the sales tax on a set of items
Verbal comprehension	Ability to understand what is read or heard and the relationship of words to each other	Plant manager: Following corporate policies on hiring
Perceptual speed	Ability to identify visual similarities and differences quickly and accurately	Fire investigator: Identifying clues to support a charge of arson
Inductive reasoning	Ability to identify a logical sequence in a problem and then solve the problem	Market researcher: Forecasting demand for a product in the next time period
Deductive reasoning	Ability to use logic and assess the implications of an argument	Supervisor: Choosing between two different suggestions offered by employees
Spatial visualization	Ability to imagine how an object would look if its position in space were changed	Interior decorator: Redecorating an office
Memory	Ability to retain and recall past experiences	Salesperson: Remembering the names of customers



Intelligence dimensions are positively correlated, so if you score high on verbal comprehension, for example, you are also more likely to score high on spatial visualization. The correlations aren't perfect, meaning people do have specific abilities that predict important work-related outcomes when considered individually. However, they are high enough that researchers also recognize a general factor of intelligence, **general mental ability (GMA)**.⁹³ Evidence supports the idea that the structures and measures of intellectual abilities generalize across cultures. Someone in Venezuela or Sudan, for instance, does not have a different set of mental abilities than a U.S. or Czech individual. There is

some evidence that IQ scores vary to some degree across cultures, but those differences become much smaller when we take into account educational and economic differences.⁹⁴

Jobs differ in the demands they place on intellectual abilities. Research consistently indicates a correspondence between cognitive ability and task performance. Where employee tasks are highly routine and there are few or no opportunities to exercise discretion, a high IQ is not as important to performing well. However, that does not mean people with high IQs cannot have an impact on traditionally less complex jobs.⁹⁵

It might surprise you that the intelligence test most widely used in hiring decisions takes only 12 minutes to complete. It's the Wonderlic Cognitive Ability Test. There are different forms of the test, but each has 50 questions and the same general construct. Here are two questions to try:

- When rope is selling at \$0.10 a foot, how many feet can you buy for \$0.60?
- Assume the first two statements below are true. Is the final one true, false, or not certain?
 - a. The boy plays baseball.
 - b. All baseball players wear hats.
 - c. The boy wears a hat.



The Wonderlic measures both speed (almost nobody has time to answer every question) and power (the questions get harder as you go along), so the average score is quite low—about 21 of 50. Because the Wonderlic is able to provide valid information cheaply (for \$5 to \$10 per applicant), many organizations use it in hiring decisions, including Publix supermarkets, Manpower staffing systems, BP, and Dish satellite systems.⁹⁶ Most of these companies don't give up other hiring tools, such as application forms or interviews. Rather, they add the Wonderlic for its ability to provide valid data on applicants' intelligence levels.

While intelligence is a big help in performing a job well, it doesn't make people happier or more satisfied with their jobs.⁹⁷ In fact, research suggests that those with higher cognitive ability and who are high performers in the workplace might be victimized, bullied, and mistreated by their peers due to envy and social comparison.⁹⁸

Physical Abilities

Although the changing nature of work suggests intellectual abilities are increasingly important for many jobs, **physical abilities** ⓘ have been and will remain valuable. Research on hundreds of jobs has identified nine basic abilities needed in the performance of physical tasks.⁹⁹ These are described in Exhibit 2-3. High employee performance is likely to be achieved when the extent to which a job requires each of the nine abilities matches the abilities of employees in that job.

Exhibit 2-3 Nine Basic Physical Abilities

Strength Factors

- | | |
|-----------------------|---|
| 1. Dynamic strength | Ability to exert muscular force repeatedly or continuously over time |
| 2. Trunk strength | Ability to exert muscular strength using the trunk (particularly abdominal) muscles |
| 3. Static strength | Ability to exert force against external objects |
| 4. Explosive strength | Ability to expend a maximum of energy in one or a series of explosive acts |

Flexibility Factors

- | | |
|------------------------|---|
| 5. Extent flexibility | Ability to move the trunk and back muscles as far as possible |
| 6. Dynamic flexibility | Ability to make rapid, repeated flexing movements |

Other Factors

- | | |
|----------------------|---|
| 7. Body coordination | Ability to coordinate the simultaneous actions of different parts of the body |
| 8. Balance | Ability to maintain equilibrium despite forces pulling off balance |
| 9. Stamina | Ability to continue maximum effort requiring prolonged effort over time |



In sum, organizations are increasingly aware that an optimally productive workforce includes all types of people and does not automatically exclude anyone on the basis of personal characteristics. The potential benefits of diversity are enormous for forward-thinking managers. For example, a pilot program of software company SAP in Germany, India, and Ireland has found that employees with autism achieve excellent performance in precision-oriented tasks like debugging software.¹⁰⁰ Of course, integrating diverse people into an optimally productive workforce takes skill. We will discuss how to bring the talents of a diverse workforce together in the next section.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

2.5.1 _____ is an individual's current capacity to perform the various tasks in a job.

- ☐ Inductive reasoning
- ☐ Dynamic strength
- ☐ Deductive reasoning
- ☐ Ability

Check answer

Reset

2.5.2 Hiba leads a team of interior decorators. Her job requires her to visualize various positions of objects in space. Which of the following dimensions of intellectual ability does this skill accurately refer to?

- ☐ spatial visualization
- ☐ memory
- ☐ deductive reasoning
- ☐ perceptual speed

Check answer

Reset

Implementing Diversity Management Strategies

2-6 Describe how organizations manage diversity effectively.

Having discussed a variety of ways in which people differ, we now look at how a manager can and should manage these differences. **Diversity management** ⓘ makes everyone more aware of and sensitive to the needs and differences of others. This definition highlights the fact that diversity programs include and are meant for everyone. Diversity is much more likely to be successful when we see it as everyone's business than when we believe it helps only certain groups of employees.

Attracting, Selecting, Developing, and Retaining Diverse Employees

One method of enhancing workforce diversity is to target recruitment messages to specific demographic groups that are underrepresented in the workforce. This means placing advertisements in publications geared toward those groups; pairing with colleges, universities, and other institutions with significant numbers of underrepresented minorities, as Microsoft is doing to encourage women to undertake technology studies;¹⁰¹ and forming partnerships with associations like the Society of Women Engineers or the National Minority Supplier Development Council.

Research has shown that women and minorities have greater interest in employers that make special efforts to highlight a commitment to diversity in their recruiting materials. Diversity advertisements that fail to show women and minorities in positions of organizational leadership send a negative message about the diversity climate at an organization.¹⁰² Of course, to show the pictures, organizations must actually have diversity in their management ranks.

Some companies have been actively working toward recruiting less-represented groups. Etsy, an online retailer, hosts engineering classes and provides grants for aspiring women coders and then hires the best.¹⁰³ McKinsey & Co., Bain & Co., Boston Consulting Group, and Goldman Sachs have also actively recruited women who left the workforce to start families by offering phase-in programs and other benefits.¹⁰⁴

Diversity in Groups

Most contemporary workplaces require extensive work in group settings. When people work in groups, they need to establish a common way of looking at and accomplishing the major tasks, and they need to communicate with one another often. If they feel little sense of membership and cohesion in their groups, all group attributes are likely to suffer.

In some cases, diversity in traits can hurt team performance, whereas in others it can facilitate performance.¹⁰⁵ Whether diverse or homogeneous teams are more effective depends on the characteristic of interest. Demographic diversity (in gender, race, and ethnicity) does not appear to either help or hurt team performance in general, although racial diversity in management groups may increase organizational performance in the right conditions.¹⁰⁶

Teams of individuals who are highly intelligent, conscientious, and interested in working in team settings are more effective. Thus, diversity on these variables is likely to be a bad thing—it makes little sense to try to form teams that mix in members who are lower in intelligence or conscientiousness, and who are uninterested in teamwork. In other cases, diversity can be a strength. Groups of individuals with different types of expertise and education are more effective than homogeneous groups. Similarly, a group made entirely of assertive people who want to be in charge or a group whose members all prefer to follow the lead of others will be less effective than a group that mixes leaders and followers.

Regardless of the composition of the group, differences can be leveraged to achieve superior performance. The most important factor is to emphasize the similarities among members.¹⁰⁷

Expatriate Adjustment

According to a 2013 survey by Mercer, a global consulting firm, 70 percent of multinational organizations were expecting to increase short-term international assignments and 55 percent were looking to increase their long-term assignments. These organizations note that they do so in order to provide technical and managerial skills not available locally, provide career and leadership development opportunities, ensure knowledge transfer, and fulfill specific project needs.¹⁰⁸ The experience of moving to a different country and adjusting to its new cultural, interactive, and work-related norms is a major undertaking for both the expatriate (i.e., the employee on international assignment) and the host country nationals. If it is not handled properly, poor adjustment can result in employee dissatisfaction, poor performance,

prejudice, and misunderstanding.¹⁰⁹

Several factors can be targeted to ensure that the adjustment process goes smoothly. For one, feelings of empowerment along with the motivation to interact with those of other cultures were found in one study to be related to ease of adjustment, increased satisfaction, and reduced intentions to leave prematurely.¹¹⁰ Although adjustment tends to increase over time in a curvilinear fashion for all expatriates, those with previous culture-specific work experience as well as higher self-esteem and self-efficacy tend to adjust and be promoted more quickly.¹¹¹ A review of 66 studies on nearly 9,000 expatriates suggests that several other factors work in concert to affect different forms of adjustment, including language ability, relational skills, role clarity and autonomy, organizational support, and familial support.¹¹² These studies suggest that organizations should select employees for international assignments who are capable of adjusting quickly and then ensure they have the support they need for their assignment.

Effective Diversity Programs

Organizations use a variety of diversity programs in recruiting and selection policies, as well as training and development practices. Effective, comprehensive workforce programs encouraging diversity have three distinct components. First, they teach managers about the legal framework for equal employment opportunity and encourage fair treatment of all people regardless of their demographic characteristics. Second, they teach managers how a diverse workforce is better able to serve a diverse market of customers and clients. Third, they foster personal development practices that bring out the skills and abilities of all workers, acknowledging how differences in perspective can be a valuable way to improve performance for everyone.¹¹³

Most negative reactions to employment discrimination are based on the idea that discriminatory treatment is unfair. Regardless of race or gender, people are generally in favor of diversity-oriented programs, including affirmative action programs (AAPs), to increase the representation of minority groups and to ensure that everyone has a fair opportunity to show their skills and abilities.

Organizational leaders should examine their workforce to determine whether target groups have been underutilized. If groups of employees are not proportionally represented in top management, managers should look for any hidden barriers to advancement. Managers can

often improve recruiting practices, make selection systems more transparent, and provide training for those employees who have not had adequate exposure to diversity material in the past. The organization should also clearly communicate its policies to employees so they can understand how and why certain practices are followed. Communications should focus as much as possible on qualifications and job performance; emphasizing certain groups as needing more assistance could backfire.



Research also indicates that a tailored approach will be needed for international organizations. For instance, a case study of the multinational Finnish company TRANSCO found it was possible to develop a consistent global philosophy for diversity management. However, differences in legal and cultural factors across nations forced the company to develop unique policies to match the cultural and legal frameworks of each country in which it operated.¹¹⁴



EasyJet has a hugely diverse workforce and employs people from 50 different nationalities. These employees give valuable insights into the different markets and destinations in which the airline operates.

Alex Segre/Alamy Stock Photo

MyLab Management Try It

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the Mini Sim.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

2.6.1 Which of the following is not a component of comprehensive workforce programs encouraging diversity?

- ☐ encouraging their employees to learn foreign languages and culture to promote and attract a diverse workforce
- ☐ encouraging fair treatment of all people regardless of their demographic characteristics
- ☐ fostering personal development practices that bring out the skills and abilities of all workers
- ☐ teaching managers about the legal framework for equal employment opportunity

Check answer

Reset

2.6.2 In _____ cultures, similarity to supervisors is more important for predicting career advancement.

- ☐ collectivistic
- ☐ sociocentric
- ☐ egocentric
- ☐ peer-to-peer

Check answer

Reset

Summary

This chapter looked at diversity from many perspectives. We paid particular attention to three variables—biographical characteristics, abilities, and diversity programs. Diversity management must be an ongoing commitment that crosses all levels of the organization. Policies to improve the climate for diversity can be effective, and diversity management can be learned.

Implications for Managers

- Understand your organization's antidiscrimination policies thoroughly and share them with all employees.
- Assess and challenge your stereotype beliefs to increase your objectivity.
- Look beyond readily observable biographical characteristics and consider the individual's capabilities before making management decisions; remain open and encouraging for individuals to disclose any hidden disabilities.
- Fully evaluate what accommodations a person with disabilities will need and then fine-tune a job to that person's abilities.
- Seek to understand and respect the unique biographical characteristics of each individual; a fair but individualistic approach yields the best performance.

Affirmative Action Programs Have Outlived Their Usefulness

Point

U.S. Supreme Court Justice Sonia Sotomayor is arguably the Court's strongest supporter of affirmative action—in theory. In a recent case upholding the Michigan

ban on affirmative action for underrepresented races in state university admission practices, Justice Sotomayor refused to use the term. “Affirmative action,” she said, has the connotation of “intentional preferential treatment based on race alone.” Yes, it does. Isn’t that the point?

Affirmative action programs (AAPs) were needed to get the process of workplace diversity started, but that was all a long time ago. The practice, now outlawed in Arizona, California, Florida, Michigan, Nebraska, New Hampshire, Oklahoma, and Washington, raises the percentage of minority individuals but does not create a positive diversity climate. Here’s why:

- *Affirmative action lowers the standards for everyone by shifting the criteria for hiring from experience, education, and abilities to quotas based on race or other nonperformance attributes.* Performance standards for the organization are then effectively lowered. Groups not helped by the initiative will be resentful, which can lead to workplace discrimination. Individuals “helped” into the organization also suffer from perceptions of low self-competence (“I don’t know if I would have made it here if not for AAP”) and stereotype threat (“I’m afraid others can’t see me as competent because I was let in by the AAP”).
- *Research indicates that minorities are not helped by AAP in pursuing higher education.* In fact, a large-scale study showed that minority law students who attended schools best matched to their LSAT scores performed better than those who went to higher-ranked schools than their scores would warrant without affirmative action.
- *Some of the world’s AAPs have resulted in strife.* For example, Sri Lanka has suffered from civil wars partially caused by affirmative action that further polarized the Tamils and Shinalese. In Africa, the quota system to help blacks created a climate of race entitlement and marginalization of Indians. In fact, most countries have struggled with issues arising from affirmative action policies.

Affirmative action has outlived its usefulness in creating diversity, and it is time to create true equality by focusing on merit-based achievements.

Counterpoint

Affirmative action was enacted to ensure equality, and it's still needed today. When the United States was considering the issue for black minorities back in 1965, President Lyndon B. Johnson said, "You do not take a person who, for years, has been hobbled by chains and liberate him, bring him up to the starting line of a race and then say, 'You are free to compete with all the others,' and still justly believe that you have been completely fair." Dr. Martin Luther King Jr. agreed that, in order to create equal opportunity, proactive measures are needed as long as some people remain at a disadvantage. Therefore, what we should be asking is: Are minority groups faring as well as majority groups in the United States? No, they are not—not by any indicator.

South Africa has affirmative action for blacks through the Equal Employment Act; China has "preferential policies" that require that ethnic minorities and women be appointed to top government positions; Israel has a class-based affirmative action policy to promote women, Arabs, blacks, and people with disabilities; India has a policy of reservation, a form of affirmative action, for underrepresented castes; Sri Lanka has the "standardization" affirmative action policy to help those in areas with lower rates of education; Malaysia's New Economic Policy (NEP) provides advantage for the majority group, the Malays, who have lower income; Brazil, Finland, France, New Zealand, and Romania have education AAPs; Germany's Basic Law has AAPs for women and those with handicaps; Russia has quotas for women and ethnic minorities; and Canada's Employment Equity Act provides affirmative action to women, the disabled, aboriginal people, and visible minorities.

To be certain, fairness is in the eye of the beholder. Affirmative action provides opportunity, but then it is up to the individual to meet the expectations of schools or employers. As blogger Berneta Haynes wrote, "I'm not ashamed to admit that without affirmative action, I'm not certain I would be on the precipice of the law career that I'm at right now. As an African-American woman from a poor family, I have little doubt that affirmative action helped me get into college, earn a degree, and enroll in law school."

If we change anything about affirmative action, we should expand the program until the achievements of underserved groups fully match those of long-overprivileged groups.

affirmative-action-8-already-have/; B. Haynes, "Affirmative Action Helped Me," *Inside Higher Ed* (March 12, 2013), www.insidehighered.com/views/2013/03/12/affirmative-action-helped-me-and-benefits-society-essay; D. Leonhardt, "Rethinking Affirmative Action," *The New York Times* (October 13, 2012), www.nytimes.com/2012/10/14/sunday-review/rethinking-affirmative-action.html?pagewanted=all; L. M. Leslie, D. M. Mayer, and D. A. Kravitz, "The Stigma of Affirmative Action: A Stereotyping-Based Theory and Meta-Analytic Test of the Consequences for Performance," *Academy of Management Journal* 57, no. 4 (2014): 964–89; and B. Zimmer, "Affirmative Action's Hazy Definitions," *The Wall Street Journal* (April 26–27, 2014), C4.

Chapter Review

MyLab Management Discussion Questions

Go to www.pearson.com/mylab/management to complete the problems marked with this icon .

Questions for Review

- 2-1** What are the two major forms of workplace diversity?
- 2-2** How does workplace discrimination undermine organizational effectiveness?
- 2-3** How are the key biographical characteristics relevant to OB?
- 2-4** How do other differentiating characteristics factor into OB?
- 2-5** What are the relevant points of intellectual and physical abilities to organizational behavior?
- 2-6** How can organizations manage diversity effectively?

Application and Employability

Diversity, in a variety of forms, is important to the application of OB in the workplace. First, workplace discrimination can undermine the effectiveness of an organization and can lead to many poor outcomes. Beyond biographical characteristics, other factors such as intellectual and physical abilities are important to OB. Knowledge of diversity in OB can help you and your organization manage diversity effectively and can help you work effectively with coworkers who may be different than you in a variety of ways. In this chapter, you improved your critical thinking skills and learned various ways to approach issues of social

responsibility through encountering how even minor elements of one's appearance (e.g., baldness) can affect perceptions in the workplace, the considerations to make when deciding whether one should come out at work, and the usefulness and ethics surrounding affirmative action programs. In the following section, you will have more opportunities to develop these skills by recognizing the differences and similarities between you and your classmates, considering how moral licensing and tokenism operate in organizations, determining whether diversity training is effective, and examining the so-called encore career.

Experiential Exercise Helping Each Other and Finding Out We Aren't That Different.

Break into teams of four or five while trying to maximize internal diversity. Student take turns sharing with the others a problem that they are currently facing in their lives. Any problem can be presented; the only requirement is that the problem should be meaningful and important for the presenter. It can be a problem that students are facing at school, at work, in their sports or leisure activities, or in their personal life. Sample problems are: How can I find an internship? How can I improve my language abilities? Where could I travel for the weekend? And so forth. After each request is shared, all the other team members are asked to use their intellect, experience, network, or skills to figure out if they can help resolve the problem. Each problem must be discussed for a maximum of 7 minutes, and the presenter is invited to write down the advice received. After all the students' problems are discussed, team members are invited to discuss if and to what extent they are facing, or have faced in the past, problems similar to those of their classmates, regardless of their country of origin or educational background. The following questions can help in the team discussion:

- 2-7. Do you think that sharing personal problems and helping one another can create a positive climate that favors inclusion and appreciation of each other? What does this exercise teach you about how to manage diversity at work?
- 2-8. How could this experience be replicated in the workplace for discussing organization-related problems faced by people from different departments? Would you consider establishing a weekly meeting based on this exercise? Discuss the reasons for and reasons against establishing such a ritual.

Source: Inspired by the reciprocity ring exercise described in A. Grant, *Give and Take: Why Helping Others Drives Our Success* (Orion Publishing Co., 2013).

Ethical Dilemma Voiding the “License to Discriminate”

On April 15, 1947, Jackie Robinson became the first African American to play for the Brooklyn Dodgers, a Major League Baseball (MLB) team. Robinson was an excellent all-around player and eventually was elected to the Baseball Hall of Fame; but as the first black person on an MLB team, Robinson had to navigate the challenges of being permitted to join the white-dominated league and faced barriers toward “full participation” due to his race.

In the workplace, tokenism refers to minority members being hired into a position because they are different from other members and sometimes to serve as proof that the organization or group is nondiscriminatory. Once in their positions, tokens are given work that would be stereotypically suitable for their demographic. For example, women may be given stereotypically female tasks instead of other tasks that they would be perfectly capable of performing. By engaging in tokenism, organizations may fall prey to a moral licensing effect, where employers are more likely to engage in prejudicial or unethical behavior when they have initially behaved in a morally acceptable way (such as in believing that selecting or including one minority member is “proof” that the group is nondiscriminatory).

Questions

2-9. Can you think of other examples in which tokenism might emerge in the workplace?

What are they?

2-10. Organizations use a variety of diversity management strategies to make employees more aware of and sensitive to the needs of others. Do you think that these same practices may inadvertently (or intentionally) lead to tokenism or moral licensing?

Why or why not?

2-11. What do you think can be done to limit tokenism in workgroups and organizations?

Sources: Based on I. Blanken, N. van de Ven, and M. Zeelenberg, “A Meta-Analytic Review of Moral Licensing,”

Personality and Social Psychology Bulletin 41, no. 4 (2015): 540–558; Z. Clay, “Tokenism and Black America,” *Clutch: News & Opinion*, April 2013, <https://www.clutchmagonline.com/2013/04/dealing-with-tokenism-in-black-america/>; R.

Kanter, *Men and Women of the Corporation* (New York: Basic Books, 1977); and L. Zimmer, “Tokenism and Women in the Workplace: The Limits of Gender-Neutral Theory,” *Social Problems* 35, no. 1 (1988): 64–77.

Case Incident 1 Can Organizations Train Diversity?

In Covington, Louisiana, two police officers became certified as cultural diversity trainers. By taking on this role, they have committed to working with other members of the police department to help improve relations between police and the surrounding communities to save lives. Sgts. Jake Lehman and Detective Kevin Collins went to Norman, Oklahoma, where they became certified instructors through the Racial Intelligence Training & Engagement (RITE) academy. RITE seeks to assist police officers in learning ways to understand their biases and improve their communication skills by focusing on emotional and social intelligence, ultimately seeking to improve their ability to deescalate charged situations. “The idea is to deescalate whenever possible—which in turn will reduce use of force incidents,” their police chief Tim Lentz notes.

Many police and public safety departments across the United States are seeing a renewed push to implement or improve diversity training programs because of the contentious nationwide debate surrounding the use of excessive force by police against minorities. For example, a recent settlement between the U.S. Justice Department and the city of Ferguson, Missouri, required the hiring of a monitor to analyze patterns of arrest and force, diversity training for police, and the use of body cameras. These changes come in the wake of the tragedy in which Michael Brown, an 18-year-old unarmed black man, was fatally shot in 2014.

Overall, diversity training can take many shapes and forms. But how effective is it at improving an understanding of diversity and reducing prejudice? A large-scale review of over 250 independent studies found that trainees react positively to diversity training and that it appears to be quite effective at improving the way trainees think about diversity, although it affects behavior to a lesser degree. Overall, diversity training worked best when accompanied by other diversity management approaches that focused on both diversity skill development and awareness, and when continuously implemented over time (instead of just a one-time training exercise). Many have found that the most effective programs engage people in working toward diversity goals, increase contact among various demographic groups, and draw on people’s desire to help one another.

On the other hand, it appears as if many are not sold on the effectiveness of diversity training. For example, some note that there is a large obstacle to overcome: We are wired to

make quick interpretations and automatic judgments. According to the esteemed behavioral economist, Daniel Kahneman, “Trying to outsmart bias at the individual level is a bit of a fool’s errand, even with training. We are fundamentally overconfident ... so we make quick interpretations and automatic judgments.” Some diversity programs have failed because they too often attempt to control managers’ and employees’ behavior. Instead, many have advocated for changing the decision-making context and environment (changing the diversity policies and climate) so that employees can become more aware of their biases and make decisions that do not discriminate toward others.

Either way, managers across a variety of industries and contexts are motivated to implement diversity management activities in their organizations to promote equity and positive interactions among their employees.

Questions

- 2-12.** If you were to develop your own diversity training plan for an organization, what would you do? What parts of the training plan do you think would have to be present for it to work?
- 2-13.** A variety of industries have unique problems that come with a lack of understanding of diversity. Can you think of any industries struggling with a lack of diversity? How can diversity training be tailored to these industries?
- 2-14.** Do you think diversity training is effective? If so, what about it makes it effective? If not, what would you do to improve diversity outcomes in organizations?

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Case Incident 2 The Encore Career

Over the past century, the average age of the workforce has increased as medical science has continued to enhance longevity and vitality. As we discussed in this chapter, many individuals will work past the previously established ages of retirement, and the fastest-growing segment of the workforce is individuals over the age of 55.

Unfortunately, older workers face a variety of discriminatory attitudes in the workplace. Researchers scanned more than 100 publications on age discrimination to determine what types of age stereotypes were most prevalent across studies. They found that stereotypes inferred that older workers are lower performers. Research indicates that they are not, however, and organizations are realizing the benefits of this needed employee group.

Dale Sweere, HR director for engineering firm Stanley Consultants, is one of the growing number of management professionals actively recruiting older workers. Sweere says older workers “typically hit the ground running much quicker and they fit into the organization well.” They bring to the job a higher skill level earned through years of experience, remember an industry’s history, and know the aging customer base.

Tell that to the older worker who is unemployed. Older workers have long been sought by government contractors, financial firms, and consultants, according to Cornelia Gamlem, president of consulting firm GEMS Group Ltd., and she actively recruits them. However, the U.S. Bureau of Labor Statistics reports that the average job search for an unemployed worker over age 55 is 56 weeks, versus 38 weeks for the rest of the unemployed population.

Enter the encore career, also known as unretirement. Increasingly, older workers who aren’t finding fulfilling positions are seeking to opt out of traditional roles. After long careers in the workforce, an increasing number are embracing flexible, work-from-home options such as customer service positions. For instance, Olga Howard, 71, signed on as an independent contractor for 25–30 hours per week with Arise Virtual Solutions, handling questions for a financial software company after her long-term career ended. Others are starting up new businesses. Chris Farrell, author of *Unretirement*, said, “Older people are starting businesses more than any other age group.” Others funnel into nonprofit organizations, where the pay may not equal the individual’s previous earning power, but the mission is strong. “They need the money and the meaning,” said Encore.org CEO Marc Freedman. Still others are gaining additional education, such as Japan’s “silver

entrepreneurs,” who have benefited from the country’s tax credits for training older workers.

Individuals who embark on a second-act career often report they are very fulfilled. However, the loss of workers from their long-standing careers may be undesirable. “In this knowledge economy, the retention of older workers gives employers a competitive edge by allowing them to continue to tap a generation of knowledge and skill,” said Mark Schmit, executive director of the Society for Human Resource Management (SHRM) Foundation. “New thinking by HR professionals and employers will be required to recruit and retain them. Otherwise, organizations’ greatest asset will walk out the door.”

Questions

- 2-15.** What changes in employment relationships are likely to occur as the population ages?
- 2-16.** Do you think increasing age diversity will create new challenges for managers? What types of challenges do you expect will be most profound?
- 2-17.** How can organizations cope with differences related to age discrimination in the workplace? How can older employees help?

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MyLab Management Writing Assignments

If your instructor has assigned this activity, go to www.pearson.com/mylab/management for the following assisted-graded writing assignments:

- 2-18.** In relation to this chapter’s Ethical Dilemma, one recent study found that employees may go out of their way to behave in a morally appropriate fashion after they have done something wrong (or have been accused of doing something wrong). For example, an employee accused of prejudice may go out of his or her way to prove that he or she is not prejudiced by being kinder or

more welcoming toward the accuser. Do you think these findings mesh well with the moral licensing and tokenism phenomena? Why or why not?

2-19. Now that you've read the chapter and Case Incident 2, do you think organizations should work harder to retain and hire older workers? Why or why not?

2-20. MyLab Management only—additional assisted-graded writing assignment.

Endnotes

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End of Chapter Quiz

Test Your Understanding

1 The two major forms of workforce diversity are _____ and _____.

- ☐ surface-level diversity and deep-level diversity
- ☐ surface-level diversity and lateral-level diversity
- ☐ organizational-level diversity and individual-level diversity
- ☐ lateral-level diversity and deep-level diversity

Check answer

Reset

2 Although diversity does present many opportunities for organizations, effective diversity management means also working to eliminate _____.

- ☐ surface-level diversity
- ☐ unfair discrimination
- ☐ ethnic diversity
- ☐ irrelevant biographical characteristics

Check answer

Reset

3 Recently, Thadius announced that he and his partner Ryan were planning to marry. Since this time, Thadius has no longer been invited to lunch with the members of his team and was not asked to play in the inter-departmental softball league this year. Thadius is experiencing which form of discrimination?

- ☐ sexual harassment
- ☐ intimidation
- ☐ insult
- ☐ exclusion

Check answer

Reset

4 Which of the following statements represents findings from studies of the age-turnover relationship?

- ☐ The older you get, the less likely you are to be satisfied with your job.
- ☐ The older you get, the less likely you are to quit your job.
- ☐ The older you get, the more likely you are to equip yourself with new skills.
- ☐ The older you get, the more likely you are to take a leave of absence.

Check answer

Reset

5 _____ is defined as the biological heritage people use to identify themselves.

- ☐ Race
- ☐ Diversity
- ☐ Culture
- ☐ Civilization

Check answer

Reset

6 Research shows which form of discrimination can result in the highest levels of psychological stress?

- ☐ intimidation
- ☐ exclusive practices
- ☐ sexual harassment
- ☐ mockery

Check answer

Reset

7 One of the most controversial aspects of the ADA is the provision that requires employers to make reasonable accommodations for people with _____.

- psychiatric disabilities
- physical disabilities
- learning disabilities
- medical disabilities

Check answer

Reset

8 Alton, a mid-level manager for Knockaround Clothing in charge of monthly inventory, often participates in quarterly meetings of the Cherokee Nation in Tahlequah, Oklahoma. Alton's supervisors' allowing him flextime to attend these meetings embrace Alton's _____.

- ☐ religion
- ☐ cultural identity
- ☐ abilities
- ☐ ethnicity

Check answer

Reset

9 Jared was raised on a cattle farm and currently works as a civil engineer. When Jared recently represented his company at a formal dinner, his supervisor was surprised to see Jared wearing an expensive suit with cowboy boots. Jared's boots would be an example of his _____.

- ☐ religion
- ☐ cultural identity
- ☐ abilities
- ☐ ethnicity

Check answer

Reset

10 Hassan is a server at a popular restaurant. He addresses all his customers by their first names. Which of the following dimensions of intellectual ability does this skill accurately refer to?

- ☐ memory
- ☐ inductive reasoning
- ☐ deductive reasoning
- ☐ spatial visualization

Check answer

Reset

11 Aria can calculate and juggle numbers in her head. Which of the following dimensions of intellectual ability does her skill reflect?

- number aptitude
- perceptual speed
- spatial visualization

☐ deductive reasoning

Check answer

Reset

12 _____ is the ability to maintain equilibrium despite forces pulling off equilibrium.

- ☐ Extent flexibility
- ☐ Dynamic strength
- ☐ Balance
- ☐ Stamina

Check answer

Reset

13 _____ is the ability to direct the simultaneous actions of different parts of the body.

- ☐ Stamina
- ☐ Body coordination
- ☐ Balance
- ☐ Dynamic flexibility

Check answer

Reset

14 Which of the following options does not suggest that diversity experiences are more likely to lead to positive adaptation for all parties?

- ☐ if the positive experience of stereotype undermining is repeated frequently
- ☐ if the perceiver engages in stereotype suppression and generative thought in response to the diversity experience
- ☐ if the perceiver is perceived to be stereotypical and if his message is undermined by the audience
- ☐ if the diversity experience undermines stereotypical attitudes

Check answer

Reset

15 In _____ cultures, similarity to peers is more important for predicting career advancement.

- ☐ egalitarian
- ☐ individualistic
- ☐ collectivistic
- ☐ affective

Check answer

Reset

3

Attitudes and Job Satisfaction



Source: Richard McDowell/Alamy Stock Photo

Learning Objectives

After studying this chapter, you should be able to:

- 3-1** Contrast the three components of an attitude.
- 3-2** Summarize the relationship between attitudes and behavior.
- 3-3** Compare the major job attitudes.
- 3-4** Define *job satisfaction*.
- 3-5** Summarize the main causes of job satisfaction.

3-6 Identify three outcomes of job satisfaction.

3-7 Identify four employee responses to job dissatisfaction.

This matrix identifies which features and end-of-chapter material will help you develop specific skills employers are looking for in job candidates.

Employability Skills Matrix (ESM)

	Myth or Science?	Career Objectives	An Ethical Choice	Point/Counterpoint	Experiential Exercise	Ethical Dilemma
Critical Thinking		✓	✓	✓	✓	✓
Communication	✓	✓	✓		✓	✓
Collaboration			✓	✓		
Knowledge Application and Analysis	✓	✓			✓	
Social Responsibility	✓		✓	✓		✓

MyLab Management Chapter Warm Up

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the chapter warm up.

In The Legoland Wonderland

Imagine working in a work place divided into flexible work zones with no specific seating arrangements and no offices for managers, where you can choose to work in different settings that can support the activities or tasks you are performing, within an environment that can provide the ambience that helps you perform at your best. Imagine a workplace that has a variety of spaces that support different types of individual work as well as teamwork, a workplace that includes a library, quiet-zone booths (which are do-not-disturb places), areas that are equipped with high partitions for “head down” work, as well as small, closed rooms for complete privacy and circular “study caves” carved out of a wall for individual contemplation or rest. A workplace where technology enhances job satisfaction and innovation plays a key role, and where creativity is constantly stimulated in various ways. A workplace that, apart from the workspace, includes a wellness center (containing gyms, massage rooms, a swimming pool, a multi-use indoor sports pitch, and more), a rooftop garden split over multiple storeys, and cafes where you can grab healthy and reenergizing food and beverages. This has been the vision, and ultimately the reality, for Lego’s work environment set-up.

Some will wonder, why go to such lengths to create such an office environment? Lego shares a philosophy with Google, Microsoft, and Facebook that their staff must be encouraged to be creative and to become, and they seek to achieve this by providing exemplary working environments. They have embedded in their organizational culture the belief that employees’ momentum and wellbeing is key to improving job satisfaction. Sophie Patrikios, Senior Director of Consumer Services at Lego, has stated that the leadership at Lego is always supportive and driven by a clear vision; it is not fixated on numbers but on the core values of the company deriving from its vision. Conversely, behaviors that are not in line with the values and the vision of the company have no place in it. The company seeks to instill its values and vision by encouraging management to allow space for creativity and initiative.

Many at Lego will aver that thinking and behaving like this is in the company’s DNA, linked to their famous bricks, an outlet for creativity of many a child (and adult). Others would add that this company has an authentic reverence for its employees, seeking not just to appeal to their minds in motivating performance but also to their hearts. More prosaically, others will see this as a way to re-engineer traditional HR to ensure a happy workforce for an

ultimately profitable workplace. But if all these play an important role in employees' overall job satisfaction—and of course they do indeed—how do these elements actually affect the way they formulate their attitudes about the company's human resource management philosophy and approach?

Sources: Business Insider, "8 Reasons Why Working at Facebook Is Better than Working at Google," April 28, 2016, <http://uk.businessinsider.com/why-its-better-to-work-at-facebook-than-google-2015-4>; Alex Hern, *The Guardian*, "Google Submits Plans for 'Landscraper' London Headquarters," June 1, 2017, <https://www.theguardian.com/technology/2017/jun/01/google-submits-plans-million-sq-ft-london-hq-construction-kings-cross>; The Long + Short, "Hot Desks: Inside LEGO's Imaginative London Office," July 11, 2016, <https://thelongandshort.org/spaces/lego-creative-london-hq>; Indeed, "Lego Group Company Reviews by Employees," <https://www.indeed.co.uk/cmp/The-Lego-Group/reviews>; *Financial Times*, "Happy Workplaces Help Companies Perform Better," December 20, 2017, <https://www.ft.com/content/6081b1fc-d0b2-11e5-92a1-c5e23ef99c77>; Inside, "A Great Company Culture Example: LEGO," December 20, 2017, <https://inside.6q.io/company-culture-example-lego/>.

It's a truism to say that a happy worker is a productive worker. As the chapter-opening vignette shows, however, what contributes to the development of job attitudes varies and may change over time. What factors besides organizational culture, leadership, and infrastructure affect job attitudes?¹ Does having a satisfying job really matter? Before we tackle these important questions, it's important to define what we mean by attitudes generally and by job attitudes in particular.

MyLab Management Watch It

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the video exercise.

Gawker Media Attitudes and Job Satisfaction

Watch it video.

A **transcript** of this video is available [here](#).

Transcript

Gawker Media Attitudes and Job Satisfaction

>> In the world of modern editorial media attitude

>> is everything.

>> Today's criticism can be snarky, sarcastic

>> and at times even accusative.

>> Websites like Gawker, a celebrity expose

>> and entertainment industry gossip blog,

>> don't just earn their readership with content though it is rich

>> in thought and often scathingly accurate,

>> they earn it with attitude.

>> So I used to put more store by management ability

>> to keep often top level of editors

>> and so sometimes we would hire people who seem

>> to be a safe pair of hands.

>> And our experience generally with those hires as being poor,

>> we need a little bit of crazy but not so crazy

>> that somebody is dysfunctional within the organization.

>> And I think we've broadly found that balance.

>> To lock down that attitude in his Websites,

>> Nick has to make sure that the people he hires are a great fit

>> for Gawker Media's culture.

>> What makes a good Gawker Media employee is the same thing

>> that makes a good employee at any traditional media outlet.

>> And that's someone with a hunger for stories,

>> someone who's willing to do whatever's necessary in order

>> to be able to get their story and get the scoop.

>> ... actually also had writers and editors have succeeded

>> by being great photo editors,

>> by providing awesome aggregated links to stories around the Web.

>> To be successful a Gawker writer has

>> to have some old school journalistic discipline.

>> He or she has to smell a great story,

>> aggressively uncover the facts behind it and quickly

>> and professionally weave it all together

>> into a compelling framework.

>> I also think that it's important

>> for a Gawker media employee to be able to deal well

>> with a situation where they are not based in a home office

>> but based instead in their own homes.

>> We have a network of employees who are

>> across the country and across the globe.

>> And being able to deal with that is something

>> that doesn't come naturally to many traditional media employees

>> who are used to dealing with a newsroom type environment

>> where they have a constantly surrounded by other people

>> who they're working with.

>> A great hire will normally be interested

>> in the subject they come to write about so the opportunity

>> for job satisfaction is high at Gawker.

>> It's extraordinarily important that a writer loves the subject

>> that they're talking about.

>> If they're not it comes across in their writing.

>> It's just something that just doesn't read as being enjoyable.

>> I think for me, I love cars, I love writing about cars,

>> I love talking about cars, I love driving cars

>> and I wouldn't be doing this if I didn't love it.

>> And I look for employees who also love cars.

>> Yes it's important that they can do things like write well,

>> it's important they can do things like find a story

>> but it's also important that they love what they're talking

>> about because if they don't then the story fails no matter how

>> good it is.

>> It's important that you align yourself what you're most

>> passionate about.

>> Once the staff at the main headquarters stumbled

>> across an online commenter to their Gawker site who was brash,

>> scathingly funny and dead on in his observations.

>> Adored by all the other readers and thought

>> that he was fantastic and witty and brilliant

>> and he seemed to comment a lot.

>> And no one knew who he was because people were anonymous.

>> And at one point Nick said, I feel sorry for his employer

>> because the guy whoever this person is

>> because he does no work, they're on our site all day long.

>> Well a little investigation turned up the culprit

>> in a junior sales position in Gawker's own offices.

>> The man wasn't fired, on the contrary, his great style

>> and insight earned him a job as a writer for the site.

>> So it's kind of a great story that if you are great at writing

>> and you're great at your job it doesn't matter where you came

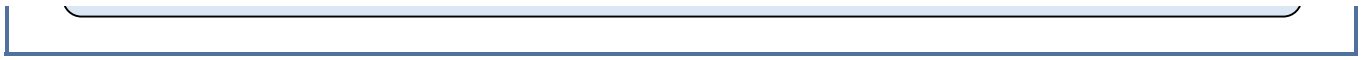
>> from and what you were doing first.

>> And several people in the company have moved from one role

>> into another on that basis.

>> His sister actually works here as well.

>> [music]



Attitudes

3-1 Contrast the three components of an attitude.

Attitudes ⓘ are evaluative statements—either favorable or unfavorable—about objects, people, or events. They reflect how we feel about something. When you say, “I like my job,” you are expressing your attitude about your work.

Attitudes are complex. If you ask people about their attitude toward religion, Lady Gaga, or an organization, you may get a simple response, but the underlying reasons are probably complicated. To fully understand attitudes, we must consider their fundamental properties or components.

Typically, researchers assume that attitudes have three components: cognition, affect, and behavior.² The statement “My pay is low” is a **cognitive component** ⓘ of an attitude—a description of or belief in the way things are. It sets the stage for the more critical part of an attitude—its **affective component** ⓘ. Affect is the emotional or feeling segment of an attitude reflected in the statement, “I am angry over how little I’m paid.” Affect can lead to behavioral outcomes. The **behavioral component** ⓘ of an attitude describes an intention to behave a certain way toward someone or something—as in, “I’m going to look for another job that pays better.”

Viewing attitudes as having three components—affect, behavior, and cognition (e.g., the ABCs of attitudes)—helps understand their complexity and the potential relationship between attitudes and behavior. For example, imagine you (just now) realized that someone treated you unfairly. Aren’t you likely to have almost instantaneous feelings occurring along with this realization? Thus, cognition and affect are intertwined.

Exhibit 3-1 illustrates how the three components of an attitude are related. In this example, an employee didn’t get a promotion he thought he deserved. His attitude toward his supervisor is illustrated as follows: The employee thought he deserved the promotion (cognition), he strongly dislikes his supervisor (affect), and he has complained and taken action (behavior).



In organizations, attitudes are important for their behavioral component. For example, if workers vary in how committed they are to their organizations and this

commitment can lead to whether or not they stay or leave their jobs, we should try to understand how this commitment is formed and how it might be changed. Some research from the Netherlands suggests that, with organizational commitment, prior cognition and behavior both cause affect, although these components are often difficult to separate.³

Exhibit 3-1 The Components of an Attitude



Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

3.1.1 The emotional or feeling component of a person's attitude is called _____.

- complex understanding
- the cognitive component

- ☐ the affective component
- ☐ a complex attitude

Check answer

Reset

3.1.2 The belief that 'violence is wrong' is an evaluative statement. Such an opinion constitutes the _____ component of an attitude.

- ☐ cognitive
- ☐ affective
- ☐ reflective
- ☐ behavioral

Check answer

Reset

Attitudes and Behavior

3-2 Summarize the relationship between attitudes and behavior.

Early research on attitudes assumed that they were causally related to behavior—that is, the attitudes people hold determine what they do. However, one researcher—Leon Festinger—argued that attitudes *follow* behavior. Other researchers have agreed that attitudes predict future behavior.⁴

Did you ever notice how people change what they say so it doesn't contradict what they do? Perhaps a friend of yours consistently argued that her apartment complex was better than yours until another friend in your complex asked her to move in with him; once she moved to your complex, you noticed her attitude toward her former apartment became more critical. Cases of attitude following behavior illustrate the effects of **cognitive dissonance** ⓘ,⁵ contradictions individuals might perceive between their attitudes and their behavior.

People seek a stable consistency among their attitudes and between their attitudes and their behavior.⁶ Any form of inconsistency is uncomfortable, and individuals therefore attempt to reduce or minimize it. When there is dissonance, people alter either their attitudes or behavior to minimize the dissonance, or they develop a rationalization for the discrepancy. Recent research found, for instance, that the attitudes of employees who had emotionally challenging work events improved after they talked about their experiences with coworkers. Social sharing helped these workers adjust their attitudes to behavioral expectations.⁷

No individual can avoid dissonance. You know texting while walking is unsafe, but you do it anyway and convince yourself that nothing bad will happen. Or you give someone advice you have trouble following yourself. The desire to reduce dissonance depends on three factors, including the *importance* of the elements creating dissonance and the degree of *influence* we believe we have over the elements. The third factor is the *rewards* of dissonance; high rewards accompanying high dissonance tend to reduce tension inherent in the dissonance (dissonance is less distressing if accompanied by something good, such as a higher pay raise than expected). Individuals are more motivated to reduce dissonance when the attitudes are important or when they believe the dissonance is due to something they can control.



Westin Hotels strives for consistency between employee attitudes and behavior through a global wellness program to help employees improve their health. Shown here is Westin's executive chef, Frank Tujague, whose cooking demonstrations give employees direct experience with healthy ingredients and cooking techniques.

Source: Diane Bondareff/AP Images

The most powerful moderators of the attitude–behavior relationship are the *importance* of the attitude, its *correspondence to behavior*, its *accessibility*, the presence of *social pressures*, and whether a person has *direct experience* with the attitude.⁸ Important attitudes reflect our fundamental values, self-interest, or identification with individuals or groups we value. These attitudes tend to show a strong relationship to our behavior. However, discrepancies between attitudes and behaviors tend to occur when social pressures to behave in certain ways hold exceptional power, as in most organizations. You're more likely to remember attitudes you frequently express, and attitudes that our memories can easily access are more likely to predict our behavior. The attitude–behavior relationship is also likely to be much stronger if an attitude refers to something with which we have direct personal experience.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

3.2.1 Any incompatibility between two or more attitudes or between behavior and attitudes results in _____.

- ☐ organizational dissonance
- ☐ cognitive dissonance
- ☐ attitudinal clarification
- ☐ values clarification

Check answer

Reset

3.2.2 Which of the following is not a moderating variable of the attitude-behavior relationship?

- ☐ direct experience
- ☐ correspondence to behavior
- ☐ power
- ☐ accessibility

Check answer

Reset

Job Attitudes

3-3 Compare the major job attitudes.

We have thousands of attitudes, but Organizational Behavior (OB) focuses on a very limited number that form positive or negative evaluations that employees hold about their work environments. Much of the research has looked at three attitudes: job satisfaction, job involvement, and organizational commitment.⁹ Other important attitudes include perceived organizational support and employee engagement.

Job Satisfaction and Job Involvement

When people speak of employee attitudes, they usually mean **job satisfaction** ⓘ, a positive feeling about a job resulting from an evaluation of its characteristics. A person with high job satisfaction holds positive feelings about the work, while a person with low satisfaction holds negative feelings. Because OB researchers give job satisfaction high importance, we'll review this attitude in detail later.

An Ethical Choice

Office Talk

You are working peacefully in your cubicle when your coworker invades your space, sitting on your desk and nearly overturning your coffee. As she talks about the morning meeting, do you: (a) stop what you're doing and listen, or (b) explain that you're in the middle of a project and ask to talk some other time?

Your answer may reflect your attitude toward office talk, but it should be guided by whether your participation is ethical. Sometimes, office conversations can help employees to process information and find solutions to problems. Other times, office talk can be damaging to everyone. Consider the scenario from two perspectives: oversharing and venting.

More than 60 percent of 514 professional employees recently surveyed indicated they encounter individuals who frequently share too much about themselves. Some are self-centered, narcissistic, and “think you want to know all the details of their lives,” according to psychologist Alan Hilfer.

Despite the drawbacks, oversharers can be strong contributors. Billy Bauer, director of marketing for manufacturer Royce Leather, is an oversharer who boasts about his latest sales—which may push other employees to work harder. Employees can also contribute to teamwork when they share personal stories related to organizational goals.

Now let’s look at this the other way. According to Yale Professor Amy Wrzesniewski, when it comes to office talk, some people are often “the first people to become offended” when they think the organization is making wrong decisions. They can become emotional, challenging, and outspoken about their views. If they are not heard, they can increase their venting or withdraw.

Yet these people can be top-performing employees: They are often highly engaged, inspiring, and strong team players who are more likely to work harder than others. Venting their frustrations helps restore a positive attitude to keep them high performing. Research indicates that venting to coworkers can also build camaraderie.

Guidelines for acceptable office conversation are almost nonexistent in the contemporary age of openness, personalization, and transparency, so you must decide what kinds of office talk are ethical and productive. Knowing who is approaching you for conversation, why they are approaching you, what they may talk about, and how you may keep the discussion productive and ethical can help you choose whether to engage or excuse yourself.

Sources: Based on S. Shellenbarger, “Office Oversharers: Don’t Tell Us about Last Night,” *The Wall Street Journal*, June 25, 2014, D2; A. S. McCance, C. D. Nye, L. Wang, K. S. Jones, and C. Chiu, “Alleviating the Burden of Emotional Labor: The Role of Social Sharing,” *Journal of Management* (February 2013): 392–415; S. Shellenbarger, “When It Comes to Work, Can You Care Too Much?” *The Wall Street Journal*, April 30, 2014, D3; and F. Gino, “Teams Who Share Personal Stories are More Effective,” *Harvard Business Review*, April 25, 2016, <https://hbr.org/2016/04/teams-who-share-personal-stories-are-more-effective>.

Related to job satisfaction is **job involvement** ⓘ, the degree to which people identify

psychologically with their jobs and consider their perceived performance levels important to their self-worth.¹⁰ Employees with high job involvement strongly identify with and care about the kind of work they do. Another closely related concept is **psychological empowerment** ⓘ, or employees' beliefs in the degree to which they influence their work environment, their competencies, the meaningfulness of their job, and their autonomy.¹¹

Research suggests that psychological empowerment strongly predicts job attitudes and strain, while it moderately predicts performance behaviors. A meta-analysis spanning 43 studies and over 15,000 employees found that empowerment tended to be more predictive of these outcomes when considering all four beliefs (i.e., impact, competence, meaningfulness, and self-determination) together instead of each one separately, although some evidence suggests meaningfulness empowerment beliefs have a strong effect on attitudes and strain, even after taking the other factors into account.¹²

Organizational Commitment

An employee with strong **organizational commitment** ⓘ identifies with his or her organization and its goals and wishes to remain a member. Emotional attachment to an organization and belief in its values is the gold standard for employee commitment.¹³

Employees who are committed will be less likely to engage in work withdrawal even if they are dissatisfied because they feel that they should work hard out of a sense of loyalty or attachment. They do not have other options, or it would be difficult to leave.¹⁴ Even if employees are not currently happy with their work, they may decide to continue with the organization if they are committed enough.

Perceived Organizational Support

Perceived organizational support (POS) ⓘ is the degree to which employees believe that the organization values their contributions and cares about their well-being. An excellent example is R&D engineer John Greene, whose POS is sky-high because CEO Marc Benioff and 350 fellow Salesforce.com employees covered all his medical expenses and stayed in touch with him throughout his recovery after he was diagnosed with leukemia. No doubt stories like this are part of the reason Salesforce.com was in the top 25 of *Fortune's* 100 Best Companies to Work For in 2017.¹⁵



People perceive their organizations as supportive when rewards are deemed fair, employees have a voice in decisions, and they see their supervisors as supportive.¹⁶ POS is a predictor, but there are some cultural influences. POS is important in countries where the **power distance** ⓘ, the degree to which people in a country accept that power in institutions and organizations is distributed unequally, is lower. In low power-distance countries like the United States, people are more likely to view work as an exchange than as a moral obligation, so employees look for reasons to feel supported by their organizations. In high power-distance countries like China, employee POS perceptions are not as deeply based on demonstrations of fairness, support, and encouragement.¹⁷

Employee Engagement

Employee engagement ⓘ is an employee's involvement with, satisfaction with, and enthusiasm for the work he or she does. To evaluate engagement, we might ask employees whether they have access to resources and opportunities to learn new skills, whether they feel their work is important and meaningful, and whether interactions with coworkers and supervisors are rewarding.¹⁸ Highly engaged employees have a passion for their work and feel a deep connection to their companies; disengaged employees have essentially checked out, putting time but not energy or attention into their work. Engagement becomes a real concern for most organizations because surveys indicate that few employees—between 17 percent and 29 percent—are highly engaged by their work.

Engagement levels determine many measurable outcomes. Reviews of the research on employee engagement suggest that employee engagement is moderately related to employee and organizational performance. A study of nearly 8,000 business units in 36 companies found that units whose employees reported high-average levels of engagement achieved higher levels of customer satisfaction, were more productive, brought in higher profits, and experienced lower levels of turnover and accidents than at other business units.¹⁹ Molson Coors, for example, found engaged employees were five times less likely to have safety incidents, and when an accident did occur, it was much less serious and less costly for an engaged employee than for a disengaged one (\$63 per incident versus \$392). Caterpillar set out to increase employee engagement and recorded a resulting 80 percent drop in grievances and a 34 percent increase in highly satisfied customers.²⁰



Performers smiling at guests at Main Street U.S.A. in Disney's Magic Kingdom are committed to the company and its goal of giving visitors a magical and memorable experience. Through careful hiring and extensive training, Disney ensures that employees identify with its priority of pleasing customers by creating an unforgettable experience for them.

Source: Blaine Harrington/Age Fotostock/Alamy Stock Photo

Such promising findings have earned employee engagement a following in many business organizations and management consulting firms. However, the concept generates active debate about its usefulness, partly because of the difficulty of separating it from related constructs. For example, some note that employee engagement has been used to refer at different times to a variety of different organizational phenomena, including psychological states, personality traits, and behaviors. They suggest, “The meaning of employee engagement is ambiguous among both academic researchers and among practitioners who use it in conversations with clients.” Another reviewer called engagement “an umbrella term for whatever one wants it to be.”²¹ Another study found that many of the survey questions used to measure employee engagement are similar to those found in satisfaction, commitment, and involvement measures.²² Other meta-analytic research suggests that the relationship between employee engagement and job attitudes is extremely strong, leading one to question whether or not they are measuring distinct concepts.²³ For the most part, research suggests that employee engagement predicts important outcomes. For the most part, however, the amassed work to date calls into question how distinct it is from other job attitudes. Thus, there is still work to be done.

Are These Job Attitudes All That Distinct?

You might wonder whether job attitudes are, in fact, distinct. If people feel like their work is central to their being (high job involvement), isn't it probable that they like it, too (high job satisfaction)? Won't people who think their organization is supportive (high perceived organizational support) also feel committed to it (strong organizational commitment)? Evidence suggests these attitudes *are* highly related, perhaps to a confusing degree as mentioned in the prior section.

There is some distinctiveness among attitudes, but they overlap greatly for various reasons, including the employee's personality. Generally, if you know someone's level of job satisfaction, you know most of what you need to know about how that person sees the organization. Next, we will consider the implications of job satisfaction and then job dissatisfaction.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

3.3.1 What refers to a positive feeling about a job, resulting from an evaluation of its characteristics?

- ☐ job satisfaction
- ☐ job involvement
- ☐ job stability
- ☐ organizational commitment

Check answer

Reset

3.3.2 Employees' beliefs in the degree to which they influence their work environment, their competence, the meaningfulness of their job, and their perceived autonomy is termed as _____.

- psychological empowerment
- organizational commitment

- ☐ perceived organizational support
- ☐ employee engagement

Check answer

Reset

Job Satisfaction

3-4 Define *job satisfaction*.

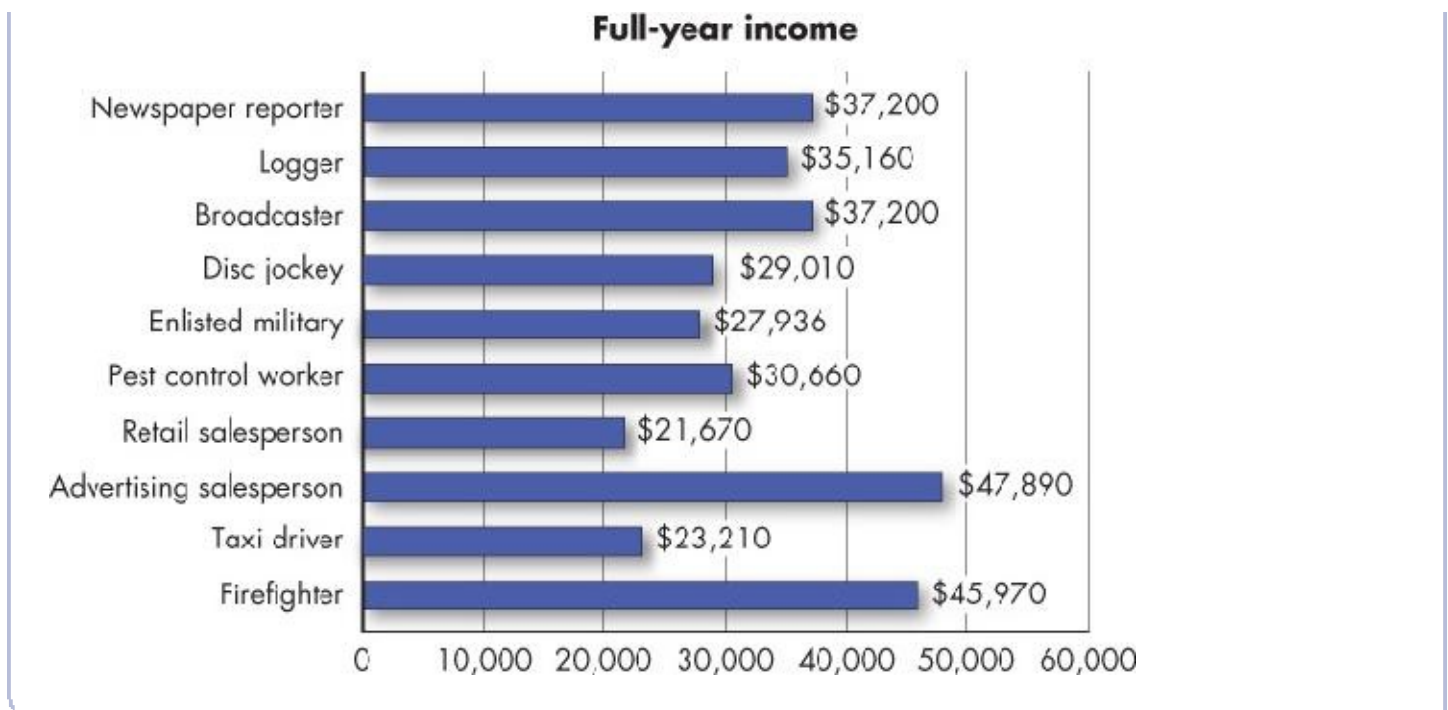
We have already discussed job satisfaction briefly. Now let's dissect the concept more carefully. How do we measure job satisfaction? What causes an employee to have a high level of job satisfaction? How do satisfied employees affect an organization? Before you answer these questions, a look at the list of worst jobs for job satisfaction (Exhibit 3-2) may give you some indications. You may be surprised that they are not all low-paying jobs.

Measuring Job Satisfaction

Our definition of job satisfaction—a positive feeling about a job resulting from an evaluation of its characteristics—is broad. Yet that breadth is appropriate. A job is more than just shuffling papers, writing programming code, waiting on customers, or driving a truck. Jobs require interacting with coworkers and bosses, following organizational rules and policies, determining the power structure, meeting performance standards, living with less-than-ideal working conditions, adapting to new technology, and so forth. An employee's assessment of satisfaction with the job is thus a complex summation of many discrete elements. How, then, do we measure it?

Two approaches are popular. The single global rating is a response to one question, such as “All things considered, how satisfied are you with your job?” Respondents circle a number between 1 and 5 on a scale from “highly satisfied” to “highly dissatisfied.” The second method, the summation of job facets, is more sophisticated. It identifies key elements in a job such as the type of work, skills needed, supervision, present pay, promotion opportunities, culture, and relationships with coworkers. Respondents rate these on a standardized scale, and researchers add the ratings to create an overall job satisfaction score.

Exhibit 3-2 Worst Jobs of 2016 for Job Satisfaction*



*Based on physical demands, work environment, income, stress, and hiring outlook.

Source: Based on CareerCast.com (2016), <http://www.careercast.com/jobs-rated/worst-jobs-2016>.

Is one of these approaches superior? Summing up responses to a number of job factors seems, based on one's intuition, likely to achieve a more accurate evaluation of job satisfaction. Research doesn't entirely support this approach, however.²⁴ This is one of those rare instances in which simplicity seems to work as well as complexity, making one method essentially as valid as the other. Both methods can be helpful. The single global rating method isn't very time consuming, while the summation of job facets helps managers zero in on problems and deal with them faster and more accurately.

How Satisfied Are People in Their Jobs?

Are most people satisfied with their jobs? You may want to consider the OB Poll before you answer. Job satisfaction levels can remain quite consistent over time. For instance, U.S. average job satisfaction levels were consistently high from 1972 to 2006.²⁵ However, economic conditions tend to influence job satisfaction rates. In late 2007, the economic contraction precipitated a drop-off in job satisfaction; the lowest point was in 2010, when 42.6 percent of U.S. workers reported satisfaction with their jobs.²⁶ Approximately 47.7 percent of U.S. workers reported satisfaction with their jobs in 2014,²⁷ but the rebound was still far off the 1987 level of 61.1 percent.²⁸ Job satisfaction rates tend to vary in different

cultures worldwide, and, of course, there are always competing measurements that offer alternative viewpoints.

The facets of job satisfaction levels can vary widely. As shown in Exhibit 3-3, people have typically been more satisfied with their jobs overall, the work itself, and their supervisors and coworkers than they have been with their pay and promotion opportunities.



There are some cultural differences in job satisfaction. Exhibit 3-4 provides the results of a global study of job satisfaction levels of workers in 15 countries, with the highest levels in Mexico and Switzerland. Do employees in these cultures have better jobs? Or are they simply more positive (and less self-critical)? Conversely, the lowest score in the study was for South Korea. Autonomy is low in South Korean culture, and businesses tend to be rigidly hierarchical in structure. Does this make for low job satisfaction?²⁹ It is difficult to discern all the factors influencing the scores, but considering how businesses are responding to changes brought on by globalization may give us clues.



Sources: Based on Statista (2013), <http://www.statista.com/statistics/224508/employee-job-satisfaction-worldwide/>; Kelly Services Group

(2012), http://www.kellyocg.com/uploadedFiles/Content/Knowledge/Kelly_Global_Workforce_Index_Content/Acquisition%20the%20War%20for%20Talent%20Report.pdf.

Exhibit 3-3 Average Job Satisfaction Levels by Facet

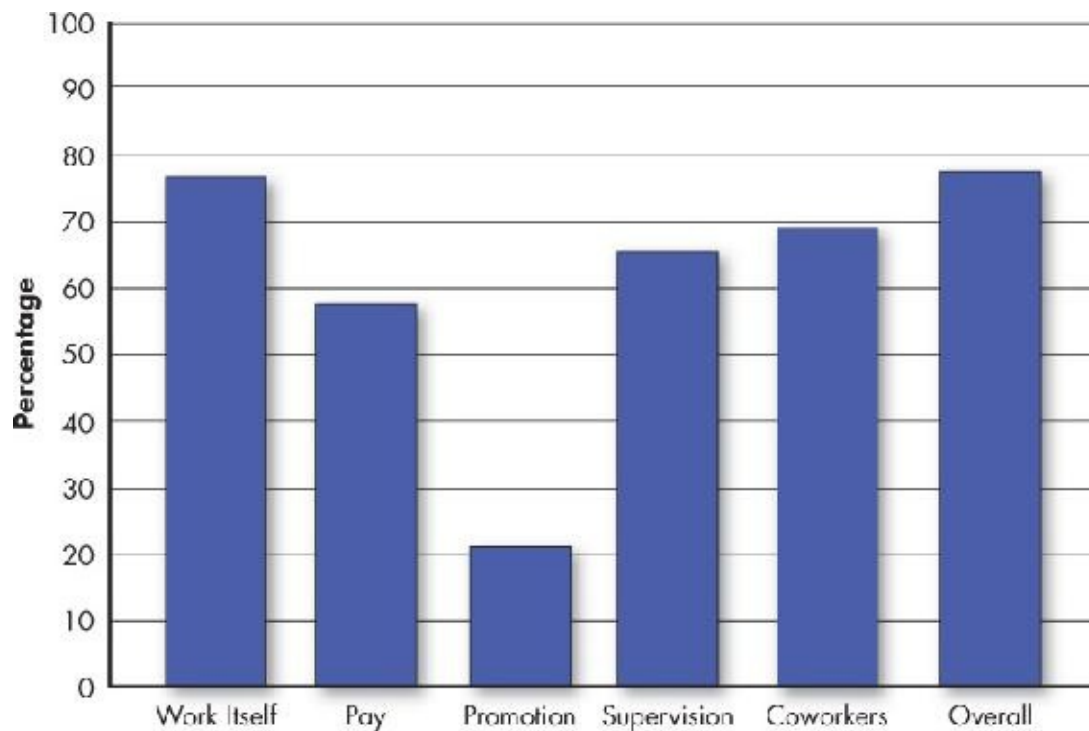
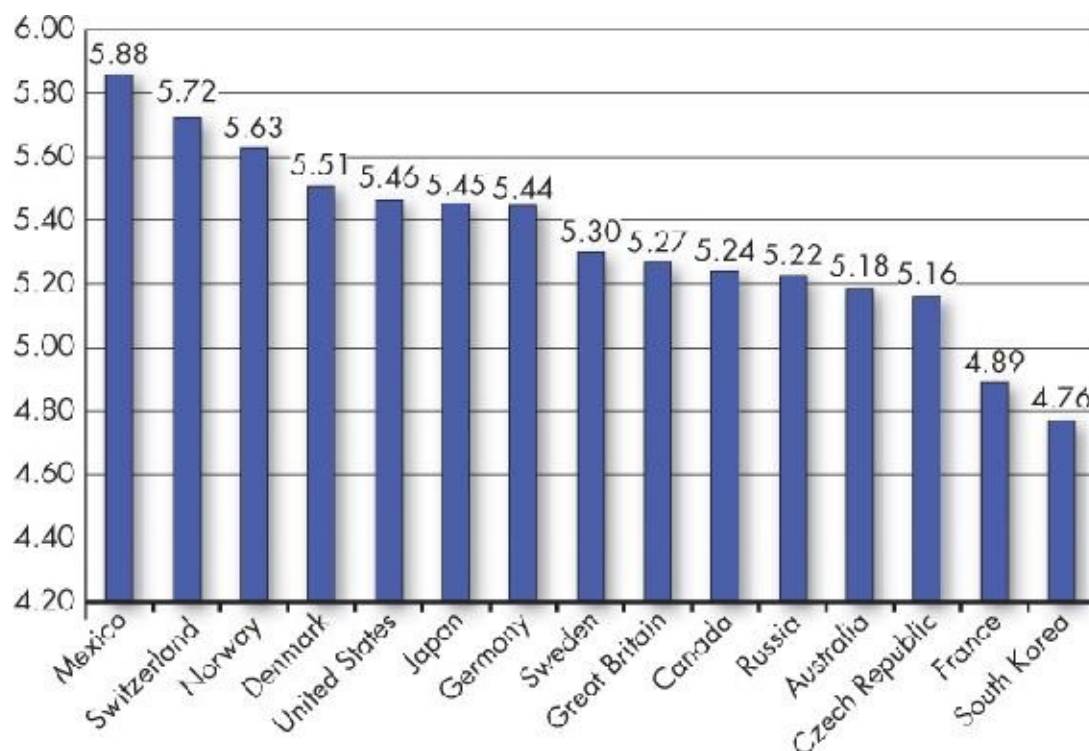


Exhibit 3-4 Average Levels of Employee Job Satisfaction by Country



Sources: Based on J. H. Westover, “The Impact of Comparative State-Directed Development on Working Conditions and Employee Satisfaction,” *Journal of Management & Organization* 19, no. 4 (2013): 537–54.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

3.4.1 How can the gaps between what managers think employees feel and what employees really feel be reduced?

- ☐ conducting regular surveys
- ☐ enforcing administrative policies
- ☐ improving workplace conditions
- ☐ providing incentives

Check answer

Reset

3.4.2 Which major job-satisfaction facet is most strongly correlated with high levels of overall job satisfaction?

- ☐ work flexibility
- ☐ pay
- ☐ social context of the workplace
- ☐ supervision

Check answer

Reset

What Causes Job Satisfaction?

3-5 Summarize the main causes of job satisfaction.

Think about the best job you've ever had. What made it great? The reasons can differ greatly. Let's discuss some characteristics that likely influence job satisfaction, starting with job conditions.



Employee engagement is high at Baptist Health of South Florida, where employees share a serious commitment to patient care and are passionate about the work they do. Looking at an electrocardiogram (EKG) readout, hospital employees Yaima Millan and Marvin Rosete feel their work is meaningful and can make a difference in patients' lives.

Source: Wilfredo Lee/AP Images

Job Conditions



Generally, interesting jobs that provide training, variety, independence, and control satisfy most employees. Interdependence, feedback, social support, and interaction with coworkers outside the workplace are also strongly related to job satisfaction, even after accounting for characteristics of the work itself.³⁰ As you may have guessed, managers also

play a big role in employees' job satisfaction. One review of nearly 70,000 employees from 23 countries found that the quality of exchange between the leaders and their employees is more strongly related to job satisfaction in more individualistic (e.g., Western) cultures than it is in more collectivistic (e.g., Asian) cultures.³¹ However, another meta-analysis demonstrated that leader emotional intelligence (see Chapter 6) is more strongly related to job satisfaction in more collectivistic cultures.³²

Thus, job conditions—especially the intrinsic nature of the work itself, social interactions, and supervision—are important predictors of satisfaction and employee well-being. Although each is important, and although their relative value varies across employees, the intrinsic nature of the work is most important.³³

Personality

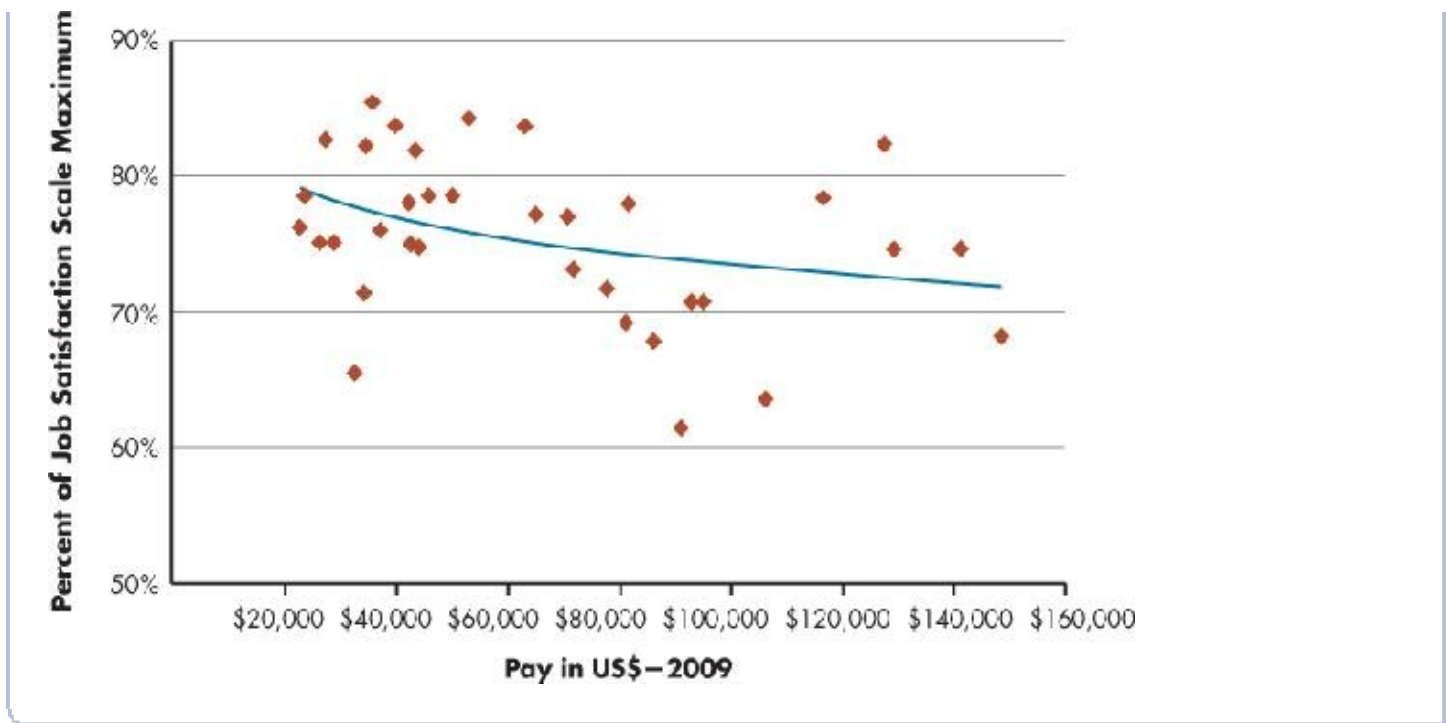
As important as job conditions are to job satisfaction, personality also plays an important role. People who have a positive **core self-evaluation (CSE)** ⓘ—who believe in their inner worth and basic competence—are more satisfied with their jobs than people with negative CSEs. For those in collectivist cultures, those with high CSEs may realize particularly high job satisfaction.³⁴



MyLab Management Personal Inventory Assessments

Go to www.pearson.com/mylab/management to complete the Personal Inventory Assessment related to this chapter.

Exhibit 3-5 Relationship between Average Pay in Job and Job Satisfaction of Employees in That Job



Source: Based on T. A. Judge, R. F. Piccolo, N. P. Podsakoff, J. C. Shaw, and B. L. Rich, “The Relationship between Pay and Job Satisfaction: A Meta-Analysis of the Literature,” *Journal of Vocational Behavior* 77, no. 2 (2010): 157–67.

Pay

You’ve probably noticed that pay comes up often when people discuss job satisfaction. Pay does correlate with job satisfaction and overall happiness for many people, but the effect can be smaller once an individual reaches a standard level of comfortable living. Look at Exhibit 3-5. It shows the relationship between the average pay for a job and the average level of job satisfaction. As you can see, there isn’t much of a relationship there. Money does motivate people, as we will discover in Chapter 5. But what motivates us is not necessarily the same as what makes us happy.

Corporate Social Responsibility (CSR)

Would you be as happy to work for an organization with a stated social welfare mission as one without? An organization’s commitment to **corporate social responsibility (CSR)** ⓘ, or its self-regulated actions to benefit society or the environment beyond what is required by law, increasingly affects employee job satisfaction. Organizations practice CSR in several ways, including environmental sustainability initiatives, nonprofit work, and charitable giving.



CSR is good for the planet and good for people. Research suggests that American and Australian employees whose personal values fit with their organization's CSR mission are often more satisfied.³⁵ In fact, of 59 large and small organizations surveyed, 86 percent reported they have happier employees because of their CSR programs.³⁶

The relationship between CSR and job satisfaction is particularly strong for millennials. "The next generation of employees is seeking out employers that are focused on the triple bottom line: people, planet, and revenue," said Susan Cooney, founder of philanthropy firm Givelocity.³⁷ CSR allows workers to serve a higher purpose or contribute to a mission. According to researcher Amy Wrzesniewski, people who view their work as part of a higher purpose often realize higher job satisfaction.³⁸ However, an organization's CSR efforts must be well governed and its initiatives must be sustainable for long-term job satisfaction benefits.³⁹

Although the link between CSR and job satisfaction is strengthening, not all employees find value in CSR.⁴⁰ Therefore, organizations need to address a few issues to be most effective. First, not all projects are equally meaningful for every person's job satisfaction, yet participation for all employees is sometimes expected. For instance, Lisa Dewey, a partner at one of the world's largest law firms, said, "All DLA Piper attorneys and staff are encouraged to participate in the firm's pro bono and volunteer projects."⁴¹ Requiring these activities may decrease overall job satisfaction for those who do not wish to volunteer their time but are required to do so.

Second, some organizations require employees to contribute in a prescribed manner. For instance, consulting firm entreQuest's CEO, Joe Mechlinksi, requires employees to participate in "Give Back Days" by serving in a soup kitchen, building a Habitat for Humanity house, or mentoring children. These choices may not fit every individual's vision of CSR. Pressuring people to go "above and beyond" in ways that are not natural for them can burn them out for future CSR projects⁴² and lower their job satisfaction, particularly when CSR projects provide direct benefits to the organization (such as positive press coverage).⁴³ People want CSR to be genuine and authentic.

Third, CSR measures can seem disconnected from the employee's actual work,⁴⁴ providing no increase in job satisfaction. After watching consulting firm KPMG's "over the top" video that boasted of involvement in the election of Nelson Mandela and the end of apartheid, the launch of the first space station by NASA, and the freedom of U.S. hostages in

Iran, one anonymous employee questioned his employment. “If I want to really make a change,” he said, “why would I sit here?”⁴⁵

In sum, CSR is a needed, positive trend of accountability and serving. It can also contribute significantly to increased employee job satisfaction when managed well.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

3.5.1 Once an individual reaches a level of comfortable living, the relationship between pay and job satisfaction _____.

- ☐ becomes stronger
- ☐ turns positive
- ☐ becomes negligible
- ☐ becomes negative

Check answer

Reset

3.5.2 Which of the following does not apply to corporate social responsibility?

- ☐ Not all projects are equally meaningful for every person's job satisfaction.
- ☐ Participation for all employees is sometimes expected.
- ☐ Some organizations require employees to contribute in a prescribed manner.
- ☐ Pressuring people to go along with CSR will help them think outside the box.

Check answer

Reset

Outcomes of Job Satisfaction

3-6 Identify three outcomes of job satisfaction.

Having discussed some of the causes of job satisfaction, we now turn to some specific outcomes.

Job Performance

As several studies have concluded, happy workers are more likely to be productive workers. Some researchers used to believe the relationship between job satisfaction and job performance was a myth, but a review of 300 studies suggested the correlation is quite robust.⁴⁶ Individuals with higher job satisfaction perform better, and organizations with more satisfied employees tend to be more effective than those with fewer.

Organizational Citizenship Behavior (OCB)

It seems logical that job satisfaction should be a major determinant of an employee's organizational citizenship behavior (known as OCB or as citizenship behavior; see Chapter 1).⁴⁷ OCBs include people talking positively about their organizations, helping others, and going beyond the normal expectations of their jobs. Evidence suggests job satisfaction is moderately correlated with OCB; people who are more satisfied with their jobs are more likely to engage in citizenship behavior.⁴⁸



Why does job satisfaction lead to OCB? One reason is trust. Research in 18 countries suggests that managers reciprocate employees' OCB with trusting behaviors of their own.⁴⁹ Individuals who feel that their coworkers support them are also more likely to engage in helpful behaviors than those who have antagonistic coworker relationships.⁵⁰ Personality matters, too. Individuals with certain personality traits (extraversion and conscientiousness; see Chapter 5) are more satisfied with their work, which in turn leads them to engage in more OCB.⁵¹ Individuals who receive positive feedback on their OCB from their peers are more likely to continue their citizenship activities.⁵²



Luxury automotive companies like Lamborghini understand that giving customers the ability to customize the car is key to gaining their satisfaction and loyalty. The company thus launched the “Lamborghini Ad Personam” program with a dedicated staff in charge of meeting any customer’s wish with a range of combinations from colors to materials that will make each car unique.

Source: dpa picture alliance/Alamy Stock Photo

Customer Satisfaction

Because customer satisfaction is a key outcome in the service industry, it’s reasonable to ask whether employee satisfaction is related to positive customer outcomes. For employees with regular customer contact, the answer appears to be yes. Satisfied employees and managers appear to increase customer satisfaction and loyalty.⁵³ Recent research suggests that employee and customer satisfaction are reciprocally related and that the inward effect of customer satisfaction on employee satisfaction might be *stronger* than the employee–customer relationship.⁵⁴

A number of companies are acting on this evidence. Online shoe retailer Zappos is so committed to finding customer service employees who are satisfied with the job that it offers a \$2,000 bribe to quit the company after training, figuring the least satisfied will take the cash and go.⁵⁵ Zappos employees are empowered to “create fun and a little weirdness” to ensure that customers are satisfied, and it works: Of the company’s more than 24 million customers, 75 percent are repeat buyers. For Zappos, employee satisfaction has a direct effect on

customer satisfaction.

Life Satisfaction



Until now, we've treated job satisfaction as if it were separate from life satisfaction, but they may be more related than you think.⁵⁶ Research in Europe indicated that job satisfaction is positively correlated with life satisfaction, and your attitudes and experiences in life spill over into your job approaches and experiences.⁵⁷ Life satisfaction decreases when people become unemployed, according to research in Germany, and not just because of the loss of income.⁵⁸ For most individuals, work is an important part of life, and therefore it makes sense that our overall happiness depends in no small part on our happiness in our work (our job satisfaction).

Career OBjectives

How can I make my job better?

Honestly, I hate my job. But there are reasons I should stay: This is my first job out of college, it pays pretty well, and it will establish my career. Is there any hope, or am I doomed until I quit?

— Taylor

Dear Taylor:

You're not doomed! You can work on your attitude to either improve your experience or find a positive perspective. In other words, if you can turn "I hate my job" into "this is what I'm doing to make my situation better," your job satisfaction is likely to improve. Try this:

- *Write down everything you hate about your job, but wait until you have a few days off so you can get a more objective viewpoint.* Be specific. Keep asking yourself why, as in, "Why do I dislike my office mate?" Also, consider your history: Was the job always a problem? Or perhaps circumstances have changed?
- *Now write down everything you like about the job.* Again, be specific. Think about the environment, the people, and the work separately. Find something positive,

even if it's just the coffee in the break room.

- *Compare your lists for clues about your attitude and job satisfaction.* Look for mentions of the work or the people. Job satisfaction is generally more strongly related to how interesting your work is than it is to other factors. People, especially your supervisor, are important to your attitude toward work as well.
- *Read your lists aloud to a few trusted friends (you don't want to rant about your boss with your coworkers).* Ask them to help process your grievances. Are there deal breakers like harassment?
- *Decide whether you can talk with your manager about this.* According to Roy L. Cohen, author of *The Wall Street Professional's Survival Guide*, "consider whether how you're being treated is unique to you or shared by your colleagues." If everyone has the same problem, especially if the problem is the boss, you probably shouldn't approach your manager. But changes can be made in most situations.

Based on the sources of your grievances and your ability to make changes in the workplace, you may choose to address the issues, or develop skills for your next job. Meanwhile, don't sabotage yourself with sloppy performance and complaints. Instead, look for positive reinforcement, join a professional organization, or volunteer. Happy employees are healthier. You deserve to be one of them.

Sources: Based on "Employee Engagement," *Workforce Management* (February 2013): 19; A. Hurst, "Being 'Good' Isn't the Only Way to Go," *The New York Times*, April 20, 2014, 4; R. E. Silverman, "Work as Labor or Love?" *The Wall Street Journal*, October 18, 2012, D3; H. J. Smith, T. F. Pettigrew, G. M. Pippin, and S. Bialosiewicz, "Relative Deprivation: A Theoretical and Meta-Analytic Review," *Personality and Social Psychology Review* 16 (2012): 203–32; and A. Tugend, "Survival Skills for a Job You Detest," *The Wall Street Journal*, April 7, 2012, B5.

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MyLab Management Try It

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the Mini Sim.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

3.6.1 Of the Big Five personality traits, which two are most associated with job satisfaction?

- ☐ neuroticism and agreeableness
- ☐ agreeableness and conscientiousness
- ☐ conscientiousness and openness to experiences
- ☐ openness to experiences and extroversion

Check answer

Reset

3.6.2 Which of the following is not an example of organizational citizenship behavior?

- ☐ telling your friends about the company's great work environment
- ☐ contributing to a fund for a coworker to help with medical bills
- ☐ discouraging a friend from applying for a job at the company
- ☐ working over the weekend to make sure a project gets done

Check answer

Reset

The Impact of Job Dissatisfaction

3-7 Identify four employee responses to job dissatisfaction.

What happens when employees dislike their jobs? One theoretical model—the exit–voice–loyalty–neglect framework—is helpful for understanding the consequences of dissatisfaction. Exhibit 3-6 illustrates employees’ four responses to job dissatisfaction, which differ along two dimensions: constructive/destructive and active/passive. The responses are as follows:⁵⁹

Exhibit 3-6 Responses to Dissatisfaction

	Constructive	Destructive
Active	VOICE	EXIT
Passive	LOYALTY	NEGLECT

- **Exit.** ⓘ The exit response directs behavior toward leaving the organization, including looking for a new position or resigning. To measure the effects of this response to dissatisfaction, researchers study individual terminations and *collective turnover*, the total loss to the organization of employee knowledge, skills, abilities, and other characteristics.⁶⁰

- **Voice.** ⓘ *The voice response includes actively and constructively attempting to improve conditions, including suggesting improvements, discussing problems with superiors, and undertaking union activity.*
- **Loyalty.** ⓘ *The loyalty response means passively but optimistically waiting for conditions to improve, including speaking up for the organization in the face of external criticism and trusting the organization and its management to “do the right thing.”*
- **Neglect.** ⓘ *The neglect response passively allows conditions to worsen and includes chronic absenteeism or lateness, reduced effort, and an increased error rate.*

Exit and neglect behaviors are linked to performance variables such as productivity, absenteeism, and turnover. But this model expands employee responses to include voice and loyalty—constructive behaviors that allow individuals to tolerate unpleasant situations or improve working conditions. The model helps us understand various situations. For instance, union members often express dissatisfaction through the grievance procedure or formal contract negotiations. These voice mechanisms allow them to continue in their jobs while acting to improve the situation.

As helpful as this framework is, it is quite general. We will next address counterproductive work behavior, a behavioral response to job dissatisfaction.

Counterproductive Work Behavior (CWB)

Substance abuse, stealing at work, undue socializing, gossiping, absenteeism, and tardiness are examples of behaviors that are destructive to organizations. They are indicators of a broader syndrome called **counterproductive work behavior (CWB)** ⓘ, also termed deviant behavior in the workplace, or simply employee withdrawal (see Chapter 1).⁶¹ Like other behaviors we have discussed, CWB doesn’t just happen—the behaviors often follow negative and sometimes long-standing attitudes. Therefore, if we can identify the predictors of CWB, we may lessen the probability of its effects.



Generally, job dissatisfaction predicts CWB. People who are not satisfied with their work become frustrated, which lowers their performance⁶² and makes them more prone to CWB.⁶³ However, some research also suggests that this relationship might be stronger for men than for women, given that men tend to exhibit more aggressiveness and less impulse control.⁶⁴ Individual personality traits also matter. A study of Chinese knowledge workers

revealed that CWB was prevalent and that personality variables, including agreeableness, neuroticism, conscientiousness, and locus of control, were a more important predictor than demographic and job characteristics.⁶⁵ CWB can be a response to abusive supervision from managers, which then increases the abuse, thus starting a vicious cycle.⁶⁶

One important point about CWB is that dissatisfied employees often choose one or more of these specific behaviors due to idiosyncratic factors. One worker might quit. Another might use work time to surf the Internet or take work supplies home for personal use. In short, workers who don't like their jobs "get even" in various ways. Because those ways can be quite creative, controlling only one behavior with policies and punishments leaves the root cause untouched. Employers should seek to correct the source of the problem—the dissatisfaction—rather than try to control the different responses.

According to some research, sometimes CWB is an emotional reaction to perceived unfairness, a way to try to restore an employee's sense of equity exchange.⁶⁷ Therefore, CWB has complex ethical implications. For example, is someone who takes a box of markers home from the office for his children acting ethically? Some people consider this stealing. Others may want to look at moderating factors such as the employee's contribution to the organization before they decide. Does the person generously give extra time and effort to the organization, with little thanks or compensation? If so, they might see CWB as part of an attempt to "even the score."

As a manager, you can take steps to mitigate CWB. You can poll employee attitudes, for instance, identify areas for workplace improvement, and attempt to measure CWB. Several reviews suggest that self-reports of CWB can be just as effective as reports from coworkers or supervisors, partly because of differences in observability of CWB.⁶⁸ Creating strong teams, integrating supervisors within them, providing formalized team policies, and introducing team-based incentives may help lower the CWB "contagion" that lowers the standards of the group.⁶⁹

Absenteeism We find a consistent negative relationship between satisfaction and absenteeism, but the relationship is moderate to weak.⁷⁰ Generally, when numerous alternative jobs are available, dissatisfied employees have high absence rates, but when there are few alternatives, dissatisfied employees have the same (low) rate of absence as satisfied employees.⁷¹ Organizations that provide liberal sick leave benefits are encouraging all their employees—including those who are highly satisfied—to take days off. You can find work

satisfying yet still want to enjoy a three-day weekend if those days come free with no penalties.

Turnover The relationship between job satisfaction and turnover is stronger than between satisfaction and absenteeism.⁷² Overall, a pattern of lowered job satisfaction is the best predictor of intent to leave. Turnover also has a workplace environment connection. If the climate within an employee's immediate workplace is one of low job satisfaction leading to turnover, there will be a contagion effect. This suggests that managers consider the job satisfaction (and turnover) patterns of coworkers when assigning workers to a new area.⁷³

Myth or Science?

Happy Workers Means Happy Profits

There are exceptions, of course, but this statement is basically true. A glance at *Fortune's* Best Companies to Work For list, where companies are chosen by the happiness inducements they provide, reveals recognizable profit leaders: Google, SAS, Edward Jones, and REI, to name a few. However, all happiness is not created equal.

An employee who is happy because her coworker did most of the work on her team's project isn't necessarily going to work harder, for instance. Some happiness-inducers also seem unrelated to profit increases, such as Google's bowling alley and Irish pub, Facebook's free chocolate lunches, and Salesforce.com's off-the-charts parties. Traditional benefits programs also don't necessarily yield higher job satisfaction, productivity, and profits. Research indicates employees highly value paid time off, a retirement plan such as a 401(k), and lower health premiums. But many companies offer these benefits and are nowhere near the Fortune 500 organizations in profits.

It turns out that the value of keeping happiness in the profit equation may be felt in the level of employee engagement. As Julie Gebauer, a managing director for consulting firm Towers Watson, said, "It's not just about making them happy—that's not a business issue. Engagement is." Job engagement "represents employees' commitment ... and the level of discretionary effort they are willing to put forth at

work,” wrote Jack in the Box’s Executive VP Mark Blankenship. Happy employees with higher job engagement are willing to work hard, make customers happy, and stay with the company—three factors that affect the bottom line in a big way. Conversely, a review of 300 studies revealed that turnover rates resulting from poor attitudes or low engagement led to poorer organizational performance.

So the moral of the story seems to be this: Treat others as we want to be treated in the workplace. It’s just good business.

Sources: Based on M. H. Blankenship, “Happier Employees + Happier Customers = More Profit,” *HR Magazine*, July 2012, 36–38; A. Edmans, “The Link between Job Satisfaction and Firm Value, with Implications for Corporate Social Responsibility,” *Academy of Management Perspectives* (November 2012): 1–19; “Getting Them to Stay,” *Workforce Management* (February 2013): 19; J. K. Harter et al., “Causal Impact of Employee Work Perceptions on the Bottom Line of Organizations,” *Perspectives on Psychological Science* (July 2010): 378–89; T.-Y. Park and J. D. Shaw, “Turnover Rates and Organizational Performance: A Meta-Analysis,” *Journal of Applied Psychology* (March 2013): 268–309; and J. Waggoner, “Do Happy Workers Mean Higher Profit?” *USA Today*, February 20, 2013, B1–B2.

The satisfaction–turnover relationship is affected by alternative job prospects. If an employee accepts an unsolicited job offer, job dissatisfaction was less predictive of turnover because the employee more likely left in response to “pull” (the lure of the other job) than “push” (the unattractiveness of the current job). Similarly, job dissatisfaction is more likely to translate into turnover when other employment opportunities are plentiful. When employees have high “human capital” (high education, high ability), job dissatisfaction is more likely to translate into turnover because they have, or perceive, many available alternatives.⁷⁴

Some factors help break the dissatisfaction–turnover relationship. Employees’ embeddedness—connections to the job and community—can help lower the probability of turnover, particularly in collectivist (group-oriented) cultures.⁷⁵ Embedded employees seem less likely to want to consider alternative job prospects.

Managers Often “Don’t Get It”

Given the evidence we’ve just reviewed, it should come as no surprise that job satisfaction can affect the bottom line. One study by a management consulting firm separated large

organizations into those with high morale (more than 70 percent of employees expressed overall job satisfaction) and medium or low morale (fewer than 70 percent). The stock prices of companies in the high-morale group grew 19.4 percent compared with 10 percent for the medium- or low-morale group. Despite these results, many managers are unconcerned about employee job satisfaction. Others overestimate how satisfied employees are, so they don't think there's a problem when there is. In one study of 262 large employers, 86 percent of senior managers believed their organizations treated employees well, but only 55 percent of employees agreed. Another study found 55 percent of managers thought morale was good in their organization compared to only 38 percent of employees.⁷⁶

Regular surveys can reduce gaps between what managers *think* employees feel and what they *really* feel. A gap in understanding can affect the bottom line in small franchise sites as well as in large companies. As manager of a KFC restaurant in Houston, Jonathan McDaniel surveyed his employees every three months. Some results led him to make changes, such as giving employees greater say about which workdays they had off. However, McDaniel believed the process itself was valuable. "They really love giving their opinions," he said. "That's the most important part of it—that they have a voice and that they're heard." Surveys are no panacea, but if job attitudes are as important as we believe, organizations need to use every reasonable method to find out how job attitudes can be improved.⁷⁷

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

3.7.1 Job dissatisfaction is more likely to translate into _____ when employees feel or perceive they have many available alternatives. This can happen when employees have high human capital.

- ☐ neglect
- ☐ engagement
- ☐ tardiness
- ☐ turnover

Check answer

Reset

3.7.2 The most important thing a manager can do to raise employee satisfaction is to focus on _____.

- ☐ employee pay
- ☐ benefits
- ☐ work hours
- ☐ intrinsic parts of the job

Check answer

Reset

Summary

Managers should be interested in their employees' attitudes because attitudes influence behavior and indicate potential problems. Creating a satisfied workforce is hardly a guarantee of successful organizational performance, but evidence strongly suggests that managers' efforts to improve employee attitudes will likely result in positive outcomes, including greater organizational effectiveness, higher customer satisfaction, and increased profits.

Implications for Managers

- Of the major job attitudes—job satisfaction, job involvement, organizational commitment, perceived organizational support (POS), and employee engagement—remember that an employee's job satisfaction level is the best single predictor of behavior.
- Pay attention to your employees' job satisfaction levels as determinants of their performance, turnover, absenteeism, and withdrawal behaviors.
- Measure employee job attitudes at regular intervals to determine how employees are reacting to their work.
- To raise employee satisfaction, evaluate the fit between each employee's work interests and the intrinsic parts of the job; then create work that is challenging and interesting to the individual.
- Consider the fact that high pay alone is unlikely to create a satisfying work environment.

Employer–Employee Loyalty Is an Outdated Concept

Point

he word *loyalty* is horribly outdated. Long gone are the days when an employer would keep an employee for life, as are the days when an employee would want to work for a single company for an entire career.

Professor Linda Gratton says, “Loyalty is dead—killed off through shortening contracts, outsourcing, automation, and multiple careers. Faced with what could be 50 years of work, who honestly wants to spend that much time with one company? Serial monogamy is the order of the day.” Many employers agree; only 59 percent of employers report feeling loyal to their employees, while a mere 32 percent believe their employees are loyal to them.

The loyalty on each side of the equation is weak. For the most part, this is warranted—why retain employees who are subpar performers? It’s only a matter of the employer handling the loyalty of employees with respect. Admittedly, some breaches happen. For example, Renault ended the 31-year career of employee Michel Balthazard (and two others) on false charges of espionage. When the wrongness of the charges became public, Renault halfheartedly offered the employees their jobs back and a lame apology: “Renault thanks them for the quality of their work at the group and wishes them every success in the future.”

As for employees’ loyalty to their employers, that is worth little nowadays. One manager with Deloitte says the current employee attitude is, “I’m leaving, I had a great experience, and I’m taking that with me.” There just isn’t an expectation of loyalty. In fact, only 9 percent of recent college graduates would stay with an employer for more than a year if they didn’t like the job, research indicated. But there is nothing wrong with this. A “loyal” employee who stays with the organization but isn’t satisfied with the job can do a lot of damage. At best, this person will be less productive. At worst, he or she can engage in years’ worth of damaging CWB. For the worker, staying with an organization forever—no matter what—can limit career and income prospects.

The sooner we see the employment experience for what it is (mostly transactional, mostly short term to medium term), the better off we’ll be. The workplace is no place for fantasies of loyalty.

Counterpoint

greed: The word *loyalty* is outdated when it refers to employers and employees. But the

A basic concept is valid in the workplace. We now just measure loyalty with finer measurements such as *organizational trust* and *organizational commitment*. There certainly are employers and employees who show little loyalty to each other, but that isn't the norm.

Says management guru Tom Peters, "Bottom line: loyalty matters. A lot. Yesterday. Today. Tomorrow." University of Michigan's Dave Ulrich says, "Leaders who encourage loyalty want employees who are not only committed to and engaged in their work but who also find meaning from it." Commitment. Engagement. Trust. These are some of the building blocks of loyalty.

It is true that the employer–employee relationship has changed. For example, (largely) gone are the days when employers provided guaranteed payout pensions to which employees contributed nothing. But is that such a bad thing? Many employers have helped employees take charge of their own retirement plans.

It's not that loyalty is dead but rather that employers are loyal to a different kind of employee. True, employers no longer refuse to fire a long-tenured but incompetent employee, which is a good thing. These employees can bring down everyone's productivity and morale. In a globalized world where customer options are plentiful, organizations with "deadwood"—people who don't contribute—will not be competitive enough to survive. Companies are instead loyal to employees who do their jobs well, and that is as it should be.

In short, employees become loyal—trusting, engaged, and committed—when organizations and their people act decently. Employers with superior managers who empower their employees obtain high levels of this kind of loyalty. A true reciprocal relationship is a stronger business model than employees staying with an organization for years in exchange for an organization's caretaking. Bonds of trust and loyalty rest on the relationships of individuals. Workplace psychologist Binna Kandola observes, "Workplaces may have changed but loyalty is not dead—the bonds between people are too strong."

Sources: Based on "If You Started a Job and You Didn't Like It, How Long Would You Stay?" *USA Today*, June 11, 2012, 1B; O. Gough and S. Arkani, "The Impact of the Shifting Pensions Landscape on the Psychological Contract," *Personnel Review* 40, no. 2 (2011): 173–84; "Loyalty Gap Widens," *USA Today*, May 16, 2012, 1B; P. Korkki, "The Shifting Definition of Worker Loyalty," *The New York Times*, April 24, 2011, BU8; I. Macsinga, C. Sulea, P. Sarbescu, and C.

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Chapter Review

MyLab Management Discussion Questions

Go to www.pearson.com/mylab/management to complete the problems marked with this icon .

Questions for Review

- 3-1** What are the three components of attitudes?
- 3-2** Does behavior always follow from attitudes?
- 3-3** What are the major job attitudes?
- 3-4** How do we measure job satisfaction?
- 3-5** What causes job satisfaction?
- 3-6** What are three outcomes of job satisfaction?
- 3-7** How do employees respond to job satisfaction?

Application and Employability

As we saw in the chapter-opening discussion of baristas, your knowledge, skills, and abilities determine how well you do in the workplace—and your job attitudes matter, too. Job satisfaction, job involvement, employee engagement, organizational commitment, and perceived organizational support all affect how you, your coworkers, and your boss behave and perform in the workplace. First, the job attitudes of your work unit also affect the bottom line—attitudes affect customer service and sales performance. Second, job attitudes and satisfaction can be assessed in a variety of ways to keep a “pulse” on the workforce of your

organization. Third, knowledge of what causes job attitudes and the consequences/outcomes of job attitudes can help you set policies, practices, and procedures (when you are in a supervisory position) or engage in behaviors (if you are an employee) that will help you improve attitudes in your workplace. In this chapter, you improved your critical thinking skills and considered various situations relevant to social responsibility in the workplace, including whether happy workers lead to improved profit margins, how you can move forward if you hate your job, the pitfalls and benefits of office gossip and venting, and whether employee loyalty is a relic of the past. In the following section, you will continue to improve your critical thinking skills and apply your knowledge about job attitudes to reexamine attitudes you've held in a current or previous job, examine the ethics of employee tell-all websites, and evaluate carefully the impact of self-service kiosks and job crafting on job attitudes.

Experiential Exercise Job Attitudes Situational Interview

Each class member is to think about an event in which she or he felt satisfied or dissatisfied (or committed or not committed) in the workplace (students can imagine one even if they have never been employed). Each student writes this experience down in as much detail as possible on a small piece of paper. When finished, each student exchanges her or his paper with another student. These students take turns asking and recording the answers to the following questions (asking follow-up questions as needed):

1. What sorts of feelings were you experiencing at the time? What were you thinking when this was going on? Did you think about doing anything in that moment?
2. What targets were your feelings or thoughts directed toward? For example, were they directed toward your organization? Toward the job? Coworkers? Pay and benefits?
3. What led you to your feelings of satisfaction and commitment in that moment?
4. What did you (actually) do in response to your experience? What was the outcome?

The students can then reassemble as a class to share their findings and discuss the following questions.

Questions

- 3-8.** Do you think it is possible for the affective, cognitive, or behavioral components of job attitudes to conflict with one another? Why or why not?
- 3-9.** Can job attitudes be directed toward different targets? Why or why not? What implications does this have for the behavioral outcomes of satisfaction and commitment?
- 3-10.** Do you believe that job attitudes can change over time? Or does each person have a typical level of job attitudes that she or he exhibits from one job to the next?

Ethical Dilemma Tell-All Websites

“Arrogant, condescending, mean-spirited, hateful ... and those traits describe the nicest people at Netflix,” writes one anonymous employee. “Management is awful ... good old boys club,” writes a Coca-Cola market development manager. And the reviews keep rolling in; Coca-Cola has 1,600 employee reviews, and some companies, like Google, have double that number on Glassdoor, one of the Internet sites that allows anyone to rate their employers.

Websites like Glassdoor are thriving; employees increasingly join the forums and seem to relish the chance to speak freely. The app Memo, which claimed 10,000 new members in about 3 months, allows users to post, comment, and share links. They will soon be able to upload photographs and documents, which will raise new security concerns for organizations.

Ryan Janssen, CEO of Memo’s parent company, Collectively, says apps like Memo, Yik Yak, and Whisper allow bosses access to candid feedback they cannot otherwise get. Janssen said, “The employee’s natural reaction [when managers ask for feedback directly] is to tell you what you want to hear.” There is certainly truth to this—studies indicate that employees “put on a happy face” for their bosses. When people know their posts aren’t anonymous, “People put on this weird, fake professional face,” he said.

Organizations are aware that people watch what they say when they can be identified, and many have used anonymous job attitude surveys for this reason. Still, evaluations from these surveys are often more glowing, and less detailed, than anonymous website feedback. Some organizations have therefore altered the frequency and scope of surveys to obtain more depth. Others have their own intranet platforms to solicit concerns and complaints.

Beyond the personally unethical aspect of posting scathing denunciations about people or organizations online—sharing details with the world that you would not share in person—issues of organizational ethics come into play. While companies like Visa, Boeing, and Hewlett-Packard have tried to discourage employees from anonymously venting on websites and apps, such mandates may violate the employees’ right of free speech. And how anonymous are anonymous posts? Posts on Glassdoor and other forums eliminate a person’s name, but can’t bosses sometimes determine which subordinate posted the comments? Managers everywhere need to decide how much management sleuthing is ethical and what consequences, if any, can be forced on subordinates for anonymous posts.

Grant Vodori, cofounder of a digital marketing agency in Chicago, has been successful in

obtaining candid answers from his employees through polls taken several times each week. “It’s sometimes a little bit scary,” he said, asking himself, “Do I really want to know the answer to this?”

Questions

- 3-11.** Do you think employees have a right to say what they want to about their organizations online as opposed to in private?
- 3-12.** How would you react if you learned one of your employees posted unflattering comments about you as a manager? Would your reaction be any different if the employee posted unflattering comments about you as a person?
- 3-13.** Do you feel it is acceptable to post comments anonymously, or do you think people should include their names? Why or why not?

Sources: Based on L. Gilman, “Memo App Lets Workers Vent Anonymously about the Boss,” *The Wall Street Journal*, January 21, 2015, B7; Glassdoor.com; A. S. McCance, C. D. Nye, L. Wang, K. S. Jones, and C. Chiu, “Alleviating the Burden of Emotional Labor: The Role of Social Sharing,” *Journal of Management* (February 2013): 392–415; R. E. Silverman, “Are You Happy in Your Job? Bosses Push Weekly Surveys,” *The Wall Street Journal*, December 3, 2014, B1, B4; and R. E. Silverman, “Workers Really Do Put on a Happy Face for the Boss,” *The Wall Street Journal*, January 29, 2015, D4.

Case Incident 1 On-Boarding ... or On-Leaving?

Consider for a moment Rebecca, a quality assistant who was eagerly looking forward to her first day of work but by the end of her first week regretted having accepted her new job.

When she arrived on the first day of work, two months after signing the contract, she discovered that nobody in the company had been informed of her arrival, and she had neither a desk nor a computer to use. The IT department told her that if they had been informed even one week before, everything could have been prepared and ready on time. She remained at the desk of a sick colleague for more than a month.

The troubles Rebecca faced did not end there, or after the first week. For instance, nobody told her that the company had no internal cafeteria; seeing her lost in the company's hall on her first day, a compassionate colleague told her where to buy a sandwich.

She met her boss on the first day for only 10 minutes because he had to run to "more important" meetings. It is well established that newcomers need to be socialized to the new tasks and environment, yet Rebecca's boss only gave her vague indications about what her new mission in the company would entail. Both the boss and the team badly managed the relational implications of the on-boarding process. For example, the company organizes weekly meetings on Thursday afternoon to communicate relevant updates from the several departments. During this meeting, two directors introduced their recently hired members to the rest of the company, but her boss did not say a word about Rebecca! She felt humiliated and could not hide her frustration when she heard this story.

Her colleagues also showed little inclination to welcome her and facilitate her integration. For example, they failed to provide her with information on the projects they were working on at the time, nor did they give her any information about her tasks and company's culture. Worse still, they said that things were poorly organized in the company and that she needed to quickly get used to this way of working. Rebecca felt uneasy with her new job, and after a few months of wait-and-see, during which her engagement dropped precipitously, she started to search for new job offers and opportunities.

Although this story may seem exaggerated, the situation experienced by Rebecca is fairly common in companies that give little attention to the newcomers' on-boarding process. Research has demonstrated that a good start is essential to ensuring a high level of job satisfaction, avoiding a high rate of turnover, and enabling newcomers to reach their highest

productivity quickly. Managing the on-boarding process is an investment that can produce long-term benefits via employees' satisfaction, engagement, and performance. Conversely, failing to manage the on-boarding process can reduce newcomers' satisfaction and increase their turnover. This can be very expensive; losing an employee can cost an organization between 100 percent and 300 percent of their replacement's salary and up to eight months as a new hire reaches high productivity levels. Therefore, managers at all organizational levels should be trained to welcome newcomers properly, planning everything in advance and reserving time in the agenda for meeting newcomers on Day 1. Showing care and attention toward newcomers and doing everything possible to ensure a good start can be critical to facilitating quick integration in the new company.

Questions

- 3-14.** What, in your opinion, were the mistakes made by Rebecca's boss and colleagues during the first weeks of her new employment? What could have been done differently in welcoming Rebecca?
- 3-15.** Discuss how a newly hired employee who goes through a similar poorly managed on-boarding process may react if they do not have the option of changing their job quickly. What consequences would this have for the company?
- 3-16.** What might organizations do to ease the integration of newcomers into the company and enhance their job satisfaction?

Sources: A. Snell, "Researching Onboarding Best Practice: Using Research to Connect Onboarding Processes with Employee Satisfaction," *Strategic HR Review* 5, no. 6 (2006): 32–35; S. Stibitz, "How to Really Listen to Your Employees," *Harvard Business Review*, January 2015, accessed on October 23, 2017, from <https://hbr.org/2015/01/how-to-really-listen-to-your-employees>; K. Ferrazzi, "Technology Can Save Onboarding from Itself," *Harvard Business Review*, March 2015, accessed on October 23, 2017, from <https://hbr.org/2015/03/technology-can-save-onboarding-from-itself>; A. Snell, "Researching Onboarding Best Practice: Using Research to Connect Onboarding Processes with Employee Satisfaction," *Strategic HR Review* 5, no. 6 (2006), 32–35. Retrieved on November 7, 2017, from <http://www.emeraldinsight.com/doi/abs/10.1108/14754390680000925>.

Case Incident 2 Job Crafting

Consider for a moment a midlevel manager, Fatima, who seems to be doing well. She's consistently making her required benchmarks and goals, she has built successful relationships with colleagues, and senior management has identified her as having "high potential." But she isn't satisfied in her job. She'd be interested in understanding how her organization can use social media in marketing efforts at all levels of the organization, for example, but her job doesn't allow her to work on this idea. She wants to quit and find something that better suits her passions, but in her economic situation this may not be an option. So she has decided to proactively reconfigure her current job.

Fatima is part of a movement toward job crafting, which is the process of deliberately reorganizing your job so that it better fits your motives, strengths, and passions. So how did Fatima craft her job? She first noticed that she was spending too much of her time monitoring her team's performance and answering questions, and not enough time working on the creative projects that inspire her. She then considered how to modify her relationship with the team so that her activities incorporated her passion for social media strategies with the team's activities more centered on developing new marketing. She also identified members of her team who might be able to help her implement her new strategies and directed her interactions with these individuals toward her new goals. As a result, her engagement in her work increased, and she developed new ideas that were recognized and advanced within the organization. In sum, she found that by actively and creatively examining her work, she was able to shape her job into one that is truly satisfying.

As you may have noted, Fatima exhibited a proactive personality—she was eager to develop her own options and find her own resources. Proactive individuals are often self-empowered and are therefore more likely to seek workable solutions when they are not satisfied. Research leads us to believe that Fatima will be successful in her customized job and that she will experience increased well-being. To the extent possible, all employees should feel encouraged to be proactive in creating their best work situations.

Questions ★

- 3-17. Should organizations work to create jobs that are satisfying to individual employees?
- 3-18. Are the principles of job crafting described here relevant to your job or studies? Why

or why not?

3-19. Are there any potential drawbacks to the job-crafting approach? If so, how can they be minimized?

Sources: Based on A. B. Bakker, M. Tims, and D. Derks, “Proactive Personality and Job Performance: The Role of Job Crafting and Work Engagement,” *Human Relations* (October 2012): 1359–78; A. Wrzesniewski, J. M. Berg, and J. E. Dutton, “Turn the Job You Have into the Job You Want,” *Harvard Business Review* (June 2010): 114–17; A. Wrzesniewski and J. E. Dutton, “Crafting a Job: Revisioning Employees as Active Crafters of Their Work,” *Academy of Management Review* 26 (2010): 179–201; and G. R. Slep and D. A. Vella-Brodrick, “Optimising Employee Mental Health: The Relationship between Intrinsic Need Satisfaction, Job Crafting, and Employee Well-Being,” *Journal of Happiness Studies* 15, no. 4 (2014): 957–77.

MyLab Management Writing Assignments

If your instructor has assigned this activity, go to www.pearson.com/mylab/management for the following assisted-graded writing assignments:

3-20. Based on your reading from this chapter and the Ethical Dilemma, do you feel differently about posting anonymous comments online than you did before? Why or why not?

3-21. Refer again to Case Incident 2. Some contend that job crafting sounds good in principle but is not necessarily practical for every job. What types of jobs are probably not good candidates for job-crafting activities?

3-22. MyLab Management only—additional assisted-graded writing assignment.

Endnotes

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- ⁶ See, for instance, L. R. Fabrigar, R. E. Petty, S. M. Smith, and S. L. Crites, "Understanding Knowledge Effects on Attitude-Behavior Consistency: The Role of Relevance, Complexity, and Amount of Knowledge," *Journal of Personality and Social Psychology* 90, no. 4 (2006): 556–77; and D. J. Schleicher, J. D. Watt, and G. J. Greguras, "Reexamining the Job Satisfaction–Performance Relationship: The Complexity of Attitudes," *Journal of Applied Psychology* 89, no. 1 (2004): 165–77.
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- ¹¹ G. M. Spreitzer, "Psychological Empowerment in the Workplace: Construct Definition, Measurement, and Validation," *Academy of Management Journal* 38 (1995): 1442–65; G. M. Spreitzer, "Taking Stock: A Review of More Than Twenty Years of Research on Empowerment at Work," in J. Barling and C. L. Cooper (eds.), *Handbook of Organizational Behavior* (Thousand Oaks, CA: Sage, 2008): 54–72.
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End of Chapter Quiz

Test Your Understanding

1 Which of the following answer choices is the best definition of attitude?

- ☐ Attitudes indicate how one will react to a given event.
- ☐ Attitudes are the yardstick by which one measures ones actions.
- ☐ Attitudes are the emotional part of an evaluation of a person, object, or event.
- ☐ Attitudes are evaluative statements of what one believes about something or someone.

Check answer

Reset

2 Which of the following is an example of an affective attitude?

- ☐ believing that you did a good job
- ☐ the observation that most dogs have four legs
- ☐ the opinion that it is never acceptable to steal
- ☐ anger at being unfairly accused of a wrongdoing

Check answer

Reset

3 The theory of cognitive dissonance was proposed by _____.

- Maslow
- Festinger
- Hofstede
- Skinner

[Check answer](#)[Reset](#)

4 Cameron loves her job as a data programmer, but her coworker Blake, is very challenging. Blake often loses his temper over aspects of shared projects that neither of them can control. When discussing projects in Cameron's work station, Blake plays with her office supplies, rearranges her desk, and leaves snack and food crumbs. Worst of all, Blake always takes the portion of a project that is the easiest, leaving Cameron to work harder and longer hours. Which of the following is not an effective method for handling Cameron's problems with Blake?

- ☐ Cameron should invite Blake to lunch and directly confront him with her feelings.
- ☐ Cameron should invite Blake to coffee to clarify if there are any misunderstandings.
- ☐ Cameron should simply ignore Blake and his behavior.
- ☐ Cameron should make a point of going to Blake's work station and leaving a mess.

Check answer

Reset

5 Of the following attitudes, the best predictor of turnover is _____.

- ☐ pay
- ☐ supervision
- ☐ organizational commitment
- ☐ cognitive dissonance

Check answer

Reset

6 In the context of employee engagement, it is observed that the highly engaged employees feel a deep connection to their company. Disengaged employees _____.

- ☐ feel disconnected, portraying deviant behavior at the workplace
- ☐ put in efforts to be as good as engaged employees
- ☐ continue working without affecting the turnover
- ☐ put time but no attention into their work

Check answer

Reset

7 Guillermo's wife was recently diagnosed with breast cancer. Guillermo had to

take a considerable amount of time off work to care for their children, and he was late in completing his portion of a large project. Guillermo never feared that his job was in jeopardy because of his absences or his delay in completion of work. Name the major job attitude relative to the above stated example.

- ☐ psychological empowerment

- ☐ perceived organizational support
- ☐ organizational commitment
- ☐ employee engagement

Check answer

Reset

8 As the manager of a high volume bank, you are faced daily with customers who are in a hurry and need decidedly speedy service from the window tellers. Which of the following would most likely cause your employees to offer the customers the service they want while also keeping your employees satisfied with their roles?

- ☐ pay them more
- ☐ seek input from the tellers on how to improve their job
- ☐ offer them flextime
- ☐ bring donuts for the break room

Check answer

Reset

9 Which of the following is true regarding the relationship between satisfaction and absenteeism?

- ☐ There is a consistent positive relationship between the two.
- ☐ There is a consistent negative relationship between the two.
- ☐ There is a curvilinear relationship between the two.
- ☐ When fairness is controlled for, there is a direct relationship between the two.

Check answer

Reset

10 Ramiro has been a forklift driver for the local grocery store for six years in the United States. He earns \$32,000 a year. He works with a nice crew. He plays softball with his coworkers on the weekends. They also volunteer together at the local food bank during the holidays, and socialize with their families at summer picnics. Ramiro is highly satisfied with his job. Which of the following is the most probable cause of Ramiro's high job satisfaction?

- ☐ pay
- ☐ promotion
- ☐ high stress
- ☐ social context

Check answer

Reset

11 Which generational group has the highest correlation between corporate social responsibility and job satisfaction?

- ☐ Generation X
- ☐ Baby Boomers
- ☐ Millennial
- ☐ Generation Alpha

Check answer

Reset

12 Who are most likely to demonstrate organizational citizenship behaviors?

- ☐ the highest paid employees
- ☐ the lowest paid employees
- ☐ those who receive positive feedback on their citizenship behaviors
- ☐ those whose citizenship behaviors go unnoticed

Check answer

Reset

13 Sharon is unhappy with her job as a salesperson at a retail store for many reasons. Yesterday a customer asked her where the shampoo was located. Sharon listlessly replied, 'I don't know.' She then turned her back on the customer and continued stocking the shelf. This is an example of how job satisfaction can affect _____.

- ☐ employee OCB
- ☐ customer satisfaction
- ☐ absenteeism
- ☐ turnover

Check answer

Reset

14 Employees at Acme Express are dissatisfied with the working conditions, salary, and the general attitude of the management. Mark, Susan, and Toni are good friends who work at Acme, yet each seems to be reacting differently to the problems at work. Toni has decided that she'll just get a new job and get away from the problem. Toni is dealing with her dissatisfaction through _____.

- exit
- voice
- loyalty
- neglect

Check answer

Reset

15 Munwar is dissatisfied with his job and deals with it by regularly discussing his problems with his manager. Which type of response is Munwar using in this situation?

- ☐ exit
- ☐ voice
- ☐ loyalty
- ☐ neglect

Check answer

Reset

4

Personality and Values



Source: Rick Kern/Stringer/Getty Images

Learning Objectives

After studying this chapter, you should be able to:

- 4-1** Describe personality, the way it is measured, and the factors that shape it.
- 4-2** Describe the strengths and weaknesses of the Myers-Briggs Type Indicator (MBTI) personality framework and the Big Five model.
- 4-3** Discuss how the concepts of core self-evaluation (CSE), self-monitoring, and proactive personality contribute to the understanding of personality.
- 4-4** Describe how personality affects job search and unemployment.

4-5 Describe how the situation affects whether personality predicts behavior.

4-6 Contrast terminal and instrumental values.

4-7 Describe the differences between person–job fit and person– organization fit.

4-8 Compare Hofstede’s five value dimensions and the GLOBE framework.

Employability Skills Matrix (ESM)

	Myth or Science?	Career Objectives	An Ethical Choice	Point/Counterpoint	Experiential Exercise	Ethic Dilemma
Critical Thinking	✓	✓	✓	✓	✓	✓
Communication	✓				✓	
Collaboration					✓	
Knowledge Application and Analysis	✓	✓	✓	✓	✓	✓
Social Responsibility		✓	✓	✓		✓

MyLab Management Chapter Warm Up

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the chapter warm up.

Leading the “Quiet Revolution”

As vice chair (business innovations), Beth Comstock (shown here), has been “lighting up GE.” She has been rated in 2016 as the forty-eighth most powerful woman in business and has held executive positions at NBCUniversal as well as GE throughout her decades-spanning career. Today, her position requires that she forecast future opportunities for GE and gather the right teams to foster new business models. Not only is she in charge of business model innovation, but she also oversees many aspects of GE’s sales, marketing, and communication functions.

To many, someone this successful *must* appear to need an extroverted personality or be sociable, gregarious, and assertive. However, you may be surprised to hear that Beth considers herself to be an introvert: “I’m definitely a more introverted leader, but I’ve worked hard during my career to make sure I put myself out there because I [understand] that business is an extroverted activity.” Comstock illustrates how even though traits such as extroversion can greatly help an individual succeed in the business world, adapting to the situation goes a long way. Furthermore, introversion itself has some unique benefits, Beth notes, “There are also a lot of great things about being more introverted—you observe things more, you aren’t always the first to speak. I’ve come to learn that leadership is about understanding things are never perfectly balanced and how to best use that tension moving forward.”

Beth’s insights into leadership are quite telling and may be extended beyond the study of leadership and personality. Life isn’t as perfectly balanced or black and white as it may seem. Certain personality traits may be useful in some contexts and useless in others. There has been a renewed focus on the power of introversion in a world that idolizes extroversion. In her 2012 book, *Quiet: The Power of Introverts in a World That Can’t Stop Talking*, Susan Cain delves into these ideas and has since sold 2 million copies worldwide. In 2015, she met with 50 GE executives for a fireside discussion of her book. Responding to a question an executive asked about any advice that could be given to his introverted daughter who was en route to college, Cain says “Take time to find your tribe ... It’s a difficult world when the social currency is how gregarious you are.” As an introvert, getting out there and finding a group you can belong to is so important, as the world seems to value extraversion.

Cain’s work has sparked a renewed interest in what it means to be introverted or extroverted, navigating a world that on the whole values extraverted behavior, and whether

introverts make effective leaders. Although extraverted traits can be helpful in some situations, the advice for introverts to “be more extroverted” has perhaps been misguided. Psychologists and Organizational Behavior (OB) experts alike are beginning to realize that there are valuable skills unique to both introversion and extraversion.

Beyond our personalities, which describe our behavioral tendencies, our values and belief systems also matter in relation to what we do and how we do it in the workplace. For example, Beth has a track record of investing in women-led start-ups because she is a big believer in supporting female entrepreneurs and founders. By investing in these organizations, she is acting in support of her values. In fact, all her investments to date have been in women-led companies.

Sources: Based on G. Colvin, “How Beth Comstock Is Lighting up GE,” *Fortune*, September 14, 2016, <http://fortune.com/beth-comstock-general-electric-most-powerful-women/>; L. M. Holson, “Instigating a ‘Quiet Revolution’ of Introverts,” *The New York Times*, July 26, 2015, Section ST, p. 10; D. Schawbel, “Beth Comstock: Being an Introverted Leader in an Extroverted Business World,” *Forbes*, October 20, 2016, <https://www.forbes.com/sites/danschawbel/2016/10/20/beth-comstock-being-an-introverted-leader-in-an-extroverted-business-world/2/#3a47817a1c6f>; and V. Zarya, “Why GE Vice Chair Beth Comstock Is Investing in These Women-Led Startups,” *Fortune*, May 18, 2016, <http://fortune.com/2016/05/18/beth-comstock-women-led-startups/>.

Personality is indeed a strong factor for many life and work outcomes. Personality plays a major role in success in the workplace, although the effects are not always direct; sometimes they are nuanced. We will explain extraversion, conscientiousness, openness, agreeableness, and neuroticism: the traits which comprise the Big Five, the most well-defined and supported personality framework to-date. We’ll also review frameworks that describe an individual’s personality and tendencies.

Personality

4-1 Describe personality, the way it is measured, and the factors that shape it.

Why are some people quiet and passive, while others are loud and aggressive? Are certain personality types better adapted than others for certain jobs? Before we can answer these questions, we need to address a more basic one: What is personality?

What Is Personality?

When we speak of someone's personality, we use many adjectives to describe how they act and seem to think; in fact, participants in a recent study used 624 distinct adjectives to describe people they knew.¹ As organizational behaviorists, however, we organize personality characteristics by overall traits, describing the growth and development of a person's personality.

Defining Personality For our purposes, think of **personality** ⓘ as the sum of ways in which an individual reacts to and interacts with others. We most often describe personality in terms of the measurable traits a person exhibits.

Measuring Personality Personality assessments have been increasingly used in diverse organizational settings. In fact, eight of the top 10 U.S. private companies and 57 percent of all large U.S. companies use them,² including Xerox, McDonald's, and Lowe's,³ and schools such as DePaul University have begun to use personality tests in their admissions process.⁴ Personality tests are useful in hiring decisions and help managers forecast who is best for a job.⁵

The most common means of measuring personality is through self-report surveys in which individuals evaluate themselves on a series of factors, such as "I worry a lot about the future." In general, when people know their personality scores are going to be used for hiring decisions, they rate themselves as about half a standard deviation more conscientious and emotionally stable than if they are taking the test to learn more about themselves.⁶ Another problem is accuracy; a candidate who is in a bad mood when taking the survey may have inaccurate scores.⁷



Research indicates that culture influences the way we rate ourselves. People in individualistic countries trend toward self-enhancement, while people in collectivist countries like Taiwan, China, and South Korea trend toward self-diminishment. Self-enhancement does not appear to harm a person's career in individualistic countries, but it does in collectivist countries, where humility is valued. Underrating (self-diminishment) may harm a person's career in both collectivistic and individualistic communities.⁸

Observer-ratings surveys provide an independent assessment of personality. Here, a coworker or another observer does the rating. Though the results of self-reports and observer-ratings surveys are strongly correlated, research suggests that observer-ratings surveys predict job success more than self-ratings alone.⁹ However, each can tell us something unique about an individual's behavior, so a combination of self-reports and observer reports predicts performance better than any one type of information. The implication is clear: Use both observer ratings and self-report ratings of personality when making important employment decisions.

Personality Determinants An early debate centered on whether an individual's personality is the result of heredity or environment. Personality appears to be a result of both; however, research tends to support the importance of heredity over environment.

Career OBjectives

How do I ace the personality test?

I just landed a second-round interview with a great company, and I'm super excited. And super nervous because I've read a few articles about how more and more companies are using personality testing. Do you have tips for how I can put my best foot forward?

— *Lauren*

Dear Lauren:

Congratulations! It's natural for you to want to understand the tests your prospective employer uses. You've probably deduced that it's possible to respond in a favorable

manner. For example, if a statement says, “I am always prepared,” you know that employers are looking for an applicant who agrees with this statement. You might think responding in the most favorable way possible increases your chances of getting hired, and you might be right.

There are a few caveats, however. First, some companies build in “lie scales” that flag individuals who respond to statements in an extremely favorable manner. It’s not always easy to detect them, but clues usually appear across several items. If you respond in the most favorable way to a long list of items, then you might pop up on the lie scale.

Second, high scores on every trait are not desirable for every kind of job. Some employers might be more interested in low scores on a particular trait or pay more attention to a total profile that would be hard to “game.” For example, agreeableness is not a good predictor of job performance for jobs that are competitive in nature (sales, coach, trader).

Third, there is an ethical perspective you should consider. How are you going to feel once you are in the organization if you have not represented yourself correctly in the hiring process? What is your general attitude toward lying? How are you going to make sure your behavior fits the traits you tried to portray?

Finally, perhaps you should look at the assessment differently. The organization—and you—should be looking for a good match. If you are not a good match and are hired, you are likely to be unsuccessful, and miserable in the process. However, if you have a good, honest match, you can arrive for your first day confident and ready for success.

In the end, you might increase your chances of getting hired by responding to a personality test in a favorable manner. However, we still think honesty is the best policy—for you and for your future employer!

Sources: Based on M. N. Bing, H. K. Davison, and J. Smothers, “Item-Level Frame-of-Reference Effects in Personality Testing: An Investigation of Incremental Validity in an Organizational Setting,” *International Journal of Selection and Assessment* 22, no. 2 (2014): 165–78; P. R. Sackett and P. T. Walmsley, “Which Personality Attributes Are Most Important in the Workplace?” *Perspectives on Psychological Science* 9, no. 5 (2014): 538–51; and L. Weber, “To Get a Job, New Hires Are Put to the Test,” *The Wall Street Journal*, April 15, 2015, A1, A10.

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Heredity ⓘ refers to factors determined at conception. Physical stature, facial features, gender, temperament, muscle composition and reflexes, energy level, and biological rhythms are either completely or substantially influenced by parentage—by your biological parents' biological, physiological, and inherent psychological makeup. The heredity approach argues that the ultimate explanation of an individual's personality is the molecular structure of the genes, which are located on the chromosomes. A review of 134 studies found that there is some truth to this approach, with about 40 percent of personality being attributable to heredity and the other 60 percent attributable to the environment.¹⁰

This is not to suggest that personality never changes. People's scores on dependability tend to increase over time, as when young adults start families and establish careers. However, strong individual differences in dependability remain; everyone tends to change by about the same amount, so their rank order stays roughly the same.¹¹ Furthermore, personality is more changeable in adolescence and more stable among adults.¹²



Energetic, charismatic, decisive, ambitious, adaptable, courageous, and industrious are personality traits used to describe

Richard Branson, founder of Virgin Group. These traits helped Branson, shown here promoting Virgin Trains, build one of the most recognized and respected global brands in travel, entertainment, and lifestyle.

Source: Joe Pepler/REX/AP Images

Early work on personality tried to identify and label enduring characteristics that describe an individual's behavior, including shy, aggressive, submissive, lazy, ambitious, loyal, and timid. When someone frequently exhibits these characteristics and they are relatively enduring over time and across situations, we call them **personality traits** ⓘ.¹³ The more consistent the characteristic over time and the more frequently it occurs in diverse situations, the more important the trait is in describing the individual.



MyLab Management Personal Inventory Assessments

Go to www.pearson.com/mylab/management to complete the Personal Inventory Assessment related to this chapter.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

4.1.1 According to Gordon Allport, _____ is/are defined as “the dynamic organization within the individual of those psychophysical systems that determine his unique adjustments to his environment.”

- ☐ values
- ☐ beliefs
- ☐ personality
- ☐ attitudes

Check answer

Reset

4.1.2 According to research, which of the following factors is most likely to influence personality?

- ☐ education
- ☐ heredity
- ☐ friends
- ☐ moods

Check answer

Reset

Personality Frameworks

4-2 Describe the strengths and weaknesses of the Myers-Briggs Type Indicator (MBTI) personality framework and the Big Five model.

Throughout history, people have sought to understand what makes individuals behave in different ways. Many of our behaviors stem from our personalities, so understanding the components of personality helps us predict behavior. Important theoretical frameworks and assessment tools help us categorize and study the dimensions of personality.

The most widely used and best known personality frameworks are the Myers-Briggs Type Indicator (MBTI) and the Big Five Personality Model. Both describe a person's total personality through exploration of the facets of personality. Other frameworks, such as the Dark Triad, explain certain aspects, but not the total, of an individual's personality. We discuss each below, but let's begin with the dominant frameworks.

The Myers-Briggs Type Indicator

The **Myers-Briggs Type Indicator (MBTI)** ⓘ is one of the most widely used personality assessment instruments in the world.¹⁴ It is a 100-question personality test that asks people how they usually feel or act in situations. Respondents are classified as extraverted or introverted (E or I), sensing or intuitive (S or N), thinking or feeling (T or F), and judging or perceiving (J or P):

- *Extraverted (E) versus Introverted (I)*. Extraverted individuals are outgoing, sociable, and assertive. Introverts are quiet and shy.
- *Sensing (S) versus Intuitive (N)*. Sensing types are practical and prefer routine and order, and they focus on details. Intuitives rely on unconscious processes and look at the big picture.
- *Thinking (T) versus Feeling (F)*. Thinking types use reason and logic to handle problems. Feeling types rely on their personal values and emotions.
- *Judging (J) versus Perceiving (P)*. Judging types want control and prefer order and structure. Perceiving types are flexible and spontaneous.

The MBTI describes personality types by identifying one trait from each of the four pairs. For example, Introverted/Intuitive/Thinking/Judging people (INTJs) are visionaries with original minds and great drive. They are skeptical, critical, independent, determined, and often stubborn. ENFJs are natural teachers and leaders. They are relational, motivational, intuitive, idealistic, ethical, and kind. ESTJs are organizers. They are realistic, logical, analytical, and decisive, perfect for business or mechanics. The ENTP type is innovative, individualistic, versatile, and attracted to entrepreneurial ideas. This person tends to be resourceful in solving challenging problems but may neglect routine assignments.

According to the Myers & Briggs Foundation, introverts account for over 50 percent of the E/I responses in the U.S. population. Indeed, two of the three most common MBTI types are introverts: ISFJ and ISTJ. ISFJs are nurturing and responsible, and ISTJs are dutiful and logical. The least common types are INFJ (insightful and protective) and ENTJ (focused and decisive).¹⁵

The MBTI is used in a variety of organizational settings. It is taken by over 2.5 million people each year, and 89 of the Fortune 100 companies use it.¹⁶ Evidence is mixed about its validity as a measure of personality; however, most of the evidence is against it.¹⁷ As Professor Dan Ariely noted about MBTI results, “Next time, just look at the horoscope. It is just as valid and takes less time.”¹⁸

One problem with the MBTI is that the model forces a person into one type or another; that is, you’re either introverted or extraverted. There is no in-between. Another problem is with the reliability of the measure: When people retake the assessment, they often receive different results. An additional problem is in the difficulty of interpretation. There are levels of importance for each of the MBTI facets, and there are separate meanings for certain combinations of facets, all of which require trained interpretation that can leave room for error. Finally, results from the MBTI tend to be unrelated to job performance. The MBTI can thus be a valuable tool for increasing self-awareness and providing career guidance, but because results tend to be unrelated to job performance, managers should consider using the Big Five Personality Model, discussed next, as the personality selection test for job candidates instead.

The Big Five Personality Model

The MBTI may lack strong supporting evidence, but an impressive body of research supports

the **Big Five Model** ⓘ, which proposes that five basic dimensions underlie all others and encompass most of the significant variation in human personality.¹⁹ Test scores of these traits do a very good job of predicting how people behave in a variety of real-life situations²⁰ and remain relatively stable for an individual over time, with some daily variations.²¹ These are the Big Five factors:

- *Conscientiousness*. The **conscientiousness** ⓘ dimension is a measure of personal consistency and reliability. A highly conscientious person is responsible, organized, dependable, and persistent. Those who score low on this dimension are easily distracted, disorganized, and unreliable.
- *Emotional stability*. The **emotional stability** ⓘ dimension taps a person's ability to withstand stress. People with emotional stability tend to be calm, self-confident, and secure. High scorers are more likely to be positive and optimistic and to experience fewer negative emotions; they are generally happier than low scorers. Emotional stability is sometimes discussed as its converse, neuroticism. Low scorers (those with high neuroticism) are hypervigilant and vulnerable to the physical and psychological effects of stress. Those with high neuroticism tend to be nervous, anxious, depressed, and insecure.
- *Extraversion*. The **extraversion** ⓘ dimension captures our relational approach toward the social world. Extraverts tend to be gregarious, assertive, and sociable. They experience more positive emotions than do introverts, and they more freely express these feelings. On the other hand, introverts (low extraversion) tend to be more thoughtful, reserved, timid, and quiet.
- *Openness to experience*. The **openness to experience** ⓘ dimension addresses the range of interests and fascination with novelty. Open people are creative, curious, and artistically sensitive. Those at the low end of the category are conventional and find comfort in the familiar.
- *Agreeableness*. The **agreeableness** ⓘ dimension refers to an individual's propensity to defer to others. Agreeable people are cooperative, warm, and trusting. You might expect agreeable people to be happier than disagreeable people. They are, but only slightly. When people choose organizational team members, agreeable individuals are usually their first choice. In contrast, people who score low on agreeableness are cold and antagonistic.



General Motors CEO Mary Barra is unusual in that she appears to score high on all the Big Five personality dimensions. Her unique combination of traits has helped her become the first female CEO of a major global automaker.

Source: Michael Buholzer/Photoshot/Newscom

How Do the Big Five Traits Predict Behavior at Work? There are many relationships between the Big Five personality dimensions and job performance,²² and we are learning more about them every day. Let's explore one trait at a time, beginning with the strongest predictor of job performance—conscientiousness.



Conscientiousness at Work As researchers have stated, “Personal attributes related to conscientiousness ... are important for success across many jobs, spanning across low to high levels of job complexity, training, and experience.”²³ Employees who score higher in conscientiousness develop higher levels of job knowledge, probably because highly conscientious people learn more (conscientiousness may be related to grade point average [GPA]),²⁴ and these levels correspond with higher levels of job performance.²⁵ Conscientious people are also more able to maintain their job performance even when faced with abusive supervision, according to a recent study in India.²⁶ Prior reviews also suggest that conscientious people tend to be more likely to engage in more organizational citizenship behaviors (OCBs), less likely to engage in counterproductive work behaviors (CWBs) or think about leaving the organization, and can adapt to changing task demands and

situations.²⁷ Conscientious people also engage in less unsafe behavior and tend to have fewer accidents than those who are less conscientious.²⁸

Conscientiousness is important to overall organizational success. As Exhibit 4-1 shows, a study of the personality scores of 313 Chief Executive Officer (CEO) candidates in private equity companies (of whom 225 were hired) found conscientiousness—in the form of persistence, attention to detail, and setting high standards—was more important to success than other traits.²⁹

Like any trait, conscientiousness has pitfalls. Extremely conscientious individuals can be too deliberate and perfectionistic, resulting in diminished happiness and performance, which includes task performance, safety performance, and OCB.³⁰ They may also become too focused on their own work to help others in the organization.³¹ Finally, they are often less creative, especially artistically.³²

Conscientiousness is the best predictor of job performance. However, the other Big Five traits are also related to aspects of performance and have other implications for work and for life, as Exhibit 4-2 summarizes.

Exhibit 4-1 Traits That Matter Most to Business Success at Buyout Companies

Most Important

Persistence
Attention to detail
Efficiency
Analytical skills
Setting high standards

Less Important

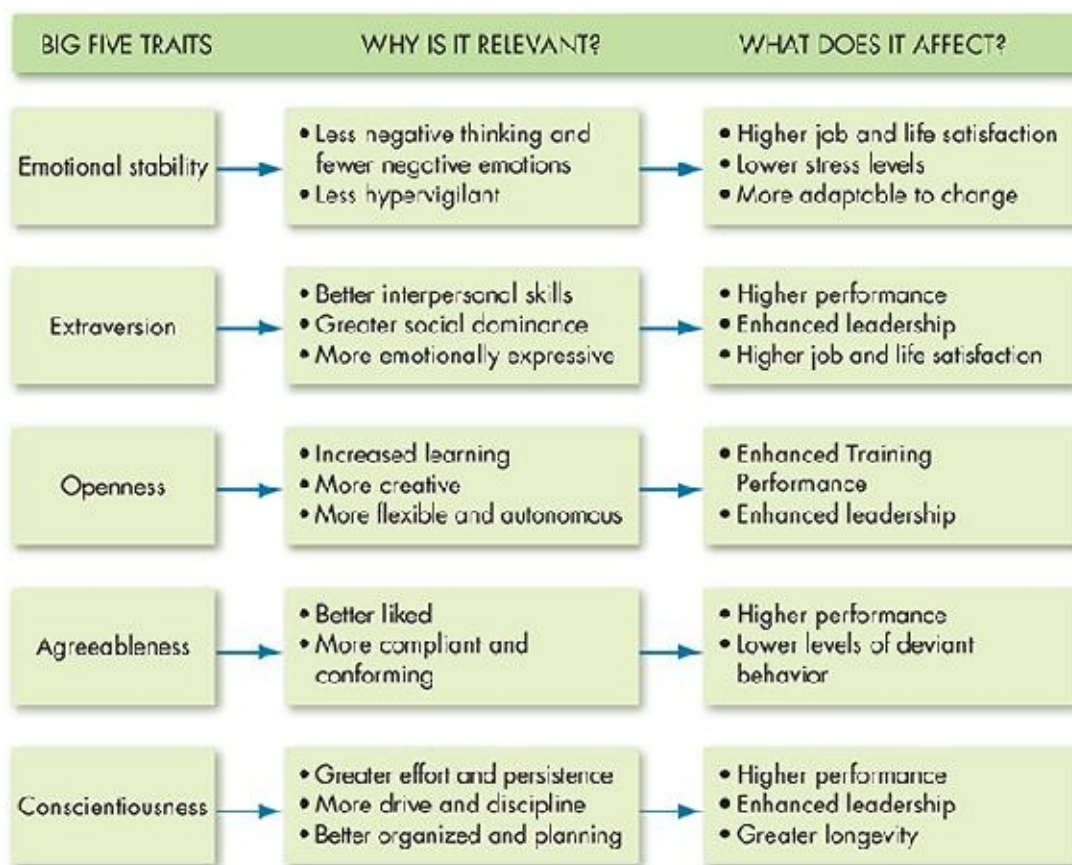
Strong oral communication
Teamwork
Flexibility/adaptability
Enthusiasm
Listening skills

Source: Based on S. N. Kaplan, M. M. Klebanov, and M. Sorensen, “Which CEO Characteristics and Abilities Matter?” *The Journal of Finance* 67, no. 3 (2012): 973–1007.

Emotional Stability at Work Of the Big Five traits, emotional stability is most strongly related to life satisfaction, job satisfaction, and reduced burnout and intentions to quit.³³ People with high emotional stability can adapt to unexpected or changing demands in the

workplace.³⁴ At the other end of the spectrum, neurotic individuals, who may be unable to cope with these demands, may experience burnout.³⁵ These people also tend to experience work–family conflict, which can affect work outcomes.³⁶ Given these negative, straining effects, neurotic employees are more likely to engage in CWBs, less likely to engage in OCBs, and less likely to be motivated at work.³⁷

Exhibit 4-2 Model of How Big Five Traits Influence OB Criteria



Extraversion at Work Extraverts perform better in jobs with significant interpersonal interaction. They are socially dominant, “take charge” people who are usually more assertive than introverts.³⁸ Extraversion is a relatively strong predictor of leadership emergence and behaviors in groups.³⁹ Extraverts also tend to have generally high job satisfaction and reduced burnout.⁴⁰ Some negatives are that extraverts can appear to be self-aggrandizing, egoistic, or too dominating and that their social behavior can be disadvantageous for jobs that

do not require frequent social interaction.⁴¹

Openness at Work Open people tend to be the most creative and innovative compared with the other traits.⁴² Open people are more likely to be effective leaders and more comfortable with ambiguity—they cope better with organizational change and are more adaptable.⁴³ While openness isn't related to initial performance on a job, individuals higher in openness are less susceptible to a decline in performance over a longer time period.⁴⁴ Open people also experience less work–family conflict.⁴⁵

Agreeableness at Work Agreeable individuals are better liked than disagreeable people; they should perform well in interpersonally oriented jobs such as customer service. They experience less work–family conflict and are less susceptible to turnover.⁴⁶ They also contribute to organizational performance by engaging in OCB.⁴⁷ Disagreeable people, on the other hand, are more likely to engage in CWBs, as are people low in conscientiousness.⁴⁸ Agreeableness is associated with lower levels of career success, perhaps because highly agreeable people consider themselves less marketable and are less willing to assert themselves.⁴⁹



In general, the Big Five personality factors appear in almost all cross-cultural studies,⁵⁰ including studies in China, Israel, Germany, Japan, Spain, Nigeria, Norway, Pakistan, and the United States. However, a study of illiterate indigenous people in Bolivia suggested that the Big Five framework may be less applicable when studying the personalities of small, remote groups.⁵¹

Research indicates that the Big Five traits have the most verifiable links to important organizational outcomes, but they are not the only traits a person exhibits, nor are they the only ones with OB implications. Let's discuss some other traits, known collectively as the Dark Triad.

The Dark Triad

Except for neuroticism, the Big Five traits are what we call socially desirable, meaning that we would be glad to score high on them. Researchers have found that three other socially *undesirable* traits, which we all have in varying degrees, are also relevant to organizational behavior: Machiavellianism, narcissism, and psychopathy. Because of their negative nature,

researchers have labeled these the **Dark Triad** ⓘ—though they do not always occur together.⁵²

The Dark Triad may sound sinister, but these traits are not clinical pathologies hindering everyday functioning. They might be expressed particularly strongly when an individual is under stress and unable to moderate any inappropriate responses. Sustained high levels of dark personality traits can cause individuals to derail their careers and personal lives.⁵³

Machiavellianism Hao is a young bank manager in Shanghai. He’s received three promotions in the past 4 years and makes no apologies for the aggressive tactics he’s used. “My name means clever, and that’s what I am—I do whatever I have to do to get ahead,” he says. Hao would be termed Machiavellian.

The personality characteristic of **Machiavellianism** ⓘ (often abbreviated *Mach*) is named after Niccolo Machiavelli, who wrote in the sixteenth century about how to gain and use power. An individual high in Machiavellianism is pragmatic, maintains emotional distance, and believes ends can justify means. “If it works, use it” is consistent with a high-Mach perspective. High Machs manipulate more, win more, and are persuaded less by others but persuade others more than do low Machs.⁵⁴ They are more likely to act aggressively and engage in CWBs as well. Surprisingly, Machiavellianism does not positively predict overall job performance.⁵⁵ High-Mach employees, by manipulating others to their advantage, win in the short term at a job, but they lose those gains in the long term because they are not well liked.

Machiavellian tendencies may have ethical implications. One study showed that high-Mach job seekers were less positively affected by the knowledge that an organization engaged in a high level of corporate social responsibility (CSR),⁵⁶ suggesting that high-Mach people may care less about sustainability issues. Another study found that Machs’ ethical leadership behaviors were less likely to translate into followers’ work engagement because followers see through these behaviors and realize it is a case of surface acting.⁵⁷

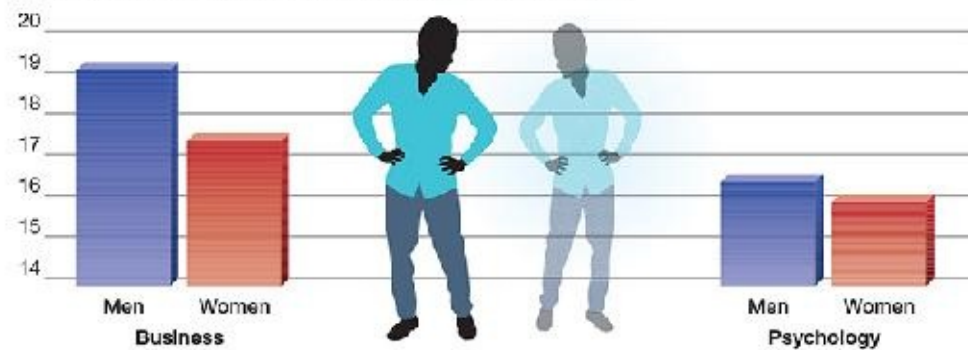
Narcissism Sabrina likes to be the center of attention. She often looks at herself in the mirror, has extravagant dreams about her future, and considers herself a person of many talents. Sabrina is a narcissist. The trait is named for the Greek myth about Narcissus, a youth so vain and proud he fell in love with his own image. In psychology, **narcissism** ⓘ describes a person who has a grandiose sense of self-importance, requires excessive admiration, and is

arrogant. Narcissists often have fantasies of grand success, a tendency to exploit situations and people, a sense of entitlement, and a lack of empathy.⁵⁸ However, narcissists can be hypersensitive and fragile people.⁵⁹ They may also experience more anger.⁶⁰

OB POLL

Does Business School Make You Narcissistic?

Average levels of narcissism by college major and gender



Source: Based on J. W. Westerman, J. Z. Bergman, S. M. Bergman, and J. P. Daly, “Are Universities Creating Millennial Narcissistic Employees? An Empirical Examination of Narcissism in Business Students and Its Implications,” *Journal of Management Education* 36 (2012), 5–32.

While narcissism seems to be relatively unrelated to job effectiveness or OCB,⁶¹ it is one of the largest predictors of increased CWB in individualistic cultures—but not in collectivist cultures that discourage self-promotion.⁶² Narcissists commonly think they are overqualified for their positions.⁶³ When they receive feedback about their performance, they often tune out information that conflicts with their positive self-perception, but they will work harder if rewards are offered.⁶⁴



On the bright side, narcissists may be more charismatic than others.⁶⁵ They also might be found in business more often than in other fields (see OB Poll). They are more likely to be chosen for leadership positions, and medium ratings of narcissism (neither extremely high nor extremely low) are positively correlated with leadership effectiveness.⁶⁶ Some evidence suggests that narcissists are more adaptable and make better business decisions than others when the issue is complex.⁶⁷ A study of Norwegian bank employees found those scoring high on narcissism enjoyed their work more.⁶⁸

Special attention has been paid to narcissistic CEOs who make more acquisitions, pay higher premiums for those acquisitions, respond less clearly to objective measures of

performance, and respond to media praise by making even more acquisitions.⁶⁹ Research using data compiled over 100 years has shown that narcissistic CEOs of baseball organizations generate higher levels of manager turnover, although members of external organizations see them as more influential.⁷⁰

Narcissism and its effects are not confined to CEOs or celebrities. Like the effects of Machiavellianism, those of narcissism vary by context, but are evident in all areas of life.

Psychopathy Psychopathy is part of the Dark Triad, but in organizational behavior, it does not connote clinical mental illness. In the OB context, **psychopathy** ⓘ is defined as a lack of concern for others and a lack of guilt or remorse when actions cause harm.⁷¹ Measures of psychopathy attempt to assess the motivation to comply with social norms; impulsivity; willingness to use deceit to obtain desired ends; and disregard, that is, lack of empathic concern for others.

The literature is not consistent about whether psychopathy is important to work behavior. One review found little correlation between measures of psychopathy and job performance or CWBs.⁷² Another found that antisocial personality, which is closely related to psychopathy, was positively related to advancement in the organization but unrelated to other aspects of career success and effectiveness.⁷³ Still other research suggests psychopathy is related to the use of hard influence tactics (threats, manipulation) and bullying work behavior (physical or verbal threatening).⁷⁴ The cunning displayed by people who score high on psychopathy may thus help them gain power in an organization but keep them from using it toward healthy ends for themselves or their organizations.

Other Traits The Dark Triad is a helpful framework for studying the three dominant dark-side traits in current personality research, and researchers are exploring other traits as well. One emerging framework incorporates five additional aberrant compound traits based on the Big Five.⁷⁵ First, *antisocial* people are indifferent and callous toward others. They use their extraversion to charm people, but they may be prone to violent CWBs and risky decision making. Second, *borderline* people have low self-esteem and high uncertainty. They are unpredictable in their interactions at work, are inefficient, and may have low job satisfaction. Their low self-esteem can lead to clinical depression.⁷⁶ Third, *schizotypal* individuals are eccentric and disorganized. In the workplace, they can be highly creative, although they are susceptible to work stress. Fourth, *obsessive-compulsive* people are perfectionists and can be

stubborn, yet they attend to details, carry a strong work ethic, and may be motivated by achievement. Fifth, *avoidant* individuals feel inadequate and hate criticism. They can function only in environments requiring little interaction.

Personality traits have both positive and negative aspects. The degree of each trait—those in the Big Five, the Dark Triad, and others—in a person, and the combination of traits, matter a great deal to organizational outcomes. It would be easy to make quick management decisions based on our observations, but it is important to keep discussions on personality in perspective and to consider other theories.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

4.2.1 What does the Myers-Briggs Type Indicator classification of ‘S or N’ stand for?

- ☐ sensing/intuitive
- ☐ social/thinking
- ☐ stable/informative
- ☐ sensitive/thinking

Check answer

Reset

4.2.2 Which of the following is not one of the five factors included in the 'Big Five' Model?

- ☐ agreeableness
- ☐ conscientiousness
- ☐ intuitiveness
- ☐ emotional stability

Check answer

Reset

Other Personality Attributes Relevant to OB

4-3 Discuss how the concepts of core self-evaluation (CSE), self-monitoring, and proactive personality contribute to the understanding of personality.

As we've discussed, studies of traits have much to offer to the field of OB. Now we'll look at other attributes that are powerful predictors of behavior in organizations: core self-evaluations, self-monitoring, and proactive personality.

Core Self-Evaluations (CSEs)

Core self-evaluations (CSEs) ⓘ are bottom-line conclusions individuals have about their capabilities, competence, and worth as a person. People who have positive CSEs like themselves and see themselves as effective and in control of their environment. Those with negative CSEs tend to dislike themselves, question their capabilities, and view themselves as powerless over their environment.⁷⁷ As we discussed in Chapter 3, CSEs relate to job satisfaction because people who are positive on this trait see more challenge in their jobs and attain more complex jobs.



Blake Mycoskie, founder of TOMS Shoes, is confident, capable, and effective. His high core self-evaluations enabled him to realize his dream of a company that uses profits to give shoes to children in need.

Source: Donato Sardella/WireImage/Getty Images

People with positive CSEs perform better than others because they set more ambitious goals, are more committed to their goals, and persist longer in attempting to reach them.⁷⁸ People who have high CSEs provide better customer service, are more popular coworkers, and may have careers that begin on a better footing and ascend more rapidly over time.⁷⁹ They perform especially well if they feel their work provides meaning and is helpful to others.⁸⁰ Therefore, people with high CSEs may thrive in organizations with high corporate social responsibility (CSR).

Self-Monitoring

Zoe is always in trouble at work. Although she's competent, hardworking, and productive, she receives average ratings in performance reviews and seems to have made a career out of irritating her bosses. Zoe's problem is that she's politically inept and unable to adjust her behavior to fit changing situations. As she said, "I'm true to myself. I don't remake myself to please others." Zoe is a low self-monitor.

Self-monitoring ⓘ describes an individual's ability to adjust behavior to external,

situational factors.⁸¹ High self-monitors show considerable adaptability in adjusting their behavior to external situational factors. They are highly sensitive to external cues and can behave differently in varying situations, sometimes presenting striking contradictions between their public personae and their private selves. Low self-monitors like Zoe can't disguise themselves in that way. They tend to display their true dispositions and attitudes in every situation; hence, there is high behavioral consistency between who they are and what they do.

Evidence indicates that high self-monitors pay closer attention to the behavior of others and are more capable of conforming than are low self-monitors.⁸² High self-monitor employees show less commitment to their organizations but receive better performance ratings and are more likely to emerge as leaders.⁸³ High self-monitor managers tend to be more mobile in their careers, receive more promotions (both internal and cross-organizational), and are more likely to occupy central positions in organizations.⁸⁴

Myth or Science?

We Can Accurately Judge Individuals' Personalities a Few Seconds after Meeting Them

Surprisingly, this statement appears to be true.

Research indicates that individuals can accurately appraise others' personalities only a few seconds after first meeting them, or sometimes even from a photo. This "zero acquaintance" approach shows that, regardless of the way in which people first meet someone, whether in person or online, their first judgments about the other's personality have some validity. In one study, for example, individuals were asked to introduce themselves in, on average, 7.4 seconds. Observers' ratings of those individuals' extraversion were significantly correlated with the individuals' self-reported extraversion. Other research suggests personalities can be surmised from online profiles at zero acquaintance as well. One study even found that participants could determine the personality traits of individuals at the ends of the trait spectrum from viewing only photos.

Some traits, such as extraversion, are easier to perceive than others upon initial acquaintance, but less obvious traits like self-esteem are also often judged accurately by others. Even being forced to make intuitive, quick judgments rather than deliberate evaluations does not seem to undermine the accuracy of the appraisals.

Situations make a difference in the accuracy of the judgments for some personality traits. For example, although neuroticism is perhaps the most difficult trait to detect accurately, a recent study found neuroticism could be judged much more accurately when the situation made the individual react nervously. This makes sense when you consider that some situations activate or draw out a trait much more readily than others. Almost everybody looks calm when they're about to fall asleep!

The moderate accuracy of these “thin slices” (quick inferences from short experiences) helps to explain the moderate validity of employment interviews, which we discuss in Chapter 16. Specifically, research shows that interviewers make up their minds about candidates within 2 minutes of first meeting them. While this is hardly an ideal way to make important employment decisions, the research on personality shows these judgments do have some level of validity. It is important to keep in mind, however, that though we can ascertain people's personalities quickly, we should keep an open mind and suspend judgment. There is always more to people than first meets the eye.

Sources: Based on A. Beer, “Comparative Personality Judgments: Replication and Extension of Robust Findings in Personality Perception Using an Alternative Method,” *Journal of Personality Assessment* 96, no. 6 (2014): 610–18; M. Gladwell, *Blink: The Power of Thinking Without Thinking* (Boston, MA: Back Bay Books, 2007); S. Hirschmüller, B. Egloff, S. C. Schmukle, S. Nestler, and M. D. Back, “Accurate Judgments of Neuroticism at Zero Acquaintance: A Question of Relevance,” *Journal of Personality* 83, no. 2 (2015): 221–28; S. Hirschmüller, B. Egloff, S. Nestler, and D. Mitja, “The Dual Lens Model: A Comprehensive Framework for Understanding Self–Other Agreement of Personality Judgments at Zero Acquaintance,” *Journal of Personality and Social Psychology* 104 (2013): 335–53; and J. M. Stopfer, B. Egloff, S. Nestler, and M. D. Back, “Personality Expression and Impression Formation in Online Social Networks: An Integrative Approach to Understanding the Processes of Accuracy, Impression Management, and Meta-Accuracy,” *European Journal of Personality* 28 (2014): 73–94.

Proactive Personality

Did you ever notice that some people take the initiative to improve their current circumstances or create new ones? These are proactive personalities.⁸⁵ Those with a **proactive personality**  identify opportunities, show initiative, take action, and persevere until meaningful change occurs, unlike those who generally react to situations. Proactive individuals have many desirable behaviors that organizations covet. They have higher levels of job performance⁸⁶ and do not need much oversight.⁸⁷ They tend to be satisfied with their jobs, committed to their organizations, and tend to engage in more networking behaviors.⁸⁸ Proactive individuals often achieve career success.⁸⁹

A proactive personality may be important for work teams. One study of 95 Research and Development (R&D) teams in 33 Chinese companies revealed that teams with high-average levels of proactive personality were more innovative.⁹⁰ Proactive individuals are also more likely to exchange information with others in a team, which builds trust relationships.⁹¹ Like other traits, proactive personality is affected by the context. One study of bank branch teams in China found that if a team's leader was not proactive, the benefits of the team's proactivity became dormant or, worse, was suppressed by the leader.⁹² In terms of pitfalls, one study of 231 Flemish unemployed individuals found that proactive individuals abandoned their job searches sooner. It may be that proactivity includes stepping back in the face of failure.⁹³



In short, these personality traits predict many important organizational outcomes.

However, there has been a renewed interest in how personality is related to employability, job search, and unemployment. The next section is an integrative example that will demonstrate recent research on the relationship between personality, job search, and unemployment.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

4.3.1 Which of the following terms indicates the degree to which people like or dislike themselves?

- core self-evaluation
- authoritarianism

- ☐ self-monitoring
- ☐ Machiavellianism

Check answer

Reset

4.3.2 Those with a _____ personality identify opportunities, show initiative, take action, and persevere until meaningful change occurs, compared to others who passively react to situations.

- ☐ high self-monitoring
- ☐ proactive
- ☐ high Mach
- ☐ low other-orientation

Check answer

Reset

Personality, Job Search, and Unemployment

4-4 Describe how personality affects job search and unemployment.

As we have discussed, there are many ways in which various personality traits (from several different frameworks) affect on-the-job outcomes. But how does personality affect our behaviors when we are not working? How does personality influence our job search outcomes and operate during our periods of unemployment? You can imagine that these periods may be more exciting for those who have a proactive personality, as introduced in the prior section.⁹⁴ But the influence of personality is more nuanced than that.



A relevant question involves the behaviors of those who are unemployed and looking for a job: What personality characteristics predict job search behaviors (e.g., networking intensity) among the unemployed? Many studies of unemployed job seekers have found that conscientiousness and extraversion were predictive of networking intensity, general job search intensity, interview callbacks, and job offers, even after controlling for demographic characteristics and the time spent unemployed.⁹⁵ Conscientiousness is such a powerful predictor that in one study of 4,000 British adolescents, the less conscientious of them were twice as likely to be unemployed than those with higher conscientiousness levels.⁹⁶ Research in Finland suggests that time structure (i.e., ensuring that your time is structured and purposefully used) is also important for enabling the unemployed to cope effectively with unemployment, with conscientiousness strongly predicting the creation of time structure even above and beyond contextual factors that might impede time structure (e.g., household demands, having children).⁹⁷ Overall, one review suggests that conscientiousness and extraversion are the two strongest predictors of job search behavior, although self-esteem and self-efficacy (parts of CSE) are also important.⁹⁸



Additional work on unemployed university students suggests that positive affectivity is also important in getting interviews, job offers, and becoming employed—primarily because the positive affect enables the students to have a clearer and more open perspective toward the job search process, engage in more self-monitoring of their motivation, and reduce procrastination.⁹⁹ Negative affectivity and hostility can have the

reverse effect—in one sample of Finnish employees tracked over 15 years, unemployed individuals became more hostile and remained unemployed longer as a result of being hostile.¹⁰⁰



It appears that extraversion, conscientiousness, and positive affectivity tend to have a substantial effect on becoming employed and coping with unemployment (with negative affectivity and hostility having equivalent negative effects). If you find yourself in a situation where you are unemployed, can you expect your personality to change? Or can you change your behavior to act in a way that goes against your traits? First, it appears as if “approach” and “avoidance” traits (e.g., traits that lead to approaching challenges head-on or avoiding them) have an effect on job search—for example, extraversion, conscientiousness, proactive personality, and positive affect have a positive effect, whereas negative affect, hostility, and low self-esteem and self-efficacy have a negative effect.¹⁰¹ As such, it might be worthwhile to try to adopt an “approach” orientation—take the challenge head on, try to stay positive and organized, and build your network! Second, some research in Germany suggests that your personality *can* change after unemployment—in a sample of nearly 7,000 unemployed adults who were tracked over 4 years, significant patterns of change in agreeableness, conscientiousness, and openness were uncovered.¹⁰² As we will discuss further in the next section, the situation and context matters as well. The experience of unemployment is not the same for everyone across the board—it can be different for new entrants to the labor market (college graduates), those who have just lost their jobs, and those who are employed and seeking jobs.¹⁰³ Can we expect the effect of personality to differ in each of these contexts?

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

4.4.1 Which of the following traits has a negative effect on job search?

- Extraversion
- Conscientiousness

- ☐ Low self-efficacy
- ☐ Proactive personality

Check answer

Reset

4.4.2 Research has found that _____ is important in getting interviews, job offers, and becoming employed.

- ☐ positive affectivity
- ☐ negative affectivity
- ☐ hostility
- ☐ closed mindedness

Check answer

Reset

Personality and Situations

4-5 Describe how the situation affects whether personality predicts behavior.

Earlier we discussed how research shows that heredity is more important than the environment in developing our personalities. The environment is not irrelevant, though. Some personality traits, such as the Big Five, can be effective in many environments or situations. For example, research indicates conscientiousness is helpful to the performance of most jobs, and extraversion is related to emergence as a leader in most situations. However, we are learning that the effect of particular traits on organizational behavior may depend on the situation. Two theoretical frameworks, situation strength and trait activation, help explain how this works.

Situation Strength Theory

Imagine you are in a meeting with your department. How likely are you to walk out, shout at someone, or turn your back on everyone? Probably highly unlikely. Now imagine working from home. You might work in your pajamas, listen to loud music, or take a catnap.

Situation strength theory ⓘ proposes that the way personality translates into behavior depends on the strength of the situation. By *situation strength*, we mean the degree to which norms, cues, or standards dictate appropriate behavior.¹⁰⁴ Strong situations show us what the right behavior is, pressure us to exhibit it, and discourage the wrong behavior. In weak situations, conversely, “anything goes,” and thus we are freer to express our personality in behavior. Thus, personality traits better predict behavior in weak situations than in strong ones.

Researchers have analyzed situation strength in organizations in terms of four elements:¹⁰⁵

1. **Clarity**, or the degree to which cues about work duties and responsibilities are available and clear. Jobs high in clarity produce strong situations because individuals can readily determine what to do. For example, the job of janitor probably provides higher clarity about each task than the job of nanny.
2. **Consistency**, or the extent to which cues regarding work duties and responsibilities are compatible with one another. Jobs with high consistency represent strong situations

because all the cues point toward the same desired behavior. The job of acute care nurse, for example, probably has higher consistency than the job of manager.

3. **Constraints**, or the extent to which individuals' freedom to decide or act is limited by forces outside their control. Jobs with many constraints represent strong situations because an individual has limited individual discretion. Bank examiner, for example, is probably a job with stronger constraints than forest ranger.
4. **Consequences**, or the degree to which decisions or actions have important implications for the organization or its members, clients, suppliers, and so on. Jobs with important consequences represent strong situations because the environment is probably heavily structured to guard against mistakes. A surgeon's job, for example, has higher consequences than a foreign-language teacher's.

Some researchers have speculated that organizations are strong situations because they impose rules, norms, and standards that govern behavior. These constraints are usually appropriate. For example, we would not want an employee to feel free to engage in sexual harassment, follow questionable accounting procedures, or come to work only when the mood strikes.

Beyond the basics, though, it is not always desirable for organizations to create strong situations for their employees for several reasons. First, the elements of situation strength are often determined by organization rules and guidelines, which adds some objectivity to them. However, the perception of these rules influences how the person will respond to the situation's strength. For instance, a person who is usually self-directed may view step-by-step instructions (high clarity) for a simple task as a lack of faith in his ability. Another person who is a rule-follower might appreciate the detailed instructions. Their responses (and work attitudes) will reflect their perception of the situation.¹⁰⁶

Second, jobs with myriad rules and tightly controlled processes can be dull or demotivating. Imagine that all work was executed with an assembly-line approach. Some people may prefer the routine, but many prefer having some variety and freedom. Third, strong situations might suppress the creativity, initiative, and discretion prized by some organizational cultures. One study, for example, found that in weak organizational situations, employees were more likely to behave proactively in accordance with their values.¹⁰⁷ Work is increasingly complex and interrelated globally. Creating strong rules to govern diverse systems might be not only difficult but also unwise. In sum, managers need to recognize the

role of situation strength in the workplace and find the appropriate balance.

Trait Activation Theory

Another important theoretical framework toward understanding personality and situations is **trait activation theory (TAT)** ⓘ. TAT predicts that some situations, events, or interventions “activate” a trait more than others. Using TAT, we can foresee which jobs suit certain personalities. For example, a commission-based compensation plan would likely activate individual differences because extraverts are more reward-sensitive, than, say, open people. Conversely, in jobs that encourage creativity, differences in openness may better predict desired behavior than differences in extraversion. See Exhibit 4-3 for specific examples.

TAT also applies to personality tendencies. For example, a recent study found that people learning online responded differently when their behavior was being electronically monitored. Those who had a high fear of failure had higher apprehension from the monitoring than others and learned significantly less. In this case, a feature of the environment (electronic monitoring) activated a trait (fear of failing), and the combination of the two meant lowered job performance.¹⁰⁸ TAT can also work in a positive way. One study found that, in a supportive environment, everyone behaved prosocially, but in a harsh environment, only people with prosocial tendencies exhibited them.¹⁰⁹

Exhibit 4-3		Trait Activation Theory: Jobs in Which Certain Big Five Traits Are More Relevant			
Detail Orientation Required	Social Skills Required	Competitive Work	Innovation Required	Dealing with Angry People	Time Pressure (Deadlines)
Jobs scoring high (the traits listed here should predict behavior in these jobs)					
Air traffic controller	Clergy	Coach/scout	Actor	Correctional officer	Broadcast news
Jobs scoring low (the traits listed here should not predict behavior in these jobs)					
Forester	Software engineer	Postal clerk	Court reporter	Composer	Skincare specialist
Masseuse	Pump	Historian	Archivist	Biologist	Mathematician

Model	operator Broadcast technician	Nuclear reactor operator	Medical technician	Statistician	Fitness trainer
Jobs that score high activate these traits (make them more relevant to predicting behavior)					
Conscientiousness	Extraversion	Extraversion	Openness	Extraversion	Conscientiousness
(+)	(+)	(+)	(+)	(+)	(+)
	Agreeableness	Agreeableness		Agreeableness	Neuroticism (–)
	(+)	(–)		(+)	
				Neuroticism	
				(–)	

Note: A plus (+) sign means that individuals who score high on this trait should do better in this job. A minus (–) sign means that individuals who score low on this trait should do better in this job.

Together, situation strength and trait activation theories show that the debate over nature versus nurture might best be framed as nature *and* nurture. Not only does each affect behavior, but they interact with one another. Put another way, personality and the situation both affect work behavior, but when the situation is right, the power of personality to predict behavior is even higher.¹¹⁰

Having discussed personality traits, we now turn to values. Values are often very specific and describe belief systems rather than behavioral tendencies. Some beliefs or values reflect a person’s personality, but we don’t always act consistently with our values.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

4.5.1 Lydia works as a 911 operator. Her job strength is dictated most likely by _____.

○ clarity

- ☐ consistency
- ☐ constraints
- ☐ comprehension

Check answer

Reset

4.5.2 Merry is normally a very quiet person who remains somewhat quiet during conversations and social settings. Merry is also the reigning national debate club champion. According to the Trait Activation Theory, what happens to Merry at competitions?

- ☐ She becomes highly narcissistic and is rude to the other competitors.
- ☐ Being at the competition causes Merry to draw on normally unused traits.
- ☐ Merry stops pretending to be shy.
- ☐ Being at the competition causes Merry to internalize.

Check answer

Reset

Values

4-6 Contrast terminal and instrumental values.

Is capital punishment right or wrong? Is a desire for power good or bad? The answers to these questions are value-laden.

Values ⓘ represent basic convictions that “a specific mode of conduct or end-state of existence is personally or socially preferable to an opposite or converse mode of conduct or end-state of existence.”¹¹¹ Values contain a judgmental element because they carry an individual’s ideas about what is right, good, or desirable. They have both content and intensity attributes. The content attribute says a mode of conduct or end-state of existence is *important*. The intensity attribute specifies *how important* it is. When we rank values in terms of intensity, we obtain that person’s **value system** ⓘ. We all have a hierarchy of values according to the relative importance we assign to values such as freedom, pleasure, self-respect, honesty, obedience, and equality.

Values tend to be relatively stable and enduring.¹¹² Many of the values we hold are established in our early years—by parents, teachers, friends, and others. If we question our values, they may change, but more often they are reinforced. There is also evidence linking personality to values, implying our values may be partly determined by genetically transmitted traits.¹¹³ Open people, for example, may be more politically liberal, whereas conscientious people may place a greater value on safe and ethical conduct. To explore the topic further, we will discuss the importance and organization of values first.

The Importance and Organization of Values

Values lay the foundation for understanding attitudes and motivation, and they influence our perceptions. We enter an organization with preconceived notions of what “ought” and “ought not” to be. These notions contain our interpretations of right and wrong and our preferences for certain behaviors or outcomes. Regardless of whether they clarify or bias our judgment, our values influence our attitudes and behaviors at work.

While values can sometimes augment decision making, at times they can cloud objectivity and rationality.¹¹⁴ Suppose you enter an organization with the view that allocating pay based

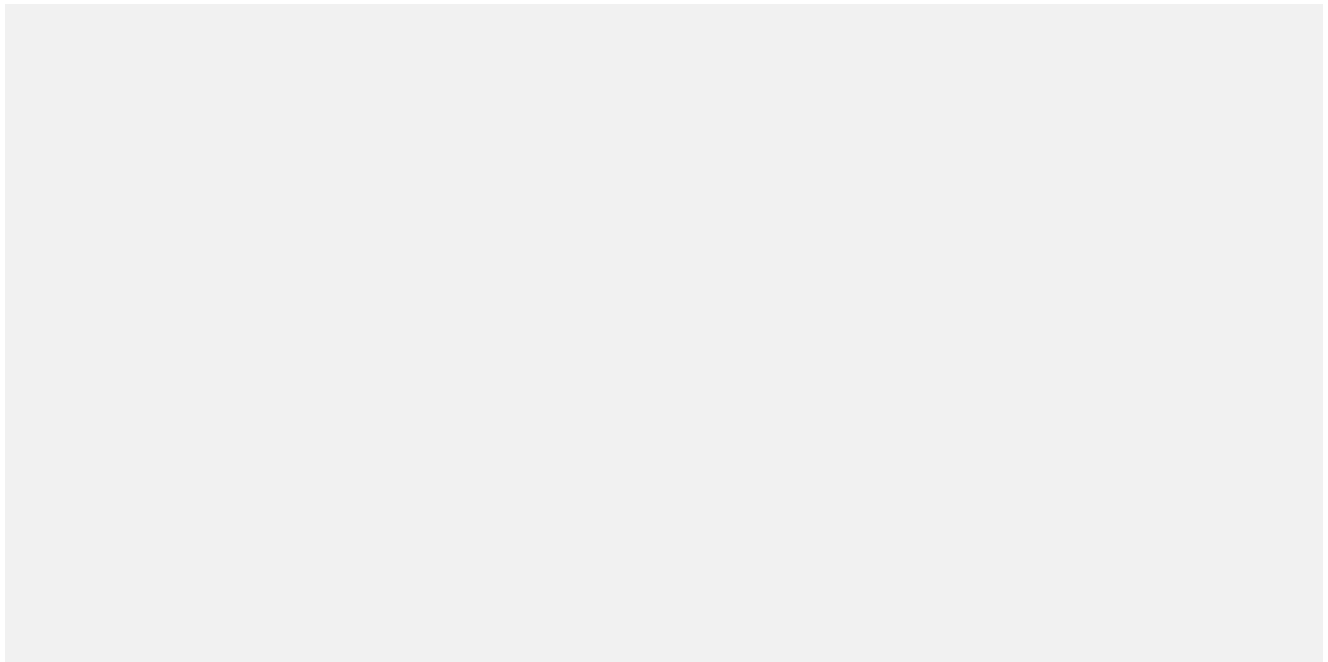
on performance is right, while allocating pay based on seniority is wrong. How will you react if you find the organization you've just joined rewards seniority and not performance? You're likely to be disappointed—this can lead to job dissatisfaction and a decision not to exert a high level of effort because “It's probably not going to lead to more money anyway.” Would your attitudes and behavior be different if your values aligned with the organization's pay policies? Most likely.

MyLab Management Watch It

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the video exercise.

Honest Tea Mission and Values

Watch it video.



A **transcript** of this video is available [here](#).

Transcript

Honest Tea Mission and Values

>> [Music]

>> I'm Seth Goldman, co-founder, president and TeaEO

>> of Honest Tea and TeaEO means that I'm responsible

>> for making the tea and also for running the company.

>> Today Honest Tea is sold in more than 50,000 outlets.

>> We'll have sold over a hundred million units this year

>> and we have 130 employees all over in the country.

>> I wake up everyday excited to run this business

>> because I know we're making products that are healthier

>> than most of what's out there,

>> that are more sustainably produced than most of what is

>> out there because we use organic.

>> Because we've made all of our teas fair trade certified,

>> we also know that the labor standards and the communities

>> where we source from are improving and then on top

>> of that we're having this connection

>> with our consumers that's honest and direct

>> and so I feel very positive

>> about the way we're expanding what were doing.

>> What I try to do is to make sure that everything

>> that we're doing includes some real thought

>> about whether this is meeting our mission.

>> Hi, I'm Cheryl Newman, I'm the Deputy Chief of Mission here

>> at Honest Tea based in Bethesda, Maryland.

>> My responsibility really is to help Seth Goldman

>> who is the Chief of Mission to help the whole company stay

>> on track in terms of our mission of sustainability

>> and creating healthier beverages.

>> The name of our company is probably the best way to start.

>> Honest Tea, it means that the relationships that we have

>> across all of our stakeholders, our relationships

>> with our employees, our relationships with the people

>> who provide our ingredients, the people who help us

>> to make our products and the retailers

>> where our products are actually on the shelf, that we really try

>> to be completely upfront and honest in our negotiations

>> with them, in the way we talk about what we're doing.

>> And I think that that is still not the norm

>> in the United States.

>> There is a shift happening and just as we were the first makers

>> of organic tea I think we have always been on the cutting edge

>> of what it means to be a socially responsible business.

>> In 2008, Coca-Cola bought 40 percent of our company

>> and our product moved into their distribution system.

>> We had some consumers who said,

>> "I am going to stop buying your product because you partnered

>> with this big multinational," and I said "Well,

>> I understand your concerns with Coca-Cola

>> but if you have interest in supporting fair trade,

>> if you have an interest in supporting organics

>> or even just the availability

>> of healthy products then why would you stop buying what we

>> are doing?

>> I wouldn't have done the deal in the beginning

>> if I didn't think this was important

>> to building our mission.

>> Our core values start with being entrepreneurial

>> and continue with our being socially

>> and environmentally responsible.

>> I would say that those are the three big things.

>> I am Debra Schwartz, I'm the Vice-President

>> of Human Resources for Honest Tea.

>> It's my job to make sure that we not only hire the right people

>> but that we take care of them so that they can take care

>> of the business and to keep our core values that we started

>> with almost 13 years ago.

>> The entrepreneurialism is that you own your position

>> and you are responsible for your part of the business.

>> So as we're bringing this organic product

>> that is completely fair trade to the public

>> that resonates within ourselves.

>> [Music]

>> No one is here who doesn't really believe

>> that we are doing something important and so parts

>> of our culture will be recognizable to a lot

>> of non-profits whether it is the feeling

>> that there is a great deal of diversity here, or a great deal

>> of spirit, a real sense

>> that there is something bigger that we are building.

>> One of my most important roles is making sure

>> that we're communicating internally and externally

>> about our mission and we thought the best way to deal

>> with it this year

>> and to establish a baseline going forward would be

>> to actually put all of our learnings into a document

>> that anyone could read.

>> We call it keeping it honest and we are really reporting

>> across a spectrum of stake holders, our products,

>> our packaging, our partners, people meaning the people

>> who drink our beverages, the people who make our beverages

>> and then you know the planet in a very broad sense.

>> We are never complacent about what we are doing here

>> at Honest Tea and so for us the keeping it honest report was

>> really an opportunity to tell people what we have done

>> but really to hold ourselves accountable

>> so for keeping it honest we actually looked

>> at our entire product line and measured what we were doing

>> from an energy stand point.

>> It was thrilling to realize that we'd had gone from something

>> like 200,000 pounds of organic tea 5 or 6 years ago

>> to buying a million pounds of organic tea.

>> The implication for that is just phenomenal;

>> it means that the more people

>> who buy our products the more ingredients we have to buy.

>> The more ingredients we buy,

>> the bigger those organic gardens can become

>> and the better other people's lives are becoming and not just

>> because here in the United States they are drinking

>> beverages that are organic but because somewhere in India

>> or China or South Africa,

>> the places that we buy our ingredients

>> from are also experiencing an improvement

>> in their way of living.

>> Well we are always looking at the process

>> in our journey towards realizing our mission

>> so we just this year converted

>> to a new bottle that's 22 percent lighter

>> than the previous bottles.

>> We are looking at our packing footprint

>> and we have also launched a local sustainability initiative

>> here in our hometown of Bethesda,

>> Maryland called Bethesda Green

>> and that has been really exciting to kind

>> of take our mission and see what we can do at a local level

>> and 2 years ago we bought our employees bicycles

>> to help them both be healthier and to have a cleaner commute.

>> I think another thing that is important to keep

>> in mind is although we have expanded

>> and got other people involved in the mission,

>> ultimately I am really the person responsible

>> for driving it.

>> I have to be.

>> It's wonderful to see how it is embraced throughout

>> the organization.

>> [Music]

>> One of the things we did about a year ago was

>> to install a compost bin for a small office.

>> There are only about 30 people here

>> but we create a lot of garbage.

>> I proposed to Seth, let's put a compost bin in the kitchen.

>> What happened after that is people in the office said

>> "Oh this is really easy to do.

>> I think I am going to start doing it at home."

>> So what we found is that by working here you kind

>> of get influenced by the mission of the company

>> and you start making small changes

>> in your own personal life.

>> And then who knows how many other people those small changes

>> are going to affect.

>> That's what the mission is all about.

Terminal versus Instrumental Values

How can we organize values? One researcher—Milton Rokeach—argued that we can separate them into two categories.¹¹⁵ One set, called **terminal values** ⓘ, refers to desirable end-states. These are the goals a person would like to achieve during a lifetime. The other set, called **instrumental values** ⓘ, refers to preferable modes of behavior, or means of achieving the terminal values. Some examples of terminal values are prosperity and economic success, freedom, health and well-being, world peace, and meaning in life. Examples of instrumental values are autonomy and self-reliance, personal discipline, kindness, and goal-orientation. Each of us places value on both the ends (terminal values) and the means (instrumental values). A balance between the two is important, as is an understanding of how to strike this balance.

Generational Values

Researchers have integrated several analyses of work values into groups that attempt to capture the shared views of different cohorts or generations in the U.S. workforce.¹¹⁶ You will surely be familiar with the labels, some of which are used internationally. It is important to remember that, while categories are helpful, they represent trends, not the beliefs of individuals.

Exhibit 4-4 segments employees by the era during which they entered the workforce. Because most people start work between the ages of 18 and 23, the eras also correlate closely with employee age.

Exhibit 4-4 Dominant Work Values in Today's Workforce

Cohort	Entered the Workforce	Approximate Current Age	Dominant Work Values
Boomers	1965–1985	50s to 70s	Success, achievement, ambition, dislike of authority; loyalty to career
Xers	1985–2000	Mid-30s to 50s	Work-life balance, team-oriented, dislike of rules; loyalty to relationships
Millennials	2000 to present	To mid-30s	Confident, financial success, self-reliant but team-oriented; loyalty to both self and relationships

Though it is fascinating to think about generational values, remember these classifications lack solid research support. Early research was plagued by methodological problems that made it difficult to assess whether differences actually exist. Reviews suggest many of the generalizations are either overblown or incorrect.¹¹⁷ Differences across generations often do not support popular conceptions of how generations differ. For example, the value placed on leisure has increased over generations from the baby boomers to the millennials and work centrality has declined, but research did not find that millennials had more altruistic work values.¹¹⁸ Generational classifications may help us understand our own and other generations better, but we must also appreciate their limits.

An Ethical Choice

Do You Have a Cheating Personality?

Stories of widespread cheating have been on the rise, leading many experts to conclude that the incidence of cheating is increasing. In 2012, a major cheating scandal was uncovered at Harvard University, where more than 125 students were found to be involved in an organized cheating scheme.

Like most complex behaviors, cheating in school, at work, and in life is a product of the person and the situation. As for the person, research reveals certain traits are related

to the tendency to cheat, including high levels of narcissism, low levels of conscientiousness and agreeableness, and high levels of competitiveness.

As for the situation, cheating increases when it is easier to cheat (such as on take-home exams), when there is greater pressure to cheat, and when clear standards are lacking or are not reinforced (such as when an organization's sexual harassment policy is not communicated to employees).

How can this research help inform you as a student and employee?

1. Recognize situations that are more likely to provoke pressures to cheat. Being explicit and open with yourself about your response to pressure should keep you from succumbing to a moral blind spot, in which you engage in behavior without considering its ethical undertones. Remember that technological advancements in the detection of cheating increase the probability of getting caught.
2. If you score high on certain traits that predispose you to cheat, this does not mean you are destined to cheat. However, you should realize that you may be more susceptible and therefore need to avoid certain environments, especially unethical ones.

Sources: Based on M. J. Cooper and C. Pullig, "I'm Number One! Does Narcissism Impair Ethical Judgment Even for the Highly Religious?" *Journal of Business Ethics* 112 (2013): 167–76; H. E. Hershfield, T. R. Cohen, and L. Thompson, "Short Horizons and Tempting Situations: Lack of Continuity to Our Future Selves Leads to Unethical Decision Making and Behavior," *Organizational Behavior and Human Decision Processes* 117 (2012): 298–310; C. H. Hsiao, "Impact of Ethical and Affective Variables on Cheating: Comparison of Undergraduate Students with and without Jobs," *Higher Education* 69, no. 1 (2015): 55–77; M. Carmichael, "Secret E-mail Searches on Harvard Cheating Scandal Broader Than Initially Described," *Boston Globe* (April 2, 2013), www.boston.com/metrodesk/2013/04/02/secret-mail-searches-harvard-cheating-scandal-broader-than-initially-described/Mgz0mc8hSk3IgWGjxLwsJP/story.html; P. E. Mudrack, J. M. Bloodgood, and W. H. Turnley, "Some Ethical Implications of Individual Competitiveness," *Journal of Business Ethics* 108 (2012): 347–59; and R. Pérez-Peña, "Studies Find More Students Cheating, with High Achievers No Exception," *The New York Times*, September 8, 2012, A13.

Now test your understanding of what you have just read by

attempting the questions below.

Test Your Understanding

4.6.1 Which of the following terms describes basic convictions that “a specific mode of conduct or end-state of existence is personally or socially preferable to an opposite mode of conduct?”

- ☐ values
- ☐ attitudes
- ☐ affects
- ☐ customs

Check answer

Reset

4.6.2 When we rank an individual's values in order of their _____, we obtain the person's value system.

- ☐ intensity
- ☐ content
- ☐ context
- ☐ social acceptance

Check answer

Reset

Linking an Individual's Personality and Values to the Workplace

4-7 Describe the differences between person–job fit and person–organization fit.

Thirty years ago, organizations were concerned with personality, in part because they used it to match individuals to specific jobs. That concern has expanded to include how well the individual's personality *and* values match the organization. Why? Because managers today are less interested in an applicant's ability to perform a *specific* job than with his or her *flexibility* to meet changing situations and maintain commitment to the organization. Still, one of the first types of fit managers look for is person–job fit.

Person–Job Fit

The effort to match job requirements with personality characteristics is described by John Holland's **personality–job fit theory** ⓘ, one of the more proven theories in use internationally.¹¹⁹ The Vocational Preference Inventory questionnaire contains 160 occupational titles. Respondents indicate which they like or dislike, and their answers form personality profiles. Holland presented six personality types and proposed that satisfaction and the propensity to leave a position depend on how well individuals match their personalities to a job. Exhibit 4-5 describes the six types, their personality characteristics, and examples of the congruent occupations for each.



There are cultural implications for person–job fit that speak to workers' expectations that jobs will be tailored. In individualistic countries where workers expect to be heard and respected by management, increasing person–job fit by tailoring the job to the person increases the individual's job satisfaction. However, in collectivistic countries, person–job fit is a weaker predictor of job satisfaction because people do not expect to have a job tailored to them, so they value person–job fit efforts less. Therefore, managers in collectivistic cultures should not violate cultural norms by designing jobs for individuals; rather, they should seek people who will likely thrive in jobs that have already been structured.¹²⁰

Exhibit 4-5 Holland's Typology of Personality and Congruent Occupations

Type	Personality Characteristics	Congruent Occupations
<i>Realistic:</i> Prefers physical activities that require skill, strength, and coordination	Shy, genuine, persistent, stable, conforming, practical	Mechanic, drill press operator, assembly-line worker, farmer
<i>Investigative:</i> Prefers activities that involve thinking, organizing, and understanding	Analytical, original, curious, independent	Biologist, economist, mathematician, news reporter
<i>Social:</i> Prefers activities that involve helping and developing others	Sociable, friendly, cooperative, understanding	Social worker, teacher, counselor, clinical psychologist
<i>Conventional:</i> Prefers rule-regulated, orderly, and unambiguous activities	Conforming, efficient, practical, unimaginative, inflexible	Accountant, corporate manager, bank teller, file clerk
<i>Enterprising:</i> Prefers verbal activities in which there are opportunities to influence others and attain power	Self-confident, ambitious, energetic, domineering	Lawyer, real estate agent, public relations specialist, small business manager
<i>Artistic:</i> Prefers ambiguous and unsystematic activities that allow creative expression	Imaginative, disorderly, idealistic, emotional, impractical	Painter, musician, writer, interior decorator

Person–Organization Fit

We've noted that researchers have looked at matching people to organizations and jobs. If an organization has a dynamic and changing environment and needs employees able to change tasks readily and move easily between teams, it's more important that employees'

personalities fit with the overall organization's culture than with the characteristics of any specific job.

Person–organization fit ⓘ essentially means people are attracted to and are selected by organizations that match their values, and they leave organizations that are not compatible with their personalities.¹²¹ Using the Big Five terminology, for instance, we could expect that extraverts fit well with aggressive and team-oriented cultures, people high on agreeableness match better with a supportive organizational climate, and highly open people fit better in organizations that emphasize innovation rather than standardization.¹²² Following these guidelines when hiring should yield employees who fit better with the organization's culture, which should, in turn, result in higher employee satisfaction and reduced turnover. Research on person–organization fit also looked at whether people's values match the organization's culture. A match predicts high job satisfaction, commitment to the organization, and task performance, as well as low turnover.¹²³

It is more important than ever for organizations to manage their image online because job seekers view company websites as part of their pre-application process. Applicants want to see a user-friendly website that provides information about company philosophies and policies. For example, millennials in particular may react positively when they perceive that an organization is committed to work-life balance. The website is so important to the development of perceived person–organization fit that improvements to its style (usability) and substance (policies) can lead to more applicants.¹²⁴



Person–organization fit is important to Sheila Marcelo, founder and CEO of Care.com, an online sitter and care service. Marcelo seeks to hire employees who share the company’s culture of helping others and who are passionate about working on projects that achieve Care.com’s mission of improving the lives of families and caregivers.

Source: Kelvin Ma/Bloomberg/Getty Images

Other Dimensions of Fit

Although person–job fit and person–organization fit are considered the most salient dimensions for workplace outcomes, other avenues of fit are worth examining. These include *person–group fit* and *person–supervisor fit*.¹²⁵ Person–group fit is important in team settings, where the dynamics of team interactions significantly affect work outcomes. Person–supervisor fit has become an important area of research because poor fit in this dimension can lead to lower job satisfaction and reduced performance.



All dimensions of fit are sometimes broadly referred to as person–environment fit.

Each dimension can predict work attitudes, which are partially based on culture. A recent meta-analysis of person–environment fit in East Asia, Europe, and North America suggested the dimensions of person–organization and person–job fit are the strongest predictors of positive work attitudes and performance in North America. These dimensions are important to a lesser degree in Europe, and they are the least important in East Asia.¹²⁶

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

4.7.1 John Holland's personality–job fit theory presents six personality types. Which of the following is one of these six types?

- ☐ analytic
- ☐ imaginative
- ☐ practical
- ☐ investigative

Check answer

Reset

4.7.2 The computer age has greatly increased the way companies portray themselves online. Which theory best explains why this is?

- ☐ personality–job fit
- ☐ Dark Triad
- ☐ work–life balance
- ☐ person–organization fit

Check answer

Reset

Cultural Values

4-8 Compare Hofstede's five value dimensions and the GLOBE framework.

Unlike personality, which is largely genetically determined, values are learned. They are passed down through generations and vary by cultures. As researchers have sought to understand cultural value differences, two important frameworks that have emerged are from Geert Hofstede and the GLOBE studies.

Hofstede's Framework

One of the most widely referenced approaches for analyzing variations among cultures was done in the late 1970s by Geert Hofstede.¹²⁷ Hofstede surveyed more than 116,000 IBM employees in 40 countries about their work-related values and found that managers and employees varied on five value dimensions of national culture:

- *Power distance.* **Power distance** ⓘ describes the degree to which people in a country accept that power in institutions and organizations is distributed unequally. A high rating on power distance means large inequalities of power and wealth exist and are tolerated in the culture, as in a class or caste system that discourages upward mobility. A low power distance rating characterizes societies that stress equality and opportunity.
- *Individualism versus collectivism.* **Individualism** ⓘ is the degree to which people prefer to act as individuals rather than as members of groups and believe in an individual's rights above all else. **Collectivism** ⓘ emphasizes a tight social framework in which people expect others in groups of which they are a part to look after them and protect them.
- *Masculinity versus femininity.* Hofstede's construct of **masculinity** ⓘ is the degree to which the culture favors traditional masculine roles such as achievement, power, and control, as opposed to viewing men and women as equals. A high masculinity rating indicates the culture has separate roles for men and women, with men dominating the society. A high **femininity** ⓘ rating means the culture sees little differentiation between male and female roles and treats women as the equals of men in all respects.
- *Uncertainty avoidance.* The degree to which people in a country prefer structured over

unstructured situations defines their **uncertainty avoidance** ⓘ. In cultures scoring high on uncertainty avoidance, people have increased anxiety about uncertainty and ambiguity and use laws and controls to reduce uncertainty. People in cultures low on uncertainty avoidance are more accepting of ambiguity, are less rule oriented, take more risks, and accept change more readily.

- *Long-term versus short-term orientation.* This typology measures a society's devotion to traditional values. People in a culture with **long-term orientation** ⓘ look to the future and value thrift, persistence, and tradition. In a **short-term orientation** ⓘ, people value the here and now; they also accept change more readily and don't see commitments as impediments to change.



How do different countries score on Hofstede's dimensions? Power distance is higher in Malaysia than in any other country. The United States is very individualistic; in fact, it's the most individualistic nation of all (closely followed by Australia and Great Britain). Guatemala is the most collectivistic nation. The country with the highest masculinity rank by far is Japan, and the country with the highest femininity rank is Sweden. Greece scores the highest in uncertainty avoidance, while Singapore scores the lowest. Hong Kong has one of the longest-term orientations; Pakistan has the shortest-term orientation.



Research across 598 studies with more than 200,000 respondents has investigated the relationship of Hofstede's cultural values and a variety of organizational criteria at both the individual and national level of analysis.¹²⁸ Overall, the five original culture dimensions were found to be equally strong predictors of relevant outcomes. The researchers also found measuring individual scores resulted in much better predictions of most outcomes than assigning all people in a country the same cultural values. In sum, this research suggests Hofstede's framework may be a valuable way of thinking about differences among people, but we should be cautious about assuming all people from a country have the same values.



According to Hofstede's framework, many Asian countries have a strong collectivist culture that fosters a team-based approach to work. These employees in a department store outlet in Busan, South Korea, are likely to consider the success of their team as more important than personal success on the job.

Source: Yonhap News/YNA/Newscom

The GLOBE Framework



Begun in 1993, the Global Leadership and Organizational Behavior Effectiveness (GLOBE) research program is an ongoing cross-cultural investigation of leadership and national culture. Using data from 825 organizations in 62 countries, the GLOBE team identified nine dimensions on which national cultures differ.¹²⁹ Some dimensions—such as power distance, individualism/collectivism, uncertainty avoidance, gender differentiation (like masculinity versus femininity), and future orientation (like long-term versus short-term orientation)—resemble the Hofstede dimensions. The main difference is that the GLOBE framework added dimensions, such as humane orientation (the degree to which a society rewards individuals for being altruistic, generous, and kind to others) and performance orientation (the degree to which a society encourages and rewards group members for performance improvement and excellence).

Comparison of Hofstede's Framework and the GLOBE Framework

Which framework is better, Hofstede's or the GLOBE? That's hard to say, and each has its supporters. We give more emphasis to Hofstede's dimensions here because they have stood the test of time and the GLOBE study confirmed them. For example, a review of the organizational commitment literature shows both the Hofstede and GLOBE individualism/collectivism dimensions operated similarly. Specifically, both frameworks showed organizational commitment tends to be lower in individualistic countries.¹³⁰ Both frameworks have a great deal in common, and each has something to offer.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

4.8.1 Which of the following is not one of Hofstede's five dimensions of national culture?

- ☐ power distance
- ☐ flexibility versus rigidity
- ☐ individualism versus collectivism
- ☐ long-term versus short-term orientation

Check answer

Reset

4.8.2 Begun in 1993, the Global Leadership and Organizational Behavior Effectiveness (GLOBE) research program is an ongoing cross-cultural investigation of leadership and national culture. Using data from 825 organizations in 62 countries, the GLOBE team identified _____ dimensions on which national cultures differ.

- ☐ 5
- ☐ 9
- ☐ 15
- ☐ 20

Check answer

Reset

Summary

Personality matters to organizational behavior. It does not explain all behavior, but it sets the stage. Emerging theory and research reveal how personality matters more in some situations than others. The Big Five has been a particularly important advancement, though the Dark Triad and other traits matter as well. Every trait has advantages and disadvantages for work behavior, and there is no perfect constellation of traits that is ideal in every situation. Personality can help you to understand why people (including yourself!) act, think, and feel the way we do, and the astute manager can put that understanding to use by taking care to place employees in situations that best fit their personalities. An understanding of personality can also help you understand what strengths you may have (and should strive for) when searching for a job.

Values often underlie and explain attitudes, behaviors, and perceptions. Values tend to vary internationally along dimensions that can predict organizational outcomes; however, an individual may or may not hold values that are consistent with the values of the national culture.

Implications for Managers

- Consider screening job candidates for conscientiousness—and the other Big Five traits—depending on the criteria your organization finds most important. Other aspects, such as core self-evaluation or narcissism, may be relevant in certain situations.
- Although the MBTI has faults, you can use it in training and development to help employees better understand each other, open communication in work groups, and possibly reduce conflicts.
- Evaluate jobs, work groups, and your organization to determine the optimal personality fit.
- Consider situational factors when evaluating observable personality traits, and lower the situation strength to ascertain personality characteristics more closely.
- The more you consider people's different cultures, the better you will be able to determine their work behavior and create a positive organizational climate that

performs well.

Millennials Are More Narcissistic Than Their Parents

Point

Millennials have some great virtues: As a group, they are technologically savvy, socially tolerant, and engaged. They value their quality of life as equal to their career, seeking a balance between home and work. In these ways, millennials surpass their baby boomer parents, who are less technologically adept, less tolerant, and more localized, and who have a history of striving to get ahead at all costs. However, millennials have a big Achilles' heel—they are more narcissistic.

Several large-scale, longitudinal studies found that millennials are more likely than baby boomers to have seemingly inflated views of themselves, and psychologists have found narcissism has been growing since the early 1980s. More millennials rate themselves as above average on attributes such as academic ability, leadership, public speaking ability, and writing ability. Millennials are also more likely to agree they would be “very good” spouses (56 percent, compared to 37 percent among 1980 graduates), parents (54 percent; 36 percent for 1980 graduates), and workers (65 percent; 49 percent for 1980 graduates).

Cliff Zukin, a senior faculty fellow at Rutgers University, believes the reason is in the childhood upbringing of millennials. “This is the most affirmed generation in history,” he said. “They were raised believing they could do anything they wanted to, and that they have skills and talents to bring to a job setting.” Jean M. Twenge, author of *Generation Me*, agrees. “People were not saying, ‘Believe in yourself’ and ‘You are special’ in the ‘60s.”

Narcissism is bad for society, and particularly bad for the workplace. “[Narcissists] tend to be very self-absorbed; they value fun in their personal and their work life,” one administrator said. “I can’t expect them to work on one project for any amount of time without getting bored.”

Counterpoint

Wasn't "The Me Generation" generations ago? Honestly, every generation thinks they are better than the ones that come after! "You can find complaints [about the younger generation] in Greek literature, in the Bible," Professor Cappelli of the Wharton School observed. "There's no evidence Millennials are different. They're just younger." While millennials are the twenty-somethings of today, what is universally true is that young people share certain characteristics ... *because* they are young.

A recent study shows the similarity between how millennials and baby boomers thought about themselves at the same stage of life. As college freshmen, 71 percent of millennials thought they were above average academically, and 63 percent of baby boomers thought the same thing when they were college freshmen. Similarly, 77 percent of millennials believed they were above average in the drive to achieve, versus 68 percent for baby boomers. In other words, "Every generation is Generation Me."

In some ways, millennials may be less narcissistic than baby boomers today. As one manager observed, "[Millennials] don't have that line between work and home that used to exist, so they're doing Facebook for the company at night, on Saturday or Sunday. We get incredible productivity out of them." Millennials also may be more altruistic. For example, 29 percent of millennials believe individuals have a responsibility to remain involved in issues and causes for the good of all, while only 24 percent of baby boomers feel the same level of responsibility.

Rather than comparing different generations, it is more accurate to compare people at one life stage with others at the same life stage. Research supports that people in their twenties tend to be more narcissistic than people in their fifties. Millennials are in their twenties, and many of their parents are in their fifties, and millennials are no more narcissistic than baby boomers were in their youth.

Sources: Based on J. M. Twenge, W. K. Campbell, and E. C. Freeman, "Generational Differences in Young Adults' Life Goals, Concern for Others, and Civic Orientation, 1966–2009," *Journal of Personality and Social Psychology* 102 (2012): 1045–62; M. Hartman, "Millennials at Work: Young and Callow, Like Their Parents," *The New York Times*, March 25, 2014, F4; J. Jin and J. Rounds, "Stability and Change in Work Values: A Meta-Analysis of Longitudinal Studies," *Journal of Vocational Behavior* 80 (2012): 326–39; C. Lourosa-Ricardo, "How America Gives," *The Wall Street Journal*, December 15,

2014, R3; “Millennials Rule,” *The New York Times Education Life*, April 12, 2015, 4; G. Ruffenach, “A Generational Gap: Giving to Charity,” *The Wall Street Journal*, January 20, 2015, R4; and S. W. Lester, R. L. Standifer, N. J. Schultz, and J. M. Windsor, “Actual versus Perceived Generational Differences at Work: An Empirical Examination,” *Journal of Leadership & Organizational Studies* 19 (2012): 341–54.

Chapter Review

MyLab Management Discussion Questions

Go to www.pearson.com/mylab/management to complete the problems marked with this icon .

Questions for Review

- 4-1** What is personality? How do we typically measure it? What factors determine personality?
- 4-2** What are the strengths and weaknesses of the Myers-Briggs Type Indicator (MBTI) and the Big Five personality model?
- 4-3** How do the concepts of core self-evaluation (CSE), self-monitoring, and proactive personality help us to understand personality?
- 4-4** What are the strongest predictors of job search behavior?
- 4-5** How does the situation or environment affect the degree to which personality predicts behavior?
- 4-6** What is the difference between terminal and instrumental values?
- 4-7** What are the differences between person–job fit and person–organization fit?
- 4-8** How do Hofstede’s five value dimensions and the GLOBE framework differ?

Application and Employability

An insight into your personality and values, along with how these are important in the

workplace, can help you improve your employability skills. First, the workplace is a complex system filled with many interacting people. By understanding how these people have different values and behavioral tendencies, you will be better able to anticipate conflict and how to work among people with different personalities. Understanding that many organizations measure and assess personality is critical to knowing which elements of your personality to focus on developing to become more employable, depending on the position or work that you are interested in. Conversely, understanding how the situation either constrains or activates the expression of these behavioral traits or tendencies is also important for becoming more adaptable in the workplace. Understanding how people have values that vary in terms of their importance to organizations can help you make better decisions in deciding which companies you would like to work for and understanding how you fit with the culture in an organization you would like to work for. Cultures around the globe vary on the values that are important to them. Being aware of these different cultural values and spending time abroad can help you improve your cultural intelligence and interact more effectively with those of different cultural backgrounds.

In this chapter, you developed your critical thinking and knowledge application and analysis skills by finding out how to do well on personality tests, finding out how personalities can be accurately judged within seconds after meeting someone, gaining insight into whether you have a cheating personality (and what you can do about it), and debating whether millennials are more narcissistic as a generation. In the next section, you will develop these skills by exploring what values are most important to you and your classmates, questioning whether political ideology should be used in hiring, examining the pitfalls of being nice, and determining how to adapt to personality clashes at work.

Experiential Exercise Your Best Self

The object of this game is to end up with the labels that best represent each person's values. The following rows represent 11 rounds of play. Break the class into groups of four students (if the number of students is not divisible by four, then we suggest three). Play begins with the person in the group whose name comes first in alphabetical order. That student picks one of the values in round one that represents him- or herself, crosses it off this list, and writes it down on a piece of paper. Values can be used by only one person at a time. Moving clockwise, the next person does the same, and so forth, for round one until all the values have been taken.

For round two, the first player can either add a second value from the round two row, or take a value from one of the other players by adding it to his or her list while the other player crosses off the value. The player whose value has been taken selects two new values from the one and two rows. Play proceeds clockwise.

The rest of the rounds continue the same way, with a new row available for each round. At the end of the rounds, students rank the importance of the values they have accumulated to themselves.

1. Freedom	Integrity	Spirituality	Respect
2. Loyalty	Achievement	Fidelity	Exploration
3. Affection	Challenge	Serenity	Justice
4. Charity	Discipline	Security	Mastery
5. Prudence	Diversity	Kindness	Duty
6. Wisdom	Inspiration	Harmony	Joy
7. Depth	Compassion	Excellence	Tolerance
8. Honesty	Success	Growth	Modesty
9. Courage	Dedication	Empathy	Openness
10. Faith	Service	Playfulness	Learning
11. Discovery	Independence	Humor	Understandi

Questions

4-9. What are your top three values? How well do they represent you? Did you feel pressure to choose values that might seem most socially acceptable?

4-10. Is there a value you would claim for yourself that is not on the list?

4-11. It is often argued that values are meaningful only when they conflict and we must choose between them. Do you think that was one of the objectives of this game? Do you agree with the premise of this argument for the game?

Ethical Dilemma Personal Values and Ethics in the Workplace

Sipho Dlamini was born in a small rural village in Swaziland. He spent his childhood years looking after his family's livestock. The community upheld high values, such as honesty and respect, but the people were desperately poor. He realized that he would have to go to South Africa and apply for a job at a gold mine.

As a young man, Sipho left his village in the mountains and took on the difficult job of getting to South Africa. He went in search of one of his distant family members, who was working for a gold mine near Johannesburg as a personnel assistant. He managed to find his relative, who managed to find him a job as a general mine worker and accommodation in one of the mine hostels. Sipho was dedicated to his work, and time passed quickly. Every month, he forwarded most of his wages to his family in Swaziland.

One day Sipho's family member called him into his office and informed him that he was due for promotion. He also told Sipho that he would be required to pay him R500.00 (about \$60) for his "efforts." This arrangement seemed strange to Sipho as he knew that it was not in line with company procedures. When Sipho asked about this, the personnel assistant replied that he had the authority to do so and that Sipho would not be promoted if he did not pay the R500. Sipho returned to his room and wrestled with the options before him that night. He had grown up with strong personal values, which included honesty and hard work, but his family needed the extra income. What was he to do?

After a restless night, he returned the next day to the personnel assistant's office and handed him the R500. He was immediately promoted, but he returned to his room with a troubled mind. A few weeks later, the personnel assistant was reported and investigated for fraudulent behavior. He was suspended from work, and the investigation revealed all his corrupt activities. The record he had kept on all employees who paid bribes to him was also found. All employees on this list were called in and charged with fraud. Sipho's name was on the list, and he was found guilty and dismissed from the service of the company along with all the others.

Questions

4-12. What should Sipho have done differently?

4-13. In what way could the mine management have provided support to him prior to his

wrongful act?

4-14. How would you have acted had you been in a similar situation?

Case Incident 1 On the Costs of Being Nice

Agreeable people tend to be kinder and more accommodating in social situations, which you might think could add to their success in life. However, one downside of agreeableness is potentially lower earnings. Research has shown the answer to this and other puzzles; some of them may surprise you.

First, and perhaps most obvious, agreeable individuals are less adept at a type of negotiation called distributive bargaining. As we discuss in Chapter 18, distributive bargaining is less about creating win–win solutions and more about claiming as large a share of the pie as possible. Because salary negotiations are generally distributive, agreeable individuals often negotiate lower salaries for themselves than they might otherwise get.

Second, agreeable individuals may choose to work in industries or occupations that earn lower salaries, such as the “caring” industries of education and health care. Agreeable individuals are also attracted to jobs both in the public sector and in nonprofit organizations. Third, the earnings of agreeable individuals also may be reduced by their lower drive to emerge as leaders and by their tendency to engage in lower degrees of proactive task behaviors, such as thinking of ways to increase organizational effectiveness.

While being agreeable certainly doesn’t appear to help your paycheck, it does provide other benefits. Agreeable individuals are better liked at work, more likely to help others at work, and generally happier at work and in life.

Nice guys and gals may finish last in terms of earnings, but wages do not define a happy life and, on that front, agreeable individuals have the advantage.

Questions ★

- 4-15. Do you think employers must choose between agreeable employees and top performers? Why or why not?
 - 4-16. The effects of personality often depend on the situation. Can you think of some job situations in which agreeableness is an important virtue and some in which it is harmful to job performance?
 - 4-17. In some research we’ve conducted, the negative effect of agreeableness on earnings has been stronger for men than for women (that is, being agreeable hurt men’s earnings more than women’s). Why do you think this might be the case?
-

Sources: Based on T. A. Judge, B. A. Livingston, and C. Hurst, “Do Nice Guys—and Gals—Really Finish Last? The Joint Effects of Sex and Agreeableness on Income,” *Journal of Personality and Social Psychology* 102 (2012): 390–407; J. B. Bernerth, S. G. Taylor, H. J. Walker, and D. S. Whitman, “An Empirical Investigation of Dispositional Antecedents and Performance-Related Outcomes of Credit Scores,” *Journal of Applied Psychology* 97 (2012): 469–78; J. Carpenter, D. Doverspike, and R. F. Miguel, “Public Service Motivation as a Predictor of Attraction to the Public Sector,” *Journal of Vocational Behavior* 80 (2012): 509–23; and A. Neal, G. Yeo, A. Koy, and T. Xiao, “Predicting the Form and Direction of Work Role Performance from the Big 5 Model of Personality Traits,” *Journal of Organizational Behavior* 33 (2012): 175–92.

Case Incident 2 The Clash of the Traits

Dr. Judith Sills, in an article in *Psychology Today*, recalls the story of an organizational consultant who visited a large engineering firm. He found that all the employees had something extra following their name on their plastic nametags: their Myers-Briggs personality type (e.g., INFJ, ESTP, etc.). Dr. Sills found that this highlighted an important truth in the workplace: Even after all we do, say, hear, and think, we still must interact with one another.

Sometimes these interactions can lead to conflict; of the causes of this conflict, personality clashes are the third most common, a recent survey from XpertHR suggests. For example, Tim Ursiny, an organizational psychologist and founder of Advantage Coaching, was hired by Wells Fargo to help manage some of these personality clashes that had arisen within their ranks. He suggests that many personality differences result from clashes between trait dimensions such as outspoken and reserved, impulsive and methodical, along with skeptical and accepting. It is easy to see how these dichotomies can, at least to some degree, map onto facets of the Big Five, like extraversion, conscientiousness, and agreeableness. Of these types, the more dominant, impulsive types tend to foster more conflict than the others.

Some research supports the impact of personality within teams because certain personality characteristics seem to affect whether the interpersonal conflict helps or hurts team performance. For example, when the team is composed of employees high on openness to experience and emotional stability, conflict can help their performance. However, when the team is low on these qualities, conflict can hurt performance. Additional research has explored how personality differences affect employees' relationships with their supervisors. Employees and supervisors report weaker relationships between one another when they differ on emotional stability, openness to experience, agreeableness, and conscientiousness (but not extraversion).

Despite these findings, many note that personality is just one piece of the puzzle—the big picture is more complex, politically sensitive, and nuanced than differences in personality. However, if you find yourself in a potential “personality clash” situation, Dr. Sills notes that you should try to (1) resist “recruiting” coworkers to take sides (this will just add more negativity and complexity to the situation), (2) focus on the strengths of this other person, (3) reduce your contact with the other person so that the conflict occurs less frequently, and (4)

develop some insight into who you are and what your personality is like (this can help you figure out what you can do or what you should stop doing in order to reduce conflict).

Questions

- 4-18.** Have you ever had an experience in which your personality clashed with someone, either at work or outside work? What did you do to resolve it? Was the situation resolved?
- 4-19.** Which do you think is more important: similarity between personality types or differences? Explain your answer.
- 4-20.** Do you think knowledge of personality similarities or differences can help employees reduce conflict and get along better? Or does this knowledge have the potential to cause harm? Explain your answer.

Sources: Based on J. B. Bernerth, A. A. Armenakis, H. S. Field, W. F. Giles, and H. J. Walker, “The Influence of Personality Differences between Subordinates and Supervisors on Perceptions of LMS,” *Group & Organization Management* 33, no. 2 (2008): 216–40; B. H. Bradley, A. C. Clotz, B. E. Postlethwaite, and K. G. Brown, “Ready to Rumble: How Team Personality Composition and Task Conflict Interact to Improve Performance,” *Journal of Applied Psychology* 98, no. 2 (2013): 385–92; B. Dattner, “Most Work Conflicts Aren’t Due to Personality,” *Harvard Business Review*, May 20, 2014, <https://hbr.org/2014/05/most-work-conflicts-arent-due-to-personality>; S. Lebowitz, “A Psychologist Says These Personality Types Are Most Likely to Clash at Work,” *Business Insider*, May 27, 2015, <http://www.businessinsider.com/personality-types-that-clash-at-work-2015-5>; J. Sills, “When Personalities Clash,” *Psychology Today*, November 1, 2006, <https://www.psychologytoday.com/articles/200611/when-personalities-clash>; and S. Simpson, “Personality Clashes in the Workplace: Five Interesting Employment Cases,” *Personnel Today*, February 27, 2015, <http://www.personneltoday.com/hr/personality-clashes-workplace-five-interesting-employment-cases/>.

MyLab Management Writing Assignments

If your instructor has assigned this activity, go to www.pearson.com/mylab/management for the following assisted-graded writing assignments:

- 4-21.** What do you feel are the pros and cons of extraversion and introversion for your work life? Can you increase desirable traits?
- 4-22.** Refer to the Ethical Dilemma in this chapter. What legal and procedural factors should have prevented this abuse of position from happening? Who is ultimately

responsible for this situation?

4-23. MyLab Management only—additional assisted-graded writing assignment.

Endnotes

- ¹ D. Leising, J. Scharloth, O. Lohse, and D. Wood, “What Types of Terms Do People Use When Describing an Individual’s Personality?” *Psychological Science* 25, no. 9 (2014): 1787–94.
- ² L. Weber, “To Get a Job, New Hires Are Put to the Test,” *The Wall Street Journal*, April 15, 2015, A1, A10.
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End of Chapter Quiz

Test Your Understanding

1 Marshall and Joe are brothers. Both are very interested in board games and both are very intellectual. Marshall is very kind and caring while Joe is a bit of a nerd. What is the role that genetics has likely played in the personalities of the two brothers?

- ☐ most likely nothing, it is all about life experience
- ☐ maybe some, after all, they probably grew up together
- ☐ even split, genetics and life experience have shaped them
- ☐ probably little, genetics are a big factor

Check answer

Reset

2 According to the Myers-Briggs Type Indicator (MBTI) classification, people belonging to the ‘judging’ type _____.

- ☐ are quiet and shy
- ☐ rely on unconscious processes and look at the 'big picture'
- ☐ want control and prefer their world to be ordered and structured
- ☐ are outgoing, sociable, and assertive

Check answer

Reset

3 Holly is a highly motivated professional who likes to take on new tasks and makes certain that everything she does is done to perfection. In which two of the Big Five personality traits would Holly most likely score high?

- ☐ conscientiousness and emotional stability
- ☐ emotional stability and extroversion
- ☐ extroversion and openness to experience
- ☐ openness to experience and emotional stability

Check answer

Reset

4 You wish to predict job satisfaction for each of your employees. Which of the five facets of personality will probably be of the most interest in this case?

- ☐ extroversion
- ☐ agreeableness
- ☐ conscientiousness
- ☐ emotional stability

Check answer

Reset

5 Individuals scoring _____ are highly sensitive to external cues and can behave differently in different situations.

- ☐ low on Machiavellianism
- ☐ high on narcissism
- ☐ low on agreeableness
- ☐ high on self-monitoring

Check answer

Reset

6 Which of the following statements is true about people with positive core self-evaluations?

- ☐ They set ambitious goals.
- ☐ They lack persistence.
- ☐ They tend to question their capabilities.
- ☐ They view themselves as powerless over their environment.

Check answer

Reset

7 Individuals high in self-monitoring _____.

- show considerable adaptability in adjusting their behavior to external situational factors
- are pragmatic, maintain emotional distance, and believe ends can justify means
- have a grandiose sense of self-importance, require excessive admiration, and are arrogant

☐ are easily distracted, disorganized, and unreliable

Check answer

Reset

8 Which of the following statements best describes the traits of people having a proactive personality?

- ☐ They identify opportunities, show initiative, take action, and persevere until meaningful change occurs.
- ☐ They naturally seem to think about other people a lot, being concerned about their well-being and feelings.
- ☐ They make more rapid decisions and use less information than the low risk takers do.
- ☐ They tend to display their true dispositions and attitudes in every situation and express behavioral inconsistency.

Check answer

Reset

9 Which of the following is not indicative of situational strength?

- ☐ clarity
- ☐ consistency
- ☐ constraints
- ☐ comprehension

Check answer

Reset

10 The research evidence on personality and job search suggest _____ may be best suited to finding employment.

- ☐ an avoidance orientation
- ☐ an approach orientation
- ☐ a hostile orientation
- ☐ a low self-esteem orientation

Check answer

Reset

11 With reference to John Holland's personality–job fit theory, people belonging to the 'investigative' type tend to be _____.

- ☐ imaginative, disorderly, and idealistic
- ☐ shy, genuine, and persistent
- ☐ sociable, friendly, and cooperative
- ☐ analytical, curious, and independent

Check answer

Reset

12 With reference to John Holland's personality–job fit theory, people belonging to the _____ type prefer verbal activities in which there are opportunities to influence others and attain powers.

- ☐ realistic
- ☐ conventional
- ☐ artistic
- ☐ enterprising

Check answer

Reset

13 With reference to Hofstede's framework, a class or caste system that discourages upward mobility is more likely to exist in a nation that scores _____.

- ☐ high on individualism
- ☐ low on masculinity
- ☐ high on power distance
- ☐ low on uncertainty avoidance

Check answer

Reset

14 With reference to Hofstede's Framework for Assessing Cultures, _____ emphasizes a tight social framework in which people expect others in groups of which they are a part to look after them and protect them.

- uncertainty avoidance
- long-term orientation
- masculinity
- collectivism

Check answer

Reset

15 Which of the following cultural dimensions identified by GLOBE does not have an equivalent in Hofstede?

- ☐ future orientation
- ☐ power distance
- ☐ performance orientation
- ☐ individualism/collectivism

Check answer

Reset

5

Perception and Individual Decision Making



Source: David Lyon/Alamy Stock Photo

Learning Objectives

After studying this chapter, you should be able to:

- 5-1** Explain the factors that influence perception.
- 5-2** Describe attribution theory.
- 5-3** Explain the link between perception and decision making.

- 5-4** Contrast the rational model of decision making with bounded rationality and intuition.
- 5-5** Explain how individual differences and organizational constraints affect decision making.
- 5-6** Contrast the three ethical decision criteria.
- 5-7** Describe the three-stage model of creativity.

Employability Skills Matrix (ESM)

	Myth or Science?	Career Objectives	An Ethical Choice	Point /Counterpoint	Experiential Exercise	Ethical Dilemma
Critical Thinking	✓	✓		✓	✓	✓
Communication			✓		✓	✓
Collaboration		✓			✓	
Knowledge Application and Analysis	✓	✓	✓	✓	✓	✓
Social Responsibility	✓	✓	✓	✓	✓	✓

MyLab Management Chapter Warm Up

If your instructor has chosen to assign this activity, go to

Individual Intuition Igniting Innovation

Richard Branson, Sir James Dyson, and Ella Woodward are three entrepreneurs and very successful business owners operating in completely different industries, but they have one thing in common—a strong, innovative, entrepreneurial intuition. Richard Branson, the English business tycoon, investor, and philanthropist; Sir James Dyson, the British inventor, industrial designer, and founder of the Dual Cyclone bagless vacuum cleaner; and Ella Woodward, the English food writer and founder of the brand Deliciously Ella, have all made key business decisions based on their intuition and “gut feeling,” leading to innovative, creative market offerings that ultimately resulted in successful business ventures and strong brand names within the United Kingdom as well as the global marketplace. Richard Branson has admitted to making decisions based on creative instinct, James Dyson has confessed to trusting intuition based on market research, and Ella Woodward has drawn on her emotions and drive in response to a diagnosis of postural tachycardia syndrome to make decisions.

Of course, their business ventures’ successes have not been the outcome solely of the entrepreneurs’ intuitive decision-making; sound analytical skills and well-informed judgment have played a major role as well. Dyson’s decision-making has been based on the knowledge of and expertise in technology, Branson’s is based on his knowledge of the market, and Woodward’s is based on her knowledge of the targeted consumer.

Intuition has often been on their side, but not always. Consider, for example, the case of Virgin Cola. In 1994, Virgin Group founder Richard Branson was looking to broaden Virgin’s offerings and to bring a rival to Coca-Cola and Pepsi brands. After numerous ups and (mainly) downs, Virgin Drinks U.S.A., the company dealing with Virgin Cola’s U.S. market, closed in April 2001, having managed to establish a measly 0.5 percent share of the market by volume. In 2012, the production of Virgin Cola was ceased entirely, and no company acquired the UK Virgin Cola licence in its place.

The hope was to take over Coca-Cola and Pepsi’s market shares and even dominate the soft drinks market, but the actual facts revealed a failure in the product, which some attribute to a lack of market research and market knowledge and even misinterpretation of consumer behavior. Others argue that this is a case of what is known as bounded rationality, which

involves oversimplifying a decision that was complex at that time. Still others state that it was simply a case of bad judgment in the first place. Wherever the truth lies, Branson does not fear taking risks or the unknown; he continues to be intrigued and inspired by them. And these traits have made him the business magnate that he is.

Decision making is a complex task and process, particularly in a corporate environment, as it requires and engages both intuition (and therefore affective reasoning) as well as rationalized judgments. The two aspects work in a symbiotic manner, but differently from one individual to another. These individual differences are linked to personality differences, the risk perceptions of the individuals, and the way they approach and understand creativity and innovation. Richard Branson, Sir James Dyson, and Ella Woodward have all displayed excellent intuition in their enterprising activities, but they all have great experience and knowledge of the way an idea can be transformed into a business venture.

Sources: Management Today, “Relying on Intuition—Should You Always Trust Your Gut Feelings?,” October 1, 2013, <https://www.managementtoday.co.uk/relying-intuition-always-trust-gut-feelings/article/1155928>; BBC, “Trusting Your Gut: Smart Management or a Fool’s Errand?,” September 20, 2013, <http://www.bbc.com/capital/story/20130923-should-you-trust-your-gut>; *Business Insider*, “Richard Branson Leadership Rules for Being a Great Leader,” October 19, 2015, <http://uk.businessinsider.com/richard-branson-leadership-rules-2015-10?r=US&IR=T>; CNBC, “Richard Branson: Great Entrepreneurs Share 5 Skills, January 31, 2017, <https://www.cnbc.com/2017/01/31/richard-branson-successful-entrepreneurs-share-these-5-skills.html>; Entrepreneur, Rod Kurtz, “Richard Branson on Being Richard Branson,” December 17, 2012, <https://www.entrepreneur.com/article/225295>; Elizabeth Grice, “Deliciously Ella: ‘There’s a pressure to be sparkly and shiny all the time,’” *The Telegraph*, January 23, 2016, <http://www.telegraph.co.uk/food-and-drink/features/deliciously-ella-interview-new-book-Deliciously-Ella-Every-Day/>; Carole Cadwalladr, “James Dyson Interview: Vacuums Are Already Smarter Than People,” *The Guardian*, May 9, 2014, <https://www.theguardian.com/technology/2014/may/09/james-dyson-interview-engineering-education>.

Virgin Cola illustrates how pervasive and tricky intuitive decision making is within organizations. As we will see later in the chapter, decision making hinges on several criteria and can be fostered through many means. To better understand what influences us and our organizations, we start at the roots of our thought processes: our perceptions and the way they affect our decision making.

What Is Perception?

5-1 Explain the factors that influence perception.

Perception ⓘ is a process by which we organize and interpret sensory impressions to give meaning to our environment. What we perceive can be substantially different from objective reality. For example, all employees in a firm may view it as a great place to work—favorable working conditions, interesting job assignments, good pay, excellent benefits, understanding and responsible management—but, as most of us know, it's very unusual to find universal agreement across people.

Why is perception important in the study of Organizational Behavior (OB)? It is important because people's behavior is based on their perception of what reality is, not on reality itself. *The world as it is perceived is the world that is behaviorally important.* In other words, our perception becomes the reality from which we act. To understand what all of us have in common in our interpretations of reality, we need to begin with the factors that influence our perceptions.

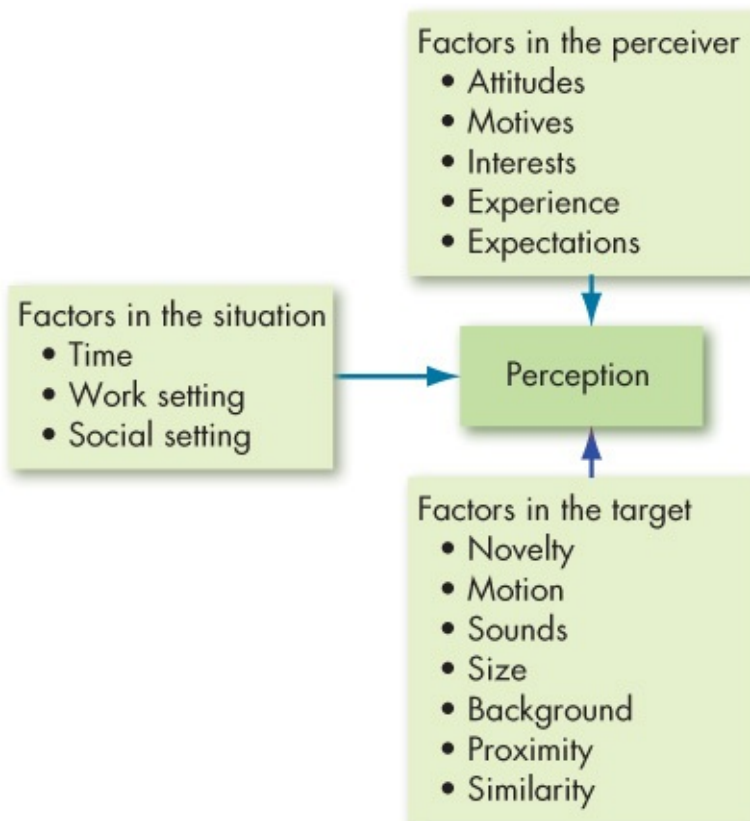
Factors That Influence Perception

Many factors shape and sometimes distort perception. These factors can reside in the *perceiver*, the object or *target* being perceived, or the *situation* in which the perception is made (see Exhibit 5-1).

Perceiver When you look at a target, your interpretation of what you see is influenced by your personal characteristics—attitudes, personality, motives, interests, past experiences, and expectations. In some ways, we hear what we want to hear¹ and we see what we want to see—not because it's the truth, but because it conforms to our thinking. For instance, research indicates that supervisors perceived employees who started work earlier in the day as more conscientious and therefore as higher performers; however, supervisors who were night owls *themselves* were less likely to make that erroneous assumption.² Some perceptions created by attitudes like these can be counteracted by objective evaluations, but others can be more insidious. Consider, for instance, observer perceptions of a recent shooting in New York. There were two eyewitnesses—one said a police officer chased and shot a fleeing man; the

other said a handcuffed man lying on the ground was shot. Neither perceived the situation correctly: The man was attempting to attack a police officer with a hammer when he was shot by another officer.³

Exhibit 5-1 Factors That Influence Perception



Target The characteristics of the target also affect what we perceive. Because we don't look at targets in isolation, the relationship of a target to its background influences perception, as does our tendency to group close things and similar things together.⁴ We can also perceive women, men, whites, African Americans, Asians, or members of any group that has clearly distinguishable characteristics as alike in other, often unrelated ways. These assumptions can be harmful, as when people who have criminal records are prejudged in the workplace even when it is known they were wrongly arrested.⁵ Sometimes differences can work in our favor, though, such as when we are drawn to targets that are different from what we expect. For instance, participants in a recent study respected a professor wearing a T-shirt and sneakers in the classroom more than the same professor dressed traditionally. The

professor stood out from the norm for the classroom setting and was therefore perceived as an individualist.⁶

Context Context matters too. The time at which we see an object or event can influence our attention, as can location, light, heat, or situational factors. For instance, you may not notice someone dressed up for a formal event that you attended on a Saturday night. Yet if you were to notice that person dressed the same way for your Monday morning management class, he or she would likely catch your attention, if the students do not normally wear formal attire to class. Neither the perceiver nor the target has changed between Saturday night and Monday morning, but the situation is different.

People are usually not aware of the factors that influence their view of reality. In fact, people are not even that perceptive about their *own* abilities.⁷ Thankfully, awareness and objective measures can reduce our perception distortions. For instance, when people are more aware of their own racial biases, they are more motivated to control their own prejudice and more attuned to perceiving their own biases.⁸ Let's next consider *how* we make perceptions of others.

MyLab Management Watch It

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the video.

Orpheus Group Casting Social Perception and Attribution

Watch it video.

A **transcript** of this video is available [here](#).

Transcript

Orpheus Group Casting Social Perception and Attribution

>> I'm a dance therapist, and I was working with Down syndrome

>> and autistic children, and I got injured.

>> My name is Maria E. Nelson.

>> I'm a co-owner of Orpheus Group Casting.

>> I was born into the business.

>> My father was an actor.

>> My name is Ellyn Long Marshall

>> and I am co-owner for Orpheus Group Casting.

>> We got into the actual casting through an actor friend

>> who was working out at Cross roads Theatre,

>> and he said, "You know, they need you guys to cast."

>> And we had been giving suggestions

>> to casting director friends.

>> We might as well get paid for it.

>> Yeah.

>> So that's how we started casting.

>> The first thing we do is read a script,

>> meet with the writer, sometimes slash-director,

>> and really that first part of the process

>> is really understanding what that person wants for each role.

>> Then it's our responsibility to bring in to auditions

>> the people that we feel are best suited for that particular role.

>> And then we setup.

>> Maria and I get together and go through all the submissions

>> which means not only the type, but also looking at the resume

>> and seeing the skills that this person has,

>> and the types of roles they've played

>> and where they've done it, etc.

>> And then we schedule the auditions.

>> When an actor comes in the room,

>> we already have a certain sense-

>> believe it or not after doing it for this many years-

>> of what you're coming in with.

>> So many times someone will come in as brilliant,

>> but doesn't fit in to the family, for example.

>> And the actor doesn't know that.

>> The actor walks out and feels he did really wonderfully

>> and doesn't get the part.

>> A lot of people say we discover new talent.

>> We're very good at identifying brilliance really.

>> When we cast, we become very, very active,

>> especially when we feel that we're right about someone.

>> I've always felt that that is the purpose of a casting director,

>> to really discover new talent.

>> And you find "it" whatever that "it" might be.

>> And it's your responsibility to develop that "it,"

>> to make sure that it works for you.

>> Casting is really about giving somebody what they need.

>> Its part of the job.

>> Its part of the job, exactly.

>> And so it's nurturing to get this individual,

>> once we see that thing, that "it", to the point as you said,

>> "to fulfill what the director wants."

>> Get back to me before you leave the country, ok?

>> Although we are "known" as Latina casting directors,

>> basically when you talk about multicultural,

>> we are the multicultural casting directors because

>> it doesn't matter, we've worked with Chinese,

>> we've worked with Czechs,

>> so right across the board.

>> I had never really been exposed to somebody
>> who was really from New York.
>> Almost everyone that I was exposed to was a transplant;
>> whether it be from the Midwest or whatever,
>> but a real New Yorker.
>> Here's Ellen, a real New Yorker.
>> And so it was very important for me to tune in
>> to her perception of people.
>> That's interesting because I would say the reverse.
>> I mean the same, but in reverse.
>> Maria's own experience, worldwide internationally,
>> has made me see things through her eyes,
>> and people through her eyes and different cultures
>> that she's more familiar with than I am.
>> We've brought Latino talent to the screen.
>> "Girl Fight" was the first.
>> We read the script and fell in love with it immediately
>> and said, this is the type of work that we want to do.
>> We feel that we're right for it.
>> We feel that we can find this young girl.
>> We found Michelle Rodriguez in an open call
>> with about 500 people.
>> And from that discovery, we got other jobs from it.
>> It just happened to be Latino.

>> It's funny because at the time, I never thought of it

>> as Latino anything; I really didn't.

>> One of the things we have to work against

>> is the cookie cutter mentality of casting.

>> We have to see what the director wants;

>> it's not really what we want.

>> Hopefully it's the same thing

>> and that's what we work together to arrive at.

>> And in some cases, there are obstacles in some cases.

>> The larger budgeted films are contingent upon-

>> the casting is contingent on many, many things.

>> Can that person open that film?

>> Can I get distribution for that film?

>> A lot of that is contingent upon who is actually doing the film.

>> But that's seeping into the smaller budget films too;

>> the independent films are looking for names.

>> That's a major obstacle.

>> And often the foreign input, the perception of a look for example

>> with a foreign producer who insists on a particular look

>> that they in their heads,

>> that's what this American role would look like.

>> And as Maria said, in a case like that, it is the producer.

>> And we know that's not it;

>> from the American point of view,

>> in an American situation, an American plot.

>> But you know?

>> Again its perception.

>> It's very interesting.

>> They're basically making the final decisions.

>> But we're very aware, we're the first ones to say to them,

>> "Listen, this is the way it's going to be perceived here."

>> Yeah.

>> "But you need to certainly understand that."

>> We've made a decision to do this industry to change perception.

>> Whenever I see a stereo type on television,

>> whenever I see it on television I say to myself,

>> "Well, you know, business as usual."

>> We see people on some of the sitcoms

>> that we know are brilliant actors; brilliantly trained theater actors

>> and doing stupid roles.

>> But you do cringe, you cringe.

>> But you cringe and you must change it.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

5.1.1 Two people see the same thing at the same time yet interpret it differently. In this situation, factors that operate to shape their dissimilar perceptions reside in the

_____.

- ☐ perceivers
- ☐ target
- ☐ timing
- ☐ context

Check answer

Reset

5.1.2 Sarah and Holly started working at a human resources firm as recruiters on the same day and have the same position. Both women have been meeting their placement goals and are both very well liked within the organization. Because Holly lives almost 60 miles away, she sometimes works 9 am to 6 pm to avoid traffic rather than the 8 am to 5 pm that Sarah works. Johnson, their supervisor, awarded Sarah the 'Employee of the Month' award for her outstanding work. Which influence of perception is at work in this situation?

- perceiver: Johnson thinks because Holly arrives at 9 that she must not be working a full day
- perceiver: Holly thinks she is entitled to special privilege because she is meeting her goals
- target: Sarah arrives on time so people think she is doing her job better than Holly
- situation: since the office opens at 8, Sarah is more conscientious than Holly

Check answer

Reset

Person Perception: Making Judgments About Others

5-2 Describe attribution theory.

The perception concepts most relevant to OB include *person perceptions*, or the perceptions people form about each other. Many of our perceptions of others are formed by first impressions and small cues that have little supporting evidence. This is particularly troublesome—but common—when we infer another person’s morality. Research indicates we form our strongest impressions based on what we perceive about another’s moral character, but our initial information about this can be sketchy and unfounded.⁹ Let’s unravel some of our other human tendencies that interfere with correct person perception, beginning with the evidence behind attribution theory.

Attribution Theory

Nonliving objects such as desks, machines, and buildings are subject to the laws of nature, but they have no beliefs, motives, or intentions. People do. When we observe people, we attempt to explain their behavior. Our perception and judgment of a person’s actions are influenced by the assumptions we make about that person’s state of mind.

Attribution theory ⓘ tries to explain the ways we judge people differently depending on the meaning we attribute to a behavior.¹⁰ For instance, consider what you think when people smile at you. Do you think they are cooperative, exploitative, or competitive? We assign meaning to smiles and other expressions in many ways.¹¹

Attribution theory suggests that when we observe an individual’s behavior, we attempt to determine whether it was internally or externally caused. That determination depends largely on three factors: (1) distinctiveness, (2) consensus, and (3) consistency.¹² Let’s clarify the differences between internal and external causation, and then we’ll discuss the determining factors.

Internally caused behaviors are those an observer believes to be under the personal behavioral control of another individual. *Externally* caused behavior is what we imagine the situation forced the individual to do. If an employee is late for work, you might attribute that to his overnight partying and subsequent oversleeping. This is an internal attribution. But if

you attribute his lateness to a traffic snarl, you are making an external attribution.

Now let's discuss the three determining factors. *Distinctiveness* refers to whether an individual displays different behaviors in different situations. Is the employee who arrives late today also one who regularly “blows off” other kinds of commitments? What we want to know is whether this behavior is unusual. If it is, we are likely to give it an external attribution. If it is not, we will probably judge the behavior to be internal.

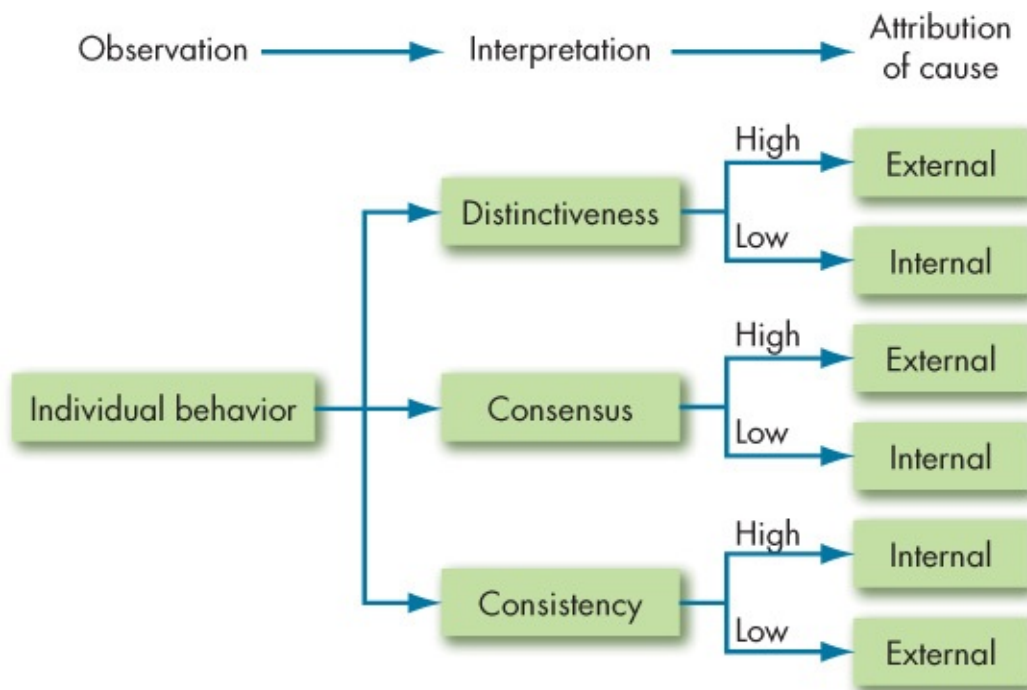
If everyone who faces a similar situation responds in the same way, we can say the behavior shows *consensus*. The behavior of our tardy employee meets this criterion if all employees who took the same route were also late. From an attribution perspective, if consensus is high, you would probably give an external attribution to the employee's tardiness, whereas if other employees who took the same route made it to work on time, you would attribute his lateness to an internal cause.

An observer looks for *consistency* in a person's actions. Does the person respond the same way over time? Coming in 10 minutes late for work is not perceived the same for an employee who hasn't been late for several months as for an employee who is late three times a week. The more consistent the behavior, the more we are inclined to attribute it to internal causes.

Exhibit 5-2 summarizes the key elements in attribution theory. It tells us, for instance, that if an employee, Katelyn, generally performs at about the same level on related tasks as she does on her current task (low distinctiveness), other employees frequently perform differently—better or worse—than Katelyn on that task (low consensus), and Katelyn's performance on this current task is consistent over time (high consistency), anyone judging Katelyn's work will likely hold her primarily responsible for her task performance (internal attribution).

Errors or biases distort attributions. When we make judgments about the behavior of other people, we tend to underestimate the influence of external factors and overestimate the influence of internal or personal factors.¹³ This **fundamental attribution error** ⓘ can explain why a sales manager attributes the poor performance of her sales agents to laziness rather than to a competitor's innovative product line. Individuals and organizations tend to attribute their own successes to internal factors such as ability or effort while blaming failure on external factors such as bad luck or difficult coworkers. People tend to attribute ambiguous information as relatively flattering, accept positive feedback, and reject negative feedback. This is called **self-serving bias** ⓘ.¹⁴

Exhibit 5-2 Attribution Theory



The evidence on cultural differences in perception is mixed, but most suggests there are differences across cultures in the attributions people make.¹⁵ A study of customer service employees from the same hotel chain in China and Canada examined the different reactions to mistreatment by customers based on cultural values. Analysis revealed that individualism and collectivism accounted for the reactions. North American employees responded with direct, active, and target-specific reactions such as acts of sabotage toward the source of the mistreatment. However, East Asian employees were more indirect, passive, and target-general in their response, including the withdrawal of organizational citizenship behavior from customers as whole.¹⁶



Self-serving biases may be less common in East Asian cultures, but evidence suggests they still operate there.¹⁷ Studies indicate Chinese managers assess blame for mistakes using the same distinctiveness, consensus, and consistency cues Western managers use.¹⁸ They also become angry and punish those deemed responsible for failure, a reaction shown in many studies of Western managers. It may just take more evidence for Asian managers to conclude someone else should be blamed.

The concept of attribution theory significantly advances our understanding of person perception by helping us identify why we draw certain conclusions from people's behavior. Having introduced person perception, let's consider the common shortcuts we use to simplify our processing of others' behavior.

Career OBjectives

So what if I'm a few minutes late to work?

I'm often late to work; something always comes up at the last minute. But my boss is such a jerk about it! He's threatening to install a time clock. This is so insulting—I'm in management, I'm a professional, I'm on salary, and I do the work! Please tell me how to talk some sense into him.

— *Renée*

Dear Renée,

This issue seems to be very frustrating to you, and we'd like to help you eliminate that dissatisfaction. Let's start by analyzing why you and your boss think differently on the issue. You and he certainly perceive the situation differently—he sees your lateness as a violation, and you see it as a natural occurrence. In many other jobs, precise timing may not be expected, valued, or needed. Perhaps your boss is trying to highlight the value he places on punctuality. Or maybe he sees your lateness as unethical behavior that cheats your organization of your valuable work time.

According to Ann Tenbrunsel, director of the Institute for Ethical Business Worldwide, the way we look at our decisions changes our perception of our behaviors. You view your tardiness as something that just happens, not part of a decision process. What if you looked at your tardiness as a daily ethical decision? Your organization has a start time to which you agreed as a condition of your employment, so coming in late is a deviation from the standard. There *are* actions you can take throughout your early morning that control your arrival time. So, by this model, your behavior is unethical.

Your situation is not uncommon; we all have moral blind spots, or situations with ethical ramifications we don't see. Also, as we said earlier, other organizations may not care about your arrival time, so it's not always an ethical situation. But for situations

where ethics are in play, research indicates punishment doesn't work. Reframing the decisions so we see the ethical implications does work. Try these steps to gain insight:

- *Look at the motives for your decisions during your morning routine.* Can you see where you make choices?
- *Consider your past actions.* When you think back about your early morning decisions, do you find yourself justifying your delays? Justification signals that our decisions might be suspect.
- *Look at the facts.* How do the reasons for your past delays reflect attitudes you have unconsciously acted on?

If you can see the ethical aspect of your daily lateness, you can work to meet the expectation. Think briefly about the ethics of your morning choices when you first wake up, and you'll be much more likely to be on time.

Sources: Based on C. Moore and A. E. Tenbrunsel, "'Just Think about It'? Cognitive Complexity and Moral Choice," *Organizational Behavior and Human Decision Processes* 123, no. 2 (2014): 138–49; A. Tenbrunsel, Ethical Systems, www.ethicalsystems.org/content/ann-tenbrunsel, accessed May 7, 2015; review and podcast of *Blind Spots: Why We Fail to Do What's Right and What to Do about It*, May 4, 2015, <http://press.princeton.edu/titles/9390.html>, accessed May 7, 2015.

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Common Shortcuts in Judging Others

Shortcuts for judging others often allow us to make accurate perceptions rapidly and provide valid data for making predictions. However, they can and do sometimes result in significant distortions.

Selective Perception Any characteristic that makes a person, an object, or an event stand out will increase the probability we will perceive it. Why? Because it is impossible for us to

assimilate everything we see; we can take in only certain stimuli. Thus, you are more likely to notice cars like your own, and your boss may reprimand some people and not others doing the same thing. Because we can't observe everything going on around us, we use **selective perception** ⓘ. But we don't choose randomly: We make selections based on our interests, background, experience, and attitudes. Seeing what we want to see, we sometimes draw unwarranted conclusions from an ambiguous situation.

Halo and Horns Effects When we draw a positive impression about an individual based on a single characteristic, such as intelligence, sociability, or appearance, a **halo effect** ⓘ is operating.¹⁹ The **horns effect** ⓘ, on the other hand, is when we draw a *negative* impression from a single characteristic. These effects are easy to demonstrate. If you think someone was, say, sociable, what else would you infer? You probably wouldn't say the person was introverted, right? You might assume the person was loud, happy, or quick-witted when in fact the word *sociable* does not include those other positive attributes. Managers need to be careful not to draw inferences from small clues.

Contrast Effects An adage among entertainers is “Never follow an act that has kids or animals in it.” Why? Audiences love children and animals so much that you'll look bad in comparison. This example demonstrates how the **contrast effect** ⓘ can distort perceptions. We don't evaluate a person in isolation. Our reaction is influenced by other people we have recently encountered.



For example, research on 22 teams in a Chinese hospitality organization that was undergoing radical organizational change and new leader appointments suggests that transformational leadership (see Chapter 13) is more effective in improving support for the changes among followers when the former leader was *not* transformational—when the former leader *was* transformational, the new leader behaviors were not as effective.²⁰

Stereotyping When we judge someone based on our perception of the group to which he or she belongs, we are **stereotyping** ⓘ.²¹

We deal with our complex world's unmanageable number of stimuli by using stereotypes or shortcuts called *heuristics* to make decisions quickly. For example, it does make sense to assume that Allison from finance will be able to help you figure out a forecasting problem. The challenge occurs when we generalize inaccurately or too much. Stereotypes can be

deeply ingrained and powerful enough to influence life-and-death decisions. One study that controlled for a wide array of factors (such as aggravating or mitigating circumstances) showed that the degree to which black defendants in murder trials looked “stereotypically black” essentially doubled their odds of receiving a death sentence if convicted.²² Another study found that students tended to assign higher scores for leadership potential and effective leadership to whites than to minorities, supporting the stereotype of whites as better leaders.²³

One problem with stereotypes is that they *are* widespread generalizations, although they may not contain a shred of truth when applied to a particular person or situation. We must monitor ourselves to make sure we’re not unfairly applying a stereotype in our evaluations and decisions. Stereotypes are an example of the warning, “The more useful, the more danger from misuse.”



Nurse Li Hongfei, who works at No. 4 People’s Hospital in Shenyang, China, experiences negative stereotyping based on his gender. Like Li, male nurses in many countries report that gender stereotyping generalizes inaccurately that nursing is a profession for women only because men lack the patience, empathy, and compassion required to succeed as a nurse.

Source: Zhang Wenkui Xinhua News Agency/Newscom

It should be obvious by now that our perceptions, many of which are near-instantaneous and without conscious deliberation, color our outlook. Sometimes they have little impact on

anyone, but more often our perceptions greatly influence our decisions. The first step toward increasing the effectiveness of organizational decision making is to understand the perception process on an individualized level, a topic we discuss next.

Specific Applications of Shortcuts in Organizations

People in organizations are always judging each other. Managers must appraise their employees' performances. We evaluate how much effort our coworkers are putting into their jobs. Team members immediately "size up" a new person. In many cases, our judgments have important consequences for the organization. Let's look at the most obvious applications.

Employment Interview Few people are hired without an interview. But interviewers make perceptual judgments that are often inaccurate and draw early impressions that quickly become entrenched.²⁴ Research shows that we form impressions of others within a tenth of a second, based on our first glance.²⁵ Most interviewers' decisions change very little after the first 4 or 5 minutes of an interview. Thus, information elicited early in the interview carries greater weight than does information elicited later, and a "good applicant" is probably characterized more by the absence of unfavorable characteristics than by the presence of favorable ones. Our individual intuition about a job candidate is not reliable in predicting job performance, so collecting input from multiple independent evaluators can be predictive.²⁶

Performance Expectations People attempt to validate their perceptions of reality even when these perceptions are faulty. The terms **self-fulfilling prophecy** ⓘ and *Pygmalion effect* describe how an individual's behavior is determined by others' expectations.²⁷ If a manager expects big things from her people, they're not likely to let her down. Similarly, if she expects only minimal performance, the employees will likely meet those low expectations. Expectations become reality. The self-fulfilling prophecy has been found to affect the performance of students, soldiers, accountants, and a number of other occupations.²⁸

Performance Evaluations We'll discuss performance evaluations in Chapter 16, but note that they very much depend on the perceptual process.²⁹ An employee's future is closely tied to his or her appraisal—promotion, pay raises, and continuation of employment are among

the outcomes. Although the appraisal can be objective (for example, a salesperson is appraised on how many dollars of sales he generates in his territory), many jobs are evaluated subjectively. Subjective evaluations, though often necessary, are problematic because of the errors we've discussed—selective perception, contrast effects, halo effects, and so on. Sometimes performance ratings say as much about the evaluator as they do about the employee!

Myth or Science?

All Stereotypes Are Negative

This statement is false. Positive stereotypes exist as much as negative ones.

A study of Princeton University students shows, for example, that even today we believe Germans are better workers, Italians and African Americans are more loyal, Jews and Chinese are more intelligent, and Japanese and English are more courteous. What is surprising is that positive stereotypes are not always positive.

We may be more likely to “choke” (fail to perform) when we identify with positive stereotypes because they induce pressure to perform at the stereotypical level. For example, men are commonly believed to have higher math ability than women. A study showed that when this stereotype is activated before men take a math test, their performance on the test decreases. The belief that white men are better at science and math than women or minorities caused white men in another study to leave science, technology, engineering, and math majors. One study used basketball to illustrate the complexity of stereotypes. Researchers provided evidence to one group of undergraduates that whites were better free throw shooters than blacks. Another group was provided evidence that blacks were better free throw shooters than whites. A third group was given no stereotypic information. The undergraduates in all three groups then shot free throws while observers watched. The people who performed the worst were those in the negative stereotype condition (black undergraduates who were told whites were better and white undergraduates who were told blacks were better). However, the positive stereotype group (black undergraduates who were told blacks

were better and white undergraduates who were told whites were better) also did not perform well. The best performance was turned in by those in the group without stereotypic information.

“Choking” is not the only negative thing about positive stereotypes. Research revealed that when women or Asian Americans heard positive stereotypes about themselves (“women are nurturing”; “Asians are good at math”), they felt depersonalized and reacted negatively to the individual expressing the positive stereotype. Another study showed that positive stereotypes about African Americans solidified negative stereotypes because any stereotype tends to reinforce group-based differences, whether positive or negative.

Stereotypes are understandable. To function, we need shortcuts; however, shortcuts run both ways. Because stereotypes are socially learned, we need to be vigilant about not accepting or propagating them among our coworkers and peers.

Sources: Based on A. C. Kay, M. V. Day, M. P. Zanna, and A. D. Nussbaum, “The Insidious (and Ironic) Effects of Positive Stereotypes,” *Journal of Experimental Social Psychology* 49 (2013): 287–91; J. O. Sly and S. Cheryan, “When Compliments Fail to Flatter: American Individualism and Responses to Positive Stereotypes,” *Journal of Personality and Social Psychology* 104 (2013): 87–102; M. J. Tagler, “Choking under the Pressure of a Positive Stereotype: Gender Identification and Self-Consciousness Moderate Men’s Math Test Performance,” *Journal of Social Psychology* 152 (2012): 401–16; M. A. Beasley and M. J. Fischer, “Why They Leave: The Impact of Stereotype Threat on the Attrition of Women and Minorities from Science, Math and Engineering Majors,” *Social Psychology of Education* 15 (2012): 427–48; and A. Krendl, I. Gainsburg, and N. Ambady, “The Effects of Stereotypes and Observer Pressure on Athletic Performance,” *Journal of Sport & Exercise Psychology* 34 (2012): 3–15.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

5.2.1 Attribution theory suggests that when we observe an individual's behavior, we attempt to determine whether it was internally or externally caused. That determination, however, depends largely on three factors. Which of the following is one of these three factors?

- ☐ stereotyping
- ☐ consistency
- ☐ anchoring
- ☐ rationality

Check answer

Reset

5.2.2 Which of the following terms best describes the tendency to underestimate the influence of external factors and overestimate the influence of internal factors when making judgments about the behavior of others?

- ☐ fundamental attribution error
- ☐ halo effect
- ☐ selective perception
- ☐ overconfidence

Check answer

Reset

The Link Between Perception and Individual Decision Making

5-3 Explain the link between perception and decision making.

Individuals make **decisions** ⓘ, choices from among two or more alternatives. Ideally, decision making would be an objective process, but the way individuals make decisions and the quality of their choices are largely influenced by their perceptions. Individual decision making is an important factor of behavior at all levels of an organization.

Decision making occurs as a reaction to a **problem** ⓘ. That is, a discrepancy exists between the current state of affairs and some desired state, requiring us to consider alternative courses of action. If your car breaks down and you rely on it to get to work, you have a problem that requires a decision on your part. Unfortunately, most problems don't come neatly labeled. One person's *problem* is another person's *satisfactory state of affairs*. One manager may view her division's 2 percent decline in quarterly sales to be a serious problem requiring immediate action on her part. Her counterpart in another division, who also had a 2 percent sales decrease, might consider it quite acceptable. So awareness that a problem exists and that a decision might or might not be needed is a perceptual issue.

Every decision requires us to interpret and evaluate information. We typically receive data from multiple sources that we need to screen, process, and interpret. Which data are relevant to the decision, and which are not? Our perceptions will answer that question. We also need to develop alternatives and evaluate their strengths and weaknesses. Again, our perceptual process will affect the outcome. Finally, we should consider how our perceptions of the situation influence our decisions. For instance, how good are you at saying no? Research indicates that we perceive that saying no is uncomfortable, and often after saying no we will feel obligated to say yes to subsequent requests. In fact, people are so uncomfortable saying no that they may agree to unethical acts. When student participants in a study asked 108 strangers to write the word *pickle* in library books, half of them did it!³⁰

Decision Making in Organizations

5-4 Contrast the rational model of decision making with bounded rationality and intuition.

Business schools train students to follow rational decision-making models. While such rationalistic models have merit, they don't always describe how people make decisions. OB improves the way we make decisions in organizations by addressing the decision-making errors people commit in addition to the perception errors we've discussed. First, we describe some decision-making constructs and then outline a few of the most common errors.

The Rational Model, Bounded Rationality, and Intuition

In OB, generally accepted constructs of decision making are employed by each of us to make determinations. These constructs are rational decision making, bounded rationality, and intuition. Though their processes make sense, they may not lead to the most accurate (or best) decisions. More important, sometimes one strategy may lead to a better outcome than another in a given situation.

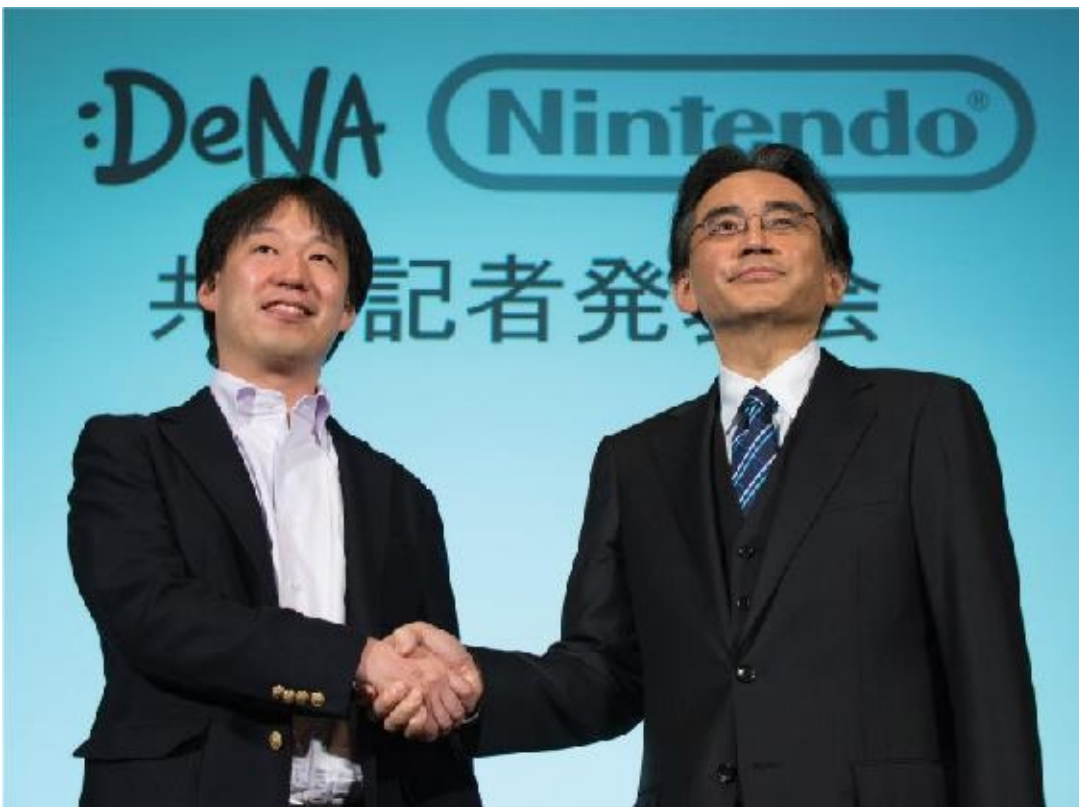
Rational Decision Making We often think the best decision maker is **rational** ⓘ and makes consistent, value-maximizing choices within specified constraints.³¹ Rational decisions follow a six-step **rational decision-making model** ⓘ³² (see Exhibit 5-3).

Exhibit 5-3 Steps in the Rational Decision-Making Model

1. Define the problem.
2. Identify the decision criteria.
3. Allocate weights to the criteria.
4. Develop the alternatives.
5. Evaluate the alternatives.
6. Select the best alternative.

The rational decision-making model assumes the decision maker has complete information, can identify all relevant options in an unbiased manner, and chooses the option with the highest utility.³³ However, most decisions don't follow the rational model; people are usually content to find an acceptable or reasonable solution to a problem rather than an optimal one. We tend to limit our choices to the neighborhood of the problem's symptom and the current alternative at hand. As one expert in decision making put it, "Most significant decisions are made by judgment, rather than by a defined prescriptive model."³⁴ People are remarkably unaware of making suboptimal decisions.³⁵

Bounded Rationality Often, we don't follow the rational decision-making model for a reason: Our limited information-processing capability makes it impossible to assimilate all the information necessary to optimize, even if the information is readily obtainable.³⁶ Many problems don't have an optimal solution because they are too complicated to fit the rational decision-making model, so people *satisfice*: They seek solutions that are satisfactory and sufficient. We tend to reduce complex problems to a level we can readily understand.



Nintendo president Satoru Iwata (right) and DeNA president Isao Moriyasu operated within the confines of bounded rationality in deciding to form an alliance to develop and operate new game applications for mobile devices. The alliance

brings Nintendo's games and characters to the mobile user market and strengthens DeNA's mobile gaming business.

Source: Akio Kon/Bloomberg/Getty Images

Because the human mind cannot formulate and solve complex problems with full rationality, we operate within the confines of **bounded rationality** ⓘ. We construct simplified models that extract the essential features from problems without capturing all their complexity. We can then behave rationally within the limits of the simple model.

How does bounded rationality work for the typical individual? Once we've identified a problem, we begin to search for criteria and alternatives. The criteria are unlikely to be exhaustive. We identify alternatives that are highly visible and that usually represent familiar criteria and tried-and-true solutions. Next, we begin reviewing the alternatives, focusing on choices that differ little from the current state until we identify one that is "good enough"—that meets an acceptable level of performance. Thus ends our search. Therefore, the solution represents a satisficing choice—the first *acceptable* one we encounter—rather than an optimal one.

Satisficing is not always bad—a simple process may frequently be more sensible than the traditional rational decision-making model.³⁷ To use the rational model, you need to gather a great deal of information about all the options, compute applicable weights, and then calculate values across a huge number of criteria. All these processes can cost time, energy, and money. Sometimes a fast-and-frugal process of solving problems might be your best option.

Bounded rationality can also be of concern in ethical decision making (as discussed later in this chapter). Not only are we prone to make systematic and predictable errors in ethical decisions,³⁸ but our perceptions of whether we have the freedom or *right* to behave in a particular way are bounded by our *duties* toward the people our actions affect.³⁹ For example, you *want* to take the last doughnut in the break room but you know that you *shouldn't* in case someone has not had one yet. Researchers have identified many ways in which the automatic effects of our bounded rationality can be circumvented in an ethical context: Be sure to triangulate on the focal issue by asking multiple questions, drawing on multiple sources, considering the sources from which you derive information, and leaving more time to decide.⁴⁰

Intuition Perhaps the least rational way of making decisions is **intuitive decision**

making ⓘ, an unconscious process created from distilled experience.⁴¹ Intuitive decision making occurs outside conscious thought; relies on holistic associations, or links between disparate pieces of information; is fast; and is *affectively charged*, meaning it engages the emotions.⁴² While intuition isn't rational, it isn't necessarily wrong, nor does it always contradict rational analysis; the two can complement each other.

Does intuition help effective decision making? Researchers are divided, but most experts are skeptical, in part because intuition is hard to measure and analyze (although expertise-based intuitive decisions tend to be more effective and accurate).⁴³ Probably the best advice from one expert is: "Intuition can be very useful as a way of setting up a hypothesis but is unacceptable as 'proof.'" Use hunches derived from your experience to speculate, yes, but always make sure to test those hunches with objective data and rational, dispassionate analysis.⁴⁴

As you can see, the more we use objective processes for decision making, the more likely we are to correct some of the problems with our perceptual process. Just as there are biases and errors in the perception process, it stands to reason there are identifiable biases and errors in our decision making, which we will outline next.

Common Biases and Errors in Decision Making

Decision makers engage in bounded rationality, but they also allow systematic biases and errors to creep into their judgments.⁴⁵ To minimize effort and avoid trade-offs, people tend to rely too heavily on experience, impulses, gut feelings, and convenient rules of thumb. Shortcuts can distort rationality. The following are the most common biases in decision making. Exhibit 5-4 provides some suggestions for avoiding these biases and errors.



Intuition plays an important role in the investment buying decisions of Warren Buffett, chair and CEO of Berkshire Hathaway. Buffett begins exploring investment alternatives by using his intuition as a guide in selecting a firm he understands and finds interesting before he starts analyzing the firm, its industry, and its valuation.

Source: Huang Jihui/Xinhua/Alamy Stock Photo

Exhibit 5-4 Reducing Biases and Errors

Focus on Goals. Without goals, you can't be rational, you don't know what information you need, you don't know which information is relevant and which is irrelevant, you'll find it difficult to choose between alternatives, and you're far more likely to experience regret over the choices you make. Clear goals make decision making easier and help you eliminate options that are inconsistent with your interests.

Look for Information That Disconfirms Your Beliefs. One of the most effective means for counteracting overconfidence and the confirmation and hindsight biases is to actively look for information that contradicts your beliefs and assumptions. When we overtly consider various ways we could be wrong, we challenge our tendencies to think we're smarter than we actually are.

Don't Try to Create Meaning out of Random Events. The educated mind has been

trained to look for cause-and-effect relationships. When something happens, we ask why. And when we can't find reasons, we often invent them. You have to accept that there are events in life that are outside your control. Ask yourself if patterns can be meaningfully explained or whether they are merely coincidence. Don't attempt to create meaning out of coincidence.

Increase Your Options. No matter how many options you've identified, your final choice can be no better than the best of the option set you've selected. This argues for increasing your decision alternatives and for using creativity in developing a wide range of diverse choices. The more alternatives you can generate, and the more diverse those alternatives, the greater your chance of finding an outstanding one.

Source: Based on S. P. Robbins, *Decide & Conquer: Making Winning Decisions and Taking Control of Your Life* (Upper Saddle River, NJ: Financial Times/Prentice Hall, 2004), 164–68.

Overconfidence Bias We tend to be overconfident about our abilities and the abilities of others; also, we are usually not aware of this bias.⁴⁶ For example, when people say they're 90 percent confident about the range a certain number might take, their estimated ranges contain the correct answer only about 50 percent of the time—and experts are no more accurate in setting up confidence intervals than are novices.⁴⁷

Individuals whose intellectual and interpersonal abilities are *weakest* are most likely to overestimate their performance and ability.⁴⁸ There's also a negative relationship between entrepreneurs' optimism and performance of their new ventures: the more optimistic, the less successful.⁴⁹ The tendency to be too confident about their ideas might keep some from planning how to avoid problems that arise.

Investor overconfidence operates in a variety of ways.⁵⁰ Finance professor Terrance Odean says, "People think they know more than they do, and it costs them." Investors, especially novices, overestimate not just their skill in processing information but also the quality of the information. Most investors will do only as well as or just slightly better than the market.

Anchoring Bias **Anchoring bias** ⓘ is a tendency to fixate on initial information and fail to adequately adjust for subsequent information.⁵¹ As we discussed earlier in the chapter, the

mind appears to give a disproportionate amount of emphasis to the first information it receives in employment interviews. Anchors are widely used by people in professions in which persuasion skills are important—advertising, management, politics, real estate, and law.

Any time a negotiation takes place, so does anchoring. When a prospective employer asks how much you made in your prior job, your answer typically anchors the employer's offer. (Remember this when you negotiate your salary, but set the anchor only as high as you truthfully can.) The more precise your anchor, the smaller the adjustment. Some research suggests people think of making an adjustment after an anchor is set as rounding off a number: If you suggest a salary of \$55,000, your boss will consider \$50,000 to \$60,000 a reasonable range for negotiation, but if you mention \$55,650, your boss is more likely to consider \$55,000 to \$56,000 the range of likely values.⁵²

Confirmation Bias The rational decision-making process assumes we objectively gather information. But we don't. We *selectively* gather it. **Confirmation bias** ⓘ represents a case of selective perception: We seek out (and accept) information that reaffirms our past choices and current views, and we discount (or are skeptical of) information that contradicts or challenges them.⁵³ We even tend to seek sources most likely to tell us what we want to hear, and we give too much weight to supporting information and too little to contradictory. Those who feel a strong need to be accurate in deciding are less prone to confirmation bias.

Availability Bias More people are afraid of flying than they are of driving in a car. But if flying on a commercial airline were as dangerous as driving, the equivalent of two 747s filled to capacity would crash every week, killing all aboard. Because the media give more attention to air accidents, we tend to overstate the risk of flying and understate the risk of driving.

Availability bias ⓘ is our tendency to base judgments on readily available information. A combination of readily available information and our previous direct experience with similar information has a particularly strong impact on our decision making. Also, events that evoke emotions, are particularly vivid, or are more recent tend to be more available in our memory. This can lead us to overestimate the chances of unlikely events, such as being in an airplane crash, suffering complications from medical treatment, or getting fired.⁵⁴ Availability bias can also explain why managers give more weight in performance appraisals to recent

employee behaviors than to behaviors of 6 or 9 months earlier.⁵⁵

Escalation of Commitment Another distortion that creeps into decisions is a tendency to escalate commitment, often for increasingly nonrational reasons.⁵⁶ **Escalation of commitment** ⓘ refers to our staying with a decision even if there is clear evidence that it is wrong. Consider a friend who has been dating someone for several years. Although he admits things aren't going too well, he says he is still going to marry her. His justification: "I have a lot invested in the relationship!"

When is escalation most likely to occur? Evidence indicates that it occurs when individuals view themselves as responsible for the outcome. The fear of personal failure even biases the way we search for and evaluate information so that we choose only information that supports our dedication.⁵⁷ It doesn't appear to matter whether we chose the failing course of action or it was assigned to us—we feel responsible and escalate in either case. Also, the sharing of decision authority—such as when others review the choice we made—can lead to higher escalation.⁵⁸

We usually think of escalation of commitment as ungrounded. However, persistence in the face of failure is responsible for many of history's greatest feats: the building of the Pyramids, the Great Wall of China, the Panama Canal, and the Empire State Building among them. On a smaller scale, the desire to consider yourself a "good person" can lead you to experience escalation toward a prosocial goal.⁵⁹ Researchers suggest that a balanced approach includes frequent evaluation of the spent costs and whether the next step is worth the anticipated costs.⁶⁰ What we want to combat is thus the tendency to escalate commitment *automatically*.

Randomness Error Most of us like to think we have some control over our world. Our tendency to believe we can predict the outcome of random events is the **randomness error** ⓘ.

Decision making suffers when we try to create meaning in random events, particularly when we turn imaginary patterns into superstitions.⁶¹ These can be completely contrived ("I never make important decisions on Friday the 13th") or they can evolve from a reinforced past pattern of behavior (Tiger Woods often wears a red shirt during a golf tournament's final round because he won many junior tournaments wearing red shirts). Decisions based on random occurrences can handicap us when they affect our judgment or bias our major

decisions.

Risk Aversion Mathematically speaking, we should find a 50–50 flip of the coin for \$100 to be worth as much as a sure promise of \$50. After all, the expected value of the gamble over many trials is \$50. However, nearly everyone but committed gamblers would rather have the sure thing than a risky prospect.⁶² For many people, a 50–50 flip of a coin even for \$200 might not be worth as much as a sure promise of \$50, even though the gamble is mathematically worth twice as much! This tendency to prefer a sure thing over a risky outcome is **risk aversion** ⓘ.

Overall, the framing of a decision has an effect on whether or not people will engage in risk-averse behavior—when decisions are framed positively, such as a potential gain of \$50, people will be more risk averse (conversely, when the decision is framed in a negative manner, such as a loss of \$50, people will engage in riskier behaviors).⁶³ CEOs at risk of termination are exceptionally risk averse, even when a riskier investment strategy is in their firms’ best interests.⁶⁴ Organizations have a stronger hold on employees who are more risk averse because these employees tend to perceive that they have more to lose and are less likely to leave the organization.⁶⁵

Risk preference is sometimes reversed: People take chances when trying to prevent a negative outcome.⁶⁶ They may thus risk losing a lot of money at trial rather than settle for less out of court. Stressful situations can make risk preferences stronger. People under stress are more likely to engage in risk-seeking behavior to avoid negative outcomes and in risk-averse behavior when seeking positive outcomes.⁶⁷

Hindsight Bias **Hindsight bias** ⓘ is the tendency to believe falsely, after the outcome is known, that we would have accurately predicted it.⁶⁸ When we have feedback on the outcome, we seem good at concluding it was obvious.

For instance, the original home video rental industry, renting movies at brick-and-mortar stores, collapsed as online distribution outlets ate away at the market.⁶⁹ Some have suggested that if rental companies like Blockbuster had leveraged their brand to offer online streaming and kiosks, they could have avoided failure. While that seems obvious now in hindsight, tempting us to think we would have predicted it, many experts failed to predict industry trends in advance. Though criticisms of decision makers may have merit, as Malcolm Gladwell, author of *Blink* and *The Tipping Point*, writes, “What is clear in hindsight is rarely

clear before the fact.”⁷⁰

We are all susceptible to biases like hindsight bias, but are we all susceptible to the same degree? It is not likely. Our individual differences play a significant role in our decision-making processes, while our organizations constrain the range of our available decision choices.

MyLab Management Try It

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the Mini Sim.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

5.4.1 Business schools generally train students to follow _____ decision-making models.

- ☐ intuitive
- ☐ convolutional
- ☐ rational
- ☐ bounded rationality

Check answer

Reset

5.4.2 The _____ bias can explain why managers doing performance appraisals give more weight to recent employee behaviors than to behaviors of 6 or 9 months earlier.

- self-serving
- availability
- distinction
- confirmation

Check answer

Reset

Influences on Decision Making: Individual Differences and Organizational Constraints

5-5 Explain how individual differences and organizational constraints affect decision making.

We turn here to factors that influence the way people make decisions and the degree to which they are susceptible to errors and biases. We discuss individual differences and then organizational constraints.

Individual Differences

As we discussed, decision making in practice is characterized by bounded rationality, common biases and errors, and the use of intuition. Individual differences such as personality also create deviations from the rational model.

Personality Research suggests that personality influences our decisions. Let's look at conscientiousness and self-esteem.

Specific facets of conscientiousness—particularly achievement-striving and dutifulness—may affect escalation of commitment.⁷¹ First, achievement-oriented people hate to fail, so they escalate their commitment, hoping to forestall failure. Dutiful people, however, are more inclined to do what they see as best for the organization, so they are less likely to escalate their commitment. Second, achievement-striving individuals appear more susceptible to hindsight bias, perhaps because they have a need to justify their actions.⁷² We don't have evidence yet on whether dutiful people are immune to this bias.

People with high self-esteem (a general perception of being good enough) are strongly motivated to maintain it, so they use the self-serving bias to preserve it. They blame others for their failures while taking credit for successes.⁷³ In a more extreme case, those with the personality trait of grandiosity, a facet of narcissism (see Chapter 4), tend to engage in the self-serving bias.⁷⁴

Gender Who makes better decisions, men or women? It depends on the situation. When

the situation isn't stressful, decision making by men and women is about equal in quality. In stressful situations, it appears that men become more egocentric and make more risky decisions, while women become more empathetic and their decision making improves.⁷⁵ Research on rumination, or reflecting at length, offers further insights into gender differences in decision making.⁷⁶ Women spend more time than men analyzing the past, present, and future. They're more likely to overanalyze problems before deciding and to rehash a decision once made. This can make problems harder to solve, increase regret over past decisions, and increase depression. Women are nearly twice as likely as men to develop depression,⁷⁷ but why women ruminate more than men is not clear; some research points to differences in the hypothalamus, pituitary, and adrenal gland responses.⁷⁸ However, the gender difference seems to lessen with age. Differences are largest during young adulthood and smallest after age 65, when both men and women ruminate the least.⁷⁹

Mental Ability We know people with higher levels of mental ability can process information more quickly, solve problems more accurately, and learn faster, so you might expect them to be less susceptible to common decision errors. However, mental ability appears to help people avoid only some of them.⁸⁰ Smart people are just as likely to fall prey to anchoring, overconfidence, and escalation of commitment, probably because being smart doesn't alert you to the possibility that you're too confident or emotionally defensive. It's not that intelligence never matters. Once warned about decision-making errors, more intelligent people learn to avoid them more quickly.



Cultural Differences The rational model makes no acknowledgment of cultural differences, nor does the bulk of OB research literature on decision making. But Indonesians, for instance, don't necessarily make decisions the same way Australians do. Therefore, we need to recognize that the cultural background of a decision maker can significantly influence the selection of problems, the depth of analysis, the importance placed on logic and rationality, and whether organizational decisions should be made autocratically by an individual manager or collectively in groups.⁸¹

Cultures differ in time orientation, the value they place on rationality, their belief in the ability of people to solve problems, and their preference for collective decision making. First, differences in time orientation help us understand, for instance, why managers in Egypt make decisions at a much slower and more deliberate pace than their U.S. counterparts. Second,

while rationality is valued in North America, that's not true elsewhere. A North American manager might decide intuitively but know it's important to appear to proceed in a rational fashion because rationality is highly valued in the West. In countries such as Iran, where rationality is not paramount over other factors, it is not necessary for efforts to appear rational.

Third, some cultures emphasize solving problems, while others focus on accepting situations as they are. The United States falls in the first category; Thailand and Indonesia are examples of the second. Because problem-solving managers believe they can and should change situations to their benefit, U.S. managers might identify a problem long before their Thai or Indonesian counterparts would choose to recognize it as such.

Fourth, decision making in Japan is much more group-oriented than in the United States. The Japanese value conformity and cooperation, so before Japanese CEOs make an important decision, they collect a large amount of information to use in consensus-forming group decisions.

Organizational Constraints

Organizations can constrain decision makers, creating deviations from the rational model. For instance, managers shape decisions to reflect the organization's performance evaluation and reward systems, to comply with formal regulations, and to meet organizationally imposed time constraints. Precedents can also limit decisions.

Performance Evaluation Systems Managers are influenced by the criteria on which they are evaluated. If a division manager believes the manufacturing plants under his responsibility are operating best when he hears nothing negative, the plant managers will spend a good part of their time ensuring that negative information doesn't reach him.

Reward Systems The organization's reward systems influence decision makers by suggesting which choices have better personal payoffs. If the organization rewards risk aversion, managers are more likely to make conservative decisions. For instance, for over half a century (the 1930s through the mid-1980s), General Motors consistently gave promotions and bonuses to managers who kept a low profile and avoided controversy. These executives became adept at dodging tough issues and passing controversial decisions on to committees, which harmed the organization over time.

Formal Regulations David, a shift manager at a Taco Bell restaurant in San Antonio, Texas, describes constraints he faces on his job: “I’ve got rules and regulations covering almost every decision I make—from how to make a burrito to how often I need to clean the restrooms. My job doesn’t come with much freedom of choice.” David’s situation is not unique. All but the smallest organizations create rules and policies to program decisions and get individuals to act in the intended manner. In doing so, they limit decision choices.



Manager Kely Guardado (center) prepares hamburgers alongside employees at a Five Guys Burger and Fries restaurant. The autonomy of Five Guys crew members are limited because workers are required to follow rules and regulations for food preparation that meet the firm’s high standards of quality, safety, and service.

Source: Yuri Gripas/Reuters

System-Imposed Time Constraints Almost all important decisions come with explicit deadlines. For example, a report on new-product development may have to be ready for executive committee review by the first of the month. Such conditions often make it difficult, if not impossible, for managers to gather all information before making a final choice.

Historical Precedents Decisions aren’t made in a vacuum; they have context. Individual decisions are points in a stream of choices; those made in the past are like ghosts that haunt and constrain current choices. It’s common knowledge that the largest determinant of the size

of any given year's budget is last year's budget. Choices made today are largely a result of choices made over the years.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

5.5.1 From the 1930s through the mid-1980s, General Motors consistently gave promotions and bonuses to managers who kept a low profile and avoided controversy. This is an example of which of the following organizational constraints?

- ☐ performance evaluation
- ☐ reward systems
- ☐ formal regulations
- ☐ system-imposed time constraints

Check answer

Reset

5.5.2 You are responsible for the annual holiday toy drive at your workplace. Every few days, you send out an email of how many items have been collected and post a picture of one of your coworkers putting a toy in the box. What influence tactic are you trying?

- ☐ peer pressure
- ☐ force
- ☐ escalation of commitment
- ☐ nudging

Check answer

Reset

What About Ethics in Decision Making?

5-6 Contrast the three ethical decision criteria.

Ethical considerations should be important to all organizational decision making. In this section, we present three ways to frame decisions ethically and then address the important issue of the effect of lying on decision making.

Three Ethical Decision Criteria



The first ethical yardstick is **utilitarianism** ⓘ, which proposes making decisions solely based on their *outcomes*, ideally to provide the greatest good for all.⁸² This view dominates business decision making and is consistent with goals such as efficiency, productivity, and high profits. Keep in mind that utilitarianism is not always as objective as it sounds. A recent study indicated that the ethicality of utilitarianism is influenced in ways we don't realize. Participants were given a moral dilemma: The weight of five people bends a footbridge so it is low to some train tracks. A train is about to hit the bridge. The choice is to let all five people perish, or push the one heavy man off the bridge to save four people. In the United States, South Korea, France, and Israel, 20 percent of respondents chose to push the man off the bridge; in Spain, 18 percent chose to do so; and in Korea, none did. These might speak to cultural utilitarian values, but a minor change, asking people to answer in a non-native language they knew, caused more participants to push the man overboard: In one group, 33 percent pushed the man, and in another group 44 percent did.⁸³ The emotional distance of answering in a non-native language thus seemed to foster a utilitarian viewpoint. It appears that even our view of what we consider pragmatic is changeable.

Another ethical criterion is to make decisions consistent with fundamental liberties and privileges, as set forth in documents such as the U.S. Bill of Rights. An emphasis on *rights* in decision making means respecting and protecting the basic rights of individuals, such as the right to privacy, free speech, and due process. This criterion protects **whistle-blowers** ⓘ⁸⁴ when they reveal an organization's unethical practices to the press or government agencies, using their right to free speech.

A third criterion is to impose and enforce rules fairly and impartially to ensure *justice* or

an equitable distribution of benefits and costs.⁸⁵ This criterion is often approached from a **deonance** ⓘ standpoint (employees feel as if they *ought* to behave in a certain way, as laid out in rules, laws, norms, or moral principles).⁸⁶ For example, some employees might feel as if they *should not* steal from their workplace because it is ethically “wrong” by moral norms, principles, or standards or it is forbidden by rules or laws. Notably, this “ought force” is present regardless of whether organizational rules exist; often, a decision is regarded as unfair or unjust because it violates a moral norm or principle.

Decision makers, particularly in for-profit organizations, feel comfortable with utilitarianism. The “best interests” of the organization and its stockholders can justify a lot of questionable actions, such as large layoffs. But many critics feel this perspective needs to change. Public concern about individual rights and social justice suggests managers should develop ethical standards based on nonutilitarian criteria. This presents a challenge because satisfying individual rights and social justice creates far more ambiguities than utilitarian effects on efficiency and profits. While raising prices, selling products with questionable effects on consumer health, closing inefficient plants, laying off large numbers of employees, and moving production overseas to cut costs can be justified in utilitarian terms, there may no longer be a single measure by which good decisions are judged.

This is where corporate social responsibility (CSR) comes in to effect a positive change. As we can see by looking at utilitarian ideals, organizations are not motivated to respond equitably when they are looking only at a balance sheet. However, public pressure on organizations to behave responsibly has meant sustainability issues now affect the bottom line: Consumers increasingly choose to purchase goods and services from organizations with effective CSR initiatives, high performers are attracted to work at CSR organizations, governments offer incentives to organizations for sustainability efforts, and so forth. CSR is now beginning to make good business sense, folding ethics into utilitarian computations.

Researchers are turning increasingly to **behavioral ethics** ⓘ—an area of study that analyzes how people behave when confronted with ethical dilemmas. Their research tells us that, while ethical standards exist collectively in societies and organizations, and individually in the form of personal ethics, we do not always follow ethical standards promoted by our organizations, and we sometimes violate our own standards. Our ethical behavior varies widely from one situation to the next.

How might we increase ethical decision making in organizations? First, seemingly superficial aspects of the environment—such as lighting, outward displays of wealth and

status, and cleanliness—can affect ethical behavior in organizations.⁸⁷ Managers must first realize that ethical behavior can be affected by these signals; for example, if signs of status and money are everywhere, an employee may perceive those, rather than ethical standards, to be of the highest importance. Second, managers should encourage conversations about moral issues; they may serve as a reminder and increase ethical decision making. One study found that simply asking business school students to think of an ethical situation had powerful effects when they were making ethical choices later.⁸⁸ We should be aware of our own moral “blind spots”—the tendency to see ourselves as more moral than we are and others as less moral than they are. An environment that encourages open discussions and does not penalize people for coming forward is key to overcoming blind spots and increasing the ethicality of decision making.⁸⁹



Behavioral ethics research stresses the importance of culture to ethical decision making. There are few global standards for ethical decision making,⁹⁰ as contrasts between Asia and the West illustrate. What is ethical in one culture may be unethical in another. For example, because bribery is more common in countries such as China, a Canadian working in China might face a dilemma: Should I pay a bribe to secure business if it is an accepted part of that country’s culture? Although some companies, such as IBM, explicitly address this issue, many do not. Without sensitivity to cultural differences as part of the definition of ethical conduct, organizations may encourage unethical conduct without even knowing it.

Lying

Are you a liar? Many of us would not like to be labeled as a liar. But if a liar is merely someone who lies, we are all liars. We lie to ourselves, and we lie to others. We lie consciously and unconsciously. We tell big lies and create small deceptions. Lying is one of the top unethical activities we may indulge in daily, and it undermines all efforts toward sound decision making.

The truth is that one of the reasons we lie is because lying is difficult for others to detect. In more than 200 studies, individuals correctly identified people who were lying only 47 percent of the time, which is less than random picking.⁹¹ This seems to be true no matter what lie-detection technique is employed. For example, one technique used by police officers is based on the theory that people look up and to the right when they lie. Unfortunately, researchers who tested the technique could not substantiate the underlying theory.⁹²

Another technique is to study a person's body language, but researchers found that the probability of detecting lying based solely on body language was less than a random guess. Psychologist Maria Hartwig observed, "The common-sense notion that liars betray themselves through body language appears to be little more than a cultural fiction."⁹³ Still another technique is to study facial expressions. Here again, many researchers could not support the technique with evidence. Research professor Nicholas Epley concluded, "Reading people's expressions can give you a little information, but you can get so much more just by talking to them."⁹⁴

What about our words? Liars may indeed give verbal cues, but which cues apply to which people is a matter of debate. Whether liars tell better stories, or conversely give fewer details, is not certain. Law enforcers analyze an individual's words, looking for emphatic or repeated phrases to indicate lying. Detecting lies from our written words is even trickier because there are fewer cues. However, that doesn't stop lie-detection speculation for written communications. Some say that in e-mail messages, liars omit personal pronouns, use noncommittal expressions, change tenses, skip topics, provide too much detail, or add qualifying statements.⁹⁵ Yet a person who regularly does those things when writing may not be lying.

The best hope for lie detection is to read a combination of cues unique to the person. Perhaps it is true that a mother can sometimes tell when her child is lying, for instance, because the mother knows how the child changes his behavior when he's stressed. Although we may feel that our lying is "written all over our face," as Epley says, "[t]he mind comes through the mouth."⁹⁶ Lie detection is also easier if the person is a bad liar without a lot of experience. According to Tyler Cohen Wood of the Defense Intelligence Agency's Science and Technology Directorate, "The majority of people prefer to tell the truth. That's why when they are lying, the truth is going to leak out."⁹⁷ Research indicates that, while we do not consciously discern lying in others, we are able to sense on some level when lying is happening.⁹⁸

Lying is deadly to decision making, whether we sense the lies or not. Managers—and organizations—simply cannot make good decisions when facts are misrepresented and people give false motives for their behaviors. Lying is a big ethical problem as well. From an organizational perspective, using fancy lie-detection techniques and entrapping liars when possible yield unreliable results.⁹⁹ The most lasting solution comes from organizational behavior, which studies ways to prevent lying by working with our natural propensities to

create environments not conducive to lying.

An Ethical Choice

Choosing to Lie

Mark Twain wrote, “The wise thing is for us diligently to train ourselves to lie thoughtfully.” Not everyone agrees that lying is wrong. But we probably agree that people do lie, including each of us, to varying degrees. And most of us probably agree that if we lied less, organizations and society would be better off. So how can we get ourselves to lie less often? Research conducted by behavioral scientists suggests some steps to recovery.

- 1. Stop lying to ourselves.** We lie to ourselves about how much we lie. Specifically, many studies reveal that we deem ourselves much less likely to lie than we judge others to be. At a collective level, this is impossible—everyone can’t be below average in their propensity to lie. So step 1 is to admit the truth: We underestimate the degree to which we lie, we overestimate our morality compared to that of others, and we tend to engage in “moral hypocrisy”—we think we’re more moral than we are.
- 2. Trust, but verify.** Lying is learned at a very young age. When a toy was placed out of view, an experimenter told young children not to look at the toy and went out of sight. More than 80 percent of the children looked at the toy. When asked whether they had looked, 25 percent of 2½-year-olds lied compared to 90 percent of 4-year-olds. Why do we learn to lie? Because we often get away with it. Negotiation research shows that we are more likely to lie in the future when our lies have succeeded or gone undetected in the past. Managers need to eliminate situations in which lying is available to employees.
- 3. Reward honesty.** “The most difficult thing is to recognize that sometimes we too are blinded by our own incentives,” writes author Dan Ariely, “because we don’t see how our conflicts of interest work on us.” So if we want more honesty, we have to provide greater incentives for the truth and more disincentives for lying and

cheating.

Sources: Based on D. Ariely, *The Honest Truth about Dishonesty: How We Lie to Everyone—and Especially Ourselves* (New York: Harper, 2012); K. Canavan, “Even Nice People Cheat Sometimes,” *The Wall Street Journal*, August 8, 2012, 4B; M. H. Bazerman and Ann E. Tenbrunsel, *Blind Spots: Why We Fail to Do What’s Right and What to Do about It* (Princeton, NJ: Princeton University Press, 2012); A. D. Evans and K. Lee, “Emergence of Lying in Very Young Children,” *Developmental Psychology* (2013); and L. Zhou, Y. Sung, and D. Zhang, “Deception Performance in Online Group Negotiation and Decision Making: The Effects of Deception Experience and Deception Skill,” *Group Decision and Negotiation* 22 (2013): 153–72.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

5.6.1 In the ethical yardstick of _____, decisions are made solely on the basis of their outcomes, ideally to provide the greatest good for the greatest number.

- ☐ utilitarianism
- ☐ self-serving bias
- ☐ bounded rationality
- ☐ selective perception

Check answer

Reset

5.6.2 You are the manager of a development group in a large computer software company. You have decided that it is important for your group to understand the many ways that ethical decisions can be made and you are designing a training program on the subject of ethics. If you wish to emphasize the importance of making decisions consistent with fundamental liberties and privileges, the focus of your teaching will be on _____.

- utilitarianism
- justice
- rights
- privilege

Check answer

Reset

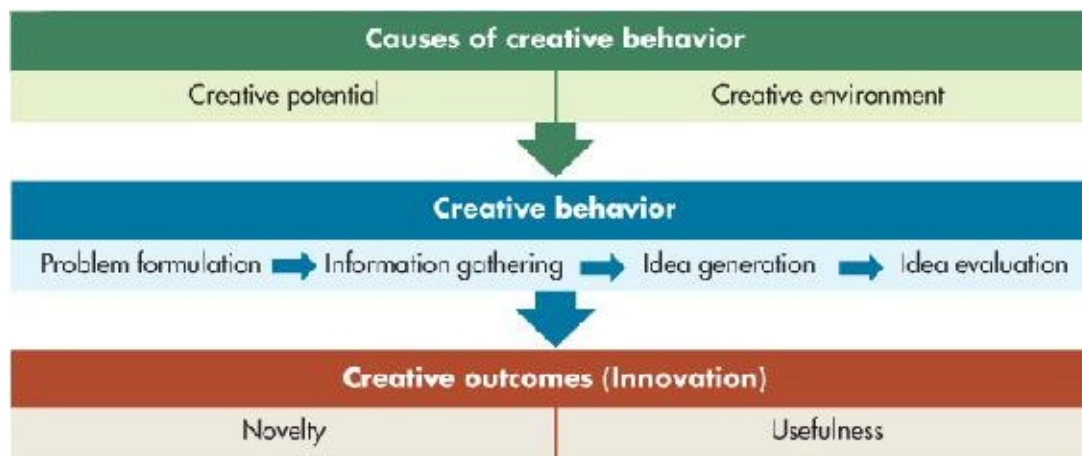
Creativity, Creative Decision Making, and Innovation in Organizations

5-7 Describe the three-stage model of creativity.

Models will often improve our decisions, but a decision maker also needs **creativity** ⓘ, the ability to produce novel and useful ideas. Novel ideas are different from what's been done before but are appropriate for the problem.

Creativity allows the decision maker to appraise and understand problems fully, including seeing problems others can't see. Although all aspects of organizational behavior are complex, that is especially true for creativity. To simplify, Exhibit 5-5 provides a three-stage model of creativity in organizations. The core of the model is *creative behavior*, which has both *causes* (predictors of creative behavior) and *effects* (outcomes of creative behavior). In this section, we discuss the three stages of creativity, starting with the center, creative behavior.

Exhibit 5-5 Three-Stage Model of Creativity in Organizations



Creative Behavior

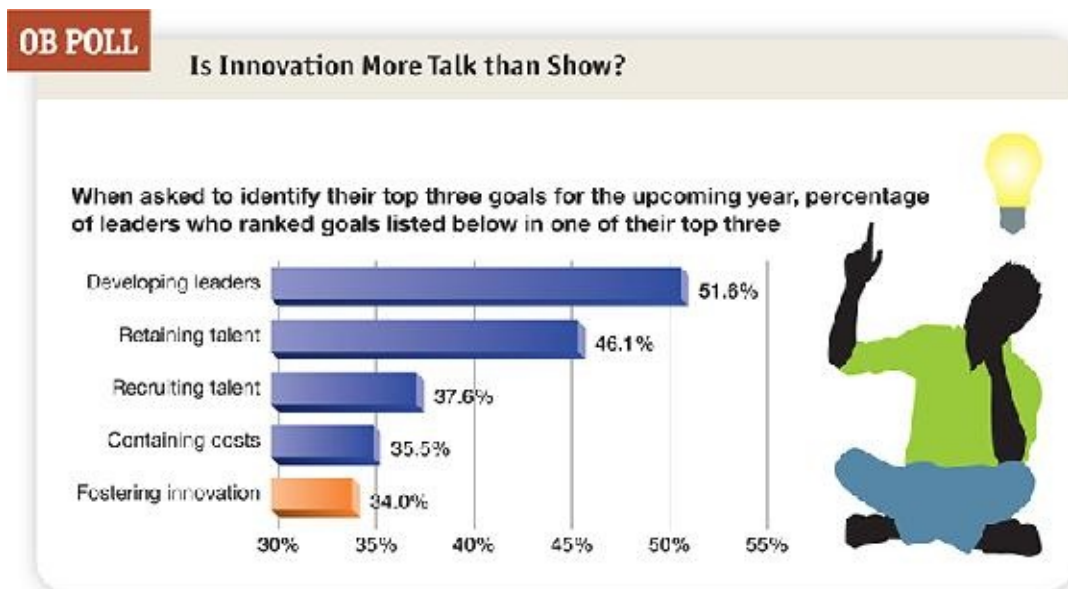
Creative behavior occurs in four steps, each of which leads to the next:¹⁰⁰

1. **Problem formulation.** Any act of creativity begins with a problem that the behavior is designed to solve. Thus, **problem formulation** ⓘ is the stage of creative behavior in which we identify a problem or opportunity that requires a solution that is yet unknown. For example, Marshall Carbee and John Bennett founded Eco Safety Products after discovering that even paints declared safe by the Environmental Protection Agency (EPA) emitted hazardous chemical compounds. Thus, Eco's development of artist-safe soy-based paint began with identifying a safety problem with paints currently on the market.¹⁰¹
2. **Information gathering.** Given a problem, the solution is rarely directly at hand. We need time to learn more and to process that learning. Thus, **information gathering** ⓘ is the stage of creative behavior when knowledge is sought and possible solutions to a problem incubate in an individual's mind. Information gathering leads us to identifying innovation opportunities.¹⁰² Niklas Laninge of Hoa's Tool Shop, a Stockholm-based company that helps organizations become more innovative, argues that creative information gathering means thinking beyond usual routines and comfort zones. For example, have lunch with someone outside your field to discuss the problem. "It's so easy, and you're forced to speak about your business and the things that you want to accomplish in new terms. You can't use buzzwords because people don't know what you mean," Laninge says.¹⁰³
3. **Idea generation.** **Idea generation** ⓘ is the process of creative behavior in which we develop possible solutions to a problem from relevant information and knowledge. Sometimes we do this alone, when tricks like taking a walk¹⁰⁴ and doodling¹⁰⁵ can jump-start the process. Increasingly, though, idea generation is collaborative. For example, when NASA engineers developed the idea for landing a spacecraft on Mars, they did so collaboratively. Before coming up with the *Curiosity*—an SUV-sized rover that lands on Mars from a sky crane—the team spent 3 days scribbling potential ideas on whiteboards.¹⁰⁶
4. **Idea evaluation.** Finally, it's time to choose from the ideas we have generated. Thus, **idea evaluation** ⓘ is the process of creative behavior in which we evaluate potential solutions to identify the best one. Sometimes the method of choosing can be innovative. When Dallas Mavericks owner Mark Cuban was unhappy with the team's uniforms, he

asked fans to help design and choose the best uniform. Cuban said, “What’s the best way to come up with creative ideas? You ask for them. So we are going to crowd source the design and colors of our uniforms.”¹⁰⁷ Generally, you want those who evaluate ideas to be different from those who generate them, to eliminate the obvious biases.

Causes of Creative Behavior

Having defined creative behavior, the main stage in the three-stage model, we now look back to the causes of creativity: creative potential and creative environment.



Source: Based on T. Henneman, “Bright Ideas,” *Workforce Management* (January 2013), 18–25.

Creative Potential Is there such a thing as a creative personality? Indeed. While creative genius is rare—whether in science (Stephen Hawking), performing arts (Martha Graham), or business (Steve Jobs)—most people have some of the characteristics shared by exceptionally creative people. The more of these characteristics we have, the higher our creative potential. Innovation is one of the top organizational goals for leaders (see OB Poll). Consider these facets of potential:

1.  **Intelligence and Creativity** Intelligence is related to creativity.¹⁰⁸ Smart people are more creative because they are better at solving complex problems. However, intelligent individuals may also be more creative because they have greater “working memory”; that is, they can recall more information related to the task at hand.¹⁰⁹ Along

the same lines, research in the Netherlands indicates that an individual's high need for cognition (desire to learn) is correlated with greater creativity.¹¹⁰

2.  **Personality and Creativity** The Big Five personality trait of openness to experience (see Chapter 4) correlates with creativity, probably because open individuals are less conformist in action and more divergent in thinking.¹¹¹ Other traits of creative people include proactive personality, self-confidence, risk taking, tolerance for ambiguity, and perseverance.¹¹² Hope, self-efficacy (belief in your capabilities), and positive affect also predict an individual's creativity.¹¹³ Research in China suggests that people with high core self-evaluations are better able than others to maintain creativity in negative situations.¹¹⁴ Perhaps counterintuitively, some research supports the “mad genius” theory that some people with mental illness are wildly creative partially due to their psychopathology; history certainly provides examples, such as Vincent Van Gogh, John Forbes Nash, and others. However, the converse isn't true—people who are creative may have less psychopathology as a group than the general population.¹¹⁵
3. **Expertise and Creativity** *Expertise* is the foundation for all creative work and thus is the single most important predictor of creative potential. Film writer, producer, and director Quentin Tarantino spent his youth working in a video rental store, where he built up an encyclopedic knowledge of movies. The potential for creativity is enhanced when individuals have abilities, knowledge, proficiencies, and similar expertise to their field of endeavor. For instance, you wouldn't expect someone with minimal knowledge of programming to be very creative as a software engineer. The expertise of others is important, too. People with larger social networks have greater exposure to diverse ideas and informal access to the expertise and resources of others.¹¹⁶
4. **Ethics and Creativity** Although creativity is linked to many desirable individual characteristics, it is not correlated with ethicality. People who cheat may be more creative than those who behave ethically, according to recent research. It may be that dishonesty and creativity can both stem from a rule-breaking desire.¹¹⁷

Creative Environment Most of us have creative potential we can learn to apply, but as important as creative potential is, by itself it is not enough. We need to be in an environment where creative potential can be realized. What environmental factors affect whether creative potential translates into creative behaviors?

First, and perhaps most important, is *motivation*. If you aren't motivated to be creative, it is unlikely you will be. Intrinsic motivation, or the desire to work on something because it's interesting, exciting, satisfying, and challenging (discussed in more detail in the next chapter), correlates moderately with creative outcomes.¹¹⁸



It is also valuable to work in an environment that rewards and recognizes creative work. A study of health care teams found that team creativity translated into innovation only when the climate actively supported innovation.¹¹⁹ The organization should foster the free flow of ideas, including providing fair and constructive judgment. Freedom from excessive rules encourages creativity; employees should have the freedom to decide what work is to be done and how to do it. One study in China revealed that both structural empowerment (in which the structure of the work unit allows sufficient employee freedom) and psychological empowerment (which lets the individual feel personally enabled to decide) were related to employee creativity.¹²⁰ However, research in Slovenia found that creating a competitive climate where achievement is valued at any cost stymies creativity.¹²¹

You may be wondering about the link between organizational resources and creativity. While it is said that “necessity is the mother of invention,” research indicates that creativity can be inspired by an abundance of resources as well. Specifically, jobs that are complex, autonomous, and have clear role expectations for innovation are related to innovative behavior—these job characteristics can be especially important in inspiring creative behavior.¹²² It appears that managers greatly affect the outcomes. They may be able to heighten innovation when resources are limited by encouraging employees to find resources for their novel ideas and by giving direct attention to appropriate tools when resources are plentiful.¹²³ Managers also serve as an important bridge role for knowledge transfer. When managers link teams to additional information and resources, radical creativity (introducing creative ideas that break the status quo) is more likely.¹²⁴ The weaker ties between team

members and manager networks may have more impact on creativity than the direct, stronger ties that team members have with their own networks because the weaker sources provide more divergent thinking.¹²⁵



What is the role of culture? A recent nation-level study suggests that countries scoring high on Hofstede's culture dimension of individuality (see Chapter 4) are more creative.¹²⁶ Western countries like the United States, Italy, and Belgium score high on individuality, and South American and eastern countries like China, Colombia, and Pakistan score low. Does this mean Western cultures are more creative? Some evidence suggests this is true. One study compared the creative projects of German and Chinese college students, some of whom were studying in their homeland and some of whom were studying abroad. An independent panel of Chinese and German judges determined that the German students were most creative and that Asian German students were more creative than domestic Chinese students. This suggested that the German culture was more creative.¹²⁷ However, even if some cultures are more creative on average, there is always strong variation within cultures. Put another way, there are millions of Chinese more creative than their U.S. counterparts.

Good leadership matters to creativity, too.¹²⁸ One study of more than 100 teams working in a large bank revealed that when the leader behaved in a punitive, unsupportive manner, the teams were less creative.¹²⁹ On the other hand, when leaders are encouraging in tone, run their units in a transparent fashion, and encourage the development of their employees, the individuals they supervise are more creative.¹³⁰



As we will learn in Chapter 10, more work today is being done in teams, and many people believe diversity will increase team creativity. Past research has suggested that diverse teams are not more creative. More recently, however, one study of Dutch teams revealed that when team members were explicitly asked to understand and consider the point of view of the other team members (an exercise called perspective taking), diverse teams *were* more creative than those with less diversity.¹³¹ Leadership might make the difference. One study of 68 Chinese teams reported that diversity was positively related to team creativity only when the team's leader was inspirational and instilled members with confidence.¹³²

There are other worthwhile findings regarding creativity. One study in a multinational drug company found that teams from diverse business functions were more creative when they shared knowledge of each other's areas of expertise.¹³³ However, if team members have

a similar background, creativity may be heightened only when the members are sharing specific, detailed information,¹³⁴ because general information may be dismissed by members with the same expertise. As you might expect, newcomers to a team can be a rich source of creative ideas, although unfortunately they are often expected to contribute less early on.¹³⁵ Putting individuals who are resistant to change into teams that are supportive of change can increase total creativity,¹³⁶ perhaps because of the group's positive influence. Collectively, these studies show that diverse teams *can* be more creative, especially if they are intentionally led.

Creative Outcomes (Innovation)

The final stage in our model of creativity is the outcome. Creative behavior does not always produce an innovative outcome. An employee might generate a creative idea and never share it. Management might reject a creative solution. Teams might squelch creative behaviors by isolating those who propose different ideas. One study showed that most people have a bias against accepting creative ideas because ideas create uncertainty. When people feel uncertain, their ability to see any idea as creative is blocked.¹³⁷

We can define *creative outcomes* as ideas or solutions judged to be novel and useful by relevant stakeholders. Novelty itself does not generate a creative outcome if it isn't useful. Thus, “off-the-wall” solutions are creative only if they help solve the problem. The usefulness of the solution might be self-evident (the iPad), or it might be considered successful only by the stakeholders initially.¹³⁸

An organization may harvest many creative ideas from its employees and call itself innovative. However, as one expert stated, “Ideas are useless unless used.” Soft skills help translate ideas into results. One researcher found that, in a large agribusiness company, creative ideas were most likely to be implemented when an individual was motivated to translate the idea into practice—and had strong networking ability.¹³⁹ These studies highlight an important fact: Creative ideas do not implement themselves; translating them into creative outcomes is a social process that requires utilizing other concepts addressed in this text, including power and politics, leadership, and motivation.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

5.7.1 Which of the following is a component of the three-component model that is considered as the foundation for all creative work?

- ☐ expertise
- ☐ creative thinking skills
- ☐ intrinsic task motivation
- ☐ intuition

Check answer

Reset

5.7.2 Creativity is positively linked to each of these traits except _____.

- ☐ intelligence
- ☐ personality
- ☐ risk-taking
- ☐ ethics

Check answer

Reset

Summary

Individuals base their behavior not on the way their external environment actually is but rather on the way they see it or believe it to be. An understanding of the way people make decisions can help us explain and predict behavior, but few important decisions are simple or unambiguous enough for the rational model's assumptions to apply. We find individuals looking for solutions that satisfice rather than optimize, injecting biases and prejudices into the decision process and relying on intuition. Managers should encourage creativity in employees and teams to create a route to innovative decision making.

Implications for Managers

- Behavior follows perception, so to influence behavior at work, assess how people perceive their work. Often behaviors we find puzzling can be explained by understanding the initiating perceptions.
- Make better decisions by recognizing perceptual biases and decision-making errors we tend to commit. Learning about these problems doesn't always prevent us from making mistakes, but it does help.
- Adjust your decision-making approach to the national culture you're operating in and to the criteria your organization values. If you're in a country that doesn't value rationality, don't feel compelled to follow the decision-making model or to try to make your decisions appear rational. Adjust your decision approach to ensure compatibility with the organizational culture.
- Combine rational analysis with intuition. These are not conflicting approaches to decision making. By using both, you can improve your decision-making effectiveness.
- Try to enhance your creativity. Actively look for novel solutions to problems, attempt to see problems in new ways, use analogies, and hire creative talent. Try to remove work and organizational barriers that might impede creativity.

Implicit Assessment

Point

As mentioned earlier in this chapter, some decisions are made intuitively—they are made nonconsciously, quickly, and emotionally in the moment. So isn't it likely that we may be acting prejudicially toward others without even realizing it?

Project Implicit, an initiative at Harvard started by Tony Greenwald, Mahzarin Banaji, and Brian Nosek, sought to uncover hidden biases that are outside our conscious awareness. Much of this research has used the Implicit Association Test (IAT), which successfully enabled researchers to examine how quickly people make prejudicial associations (e.g., black and negative, or white and positive) versus nonprejudicial associations (e.g., black and positive, or white and negative). The differences between decision speeds (in milliseconds) for these two associations provides an estimate of one's prejudice or bias.

The IAT has been very helpful in furthering research on nonconscious decision making and prejudice, suggesting that “milliseconds matter” in understanding nonconscious, intuitive behavior. On average, a database of 1.5 million participants in the Project Implicit website research has revealed that white people in the southeastern United States tend to be the most prejudiced and that, overall, white people on average score somewhere between a slight and moderate preference for whites over those of other racial makeups.

The IAT has helped us understand that people prefer women over men and mothers over fathers implicitly, but as soon as women are judged within a “male” domain, the preferences shift: We tend to prefer male authority figures and leaders over female ones. A 2009 meta-analysis of nearly 15,000 people found that the IAT was moderately related to predicting future prejudiced judgments, behaviors, and physiological indices.

Counterpoint

Although intuition certainly plays a role in decision making, can a test actually tell us

A whether we are prejudiced? Is the number of milliseconds it takes to select an association between two concepts enough to tell someone that he or she is biased? This link between the IAT and biased behavior has long been questioned by scholars, notably Hart Blanton.

Beyond the ethical implications of using a test to label someone as prejudiced or biased, which Emily Bazelon of *The New York Times* has likened to taking our societal discussions of bias and changing them “from a psychological observation to a political accusation,” Blanton notes that there are many issues with the measure itself: “The IAT isn’t even predicting the IAT two weeks later ... how can a test predict behavior if it can’t even predict itself?” One study has also determined that it is impossible to separate true variability in the IAT versus variability due to faking (when people are instructed to fake the IAT).

In an updated meta-analysis published in 2015, Blanton and colleagues found that the IAT does very little to predict behavior, perceptions, policy preferences, nonverbal behaviors, and response times (although sometimes small effects can have societally large effects); the only element that the IAT seemed to predict moderately well was brain activity of some kind. Blanton has also sparked debate by reanalyzing data from influential IAT tests from the earlier 2000s and found that some of the findings were smaller than anticipated and have changed substantially because of outliers and other factors (although this was debated by the original authors).

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Chapter Review

MyLab Management Discussion Questions

Go to www.pearson.com/mylab/management to complete the problems marked with this icon .

Questions for Review

- 5-1** What are the factors that influence our perception?
- 5-2** What is attribution theory?
- 5-3** What is the link between perception and decision making?
- 5-4** How is the rational model of decision making different from bounded rationality and intuition?
- 5-5** How do individual differences and organizational constraints influence decision making?
- 5-6** What are the three ethical decision criteria, and how do they differ?
- 5-7** What are the parts of the three-stage model of creativity?

Application and Employability

Our perception is our first window into the world—it gives us a sense of the world around us, who we are interacting with, where we are, and what we should or should not be doing. These perceptions are instrumental in guiding our decision making. In the world of business, the prevailing assumption is that, when we make business decisions, we do so rationally.

However, additional research counters this assumption because many people are limited by their own perception and biases in the workplace. Following this line of thought, becoming aware of your own biases and limitations to your decision making can help you make better, more informed decisions and, in turn, make you more employable. This understanding can help you improve not only your ethical decision making but also your creative performance. In this chapter, you developed your social responsibility as well as your knowledge application and analysis skills by challenging the assumption that all stereotypes are negative, pondering the ethicality of workplace tardiness, learning how to confront situations in which we might be more prone to lying, and examining the feasibility of measuring prejudicial intuitions. In the section that follows, you will continue to develop these skills, along with your communication and critical thinking skills, by gaining insight into your own perception and decision making through playing the Mafia game, confronting cheating as a decision, examining the perils of collaboration overload, and examining how boredom and repetitive tasks can lead to unethical decisions.

Experiential Exercise Mafia

Break the class into groups of six. In each group, one class member must volunteer to be the narrator. The narrator keeps track of the identities of all the members and announces all events to the rest of the group. All the group members (not including the narrator) should be seated across from one another. There are two teams in Mafia: the mafia and the townsfolk. The narrator should write *mafia* on two slips of paper and *townsfolk* on three slips of paper (or otherwise covertly communicate to each member their identities). The narrator will pass these out covertly to all group members, randomly assigning them to either the mafia or townsfolk groups (and instruct everyone to keep their identities private).

In Mafia, there are two game phases: day and night.

During the day phase (which should be the first phase), all group members should try and figure out who are the mafia members. This might involve accusing other group members of being mafia and seeking a vote to “imprison” one of them (keep in mind that two of the five members will secretly be mafia—it is in their best interests to conceal their identities). Once the group has come to a vote about which person they want to imprison, the imprisoned player reveals his or her identity and is removed from the game.

During the night phase, all the townsfolk put their heads down and close their eyes. The narrator then instructs the mafia to rise silently and slowly. The narrator asks the mafia who they would like to target. The mafia should respond by silently gesturing (or otherwise communicating covertly) at whom they would like to eliminate from the game. Once a decision has been made, the mafia members are instructed to put their heads down and close their eyes.

On the following day phase, the narrator requests that everyone open their eyes and lift their heads. At this point, the narrator announces who the mafia chose to eliminate. This person reveals her or his identity and is then removed from the game. The day phase then continues with the players (again) trying to figure out who the (remaining) mafia are. The game continues until all mafia or all townsfolk are removed from the game.

After one side has prevailed, the group answers the following questions:

Questions

5-8. Was it easy to tell when someone was lying in this game? Why or why not? How

could you tell?

5-9. Could you identify any biases or misperceptions in any of the decisions you made during the game? What were they and what were their outcomes?

5-10. Do you think it is possible to be a good liar? What factors would a good liar have to control to pass off a lie as truth?

Source: Based on Dmitry Davidoff's game that he developed as a psychology student at Moscow State University in 1987 (see <http://www.wired.co.uk/article/werewolf>).

Ethical Dilemma Max's Burgers: The Dollar Value of Ethics

In July 2011, Nassar Group, a well-diversified conglomerate operating in Dubai, bought the rights to manage Max's Burgers' network of franchised outlets in Dubai. Max's Burgers is an emerging American fast-food chain with franchised outlets across the globe. The move was a personal project of Houssam Nassar, the Group's managing director and a businessman with an excellent reputation.

Dubai's fast-food market is overwhelmed with franchised restaurants. Meat quality at Max's Burgers, however, was lower than the standards set by franchisors. This was all about to change, because Nassar did not intend to jeopardize his reputation and image.

Accordingly, as the new operator of Max's Burgers outlets, he issued a directive instructing the warehouse manager to decline any frozen meat shipment that did not comply with the franchisor's set standards.

A few weeks after Nassar Group took over the management of Max's Burgers, a frozen meat shipment was delivered to the Max's Burgers main warehouse. Upon measuring the temperature of the meat, the warehouse manager found that it was a few degrees outside acceptable limits. In terms of governmental regulations, a couple of degrees' difference in temperature would present no risk to customers' health; however, such a difference could have a minimal effect on the taste and texture of the meat.

Prior to the change of management, and for many years before, the warehouse manager had had no second thoughts about accepting such a shipment: no food poisoning claim was ever filed against Max's Burgers, and taste inconsistencies never bothered anyone enough to complain. Further, the company supplying the meat to Max's Burgers was owned by a relative of the warehouse manager.

With the new directive in place, however, the warehouse manager was unsure about his decision. Even though he knew that Nassar would have no way of finding out that the received meat was noncompliant, he wasn't sure about his decision this time around.

Questions

- 5-11. Does the decision to accept or refuse the frozen meat shipment call for ethical or legal considerations? Why?
- 5-12. Identify the stakeholders who will be influenced by the decision to accept or refuse

the frozen meat shipment.

5-13. What type of decision-making framework would you advise the warehouse manager to adopt in order to help him reach an optimal decision? How will your suggestion help?

Sources: “The Dollar Value of Ethics!”, Charbel Aoun, Instructor and AVP for Human Resources, Lebanese American University, Beirut, Lebanon. The case was adapted to provide materials for class discussions. The author does not intend to illustrate either effective or ineffective handling of a situation. To protect confidentiality, the author may have disguised certain names and other identifying information without jeopardizing the fundamentals of the case.

Case Incident 1 Warning: Collaboration Overload

“Regardless of what you’re giving us, we’re dying by e-mail,” an executive told Jamie McLellan, a CTO at an advertising agency. McLellan invested in many different collaboration tools with the goal of helping the employees work more efficiently. Many organizations have taken this same approach through open-plan offices, such as those in many knowledge-intensive companies like Facebook, which has a notorious 430,000-square-foot open office space. Among these tools, employees can use them to create internal team websites, chat, and share documents. However, almost everyone tended to stick to what they knew and were used to using: e-mail, with the employees sending and receiving between 3,000 to 5,000 e-mails *per month*.

This influx of various collaboration mechanisms has led to a real problem for organizations: collaboration overload. According to data spanning two decades, employees spend about 50 percent or more of their time collaborating with others. Although this may seem beneficial on the surface, this pattern has many drawbacks that aren’t readily apparent. For one, nearly 20 to 35 percent of collaborations that actually add value come from only 3 to 5 percent of employees. Unfortunately, people become known for their capabilities and willingness to help, and thus the scope of their positions increases in a phenomenon known as escalating citizenship. Another major problem with collaboration overload is that time and energy spent collaborating with others (rather than working on one’s work) translates to depleted personal resources.

Collaboration overload can have drastic effects on decision making within organizations. By increasing the number of collaboration tools and therefore increasing communication complexity, the number of people involved in decision making increases exponentially, requiring more meetings, e-mails, and instant messages. Although there is much evidence that suggests we may need to tone down the richness, variety, and depth of our communication due to how little “deep” work can get done, there seems to be an escalation of commitment to the cult of collaboration, with not many offices agreeing to become at least partially unplugged.

Questions ★

5-14. In what ways do you think collaboration overload can have an impact on decision

making?

5-15. What biases do you think play into managers continued use of collaboration tools and modes?

5-16. How does collaboration overload (e.g., requiring employees to use multiple collaboration mechanisms or become employed in open-office environments) compare to the three ethical decision criteria (i.e., utilitarianism, liberties/rights, and deonance) discussed in this chapter?

Sources: Based on “The Collaboration Curse,” *The Economist* (Schumpeter Blog), January 23, 2016, <http://www.economist.com/news/business/21688872-fashion-making-employees-collaborate-has-gone-too-far-collaboration-curse>; R. Cross, R. Rebele, and A. Grant, “Collaborative Overload,” *Harvard Business Review*, January–February, 2016, <https://hbr.org/2016/01/collaborative-overload>; J. Greene, “Beware Collaboration-Tool Overload,” March 12, 2017, <https://www.wsj.com/articles/beware-collaboration-tool-overload-1489370400>; and M. Mankins, “Collaboration Overload Is a Symptom of a Deeper Organizational Problem,” *Harvard Business Review*, March 27, 2017, <https://hbr.org/2017/03/collaboration-overload-is-a-symptom-of-a-deeper-organizational-problem>.

Case Incident 2 How Do Employees Justify Cyberloafing?

It is a quiet, normal day in the office, your manager is off site, and you have just finished all duties for the day—but there are 3 hours left before you go home for the day. You decide to browse for some holiday packages that you have been looking for. You have just engaged in the act of cyberloafing.

Cyberloafing is the usage of the Internet and social network platforms while at work, thus engaging in non-work online activities while on the clock. But are you really stealing company time? Many companies consider cyberloafing to be unethical and even illegal. They say that the consequences of cyberloafing can range from brief employee distraction (leading to inefficiency) to a more serious drain on company resources (for example, decreased profits) and even compromised security (due to, for example, slower network performance or computer viruses). On the other hand, some research suggests that cyberloafing is an opportunity to be more productive as it results in employees feeling less bored and mentally exhausted, being more engaged, and even allowing a measure of stress release while at work.

From the employees' end, the act of cyberloafing might be rationalized as personal time earned on the basis of having accrued sufficient credits previously through the effort and time they put into completing their task, or it may result in feelings of guilt. In organizational contexts that contractually restrict, filter (for example, WebTitan or firewall settings), or prohibit the use of the Internet while “on the clock,” feelings of guilt are intensified. Research conducted by Vivien Lim on 188 adults with access to the Internet at the workplace found that employees “neutralize” their subsequent engagement in the act of cyberloafing when they perceive that the organization in which they work is somehow unjust. Neutralization is the idea that individuals are entitled to deviant behavior—including cyberloafing—if they have accrued good credits in the past that can be “cashed in” later to excuse that behavior.

Organizational and managerial research suggest that treating employees fairly and reciprocating employees' investment of time and effort while ensuring a productive workplace can make it difficult for employees to legitimize inappropriate behavior such as cyberloafing. In addition, some studies suggest that the terminology should evolve, as employees now seek “work–life flexibility,” where an employee controls the amount of time they dedicate to work and life, integrating the two as necessary.

Questions ★

- 5-17.** How do you think the act of cyberloafing can affect your individual performance in the workplace?
- 5-18.** Do you think Internet browsing at the workplace is an acceptable behavior? Why, or why not?
- 5-19.** How do you think innovation and creativity can assist companies with cyberloafing?

Sources: Vivien Lim, “The Moderating Effect of Neutralization Technique on Organizational Justice and Cyberloafing” (2005), PACIS 2005 Proceedings, <http://aisel.aisnet.org/pacis2005/18>; WebTitan, “New Study Confirms the High Cost of Cyberloafing,” August 31, 2017, <https://www.webtitan.com/blog/new-study-confirms-high-cost-cyberloafing/>; M. Anandarajan, T. S. H. Teo, and C. A. Simmers, “The Internet and the Workplace Transformation,” *Advances in Management Information Systems*, Vol. 7 (2015); Emily Lowe-Calverley and Rachel Grieve, “How Can Bosses Put a Stop to Workers Idly Browsing Online?” BBC, August 20, 2017, <http://www.bbc.com/capital/story/20170818-how-can-bosses-put-a-stop-to-workers-idly-browsing-online>; Emily Lowe-Calverley and Rachel Grieve, “Some Workers ‘Cyberloaf’ if They Think They Can Get Away with It, so Employers Need to Get Creative,” Phys.org, August 9, 2017, <https://phys.org/news/2017-08-workers-cyberloaf-employers-creative.html>; *Harvard Business Review*, “There’s No Shame in Cyberloafing,” December 2011, <https://hbr.org/2011/12/theres-no-shame-in-cyberloafing>.

MyLab Management Writing Assignments

If your instructor has assigned this activity, go to www.pearson.com/mylab/management for the following assisted-graded writing assignments:

- 5-20.** Refer again to Case Incident 1. Do you think that collaboration tools have helped society overall, or have they done more harm than good?
- 5-21.** Refer again to Case Incident 2. To what extent do you feel cyberloafing is an unethical use of company time and resources? From an HR perspective, how would you manage cyberloafing incidents?
- 5-22. MyLab Management only**—additional assisted-graded writing assignment.

Endnotes

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End of Chapter Quiz

Test Your Understanding

1 Which of the following statements is true regarding perception?

- ☐ Our perception of reality is independent of our personality.
- ☐ The context of the situation in which the perception is made has little effect on our perception of reality.
- ☐ Our perception of reality can be different from the objective reality.
- ☐ Our perception of reality is independent of our past experiences.

Check answer

Reset

2 Which of the following is an example of externally caused behavior?

- ☐ An employee is late to work because he was partying late and overslept.
- ☐ An employee is late because of a flat tire.
- ☐ An employee was fired because he violated a company policy.
- ☐ An employee was promoted because he was hard working.

Check answer

Reset

3 We use a number of shortcuts when we judge others. All of the following are shortcuts that we use to judge others except _____.

- ☐ stereotyping
- ☐ the halo effect
- ☐ the contrast effect
- ☐ the self-serving bias

Check answer

Reset

4 Allison has just presented her paper and has done a really good job. Why should you not want to present your own paper directly after she does?

- ☐ to avoid the stereotyping effect
- ☐ to avoid the halo effect
- ☐ to avoid the contrast effect
- ☐ to avoid the projection effect

Check answer

Reset

5 Which of the following is an example of a shortcut used in judging others?

- ☐ hindsight bias
- ☐ confirmation bias
- ☐ stereotyping
- ☐ randomness error

Check answer

Reset

6 Robbie and Brent are both coaches for a city youth baseball league which has recently experienced a five-game losing streak. Robbie is concerned that the team is not practicing enough while Brent thinks that it is just a slump. The discrepancy within their thoughts is explained by _____.

- ☐ bounded rationality
- ☐ the halo effect
- ☐ perceptual issues
- ☐ intuition

Check answer

Reset

7 With reference to decision making, satisficing involves _____.

- identifying all possible alternative decisions
- seeking solutions that are satisfactory and sufficient
- evaluating all possible alternatives objectively
- selecting the best option with the highest utility

[Check answer](#)[Reset](#)

8 While negotiating salary with your prospective employer, if you suggest an initial target salary of \$55,000, your employer will consider \$50,000 to \$60,000 a reasonable range for negotiation, but if you mention \$55,650, your employer is more likely to consider \$55,000 to \$56,000 the range of likely values for negotiation. In this example your employer is exhibiting the _____ bias.

- ☐ availability
- ☐ anchoring
- ☐ hindsight
- ☐ confirmation

Check answer

Reset

9 For many people, a 50-50 flip of a coin for \$100 might not be worth as much as a sure promise of \$50, even though the gamble is mathematically worth twice as much as the sure thing. This is an example of _____.

- ☐ selective perception
- ☐ self-serving bias
- ☐ risk aversion
- ☐ availability bias

Check answer

Reset

10 Of the five constraints of decision making, which is most likely to be affected by risk aversion?

- ☐ performance evaluations
- ☐ reward system
- ☐ formal regulation
- ☐ time constraints

Check answer

Reset

11 Vance recently took over the role of director of an academic unit at a large university. While Vance has a Type A personality and is very organized and direct, his predecessor was very Type B and liked to roll with the flow. Due to his predecessor's personality, it is likely Vance will experience a long period of

difficult change due to which phenomenon?

- ☐ utilitarianism
- ☐ formal regulation
- ☐ ethics

☐ historical precedent

Check answer

Reset

12 Which of the following statements is true regarding utilitarianism?

- ☐ It protects the interests of the underrepresented and less powerful.
- ☐ It reduces productivity and efficiency.
- ☐ It promotes decision making that is consistent with fundamental liberties and privileges, as set forth in documents such as the Bill of Rights.
- ☐ The utilitarianism view dominates business decision making.

Check answer

Reset

13 Martha submitted a formal complaint to OSHA about unsafe work conditions in her company's warehouse. Martha is a _____.

- ☐ utilitarian thinker
- ☐ judge
- ☐ creative thinker
- ☐ whistle-blower

Check answer

Reset

14 Which of the following is a component of creativity that encompasses certain personality characteristics of an individual such as the ability to use analogies?

- ☐ expertise
- ☐ creative thinking skills
- ☐ intrinsic task motivation
- ☐ intuition

Check answer

Reset

15 Gene is regarded by his peers as an extremely creative designer of watercraft. He attributes much of his success to his family: he was raised by a traditional boat

builder and from a very early age was surrounded by boats and the people who made them. To what element of creativity does Gene attribute his success?

- ☐ intuitiveness

- ☐ external locus of control
- ☐ task motivation
- ☐ expertise

Check answer

Reset

6

Emotions and Moods



Source: Victor J. Blue/Bloomberg/Getty Images

Learning Objectives

After studying this chapter, you should be able to:

- 6-1** Differentiate between emotions and moods.
- 6-2** Identify the sources of emotions and moods.
- 6-3** Show the impact that emotional labor has on employees.
- 6-4** Describe affective events theory.
- 6-5** Describe emotional intelligence.

6-6 Identify strategies for emotion regulation.

6-7 Apply concepts about emotions and moods to specific OB issues.

Employability Skills Matrix (ESM)

	Myth or Science?	Career Objectives	An Ethical Choice	Point/Counterpoint	Experiential Exercise	Ethical Dilemma
Critical Thinking			✓	✓	✓	✓
Communication	✓	✓		✓		
Collaboration	✓	✓		✓		
Knowledge Application and Analysis			✓	✓	✓	✓
Social Responsibility		✓	✓	✓		✓

MyLab Management Chapter Warm Up

If your professor has assigned this activity, go to www.pearson.com/mylab/management to complete the chapter warm up.

Objections Sustained

araprim is a drug that is used to treat toxoplasmosis, a lethal condition that is caused by a

D parasitic infection. In September 2015, the drug was selling for \$13.50 a pill by an organization that held the production and distribution rights. No one could have guessed that the price of the drug would be raised more than 5,000 percent overnight to \$750 a pill (hundreds of thousands of dollars annually, in patient costs). The CEO of Turing Pharmaceuticals, Martin Shkrel, after acquiring the original rights-holding company, agreed to the price hike because the prior pill was no longer profitable at \$13.50 per pill.

This change in price resulted in immediate, unrelenting outrage from the public, earning him unflattering titles such as “the most hated man in America,” “everything that is wrong with capitalism,” and “pharma-bro.” Not only was the act of raising the Daraprim prices offensive to many, but the tenacity and brazenness with which he defended the price hike were especially provocative. Shkrel tweeted at members of Congress after being called to testify at a hearing focused on high drug prices, held by the House Committee on Oversight and Government Reform. He noted sarcastically that they were “busy whining to healthcare reporters” about the hearing.

Shkrel was not the only one to engage in price hikes of this sort—notably, Mylan’s CEO Heather Bresch raised the prices of EpiPens (devices used to treat anaphylaxis, a life-threatening allergic reaction that at least one in 50 Americans experiences at some point in their life) more than 1,000 percent in a 7-year period. Demonstrators, such as the ones shown in the accompanying photograph protesting Paulson & Co.’s investment in Mylan, have come out in full force across all walks of life in recent years to protest these decisions. Politicians, such as Senator Richard Blumenthal of Connecticut, are also expressing their distaste at such drug profiteering: “Sadly, this case is just the latest in a greedy trend of skyrocketing prescription drug prices that are hurting consumers, limiting health options, and strangling our economy.”

These cases of drug profiteering highlight an uneasy tension between what is moral and what is legal: Although setting drug prices in this fashion is legal, it was considered by many to be immoral given the potential for increasing the suffering of many who may not have access to the drug. However, Shkrel defended his actions, noting that he could “see how it looks greedy” but he thinks “there’s a lot of altruistic properties” to his company’s tactics, namely, that it was “dramatically increasing the access to Daraprim, [and] lowering co-pays.” This line of reasoning was rejected, however, by The Pharmaceutical Research and Manufacturers of America (PhRMA) on Twitter. As Katie Thomas, columnist from the *New York Times* notes, “almost no one actually pays those prices. Insurers and pharmacy-benefit

managers, who manage drug plans for insurers, negotiate discounts and rebates, which lowers the effective cost of a drug,” thus painting a more complicated picture of drug pricing than what appears on the surface.

Regardless, public outrage will continue as long as there are perceptions of unfairness, harm, and deception. Even with PhRMA beginning a new advertising campaign that focuses on pharmaceutical innovation and the excitement surrounding new forms of treatment, Jeremy Greene, historian of medicine at Johns Hopkins University, notes, “What does it matter to the average American that there are new and exciting treatments for cancer if there’s no confidence they’ll be able to afford them or [have] access [to] them?”

Sources: Based on A. E. Cha, “CEO Martin Shkreli: 4,000 Percent Drug Price Hike Is ‘Altruistic,’ Not Greedy,” *The Washington Post*, September 22, 2015, <https://www.washingtonpost.com/news/to-your-health/wp/2015/09/22/turing-ceo-martin-shkreli-explains-that-4000-percent-drug-price-hike-is-altruistic-not-greedy/>; U. W. Chohan, “Martin Shkreli and the Outrage of Inequality,” *The Conversation*, January 7, 2016, <http://theconversation.com/martin-shkreli-and-the-outrage-of-inequality-52812>; C. Y. Johnson, “‘Pharma Bro’ Martin Shkreli Responds to a Subpoena with Sarcastic Tweets,” *The Washington Post*, January 21, 2016, <https://www.washingtonpost.com/news/wonk/wp/2016/01/21/pharma-bro-martin-shkreli-is-responding-to-a-subpoena-with-sarcastic-tweets/>; B. Popken, “Martin Shkreli Weighs In on EpiPen Scandal, Calls Drug Makers ‘Vultures,’” *NBC News*, August 19, 2016, <http://www.nbcnews.com/business/consumer/martin-shkreli-weighs-epipen-scandal-calls-drug-makers-vultures-n634451>; K. Thomas, “The Complex Math Behind Spiraling Prescription Drug Prices,” *The New York Times*, August 24, 2016, https://www.nytimes.com/2016/08/25/business/high-drug-prices-explained-epipen-heart-medications.html?_r=0; and Z. Thomas and T. Swift, “Who Is Martin Shkreli—‘the Most Hated Man in America’?” *BBC News*, September 23, 2015, <http://www.bbc.com/news/world-us-canada-34331761>.

As the outrage over drug profiteering illustrates, emotions can greatly influence our attitudes toward others, our decision making, and our behaviors. It can even spark conflict with potentially disastrous consequences. In truth, we cannot set aside our emotions, but we can acknowledge and work with them. And not all emotions have negative influences on us.

Given the obvious role emotions play in our lives, it might surprise you that, until recently, the field of Organizational Behavior (OB) has not given the topic of emotions much attention. Why? Generally because emotions in the workplace were historically thought to be detrimental to performance. Although managers knew emotions were an inseparable part of everyday life, they tried to create organizations that were emotion-free. Researchers tended to focus on strong negative emotions—especially anger—that interfered with an employee’s

ability to work effectively.

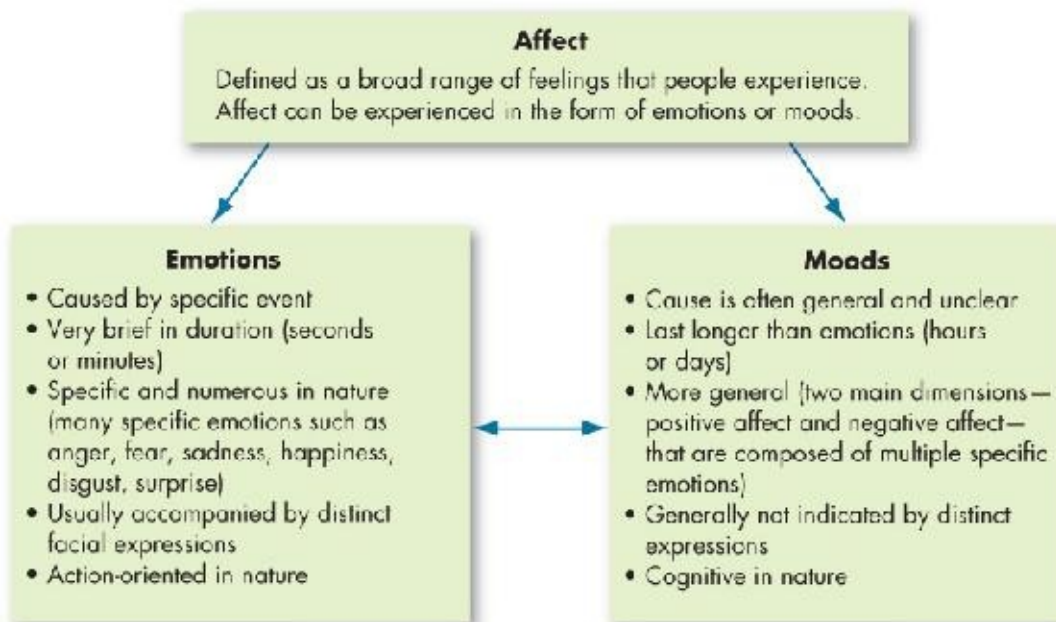
Thankfully, this type of thinking is changing. Certainly, some emotions can hinder performance, particularly those exhibited at the wrong time. Other emotions are neutral, and some are constructive. Employees bring their emotions to work every day, so no study of OB would be comprehensive without considering the role of emotions in workplace behavior.

What Are Emotions and Moods?

6-1 Differentiate between emotions and moods.

First, we need to discuss three terms that are closely intertwined: *affect*, *emotions*, and *moods*. **Affect** ⓘ is a generic term that covers a broad range of feelings, including both emotions and moods.¹ **Emotions** ⓘ are intense, discrete, and short-lived feeling experiences that are often caused by a specific event.² **Moods** ⓘ are longer-lived and less intense feelings than emotions and often arise without a specific event acting as a stimulus.³ Exhibit 6-1 shows the relationships among affect, emotions, and moods.

Exhibit 6-1 Affect, Emotions, and Moods



Affect, emotions, and moods are separable in theory; in practice the distinction isn't always defined. When we review the OB topics on emotions and moods, you may see more information about emotions in one area and moods in another. This is simply the state of the research. Let's start with a review of the basic emotions.

The Basic Emotions

How many emotions are there? There are dozens, including anger, contempt, enthusiasm, envy, fear, frustration, disappointment, embarrassment, disgust, happiness, hate, hope, jealousy, joy, love, pride, surprise, and sadness. Numerous researchers have tried to limit them to a fundamental set.⁴ Other scholars argue that by thinking in terms of “basic” emotions, we lose sight of the bigger picture because emotions can mean different things in different contexts and may vary across cultures.⁵



Psychologists have tried to identify basic emotions by studying how we express them. Facial expressions have proved difficult to interpret.⁶ One problem is that some emotions are too complex to be easily represented on our faces. Second, although people can, for the most part, recognize emotions across cultures at better-than-chance levels, this accuracy is worse for cultural groups with less exposure to one another.⁷ Cultures also have norms that govern emotional expression, so the way we *recognize* an emotion isn’t always the same as the way we *show* it. For example, in collectivist countries, where emotional restraint is the norm, people focus more strongly on the eyes, whereas in individualistic countries, where emotional expression is the norm, people focus more strongly on the position of the mouth.⁸

Myth or Science?

Smile, and the Work World Smiles with You

It is true that a smile is not always an emotional expression. Smiles are used as social currency in most organizations to create a positive atmosphere, and a smile usually evokes an unconscious reflexive return smile. However, anyone who has ever smiled at an angry manager knows this doesn’t always work. In truth, the giving and withholding of smiles is often an unconscious power play of office politics.

Research on the “boss effect” suggests that the amount of power and status a person feels over another person dictates who will smile. Subordinates generally smile more often than their bosses smile back at them. This may happen in part because workers

are increasingly expected to show expressions of happiness with their jobs. However, the relationship is complex and varies by national culture: In one study, Chinese workers reflexively smiled only at bosses who had the power to give them negative job evaluations, while U.S. participants smiled most at managers perceived to have higher social power. Other researchers found that when individuals felt powerful, they usually didn't return even a high-ranking individual's smile. Conversely, when people felt powerless, they returned everyone's smiles. "Your feelings about power and status seem to dictate how much you are willing to return a smile to another person," cognitive neuroscientist Evan Carr affirmed.

The science of smiling transcends the expression of emotion. While an angry manager may not smile back, a happy manager might not either, according to "boss effect" research. "The relationship of what we show on our face and how we feel is a very loose one," said Arvid Kappas, a professor of emotion research at Jacobs University Bremen in Germany. This suggests that, when we want to display positive emotions to others, we should do more than smile, as service representatives do when they try to create happy moods in their customers with excited voice pitch, encouraging gestures, and energetic body movement.

The science of smiling is an area of current research, but it is clear already that knowing about the "boss effect" suggests many practical applications. For one, managers and employees can be made more aware of ingrained tendencies toward others and, through careful self-observation, change their habits. Comprehensive displays of positive emotion using voice inflection, gestures, and word choice may also be more helpful in building good business relationships than the simple smile.

Sources: Based on R. L. Hotz, "Too Important to Smile Back: The 'Boss Effect,'" *The Wall Street Journal*, October 16, 2012, D2; P. Jaskunas, "The Tyranny of the Forced Smile," *The New York Times*, February 15, 2015, 14; and E. Kim and D. J. Yoon, "Why Does Service with a Smile Make Employees Happy? A Social Interaction Model," *Journal of Applied Psychology* 97 (2012): 1059–67.

It's unlikely psychologists or philosophers will ever completely agree on a set of basic emotions or even on whether there is such a thing. Still, many researchers agree on six universal emotions—anger, fear, sadness, happiness, disgust, and surprise.⁹ We sometimes

mistake happiness for surprise, but rarely do we confuse happiness and disgust.

Moral Emotions

We may tend to think our internal emotions are innate. For instance, if someone jumped out at you from behind a door, wouldn't you feel surprised? Maybe you would, but you may also feel any of the other five universal emotions—anger, fear, sadness, happiness, or disgust—depending on the circumstance. Our experiences of emotions are closely tied to our interpretations of events. One area in which researchers have been furthering this idea is through the study of **moral emotions** ⓘ, that is, emotions that have moral implications because of our instant judgment of the situation that evokes them. Examples of moral emotions include sympathy for the suffering of others, guilt about our own immoral behavior, anger about injustice done to others, and contempt for those who behave unethically.

Another example is the disdain we feel about violations of moral norms, called *moral disgust*. Moral disgust is unique from other forms of disgust. Say you stepped in cow dung by mistake—you might feel disgusted by it, but you wouldn't feel moral disgust—you probably wouldn't make a moral judgment. In contrast, say that you watched a video of a police officer making a sexist or racist slur. You might feel disgusted in a different way because it offends your sense of right and wrong. In fact, you might feel a variety of emotions based on your moral judgment of the situation.¹⁰

Research indicates that our responses to moral emotions differ from our responses to other emotions.¹¹ When we feel moral anger, for instance, we may be more likely to confront the situation that causes it than when we just feel angry. However, we cannot assume our emotional reactions to events on a moral level will be the same as someone else's. Moral emotions are developed during childhood as children learn moral norms and standards, so moral emotions depend on the situation and normative context more so than other emotions. Because morality is a construct that differs from one culture to the next, so do moral emotions. Therefore, we need to be aware of the moral aspects of situations that trigger our emotions and make certain we understand the context before we act, especially in the workplace.¹²

You can think about this research in your own life to see how moral emotions operate. Consider a time when you have done something that hurt someone else. Did you feel angry or upset with yourself? Or think about a time when you have seen someone else treated

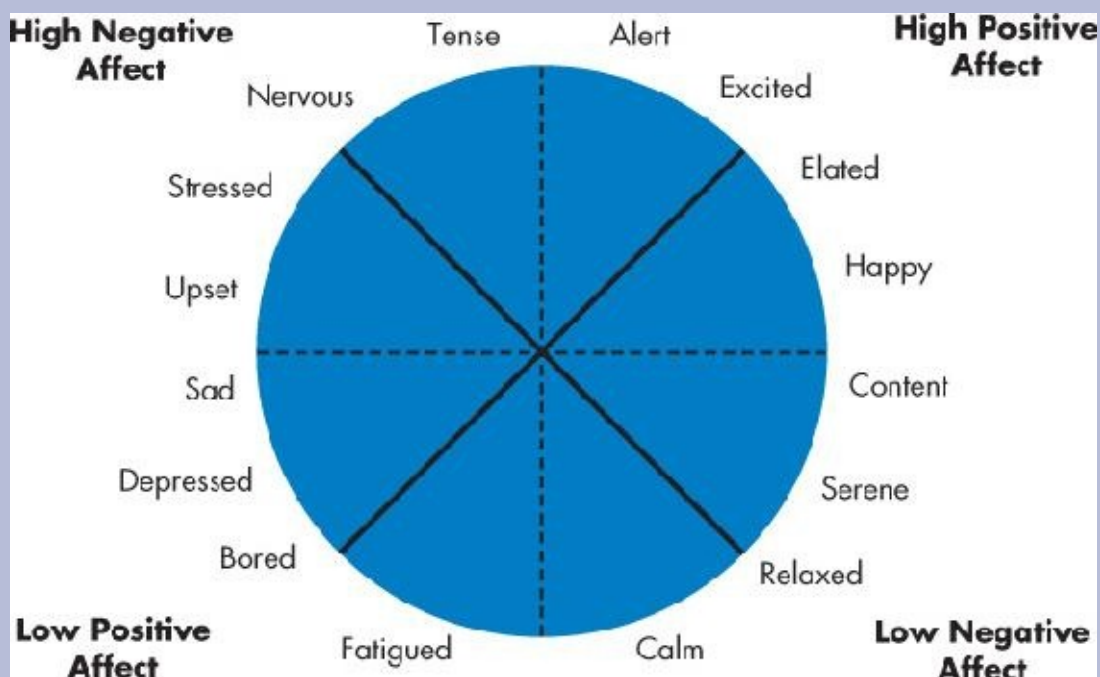
unfairly. Did you feel contempt for the person acting unfairly, or did you engage in a cool, rational calculation of the justice of the situation? Most people who think about these situations have some sense of an emotional stirring that might prompt them to engage in ethical actions like donating money to help others, apologizing and attempting to make amends, or intervening on behalf of those who have been mistreated. In sum, we can conclude that people who are behaving ethically are at least partially making decisions based on their emotions and feelings.

Emotions can be fleeting, but moods can endure, and for quite a while. To understand the impact of emotions and moods in organizations, we next classify the many distinct emotions into broader mood categories.

The Basic Moods: Positive and Negative Affect

As a first step toward studying the effect of moods and emotions in the workplace, we will classify emotions into two categories: positive and negative. Positive emotions—such as joy and gratitude—express a favorable evaluation or feeling. Negative emotions—such as anger and guilt—express the opposite. Keep in mind that emotions can't be neutral. Being neutral is being nonemotional.¹³

Exhibit 6-2 The Structure of Mood



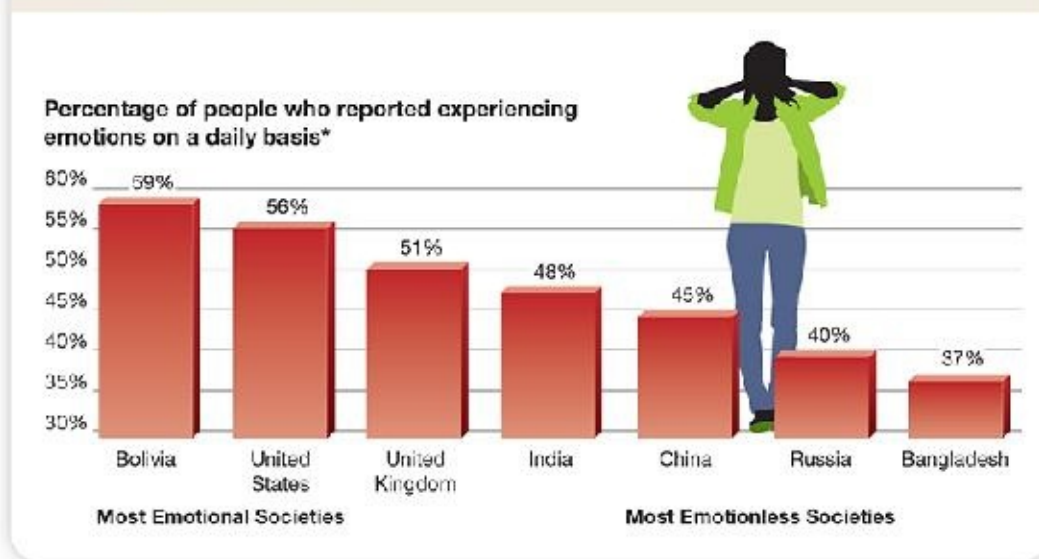
When we group emotions into positive and negative categories, they become *mood states* because we are now looking at them more generally instead of isolating one particular emotion. In Exhibit 6-2, excited is a pure marker of high positive affect, while boredom is a pure marker of low positive affect. Nervous is a pure marker of high negative affect; relaxed is a pure marker of low negative affect. Finally, some emotions—such as contentment and sadness—are in between. You’ll notice this model does not include all emotions. Some, such as surprise, don’t fit well because they’re not as clearly positive or negative.

So we can think of **positive affect** ⓘ as a mood dimension consisting of positive emotions such as excitement, enthusiasm, and elation at the high end (high positive affect). **Negative affect** ⓘ is a mood dimension consisting of nervousness, stress, and anxiety at the high end (high negative affect).¹⁴ While we rarely experience both positive and negative affect at the same time, over time people do differ in how much they experience each. Some people (we might call them emotional or intense) may experience quite a bit of high positive and high negative affect over, say, a week’s time. Others (we might call them unemotional or phlegmatic) experience little of either. And still others may experience one much more predominately than the other.

Experiencing Moods and Emotions



As if it weren’t complex enough to consider the many distinct emotions and moods that a person might identify, the reality is that we all experience moods and emotions differently. For most people, positive moods are somewhat more common than negative moods. Indeed, research finds a **positivity offset** ⓘ, meaning that at zero input (when nothing in particular is going on), most individuals experience a mildly positive mood.¹⁵ This appears to be true for employees in a wide range of job settings. For example, one study of customer service representatives in a British call center revealed that people reported experiencing positive moods 58 percent of the time despite the stressful environment.¹⁶ Another research finding is that negative emotions lead to negative moods. Perhaps this happens because people think about events that created strong negative emotions five times as long as events that created strong positive ones.¹⁷



*Respondents in 148 countries worldwide during 2014 were asked whether they experienced five positive (well-rested, treated with respect, enjoyment, smiling and laughing, learning or doing something interesting) and five negative emotions (anger, stress, sadness, physical pain, worry) daily.

Source: Based on J. Clifton, "Latin Americans Lead World in Emotions," Gallup (August 27, 2015),

<http://www.gallup.com/poll/184631/latin-americans-leadworld-emotions.aspx>.

Does the degree to which people experience positive and negative emotions vary across cultures? Yes (see the OB Poll). The reason is not that people of various cultures are inherently different: People in most cultures appear to experience certain positive and negative emotions, and people interpret them in much the same way worldwide. We all view negative emotions such as hate, terror, and rage as dangerous and destructive, and we desire positive emotions such as joy, love, and happiness. However, an individual's experience of emotions appears to be culturally shaped. Some cultures value certain emotions more than others, which leads individuals to change their perspective on experiencing these emotions.



There is much to be learned in exploring the value differences. Some cultures embrace negative emotions, such as Japan and Russia, while others emphasize positive emotions and expressions, such as Mexico and Brazil.¹⁸ There may also be a difference in the value of negative emotions between collectivist and individualist countries. The difference may be the reason negative emotions are less detrimental to the health of those of Eastern, as opposed to Western, cultures.¹⁹ For example, the Chinese consider negative emotions—while not always pleasant—as potentially more useful and constructive than do people in the

United States.



There may be merit to the Eastern perspective: Research has suggested that negative affect can have benefits. For example, research in Germany suggests that valuing negative affect often allows people to accept present circumstances and cope, reducing the negative effects on physical and psychological health and decision making.²⁰ Negative affect may also allow managers to think more critically and fairly.²¹

Now that we've identified the basic emotions, the basic moods, and our experience of them, let's explore the function of emotions and moods, particularly in the workplace.

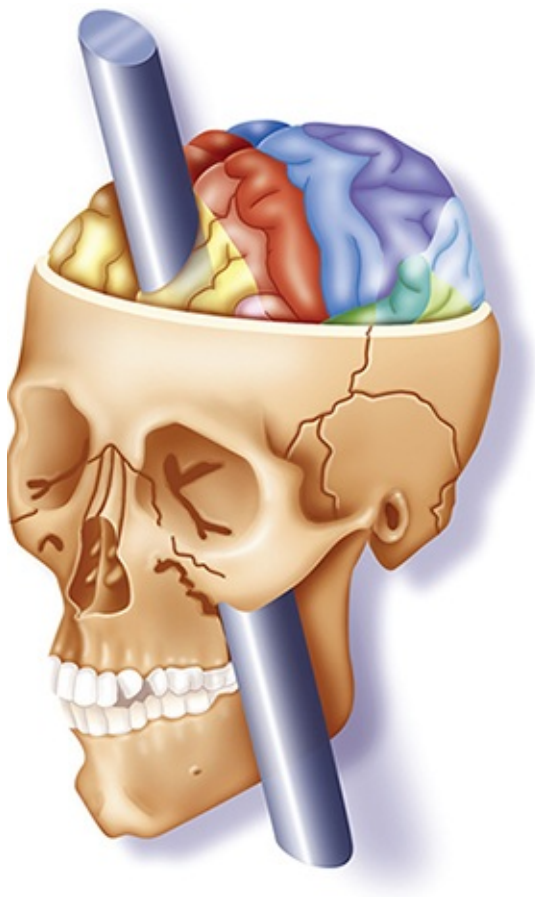
The Function of Emotions

In some ways, emotions are a mystery. What function do they serve? As we discussed, OB researchers have been finding that emotions can be critical to an effectively functioning workplace. For example, a large number of reviews suggest that happy employees tend to have positive job attitudes, to engage in less withdrawal and counterproductive work behaviors, to engage in more task and citizenship performance, and even to be more successful than their unhappy counterparts.²² Individuals who tend to experience positive affect consistently as part of their personalities (see Chapter 4) tend to have positive job attitudes, experience good social integration with their supervisor and coworkers, experience good treatment from their organizations, and engage in more task and citizenship performance.²³ Let's discuss two critical areas—rationality and ethicality—in which emotions can enhance performance.

Do Emotions Make Us Irrational? How often have you heard someone say, “Oh, you're just being emotional”? You might have been offended. Observations like this suggest that rationality and emotion are in conflict and that by exhibiting emotion you are acting irrationally. The perceived association between the two is so strong that some researchers argue that displaying emotions such as sadness to the point of crying is so toxic to a career that we should leave the room rather than allow others to witness it.²⁴ This perspective suggests that the demonstration or even experience of emotions can make us seem weak, brittle, or irrational. However, this is wrong. Our emotions actually make our thinking more rational. Why? Because our emotions provide important information about how we understand the world around us and they help guide our behaviors. For instance, individuals

in a negative mood may be better able to discern truthful from inaccurate information than are people in a happy mood.²⁵

Consider Phineas Gage, a railroad worker in Vermont. One September day in 1848, a 3-foot, 7-inch iron bar propelled by an explosive charge flew into his lower-left jaw and out through the top of his skull. Remarkably, Gage survived his injury, was able to read and speak, and performed well above average on cognitive ability tests. However, he completely lost his ability to experience emotion, which eventually took away his ability to reason. After the accident, he often behaved erratically and against his self-interests. He drifted from job to job, eventually joining a circus. In commenting on Gage's condition, one expert noted, "Reason may not be as pure as most of us think it is or wish it were ... emotions and feelings may not be intruders in the bastion of reason at all: They may be enmeshed in its networks, for worse *and* for better."²⁶



By studying brain injuries, such as the injury experienced by Phineas Gage, whose skull is illustrated here, researchers discovered an important link between emotions and rational thinking. They learned that our emotions provide us with valuable information that helps our thinking process.

Source: BSIP/Science Source

Do Emotions Make Us Ethical? A growing body of research has begun to examine moral emotions and moral attitudes.²⁷ It was previously believed that, like decision making in general, most ethical decision making was based on higher-order cognitive processes, but the research on moral emotions increasingly questions this perspective. Numerous studies suggest that moral judgments are largely based on feelings rather than on cognition, even though we tend to see our moral boundaries as logical and reasonable, not as emotional.

To some degree, our beliefs are shaped by the groups we belong to, which influence our perceptions of the ethicality of certain situations, resulting in unconscious responses and shared moral emotions. Unfortunately, these shared emotions may allow us to justify purely emotional reactions as rationally “ethical” just because we share them with others.²⁸ We also tend to judge (and punish) outgroup members (anyone who is not in our group) more harshly for moral transgressions than ingroup members, even when we are trying to be objective.²⁹ In addition, we tend to glorify ingroup members (anyone who is part of our group) and are more lenient when judging their misdeeds, often leading to a double-standard in ethicality.³⁰

When we can identify the sources of emotions and moods, we are better able to predict behavior and manage people well. Let’s explore that topic next.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

6.1.1 _____ is an emotion that falls into the category of high positive affect.

- ☐ Serenity
- ☐ Elation
- ☐ Fatigue
- ☐ Boredom

Check answer

Reset

6.1.2 Which of the following statements is true regarding the degree to which people experience emotions across cultures?

- ☐ The degree to which people experience emotions is independent of culture.
- ☐ People in China report experiencing fewer positive and negative emotions as compared to people in other cultures.
- ☐ Western cultures experience more negative emotions and fewer positive emotions than Eastern cultures.
- ☐ The emotions experienced by people in China are more intense as compared to emotions experienced by people in other cultures.

Check answer

Reset

Sources of Emotions and Moods

6-2 Identify the sources of emotions and moods.

Have you ever said, “I got up on the wrong side of the bed today”? Have you ever snapped at a coworker or family member for no reason? If you have, you probably wonder where those emotions and moods originated. Here we discuss some of the primary influences.

Personality

Moods and emotions have a personality trait component, meaning that some people have built-in tendencies to experience certain moods and emotions more frequently than others do. People also experience the same emotions with different intensities; the degree to which they experience them is called their **affect intensity** ⓘ.³¹ Affectively intense people experience both positive and negative emotions more deeply: When they’re sad, they’re really sad, and when they’re happy, they’re really happy.

Time of Day

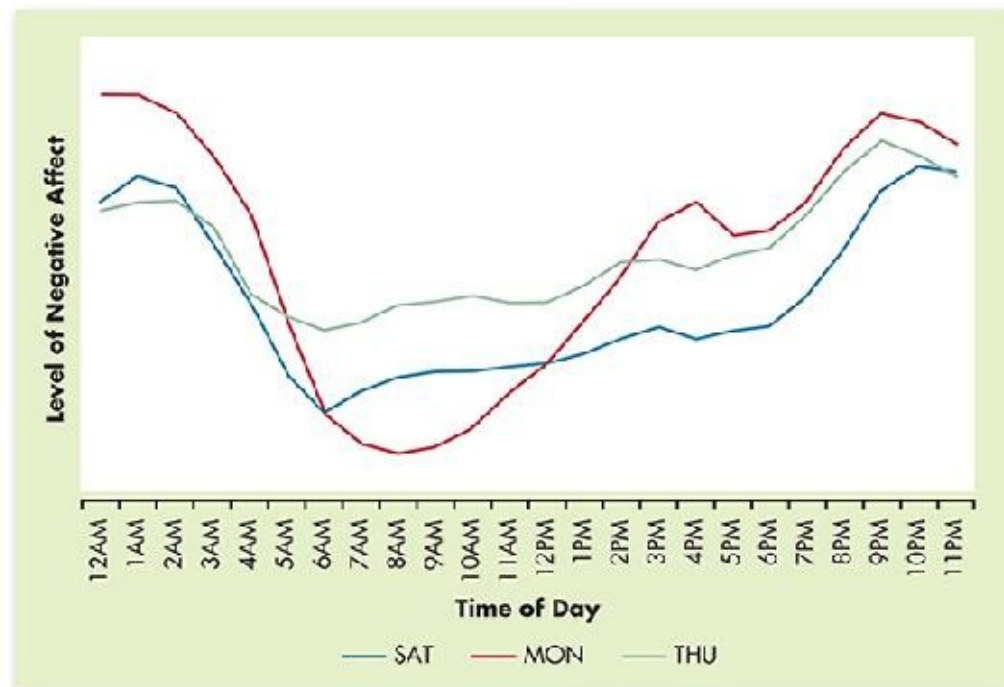
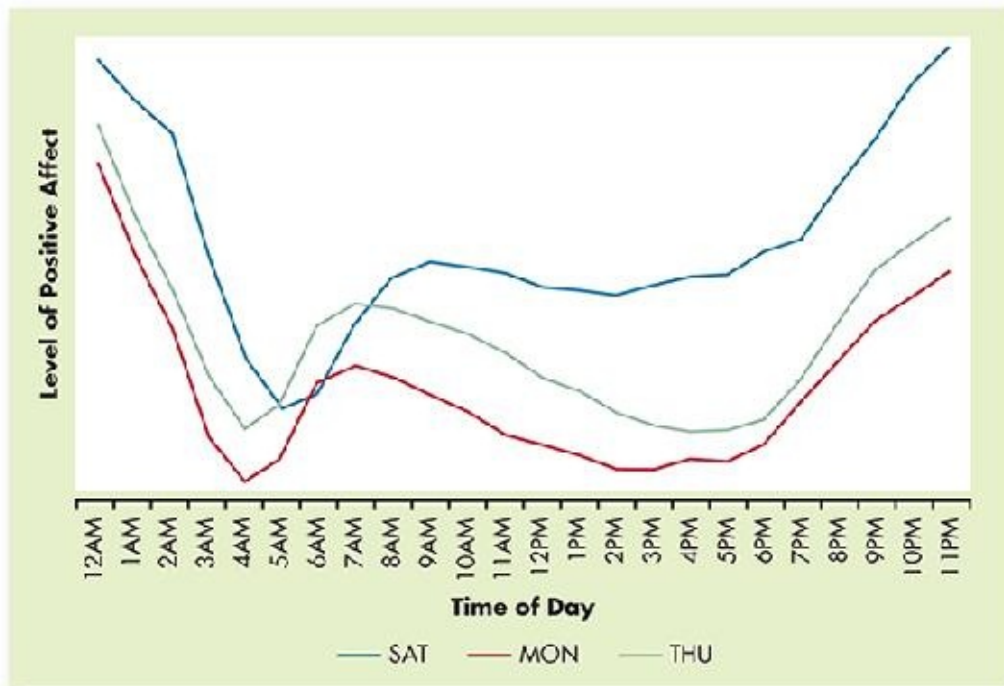
Moods vary by the time of day. However, research suggests most of us follow the same pattern. Levels of positive affect tend to peak in the late morning (10 A.M. to noon) and then remain at that level until early evening (around 7 P.M.). Starting about 12 hours after waking, positive affect begins to drop until midnight, and then, for those who remain awake, the drop accelerates until positive mood picks up again after sunrise.³² As for negative affect, most research suggests it fluctuates less than positive affect,³³ but the general trend is for it to increase over the course of a day, so that it is lowest early in the morning and highest late in the evening.³⁴



A fascinating study assessed moods by analyzing millions of tweets (i.e., Twitter messages) from around the globe.³⁵ The researchers noted the presence of words connoting positive affect (happy, enthused, excited) and negative (sad, angry, anxious) affect. You can see the trends they observed in the positive affect part of Exhibit 6-3. Daily fluctuations in mood followed a similar pattern in most countries. These results are comparable to what has

been reported in previous research. A major difference, though, happens in the evening. Whereas most research suggests that positive affect tends to drop after 7 P.M., this study suggests that it *increases* before the midnight decline. We'll have to wait for further research to see which description is accurate. The negative affect trends in this study were more consistent with past research, showing that negative affect is lowest in the morning and tends to increase over the course of the day and evening.

Exhibit 6-3 Time of Day Effects on Mood of U.S. . Adults as Rated from Tweets



Note: Based on analysis of U.S. tweets (i.e., Twitter postings) and coding of words that represent positive feelings (delight, enthusiasm) and negative feelings (fear, guilt). Lines represent percentage of total words in tweets that convey these moods.

Sources: Based on S. A. Golder and M. W. Macy, "Diurnal and Seasonal Mood Vary with Work, Sleep, and Daylength across Diverse Cultures," *Science* 333 (2011): 1878–81; A. Elejalde-Ruiz, "Seize the Day," *Chicago Tribune*, September 5, 2012, downloaded June 20, 2013 from <http://articles.chicagotribune.com/>.

You may wonder what happens for people who work the third shift at night. When our

internal circadian process is out of line with our waking hours, our moods and well-being are likely to be negatively affected. However, researchers studying how the body's inner clock can be adjusted have found that governing our exposure to light may allow us to shift our circadian rhythms.³⁶ Thus, by manipulating light and darkness, someone who is awake at night might have a similar mood cycle to someone who sleeps at night.

Day of the Week



Are people in their best moods on the weekends? In most cultures, they are—for example, U.S. adults tend to experience their highest positive affect on Friday, Saturday, and Sunday, and their lowest on Monday.³⁷ As shown in Exhibit 6-4, again based on the study of tweets, that tends to be true in several other cultures as well. For Germans and the Chinese, positive affect is highest from Friday to Sunday and lowest on Monday. This isn't the case in all cultures, however. As the exhibit shows, in Japan, positive affect is higher on Monday than on either Friday or Saturday.

As for negative affect, Monday is the highest negative-affect day across most cultures. In some countries, however, negative affect is lower on Friday and Saturday than on Sunday. It may be that, while Sunday is enjoyable as a day off (and thus we have higher positive affect), we also get a bit stressed about the week ahead (which is why negative affect is higher).

Weather

When do you think you would be in a better mood—when it's 70 degrees and sunny, or on a gloomy, cold, rainy day? Many people believe that their mood is tied to the weather. However, a large and detailed body of evidence suggests weather has little effect on mood, at least for most people.³⁸ One expert concluded, "Contrary to the prevailing cultural view, these data indicate that people do not report a better mood on bright and sunny days (or, conversely, a worse mood on dark and rainy days)."³⁹



Illusory correlation ⓘ, which occurs when we associate two events that, in reality, have no connection, explains why people tend to *think* weather influences them. For example, employees may be more productive on bad weather days, a study in Japan and the United States recently indicated, but not because of mood—instead, the worse weather removed some work distractions.⁴⁰

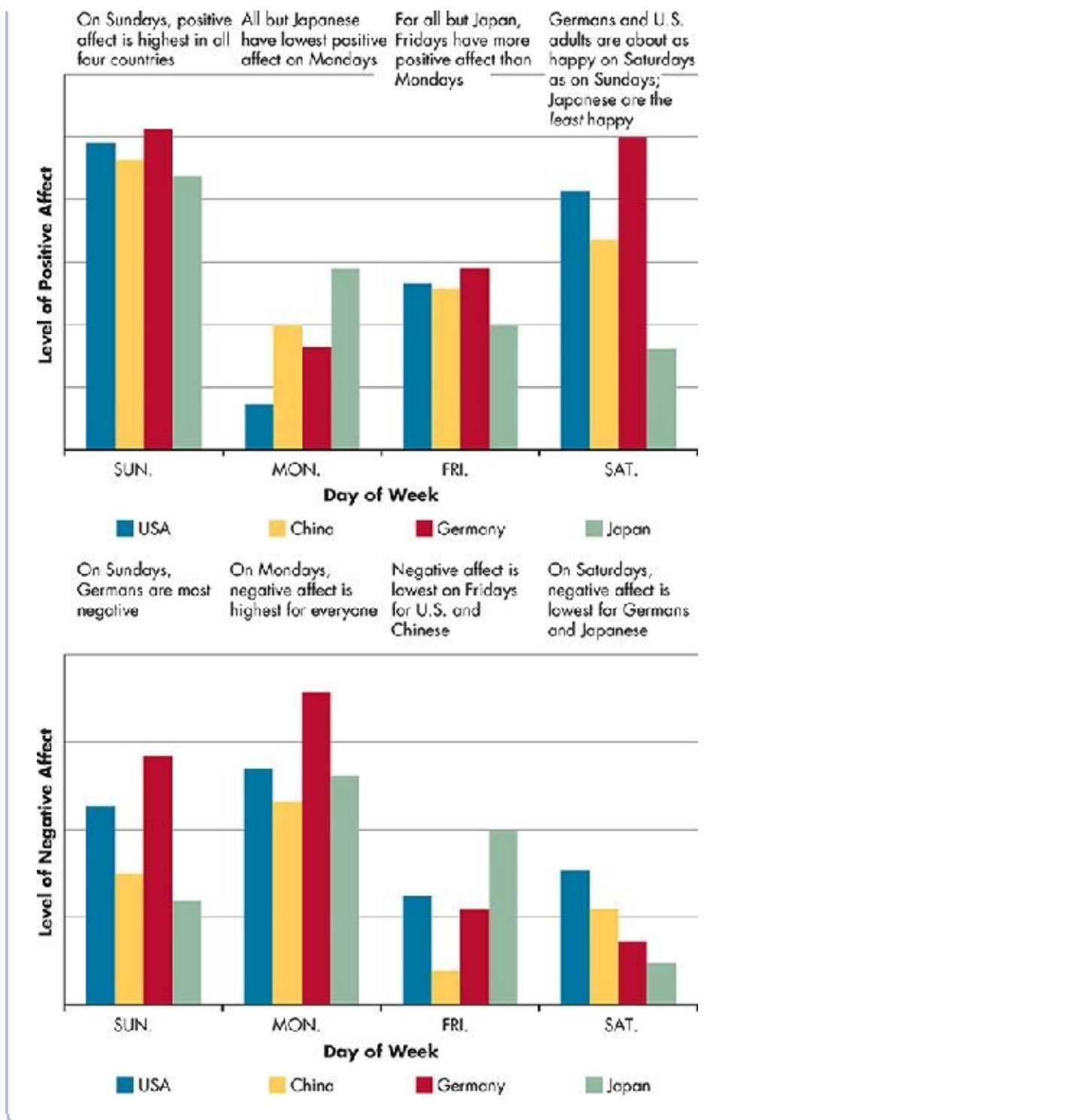
Stress

As you might imagine, stressful events at work (a nasty e-mail, impending deadline, loss of a big sale, reprimand from the boss, etc.) negatively affect moods. A review of nearly 100 studies on 25,000 employees suggests that the effects of chronic stress also build over time. As the authors of one such study note, “A constant diet of even low-level stressful events has the potential to cause workers to experience gradually increasing levels of strain over time.”⁴¹ Mounting levels of stress can worsen our moods as we experience more negative emotions. Although sometimes we thrive on it, most of us find stress usually takes a toll on our mood. In fact, when situations are overly emotionally charged and stressful, we have a natural response to disengage, to literally look away.⁴²

Social Activities

Do you tend to be happiest when out with friends? For most people, social activities increase a positive mood and have little effect on a negative mood. But do people in positive moods seek out social interactions, or do social interactions cause people to be in good moods? It seems both are true,⁴³ although the *type* of social activity does matter. Activities that are physical (skiing or hiking with friends), informal (going to a party), or epicurean (eating with others) are more strongly associated with increases in positive mood than events that are formal (attending a meeting) or sedentary (watching TV with friends).⁴⁴

Exhibit 6-4 Day-of-Week Mood Effects across Four Cultures



Source: Based on S. A. Golder and M. W. Macy, "Diurnal and Seasonal Mood Vary with Work, Sleep, and Daylength across Diverse Cultures," *Science* 333 (2011): 1878–81; A. Elejalde-Ruiz, "Seize the Day," *Chicago Tribune*, September 5, 2012, downloaded June 20, 2013 from <http://articles.chicagotribune.com/>.

Sleep

U.S. adults report sleeping less than adults did a generation ago.⁴⁵ According to researchers

and public health specialists, a large portion of the U.S. workforce suffers from sleep deprivation: 41 million workers sleep less than 6 hours per night. Sleep quality affects moods and decision making, and increased fatigue puts workers at risk of disease, injury, and depression.⁴⁶ Poor or reduced sleep also makes it difficult to control emotions. Even one bad night's sleep makes us angrier and risk-prone,⁴⁷ possibly because poor sleep impairs job satisfaction⁴⁸ and makes us less able to make ethical judgments.⁴⁹

On the positive side, increased regular sleep enhances creativity, performance, and career success. University of California–San Diego researchers calculated that, for employees who do not sleep enough, “a one-hour increase in long-run average sleep increases wages by 16 percent, equivalent to more than a year of schooling.”⁵⁰ Other researchers are trying to reduce how much sleep is needed for high functioning through drug therapy, hoping to find “something better than caffeine,” said Ying-Hui Fu of the University of California–San Francisco.⁵¹

Exercise

You often hear that people should exercise to improve their mood. Does “sweat therapy” really work? It appears so. Research consistently shows that exercise enhances peoples’ positive moods.⁵² While not terribly strong overall, the effects are strongest for those who are depressed.

Age

Do young people experience more extreme positive emotions (so-called youthful exuberance) than older people? Surprisingly, no. Older adults tend to focus on more positive stimuli (and on less negative stimuli) than younger adults, a finding confirmed across nearly 100 studies. These older adults tend to self-regulate by actively trying to increase the positivity (and decrease the negativity) in their attention and memory.⁵³



Staples believes that exercise increases positive moods and results in happier, healthier, and more productive employees. At company headquarters, the office supply retailer offers employees onsite strength training and cardiovascular conditioning classes during their lunch hour, including a truck push (shown here), military crawls, and other boot-camp-type activities.

Source: Pat Greenhouse/Boston Globe/Getty Images

Sex

Many believe women are more emotional than men. Is there any truth to this? Evidence does confirm women experience emotions more intensely, tend to “hold on to” emotions longer than men, and display more frequent expressions of both positive and negative emotions, except anger.⁵⁴ Evidence from a study of participants from 37 different countries found that men consistently reported higher levels of powerful emotions like anger, whereas women reported more powerless emotions like sadness and fear.⁵⁵ As one review notes, however, some of these findings (such as that women tend to experience more shame and guilt than men) may be due to how emotions are measured and contextualized, and what the emotions are targeted for.⁵⁶ Thus, there are some apparent sex differences in the experience and expression of emotions, but these may be obscured by how emotions are measured.



People also tend to attribute men’s and women’s emotions in ways that might be based on stereotypes of typical emotional reactions. One study showed that when viewing pictures of faces, participants interpreted the women’s emotional expressions as being dispositional (related to personality), whereas the men’s expressions were interpreted as situational.⁵⁷ For example, a picture of a sad woman led observers to believe she had an emotional personality, whereas a picture of sadness in a man was more likely to be attributed

to having a bad day. Another study showed that participants were quicker to detect angry expressions on male faces and happy expressions on female faces; neutral faces in men were attributed as being more angry and neutral faces in women were interpreted as being happy.⁵⁸

It might seem by now that we all—leaders, managers, and employees alike—operate as unwitting slaves to our emotions and moods. On an internal experiential level, this may be true. Yet we know from our workplace experiences that people aren't expressing every brief emotion that flits through their consciousness. Let's put together what we've learned about emotions and moods with workplace coping strategies, beginning with emotional labor.

MyLab Management Try It

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the Mini Sim.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

6.2.1 Which of the following is the term used for the strength with which individuals experience emotion?

- ☐ emotional dissonance
- ☐ affect intensity
- ☐ emotional labor
- ☐ positivity offset

Check answer

Reset

6.2.2 When situations are overly emotionally charged and stressful, we have a natural response to _____.

○ seek vengeance

- ☐ find positive outlets for our emotions
- ☐ find negative outlets for our emotions
- ☐ disengage and just look away

Check answer

Reset

Emotional Labor

6-3 Show the impact that emotional labor has on employees.

If you've ever had a job in retail or in sales, or waited on tables in a restaurant, you know the importance of projecting a friendly demeanor and smiling. Even though there were days when you didn't feel cheerful, you knew management expected you to be upbeat when dealing with customers, so you faked it.

Every employee expends physical and mental labor by putting body and mind, respectively, into the job. But jobs also require **emotional labor** ⓘ, an employee's expression of organizationally desired emotions during interpersonal transactions at work. Emotional labor is a key component of effective job performance. We expect flight attendants to be cheerful, funeral directors to be sad, and doctors to be emotionally neutral. At the least, your managers expect you to be courteous, not hostile, in your interactions with coworkers.

The way we experience an emotion is obviously not always the same as the way we show it. To analyze emotional labor, we divide emotions into *felt* or *displayed emotions*.⁵⁹ **Felt emotions** ⓘ are our actual emotions. In contrast, **displayed emotions** ⓘ are those the organization requires workers to show and considers appropriate in a given job. They're not innate; they're learned, and they may or may not coincide with felt emotions. For instance, research suggests that in U.S. workplaces, it is expected that employees should typically display positive emotions like happiness and excitement and suppress negative emotions like fear, anger, disgust, and contempt.⁶⁰



One of Apple's "geniuses," the title given to Apple store employees, meets with customers in Grand Central Terminal in New York City, one of the largest Apple stores in the world. Employees' smiles when meeting with customers are expressions of emotional labor that Apple requires and considers appropriate for their jobs.

Source: Melanie Stetson Freeman/The Christian Science Monitor/Getty Images



Effective managers have learned to look serious when they give an employee a negative performance evaluation, and to look calm when they are berated by their bosses, because the organization expects these displays. Of course, there are no display rules for many workplace situations. Does your employer dictate what emotions you display when you are, say, heading out for lunch? Probably not. Many workplaces have explicit display rules, but usually only for interactions that matter, particularly between employees and customers. Regarding employee and customer interactions, you might expect that the more an employer dictates salespeople's emotional displays, the higher the sales. Employees under very high or very low display rules do not perform as well in sales situations as employees who have moderate display rules and a high degree of discretion in their roles.⁶¹ Displaying fake emotions requires us to suppress real ones. **Surface acting** ⓘ is hiding feelings and emotional expressions in response to display rules. A worker who smiles at a customer even when he doesn't feel like it is surface acting. **Deep acting** ⓘ is trying to modify our true feelings based on display rules. Surface acting deals with *displayed* emotions, and deep acting deals with *felt* emotions. One study of employees in both the United States and

Singapore examined the types of employees who engage in different levels of surface and deep acting: the surface actors, deep actors, non-actors (who rarely engage in either type of acting), low-actors (who infrequently engage in either type of acting), and regulators (who frequently engage in both types of acting).⁶²

Displaying emotions we don't really feel can be exhausting. Surface acting is associated with increased stress and decreased job satisfaction.⁶³ Daily surface acting can also lead to emotional exhaustion at home, work–family conflict, absenteeism, and insomnia.⁶⁴ On the other hand, deep acting has a positive relationship with job satisfaction (especially when the work is challenging), job performance, and even better customer treatment and tips.⁶⁵



The disparity between employees having to project one emotion *while feeling another* is called **emotional dissonance** 🗨️. Bottled-up feelings of frustration, anger, and resentment can lead to emotional exhaustion. Long-term emotional dissonance is a predictor for job burnout, declines in job performance, and lower job satisfaction.⁶⁶ However, research from Germany and Australia suggests that employees who have a high capacity for self-control, who get a good night's sleep every day, and who have strong relationships with their customers or clients tend to be buffered to some degree from the negative side effects of emotional dissonance.⁶⁷



New employees of the ward office in the city of Daejeon, South Korea, practice smiling during their training on how to be

kind public employees. The strategy of surface acting, or “putting on a face,” is an appropriate technique that the employees learn for modifying their emotions and helping them create positive interactions with customers.

Source: Yonhap News/YNA/Newscom

Affective events theory, discussed in the next section, fits a job’s emotional labor requirements into a construct with implications for work events, emotional reactions, job satisfaction, and job performance.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

6.3.1 What term is used for those emotions that an organization requires workers to show and considers appropriate in a given job?

- ☐ felt emotions
- ☐ displayed emotions
- ☐ conditional emotions
- ☐ required emotions

Check answer

Reset

6.3.2 Which of the following statements is true regarding deep acting?

- Deep acting is hiding inner feelings and forgoing emotional expressions in response to display rules.
- A worker who smiles at a customer even when he doesn't feel like it is deep acting.
- Deep acting deals with displayed emotions as opposed to surface acting.
- A healthcare provider trying to genuinely feel more empathy for her patients is deep acting.

Check answer

Reset

Affective Events Theory

6-4 Describe affective events theory.

We've seen that emotions and moods are an important part of our personal and work lives. But how do they influence our job performance and satisfaction? **Affective events theory (AET)**  proposes that employees react emotionally to things that happen to them at work, and these reactions influence their job performance and satisfaction.⁶⁸ Say that you just found out your company is downsizing. You might experience a variety of negative emotions, causing you to worry that you'll lose your job. Because it is out of your hands, you may feel insecure and fearful, and spend much of your time worrying rather than working. Needless to say, your job satisfaction will also be down.

Prior research supports the notion that the extent to which one's personality is negative or positive is related to emotional reactions when experiencing workplace events and that these are related to workplace attitudes and behaviors.⁶⁹ However, we experience some events more often than others, so does this have an effect on the types of affective reactions, attitudes, and behaviors at work? Some research supports the idea that it does, given that interpersonal mistreatment by customers of part-time workers accounted for nearly 50 percent of negative affective work events.⁷⁰

In sum, AET offers two important messages.⁷¹ First, emotions provide valuable insights into how workplace events influence employee performance and satisfaction. Second, employees and managers shouldn't ignore emotions or the events that cause them, even when they appear minor, because they accumulate. Emotional intelligence is another framework that helps us understand the impact of emotions on job performance, so we will look at that topic next.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

6.4.1 Rahael's team was recently responsible for missing a major sales goal. According to the affective events theory, which of the following is most likely to occur?

- ☐ Rahael will become discouraged but will keep working harder for next time.
- ☐ Rahael will become discouraged and will start to dislike her job.
- ☐ Rahael will either become discouraged but keep working harder for next time or she will become more motivated and keep working harder for next time.
- ☐ Rahael will become more motivated and will keep working harder for next time.

Check answer

Reset

6.4.2 People who score _____ on emotional stability are more likely to react strongly to _____ events.

- ☐ low; positive
- ☐ low; negative
- ☐ average; positive
- ☐ average; negative

Check answer

Reset

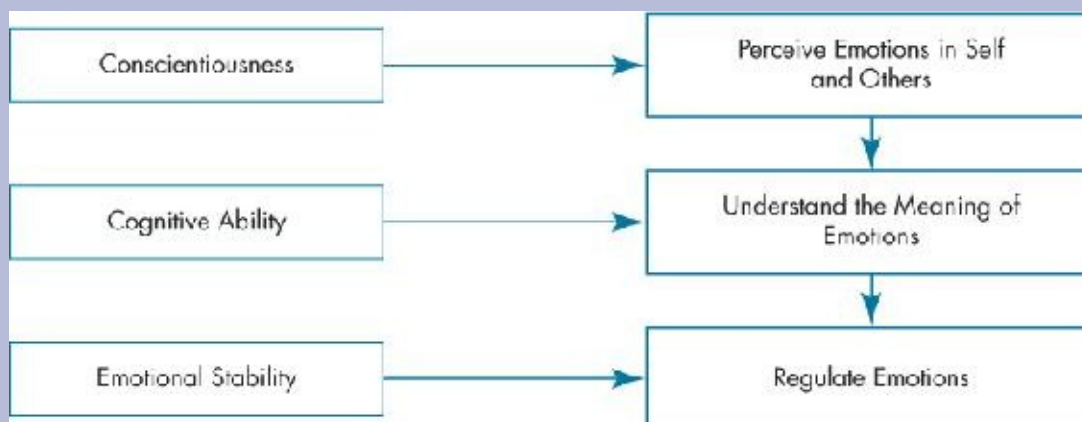
Emotional Intelligence

6-5 Describe emotional intelligence.

As the CEO of an international talent company, Terrie Upshur-Lupberger was at a career pinnacle. So why was she resentful and unhappy? A close friend observed, “Terrie, you were out on the skinny branch—you know, the one that breaks easily in a strong wind. You were so busy and overwhelmed and out of touch with your own values, cares, and guiding beliefs that you failed to pay attention to the branch that was about to break.”⁷² According to Upshur-Lupberger, she had failed to notice that her moods constantly swung toward frustration and exhaustion. Her job satisfaction, productivity, and relationships suffered. Worse, she was too busy to realize the deficiencies until she was completely depleted. She said, “I learned that, as a leader, you either pay attention to and manage the moods (including your own) in the organization, or ... you ignore them and pay the price.” Upshur-Lupberger learned the value of emotional intelligence.

Emotional intelligence (EI) ⓘ is a person’s ability to (1) perceive emotions in the self and others, (2) understand the meaning of these emotions, and (3) regulate his or her own emotions accordingly,⁷³ as shown in Exhibit 6-5. People who know their own emotions and are good at reading emotional cues—for instance, knowing why they’re angry and how to express themselves without violating norms—are most likely to be effective.⁷⁴

Exhibit 6-5 A Cascading Model of Emotional Intelligence



Source: Based on D. L. Joseph and D. A. Newman, “Emotional Intelligence: An Integrative Meta-Analysis and Cascading Model,” *Journal of Applied Psychology* 95, no. 1 (2010): 54–78.



Several studies suggest that EI plays an important role in job performance, although the survey items are often strikingly similar to other items from personality, intelligence, and self-perception tests.⁷⁵ Other reviews suggest that EI is related to teamwork effectiveness as well as deviant and citizenship behavior.⁷⁶ South Korean managers with high EI tend to have better sales figures than those with low EI because they were able to create more cohesive stores and improved sales-directed behavior.⁷⁷ A study undertaken on project managers in the Australian defense industry examined the contribution of EI to project success. The results indicated that EI has a positive impact on project success and that important mediating factors are satisfaction and trust. Senior managers can use this information about work attitudes to enhance performance in complex project situations.⁷⁸

An Ethical Choice

Should Managers Use Emotional Intelligence (EI) Tests?

As we discussed in this chapter, the concept of emotional intelligence has raised some debate. One of the decisions for managers is whether to use EI tests in the selection process. Here are some ethical considerations:

- *There is no commonly accepted test.* For instance, researchers have recently used the Mayer–Salovey–Caruso Emotional Intelligence Test (MSCEIT), the Trait Emotional Intelligence Questionnaire, and the Situational Judgment Test of Emotional Intelligence (SJT of EI) in studies. Researchers feel EI tests may need to be culturally specific because emotional displays vary by culture; thus, the interpretation of emotional cues differs. For example, a recent study comparing the emotional intelligence scores for Indian and North American executives using the Emotional Competence Inventory (ECI-2) test found the results similar but not the same, suggesting the need for modification.

- *Applicants may react negatively to taking an EI test in general or to parts of it.* The face recognition test, for example, may seem culturally biased to some if the subject photos are not diverse. Also, participants who score high on EI tests tend to consider them fair; applicants who score lower may not perceive the tests to be fair and can thus view the hiring organizations unfavorably— even if they score well on other assessments.
- *EI tests may not be predictive of performance for all types of jobs.* In a study of 600 Romanian participants, results indicated that EI was valid for salespeople, public servants, and CEOs of public hospitals, but these were all roles requiring significant social interaction. EI tests may need to be tailored for each position category or not be used when the position description does not warrant such tests.
- *It remains somewhat unclear what EI tests are actually measuring.* They may reflect personality or intelligence, in which case other measures might be better. Also, some EI tests may predict job performance, but many of these tests include personality constructs and measures of general mental ability.
- *There is not enough research on how emotional intelligence affects, for instance, counterproductive work behavior (CWB).* It may not be prudent to test and select applicants who are rated high on EI when we aren't yet certain that everything about EI leads to desired workplace outcomes.

These concerns suggest that EI tests should be avoided in hiring decisions. However, because research has indicated that emotional intelligence does predict job performance to some degree, managers should not be too hasty to dismiss them altogether. Rather, those wishing to use EI in hiring decisions should be aware of these issues to make informed and ethical decisions about not only whom to hire but how.

Sources: Based on D. Iliescu, A. Ilie, D. Ispas, and A. Ion, “Emotional Intelligence in Personnel Selection: Applicant Reactions, Criterion, and Incremental Validity,” *International Journal of Selection and Assessment* (September 2012): 347–58; D. L. Joseph, J. Jin, D. A. Newman, and E. H. O’Boyle, “Why Does Self-Reported Emotional Intelligence Predict Job Performance? A Meta-Analytic Investigation of Mixed EI,” *Journal of Applied Psychology* 100, no. 2 (2015): 298–342; R. Sharma, “Measuring Social and Emotional Intelligence Competencies in the Indian Context,” *Cross Cultural Management* 19 (2012): 30–47; and S. Sharma, M. Gangopadhyay, E. Austin, and M. K. Mandal, “Development and Validation of a Situational Judgment Test of Emotional Intelligence,” *International*

Although the field is progressing in its understanding of EI, many questions have not been answered.⁷⁹ One relates to a better understanding of EI. For example, we need to be precise when we talk about EI—are we referring to EI in general? Or to regulating emotions, understanding emotions, or perceiving emotions specifically? A second question is about the reliability of EI testing. For example, part of the reason EI has only a modest correlation with job effectiveness is that it is hard to measure—mostly it is measured with self-report inventories, which, of course, are often far from objective!

All questions aside, EI is wildly popular among consulting firms and in the popular press, and it has accumulated some support in the research literature. Love it or hate it, one thing is for sure—EI is here to stay. So might be our next topic, emotion regulation, which is increasingly studied as an independent concept.⁸⁰



MyLab Management **Personal Inventory Assessments**

Go to www.pearson.com/mylab/management to complete the Personal Inventory Assessment related to this chapter.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

6.5.1 Which of the following statements is true regarding emotional intelligence (EI)?

- Evidence suggests that a person's performance on the job is independent of her EI.

- ☐ Evidence suggests that EI is not genetically influenced.
- ☐ EI is related to a person's ability to detect emotions in others.
- ☐ EI can be measured easily.

Check answer

Reset

6.5.2 One implication from the evidence on EI to date is that employers should consider it a factor in hiring employees, especially in jobs that demand _____.

- ☐ a high degree of social interaction
- ☐ good analytical skills
- ☐ the ability to work independently
- ☐ good critical thinking skills

Check answer

Reset

Emotion Regulation

6-6 Identify strategies for emotion regulation.

Have you ever tried to cheer yourself up when you're feeling down, or calm yourself when you're feeling angry? If so, you have engaged in *emotion regulation*. The central idea behind emotion regulation is to identify and modify the emotions you feel. Recent research suggests that emotion management ability is a strong predictor of task performance for some jobs and for organizational citizenship behavior (OCB).⁸¹ Therefore, in our study of OB, we are interested in *whether* and *how* emotion regulation should be used in the workplace. We begin by identifying which individuals might naturally employ it.

Emotion Regulation Influences and Outcomes

As you might suspect, not everyone is equally good at regulating emotions. Individuals who are higher in the personality trait of neuroticism have more trouble doing so and often find their moods are beyond their ability to control. Individuals who have lower levels of self-esteem are also less likely to try to improve their sad moods, perhaps because they are less likely than others to feel they deserve to be in a good mood.⁸²

The workplace environment influences an individual's tendency to employ emotion regulation. In general, diversity in work groups increases the likelihood that you will regulate your emotions. For example, younger employees are likely to regulate their emotions when their work groups include older members.⁸³ Racial diversity also has an effect: If diversity is low, the minority employee will engage in emotion regulation, perhaps to "fit in" with the majority employees as much as possible; if diversity is high and many different races are represented, the majority employee will employ emotion regulation, perhaps to integrate him- or herself with the whole group.⁸⁴ These findings suggest a beneficial outcome of diversity—it may cause us to regulate our emotions more consciously and effectively.

While regulating your emotions might seem beneficial, research suggests there is a downside to trying to change the way you feel. Changing your emotions takes effort and, as we noted when discussing emotional labor, this effort can be exhausting. Sometimes attempts to change an emotion actually make the emotion stronger; for example, trying to talk yourself

out of being afraid can make you focus more on what scares you, which makes you more afraid.⁸⁵ From another perspective, research suggests that avoiding negative emotional experiences is less likely to lead to positive moods than does seeking out positive emotional experiences.⁸⁶ For example, you're more likely to experience a positive mood if you have a pleasant conversation with a friend than if you avoid an unpleasant conversation with a hostile coworker.

Emotion Regulation Techniques

Researchers of emotion regulation often study the strategies people employ to change their emotions (for example, as we discussed earlier in the chapter, *deep acting* and *surface acting* are emotion regulation techniques). One technique of emotion regulation is *emotional suppression*, or suppressing initial emotional responses to situations. This response seems to facilitate practical thinking in the short term. However, it appears to be helpful only when a strongly negative event would illicit a distressed emotional reaction during a crisis.⁸⁷ For example, a soldier in battle may suppress initial emotional distress after a shooting and thus be able to make clearer decisions about how to proceed. A portfolio manager might suppress an emotional reaction to a sudden drop in the value of a stock and can therefore clearly decide how to plan. Suppression used in crisis situations appears to help an individual recover from the event emotionally, while suppression used as an everyday emotion regulation technique can take a toll on mental ability, emotional ability, health, and relationships.⁸⁸ Thus, unless we're truly in a crisis, acknowledging rather than suppressing our emotional responses to situations and reevaluating events after they occur yield the best outcomes.⁸⁹



Cognitive reappraisal, or reframing our outlook on an emotional situation, is one way to regulate emotions effectively.⁹⁰ Cognitive reappraisal ability seems to be the most helpful to individuals in situations where they cannot control the sources of stress.⁹¹ A recent study illustrates the potentially powerful effect of this technique. Israeli participants who were shown anger-inducing information about the Israeli-Palestinian conflict after they were primed to reappraise the situation showed more inclination toward conciliation and less inclination toward aggressive tactics against Palestinians than the control group, not only immediately after the study but up to 5 months later. This result suggests that cognitive reappraisal may allow people to change their emotional responses, even when the subject

matter is as highly emotionally charged as the Israeli-Palestinian conflict.⁹²

Another technique with potential for emotion regulation is *social sharing*, or venting. Research shows that the open expression of emotions can help individuals to regulate their emotions as opposed to keeping emotions “bottled up.” Social sharing can reduce anger reactions when people can talk about the facts of a bad situation, their feelings about the situation, or any positive aspects of the situation.⁹³ Caution must be exercised, though, because expressing your frustration affects other people. In fact, whether venting emotions helps the “venter” feel better depends very much upon the listener’s response. If the listener doesn’t respond (many refuse to respond to venting), the venter feels worse. If the listener responds with expressions of support or validation, the venter feels better. Therefore, if we are going to vent to a coworker, we need to choose someone who will respond sympathetically. Venting to the perceived offender rarely improves things and can result in heightening the negative emotions.⁹⁴



A final emotion regulation technique, **mindfulness** ⓘ—receptively paying attention to and being aware of the present moment, events, and experiences—has started to become popular in organizations.⁹⁵ Mindfulness has roots in traditional Buddhist meditative techniques—in fact, it is the literal translation of the Vedic word *sati*, or “intentness of mind.”⁹⁶ Claims of the impact of mindfulness have been quite head-turning. For example, past research suggests that mindfulness can slow aging, bolster test performance, and aid in facilitating neuroplasticity (i.e., producing actual changes in the brain).⁹⁷ The key mechanisms responsible for its effectiveness can be found in being able to separate oneself from the moment, decrease the use of automatic thoughts, and increase awareness of one’s own body.⁹⁸ Initial research on mindfulness in Germany and the Netherlands suggests that it reduces emotional exhaustion in the workplace and improves job satisfaction by causing employees to engage in *surface acting*.⁹⁹ Other preliminary studies suggest that mindfulness can lead to improved job performance, work-life balance, and sleep quality (which leads one to be refreshed after work) as well as reduced turnover intentions, retaliatory behaviors (after experiencing injustice), and counterproductive work behaviors.¹⁰⁰ However, studies on employee mindfulness are new and we have yet to realize fully its causes and outcomes, along with the most effective methods for achieving and sustaining mindful states. Many mindfulness studies do not agree about how they conceptualize mindfulness and do not use the best methodological practices and measures.¹⁰¹



While emotion regulation techniques can help us cope with difficult workplace situations, research indicates that the effect varies. For example, a recent study in Taiwan found that all participants who worked for abusive supervisors reported emotional exhaustion and work-withdrawal tendencies but to different degrees based on the emotion regulation strategies they employed. Employees who used suppression techniques suffered greater emotional exhaustion and work withdrawal than employees who used cognitive reappraisal. This suggests that more research on the application of techniques needs to be done to help employees increase their coping skills.¹⁰²

Thus, while there is much promise in emotion regulation techniques, the best route to a positive workplace is to recruit positive-minded individuals and train leaders to manage their moods, job attitudes, and performance.¹⁰³ The best leaders manage emotions as much as they do tasks and activities. The best employees can use their knowledge of emotion regulation to decide when to speak up and how to express themselves effectively.¹⁰⁴

Ethics of Emotion Regulation

Emotion regulation has important ethical implications. On one end of the continuum, some people might argue that controlling your emotions is unethical because it requires a degree of acting. On the other end, people might argue that all emotions should be controlled so you can take a dispassionate perspective. Both arguments—and all arguments in between—have ethical pros and cons that you will have to decide for yourself. Consider the reasons for emotion regulation and the outcomes. Are you regulating your emotions so you don't react inappropriately, or are you regulating your emotions so no one knows what you are thinking? Consider this: You may be able to “fake it 'til you make it.” Recent research has found that acting like you are in a good mood might *put* you in a good mood. In one study, a group of participants was asked to hold only an efficient conversation with a barista serving them at Starbucks, while another group was asked to act happy. The happy actors reported later that they were in much better moods.¹⁰⁵

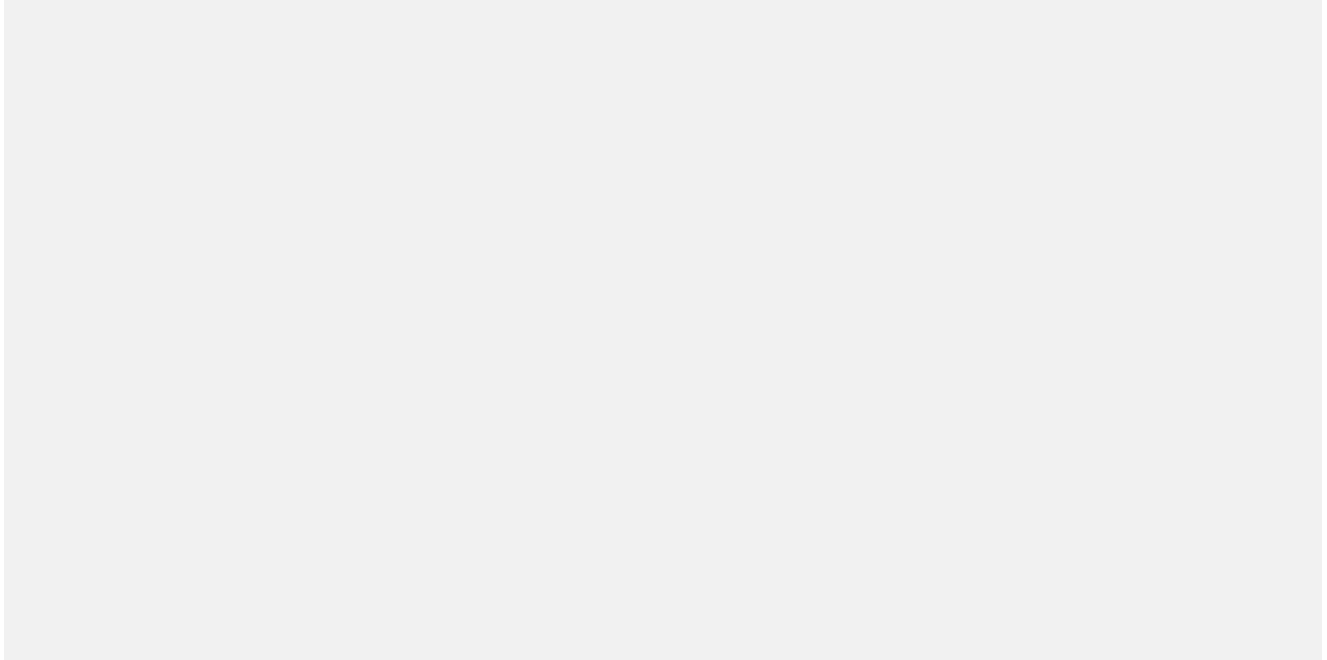
Now that we have studied the role of emotions and moods in organizational behavior, let's consider the opportunities for more specific applications that our understanding provides.

MyLab Management Watch It

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the video exercise.

East Haven Fire Department Emotions and Moods

Watch it video.



A **transcript** of this video is available [here](#).

Transcript

East Haven Fire Department Emotions and Moods

- >> I've always been told that
- >> I'm very good in an emergency situation,
- >> a crisis, an up setting situation.
- >> You know, I think finding ways to-
- >> 9-11 East Haven, what's the address to your emergency?
- >> My name is Liz Christian and I'm an EMT
- >> and dispatcher for East Haven Fire Department.
- >> Then later on, I sort of have my emotions.

>> Which, I guess, is better than having them

>> while you're going through it.

>> A lot of it is keeping yourself calm.

>> So when I first started here,

>> I wrote out everything as a script

>> and I left a blank for which unit needed to go.

>> So, for example, I just wrote out rescue 1,

>> the address that they needed to go to,

>> the nature of the call.

>> And then, times two,

>> which meant that you say it two times.

>> Then I put where they would respond,

>> and I just followed the script

>> and it really helped me when I was coming in

>> and I was new and everything was new.

>> If you can keep it as a script,

>> the emotion stays out of it and you stay calm,

>> you say what you need to say,

>> and it feels familiar to you

>> so that when you are on a really tough call,

>> which is very highly emotionally charged,

>> you have a caller screaming at you-

>> 99 Engine 1, 13 Headquarters.

>> Engine one, 13 Headquarters.

>> Then when you do have a really emotional call

>> where the caller on the line maybe yelling at you,

>> you're trying to make a couple other calls

>> while you're still keep that caller on the line,

>> you have the units hyped up because

>> they have that feeling that it's a tough call.

>> You have to really make sure that you stick to that script,

>> at least for myself, I stick to that script,

>> and I just repeat what I need to say,

>> I just get the information out quickly,

>> as clearly as possible,

>> and if I hear they need additional resources,

>> even if I'm still on the phone,

>> I just make sure I get those resources to them

>> as quickly as possible.

>> If you get emotionally involved too much

>> with what's going on in the phone,

>> you lose track of your sense of time

>> and your sense of purpose,

>> and my purpose is to help figure out what the problem is

>> on the other line, figure out what resources they need,

>> and get it there as quickly and as safely as I can.

>> Sometimes through out emergency calls things change

>> and you have to stay up with the situation.

>> So you stop the monitor and say,

>> it sounds like they're going to need another unit,

>> we're going to need the police on that call.

>> So you have to keep yourself calm and focused.

>> I think the best thing to do is,

>> before you're going to press any buttons

>> or make any phone calls or anything, deep breath.

>> Keep it simple:

>> what do they need and what do I need to do to get it to them?

>> When I first started this job,

>> I would take it personally when someone yelled at me.

>> And I've been in customer service for almost twenty years.

>> Granted, this is a different environment of customer service

>> but I still look at it as a customer service job.

>> I'm interfacing with the public

>> and they're not customers in the sense of,

>> they're buying a cup of coffee or they're having dinner with me

>> but I still want to make sure that I've helped them

>> the best that I can.

>> A lot of times if we get a call that is a police call,

>> say a domestic dispute is going on, this could be her one call

>> or his one call to get safety and get help.

>> Those calls can get pretty up setting for me personally.

>> You have to keep in mind, for us,

>> we can't see what's going on, we hear it.

>> So when you hear over the radio,

>> the fire fighters who you're friendly with

>> and you really care a lot about,

>> in a situation where you're trying to visualize

>> what exactly is going on in this room right now.

>> So those calls are the most difficult, I would say, for myself

>> because, and I've had two of those since I've been here,

>> where we have to send everybody.

>> We send as many officers as we can

>> and anyone who's off duty who's an officer,

>> who's a fire fighter, who's a volunteer,

>> all of our trucks go out from all of our stations,

>> and I just have to keep repeating the last known location

>> of the fire fighters in trouble.

>> Sometimes you don't know what happened.

>> And, for me, sometimes that's harder,

>> is the unknown because you sort of develop this bond

>> with the person on the other end of the phone

>> for the two minutes, the thirty seconds,

>> the five minutes that you're on the phone with them.

>> You may be telling how to do CPR to save someone,

>> you may be telling them what they need to do to stop bleeding.

>> So you've gotten their trust enough that they're willing to do

>> this life-saving technique until you can get help to them.

>> You get close with them and then you hang up the phone

>> as soon as you hear the fire fighters in the room take over.

>> For me, that's harder.

>> Not every patient you can revive.

>> And it may be a situation you were called to a residence

>> where the patient has obviously been dead for a while.

>> My name is Chris Rosa,

>> I'm a firefighter paramedic with the East Haven Fire Department.

>> Now you're there for the family members.

>> Now the family members are your patients.

>> So we do do a significant amount of training

>> in how to deal with that situation,

>> how to deal with the family members.

>> If there's nothing else we can do,

>> explain to them and at least

>> the family can get closure with the person there

>> in their own home and deal with it from there.

>> You're providing a service like a lot of other businesses.

>> It's just under a different environment.

>> We still are customer care oriented,

>> it's just under stressful, more stressful situations,

>> and for the people we are providing service to,

>> it's a situation, most of the time,

>> their scariest or worst situation in their life.

>> You almost look at it as like it's not real.

>> It's just kind of, you take a step out of the situation

>> as far as what am I really looking at?

>> You fall back on your training

>> and you fall back on the purpose that you're there

>> and you really rely on your training to do your job

>> and that kind of gets you through it.

>> When it really effects you is after wards.

>> After you have that adrenaline dump,

>> that's when it hits you, like, oh my god, this is what I saw,

>> this is what I was dealing with,

>> and that's where the camaraderie here at the firehouse

>> and your fellow brothers and sisters,

>> that's where you talk about it and you kind of debrief,

>> distress then.

>> That's the point that you really deal with it.

>> And the chief is great if you need to talk to him

>> or any of the officers are great.

>> If you need to talk to them, their door's always open.

>> If they're not here when you are

>> you can send them an email or give them a phone call

>> and just see if-

>> Fire dispatch.

>> The personality of someone coming in here

>> is definitely, definitely a big factor.

>> I get along really well with guys

>> and I understand their sense of humor here,

>> and I think part of working in the EMS field

>> is that you have to have a sense of humor.

>> We're a unique group and you have to have a thick skin

>> because, in the nature of the job

>> and dealing with the stressful situations,

>> there's a lot of fun that goes on around here too

>> and a lot of ribbing.

>> But that's part of our culture,

>> and that's part of dealing with that stress

>> and being able to debrief,

>> and to come down from those stressful situations.

>> I find that I like that form of processing because it's,

>> usually when I've worked with all women at different jobs

>> that I've had where it's been all women,

>> there's a tendency to talk about it too much

>> and process it too much and forget to laugh at it.

>> So I think that there's a place for both

>> and you need to balance it out.

>> So I think this reminds me you have to laugh at yourself,

>> maybe something silly that you said over the radio,

>> you got your tongue tripped up and you said something

>> and you know you're going to hear about it

>> for the next three weeks,

>> but that's a good thing.

>> You need that laughter at yourself.

>> Don't take yourself too seriously.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

6.6.1 Barry is angry at losing his job. In order to regulate his emotions, he can do all of the following except _____.

- ☐ focus on the problem at hand
- ☐ think about pleasant things
- ☐ distract himself
- ☐ engage in relaxation techniques

Check answer

Reset

6.6.2 Judy has been having a very difficult time at work. Her supervisor is constantly making her work long hours and is usually very critical of her behavior. This constant negativity is taking a toll on Judy and she is starting to experience hatred toward her job. According to the theory of emotional regulation, Judy needs to do which of the following to control her spiraling emotions?

- ☐ Drink ... a little alcohol could help her chill out.
- ☐ Exercise ... get some endorphins going.
- ☐ Dance ... a hobby is always a good diversion.
- ☐ Vent ... letting it out clears the soul.

Check answer

Reset

OB Applications of Emotions and Moods

6-7 Apply concepts about emotions and moods to specific OB issues.

Our understanding of emotions and moods can affect many aspects of organizational behavior, including the selection process, decision making, creativity, motivation, leadership, negotiation, customer service, job attitudes, deviant workplace behavior, and safety. Let's think through each of these.

The Selection Process

One implication from the evidence on EI is that employers should consider it a factor in hiring employees, especially for jobs that demand a high degree of social interaction. In fact, more employers *are* starting to use EI measures to hire people. For example, a study of U.S. Air Force recruiters showed that top-performing recruiters exhibited high levels of EI. Using these findings, the Air Force revamped its selection criteria. A follow-up investigation found hires who had high EI scores were 2.6 times more successful than those who didn't.¹⁰⁶

Decision Making

Moods and emotions have effects on decision making that managers should understand. Positive emotions and moods seem to help people make sound decisions. Positive emotions also enhance problem-solving skills, so positive people find better solutions.¹⁰⁷

OB researchers continue to debate the role of negative emotions and moods in decision making. One recent study suggested that people who are saddened by events may make the same decisions as before, while people who are angered by events might make stronger (though not necessarily better) choices than before.¹⁰⁸ Another study found that participants made choices reflecting more originality in a negative mood.¹⁰⁹ Still other research indicated that individuals in a negative mood may take higher risks than they do when in a positive mood.¹¹⁰ Taken together, these and other studies suggest negative (and positive) emotions affect decision making but that there are other variables that require further research.¹¹¹



A leader of high emotional intelligence, Starbucks CEO Howard Schultz bounds on stage before addressing 10,000 Starbucks managers at the firm's Global Leadership Conference. Schultz's optimism, excitement, and enthusiasm energize employees and motivate them to accept his vision of the company's future.

Source: F. Carter Smith/Bloomberg/Getty Images

Creativity

As we see throughout this text, one goal of leadership is to maximize employee productivity through creativity. Creativity is influenced by emotions and moods, but there are two schools of thought on the relationship. Much research suggests that people in good moods tend to be more creative than people in bad moods.¹¹² People in good moods produce more ideas and more options, and others think their ideas are original.¹¹³ It seems that people experiencing positive moods or emotions are more flexible and open in their thinking, which may explain why they are more creative.¹¹⁴ Supervisors should actively try to keep employees happy because doing so creates more good moods (employees like their leaders to encourage them and provide positive feedback on a job well done), which in turn leads people to be more creative.¹¹⁵

Some researchers, however, do not believe a positive mood makes people more creative. They argue that, when people are in positive moods, they may relax ("If I'm in a good mood, things must be going okay, and I don't need to think of new ideas") and not engage in the critical thinking necessary for some forms of creativity.¹¹⁶ Individuals who worry more may

perform better on creative tasks than those who worry less.

Determining which perspective is correct may lie in thinking of moods somewhat differently. Rather than looking at positive or negative affect, it's possible to conceptualize moods as active feelings like anger, fear, or elation and contrast these with deactivating moods like sorrow, depression, or serenity. All the activating moods, whether positive *or* negative, seem to lead to more creativity, whereas deactivating moods lead to less.¹¹⁷ We discussed earlier that other factors such as fatigue may boost creativity. A study of 428 students found they performed best on a creative problem-solving task when they were fatigued, suggesting that tiredness may free the mind to consider novel solutions.¹¹⁸

Motivation



Several studies have highlighted the importance of moods and emotions on motivation. One study asked two groups of people to solve word puzzles. The first group saw a funny video clip intended to put them in a good mood first. The other group was not shown the clip and started working on the puzzles right away. The positive-mood group reported higher expectations of being able to solve the puzzles, worked harder at them, and did solve more as a result.¹¹⁹ Another study looked at the moods of insurance sales agents in Taiwan.¹²⁰ Agents in a good mood were found to be more helpful toward their coworkers and felt better about themselves. These factors in turn led to superior performance in the form of higher sales and better supervisor reports of performance.

Giving people performance feedback—whether real or fake—influences their mood, which then influences their motivation.¹²¹ A cycle can be created in which positive moods cause people to be more creative, leading to positive feedback from those observing their work. The feedback further reinforces the positive mood, which makes people perform even better, and so on. Overall, the findings suggest a manager may enhance employee motivation—and performance—by encouraging good moods.

Leadership



Research indicates that putting people in a good mood makes good sense. Leaders who focus on inspirational goals generate greater optimism, cooperation, and enthusiasm in employees, leading to more positive social interactions with coworkers and customers.¹²² A

study with Taiwanese military participants indicates that, by sharing emotions, transformational leaders inspire positive emotions in their followers that in turn lead to higher task performance.¹²³

Leaders are perceived as more effective when they share positive emotions, and followers are more creative in a positive emotional environment. What about when leaders are sad? Research found that leader displays of sadness increased the analytic performance of followers, perhaps because followers attended more closely to tasks to help the leaders.¹²⁴

Corporate executives know emotional content is critical for employees to buy into their vision of the company's future and accept change. When higher-ups offer new visions, especially with vague or distant goals, it is often difficult for employees to accept the changes they will bring. By arousing emotions and linking them to an appealing vision, leaders may help managers and employees alike to accept change and feel connected to the new plan.

Negotiation

Have you considered the potential of using emotions and moods to enhance your negotiation skills? Several studies suggest that a negotiator who feigns anger has an advantage over an opponent. Why? Because when a negotiator shows anger, the opponent concludes that the negotiator has conceded all he or she can and so gives in.¹²⁵ However, anger should be used selectively in negotiation: Angry negotiators who have less information or less power than their opponents have significantly worse outcomes.¹²⁶

As in the use of any emotion, context matters. Displaying a negative emotion (such as anger) can be effective, but feeling bad about your performance appears to impair future negotiations. Individuals who do poorly in negotiation experience negative emotions, develop negative perceptions of their counterparts, and are less willing to share information or be cooperative in future negotiations.¹²⁷

Altogether, the best negotiators are probably those who remain emotionally detached. One study of people who suffered damage to the emotional centers of their brains suggested that unemotional people may be the best negotiators because they're not likely to overcorrect when faced with negative outcomes.¹²⁸

Customer Service

Workers' emotional states influence the level of customer service they give, which in turn

influences levels of repeat business and customer satisfaction.¹²⁹ This result is primarily due to **emotional contagion** ⓘ—the “catching” of emotions from others.¹³⁰ When someone experiences positive emotions and laughs and smiles at you, you tend to respond positively. Of course, the opposite is true as well.

Studies indicate a matching effect between employee and customer emotions. In the employee-to-customer direction, research finds that customers who catch the positive moods or emotions of employees shop longer. In the other direction, when an employee feels unfairly treated by a customer, it’s harder for him to display the positive emotions his organization expects.¹³¹ High-quality customer service makes demands on employees because it often puts them in a state of emotional dissonance, which can be damaging to the employee and the organization. Managers can interrupt negative contagion by fostering positive moods.

Work-Life Satisfaction

There is good news and bad news about the relationship between moods and work-life satisfaction: Both are affected by work and home events. Ever hear the advice, “Never take your work home with you,” meaning you should forget about work once you go home? That’s easier said than done. The good news is that a positive mood at work can apparently spill over to your off-work hours, and a negative mood at work can be restored to a positive mood after a break. Several studies have shown that people who had a good day at work tend to be in a better mood at home that evening, and vice versa.¹³² Other research has found that, although people do emotionally take their work home with them, by the next day the effect is usually gone.¹³³ The bad news is that the moods of your household may interfere with yours. As you might expect, one study found that if one member of a couple was in a negative mood during the workday, the negative mood spilled over to the spouse at night.¹³⁴

Career OBjectives

How do I turn down the volume on my screaming boss?

My boss is a yeller. One time, he kicked my chair and yelled for me to get out of the office just because I'd forgotten to tell him that lunch had been delivered. His

rage makes me so mad I want to yell back, but I don't because it isn't professional. Is there a way to get him to think before he fumes?

— *Leslie*

Dear Leslie:

We feel for you! Actually, your internal anger response is perfectly normal. Almost everyone has an emotional reaction to screaming and other situations of workplace incivility like swearing and rude behavior, and a majority of employees react somehow. For example, 66 percent of participants in a recent study reported that their performance declined when they were the recipients of incivility, and 25 percent admitted they took their frustration out on customers. Another study found that verbal aggression reduces victims' working memory, making even simple instructions difficult to follow. So you're right to want to strategize how to calm the situation since it hurts you, your coworkers, and the company.

The good news is that you can work on your reactions to deescalate an episode. Experts suggest empathizing with your boss (often we find if we try to understand where someone is coming from, it helps us deal with the emotions more effectively), apologizing if you've done something wrong, and not talking back (incivility is never cured by payment in kind). Find situations where you can laugh over mutual frustrations and don't take his outbursts personally.

The bad news is that you probably can't change his emotional response to incidents, but you may be able to help him see the error of his ways by modeling better behavior. Of course, there are situations in which you cannot and should not tolerate uncivil behavior (such as when you are being threatened or when the behavior becomes truly abusive). In those cases, you may need to deal with the situation more directly by first calmly confronting your boss or, if that fails, seeing someone in human resources. But short of that breaking point, our experience and the research suggest that your best response is not to respond outwardly but rather to rethink the way you are responding inwardly.

As the British poster says, "Keep calm and carry on!"

Sources: Based on C. Porath and C. Pearson, "The Price of Incivility," *Harvard Business Review* (January–February 2013): 114–21; A. Rafaeli et al., "When Customers Exhibit Verbal Aggression, Employees Pay Cognitive Costs," *Journal of Applied Psychology* (September 2012): 931–50; S. Shellenbarger, "'It's Not My Fault!' A Better Response

to Criticism at Work,” *The Wall Street Journal*, June 18, 2014, D1, D4; and S. Shellenbarger, “When the Boss Is a Screamer,” *The Wall Street Journal*, August 15, 2012, D1, D2.

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Deviant Workplace Behaviors

Anyone who has spent much time in an organization realizes people can behave in ways that violate established norms and threaten the organization, its members, or both. As we saw in Chapter 1, these actions are called counterproductive work behaviors (CWBs).¹³⁵ They can be traced to negative emotions and can take many forms. People who feel negative emotions are more likely than others to engage in short-term deviant behavior at work, such as gossiping or excessively surfing the Internet instead of working,¹³⁶ although negative emotions can also lead to more serious forms of CWB.

For instance, envy is an emotion that occurs when you resent someone for having something you don’t have but strongly desire—such as a better work assignment, larger office, or higher salary. It can lead to malicious deviant behaviors. An envious employee could undermine other employees and take all the credit for things others accomplished. Angry people look for other people to blame for their bad mood, interpret other people’s behavior as hostile, and have trouble considering others’ points of view.¹³⁷ It’s also not hard to see how these thought processes can lead directly to verbal or physical aggression.



A recent study in Pakistan found that anger correlated with more aggressive CWBs such as abuse against others and production deviance, while sadness did not. Neither anger nor sadness predicted workplace withdrawal, which suggests that managers need to take employee expressions of anger seriously; employees may stay with an organization and continue to act aggressively toward others.¹³⁸ Once aggression starts, it’s likely that other people will become angry and aggressive, so the stage is set for a serious escalation of negative behavior. Therefore, managers need to stay connected with their employees to gauge emotions and emotional intensity levels.

Safety and Injury at Work

Research relating negative affectivity to increased injuries at work suggests employers might improve health and safety (and reduce costs) by ensuring that workers aren't engaged in potentially dangerous activities when they're in a bad mood. Bad moods can contribute to injury at work in several ways.¹³⁹ Individuals in negative moods tend to be more anxious, which can make them less able to cope effectively with hazards. A person who is always fearful will be more pessimistic about the effectiveness of safety precautions because she feels she'll just get hurt anyway, or she might panic or freeze up when confronted with a threatening situation. Negative moods also make people more distractible, and distractions can obviously lead to careless behaviors.

Selecting positive team members can contribute toward a positive work environment because positive moods transmit from team member to team member. One study of 130 leaders and their followers found that leaders who are charismatic transfer their positive emotions to their followers through a contagion effect.¹⁴⁰ It makes sense, then, to choose team members predisposed to positive moods.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

6.7.1 The corporate office has determined that the company vision needs to be amended. What should corporate leaders do to increase the likelihood that employees will accept this change?

- ☐ arouse emotions and link them to an appealing vision
- ☐ demonstrate how the vision will better company profits
- ☐ evoke empathy for the CEO
- ☐ negotiate with them and express anger

Check answer

Reset

6.7.2 Research suggests that people who are in a negative mood are more likely to

_____ than someone who is in a positive mood.

- ☐ take higher risks
- ☐ take lower risks
- ☐ be emotionally void
- ☐ make better decisions

Check answer

Reset

Summary

Emotions and moods are similar because both are affective in nature. But they're also different—moods are more general and less contextual than emotions. The time of day, stressful events, and sleep patterns are some of the factors that influence emotions and moods. OB research on emotional labor, affective events theory, emotional intelligence, and emotion regulation helps us understand how people deal with emotions. Emotions and moods have proven relevant for virtually every OB topic we study, with implications for managerial practices.

Implications for Managers

- Recognize that emotions are a natural part of the workplace, and good management does not mean creating an emotion-free environment.
- To foster effective decision making, creativity, and motivation in employees, model positive emotions and moods as much as is authentically possible.
- Provide positive feedback to increase the positivity of employees. Of course, it also helps to hire people who are predisposed to positive moods.
- In the service sector, encourage positive displays of emotion, which make customers feel more positive and thus improve customer service interactions and negotiations.
- Understand the role of emotions and moods to significantly improve your ability to explain and predict your coworkers' and others' behavior.

Sometimes Yelling Is for Everyone's Good

Point

Anger is discussed throughout this chapter for a reason: It's an important emotion. There

are benefits to expressing anger. For one, research indicates that only employees who are **A** committed to their organizations tend to express their anger, and generally only to leaders who created the situation. This type of expression of anger could lead to positive organizational change. Second, suppressed anger can lower job satisfaction and lead to a feeling of hopelessness about things improving.

Even with these findings, we hear a lot about not responding emotionally to work challenges. Work cultures teach us to avoid showing any anger at all lest we be seen as poor workers or, worse, unprofessional or even deviant or violent. While, of course, there *are* times when the expression of anger is harmful or unprofessional, we've taken this view so far that we now teach people to suppress perfectly normal emotions and to ignore the effectiveness of some emotional expression.

Emerging research shows that suppressing anger takes a terrible internal toll on individuals. One Stanford University study found, for example, that when individuals were asked to wear a poker face during the showing of a movie clip depicting the atomic bombings of Japan during World War II, they were much more stressed in conversations after the video. Other research shows that college students who suppress emotions like anger have more trouble making friends and are more likely to be depressed, and that employees who suppress anger feel more stressed by work.

For the good of organizations and their employees, we should encourage people not to hold back their emotions but to share them constructively.

Counterpoint

Yes, anger is a common emotion. But it's also a toxic one for the giver and the receiver. Angry outbursts can compromise the heart and contribute to diabetes, among other ill effects. The experience of another's anger and its close correlate, hostility, is also linked to many counterproductive behaviors in organizations. The Bureau of Labor Statistics estimates that 16 percent of fatal workplace injuries result from workplace violence. That is why many organizations have developed counteractive techniques—to blunt the harmful effects of anger in the workplace.

To reduce outcomes, many companies develop policies that govern conduct such as yelling, shouting profanities, and making hostile gestures. Others institute anger management programs. For example, one organization conducted mandatory in-house

workshops that showed individuals how to deal with conflicts in the workplace before they boil over. The director who instituted the training said that it “gave people specific tools for opening a dialogue to work things out.” MTS Systems, a Minnesota engineering firm, engages an outside consulting company to conduct anger management programs for its organization. Typically, MTS consultants hold an 8-hour seminar that discusses sources of anger, conflict resolution techniques, and organizational policies. This is followed by one-on-one sessions with individual employees that focus on cognitive behavioral techniques to manage their anger. The outside trainer charges around \$10,000 for the seminar and one-on-one sessions. The financial cost, though, is worth it for the emotional benefits the participants receive. “You want people to get better at communicating with each other,” says MTS manager Karen Borre.

In the end, everyone wins when organizations seek to diminish both the experience and the expression of anger at work. The work environment becomes less threatening and stressful to employees and customers. Employees are likely to feel safer, and the angry employee is often helped as well.

Sources: Based on B. Carey, “The Benefits of Blowing Your Top,” *The New York Times*, July 6, 2010, D1; R. Y. Cheung and I. J. Park, “Anger Suppression, Interdependent Self-Construal, and Depression among Asian American and European American College Students,” *Cultural Diversity and Ethnic Minority Psychology* 16, no. 4 (2010): 517–25; D. Geddes and L. T. Stickney, “The Trouble with Sanctions: Organizational Responses to Deviant Anger Displays at Work,” *Human Relations* 64, no. 2 (2011): 201–30; J. Fairley, “Taking Control of Anger Management,” *Workforce Management* (October 2010): 10; L. T. Stickney and D. Geddes, “Positive, Proactive, and Committed: The Surprising Connection between Good Citizens and Expressed (vs. Suppressed) Anger at Work,” *Negotiation and Conflict Management Research* 7, no. 4 (November 2014): 243–64; and J. Whalen, “Angry Outbursts Really Do Hurt Your Health, Doctors Find,” *The Wall Street Journal*, March 24, 2015, D1, D4.

Chapter Review

MyLab Management Discussion Questions

Go to www.pearson.com/mylab/management to complete the problems marked with this icon .

Questions for Review

- 6-1** How are emotions different from moods?
- 6-2** What are the sources of emotions and moods?
- 6-3** What impact does emotional labor have on employees?
- 6-4** What is affective events theory?
- 6-5** What is emotional intelligence?
- 6-6** What are some strategies for emotion regulation?
- 6-7** How do you apply concepts about emotions and moods to specific OB issues?

Application and Employability

An understanding, or even awareness of, others' emotions and moods can help improve your effectiveness in the workplace. As we have seen, employees react to events as they happen in the workplace, and these affective reactions can have a large impact on outcomes that are important to organizations. Employees may need to regulate their emotions (especially in positions that require interacting with clients), and this regulation may have an impact on employee performance and well-being. Employees may vary on emotional intelligence, a

skill, ability, or set of competencies that is related to many outcomes in the workplace. In this chapter, you have improved many skills, including your communication and collaboration skills, by discovering the impact of a smile (and the air of office politics surrounding it), learning how to deal with an angry boss, deciding whether to use an EI test to assess applicants before hiring, and discussing the benefits and pitfalls of yelling in the workplace. In the following section, you will have more opportunities to develop your critical thinking and knowledge application skills by learning mindfulness techniques for emotion regulation and stress reduction, considering the ethics of data mining microexpressions of emotion, learning to consider and adapt to management emotions, and becoming aware of the insidious effects of boredom and the remedies to being bored.

Experiential Exercise Mindfulness at Work

The concept of mindfulness emphasizes trying to focus your mind in the present moment, immersing yourself in what's going on around you. Core principles include suspending immediate judgment of the environment and your own thoughts, and keeping yourself open to what is around you. The benefits of mindfulness can reach beyond reducing stress to include increased creativity, longer spans of attention, reductions in procrastination, and improved performance.

The Procedure

Start this exercise individually and then come together into groups of three or four individuals to discuss what you have found. Although full workplace mindfulness interventions can take several weeks, some basic starting exercises can be done in a relatively short period and give you a feeling for what a full course of mindfulness would be like. Here are three simple exercises to try. For all these, everyone needs to put everything away (especially phones, tablets, and computers!) and focus on what is going on in the immediate environment.

- *Mindful breathing:* Clear your head of everything except thoughts of your own breaths. Concentrate on how you are inhaling and exhaling. It is sometimes helpful to count how long each breath takes. Try to maintain this mindful breathing for 3 minutes. The group will then take 3 minutes to discuss how this made them feel.
- *Mindful listening:* Now clear your head of everything except what is going on in the immediate environment. Try to hear as many sounds around you as you can, without judging or evaluating them. Try to maintain this mindful listening for 3 minutes. The group will then take 3 minutes to discuss some of the details they noticed.
- *Mindful thinking:* As with listening, clear your head of everything, but now focus just on your ideas about mindfulness and stress. Do not talk about or write down what you're thinking (yet); just focus your whole quiet attention on this exercise and what it means. Try to maintain this mindful thinking for 3 minutes. The group will then take 3 minutes to talk about what this experience was like.

As noted earlier, these are just brief examples of what mindfulness exercises are like. In a full

mindfulness program, you would go through several sessions of up to an hour each. Now that you have an idea of what it feels like to do mindfulness work, consider the following questions in your groups:

- 6-8.** Were there any aspects of the mindfulness practice sessions that you found especially pleasant or useful? Were there any aspects of the sessions that you found unpleasant or uncomfortable?
- 6-9.** What concerns might you have about implementing a mindfulness intervention in the workplace? What are some of the obstacles you might face in trying to have employees engage in a mindfulness stress reduction program?
- 6-10.** Bring the class together and discuss your responses.

Sources: Based on E. Langer, “Mindfulness in the Age of Complexity,” *Harvard Business Review*, March 2014, 68–73; H. J. E. M. Alberts and U. R. Hülshager, “Applying Mindfulness in the Context of Work: Mindfulness-Based Interventions,” in J. Reb and P. W. B. Atkins, *Mindfulness in Organizations* (Cambridge, UK: Cambridge University Press, 2015), 17–41; K. A. Aikens, J. Astin, K. R. Pelletier, K. Levanovich, C. M. Baase, Y. Y. Park, and C. M. Bodnar, “Mindfulness Goes to Work: Impact of an Online Workplace Intervention,” *Journal of Occupational and Environmental Medicine* 56 (2014): 721–31.

Ethical Dilemma Data Mining Emotions

Did anyone ever tell you that you wear your heart on your sleeve? It's a popular expression, but obviously no one is looking at your sleeve to read your emotions. Instead, we tend to study a person's facial expressions to "read" their emotions. Most of us think we're rather good at reading faces, but we couldn't say exactly how we make our interpretations, and we don't know whether they are accurate. But what if we could use technology to know how another person is feeling? Would it be ethical to do so in the workplace and then act on our findings?

Technology is not quite ready to do this. Face reading is a complex science. Paul Ekman, a noted psychologist, may be the best human face reader in the world. He has been studying the interpretation of emotions for over 40 years and developed a catalog of over 5,000 muscle movements and their emotional content. His work even spawned a television series called *Lie to Me*, in which the main characters analyzed microexpressions—expressions that occur in a fraction of a second—to assist in corporate and governmental investigations. Using Ekman's Facial Coding System, technology firms like Emotient Inc. have been developing algorithms to match microexpressions to emotions. These organizations are currently looking for patterns of microexpressions that might predict behavior.

Honda, Procter & Gamble (P&G), Coca-Cola, and Unilever have tried the technology to identify the reactions to new products, with mixed results. For one thing, expressions can change instantly, so it is challenging to discern which emotions prevail. A person watching a commercial, for instance, may smile, furrow his brow, and raise his eyebrows all in the space of 30 seconds, indicating expressiveness, confusion, and surprise in turn. Second, it is difficult to know whether a person will act on these fleeting emotions. Third, the technology might misinterpret the underlying emotions or their causes.

The potential applications of this technology to the workplace include surveillance, gauging reactions to organization announcements, and lie detection. Cameras could be in every meeting room, hallway, and even on employees' computer screens. Emotion monitoring could be an announced event—say, every Monday from 8 to 9 A.M.—or random. Monitoring could be conducted with or without the knowledge of employees; for instance, data on the emotional reactions of every employee in an organizational announcement meeting could be read and interpreted through a camera on the wall.

So far, the most reliable workplace application seems to be using the technology to capture inconsistencies (lying). Even the pioneer of facial emotion recognition, Ekman, said, “I can’t control usage [of his technology]. I can only be certain that what I’m providing is at least an accurate depiction of when someone is concealing emotion.”

For each usage, there is an ethical consideration and a responsibility, particularly if a manager is going to act on the findings or infer the employee’s future behavior. The fact that the technology has not yet fully evolved for workplace application allows time for ethical guidelines to be developed. Foremost among the ethical concerns is privacy. “I can see few things more invasive than trying to record someone’s emotions in a database,” said privacy advocate Ginger McCall. Concerns about ethical usage are also highly important if managers use the technology to make decisions about employees. For example, what if a manager learns from the software that an employee is unhappy and thus decides to look for a work reassignment for the employee, when actually the employee is unhappy about his spouse? Former U.S. counterterrorism detective Charles Lieberman advises, “Recognize [the technology’s] limitations—it can lead you in the right direction but is not definitive.”

Questions

- 6-11.** What do you think are the best workplace applications for emotion reading technology?
- 6-12.** What are the ethical implications of reading faces for emotional content in the workplace?
- 6-13.** Assuming you could become better at detecting the real emotions of others from facial expressions, do you think it would help your career? Why or why not?

Sources: Based on Paul Ekman profile, Being Human, <http://www.beinghuman.org/mind/paul-ekman>, accessed April 17, 2015; E. Dwoskin and E. M. Rusli, “The Technology That Unmasks Your Hidden Emotions,” *The Wall Street Journal*, January 29, 2015, B1, B8; and D. Matsumoto and H. S. Hwang, “Reading Facial Expressions of Emotion,” *Psychological Science Agenda*, May 2011, <http://www.apa.org/science/about/psa/2011/05/facial-expressions.aspx>.

Case Incident 1 Hiring an Emotionally Intelligent Employee

Emotional intelligence is our ability to identify and manage our own emotions and to understand and influence other people's emotions. These qualities provide us with the ability to build better relationships, manage difficult emotions, increase creativity and innovation, and lead others effectively.

People are hired by organizations because of where they went to college, the test scores and grades achieved, their technical skills and certifications, not because they are effective team players or can get along with others. Being smart is not just all about intellect, and companies are increasingly interested in job applicants who display emotional intelligence (EI). The challenge facing organizations is how to hire emotionally intelligent employees. Guidance has been provided by McKee on undertaking this process.

Don't:

- **Use personality tests as a means of testing for EI:** These tests are designed to test personality traits and types. These tests are not effective as they do not measure abilities such as self-awareness, achievement orientation, empathy, or inspirational leadership, which are at the core of emotional intelligence.
- **Use a self-report test.** These types of tests are problematic as a candidate may have a low level of self-awareness and he or she will more than likely record what they believe the organization would like to hear.
- **Use a 360-degree feedback instrument,** even if it is valid and even if it measures EI competencies. The 360-degree feedback method involves a process where employees receive feedback from those who work with them, including their manager, team members, peers, and support staff. It is important to the process that this information is both anonymous and confidential. This system provides an opportunity for professional development by identifying strengths and weaknesses but not evaluation. When these instruments are used as a method of evaluation, people may carefully select the respondents and even prepare them on how to score.

Do:

- **Get references and talk to referees.** Letters of reference do not give enough insight

into a person's EI. It is important to actually talk to the referee and to ask specific questions about particular EI competencies. You should encourage the referee to give you lots of examples about how the candidate treats other people. When you actually talk to a referee, you can ask specific and pointed questions about how the candidate demonstrated various EI competencies. Ask for lots of examples especially about how the candidate treats other people.

- **Interview for emotional intelligence.** Many interviewers think they are already doing this and that it is easy. Interviewers should not allow candidates to be vague in their responses and need to ask good follow-up questions. It should be kept in mind that people often talk about what they ideally would do and what they would like to be and have a low level of self-awareness.

To overcome some of the challenges of learning about a candidate's competencies a *behavioural event interview* should be conducted. Firstly, the candidate should be put at ease and asked a few general questions. Then they should be asked about a challenging situation that they mastered successfully. The candidate should be informed to tell the story briefly and then at greater length be questioned about what they thought, felt, and did throughout. This process should be repeated as the candidate is asked to recount an unsuccessful situation that created a learning experience. This may be followed by another successful story as the interview closes. As the stories are told the interviewer will gain an insight into the candidate's self-awareness, self-regulation, capacity for empathy, and overall level of EI. This helps one to "see" the candidates' EI through the lens of real experiences.

These strategies are subjective by nature but will help in selecting more emotionally intelligent candidates for your business who will be better at managing emotions, be more productive, have a greater self-awareness, have better quality relationships, and be more effective communicators.

Questions

- 6-14. What is emotional intelligence? What benefits are identified in the case of hiring an emotionally intelligent employee?
- 6-15. Comment on McKee's recommendations on what not to do when using EI as means of employee selection.
- 6-16. Identify a time that you successfully completed a task and record what you thought,

how you felt and what you did at this time. Then do the same for a task that you were not successful at completing. What insight into your EI did these experiences provide you with?

Sources: A. McKee, “How to Hire for Emotional Intelligence,” *Harvard Business Review*, February 5, 2016; Linda Le Phan, “Emotional Intelligence: 5 Reasons Companies Are Starting to Care More,” Kununu, June 19, 2017, <https://transparency.kununu.com/emotional-intelligence-5-reasons-companies-care-about-it>; Jayson DeMers, “5 Reasons You Need Emotionally Intelligent Employees (and How to Find Them),” *Entrepreneur*, <https://www.entrepreneur.com/article/292094>.

Case Incident 2 When the Going Gets Boring

We've all been there—whether your job itself is unfulfilling or if it's a particularly slow day at work, boredom strikes the best of us in the workplace. It is not a pleasant feeling. As Andreas Elpidorou, a researcher at the University of Louisville notes, “Boredom is an aversive state characterized by dissatisfaction, restlessness, and weariness.... Being in a state of boredom feels like being emotionally trapped.” Boredom can hit organizations hard. A study by Udemy, an online teaching and learning organization, found that employees who are bored tend to be twice as likely to leave their organizations within the next three to six months. Young millennial employees were especially prone to becoming bored at work and were twice as likely to become bored than their baby boomer counterparts. In another study by the Intelligence Group, 64 percent of millennials would prefer to forego a \$100,000 salaried position that they think is boring for a \$40,000 position that they love.

Being bored at work can have unacceptable consequences that can cause you a lot of trouble if you are not careful. For one, you can let your coworkers down when you're unresponsive and they need you, especially when they can't move forward without you. Second, boredom can at times lead to complaining—although this may seem common in organizations (due to media portrayals on TV and movies of complaining employees), it can be irritating to many employees, especially those who are happy with their work. Third, research shows that boredom can lead to the commission of CWBs, especially psychologically withdrawing from the job, sabotaging work equipment, and abusing other coworkers. Fourth, if work is central to an employee's life and if employees are not getting their needs met in their personal and work lives, boredom can lead to depression. Finally, some people just tend to be more bored than others—the boredom-prone experience a variety of undesirable outcomes, such as receiving less support from their organizations, underemployment, and lower performance ratings.

So how can you get on track if you're bored in the workplace? One of the keys to tackling boredom is to take control and be proactive. Research on over 1,500 employees in Finland (tracked over three years) suggests that taking control of your job and setting challenges for yourself, along with acquiring the resources you need to do the job well, reduce boredom gradually over time. Part of this involves forcing yourself to be more curious and looking outside your own responsibilities. When we become overwhelmed by the monotony of

familiar work, it is time to find new insights, perspectives, and ways of approaching our tasks. Others suggest that offering learning opportunities and reducing consistent hours worked, especially for millennials, may be effective in reducing boredom at work. Notably, the Udemy survey found that 80 percent of employees would become more interested in their tasks if they were given the opportunity to learn more skills. These results echo calls for the *gamification of the workplace* in which everyday tasks can be altered to include game mechanics, potentially leading to a reduction in boredom and an increase in cognitive control.

Questions ★

- 6-17.** Who is responsible for reducing boredom in the workplace and why? Is it the employer? The one who is bored?
- 6-18.** Do you think certain tasks are inherently boring and thus cannot be changed? If yes, what are they? If there are tasks that cannot be made more interesting, how can the negative effects of boredom be mitigated for the employees who must perform those tasks?
- 6-19.** Which emotion regulation technique do you think would be the most successful in mitigating boredom and why?

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MyLab Management Writing Assignments

If your instructor has assigned this activity, go to www.pearson.com/mylab/management for the following assisted-graded writing assignments:

- 6-20.** Refer again to the Ethical Dilemma. In what scenarios would you agree to having your emotions read and interpreted by your organization?
- 6-21.** Refer to Case Incident 1. In which job roles and work-based situations would individuals with high emotional intelligence perform better than highly intelligent ones?
- 6-22. MyLab Management only**—additional assisted-graded writing assignment.

Endnotes

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End of Chapter Quiz

Test Your Understanding

1 Which of the following is a generic term that covers a broad range of feelings that people experience?

- ☐ affect
- ☐ emotions
- ☐ moods
- ☐ emotional labor

Check answer

Reset

2 Research finds that when nothing in particular is happening, called positivity offset, most individuals experience _____.

- ☐ an intensely positive mood
- ☐ a mildly positive mood
- ☐ a neutral mood
- ☐ a mildly negative mood

Check answer

Reset

3 As the manager of a successful accounting firm, you know that from January to April, your employees often feel great amounts of stress. One of your employees, Syddarth, returned from lunch 30 minutes late and it appeared to you that he had been crying. It is important in this situation that you _____.

- ☐ get Syddarth some help because he clearly has mental issues
- ☐ fire Syddarth because he seems to not be able to handle the pressure
- ☐ assure Syddarth that you understand how he is feeling and that things are stressful
- ☐ tell Syddarth about how stressed you are to make him feel better

Check answer

Reset

4 Which of the following statements is true regarding the sources of moods and emotions?

- ☐ Moods and emotions are independent of the personality of the individuals.
- ☐ Sleep quality affects mood.
- ☐ The weather strongly affects moods.
- ☐ As we grow older, we experience more negative emotions.

Check answer

Reset

5 On which day of the week does negative affect tend to be the highest?

- ☐ Sundays
- ☐ Mondays
- ☐ Tuesdays
- ☐ Wednesdays

Check answer

Reset

6 If an employee expresses organizationally desired emotions during interpersonal transactions (irrespective of his true emotions), then it is known as _____.

- ☐ emotional labor
- ☐ negative affect
- ☐ positive affect
- ☐ emotional intelligence

Check answer

Reset

7 Which of the following statements is true regarding surface acting?

- Surface acting is hiding inner feelings and forgoing emotional expressions in response to display rules.
- A health care provider trying to genuinely feel more empathy for her patients is surface acting.

- ☐ Research shows surface acting is less stressful to employees than deep acting.
- ☐ Surface acting deals with felt emotions as opposed to deep acting which deals with displayed emotions.

Check answer

Reset

8 _____ is the act of objectively and deliberately evaluating our emotional situations in the moment.

- ☐ Deep level acting
- ☐ Surface level acting
- ☐ Mindfulness
- ☐ Emotional labor

Check answer

Reset

9 Andy, Ben, Liza, Ted, and Jim are online customer service representatives. They have all been reprimanded by their boss. Andy is 24 years old. Ben is 46 years old. Liza is 45 years old. Ted is 26 years old. Jim is 35 years old. Who is least likely to be upset by the reprimand?

- ☐ Andy
- ☐ Ben
- ☐ Liza
- ☐ Ted

Check answer

Reset

10 _____ indicates a person's ability to be self-aware, detect emotions in others, and manage emotional cues and information.

- ☐ Emotional intelligence
- ☐ Emotional dissonance
- ☐ Confirmation bias
- ☐ Cognitive distortion

Check answer

Reset

11 Whether a candidate has high emotional intelligence would not be a significant factor when considering candidates for the job of a(n) _____.

- ☐ interviewer who assesses candidates in an employment agency
- ☐ engineer heading a team designing a complex software/hardware interface
- ☐ meeting planner who must set up meetings for candidates around the world
- ☐ copy editor who seeks out spelling errors and grammatical mistakes in manuscripts

Check answer

Reset

12 Which of the following is a correct argument in favor of emotional intelligence (EI)?

- ☐ EI accurately indicates the linguistic abilities of a person.
- ☐ EI is a simple and straightforward concept.
- ☐ The concept of EI has a biological base.
- ☐ EI can be measured easily.

Check answer

Reset

13 Which of the following can be said to be true of emotion regulation?

- ☐ It takes effort to modify one's feelings.
- ☐ It is easily achieved.
- ☐ It results in long-term positive emotions.
- ☐ It helps in building self-esteem.

Check answer

Reset

14 Henry is upset because his boss recently reprimanded him for missing a deadline. The boss put Henry on a probation period, causing him to lose his two days a week telecommuting privilege. Henry now has to work at the office five days a week. Which of the following is most likely to result from Henry's negative

attitude due to the reprimand?

- ☐ deviant workplace behavior
- ☐ emotional contagion
- ☐ cognitive dissonance

☐ positivity offset

Check answer

Reset

15 Evidence suggests people who feel negative emotions, particularly _____ or hostility, are more likely than others to engage in deviant behavior at work.

☐ nervousness

☐ tension

☐ anger

☐ stress

Check answer

Reset

7

Motivation Concepts



Source: Rick Wilking/Reuters/Alamy Stock Photo

Learning Objectives

After studying this chapter, you should be able to:

- 7-1** Describe the three key elements of motivation.
- 7-2** Compare the early theories of motivation.
- 7-3** Contrast the elements of self-determination theory and goal-setting theory.
- 7-4** Understand the differences among self-efficacy theory, reinforcement theory, and expectancy theory.
- 7-5** Describe the forms of organizational justice, including distributive justice, procedural justice, informational justice, and interactional justice.

7-6 Identify the implications of employee job engagement for managers.

7-7 Describe how the contemporary theories of motivation complement one another.

Employability Skills Matrix (ESM)

	Myth or Science?	Career Objectives	An Ethical Choice	Point/Counterpoint	Experiential Exercise	Ethical Dilemma
Critical Thinking				✓	✓	✓
Communication		✓			✓	
Collaboration	✓	✓			✓	
Knowledge Application and Analysis	✓	✓	✓	✓	✓	✓
Social Responsibility	✓	✓	✓		✓	✓

MyLab Management Chapter Warm Up

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the chapter warm up.

When Goals go out of Control

“Next week, I’ll be on the beach in Kauai, sipping a mai tai in the sun, as the waves lap

the shore ... and 500 of my employees, franchise partners, and their families will be there with me.” Brian Scudamore, the founder and CEO of O2E Brands, and his company made their trip to Hawaii happen. In 2012, in the wake of the financial crisis, they set a challenging goal: to double their revenue over a five-year period. Scudamore attests to the power of setting specific, challenging goals and even recognizes that, when done correctly, goal setting can even help pay for the reward to the goal you set.

Goal-setting theory has had an undeniable impact on the study of motivation in organizational behavior. A voluminous literature suggests that goal setting can help improve motivation and performance in employees, and many organizations recognize this and try to harness their power. But sometimes goal setting may not be used in the “right” way and can lead to perceptions of unfairness or injustice from employees, who may even engage in counterproductive work behaviors (like cheating) to accomplish the goal.

For example, in September 2016, it was revealed that over 5,000 employees of the Wells Fargo bank “cheated the system” by opening more than 2 million unauthorized customer accounts using personally identifiable information to meet “indiscriminate” sales goals. Essentially, an employee would move funds from cardholders’ accounts into new accounts to meet their sales goals. To make matters worse, nearly 15,000 customers were charged interest, overdraft, and annual fees for accounts they never authorized to be opened.

Although likely satirical or exaggerated, early cartoon YouTube videos using the site xtranormal.com perhaps tapped into employees’ underlying perceptions of injustice. For example, one 2011 depiction of a conversation between a banking manager and supervisor provides insight into these unrealistic goals: “Please share with me how you plan to hit 400 checking accounts and 2,000 solutions this month,” asks the supervisor. The manager answers, “Well, I plan to work 90 hours a week for the next four weeks.” “That’s not good enough,” responds the supervisor. Susan Fischer, one bank manager from Phoenix, recalled, “[T]he challenges that I faced were the astronomical goals that were set ... it was the pressure of having to hold the team accountable to very unrealistic standards.” Not only have these events upset customers, clients, and employees alike, but shareholders were irate as well: Prior to an annual shareholders meeting, the Sisters of St. Francis of Philadelphia, an order of nuns who were also shareholders in Wells Fargo, wanted to see “real, systematic change in culture, ethics, values and financial sustainability,” further characterizing the perceptions of injustice.

Despite these challenges, Wells Fargo tried to repair their relationships with their

customers, employees, and all involved. It appears as if the current goal system is on its way out, and the organization has already engaged in remedial action. Wells Fargo has since fired most of the employees who participated in the practices and will also be paying millions in fines and refunds to the customers affected. Paradoxically, some research suggests that, when organizations go above and beyond to repair damaged relationships after ethical transgressions or injustices, sometimes employees and customers can become *more* satisfied than if the transgressions never occurred at all.

Sources: Based on M. Egan, “5,300 Wells Fargo Employees Fired over 2 Million Phony Accounts,” *CNN Money*, September 9, 2016, <http://money.cnn.com/2016/09/08/investing/wells-fargo-created-phony-accounts-bank-fees/?iid=EL>; M. Egan, “Wells Fargo Still Faces over a Dozen Probes Tied to Fake Account Scandal,” *CNN Money*, March 31, 2017, <http://money.cnn.com/2017/03/31/investing/wells-fargo-investigations-fake-account-scandal/>; E. A. Locke and G. P. Latham, “Building a Practically Useful Theory of Goal Setting and Task Motivation,” *American Psychologist* 57, no. 9 (2002): 705–17; L. D. Ordóñez, M. E. Schweitzer, A. D. Galinsky, and M. H. Bazerman, “Goals Gone Wild: The Systematic Side Effects of Over-Prescribing Goal Setting,” *Academy of Management Perspectives* 31, no. 1 (2017): 6–16; M. P. Regan, “Wells Fargo Scandal Gets Cartoonish,” *Bloomberg: Gadfly*, October 21, 2016, <https://www.bloomberg.com/gadfly/articles/2016-10-21/psst-regulators-watch-videos-for-bank-scandal-after-wells-fargo>; M. Schminke, J. Caldwell, M. L. Ambrose, and S. R. McMahon, “Better Than Ever? Employee Reactions to Ethical Failures in Organizations, and the Ethical Recovery Paradox,” *Organizational Behavior and Human Decision Processes* 123 (2014): 206–19; B. Scudamore, “Why I’m Spending My Spring Break with 500 of My Closest Co-Workers,” *Inc.*, March 14, 2017, <http://www.inc.com/brian-scudamore/we-put-500-employees-on-a-plane-to-hawaii-for-1-very-good-reason.html>; S. Woolley, “Next Time Your Boss Sets a Crazy Sales Goal, Show Him This,” *Bloomberg*, September 14, 2016, <https://www.bloomberg.com/news/articles/2016-09-14/how-sales-targets-encourage-wrongdoing-inside-america-s-companies>.

OB POLL**Asking for a Raise: Business Executives**

When you asked for a pay raise, did you receive one?



Note: Survey of 3,900 executives from 31 countries.

Source: Based on Accenture, “The Path Forward” (2012),

<http://www.accenture.com/SiteCollectionDocuments/PDF/Accenture-IWD-Research-Deck-2012-FINAL.pdf#zoom=50>, 36.

As we read in the chapter-opening vignette, motivation is a powerful force: It can drive employees through encouragement and reward to accomplish challenging goals. It can also drive employees to cheat when they experience injustice or are threatened by unattainable goals. As a manager, navigating and attempting to predict these forces becomes a challenge, but knowing more about different theories of motivation can help increase an understanding of how motivation may operate and how employees become motivated.

Motivation is one of the most frequently researched topics in organizational behavior (OB).¹ In one survey, 69 percent of workers reported wasting time at work every day, and nearly a quarter said they waste between 30 and 60 minutes each day. How? Usually by surfing the Internet (checking the news and visiting social network sites) and chatting with coworkers.² Although times change, the problem of motivating a workforce stays the same.

In this chapter, we’ll review the basics of motivation, assess motivation theories, and provide an integrative model that fits these theories together. But first, look at the potential that a little motivation to ask for a raise can yield, shown in the OB Poll.

Motivation Defined

7-1 Describe the three key elements of motivation.

The same young student who struggles to read a textbook for more than 20 minutes may devour a Harry Potter book in a day. The difference is the situation. As we analyze the concept of motivation, keep in mind that the level of motivation varies both between individuals and within individuals at different times.

We define **motivation** ⓘ as the processes that account for an individual's *intensity*, *direction*, and *persistence* of effort toward attaining a goal.³ While general motivation is concerned with effort toward *any* goal, we'll narrow the focus to *organizational* goals.

Intensity describes how hard a person tries. This is the element most of us focus on when we talk about motivation. However, high intensity is unlikely to lead to favorable job performance outcomes unless the effort is channeled in a *direction* that benefits the organization. Therefore, we consider the quality of effort as well as its intensity. Effort directed toward, and consistent with, the organization's goals is the kind of effort we should be seeking. Finally, motivation has a *persistence* dimension. This measures how long a person can maintain effort. Motivated individuals stay with a task long enough to achieve their goals.

MyLab Management Watch It

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the video exercise.

Motivation Role Play

Watch it video.

A **transcript** of this video is available [here](#).

Transcript

Motivation Role Play

>> [Music]

>> Okay, I want to get onto this week's stories

>> but first I've got some sad news.

>> Karen gave her notice today.

>> Really?

>> Yeah. It's nothing anyone did here.

>> She just sort of felt it was time to move

>> on to a more traditional job.

>> Code for mega benefits and a way bigger paycheck.

>> I offered her time off to recharge her batteries

>> but she made up her mind.

>> So, that's that.

>> Moving on.

>> Taylor, Andy, what's up with Modern Element Design this week?

>> Ironically.

>> . .

>> Coincidentally, they're going

>> through some similar stuff with that guy David.

>> Yes.

>> I just got the pocket cam footage in.

>> Oh, bring it on.

>> You got it.

>> [Music]

>> Hey David how you doin'?

>> I'm doin' okay.

>> How 'bout you?

>> Oh hangin' in there, thanks.

>> Good, good.

>> Kinda busy.

>> Yeah.

>> I just wanted to talk about the potential for a raise

>> because I know last year you weren't able to do it

>> and I totally understood that; we were in a bad economy

>> where we all had to kinda you know come together

>> and work together but it's been close to two years now

>> since I've had a raise and it just seems

>> like things are going better around here,

>> we've landed another account through what I've done.

>> I feel like it's time to at least talk about it.

>> Okay. So, I, I completely understand

>> where you're coming from David.

>> I appreciate everything that you've done for the company.

>> I think you're an amazing project manager.

>> You've brought in some really good steady state business

>> and so I don't want to minimize that by you thinking

>> that because we haven't given you a raise we don't

>> appreciate it.

>> We really do.

>> But having said that, I want you to understand that unfortunately

>> at this time I'm not able

>> to give you an increase in your salary.

>> We we have made a turn in terms of the economy and some,

>> some business that's allowed us to be a little bit more stable,

>> but we're not quite there yet.

>> Through the end of this year we're not going to be able

>> to give anyone a raise.

>> Now well you know I, I guess I can appreciate that.

>> It just seems like if I am somebody who's really

>> contributing, you know and I know this past year I saved us

>> at least \$30,000 on the IAP project by figuring

>> out a cheaper way to do it, it just seems like some

>> of that should be coming back to me especially,

>> you know I'm putting, I'm putting if anything more time

>> and more effort and it feels like if anything I'm working

>> for less because I'm putting in more time.

>> And I look at some of the people around here, they're not putting

>> in as much of an effort as I am.

>> Some of those people make more money than I do right now

>> and I feel like, man it's frustrating 'cause you know my

>> costs aren't going down, they're going up.

>> Sure. Yup.

>> You know I heard the same thing last year saying.

>> . .

>> Sure.

>> Well we're in a tight economy but next year we'll get it.

>> Well next year's here and it's not here so.

>> Yeah. I'd like to maybe offer you something else.

>> I think there's an opportunity for maybe a flexible schedule.

>> I know that's something that you have been a bit interested in.

>> Well, I don't know.

>> I mean, honestly I'd rather just have the money

>> because to me you know I feel like the job is the job

>> and although flexible hours is nice, I I'd be working

>> that anyway wherever I am so.

>> So, what about this as an option,

>> you know we have some really exciting projects coming

>> in in the next few weeks.

>> . .

>> Um hum.

>> And there could be an opportunity for you

>> to to lead one of those projects.

>> Is that something you'd be interested in?

>> Well yeah I mean I think the CMI project in particular seems,

>> seems like a really you know creative project which,

>> which I'd love to be a part of.

>> You know it just comes back to as well, well,

>> if anything that's gonna be more work

>> and more high profile and so.

>> . .

>> Sure.

>> Is that gonna at least be in consideration

>> when the time comes that raises do roll around?

>> Yeah, well there there are certainly some incentives built

>> into some of those programs.

>> Okay.

>> And and if we deliver then our customers pay those

>> incentives and those incentives are really intended to,

>> to go back into the company but there may be an opportunity

>> to perhaps you know direct some of those to the project team.

>> Okay, that sounds great.

>> I can't commit to that, but it it,

>> you know it could be an option.

>> Is there any training that you've been wanting to take

>> that could be of value to you?

>> Well, there is a graphics technology course that I was,

>> you know, pretty interested in and not to be petty about it

>> but I look at that and think well it's

>> at least a couple grand in terms of the,

>> in terms of what you pay plus the travel and everything and.

>> . .

>> Um hum.

>> And I honestly would just rather get that money

>> as even a small bonus.

>> Unfortunately, the way that we would do budgeting is

>> that we allocate a certain amount of money

>> for training and development.

>> Um hum.

>> So it's not like I can ear earmark that money

>> and direct it towards you

>> but that's money that's already been targeted

>> and if we don't use it, we lose it.

>> Okay well yeah I'd definitely be interested in that then.

>> Yeah.

>> I mean is there, so that's great,

>> I guess is there any timetable for when raises or bonuses

>> or anything might kick in?

>> I just don't want to be here

>> in six months or a year from now.

>> . .

>> Yeah.

>> Saying we still can't give you a raise, you know?

>> Right. I I can't commit to you that definitely you're going

>> to get a raise at a particular time, but what I can say

>> to you is that in Q1 we look at where we're at as a company

>> and what is our compensation plan.

>> . .

>> Okay.

>> So what I can say to you is in Q1 I'll be able

>> to give you a more concrete answer and and be able

>> to be very definitive about what we can do and when we can do it.

>> I guess I would just say when the second quarter rolls around.

>> . .

>> Sure.

>> You know I, hopefully it'll be there

>> because if it's not then it's gonna be tough.

>> Well let me, let me make this commitment to you.

>> I've got a meeting with the with the CEO at about.

>> Okay.

>> I'm gonna relay the conversation that you and I had.

>> Okay.

>> So I'm gonna make sure that he's aware of the impact of,

>> of you leaving the company and how.

>> . .

>> Right right.

>> Well I don't want to, I mean I'm you know.

>> We might be able to, absolutely.

>> I know that's not a threat.

>> Right.

>> But I, I, I know it's a reality and so we don't want

>> to put you in a position where you feel like you have to leave.

>> Okay.

>> And we don't want to be put in a position

>> where we can't really support what you need.

>> So, I hope that that satisfies you.

>> Let's keep the dialog open.

>> Feel free to come and talk to me, okay?

>> Well thanks I appreciate it.

>> All right, you take it easy.

>> Okay.

>> This is perfect.

>> Really?

>> Yeah I'm thinking about this whole idea of motivation,

>> taking it to the next level.

>> Um hum yes.

>> We we could totally do a whole thing,

>> we'll get that expert guy what's his face, to license.

>> Or even better, create original content for a webinar series.

>> Love it.

>> Yeah.

>> Motivation without money.

>> Jeremy, can you do a logo and all that?

>> Um hum.

>> I've got some interviews lined

>> up if anyone wants to take a listen.

>> Great.

>> It is really a challenge to be able to satisfy employees

>> when we can't give them a raise.

>> We really have to first understand what motivates not

>> all employees, but individually what motivates people and look

>> for ways to try to address the the lack of compensation

>> from money with you know maybe creative projects

>> or an opportunity to do some training

>> that they maybe would've had to pay for on their own.

>> It's really hard when you have somebody as valuable

>> as Dave coming in and you know really expressing their,
>> their unhappiness.
>> I mean really we want to be able to take care of somebody
>> like David and and all of our employees
>> but it's really challenging when the money's not there.
>> I think it makes them feel more valued
>> to give them other options because what I try
>> to do is give options that are based on the individual
>> and what I think that they're most interested in
>> and not just generic kind of options
>> and really understanding what the, what motivates the employee
>> versus what just motivates all employees.
>> So I think sometimes it has to be individual
>> so that what you're offering is attractive to that person.
>> So for example with Dave, we offered him the opportunity
>> to take a training program that he had mentioned
>> about six months ago that he was really interested in,
>> wanting to participate in this program
>> because he thought it would really give him an advantage
>> and some leading edge skills
>> for new opportunities that are coming in.
>> For the most part, when we offer alternatives to money,
>> most people are willing to accept
>> that because it's often something

>> that they hadn't thought about.

>> Money is usually the one thing that they want to be compensated

>> with but there are some people who just want the money

>> and don't want the alternatives and I think that's

>> when it becomes difficult because you have

>> to make some hard choices because if you can't give it

>> to them that might be somebody who could leave.

>> One of the things that I do to motivate my employees is,

>> once a month I have a lunch for all, everyone on my team

>> and we bring them together and we don't talk about work.

>> We just simply talk about life and how things are going

>> and it's a, it's a small way of saying thank you.

>> But what it does is it gets us

>> to know each other a little bit better, and what I've found

>> from a teaming perspective, the more that you know the people

>> that you're working with, the more inclined you are

>> to give it your all because there's a collective spirit

>> in terms of what we're going towards.

>> I've got this great idea.

>> Shoot.

>> How 'bout we do us?

>> What for?

>> As a profile in the motivation series.

>> Like a behind the scenes behind the scenes.

>> Linda talked about how she does a lunch once a week for everyone

>> to just hang out, no work talk.

>> Well every day is like that here.

>> I'm like the perfect example of a boss

>> who motivates without money.

>> Uh, I don't know.

>> Um I think it's gonna take more than money to motivate the folks

>> around here to appear on camera.

>> Call Taylor.

>> She knows how to do that kind of thing.

>> Have her set it up.

>> Alright.

>> [Music]

Early Theories of Motivation

7-2 Compare the early theories of motivation.

Three theories of employee motivation formulated during the 1950s are probably the best known. Although they are now of questionable validity (as we'll discuss), they represent a foundation of motivation theory, and many practicing managers still use their terminology.

Hierarchy of Needs Theory

The best-known theory of motivation is Abraham Maslow's **hierarchy of needs** ⓘ,⁴ which hypothesizes that within every human being there is a hierarchy of five needs. Recently, a sixth need has been proposed for a highest level—intrinsic values—which is said to have originated from Maslow, but it has yet to gain widespread acceptance.⁵ The original five needs are:

1. **Physiological.** Includes hunger, thirst, shelter, sex, and other bodily needs.
2. **Safety-security.** Security and protection from physical and emotional harm.
3. **Social-belongingness.** Affection, belongingness, acceptance, and friendship.
4. **Esteem.** Internal factors such as self-respect, autonomy, and achievement, and external factors such as status, recognition, and attention.
5. **Self-actualization.** Drive to become what we are capable of becoming; includes growth, achieving our potential, and self-fulfillment.

According to Maslow, as each need becomes substantially satisfied, the next one becomes dominant. So if you want to motivate someone, you need to understand what level of the hierarchy that person is currently on and focus on satisfying needs at or above that level. We depict the hierarchy as a pyramid in Exhibit 7-1 because this is its best-known presentation, but Maslow referred to the needs only in terms of levels.

Maslow's theory has received long-standing wide recognition, particularly among practicing managers. It is intuitively logical and easy to understand, and some research has validated it.⁶ Unfortunately, however, most research does not, and it hasn't been frequently researched since the 1960s.⁷ But old theories, especially intuitively logical ones, die hard. It

is thus important to be aware of the prevailing public acceptance of the hierarchy when discussing motivation.

Exhibit 7-1 Maslow's Hierarchy of Needs

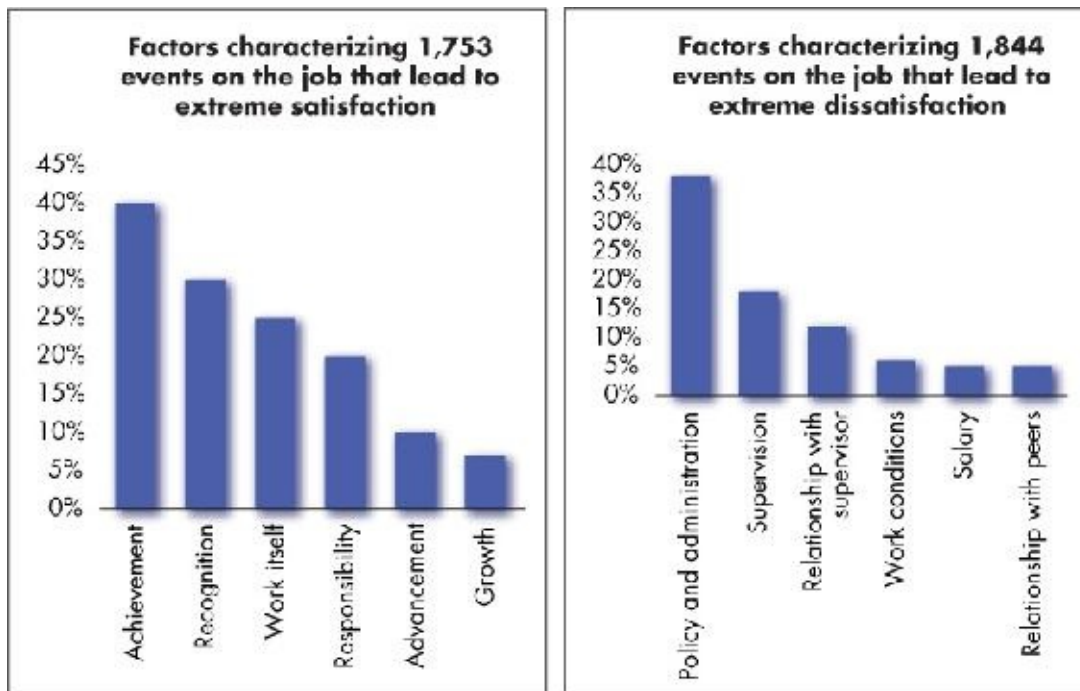


Source: Based on H. Skelsey, “Maslow’s Hierarchy of Needs—the Sixth Level,” *Psychologist* (2014): 982–83.

Two-Factor Theory

Believing an individual’s relationship to work is basic, and that the attitude toward work can determine success or failure, psychologist Frederick Herzberg wondered, “What do people want from their jobs?” He asked people to describe, in detail, situations in which they felt exceptionally *good* or *bad* about their jobs. The responses differed significantly and led Hertzberg to his **two-factor theory** ⓘ (also called *motivation-hygiene theory*, but this term is not used much today).⁸

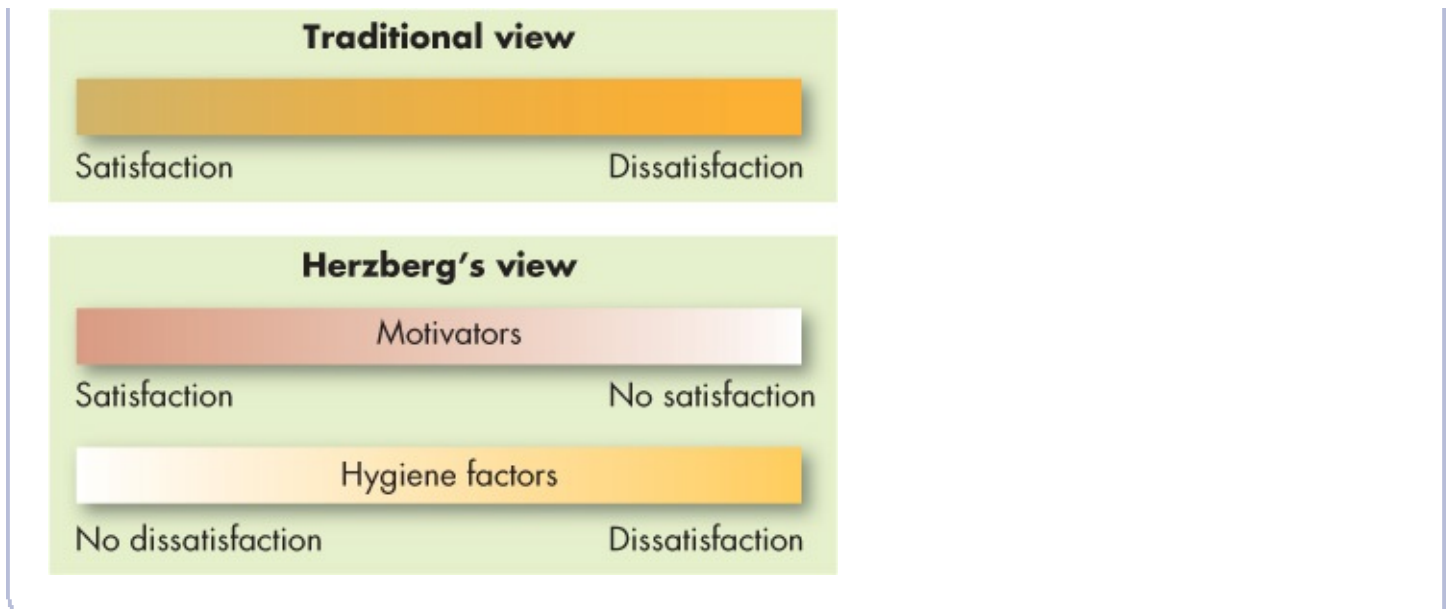
Exhibit 7-2 Comparison of Satisfiers and Dissatisfiers



Source: Based on Harvard Business Review, "Comparison of Satisfiers and Dissatisfiers," An exhibit from One More Time: How Do You Motivate Employees? by Frederick Herzberg, January 2003. Copyright © 2003 by the Harvard Business School Publishing Corporation. All rights reserved.

As shown in Exhibit 7-2, intrinsic factors such as advancement, recognition, responsibility, and achievement seem related to job satisfaction. Respondents who felt good about their work tended to attribute these factors to their situations, while dissatisfied respondents tended to cite extrinsic factors, such as supervision, pay, company policies, and work conditions.

Exhibit 7-3 Contrasting View of Satisfaction and Dissatisfaction



To Herzberg, the data suggest that the opposite of satisfaction is not dissatisfaction, as was traditionally believed. Removing dissatisfying characteristics from a job does not necessarily make the job satisfying. Herzberg proposed a dual continuum: The opposite of “satisfaction” is “no satisfaction,” and the opposite of “dissatisfaction” is “no dissatisfaction” (see Exhibit 7-3).

Under two-factor theory, the factors that lead to job satisfaction are separate and distinct from those that lead to job dissatisfaction. Therefore, managers who seek to eliminate factors that can create job dissatisfaction may bring about peace but not necessarily motivation. They will be placating rather than motivating their workers. Conditions such as quality of supervision, pay, company policies, physical work conditions, relationships with others, and job security are **hygiene factors** ⓘ. When they're adequate, people will not be dissatisfied; neither will they be satisfied. If we want to *motivate* people on their jobs, we should emphasize factors associated with the work itself or with outcomes directly derived from it, such as promotional opportunities, personal growth opportunities, recognition, responsibility, and achievement. These are the characteristics people find intrinsically rewarding.

The two-factor theory has not been well supported in research. Criticisms center on Herzberg's original methodology and his assumptions, such as how the participants may be biased in thinking back to times when they felt good or bad about their jobs.⁹ Furthermore, if hygiene and motivational factors are equally important to a person, both should be capable of motivating.



Regardless of the criticisms, Herzberg's theory has been quite influential and has

been used in many studies in Asian countries, such as Japan and India.¹⁰ Few managers worldwide are unfamiliar with its recommendations.

McClelland's Theory of Needs

You have one beanbag and five targets set up in front of you, each farther away than the last. Target A sits almost within arm's reach. If you hit it, you get \$2. Target B is a bit farther out and pays \$4, but only about 80 percent of the people who try can hit it. Target C pays \$8, and about half the people who try can hit it. Very few people can hit Target D, but the payoff is \$16 for those who do. Finally, Target E pays \$32, but it's almost impossible to achieve. Which would you try for? If you selected C, you're likely to be a high achiever. Why? Read on.

McClelland's theory of needs ⓘ was developed by David McClelland and his associates.¹¹ Compared to Maslow's hierarchy, these needs are more akin to motivating factors than strict needs for survival. There are three:

- **Need for achievement (nAch)** ⓘ is the drive to excel, to achieve in relationship to a set of standards.
- **Need for power (nPow)** ⓘ is the need to make others behave in a way they would not have otherwise.
- **Need for affiliation (nAff)** ⓘ is the desire for friendly and close interpersonal relationships.

McClelland and subsequent researchers focused most of their attention on nAch. In general, high achievers perform best when they perceive their probability of success as 0.5—that is, a 50–50 chance. They dislike gambling with high odds because they get no achievement satisfaction from success that comes by pure chance. Similarly, they dislike low odds (high probability of success) because then there is no challenge to their skills. They like to set goals that require stretching themselves a little.

 McClelland's theory has research support across cultures, particularly (when cultural dimensions including power distance are considered).¹² Based on prior nAch research, we can predict some relationships between nAch and job performance. First, when employees have a high level of nAch, they tend to exhibit more positive moods and be more interested in the task at hand.¹³ Second, employees high on nAch tend to perform very well

in high-stakes conditions on the job, like work walkthroughs or sales encounters.¹⁴

The need for achievement has received a great deal of research attention and acceptance in a wide array of fields, including organizational behavior, psychology, and general business.¹⁵ The nPow also has research support, but it may be more familiar to people in broad terms (e.g., a need to obtain power) than in relation to the original definition (e.g., a need to make others behave in a way that you want them to).¹⁶ We will discuss power much more in Chapter 11. The nAff is also well established and accepted in research—for example, one recent study of 145 teams from Korean organizations suggests that, out of all the needs, groups composed of employees with a high nAff tend to perform the best, exhibit the most open communication, and experience the least amount of conflict.¹⁷ Both nAff and nPow tend to be closely related to managerial success. The best managers may be high in their need for power and low in their need for affiliation.¹⁸



Entrepreneur Fred DeLuca is a high achiever motivated by work that demands a high degree of personal responsibility. He cofounded a Subway sandwich shop in 1965 at the age of 17 to help finance his college education and grew the company into the world's largest fast-food franchise, with almost 44,000 shops in more than 100 countries.

Source: Geoff Caddick/EMPPL PA Wire/AP Images

Why won't he take my advice?

The new guy in the office is nice enough, but he's straight out of college, and I have 20 years of experience in the field. I'd like to help him out, but he won't take it no matter how I approach him. Is there anything I can do to motivate him to accept my advice? He badly needs a few pointers.

— *James*

Dear James:

It's great that you want to help, and surely you have wisdom to offer. But let's start with this: When is the last time you took someone else's advice? Chances are it's easier for you to remember the last time you *didn't* take someone's advice than when you did. That's because we want success on our own terms, and we don't like the idea that a ready answer was out there all along (and we missed it). "When somebody says, 'You should do something,' the subtext is: 'You're an idiot for not already doing it,'" said psychologist Alan Goldberg. "Nobody takes advice under those conditions." So under what conditions *do* people take advice?

There are two parts to the motivation equation for advice: what your coworker wants to hear, and how you can approach him. For the first part, keep this rule in mind: He wants to hear that whatever decisions he's made are brilliant. If he hears anything different from that, he's likely to tune you out or keep talking until you come over to his side.

For the second part, your coworker's motivation to accept and, more important, act on advice has a lot to do with how you approach him. Are you likely to "impart your wisdom to the younger generation"? Anything like "I wish I had known this when I was just starting out like you" advice will likely have him thinking you (and your advice) are out of date. Are you going to give "if I were you, I would do this" advice? He may resent your intrusion. According to research, what is most likely to work is a gentle suggestion, phrased as a request. Ravi Dhar, a director at Yale, said, "Interrogatives have less reactance and may be more effective." You might say, for instance, "Would you consider trying out this idea?"

Take heart. The problem isn't that we don't like advice—we do, as long as we seek

it. According to research, we are more motivated toward advice when we are facing important decisions, so good timing may work in your favor. When he does ask, you may suggest that he writes down the parameters of his choices and his interpretations of the ethics of each decision. Researcher Dan Ariely has found that we are much more motivated to make morally right decisions when we've considered the moral implications in a forthright manner. In this way, your coworker may motivate himself to make the right decisions.

Keep trying!

Sources: Based on D. Ariely, "What Price for the Soul of a Stranger?" *The Wall Street Journal*, May 10–11, 2014, C12; J. Queenan, "A Word to the Wise," *The Wall Street Journal*, February 8–9, 2014, C1–C2; and S. Reddy, "The Trick to Getting People to Take the Stairs? Just Ask," *The Wall Street Journal*, February 17, 2015, R4.

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Additional research on Cameroonian and German adults suggests that our personalities may affect whether we can satisfy these needs. For example, a high degree of neuroticism can prevent one from fulfilling the nAff, whereas agreeableness supports fulfillment of this need; interestingly, extraversion had no significant effect.¹⁹

The degree to which we have each of the three needs is difficult to measure, and therefore the theory is difficult to put into practice. A behavior may be directed at satisfying many different needs, and many different behaviors may be directed at satisfying one given need, making needs difficult to isolate and examine.²⁰ It is more common to find situations in which managers aware of these motivational drivers label employees based on observations made over time. Therefore, the concepts are helpful, but they are not often used objectively.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

7.2.1 Which of the following statements is true regarding Maslow's hierarchy of needs theory?

- ☐ 'Social' needs relate to autonomy and achievement.
- ☐ Having a substantially satisfied need no longer motivates.
- ☐ 'Esteem' needs relate to affection and friendship.
- ☐ Social needs are lower-order needs.

Check answer

Reset

7.2.2 Which of the following statements is true according to the two-factor theory?

- ☐ The hygiene factors tend to be intrinsic factors.
- ☐ Factors that lead to job satisfaction are extrinsic factors.
- ☐ Adequate hygiene factors ensure that people are not dissatisfied.
- ☐ Recognition is a hygiene factor.

Check answer

Reset

Contemporary Theories of Motivation

7-3 Contrast the elements of self-determination theory and goal-setting theory.

Contemporary theories of motivation have one thing in common: Each has a reasonable degree of valid supporting documentation. We call them “contemporary theories” because they represent the latest thinking in explaining employee motivation. This doesn’t mean they are unquestionably right, however.

Self-Determination Theory

“It’s strange,” said Marcia. “I started work at the Humane Society as a volunteer. I put in 15 hours a week helping people adopt pets. I loved coming to work; but then, 3 months ago, they hired me full-time at \$11 an hour. I’m doing the same work I did before. But I’m not finding it as much fun.”

Does Marcia’s reaction seem counterintuitive? There’s an explanation for it. It can be found in **self-determination theory** ⓘ, which proposes (in part) that people prefer to feel they have control over their actions, and anything that makes a previously enjoyed task feel more like an obligation than a freely chosen activity undermines motivation.²¹ The theory is widely used in psychology, management, education, and medical research.

Much research on self-determination theory in OB has focused on **cognitive evaluation theory** ⓘ, a complementary theory hypothesizing that extrinsic rewards reduce intrinsic interest in a task. When people are paid for work, it feels less like something they *want* to do and more like something they *have* to do. Self-determination theory proposes that, in addition to being driven by a need for autonomy, people seek ways to achieve competence and make positive connections with others. Of all the three needs, however, the autonomy need is the most important for attitudinal and affective outcomes, whereas the competence need appears to be most important for predicting performance.²²

What does self-determination theory suggest about providing rewards? It suggests that some caution in the use of extrinsic rewards to motivate is wise and that pursuing goals from intrinsic motives (such as a strong interest in the work itself) is more sustaining to human motivation than are extrinsic rewards. Similarly, cognitive evaluation theory suggests that

providing extrinsic incentives may, in many cases, undermine intrinsic motivation. For example, if a computer programmer values writing code because she likes to solve problems, a bonus for writing a certain number of lines of code every day could feel coercive, and her intrinsic motivation would suffer. She may or may not increase her number of lines of code per day in response to the extrinsic motivator. In support, a recent meta-analysis confirms that intrinsic motivation contributes to the quality of work, while incentives contribute to the quantity of work. Although intrinsic motivation predicts performance regardless of incentives, it may be less of a predictor when incentives are tied to performance directly (such as with monetary bonuses) rather than indirectly.²³



A more recent outgrowth of self-determination theory is **self-concordance** ⓘ, which considers how strongly people's reasons for pursuing goals are consistent with their interests and core values. OB research suggests that people who pursue work goals for intrinsic reasons are more satisfied with their jobs, feel they fit into their organizations better, and may perform better.²⁴ Across cultures, if individuals pursue goals because of intrinsic interest, they are more likely to attain goals, are happier when they do so, and are happy even when they are unable to attain them.²⁵ Why? Because the process of striving toward goals is fun regardless of whether the goal is achieved. Recent research reveals that when people do not enjoy their work for intrinsic reasons, those who work because they feel obligated to do so can still perform acceptably, though they experience higher levels of strain.²⁶ Research on Australian, British, and American employees suggests that organizations can increase certain behaviors of interest from their employees, such as environmentally sustainable behaviors (e.g., conserving energy and commuting), by connecting them with goals that are important to them.²⁷

Myth or Science?

Helping Others and Being a Good Citizen Is Good for Your Career

We might think we should motivate employees to display organizational citizenship behavior (OCB), and that helping others would benefit their careers.

We would probably also believe our own OCB will yield us career benefits.

Surprisingly, there is some evidence that these assumptions are false, at least in certain organizations. Why?

In some organizations, employees are evaluated more on *how* their work gets done than on how much they do. If they possess the requisite knowledge and skills, or if they demonstrate the right behaviors on the job (for example, always greeting customers with a smile), they are determined by management to be motivated, “good” performers. In these situations, OCBs are considered as the next higher level of good employee behavior. Employees’ careers thus benefit because of their helpfulness toward coworkers.

In other organizations, however, employees are evaluated more on *what* gets done. Here, employees are determined to be “good” performers if they meet objective goals such as billing clients a certain number of hours or reaching a certain sales volume. When managers overlook employee OCB, frown on helpful behaviors, or create an overly competitive organizational culture, employees become unmotivated to continue their helpful actions. Those who still engage in OCB can find their career progress is slowed when they take time away from core tasks to be helpful.

The upshot? There may be a trade-off between being a good performer and being a good citizen. In organizations that focus more on behaviors, following your motivation to be a good citizen can help to accomplish your career goals. However, in organizations that focus more on objective outcomes, you may need to consider the cost of your good deeds.

Sources: Based on D. M. Bergeron, “The Potential Paradox of Organizational Citizenship Behavior: Good Citizens at What Cost?” *Academy of Management Review* 32, no. 4 (2007); and D. M. Bergeron, A. J. Shipp, B. Rosen, and S. A. Furst, “Organizational Citizenship Behavior and Career Outcomes: The Cost of Being a Good Citizen,” *Journal of Management* 39, no. 4 (2013): 958–84.

What does all this mean? For individuals, it means you should choose your job for reasons other than extrinsic rewards. For organizations, it means managers should provide intrinsic as well as extrinsic incentives. Managers need to make the work interesting, provide recognition, link organizational and employee goals, and support employee growth and

development. Employees who feel that what they do is within their control and a result of free choice are likely to be more motivated by their work and committed to their employers.²⁸

Goal-Setting Theory

You've likely heard this sentiment several times: "Just do your best. That's all anyone can ask." But what does "do your best" mean? Do we ever know whether we've achieved that vague goal? Research on [goal-setting theory](#) ⓘ, proposed by Edwin Locke, reveals the impressive effects of goal specificity, challenge, and feedback on performance. Under the theory, intentions to work toward a goal are considered a major source of work motivation.²⁹

Goal-setting theory is well supported. Evidence strongly suggests that *specific* goals increase performance; that *difficult* goals, when accepted, result in higher performance than do easy goals; and that *feedback* leads to higher performance than does nonfeedback.³⁰ Why? First, specificity itself seems to act as an internal stimulus. When a trucker commits to making 12 round-trip hauls between Toronto and New York each week, this intention gives him a specific objective to attain. All things being equal, he will outperform a counterpart with no goals or the generalized goal "do your best."



Cofounders Anthony Thomson, left, and Vernon Hill launched the Metro Bank in London in 2010 with the goal of adding

200 new branches and capturing 10 percent of London's banking market. This challenging goal motivates employees to exert a high level of effort in giving customers exceptionally convenient, flexible, and friendly—including pet-friendly—service.

Source: Toby Melville/Reuters

Second, if factors such as acceptance of goals are held constant, the more difficult the goal, the higher the level of performance. Of course, it's logical to assume easier goals are more likely to be accepted. But once a hard task has been accepted, we can expect the employee to exert a high level of effort to try to achieve it.

Third, people do better when they get feedback on how well they are progressing toward their goals because it helps identify discrepancies between what they have done and what they want to do next—that is, feedback guides behavior. For example, managers who coach their sales employees can directly facilitate sales goal attainment if the managers are good at coaching.³¹ But all feedback is not equally potent. Self-generated feedback—with which employees can monitor their own progress or receive feedback from the task process itself—is more powerful than externally generated feedback.³²



If employees can participate in the setting of their own goals, will they try harder?

The evidence is mixed, although across studies it appears that they will not perform any better.³³ In some studies, participatively set goals yielded superior performance; in others, individuals performed best when assigned goals by their boss. One study in China found, for instance, that participative team goal setting improved team outcomes.³⁴ Another study found that participation results in more achievable goals for individuals.³⁵ Without participation, the individual pursuing the goal needs to clearly understand the goal's purpose and importance.³⁶

Three personal factors influence the goals–performance relationship: *goal commitment*, *task characteristics*, and *national culture*.

Goal Commitment Goal-setting theory assumes an individual is committed to the goal and determined not to lower or abandon it. The individual (1) believes he or she can achieve the goal and (2) wants to achieve it.³⁷ Goal commitment is most likely to occur when employees expect that their efforts will pay off in goal attainment, when accomplishing the goal is attractive to them, and when they actively participate in goal setting.³⁸

Task Characteristics Goals themselves seem to affect performance more strongly when

tasks are simple rather than complex, and when the tasks are independent rather than interdependent.³⁹ On interdependent tasks, group goals along with delegation of tasks are preferable. Paradoxically, goal abandonment following an initial failure is more likely for individuals who self-affirm their core values, possibly because they internalize the implications of failure more strongly than others do.⁴⁰



National Culture Setting specific, difficult, individual goals may have different effects in different cultures. In collectivistic and high power-distance cultures, achievable moderate goals can be more motivating than difficult ones.⁴¹ Assigned goals appear to generate greater goal commitment in high than in low power-distance cultures.⁴² However, research has not shown that group-based goals are more effective in collectivist than in individualist cultures. More research is needed to assess how goal constructs might differ across cultures.

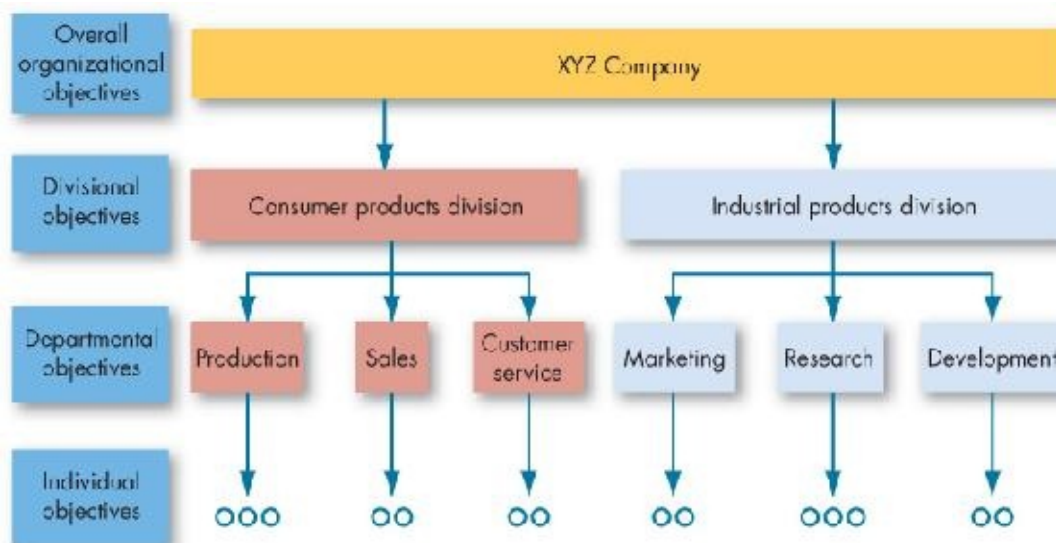
Although goal setting has positive outcomes, it's not unequivocally beneficial. For example, some goals may be *too* effective.⁴³ When learning something is important, goals related to performance undermine adaptation and creativity because people become too focused on outcomes and ignore the learning process. Nor are all goals equally effective. For rote tasks with quantifiable standards of productivity, goals that reward quantity can be highly motivating. For other jobs that require complex thinking and personal investment, goals and rewards for quantity may not be effective.⁴⁴ And individuals may fail to give up on an unattainable goal even when it might be beneficial to do so.

Research has found that people differ in the way they regulate their thoughts and behaviors during goal pursuit.⁴⁵ Generally, people fall into one of two categories, though they could belong to both. Those with a **promotion focus** ⓘ strive for advancement and accomplishment, and approach conditions that move them closer toward desired goals. This concept is similar to the approach side of the approach-avoidance framework discussed in Chapter 4. Those with a **prevention focus** ⓘ strive to fulfill duties and obligations and avoid conditions that pull them away from desired goals. Aspects of this concept are similar to the avoidance side of the approach-avoidance framework. Although you would be right in noting that both strategies are in the service of goal accomplishment, the way they get there is quite different. As an example, consider studying for an exam. You could engage in promotion-focused activities such as reading class materials, or you could engage in prevention-focused

activities such as refraining from doing things that would get in the way of studying, such as playing video games.

You may ask, “Which is the better strategy?” Well, the answer depends on the outcome you are striving for. A promotion (but not a prevention) focus is related to higher levels of task performance, citizenship behavior, and innovation; a prevention (but not a promotion) focus is related to safety performance. Ideally, it’s probably best to be both promotion- and prevention-oriented.⁴⁶ Keep in mind that a person’s job satisfaction is more heavily affected by low success when that person has an avoidance (prevention) outlook,⁴⁷ so set achievable goals, remove distractions, and provide structure for these individuals.⁴⁸

Exhibit 7-4 Cascading of Objectives



Implementing Goal Setting How do managers make goal-setting theory operational? That’s often left up to the individual. Some managers set aggressive performance targets—what General Electric called “stretch goals.” Some leaders, such as Procter & Gamble’s former CEO Robert McDonald and Best Buy’s CEO Hubert Joly, are known for their demanding performance goals. But many managers don’t set goals. When asked whether their jobs had clearly defined goals, a minority of survey respondents said yes.⁴⁹

A more systematic way to utilize goal setting is with **management by objectives (MBO)** ⓘ, an initiative most popular in the 1970s but still used today.⁵⁰ MBO emphasizes

participatively set goals that are tangible, verifiable, and measurable. As Exhibit 7-4 shows, the organization's overall objectives are translated into specific cascading objectives for each level (divisional, departmental, individual). But because lower-unit managers jointly participate in setting their own goals, MBO works from the bottom up as well as from the top down. The result is a hierarchy that links objectives at one level to those at the next. For the individual employee, MBO provides specific personal performance objectives.

Four ingredients are common to MBO programs: goal specificity, participation in decision making (including the setting of goals or objectives), an explicit time period, and performance feedback.⁵¹ Many elements in MBO programs match the propositions of goal-setting theory.



You'll find MBO programs in many business, health care, educational, government, and nonprofit organizations, and many of these programs have led to a performance gain.⁵² A version of MBO, called management by objectives and results (MBOR), has been used for 30 years in the governments of Denmark, Norway, and Sweden.⁵³ However, the popularity of these programs does not mean they always work.⁵⁴ When MBO fails, the culprits tend to be unrealistic expectations, lack of commitment by top management, and inability or unwillingness to allocate rewards based on goal accomplishment.

Goal Setting and Ethics The relationship between goal setting and ethics is quite complex: If we emphasize the attainment of goals, what is the cost? The answer is probably found in the standards we set for goal achievement. For example, when money is tied to goal attainment, we may focus on getting the money and become willing to compromise ourselves ethically. If we are instead primed with thoughts about how we are spending our time when we are pursuing the goal, we are more likely to act more ethically.⁵⁵ However, this result is limited to thoughts about how we are spending our time. If we are put under time pressure and worry as a result, thoughts about time turn against us. Time pressure often increases as we are nearing a goal, which can tempt us to act unethically to achieve it.⁵⁶ Specifically, we may forego mastering tasks and adopt avoidance techniques so we don't look bad,⁵⁷ both of which can incline us toward unethical choices.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

7.3.1 Which of the following theories proposes that people prefer to feel they have control over their actions, so anything that makes a previously enjoyed task feel more like an obligation than a freely chosen activity will undermine motivation?

- ☐ theory of needs
- ☐ motivation–hygiene theory
- ☐ two-factor theory
- ☐ self-determination theory

Check answer

Reset

7.3.2 What can be an unintended result of goal-setting?

- ☐ Employees might bond together.
- ☐ Employees might become hyper competitive.
- ☐ Employees might act in unethical manners.
- ☐ Employees might improve their performance.

Check answer

Reset

Other Contemporary Theories of Motivation

7-4 Understand the differences among self-efficacy theory, reinforcement theory, and expectancy theory.

Self-determination theory and goal-setting theory are well supported contemporary theories of motivation. But they are far from the only noteworthy OB theories on the subject. Self-efficacy, reinforcement, and expectancy theories reveal different aspects of our motivational processes and tendencies. We begin with the concept of self-efficacy.

Self-Efficacy Theory

Self-efficacy theory ⓘ, a component of *social cognitive theory* or *social-learning theory*, refers to an individual's belief that he or she is capable of performing a task.⁵⁸ The higher your self-efficacy, the more confidence you have in your ability to succeed. So, in difficult situations, people with low self-efficacy are more likely to lessen their effort or give up altogether, while those with high self-efficacy will try harder to master the challenge.⁵⁹ Self-efficacy can (but not always) create a positive spiral in which those with high efficacy become more engaged in their tasks and then in turn increase performance, which increases efficacy further.⁶⁰ One study introduced a further explanation: Self-efficacy was associated with a higher level of focused attention, which led to increased task performance.⁶¹

Feedback influences self-efficacy; individuals high in self-efficacy seem to respond to negative feedback with increased effort and motivation, while those low in self-efficacy are likely to lessen their effort after negative feedback.⁶² Changes in self-efficacy over time are related to changes in creative performance as well.⁶³ How can managers help their employees achieve high levels of self-efficacy? By bringing goal-setting theory and self-efficacy theory together.

Goal-setting theory and self-efficacy theory don't compete with each other; they complement each other. As Exhibit 7-5 shows, employees whose managers set difficult goals for them have a higher level of self-efficacy and set higher goals for their own performance. Why? Setting difficult goals for people communicates your confidence in them.

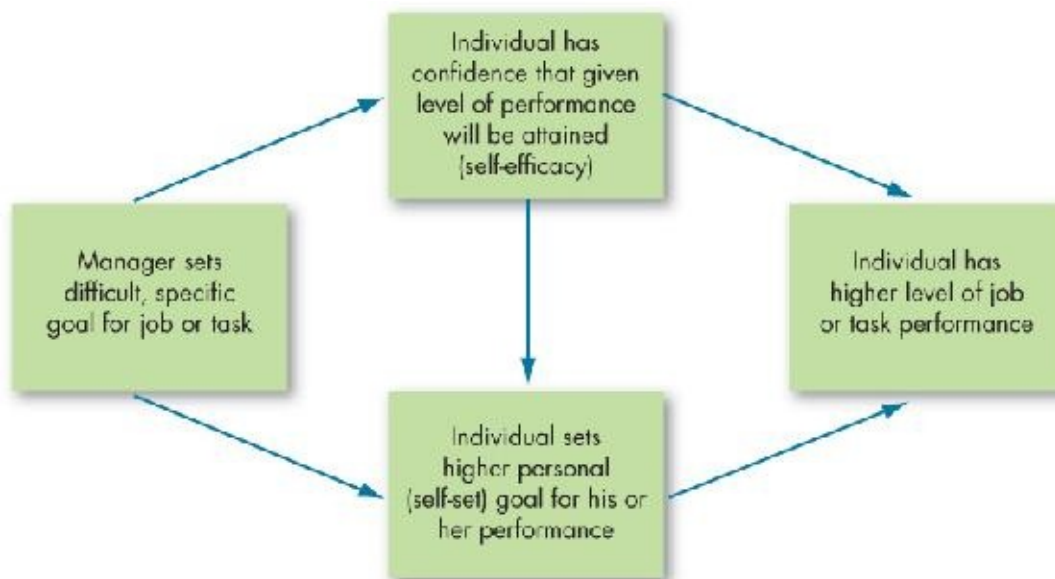
Increasing Self-Efficacy in Yourself The researcher who developed self-efficacy theory,

Albert Bandura, proposes four ways that self-efficacy can be increased:⁶⁴

1. Enactive mastery.
2. Vicarious modeling.
3. Verbal persuasion.
4. Arousal.

The most important source of increasing self-efficacy is *enactive mastery*—that is, gaining relevant experience with the task or job. If you’ve been able to do the job successfully in the past, you’re more confident that you can do it in the future.

Exhibit 7-5 Joint Effects of Goals and Self-Efficacy on Performance



Source: Based on E. A. Locke and G. P. Latham, “Building a Practically Useful Theory of Goal Setting and Task Motivation: A 35-Year Odyssey,” *American Psychologist* (September 2002): 705–17.

The second source is *vicarious modeling*—becoming more confident because you see someone else doing the task. If your friend quits smoking, it increases your confidence that you can quit, too. Vicarious modeling is most effective when you see yourself as similar to the person you are observing. Watching Tiger Woods play a difficult golf shot might not

increase your confidence in being able to play the shot yourself, but watching a golfer with a handicap similar to yours is persuasive.

The third source is *verbal persuasion*: We become more confident when someone convinces us we have the skills necessary to be successful. Motivational speakers use this tactic.

Fourth, *arousal* increases self-efficacy. Arousal leads to an energized state, so we get “psyched up,” feel up to the task, and perform better. But if the task requires a steady, lower-key perspective (say, carefully editing a manuscript), arousal may in fact hurt performance even as it increases self-efficacy because we might hurry through the task.

Intelligence and personality are absent from Bandura’s list, but they too can increase self-efficacy.⁶⁵ People who are intelligent, conscientious, and emotionally stable are so much more likely to have high self-efficacy that some researchers argue that self-efficacy is less important than prior research would suggest.⁶⁶ They believe it is partially a by-product in a smart person with a confident personality.

Influencing Self-Efficacy in Others The best way for a manager to use verbal persuasion is through the *Pygmalion effect*, a term based on a Greek myth about a sculptor (Pygmalion) who fell in love with a statue he carved. The Pygmalion effect is a form of *self-fulfilling prophecy* in which believing something can make it true. Here, it is often used to describe “that what one person expects of another can come to serve a self-fulfilling prophecy.”⁶⁷ An example should make this clear. In some studies, teachers were told their students had very high IQ scores when, in fact, they spanned a range from high to low. Consistent with the Pygmalion effect, the teachers spent more time with the students they *thought* were smart, gave them more challenging assignments, and expected more of them—all of which led to higher student self-efficacy and better achievement outcomes.⁶⁸ This strategy has been used in the workplace too, with replicable results and enhanced effects when leader–subordinate relationships are strong.⁶⁹

Training programs often make use of enactive mastery by having people practice and build their skills. In fact, one reason training works is that it increases self-efficacy, particularly when the training is interactive and feedback is given after training.⁷⁰ Individuals with higher levels of self-efficacy also appear to reap more benefits from training programs and are more likely to use their training on the job.⁷¹

Reinforcement Theory

Goal setting is a cognitive approach, proposing that an individual's purposes direct his or her action. **Reinforcement theory** ⓘ, in contrast, takes a behavioristic view, arguing that reinforcement conditions behavior.⁷² The two theories are clearly at odds philosophically. Reinforcement theorists see behavior as environmentally caused. You need not be concerned, they would argue, with internal cognitive events; what controls behavior are reinforcers—any consequences that, when they immediately follow responses, increase the probability that the behavior will be repeated.

Reinforcement theory ignores the inner state of the individual and concentrates solely on what happens when he or she takes some action. Because it does not concern itself with what initiates behavior, it is not, strictly speaking, a theory of motivation. But it does provide a powerful means of analyzing what controls behavior, and therefore we typically consider it in discussions of motivation.

Operant Conditioning/Behaviorism and Reinforcement *Operant conditioning theory*, probably the most relevant component of reinforcement theory for management, argues that people learn to behave to get something they want or to avoid something they don't want. Unlike reflexive or unlearned behavior, operant behavior is influenced by the reinforcement or lack of reinforcement brought about by consequences. Reinforcement strengthens a behavior and increases the likelihood it will be repeated.

B. F. Skinner, one of the most prominent advocates of operant conditioning, demonstrated that people will most likely engage in desired behaviors if they are positively reinforced for doing so; rewards are most effective if they immediately follow the desired response; and behavior that is not rewarded, or is punished, is less likely to be repeated. The concept of operant conditioning was part of Skinner's broader concept of **behaviorism** ⓘ, which argues that behavior follows stimuli in a relatively unthinking manner. Skinner's form of radical behaviorism rejects feelings, thoughts, and other states of mind as causes of behavior. In short, people learn to associate stimulus and response, but their conscious awareness of this association is irrelevant.⁷³

You can see illustrations of operant conditioning everywhere. For instance, a commissioned salesperson wanting to earn a sizable income finds doing so is contingent on generating high sales in his territory, so he sells as much as possible. Of course, the linkage can also teach individuals to engage in behaviors that work against the best interests of the

organization. Assume your boss says that if you work overtime during the next three-week busy season, you'll be compensated for it at your next performance appraisal. However, when performance appraisal time comes, you are given no positive reinforcement for your overtime work. The next time your boss asks you to work overtime, what will you do? You'll probably decline!

An Ethical Choice

Motivated by Big Brother

Technology is a great thing. The Internet provides us with instant access to an abundance of information, and smartphones allow us to stay connected with others through e-mail, texting, and tweeting. Yet that ease of connectivity has also given employees the sinking feeling they are being watched—and they are right. But is tracking employees ethical?

Some companies are using technology to track their employees' activities, and some of this tracking is done in the name of science. For example, Bank of America Corp. wanted to learn whether face-to-face interaction made a difference to the productivity of its call center teams, so it asked around 100 workers to wear badges for a few weeks that tracked their whereabouts. Discovering that the most productive workers interacted most frequently with others, the company scheduled work breaks for groups rather than individually. This is a nice outcome, but how did the monitoring affect the behavior and motivation of the workers?

Other companies track employees to ensure that they are hard at work, which risks completely demotivating some. Accurate Biometrics, for example, uses computer monitoring to oversee its telecommuters. Says Timothy Daniels, VP of operations, looking at websites his employees have visited “enables us to keep a watchful eye without being overinvasive.” Currently, around 70 percent of organizations monitor their employees.

Practically speaking, managers may not want to adopt technologies that demotivate their employees through micromanagement. Perhaps more important, though, how can they use monitoring technology ethically in workplace applications? First and foremost,

employees should be informed that their activities will be tracked. Second, the purpose of tracking should be made clear to employees. Are workers being monitored to learn something that might help them and the organization as a whole? Or are they being monitored to ensure that they never slack off? Finally, it should be made clear which behaviors are inappropriate. Taking a legitimate work break is different from spending hours on a social networking site. These guidelines should increase the likelihood that monitoring programs are accepted and perceived to be fair.

Sources: Based on S. Shellenbarger, “Working from Home without Slacking Off,” *The Wall Street Journal*, July 13–15, 2012, 29; R. Richmond, “3 Tips for Legally and Ethically Monitoring Employees Online,” *Entrepreneur*, May 31, 2012, <http://www.entrepreneur.com/article/223686>; and R. E. Silverman, “Tracking Sensors Invade the Workplace,” *The Wall Street Journal*, March 7, 2003, www.wsj.com.

Social-Learning Theory and Reinforcement Individuals can learn by being told or by observing what happens to other people, as well as through direct experience. Much of what we have learned comes from watching models—parents, teachers, peers, film and television performers, bosses, and so forth. The view that we can learn through both observation and direct experience is called **social-learning theory** ⓘ.⁷⁴

Although social-learning theory is an extension of operant conditioning—that is, it assumes behavior is a function of consequences—it also acknowledges the effects of observational learning and perception. People respond to the way they perceive and define consequences, not to the objective consequences themselves.

Models are central to the social-learning viewpoint. Four processes determine their influence on an individual:

1. **Attentional processes.** People learn from a model only when they recognize and pay attention to its critical features. We tend to be most influenced by models that are attractive, repeatedly available, important to us, or similar to us (in our estimation).
2. **Retention processes.** A model’s influence depends on how well the individual remembers the model’s action after the model is no longer readily available.
3. **Motor reproduction processes.** After a person has seen a new behavior by observing the model, watching must be converted to doing. This process demonstrates that the individual can perform the modeled activities.

- 4. Reinforcement processes.** Individuals are motivated to exhibit the modeled behavior if positive incentives or rewards are provided. Positively reinforced behaviors are given more attention, learned better, and performed more often.



At Thai Takenaka, a leading construction firm in Thailand, experienced employees teach younger workers construction management skills, building techniques, and the basics of craftsmanship through training by “looking, touching, and realization.” This social-learning view helps employees succeed in meeting the firm’s high standards of quality and efficiency.

Source: */Kyodo/Newscom

Expectancy Theory

One of the most widely accepted explanations of motivation is Victor Vroom’s **expectancy theory** ⓘ.⁷⁵ Although it has critics, most evidence supports the theory.⁷⁶

Expectancy theory argues that the strength of our tendency to act a certain way depends on the strength of our expectation of a given outcome and its attractiveness. In practical terms, employees will be motivated to exert a high level of effort when they believe that it will lead to a good performance appraisal, that a good appraisal will lead to organizational rewards such as salary increases and/or intrinsic rewards, and that the rewards will satisfy their personal goals. The theory therefore focuses on three relationships (see Exhibit 7-6):

1. **Expectancy: the effort–performance relationship.** The probability perceived by the individual that exerting a given amount of effort will lead to performance.
2. **Instrumentality: the performance–reward relationship.** The degree to which the individual believes performing at a particular level will lead to the attainment of a desired outcome.
3. **Valence: the rewards–personal goals relationship.** The degree to which organizational rewards satisfy an individual’s personal goals or needs and the attractiveness of those potential rewards for the individual.

Expectancy theory helps explain why a lot of workers aren’t motivated on their jobs and do only the minimum necessary to get by. Let’s frame the theory’s three relationships as questions that employees need to answer in the affirmative if their motivation is to be maximized.

First, *if I give maximum effort, will it be recognized in my performance appraisal?* For many employees, the answer is no. Why? Their skill level may be deficient, which means no matter how hard they try, they’re not likely to be high performers. Or the organization’s performance appraisal system may be designed to assess nonperformance factors such as loyalty, initiative, or courage, which means more effort won’t necessarily result in a higher evaluation. Another possibility is that employees, rightly or wrongly, perceive the boss doesn’t like them. Thus, they expect a poor appraisal, regardless of effort. These examples suggest that people will be motivated only if they perceive a link between their effort and their performance.

Exhibit 7-6 Expectancy Theory



Second, *if I get a good performance appraisal, will it lead to organizational rewards?* Many organizations reward things besides performance. When pay is based on factors such

as having seniority, being cooperative, or “kissing up” to the boss, employees are likely to see the performance–reward relationship as weak and demotivating.

Finally, *if I’m rewarded, are the rewards attractive to me?* The employee works hard in the hope of getting a promotion but gets a pay raise instead. Or the employee wants a more interesting and challenging job but receives only a few words of praise. Unfortunately, many managers are limited in the rewards they can distribute, which makes it difficult to tailor rewards to individual employee needs. Some managers incorrectly assume all employees want the same thing, thus overlooking the motivational effects of differentiating rewards. In these cases, employee motivation is not maximized.



The performance–reward relationship is strong at Mary Kay Cosmetics, which offers a rewards and recognition program based on the achievement of personal goals set by each salesperson. The women shown here in China pose before a pink sedan, one of many rewards that motivate Mary Kay’s independent sales force.

Source: China Photos/Getty Images

As a vivid example of how expectancy theory can work, consider stock analysts. They make their living trying to forecast a stock’s future price; the accuracy of their buy, sell, or hold recommendations is what keeps them employed. But the dynamics are not so simple. Analysts place few sell ratings on stocks, although many stocks are both falling and rising in a steady market. Expectancy theory provides an explanation: Analysts who place a sell rating

on a company's stock should balance the benefits they receive by being accurate against the risks they run by drawing that company's ire. What are these risks? They include public rebuke, professional blackballing, and exclusion from information. When analysts place a buy rating on a stock, they face no such trade-off because, obviously, companies love it when analysts recommend that investors buy their stock. So the incentive structure suggests the expected outcome of buy ratings is higher than the expected outcome of sell ratings, and that's why buy ratings vastly outnumber sell ratings.⁷⁷



MyLab Management **Personal Inventory Assessments**

Go to www.pearson.com/mylab/management to complete the Personal Inventory Assessment related to this chapter.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

7.4.1 According to the expectancy theory, which of the following relationships indicates the degree to which the individual believes that a particular level of output will lead to the attainment of a desired outcome?

- ☐ performance–reward
- ☐ effort–performance
- ☐ rewards–personal goals
- ☐ effort–satisfaction

Check answer

Reset

7.4.2 Which of the following is not an ingredient common to all MBO programs?

- an explicit time period

- ☐ participative decision making
- ☐ interdependence of tasks
- ☐ performance feedback

Check answer

Reset

Equity Theory/Organizational Justice

7-5 Describe the forms of organizational justice, including distributive justice, procedural justice, informational justice, and interactional justice.

Ainsley is a student working toward a bachelor's degree in finance. To gain some work experience and increase her marketability, she accepted a summer internship in the finance department at a pharmaceutical company. She is quite pleased at the pay: \$15 an hour is more than other students in her cohort receive for their summer internships. At work she meets Josh, a recent graduate working as a middle manager in the same finance department. Josh makes \$30 an hour.

On the job, Ainsley is a go-getter. She's engaged, satisfied, and always seems willing to help others. Josh is the opposite. He often seems disinterested in his job and entertains thoughts about quitting. When pressed one day about why he is unhappy, Josh cites his pay as the main reason. Specifically, he tells Ainsley that, compared to managers at other pharmaceutical companies, he makes much less. "It isn't fair," he complains. "I work just as hard as they do, yet I don't make as much. Maybe I should go work for the competition."

How could someone making \$30 an hour be less satisfied with his or her pay than someone making \$15 an hour and be less motivated as a result? The answer lies in **equity theory** ⓘ and, more broadly, in principles of organizational justice.⁷⁸ According to equity theory, employees compare what they get from their job (their "outcomes," such as pay, promotions, recognition, or a bigger office) to what they put into it (their "inputs," such as effort, experience, and education). They take the ratio of their outcomes to their inputs and compare it to the ratio of others, usually someone similar like a coworker or someone doing the same job. This is shown in Exhibit 7-7. If we believe our ratio is equal to those with whom we compare ourselves, a state of equity exists and we perceive our situation as fair.

Exhibit 7-7 Equity Theory

Ratio Comparisons*	Perception
$\frac{O}{I_A} < \frac{O}{I_B}$	Inequity due to being underrewarded
$\frac{O}{I_A} = \frac{O}{I_B}$	Equity
$\frac{O}{I_A} > \frac{O}{I_B}$	Inequity due to being overrewarded

*Where $\frac{O}{I_A}$ represents the employee and $\frac{O}{I_B}$ represents relevant others

Based on equity theory, employees who perceive inequity will make one of six choices:⁷⁹

1. **Change inputs** (exert less effort if underpaid or more if overpaid).
2. **Change outcomes** (individuals paid on a piece-rate basis can increase their pay by producing a higher quantity of units of lower quality).
3. **Distort perceptions of self** (“I used to think I worked at a moderate pace, but now I realize I work a lot harder than everyone else”).
4. **Distort perceptions of others** (“Mike’s job isn’t as desirable as I thought”).
5. **Choose a different referent** (“I may not make as much as my brother-in-law, but I’m doing a lot better than my Dad did when he was my age”).
6. **Leave the field** (quit the job).

Equity theory has support from some researchers but not from all.⁸⁰ There are some concerns with the propositions. First, inequities created by overpayment do not seem to significantly affect behavior in most work situations. So don’t expect an employee who feels overpaid to give back part of his salary or put in more hours to make up for the inequity. Although individuals may sometimes perceive that they are overrewarded, they restore equity by rationalizing their situation (“I’m worth it because I work harder than everyone else”). Second, not everyone is equally equity-sensitive, for various reasons, including feelings of entitlement.⁸¹ Others prefer the outcome–input ratios to be lower than the referent comparisons. Predictions from equity theory are not likely to be very accurate about these “benevolent types.”⁸²

Although equity theory’s propositions have not all held up, the hypothesis serves as an important precursor to the study of **organizational justice** ⓘ or, more simply, fairness in the workplace.⁸³ Organizational justice is concerned more broadly with how employees feel

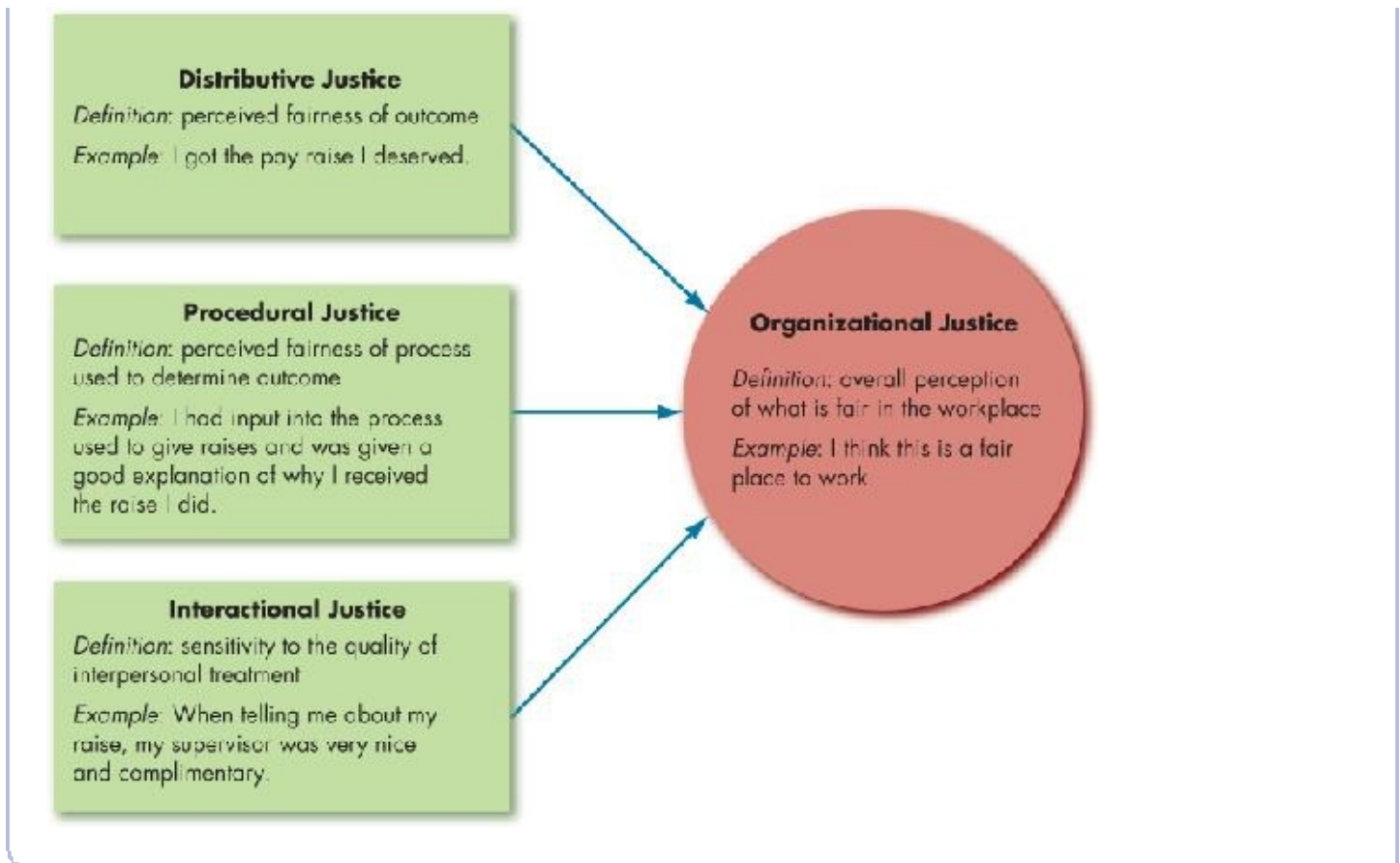
authorities and decision makers at work treat them. For the most part, employees evaluate how fairly they are treated, as shown in Exhibit 7-8.

Distributive Justice

Distributive justice ⓘ is concerned with the fairness of the outcomes, such as pay and recognition, that employees receive.⁸⁴ Outcomes can be allocated in many ways. For example, we could distribute raises equally among employees, or we could base raises on which employees need money the most. As we said in our discussion about equity theory, however, employees tend to perceive their outcomes are fairest when they are distributed equitably.

Does the same logic apply to teams? At first glance, distributing rewards equally among team members would seem to be best for boosting morale and teamwork—that way, no one is favored more than another. A study of U.S. National Hockey League teams suggests otherwise. Differentiating the pay of team members based on their inputs (how well they performed in games) attracted better players to the team, made it more likely that they would stay, and increased team performance.⁸⁵

Exhibit 7-8 Model of Organizational Justice



The way we have described things so far, it would seem that individuals gauge distributive justice and equity in a rational, calculative way as they compare their outcome–input ratios to those of others. But the experience of justice, and especially of injustice, is often not so cold and calculated. Instead, people base distributive judgments on a feeling or an emotional reaction to the way they think they are being treated relative to others, and their reactions are often “hot” and emotional rather than cool and rational.⁸⁶

Procedural Justice

Although employees care a lot about *what* outcomes are distributed (distributive justice), they also care about *how* they are distributed. While distributive justice looks at *what* outcomes are allocated, **procedural justice** ⓘ examines *how*.⁸⁷ For one, employees perceive that procedures are fairer when they are given a say in the decision-making process. Having direct influence over how decisions are made, or at the very least being able to present our opinion to decision makers, creates a sense of control and makes us feel empowered (we discuss empowerment more in the next chapter). Employees also perceive that procedures are fairer when decision makers follow several rules, including making decisions in a consistent

manner (across people and over time), avoiding bias (not favoring one group or person over another), using accurate information, considering the groups or people that their decisions affect, acting ethically, and remaining open to appeals or correction.



Nordstrom is legendary for its customer service. Its secret? Empowering employees to make decisions that directly affect how they work as well as including them in the decision-making process, giving them a sense of motivation through procedural justice. Employees such as this cosmetician at a Nordstrom in Seattle, Washington, are empowered to provide excellent customer service. Legend has it that one Nordstrom representative drove all the way to an airport to bring a customer the bags she left at the store!

Source: B. O’Kane/Alamy Stock Photo

If outcomes are favorable and individuals get what they want, they care less about the process, so procedural justice doesn’t matter as much when distributions are perceived to be fair. It’s when outcomes are unfavorable that people pay close attention to the process. If the process is judged to be fair, then employees are more accepting of unfavorable outcomes.⁸⁸ If employees are given a voice when experiencing unfavorable outcomes, an element of fair process, they will feel better about the situation, even when the outcomes continue to be poor.⁸⁹

Think about it. If you are hoping for a raise and your manager informs you that you did not receive one, you’ll probably want to know how raises were determined. If it turns out

your manager allocated raises based on merit and you were simply outperformed by a coworker, then you're more likely to accept your manager's decision than if raises were based on favoritism. Of course, if you get the raise in the first place, then you'll be less concerned with how the decision was made.

Interactional Justice

Beyond outcomes and procedures, research has shown that employees care about two other types of fairness that have to do with the way they are treated during interactions with others. Both of these fall within the category of *interactional justice* (see Exhibit 7-8).⁹⁰

Informational Justice The first type is **informational justice** ⓘ, which reflects whether managers provide employees with explanations for key decisions and keep them informed of important organizational matters. The more detailed and candid managers are with employees, the more fairly treated those employees feel.

It may seem obvious that managers should be honest with their employees and not keep them in the dark about organizational matters; however, many managers are hesitant to share information. This is especially the case with bad news, which is uncomfortable for both the manager delivering it and the employee receiving it. Explanations for bad news are beneficial when they take the form of excuses after the fact ("I know this is bad, and I wanted to give you the office, but it wasn't my decision") rather than justifications ("I decided to give the office to Sam, but having it isn't a big deal").⁹¹

Interpersonal Justice The second type of justice relevant to interactions between managers and employees is **interpersonal justice** ⓘ, which reflects whether employees are treated with dignity and respect. Compared to the other forms of justice we've discussed, interpersonal justice is unique because it can occur in everyday interactions between managers and employees.⁹² This quality allows managers to take advantage of (or miss out on) opportunities to make their employees feel fairly treated. Many managers may view treating employees politely and respectfully as too soft, and instead choose more aggressive tactics out of a belief that doing so will be more motivating. Although displays of negative emotions such as anger may be motivating in some cases,⁹³ managers sometimes take this too far. Consider former Rutgers University men's basketball coach Mike Rice, who was caught on video verbally and even physically abusing players and was subsequently fired.⁹⁴

Justice Outcomes

After all this talk about types of justice, how much does justice really matter to employees? A great deal, as it turns out. When employees feel fairly treated, they respond in many positive ways. All the types of justice discussed in this section have been linked to higher levels of task performance and citizenship behaviors such as helping coworkers, as well as lower levels of counterproductive behaviors such as shirking job duties.⁹⁵ Distributive and procedural justice are more strongly associated with task performance, while informational and interpersonal justice are more strongly associated with citizenship behavior. Even more physiological outcomes, such as how well employees sleep and the state of their health, have been linked to fair treatment.⁹⁶

Why does justice have these positive effects? Fair treatment enhances commitment to the organization and makes employees feel that the organization cares about their well-being. In addition, employees who feel fairly treated trust their supervisors more, which reduces uncertainty and fear of being exploited by the organization. Fair treatment elicits positive emotions, which in turn prompts behaviors like citizenship.⁹⁷

Despite all attempts to enhance fairness, perceived injustices are still likely to occur. Fairness is often subjective; what one person sees as unfair, another may see as perfectly appropriate. In general, people see allocations or procedures favoring themselves as fair.⁹⁸ People also make attributions when judging justice rule violations. Research suggests that violation of justice norms is gendered: Women are judged more harshly when they violate interactional norms than when they violate procedural norms.⁹⁹

Others' Reactions to Injustice Your coworker's reactions to injustice can be just as important as your own. Research is beginning to suggest that *third-party*, or observer, reactions to injustice can have a substantial effect. Let's say that you read about massive, unannounced layoffs at a restaurant chain you frequent. You find out that employees were let go without any warning and were not given any assistance in finding alternative arrangements. Would you continue to go to this restaurant? Research suggests that you may not.¹⁰⁰

Why and how do we make judgments like this? One such model of third-party injustice suggests that several factors play into how we react: (1) our own traits and characteristics, (2) the transgressor's and victim's traits and characteristics (including an attribution of blame), and (3) the specifics of the justice event or situation.¹⁰¹ In turn, those who observed

mistreatment perceive unfairness and react accordingly. For example, a coworker watches your supervisor berate you: If you deserved it, the coworker would probably be content; if you didn't, the coworker would probably be angry with your supervisor.¹⁰² Research also suggests that how your coworkers and supervisors treat *customers* also affects your justice perceptions. Two studies in health care organizations found that patient mistreatment by one's supervisor led to employee distrust and less cooperative behavior.¹⁰³

Promoting Justice

How can an organization affect the justice perceptions and rule adherence of its managers? This depends on the motivation of each manager. Some managers are likely to calculate justice by their degree of adherence to the justice rules of the organization. These managers will try to gain greater subordinate compliance with behavioral expectations, create an identity of being fair to their employees, or establish norms of fairness. Other managers may be motivated in justice decisions by their emotions. When they have a high positive affect and/or a low negative affect, these managers are most likely to act fairly.

It might be tempting for organizations to adopt strong justice guidelines in attempts to mandate managerial behavior, but this isn't likely to be universally effective. In cases where managers have more rules and less discretion, those who calculate justice are more likely to act fairly, but managers whose justice behavior follows from their affect may act more fairly when they have greater discretion.¹⁰⁴

Culture and Justice



Across nations, the same basic principles of procedural justice are respected: Workers around the world prefer rewards based on performance and skills over rewards based on seniority.¹⁰⁵ However, inputs and outcomes are valued differently in various cultures.¹⁰⁶



We may think of justice differences in terms of Hofstede's cultural dimensions (see Chapter 4). One large-scale study of over 190,000 employees in 32 countries and regions suggested that justice perceptions are most important to people in countries with individualistic, feminine, uncertainty avoidance, and low power-distance values.¹⁰⁷ Organizations can tailor programs to meet these justice expectations. For example, in countries that are highest in individualism, such as Australia and the United States,

competitive pay plans and rewards for superior individual performance enhance feelings of justice. In countries dominated by uncertainty avoidance, such as France, fixed pay compensation and employee participation may help employees feel more secure. The dominant dimension in Sweden is femininity, so relational concerns are considered important. Swedish organizations may therefore want to provide work-life balance initiatives and social recognition. Austria, in contrast, has a strong low power-distance value. Ethical concerns may be foremost to individuals in perceiving justice in Austrian organizations, so it will be important for organizations to justify inequality between leaders and workers and to provide symbols of ethical leadership.

We can also look at other cultural factors. Some cultures emphasize status over individual achievement as a basis for allocating resources. Materialistic cultures are more likely to see cash compensation and rewards as the most relevant outcomes of work, whereas relational cultures will see social rewards and status as important outcomes. International managers must consider the cultural preferences of each group of employees when determining what is fair in different contexts.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

7.5.1 In equity theory, individuals assess the _____.

- ☐ cost-benefit ratio
- ☐ efficiency-effectiveness trade-off
- ☐ quantity-quality trade-off
- ☐ outcome-input ratio

Check answer

Reset

7.5.2 Based on equity theory, employees who perceive inequity will make any of

the following choices except _____.

- ☐ be content with the referent

- ☐ change the inputs
- ☐ change the outputs
- ☐ distort the perceptions of one's self

Check answer

Reset

Job Engagement

7-6 Identify the implications of employee job engagement for managers.

When Joseph reports to his job as a hospital nurse, it seems that everything else in his life goes away, and he becomes completely absorbed in what he is doing. His emotions, thoughts, and behavior are all directed toward patient care. In fact, he can get so caught up in his work that he isn't even aware of how long he's been there. Because of this total commitment, he is more effective in providing patient care and feels uplifted by his time at work.

Joseph has a high level of **job engagement** ⓘ, the investment of an employee's physical, cognitive, and emotional energies into job performance.¹⁰⁸ Practicing managers and scholars have become interested in facilitating job engagement, believing factors deeper than liking a job or finding it interesting drives performance. Studies attempt to measure this deeper level of commitment. For example, one review found higher levels of engagement were associated with task performance and citizenship behavior.¹⁰⁹

What makes people more likely to be engaged in their jobs? One key is the degree to which an employee believes it is meaningful to engage in work. This is partially determined by job characteristics and access to sufficient resources to work effectively.¹¹⁰ Another factor is a match between the individual's values and those of the organization.¹¹¹ Leadership behaviors that inspire workers to a greater sense of mission also increase employee engagement.¹¹²

One of the critiques of the concept of engagement is that the construct is partially redundant with job attitudes like satisfaction or stress.¹¹³ Other critics note there may be a dark side to engagement, as evidenced by positive relationships between engagement and work–family conflict.¹¹⁴ It is possible individuals might grow so engaged in their work roles that family responsibilities become an unwelcome intrusion. Also, an overly high level of engagement can lead to a loss of perspective and ultimately burnout. Additional research exploring how engagement relates to these negative outcomes may help clarify whether some highly engaged employees might be getting “too much of a good thing.”

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the Mini Sim.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

7.6.1 Which of the following is true regarding job engagement?

- ☐ Organizations that have less engaged employees are more successful.
- ☐ Groups with more engaged employees have lower levels of productivity.
- ☐ Academic studies have found negative outcomes of job engagement.
- ☐ Critics note that higher levels of engagement may result in work–family conflict.

Check answer

Reset

7.6.2 _____ is a form of self-fulfilling prophecy in which believing something can make it true.

- ☐ The confirmation bias
- ☐ The Pygmalion effect
- ☐ The anchoring bias
- ☐ The framing effect

Check answer

Reset

Integrating Contemporary Theories of Motivation

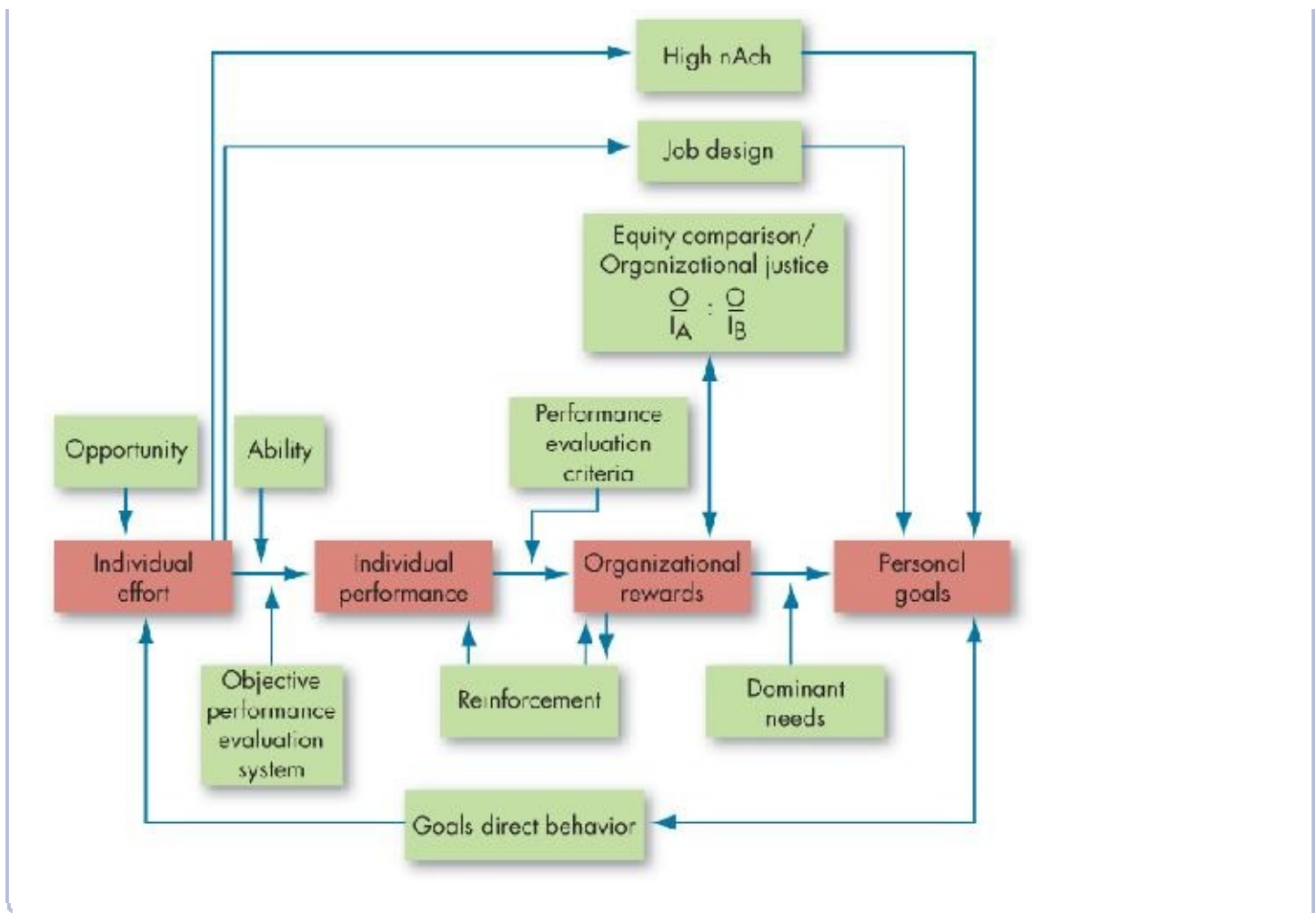
7-7 Describe how the contemporary theories of motivation complement one another.

Our job might be simpler if, after presenting a half dozen theories, we could say only one was found valid. But many of the theories in this chapter are complementary. We now tie them together to help you understand their interrelationships.

Exhibit 7-9 integrates much of what we know about motivation. Its foundation is the expectancy model that was shown in Exhibit 7-8. Let's walk through Exhibit 7-9. (We will look at job design more closely in Chapter 8.)

We begin by explicitly recognizing that opportunities can either aid or hinder individual effort. The individual effort box on the left also has another arrow leading into it, from the person's goals. Consistent with goal-setting theory, the goals–effort loop is meant to remind us that goals direct behavior.

Exhibit 7-9 Integrating Contemporary Theories of Motivation



Expectancy theory predicts employees will exert a high level of effort if they perceive a strong relationship between effort and performance, performance and reward, and rewards and satisfaction of personal goals. Each of these relationships is, in turn, influenced by other factors. For effort to lead to good performance, the individual must have the ability to perform and perceive the performance appraisal system as fair and objective. The performance–reward relationship will be strong if the individual perceives that performance (rather than seniority, personal favorites, or other criteria) is rewarded. If cognitive evaluation theory were fully valid in the actual workplace, we would predict that basing rewards on performance should decrease the individual’s intrinsic motivation. The final link in expectancy theory is the rewards–goals relationship. Motivation is high if the rewards for high performance satisfy the dominant needs consistent with individual goals.

A closer look at Exhibit 7-9 also reveals that the model considers achievement motivation, job design, reinforcement, and equity theories/organizational justice. A high achiever is not motivated by an organization's assessment of performance or organizational rewards, hence the jump from effort to personal goals for those with a high nAch. Remember, high achievers

are internally driven as long as their jobs provide them with personal responsibility, feedback, and moderate risks. They are not concerned with the effort–performance, performance–reward, or rewards–goal linkages.

Reinforcement theory enters the model by recognizing that the organization’s rewards reinforce the individual’s performance. If employees see a reward system as “paying off” for good performance, the rewards will reinforce and encourage good performance. Rewards also play a key part in organizational justice research. Individuals judge the favorability of their outcomes (for example, their pay) relative to what others receive but also with respect to how they are treated: When people are disappointed in their rewards, they are likely to be sensitive to the perceived fairness of the procedures used and the consideration given to them by their supervisors.

Summary

Motivation describes the processes (e.g., intensity, direction, and persistence) underlying how employees and other individuals in the workplace direct their efforts toward a goal. Although not well supported, many early foundational theories of motivation focused on the needs that employees have along with the consequences of need satisfaction. More contemporary theories focus on topics such as intrinsic and extrinsic motivation; setting goals in organizations; self-efficacy; reinforcement; and our expectations regarding effort, performance, reward, and outcome relationships. Beyond these theories, various forms of organizational justice (e.g., distributive, procedural, and interactional), all deriving from equity theory, are important in motivating employees. Motivation is key to understanding employees' contributions to their work, including their job engagement. Overall, motivation underlies how and why employees exert effort to engage in performance activities, which in turn meet personal or organizational goals.

Implications for Managers

- Make sure extrinsic rewards for employees are not viewed as coercive but instead provide information about competence and relatedness.
- Either set or inspire your employees to set specific, difficult goals and provide quality, developmental feedback on their progress toward those goals.
- Try to align or tie employee goals to the goals of your organization.
- Model the types of behaviors you would like to see performed by your employees.
- Expectancy theory offers a powerful explanation of performance variables such as employee productivity, absenteeism, and turnover.
- When making decisions regarding resources in your organization, make sure to consider how the resources are being distributed (and who is affected), the fairness of the decision, and whether your actions demonstrate that you respect those involved.

Goals Get You to Where You Want to Be

Point

Of course this is a true statement. Goal-setting theory is one of the best-supported theories in the motivation literature. Study after study has consistently shown the benefits of goals. Want to excel on a test, lose a certain amount of weight, secure a job with a particular income level, or improve your golf game? If you want to be a high performer, merely set a specific, difficult goal and let nature take its course. That goal will dominate your attention, cause you to focus, and make you try harder.

All too often, people are told by others to simply “do their best.” Could anything be more vague? What does “do your best” actually mean? Maybe you feel that your “best” on one day is to muster a grade of 50 percent on an exam, while your “best” on another day is 80 percent. But if you were given a more difficult goal—say, to score a 95 on the exam—and you were committed to that goal, you would ultimately perform better.

Edwin Locke and Gary Latham, the researchers best known for goal-setting theory, put it best when they said: “The effects of goal setting are very reliable.” In short, goal-setting theory is among the most valid and practical theories of motivation in organizational psychology.

Counterpoint

Sure, a lot of research has shown the benefits of goal setting, but those studies ignore the harm that’s often done. For one, how often have you set a “stretch” goal, only to see yourself later fail? Goals create anxiety and worry about reaching them, and they often create unrealistic expectations as well. Imagine those who set a goal to earn a promotion in a certain period of time (a specific, difficult goal), only to find themselves laid off once a recession hit. Or how about those who envision a retirement of leisure yet are forced to take on a part-time job or delay retirement altogether to continue making ends meet. When too many influential factors are out of our control, our difficult goals become impossible.

Or consider this: Goals can lead to unethical behavior and poorer performance. How many reports have you heard over the years about teachers who “fudged” students’ test scores to achieve educational standards? When Ken O’Brien, a professional quarterback for the New York Jets, was penalized for every interception he threw, he achieved his goal of fewer interceptions quite easily—by refusing to throw the ball even when he should have.

In addition to this anecdotal evidence, research has directly linked goal setting to cheating. We should heed the warning of Professor Maurice E. Schweitzer—“Goal-setting is like a powerful medication”—before blindly accepting that specific, difficult goal.

Sources: Based on E. A. Locke and G. P. Latham, “Building a Practically Useful Theory of Goal Setting and Task Motivation,” *American Psychologist* 57 (2002): 705–71; A. Tugend, “Expert’s Advice to the Goal-Oriented: Don’t Overdo It,” *The New York Times*, October 6, 2012, B5; and C. Richards, “Letting Go of Long-Term Goals,” *The New York Times*, August 4, 2012, B4.

Chapter Review

MyLab Management Discussion Questions

Go to www.pearson.com/mylab/management to complete the problems marked with this icon .

Questions for Review

- 7-1** What are the three key elements of motivation?
- 7-2** What are some early theories of motivation? How applicable are they today?
- 7-3** What are the similarities and differences between self-determination theory and goal-setting theory?
- 7-4** What are the key principles of self-efficacy theory, reinforcement theory, and expectancy theory?
- 7-5** What are some of the different types of organizational justice and what are their outcomes?
- 7-6** Why is employee job engagement important to managers?
- 7-7** How do the contemporary theories of motivation compare to one another?

Application and Employability

Motivation is a fundamental aspect of organizational behavior. It drives effortful work processes toward the accomplishment of work tasks and the realization of work goals. Therefore, by gaining an understanding of the traditional and contemporary theories of

motivation and how workplace decisions affect motivation, you can develop your management skills and become more employable. An understanding of equity theory and organizational justice can help you understand just how much of an impact fairness has in the workplace as well as help you consider others' fairness perspectives when making organizational decisions. In this chapter, you developed your knowledge application and analysis skills; gained an understanding of social responsibility issues by learning how helping others is good (and bad) for your career, how to interact with others who won't take your advice, and how electronic monitoring is used in the workplace; and debated whether goal setting works. In the following section, you will continue to develop these skills as well as your critical thinking by considering unjust situations in the workplace and developing recommendations for handling unfairness; learning to recognize the "folly of rewarding A, while hoping for B"; discussing how CEO pay can be demotivating and unfair to employees; and considering laziness in the workplace, especially how it can escalate and spread to others.

Experiential Exercise Organizational Justice Task

Break the class into groups of three or four.

Questions

- 7-8. Each person should recall an instance in which he or she was (a) treated especially fairly and (b) treated especially unfairly. Work-related instances are preferable, but nonwork examples are fine too. What do the stories have in common?
- 7-9. Spend several minutes discussing whether the instance was more distributive, procedural, informational, or interpersonal in nature. What was the source of the fair/unfair treatment? How did each student feel, and how did he or she respond?
- 7-10. Each group should develop a set of recommendations for handling the unfair situations in a positive manner, and select a leader group who will briefly summarize the unfair instances, along with the group's recommendations for handling them better. The discussion should reflect the four types of justice discussed in this chapter (distributive, procedural, informational, and interpersonal).

Ethical Dilemma Follies of Reward

Most of the time, we have good intentions when we try to reward others. We might give a bonus to an employee who has done an exceptionally good job all year. Or our reward systems might be a little more institutionalized. For example, a movie theater might reward an employee for eliciting charity donations from moviegoers, or a realtor might receive a commission for each house she sells.

Sometimes, however, even with good intentions, we may be rewarding the wrong thing. In a classic article of the same title, Steven Kerr outlines this “Folly of Rewarding A, While Hoping for B.” For example, if you go to the doctor’s office, the doctor can make two types of errors: (1) pronouncing you well when you are actually sick and (2) pronouncing you sick when you are actually well. If the doctor commits the first error, the consequences are grave—there could be a threat of a lawsuit, malpractice, or negligence. If the doctor commits the second error, the consequences have much less of an impact—the doctor generates more income, establishes a more regular customer base, and is rewarded by society for taking a “conservative” approach to diagnosis. These reward and punishment differences persist, even when there is the chance that treatment without due cause can cause more harm than good. However, shouldn’t society seek to minimize both types of errors and instead seek medical diagnostic accuracy as a goal?

In a more recent example, one study found that a monthly perfect attendance award program across five industrial laundry plants did not work the way it was intended to: When participants became ineligible for the award, they showed up less frequently. The employees became so focused on attendance that their efficiency decreased by 8 percent because many of them would become ineligible for the reward after coming in late or missing a day during the month period. The plant was rewarding attendance and hoping for good performance.

Questions

- 7-11. How do you think we might be able to recognize when we are rewarding the wrong thing? What steps can organizations take to recognize these instances?
- 7-12. Is rewarding the unintended behavior or outcome always unethical? Why or why not?
- 7-13. Do you think it is possible for a reward program to start out rewarding the appropriate behavior at its inception but then begin to reward the wrong thing over time? Why or

why not?

Sources: Based on T. Gubler, I. Larkin, and L. Pierce, “Motivational Spillovers from Awards: Crowding Out in a Multitasking Environment,” *Organization Science* 27, no. 2 (2016): 286–303; and S. Kerr, “On the Folly of Rewarding A, While Hoping for B,” *Academy of Management Journal* 18, no. 4 (1975): 769–83.

Case Incident 1 Who Needs the Gig Economy?

Are you working independently, in a short-term contract for an organization? If so, you are working in the gig economy. The new “on-demand economy” has led to the development of entrepreneurial skills, produced great innovations, and has created emerging forms of work and labor. In an article published by the McKinsey Global Institute, the gig economy is described as consisting of casual or contingent work that is conducted in a digital marketplace. It gets its name because a worker is paid for each piece of work or individual “gig” in the place of a salary. It uses digital labor platforms to match independent workers with jobs.

The gig economy connects customers who need a service performed and the independent workers willing to provide it. The new technology is disrupting the way labor markets operate throughout the world and is creating a new type of independent or contingent worker. It has been reported that as many as 30 percent of workers across the United States and Europe are engaged in the gig economy.

In the past, developments in technology enabled computer programmers and designers to make a good living from short-term work projects. Today, the new economy is presenting opportunities to freelancers in a wide range of professions—household and taxi services, food distributors and accommodation providers—through organizations such as Uber, Deliveroo, and Air BnB. The digital revolution means that technology is used to purchase goods and services, so why couldn’t it be used to work? People are equipped with computers and GPS-enabled smartphones linked to social media; they can now perform many different types of jobs and balance them against all the other demands in their lives.

The gig economy may fundamentally change the nature of work as reductions are seen in full-time regular employment and a breed of freelancers who may hold more than one job emerge. It is empowering to be your own boss—freelancers can have more flexibility and autonomy and achieve better a work–life balance. Businesses can reduce the cost of training, office space, and company benefits, and they can hire the experts they need for the duration of a specific project. There may also be economic benefits, such as increased workforce participation, reduced unemployment, and boosts to productivity.

However, there are the huge advantages for employees who receive a regular paycheck and have fixed working hours and company benefits. Some find that, in the gig economy,

they end up working full-time without the status, security, and protections of an employment contract. They may not receive benefits such as sick leave, holiday pay, redundancy pay, and maternity leave—or even be guaranteed the minimum wage. They may not even have the flexibility they were promised as the lines between their personal and professional lives blur.

Questions arise about the nature of work in the years to come and how best to safeguard the contingent workforce. Gigsters may offer organizations flexibility, speed, innovation, and agility, but they may lose out on benefits and protections while businesses avoid taxes and worker compensation. The gig economy may result in greater social inequality, as the benefits of the on-demand economy are experienced by the few and serviced by the many.

The new gig economy is acting as a bridge between traditional organizations and the emerging economy. It may be the engine of economic and social transformation, but the consequences for all need to be understood. Good management practices need to be put in place as this pioneering generation of workers in the digital age deliver new opportunities for business activity and growth.

Questions

- 7-14.** Do you think that the gig economy meets the needs of independent workers as identified by the early motivation theorists?
- 7-15.** How can the experience of equity or inequity as described by Adams impact on the motivation of independent workers?
- 7-16.** Identify the importance for organizations of maintaining high levels of job engagement among workers in the gig economy.

Sources: J. Manyika, S. Lund, J. Bughin, K. Robinson, J. Mischke, and D. Mahajan, “Independent Work: Choice, Necessity, and the Gig Economy,” McKinsey Global Institute (2016), <https://www.mckinsey.com/global-themes/employment-and-growth/independent-work-choice-necessity-and-the-gig-economy>; A. L. Kalleberg and M. Dunn, “Good Jobs, Bad Jobs in the Gig Economy,” *Perspectives on Work* (2016), <http://michael-dunn.org/wp-content/uploads/2017/05/ALK-MD.-JQ-in-Gig-Economy.pdf>; K. G. Abraham, J. C. Haltiwanger, K. Sandusky, and J. R. Spletzer, “Measuring the Gig Economy: Current Knowledge and Open Issues,” U.S. Census Bureau (2017), http://conference.iza.org/conference_files/Statistic_2017/abraham_k16798.pdf.

Case Incident 2 Laziness Is Contagious

Being lazy is often a quality that is shunned or looked down on in the workplace. When someone is unwilling to put energy into their work, they are, essentially, not engaged with their job. It is still unclear whether someone can have a “lazy” personality, but we can all most likely recall times when we did not want to or commit to putting forth the energy needed to do our work. In many cases, this leads to procrastination or excessive delegation, resulting in a failure to meet tight deadlines. One laziness behavior includes fleeing the scene when one does not want to work; another one is playing the victim and making excuses to make up for a lack of effort.

Although there has not been much research on laziness (perhaps anyone who has attempted to has not been able to muster the effort!), the research that does exist suggests that trait attributions of laziness are complex. For example, people tend to acknowledge that they have more personality traits than others (e.g., “I am a very complex, multifaceted person”). Although someone would not hesitate to say that they are “very energetic,” people tend to qualify laziness with “diminutive” words (e.g., “I am a little bit lazy”). Similar peculiar effects emerge when considering others’ attributions as well. Even though halo biases (see Chapter 5) can emerge for positive attributions of others (e.g., “She could have easily lied to me about accidentally giving an extra twenty dollars in change back to the customer when she first started working here. She is a fantastic, industrious, and honest person!”), horns biases do not occur as broadly as these positive traits when considering laziness (e.g., a supervisor witnessing an employee lying when she first started working there may think that she will lie in many circumstances but will not see this person as lazy).

Even more worrisome, laziness can subtly escalate or catch on with others. For instance, one lazy behavior can lead to another, and sunk costs can add up to the point where you reason you will simply start over tomorrow. Recent research suggests that laziness can be contagious—participants, unaware of their shifts toward laziness, start to endorse the same lazy behaviors and decisions that fictional, computer-generated participants made. The implications here are very intriguing: “[F]or example, if your lazy boss rewards you for having invested more effort in your work, will you become more or less lazy?”

Regardless of the negative air surrounding laziness, some have found merit in its practice. For example, Michael Lewis, author of *Moneyball*, asserts that laziness is not necessarily a

bad thing and has even helped him succeed: “My laziness serves as a filter.... Something has to be really good before I’ll decide to work on it.”

Questions ★

- 7-17.** Do you consider laziness to be more of a personality trait or more of a motivational state that we experience from time to time? Why? Is there a potential that it could be a little bit of both?
- 7-18.** Do you agree or disagree with Michael Lewis that there is an upside to laziness? Why or why not?
- 7-19.** How do you think managers and organizations can “manage laziness” so that the negative effects are minimized and the positive effects maximized? What sorts of programs and initiatives could an organization implement to achieve these goals?

Sources: Based on J. Boitnott, “5 Kinds of Lazy Employees and How to Handle Them,” *Entrepreneur*, May 17, 2016, <https://www.entrepreneur.com/article/275845>; W.-Y. Cheung, T. Wildschut, C. Sedikides, and B. Pinter, “Uncovering the Multifaceted Self in the Domain of Negative Traits: On the Muted Expression of Negative Self-Knowledge,” *Personality and Social Psychology Bulletin* 40, no. 4 (2014), 513-25; M. Gräf and C. Unkelbach, “Halo Effects in Trait Assessment Depend on Information Valence: Why Being Honest Makes You Industrious, but Lying Does Not Make You Lazy,” *Personality and Social Psychology Bulletin* 42, no. 3 (2016): 290–310; A. MacMillan, “Why Laziness May Be Contagious,” *Time*, March 30, 2017, <http://time.com/4718737/laziness-impatience-contagious-personality/>; J. Selk, “Laziness Isn’t a Personality Flaw—It’s Just a Habit,” *Forbes*, July 10, 2014, <https://www.forbes.com/sites/jasonselk/2014/07/10/laziness-isnt-a-personality-flaw-its-just-a-habit/#810a5c301627>; and M. Zetlin, “Being Lazy Is the key to Success, According to the Best-Selling Author of ‘Moneyball,’ ” *Inc.*, March 20, 2017, <http://www.inc.com/minda-zetlin/why-being-lazy-makes-you-successful-according-to-the-bestselling-author-of-money.html>.

MyLab Management Writing Assignments

If your instructor has assigned this activity, go to www.pearson.com/mylab/management for the following assisted-graded writing assignments:

- 7-20.** Refer again to the Ethical Dilemma. Can you think of a situation in which students are rewarded for one thing when the intention was to reward something else? What could be or could have been done to change or stop this? Do you think the situation would have been better or worse if there were no rewards?

Why or why not?

7-21. Refer again to Case Incident 1. What are the particular motivational issues facing organizations in the gig economy? Do the “self-employed” need no motivational support?

7-22. MyLab Management only—additional assisted-graded writing assignment.

Endnotes

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End of Chapter Quiz

Test Your Understanding

1 Motivation can be defined by three key elements. _____ is one of these three key elements and it is the element most of us focus on when we talk about motivation.

- ☐ Intelligence
- ☐ Experience
- ☐ Expertise
- ☐ Intensity

Check answer

Reset

2 According to Maslow's hierarchy of needs, which of the following is a lower-order need?

- ☐ social
- ☐ safety
- ☐ esteem
- ☐ self-actualization

Check answer

Reset

3 Your fellow employees have a terrible work situation. They work in an old, run-down building with an antiquated heating system. The work itself is tedious and the supervisor is rarely available and only shows up to give reprimands for production shortfalls. Nobody has received a promotion in two years. The work is boring, repetitious, and unrewarding. You are trying to improve this situation with the help of Herzberg's two-factor theory. You decide that your first job should be to improve the hygiene factors. Which of the following would you consider a hygiene factor?

- ☐ working conditions
- ☐ training related to new skills
- ☐ recognition
- ☐ employee empowerment

Check answer

Reset

4 McClelland's theory of needs concentrates on which three needs?

- ☐ achievement, growth, and security
- ☐ achievement, power, and affiliation
- ☐ self-actualization, stability, and affiliation
- ☐ affiliation, control, and security

Check answer

Reset

5 You manage a department of five employees. You have identified that Joe has high need for achievement, Mary has high need for power, and Tim has high need for affiliation. Sarah scored high on the need for power and low on the need for affiliation. Doug scores low on both need for power and need for affiliation. Which of these five employees would be best suited as a mentor to new employees with a chance to develop friendships?

- ☐ Joe
- ☐ Mary
- ☐ Tim
- ☐ Sarah

Check answer

Reset

6 Which of the following statements is true regarding the cognitive evaluation theory?

- ☐ This theory proposes that employees inherently dislike work and must therefore be directed or even coerced into performing it.
- ☐ This theory hypothesizes that extrinsic rewards will reduce intrinsic interest in a task.
- ☐ This theory is also called motivation-hygiene theory.
- ☐ This theory is based on three needs: need for achievement, need for power, and need for affiliation.

Check answer

Reset

7 The concept of self-concordance proposes that _____.

- the factors that lead to job satisfaction are separate and distinct from those that lead to job dissatisfaction
- employees inherently dislike work and must therefore be directed or even

coerced into performing it

- ☐ individuals who pursue goals because of an intrinsic interest are more likely to attain their goals
- ☐ people with high achievement-need tend to be the best general managers

Check answer

Reset

8 Jill is an excellent technical writer. She has never missed a deadline and all her projects are of superior quality. She now wants to telecommute two days a week, so that she can spend more time with her family. She feels that she has proven her reliability. However, her boss is unable to comply with her request and gives her a substantial raise instead. Jill's disappointment demonstrates a breakdown in the _____ relationship.

- ☐ performance-reward
- ☐ effort-performance
- ☐ rewards-personal goals
- ☐ effort-satisfaction

Check answer

Reset

9 Which of the following statements is true regarding goals?

- ☐ Goal commitment is most likely to occur when the individual has an external locus of control.
- ☐ Generalized goals produce a higher level of output as compared to specific goals.
- ☐ People do better when they get feedback on how well they are progressing toward their goals.
- ☐ If factors such as acceptance of the goals are held constant, the more simple the goal, the higher the level of performance.

Check answer

Reset

10 Many elements in management by objectives (MBO) programs match propositions of _____ theory.

- motivation-hygiene
- cognitive evaluation
- goal-setting

☐ self-determination

Check answer

Reset

11 _____ refers to an individual's belief that he or she is capable of performing a task.

- ☐ Emotional contagion
- ☐ Affect intensity
- ☐ Self-efficacy
- ☐ Cognitive dissonance

Check answer

Reset

12 In equity theory, individuals assess the _____.

- ☐ cost–benefit ratio
- ☐ efficiency–effectiveness trade-off
- ☐ quantity–quality trade-off
- ☐ outcome–input ratio

Check answer

Reset

13 With reference to the four ways of increasing self-efficacy as proposed by Albert Bandura, verbal persuasion involves becoming more confident _____.

- ☐ because you gain relevant experience with the task or job
- ☐ because you see someone else doing the task
- ☐ because someone convinces you that you have the skills necessary to be successful
- ☐ because you get rewarded for performing a similar task well

Check answer

Reset

14 According to the theory of job engagement, which of the following activities will aid a manager in facilitating engagement for their employees?

- giving the employees a raise

- ☐ offering the employees a vacation
- ☐ providing comfortable work spaces
- ☐ including the employees in weekly planning meetings

Check answer

Reset

15 Jackie thinks that she is paid a lot less than other employees in her division and feels extremely resentful. She starts taking long breaks and generally wastes time. Her actions resulted from a perceived lack of _____ justice.

- ☐ interactional
- ☐ interpersonal
- ☐ procedural
- ☐ distributive

Check answer

Reset

8

Motivation: From Concepts to Applications



Source: Angelika Warmuth/dpa picture alliance archive/Alamy Stock Photo

Learning Objectives

After studying this chapter, you should be able to:

- 8-1** Describe how the job characteristics model motivates by changing the work environment.
- 8-2** Compare the main ways jobs can be redesigned.
- 8-3** Explain how specific alternative work arrangements can motivate employees.
- 8-4** Describe how employee involvement measures can motivate employees.
- 8-5** Demonstrate how the different types of variable-pay programs can increase

employee motivation.

8-6 Show how flexible benefits turn benefits into motivators.

8-7 Identify the motivational benefits of intrinsic rewards.

Employability Skills Matrix (ESM)

	Myth or Science?	Career Objectives	An Ethical Choice	Point/Counterpoint	Experiential Exercise	Ethical Dilemma
Critical Thinking	✓		✓	✓	✓	✓
Communication		✓		✓	✓	✓
Collaboration		✓		✓	✓	
Knowledge Application and Analysis	✓	✓	✓	✓	✓	✓
Social Responsibility			✓			✓

MyLab Management Chapter Warm Up

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the chapter warm up.

Employees Trading Places

If you were given the chance to try something new, something other than the job in the career path you've selected, would you take it? What if you were *encouraged* to do so? This is exactly what some organizations are implementing through their job rotation programs, which enable employees to shift periodically from one task or job to another. The idea is that such assignments have myriad benefits, such as helping employees learn new skills (and gain deeper insight into those they already have), maintaining employee motivation, countering career stagnation, building a flexible and cross-trained workforce, fostering healthy competition, recognizing hidden talents, and sparking employees' curiosity or interest for new roles they may be good at but might not have considered possible.

Intel Corporation lets their employees (such as the one shown) take on temporary assignments to get a better feel and sense of the “hardware” that contributes to Intel's work infrastructure. What's even more interesting is that Intel has developed an internal database (Intel's Developmental Opportunity Tool [DOT]) with which employees can search for hundreds of temporary assignment listings that they can take on. The program's overseer, Amreen Madhani, notes that DOT allows employees to “test-drive a job or make connections in different departments.” The success of DOT has led to thousands of successful temporary placements. Before DOT, Madhani asserts, Intel was “so siloed. Everyone had their own tools, but there was limited visibility to employees across the organization. We wanted an enterprise-wide solution.”

Taking on job rotation assignments, however, is not always smooth or easy. For example, Elizabeth Wright Korytkowski, a benefits specialist with Intel, took on a four-month, software services group position. She “felt like a deer in the headlights” given the shock, change, and difficulty of taking on such an assignment. Since then, however, she has gained familiarity with software and tools she wouldn't have otherwise been exposed to and has since been promoted.

The advent of job rotation approaches is a welcome trend for both employers and employees—in fact, *employer* and *employee* may be antiquated words decades from now. Randstad's Workplace 2025 survey asked employers and employees to choose a new word that they thought better represented *employees* and that they would like to see used by the year 2025. 47 percent of employers and 57 percent of employees felt that the term *contributor* was the most appropriate word. The survey results are striking regarding perceptions of the role of the “contributor” in the next decade: 76 percent of workers say that they're just as committed when they are working on different types of tasks or functions; 85

percent agree that what matters is providing skills and results, not the role assigned; only 5 percent believe that job experience or seniority is critical; and over 70 percent of millennials and Generation Z employees agree that periodically changing career paths increases their potential.

Job rotation programs appear to provide a great benefit to organizations and *contributors* alike. As Terri Lodwick, president of Executive Women International (EWI) notes, job rotation allows employees to “get to see how they fit into the entire organization, not just their little cubicle.”

Sources: Based on D. Coker, “How Job Rotation Is Beneficial for the Organization,” *The HR Digest*, October 31, 2016, <https://www.thehrdigest.com/job-rotation-beneficial-organization/>; B. Fetherstonhaugh, “Developing a Strategy for a Life of Meaningful Labor,” *Harvard Business Review*, September 5, 2016, <https://hbr.org/2016/09/developing-a-strategy-for-a-life-of-meaningful-labor>; F. Gino, “Let Your Workers Rebel,” *Harvard Business Review*, October 24, 2016, <https://hbr.org/cover-story/2016/10/let-your-workers-rebel>; D. Parrey, “How to Create High-Profile Opportunities for High-Potential Employees,” *Institute for Corporate Productivity: The Productivity Blog*, May 14, 2013, <https://www.i4cp.com/productivity-blog/2013/05/14/how-to-create-high-profile-opportunities-for-high-potential-employees>; Randstad, *Workplace 2025: From Employee to Contributor: The Worker of the Future*, October 2016, https://www.randstadusa.com/workforce360/workplace-2025/infographic/?utm_source=pr&utm_medium=pr&utm_term=client&utm_content=rusa&utm_campaign=wp2025+infographic; and L. Weber and L. Kwoh, “Managing & Careers: Co-Workers Change Places,” *The Wall Street Journal*, February 21, 2012, B8.

As a result of this switch, it is clear that a number of firms are switching to job rotation methods; task characteristics, job design elements, work arrangements, and a sense of agency are all powerful motivators within the realm of work. These elements can be altered or changed perhaps just by letting workers try something new. However, the process of motivating is more complex than it may seem on the surface and requires an understanding of many job design and redesign elements, along with a consideration of the motivation concepts described in the previous chapter.

In Chapter 7, we focused on motivation theories. While it’s important to understand these underlying concepts, it’s also important to see how you can use them as a manager. In this chapter, we apply motivation concepts to practices, beginning with job design.

Motivating by Job Design: The Job Characteristics Model

8-1 Describe how the job characteristics model motivates by changing the work environment.

The way work is structured has a bigger impact on an individual's motivation than might first appear. **Job design** ⓘ suggests that the way elements in a job are organized can influence employee effort,¹ and the job characteristics model, discussed next, can serve as a framework to identify opportunities for changes to those elements.

The Job Characteristics Model

The **job characteristics model (JCM)** ⓘ describes jobs in terms of five core job dimensions:²

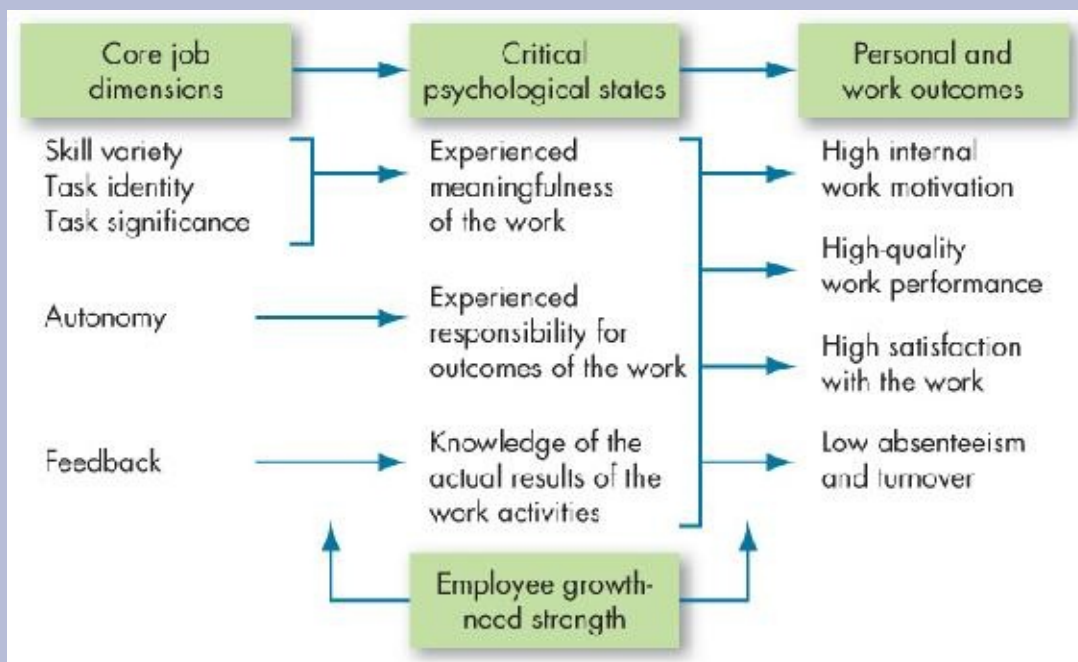
1. **Skill variety** ⓘ is the degree to which a job requires different activities using specialized skills and talents. The work of a garage owner-operator who does electrical repairs, rebuilds engines, does bodywork, and interacts with customers scores high on skill variety. The job of a body shop worker who sprays paint 8 hours a day scores low on this dimension.
2. **Task identity** ⓘ is the degree to which a job requires completion of a whole and identifiable piece of work. A cabinetmaker who designs furniture, selects the wood, builds the furniture, and finishes the pieces has a job that scores high on task identity. A job scoring low on this dimension is operating a lathe solely to make table legs.
3. **Task significance** ⓘ is the degree to which a job affects the lives or work of other people. The job of a nurse helping patients in a hospital intensive care unit scores high on task significance; sweeping floors in a hospital scores low.
4. **Task significance** ⓘ is the degree to which a job provides the worker freedom, independence, and discretion in scheduling work and determining the procedures for carrying it out. A sales manager who schedules his own work and tailors his sales approach for each customer without supervision has a highly autonomous job. An

account representative who is required to follow a standardized sales script with potential customers has a job low on autonomy.

5. **Feedback** ⓘ is the degree to which carrying out work activities generates direct and clear information about your own performance. A job with high feedback is testing and inspecting iPads. Installing components of iPads as they move down an assembly line provides low feedback.

Exhibit 8-1 presents the JCM. Note how the first three dimensions—skill variety, task identity, and task significance—combine to create meaningful work the employee will view as important, valuable, and worthwhile. Jobs with high autonomy give employees a feeling of personal responsibility for results; feedback shows them how effectively they are performing. The JCM proposes that individuals obtain internal rewards when they learn (knowledge of results in the model) that they personally have performed well (experienced responsibility) on a task they care about (experienced meaningfulness). The more these three psychological states are present, the greater will be employees' motivation, performance, and satisfaction, and the lower their absenteeism and likelihood of leaving. As Exhibit 8-1 indicates, individuals with a high growth need are more likely to experience the critical psychological states when their jobs are enriched—and are more likely to respond to them more positively.

Exhibit 8-1 The Job Characteristics Model



Source: Based on J. L. Pierce, I. Jussila, and A. Cummings, “Psychological Ownership within the Job Design Context: Revision of the Job Characteristics Model,” *Journal of Organizational Behavior* 30, no. 4 (2009): 477–96.

Much evidence supports the relationship between the presence of these job characteristics and higher job satisfaction and organizational commitment through increased motivation.³ In general, research concurs with the theory behind the JCM, although studies have introduced potential modifiers. One study suggested that when employees were other-oriented (concerned with the welfare of others at work), the relationship between intrinsic job characteristics and job satisfaction was weaker,⁴ meaning that our job satisfaction comes less from these characteristics when we care about others. Another study proposed that the degree of psychological ownership we feel toward our work enhances our motivation, particularly if the feelings of ownership are shared among a work group.⁵ Other research has explored the JCM in unique settings such as in virtual work situations, finding that if individuals work together online but not in person, their experience of meaningfulness, responsibility, and knowledge of results can suffer. Thankfully, managers can mitigate these negative effects for employees by consciously developing personal relationships with them and increasing their sense of task significance, autonomy, and feedback.⁶

We can combine the core dimensions of the JCM into a single predictive index, called the **motivating potential score (MPS)** ⓘ and calculated as follows:

$$\text{MPS} = \frac{\text{skill variety} + \text{task identity} + \text{task significance}}{3} \times \text{autonomy} \times \text{feedback}$$

To be high on motivating potential, jobs must be high on at least one of the three factors that lead to experienced meaningfulness and high on both autonomy and feedback. If jobs score high on motivating potential, the model predicts that motivation, performance, and satisfaction will improve and that absence and turnover will be reduced. Think about your job. Do you have the opportunity to work on different tasks, or is your day routine? Are you able to work independently, or do you have a supervisor or coworker looking over your shoulder constantly? Your answers indicate your job’s motivating potential.



Research has also examined the role that leadership (to be discussed further in Chapter 12) affects employee perceptions of job characteristics. For instance, one study found that ethical leaders improve employees’ effort and job performance because they

bolster the task significance of their employees.⁷ Research in government, private, and military research and development (R&D) organizations in Taiwan reached a similar conclusion—that supportive leadership behaviors improved the job characteristics of R&D professionals.⁸

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

8.1.1 John is a design manager for a production company. He independently assigns teams, chooses projects, researches trends, and is able to work from home two to three days a week. He provides a status report to the design director once a month. Based on this description and as per the job characteristics model, it's safe to say that John's job is high in _____.

- ☐ task identity
- ☐ feedback
- ☐ autonomy
- ☐ task significance

Check answer

Reset

8.1.2 Samantha is an emergency medical technician. Yesterday, due to an emergency, she was called to a house where a man suffered a heart attack. She was able to resuscitate the man, and while her colleagues were transporting him to the ambulance she spent 10 minutes calming the 12-year-old daughter, who was home alone with the father at that time. Based on this description, it's safe to say that Samantha's job is high in _____.

- ☐ task identity
- ☐ feedback
- ☐ reward
- ☐ task significance

Check answer

Reset

Job Redesign

8-2 Compare the main ways jobs can be redesigned.

“Every day was the same thing,” Frank said. “Stand on that assembly line. Wait for an instrument panel to be moved into place. Unlock the mechanism and drop the panel into the Jeep ... as it moved by on the line. Then I plugged in the harnessing wires. I repeated that for eight hours a day. I don’t care that they were paying me 24 dollars an hour. I was going crazy. Finally, I just said this isn’t going to be the way I’m going to spend the rest of my life. My brain was turning to JELL-O. So I quit. Now I work in a print shop and I make less than 15 dollars an hour. But let me tell you, the work I do is really interesting. The job changes all the time, I’m continually learning new things, and the work really challenges me! I look forward every morning to going to work again.”

The repetitive tasks in Frank’s job at the Jeep plant provided little variety, autonomy, or motivation. In contrast, his job in the print shop is challenging and stimulating. From an organizational perspective, the failure of Frank’s first employer to redesign his job into a more satisfying one led to increased turnover. Redesigning jobs therefore has important practical implications—reduced turnover and increased job satisfaction among them. Let’s look at some ways to put the JCM into practice to make jobs more motivating.

Job Rotation and Job Enrichment

Job Rotation If employees suffer from over-routinization of their work, one alternative is **job rotation** ⓘ, or the periodic shifting of an employee from one task to another with similar skill requirements at the same organizational level (also called cross-training).⁹

Manufacturers also use job rotation as needed to respond more flexibly to the volume of incoming orders. New managers are sometimes rotated through jobs, too, to help them get a picture of a whole organization.¹⁰ For these reasons, job rotation can be applied in any setting where cross-training is feasible, from manufacturing floors to hospital wards. At Singapore Airlines, for instance, a ticket agent may temporarily take on the duties of a baggage handler, both to be cross-trained and to get exposure to different aspects of the organization. Extensive job rotation is among the reasons that Singapore Airlines is rated one of the best

airlines in the world.¹¹



The use of job rotation has been shown to increase job satisfaction and organizational commitment.¹² Evidence from Italy, Britain, and Turkey shows that job rotation is associated with higher levels of organizational performance in manufacturing settings.¹³ It reduces boredom, increases motivation, and helps employees understand how their work contributes to the organization. It may also increase safety and reduce repetitive-based work injuries, but this is currently a topic of much study and debate, with mixed findings.¹⁴

Job rotation does have drawbacks. Training costs increase when each rotation necessitates a round of training. Second, moving a worker into a new position reduces overall productivity for that role. Third, job rotation creates disruptions when members of the work group must adjust to new employees. Fourth, supervisors may have to spend more time answering questions and monitoring the work of recently rotated employees.

Job Enrichment Think back to some of the motivation concepts from Chapter 7, including developing and nurturing intrinsic motivation. This major focus of self-determination theory can be put into action through the process of job enrichment. In **job enrichment** ⓘ, high-level responsibilities are added to the job to increase a sense of purpose, direction, meaning, and intrinsic motivation.¹⁵

Enriching a job in this way is different from enlarging it, or adding more tasks and requirements. It involves adding another layer of responsibility and meaning. Job enrichment has its roots in Herzberg's theories of providing hygiene, or motivating factors, to the job to increase motivation. Sometimes, enrichment is not rigidly controlled by management; employees, especially those in occupations experiencing high industry growth, have been known to enrich their own jobs (and become satisfied as a result).¹⁶

Myth or Science?

Money Can't Buy Happiness

Maybe you've probably heard that money *does* buy happiness. Both may be true.

O Economist Richard Easterlin argued that once basic financial needs have been met, more money doesn't really do much to make a person happy. Researchers set the limit at around \$75,000, recently prompting one CEO to give away all his earnings above that amount to his employees!

This is by no means the last word, nor is it a directive to be unhappy until you make \$75,000 and no happier afterward. More recent research worldwide indicates the exact opposite: The more money, the better. The authors said, "If there is a satiation point, we are yet to reach it."

Given these mixed findings, the relationship between happiness and income is probably not direct. In fact, other research suggests your *level* of income is less important than *how* you spend it. Think about why you may be motivated by money. Do you envision the number of zeroes in your bank account increasing? Probably not. You're probably more motivated by what you can buy with the money than by the money itself. From research, we know:

- *Giving money away makes people happier than spending it on themselves.* In one study, students were given money and told to either give it away or spend it on themselves. Then the study asked people to give away their own money. Either way, people were happier giving away the money, even if the givers were relatively poor. What seems to matter is not the amount but how much impact you think your donation will have on others.
- *People are happier when they spend money on experiences rather than products.* Research professor Thomas Gilovich says that we think to ourselves, "I have a limited amount of money, and I can either go there, or I can have this. If I go there, it'll be great, but it'll be over in no time. If I buy this thing, at least I'll always have it. That is factually true, but not psychologically true. We adapt to our material goods."
- *People are happier when they buy time, but only if they use it well.* Outsource tasks when you can, for instance, and "think of it as 'windfall time' and use it to do something good," says researcher Elizabeth Dunn.

Saying that money brings more happiness when spent on our experiences (and the time to do them) may seem counterintuitive until we think about it closely. What did you think of your cell phone when you bought it compared to what you think of it now?

Chances are you were interested and engaged when you bought it, but now it is an everyday object. For experiences, what did you think of your greatest vacation when you were on it, and what do you think of it now? Both the experience at the time and the recollection now may bring a smile to your face.

Sources: Based on A. Blackman, “Can Money Buy Happiness?” *The Wall Street Journal*, November 10, 2014, R1, R2; D. Kurtzleben, “Finally: Proof That Money Buys Happiness (Sort Of),” *USNews.com*, April 29, 2013; and A. Novotney, “Money Can’t Buy Happiness,” *Monitor on Psychology* (July/August 2012): 24–26.



Early reviews suggest that job enrichment can be effective at reducing turnover, almost twice as effective as giving employees a “realistic preview” of the work before they join the organization.¹⁷ In a survey of over 20,000 British employees, job enrichment practices were related to organizations’ financial performance, labor productivity, absenteeism, and output quality through improvements in job satisfaction.¹⁸

Relational Job Design

While redesigning jobs on the basis of job characteristics theory is likely to make work more intrinsically motivating, research is focusing on how to make jobs more prosocially motivating to people. In other words, how can managers design work so employees are motivated to promote the well-being of the organization’s beneficiaries (customers, clients, patients, and employees)? This view, **relational job design** ⓘ, shifts the spotlight from the employee to those whose lives are affected by the job that employee performs.¹⁹ It also motivates individuals toward increased job performance.²⁰

One way to make jobs more prosocially motivating is to connect employees more closely with the beneficiaries of their work by relating stories from customers who have found the company’s products or services to be helpful. For example, the medical device manufacturer Medtronic invites people to describe how its products have improved, or even saved, their lives and shares these stories with employees during annual meetings, which provides the employees a powerful reminder of the impact of their work. For another example, researchers found that when university fundraisers briefly interacted with the undergraduates who would receive the scholarship money they raised, they persisted 42 percent longer and raised nearly

twice as much money as those who didn't interact with potential recipients.²¹ The positive impact was apparent even when fundraisers met with just a single scholarship recipient.



Medical device maker Stryker provides opportunities for its employees to connect with people affected by their work. Shown here are its employees with endurance athlete Daren Wendell (center, in hat), who has an implanted titanium rod in his leg that Stryker produced.

Source: Diane Bondareff/InVision for Stryker/AP Images

Personal contact with beneficiaries may not always be necessary. Once a child's chemotherapy comes to an end at one of the many cancer centers across the United States and he or she has successfully defeated cancer, it has become tradition for the child to ring a bell, the sound of which is often broadcast throughout many areas of the hospital. The mere act of hearing this bell is inspiring to the staff. Dr. ZoAnn Dryer of the Texas Children's Cancer Center notes, "Every time that bell rings, it's like you know what, somebody else has done it. That's what this is all about."²²

Why do these connections have such positive consequences? Meeting beneficiaries firsthand—or even just seeing pictures of them—allows employees to see that their actions affect a real person and have tangible consequences. It makes customers or clients more memorable and emotionally vivid, which leads employees to consider the effects of their

work actions more. Connections allow employees to take the perspective of beneficiaries, which fosters higher levels of commitment.

You might be wondering whether connecting employees with the beneficiaries of their work is already covered by the idea of task significance in job characteristics theory. However, some differences make beneficiary contact unique. For one, many jobs might be perceived as being high in significance, yet employees in those jobs never meet the individuals affected by their work. Second, beneficiary contact seems to have a distinct relationship with prosocial behaviors such as helping others. For example, one study found that lifeguards who read stories about how their actions benefited swimmers were rated as more helpful by their bosses; this was not the case for lifeguards who read stories about the personal benefits of their work for themselves.²³ The upshot? There are many ways you can design jobs to be more motivating, and your choice should depend on the outcomes you'd like to achieve.

Relational job design, with its focus on prosocial motivation, is an especially salient topic for organizations with corporate social responsibility (CSR) initiatives. As we discussed in earlier chapters, CSR efforts often include invitations for employees to volunteer their time and effort, sometimes using the skills they gained on the job (like Home Depot employees when they help rebuild homes) but often not (such as when bank employees help rebuild homes with groups like Habitat for Humanity). In both cases, the employees may be able to interact with the beneficiaries of their efforts, and research indicates that corporate-sponsored volunteer programs enhanced the JCM dimensions of meaningfulness and task significance and motivated employees to volunteer.²⁴ While this motivation for prosocial behavior is noteworthy, however, it is not the same as relational job design: For one, the CSR efforts occur through volunteering (not on the job). Also, the work employees are providing is not usually the same work they do at their jobs (Home Depot workers do not build homes on the job). However, relational job design holds intriguing possibilities for CSR initiatives.



MyLab Management **Personal Inventory Assessments**

Go to www.pearson.com/mylab/management to complete the Personal Inventory Assessment related to this chapter.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

8.2.1 Which of the following statements is true regarding job rotation?

- ☐ It decreases the flexibility with which an organization can adapt to a change.
- ☐ It decreases employee motivation.
- ☐ It decreases productivity.
- ☐ It decreases supervisory workload.

Check answer

Reset

8.2.2 Job enrichment increases the degree to which the worker controls the

_____.

- ☐ planning, execution, and evaluation of the work
- ☐ planning, execution, and evaluation of company plans
- ☐ horizontal integration of his or her tasks
- ☐ evaluation of his or her peers

Check answer

Reset

Alternative Work Arrangements

8-3 Explain how specific alternative work arrangements can motivate employees.

As you are probably aware, there are many approaches to motivating people, and we've discussed some of them. Another approach to motivation is to consider alternative work arrangements such as flextime, job sharing, and telecommuting. These are likely to be especially important for a diverse workforce of dual-earner couples, single parents, and employees caring for a sick or aging relative.

Flextime

Susan is the classic “morning person.” Every day she rises at 5:00 A.M. sharp, full of energy. However, as she puts it, “I’m usually ready for bed right after the 7:00 P.M. news.”

Susan’s work schedule as a claims processor at The Hartford Financial Services Group is flexible. Her office opens at 6:00 A.M. and closes at 7:00 P.M., and she schedules her 8-hour day within this 13-hour period. Because she is a morning person whose 7-year-old son gets out of school at 3:00 P.M. every day, Susan opts to work from 6:00 A.M. to 3:00 P.M. “My work hours are perfect. I’m at the job when I’m mentally most alert, and I can be home to take care of my son after he gets out of school.”

Susan’s schedule is an example of **flextime** ⓘ, short for flexible work time or flexible work arrangements.²⁵ Flextime employees must work a specific number of hours per week but may vary their hours of work, within limits. As Exhibit 8-2 shows, each day consists of a common core, usually 6 hours, with a flexibility band surrounding it. The core may be 9:00 A.M. to 3:00 P.M., and the office opens at 6:00 A.M. and closes at 6:00 P.M. Employees must be at their jobs during the common core period, but they may accumulate their other 2 hours around that. Some flextime programs allow employees to accumulate extra hours and turn them into days off.



Flextime has become extremely popular. According to recent surveys, a majority (54 to 56 percent) of U.S. organizations offer some form of flextime—and reap benefits from it as well. Thirty-three percent of organizations report an increase in participation and 23

percent indicate an increase in productivity (conversely, 5 percent or less indicated a decrease in participation and productivity).²⁶ It appears as if flextime has become an important job design element for many employees—53 percent of employees cite flexible arrangements as a very important aspect of their job satisfaction, 55 percent of employees were unlikely to seek job opportunities elsewhere within the year, and 34 percent stated that they would remain with their current employer because of flexible arrangements.²⁷ In countries such as Germany, Belgium, the Netherlands, and France, employers are not allowed to refuse an employee’s request for either a part-time or a flexible work schedule by law as long as the request is reasonable, such as to care for an infant child.²⁸



PricewaterhouseCoopers provides flexible work options that allow employees to control how and when their work gets done. PwC employees like Global Mobility Process and Quality Managers Robin Croft and Shari Alatorre, shown here, may choose flexible work plans that include flextime, job sharing, and telecommuting.

Source: Eve Edelheit/Tampa Bay Times/ZUMAPRESS.com/Alamy Stock Photo

Exhibit 8-2

Possible Flextime Staff Schedules

Schedule 1

Percent	100% = 40 hours per week
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Time:

Core 9:00 A.M.–5:00 P.M., Monday through Friday (1 hour lunch)

Hours:

Work Between 8:00 A.M. and 9:00 A.M.

Start

Time:

Work End Between 5:00 P.M. and 6:00 P.M.

Time:

Schedule 2

Percent 100% = 40 hours per week

Time:

Work 8:00 A.M.–6:30 P.M., Monday through Thursday (1/2 hour lunch)

Hours:

Work 8:00 A.M.

Start

Time:

Work End 6:30 P.M.

Time:

Schedule 3

Percent 90% = 36 hours per week

Time:

Work 8:30 A.M.–5:00 P.M., Monday through Thursday (1/2 hour lunch) 8:00 A.M.–

Hours: Noon Friday (no lunch)

Work 8:30 A.M. (Monday–Thursday); 8:00 A.M. (Friday)

Start

Time:

Work End 5:00 P.M. (Monday–Thursday); Noon (Friday)

Time:

Schedule 4

Percent 80% = 32 hours per week

Time:

Work 8:00 A.M.–6:00 P.M., Monday through Wednesday (1/2 hour lunch) 8:00

Hours: A.M.–11:30 A.M. Thursday (no lunch) Friday off
Work Between 8:00 A.M. and 9:00 A.M.
Start
Time:
Work End Between 5:00 P.M. and 6:00 P.M.
Time:



Most of the evidence for flextime stacks up favorably. One review of over 40 studies suggests that flextime is related to positive work outcomes in general, but only weakly—the effects are much stronger when considering reductions in absenteeism and, to a lesser degree, improvements in productivity and schedule satisfaction.²⁹ Flextime tends to reduce absenteeism because employees can schedule their work hours to align with personal demands, reducing tardiness and absences, and they can work when they are most productive. Flextime can also help employees balance work and family lives; it is a popular criterion for judging how family friendly a workplace is. Much less promising, the empirical evidence from over 100,000 employees suggests that, although flextime is weakly effective at reducing the extent to which work interferes with family, it does not affect situations in which family interferes with work.³⁰ However, flextime's effects on work-life balance are more nuanced than they might appear. A British survey showed that men use flextime to increase flexibility and control over work while maintaining earning capacity. However, the practical limitations of using flexitime may create difficulties for women due to the constraints of their greater household contribution.³¹ These studies suggest that if flextime is used too much, it can undermine goal accomplishment.

Flextime's major drawback is that it's not applicable to every job or every worker. Managers and supervisors already have a high degree of autonomy in their jobs, so it is not as effective for them as it is for general employees.³² It also appears that people who have a strong desire to separate their work and family lives are less apt to use flextime.³³ Those who ask for it are often stigmatized, which may be avoided if the majority of the organization's leaders adopt flexible hours to signal that flextime is acceptable.³⁴ Flextime is intuitively a worthwhile business practice, so these findings suggest additional research is needed to determine individual differences in the use of various aspects of flexitime.

Job Sharing

Job sharing ⓘ allows two or more individuals to split a traditional full-time job.³⁵ One employee might perform the job from 8:00 A.M. to noon and the other from 1:00 P.M. to 5:00 P.M., or the two could work full but alternate days. For example, top Ford engineers Julie Levine and Julie Rocco engaged in a job-sharing program that allowed both to spend time with their families while redesigning the Explorer crossover. Typically, one of them would work late afternoons and evenings while the other worked mornings. They both agreed that the program worked well, although making it feasible required a great deal of time and preparation.³⁶

Only 18 percent of U.S. organizations offered job sharing in 2014, a 29 percent decrease since 2008.³⁷ Reasons it is not more widely adopted include the difficulty of finding compatible partners to job-share and the historically negative perceptions of individuals not completely committed to their jobs and employers. However, eliminating job sharing for these reasons might be shortsighted. Job sharing allows an organization to draw on the talents of more than one individual for a given job. It opens the opportunity to acquire skilled workers—for instance, retirees and parents with young children—who might not be available on a full-time basis. From employees' perspectives, job sharing can increase motivation and satisfaction if they can work when they wouldn't normally be able to do so. An employer's decision to use job sharing is often based on policy and financial reasons. Two part-time employees sharing a job can be less expensive in terms of salary and benefits than one full-timer, but this may not be the case because training, coordination, and administrative costs can be high. Ideally, employers should consider each employee and job separately, seeking to match the skills, personality, and needs of the employee with the tasks required for the job and taking into account that individual's motivating factors.

Telecommuting

Telecommuting might be close to the ideal job for many people: no rush hour traffic, flexible hours, freedom to dress as you please, and few interruptions. **Telecommuting** ⓘ refers to working at home—or anywhere else the employee chooses that is outside the workplace—at least 2 days a week through virtual devices linked to the employer's office.³⁸ A sales manager working from home is telecommuting, but a sales manager working from her car on a business trip is not.

Telecommuting seems to mesh with the cultural transition to knowledge work (which often can be performed anywhere) and, as the OB Poll indicates, people with more education are more apt to work from home. However, telecommuting has been a popular topic lately not for its potential but for its organizational acceptance, or lack thereof. Despite the benefits of telecommuting, large organizations such as Yahoo! and Best Buy have eliminated it.³⁹ Yahoo! CEO Marissa Mayer discussed how telecommuting may undermine corporate culture, noting, “People are more productive when they’re alone, but they’re more collaborative and innovative when they’re together.”⁴⁰

What kinds of jobs lend themselves to telecommuting? Writers, attorneys, analysts, and employees who spend most their time on computers or the telephone—including telemarketers, customer service representatives, reservation agents, and product support specialists—are candidates. As telecommuters, they can access information on their computers at home as easily as in the company’s office.

Career OBjectives

How can I get flextime?

My job is great, but I can’t understand why management won’t allow flextime. After all, I often work on a laptop in the office! I could just as easily be working on the same laptop at home without interruptions from my colleagues. I know I’d be more productive. How can I convince them to let me?

—Sophia

Dear Sophia:

We can’t help but wonder two things: (1) Is the ban on working from home a company policy or your manager’s policy, and (2) do you want flextime or telecommuting? If you work for Yahoo!, for instance, you may not be able to convince anyone to let you work from home after CEO Marissa Mayer’s very public decree against the policy. If the ban is your manager’s policy—or even your division’s policy—in an organization open to alternative work arrangements, you just may be able to get your way.

That leads us to the second question, about flextime versus telecommuting. If you want flextime as you stated and just want to work from home during some noncore

hours (say, work in the office for 6 hours a day and work another 2 hours a day from home), your employer may be more likely to grant your wish than if you want to telecommute completely (work all your hours from home).

Research indicates that employees are most likely to be granted work-from-home privileges because of a direct sympathetic relationship with their managers (not because of a company policy). Employees are also more likely to gain acceptance for partial than for full telecommuting (either flextime or by alternating days). It helps if you have a legitimate need to be home and if you do knowledge-based work. Jared Dalton, for instance, telecommutes 2 days a week as a manager for accounting firm Ernst & Young, and his wife Christina telecommutes on 2 different days so they can oversee the care of their infant.

If it sounds like flextime depends on favoritism, you might be right. It's also a reflection, however, of the state of telecommuting: Only 38 percent of U.S. organizations permit *some* of their employees to work from home regularly. To be one of the lucky few:

- *Check your organization's flexible options policies.*
- *Develop a plan for working from home to show your manager.* Include how many hours per week, which days of the week, and where you will work, and explain how your manager can retain oversight of you.
- *Assemble evidence on your productivity.* Have you worked from home before? If so, show how much you achieved. You stated you would be more productive at home: How much more?
- *Outline your reasons for working from home.* Do you need to help care for an aging relative, for instance? Would working from home save you commuting time you could use for work?
- *Address management's concerns.* Research indicates the biggest ones are the possibility of abuse of the system and issues of fairness.
- *Consider your relationship with your manager.* Has he or she been supportive of you in the past? Is your manager approachable?

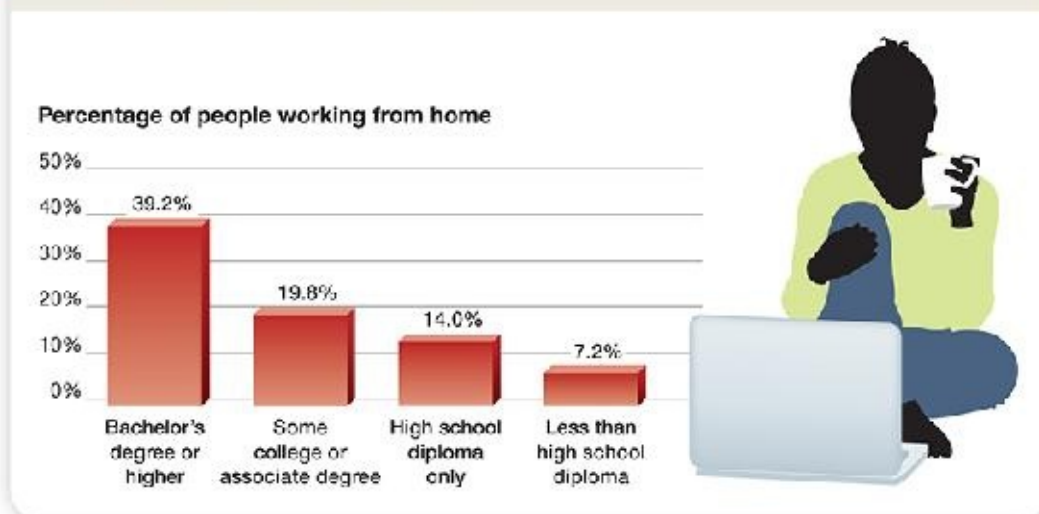
When you're ready, discuss your request with your manager. Remember, pitching the idea of telecommuting is the same as pitching any idea—you've got to think about what's in it for your employer, not for yourself.

Sources: Based on “The 2015 Workplace Flexibility Study,” WorkplaceTrends.com, February 3, 2015, <https://workplacetrends.com/the-2015-workplace-flexibility-study/>; T. S. Bernard, “For Workers, Less Flexible Companies,” *The New York Times*, May 20, 2014, B1, B7; and C. C. Miller and L. Alderman, “The Flexibility Gap,” *The New York Times*, December 14, 2014, 1, 5.

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Telecommuting has several benefits. It is positively related to objective and supervisor rated performance and job satisfaction; to a lesser degree, it reduces role stress and turnover intentions.⁴¹ Employees who work virtually more than 2.5 days a week tend to experience the benefits of reductions in work-family conflict more intensely than those who are in the office the majority of their workweek.⁴² Beyond the benefits to organizations and their employees, telecommuting has potential benefits to society. One study estimated that if people in the United States telecommuted half the time, carbon emissions would be reduced by approximately 51 metric tons per year. Environmental savings could come from lower office energy consumption, fewer traffic jams that emit greenhouse gases, and a reduced need for road repairs.⁴³

Who Works from Home?



Source: Bureau of Labor Statistics, Table 6, from Economic News Release, “American Time Use Survey Summary,” June 24, 2016, <https://www.bls.gov/news.release/atus.t06.htm>.

Telecommuting has several downsides too. In today’s team-focused workplace, telecommuting may lead to social loafing (i.e., employees shirking responsibility in a team setting), especially when the employees have many family responsibilities but their teammates do not.⁴⁴ Your manager working remotely can affect your performance negatively.⁴⁵ Managers are also challenged to handle the demotivation of office workers who feel they are unfairly denied the freedom of telecommuters.⁴⁶ Contrary to Mayer’s conclusions for Yahoo!, research indicates that more creative tasks may actually be best suited for telecommuting, whereas dull repetitive tasks like data entry decrease motivation and thus performance for remote workers.⁴⁷

From the employee’s standpoint, telecommuting can increase feelings of isolation as well as reduce job satisfaction and coworker relationship quality.⁴⁸ Research indicates that if you are forced to work from home, you may experience more work-family conflict, perhaps because it often increases work hours beyond the contracted workweek.⁴⁹ Telecommuters are also vulnerable to the “out of sight, out of mind” effect: Employees who aren’t at their desks miss meetings and don’t share in day-to-day informal workplace interactions, which may put them at a disadvantage when it comes to raises and promotions because they’re perceived as not putting in the requisite face time.⁵⁰

The success of telecommuting always depends on the quality of communications to establish good, though remote, working relationships. Telecommuting certainly does appear to make sense given changes in technology, the nature of work, and preferences of younger

workers. Yet as the Yahoo! experience shows, some leaders do not think those benefits outweigh the costs.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

8.3.1 Beyond redesigning the nature of the work itself and involving employees in decisions, another approach to making the work environment more motivating is to alter work arrangements. Which of the following is designed to give an employee greater control of their schedule?

- ☐ flextime
- ☐ job centralization
- ☐ job rotation
- ☐ job enlargement

Check answer

Reset

8.3.2 An arrangement that allows two or more individuals to split a traditional 40-hour-a-week job is called _____.

- ☐ flextime
- ☐ job-sharing
- ☐ job rotation
- ☐ telecommuting

Check answer

Reset

Employee Involvement

8-4 Describe how employee involvement measures can motivate employees.

Employee involvement and participation (EIP) ⓘ⁵¹ is a process that uses employees' input to increase their commitment to organizational success. If workers are engaged in decisions that increase their autonomy and control over their work lives, they will become more motivated, more committed to the organization, more productive, and more satisfied with their jobs. These benefits don't stop with individuals—when teams are given more control over their work, morale and performance increase as well.⁵²



To be successful, EIP programs should be tailored to local and national norms.⁵³ A study of four countries, including India and the United States, confirmed the importance of modifying practices to reflect national culture.⁵⁴ While U.S. employees readily accepted EIP programs, managers in India who tried to empower their employees were rated low by those employees. These reactions are consistent with India's high power-distance culture, which accepts and expects differences in authority. The work culture in India may not be in as much transition as it is in China, in which some employees are becoming less high power-distance oriented. Chinese workers who were very accepting of traditional Chinese cultural values showed few benefits from participative decision making. However, Chinese workers who were less traditional were more satisfied and had higher performance ratings under participative management.⁵⁵ Another study conducted in China showed that involvement increased employees' thoughts and feelings of job security, which enhanced their well-being.⁵⁶ These differences within China may well reflect the current transitional nature of Chinese culture. For example, research in urban China indicated that some aspects of EIP programs, namely, those that favor consultation and expression but not participation in decision making, yield higher job satisfaction.⁵⁷

Examples of Employee Involvement Programs

Let's look at two major forms of employee involvement—participative management and representative participation—in more detail.

Participative Management Common to all **participative management** ⓘ programs is joint decision making, in which subordinates share a significant degree of decision-making power with their immediate superiors.⁵⁸ This sharing can occur either formally through, say, briefings or surveys, or informally through daily consultations as a way to enhance motivation through trust and commitment.⁵⁹ Participative management has, at times, been considered a panacea or cure-all for poor morale and low productivity—indeed, evidence suggests that participative management reduces the negative effects of job insecurity on satisfaction and turnover intentions.⁶⁰ Participative management techniques such as quality circles have been found in one review to have a moderate effect on job performance.⁶¹ For participative management to be effective, however, followers must have trust and confidence in their leaders and be prepared for the change in management style, whereas leaders should avoid coercive techniques, stress the organizational consequences of decision making to their followers, and review progress periodically.⁶²

Studies of the participation–organizational performance relationship have yielded more mixed findings.⁶³ Organizations that institute participative management may realize higher stock returns, lower turnover rates, and higher labor productivity, although these effects are typically not large.⁶⁴



Representative Participation Most countries in western Europe require companies to practice **representative participation** ⓘ.⁶⁵ Representative participation redistributes power within an organization, putting labor’s interests on a more equal footing with the interests of management and stockholders by including a small group of employees as participants in decision making. In the United Kingdom, Ireland, Australia, and New Zealand, representative participation was originally the only EIP program, formed to allow employee representatives to discuss issues outside union agreements, and the representatives were all from the union. However, representative groups are now increasingly a mix of union and nonunion, separate from the union arrangement.⁶⁶



Bernd Osterloh, chair of Volkswagen's works councils, speaks to production line workers at company headquarters in Wolfsburg, Germany. Volkswagen (VW) includes employees in decision making by allowing them to participate in discussions about work rules, the company's finances and business plans, and workplace productivity and safety.

Source: Fabian Bimmer/Reuters

The two most common forms of representation are works councils and board representatives. Works councils are groups of nominated or elected employees who must be consulted when management makes decisions about employees. Board representatives are employees who sit on a company's board of directors and represent employees' interests.

The influence of representative participation on working employees seems to be mixed, but generally an employee would need to feel his or her interests are well represented and make a difference to the organization for motivation to increase. Thus, representative participation as a motivational tool is surpassed by more direct participation methods.

In sum, EIP programs clearly have the potential to increase employees' intrinsic motivation. The opportunity to make and implement decisions—and then see them work out—can contribute to all desirable organizational outcomes. Giving employees control over key decisions, along with ensuring that their interests are represented, can enhance feelings of procedural justice. But like any other initiatives, EIP programs must be designed carefully.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

8.4.1 Which of the following is the distinct characteristic common to all participative management programs?

- ☐ joint decision making
- ☐ autonomy
- ☐ commitment
- ☐ productivity enhancement

Check answer

Reset

8.4.2 The two most common forms of representative participation are _____ and board representatives.

- ☐ quality circles
- ☐ work councils
- ☐ employee unions
- ☐ task teams

Check answer

Reset

Using Rewards to Motivate Employees

8-5 Demonstrate how the different types of variable-pay programs can increase employee motivation.

As we saw in Chapter 3, pay is not the only factor driving job satisfaction. However, it does motivate people, and companies often underestimate its importance. Although not as important as enjoyment of one's work and the job fitting well with other areas of an employee's life, approximately 60 percent of respondents to an American Psychological Association survey indicated that they were staying with their current employer because of the pay and benefits.⁶⁷

Given that pay is so important, will the organization lead, match, or lag the market in pay? How will individual contributions be recognized? In this section, we consider (1) what to pay employees (decided by establishing a pay structure), and (2) how to pay individual employees (decided through variable-pay plans).

What to Pay: Establishing a Pay Structure

There are many ways to pay employees. The process of initially setting pay levels entails balancing *internal equity*—the worth of the job to the organization (usually established through a technical process called job evaluation), and *external equity*—the competitiveness of an organization's pay relative to pay in its industry (usually established through pay surveys). Obviously, the best pay system reflects what the job is worth and also stays competitive relative to the labor market.

Some organizations prefer to pay above the market, while some may lag the market because they can't afford to pay market rates or they are willing to bear the costs of paying below market (namely, higher turnover because people are lured to better-paying jobs). Some companies that have realized impressive gains in income and profit margins have done so in part by holding down employee wages.⁶⁸

Pay more, and you may get better-qualified, more highly motivated employees who will stay with the organization longer. A study covering 126 large organizations found employees who believed they were receiving a competitive pay level experienced higher morale and

were more productive, and customers were more satisfied as well.⁶⁹ But pay is often the highest single operating cost for an organization, which means paying too much can make the organization's products or services too expensive. It's a strategic decision an organization must make, with clear trade-offs.



Cary Chin works at the front desk for Gravity Payments, a credit card processing firm in Seattle, where the cost of living is extremely high. Gravity's CEO Dan Price established a new pay structure for all employees of a \$70,000 base salary to improve their quality of life and motivate them to work harder on achieving high customer satisfaction.

Source: Ted S. Warren/AP Images

In the case of Walmart, it appears that its strategic decision on pay did not work. While annual growth in U.S. stores slowed to around 1 percent in 2011, one of Walmart's larger competitors, Costco, grew around 8 percent. The average worker at Costco made approximately \$45,000 compared to approximately \$17,500 for the average worker at Walmart-owned Sam's Club. Costco's strategy was that it will get more if it pays more—and higher wages resulted in increased employee productivity and reduced turnover. Given the recent Walmart decision to increase worker wages throughout the organization, perhaps its executives agree.⁷⁰

How to Pay: Rewarding Individual Employees through Variable-Pay Programs

“Why should I put any extra effort into this job?,” asked Anne, a fourth-grade elementary schoolteacher in Denver, Colorado. “I can excel or I can do the bare minimum. It makes no difference. I get paid the same. Why do anything above the minimum to get by?” Comments like Anne’s have been voiced by schoolteachers for decades because pay increases were tied to seniority. Recently, however, many states have altered their compensation systems to motivate teachers by linking pay to results in the classroom, and other states are considering such programs.⁷¹ Many organizations, public and private, are moving away from pay based on seniority or credentials.

Piece-rate, merit-based, bonus, profit-sharing, and employee stock ownership plans are all forms of a **variable-pay program** ⓘ (also known as pay for performance), which bases a portion of an employee’s pay on some individual and/or organizational measure of performance.⁷² The variable portion may be all or part of the paycheck, and it may be paid annually or upon attainment of benchmarks. It can also be either optional for the employee or an accepted condition of employment.⁷³ Variable-pay plans have long been used to compensate salespeople and executives, but the scope of variable-pay jobs has broadened.



Around the world, about 84 percent of companies offer some form of variable-pay plan.⁷⁴ Most organizations (70 percent) use a combination of organization-, department-, team-, and individual-level awards, whereas less than a third use only organization-wide or department-, team-, or individual-level awards exclusively.⁷⁵ For 2017 exempt workers (e.g., salaried workers who are not covered under the Fair Labor Standards Act [FLSA]), organizations are projecting to reward employees 11.6 percent of their salaries, on average, with a variable-pay method.⁷⁶

Unfortunately, not all employees see a strong connection between pay and performance, although it seems that the type of plan matters. As we stated, teacher pay-for-performance plans are starting to be used more frequently, particularly those that are based on student test scores; recent research on thousands of teachers in the United States has shown that these programs (1) are not having a positive impact on teacher motivation or teaching practices and (2) have actually led to higher levels of stress, along with counterproductive work behaviors, such as cheating and even bullying of students to perform better on tests.⁷⁷

Empirically, the results of pay-for-performance plans are mixed; the context and receptivity of the individual to the plan plays a large role. For instance, one study of 438 Chinese and Taiwanese supervisor–subordinate dyads found that employee creativity and

intrinsic motivation was bolstered by pay-for-performance plans, but only when employees trusted management and when *guanxi* (specific, personal connections between subordinates, supervisors, and coworkers) played less of a role in human resources (HR) practices.⁷⁸ Leadership (see Chapter 12) also plays a role, with pay-for-performance plans leading to performance more clearly when contingent reward leadership and other positive leadership behaviors are used.⁷⁹ Extraverted and emotionally stable individuals tend to be more receptive to and perform better under pay for performance, whereas conscientious employees were not as receptive.⁸⁰



Secrecy plays a role in the motivational success of variable-pay plans. In some government and nonprofit agencies, pay amounts are either specifically or generally made public, but most U.S. organizations encourage or require pay secrecy.⁸¹ Is this good or bad? Unfortunately, it's bad: Pay secrecy has a detrimental effect on job performance. Even worse, it adversely affects high performers more than other employees. It very likely increases employees' perception that pay is subjective, which can be demotivating. Individual pay amounts may not need to be broadcast to restore the balance, but if general pay categories are made public and employees feel variable pay is linked objectively to their performance, the motivational effects of variable pay can be retained.⁸²

The fluctuation in variable pay is what makes these programs attractive to management. It turns part of an organization's fixed labor costs into a variable cost, thus reducing expenses when performance declines. For example, when the U.S. economy encountered a recession in 2001 and again in 2008, companies with variable pay could reduce their labor costs much faster than others could.⁸³ Over time, low performers' pay stagnates, while high performers enjoy pay increases commensurate with their contributions. However, it appears that the organization's return on pay for performance varies over time as well. One study of shareholder returns of the U.S. S&P's 500 firms between 1998 and 2005 suggests that, although pay-for-performance plans (including stock options and bonuses) are most effective for CEOs when they start out, their relationship with shareholder returns slowly decreases over time; the relationship between traditional plans and shareholder returns increases over time.⁸⁴

Let's examine the different types of variable-pay programs in more detail.

Piece-Rate Pay The **piece-rate pay plan** ⓘ has long been popular as a means of

compensating production workers with a fixed sum for each unit of production completed, but it can be used in any organizational setting where the outputs are similar enough to be evaluated by quantity.⁸⁵ A pure piece-rate plan provides no base salary and pays the employee only for what he or she produces. Ballpark workers selling peanuts and soda are frequently paid piece-rate. If they sell 40 bags of peanuts at \$1 each for their earnings, their take is \$40. The more peanuts they sell, the more they earn. Alternatively, piece-rate plans are sometimes distributed to sales teams, so a ballpark worker makes money on a portion of the total number of bags of peanuts sold by the group during a game.



Piece-rate plans are known to produce higher productivity and wages, so they can be attractive to organizations and motivating for workers.⁸⁶ In fact, one major Chinese university increased its piece-rate pay for articles by professors and realized an increase of 50 percent in research productivity.⁸⁷ In the workplace, employees most likely to be motivated by piece-rate plans are managers and more tenured workers. Low-performing workers are generally not interested in piece-rate pay, for obvious reasons—they won't get paid much!



The chief concern of both individual and team piece-rate workers is financial risk. A recent experiment in Germany found that 68 percent of risk-averse individuals prefer an individual piece-rate system, and that lower performers prefer team piece-rate pay. Why? The authors suggested risk-averse and high-performing individuals would rather take their chances on pay based on what they can control (their own work) because they are concerned others will slack off in a team setting.⁸⁸ This is a valid concern, as we will discuss in the next chapter. Organizations, on the other hand, should verify that their piece-rate plans are indeed motivating to individuals. European research has suggested that when the pace of work is determined by uncontrollable outside factors such as customer requests rather than internal factors such as coworkers, targets, and machines, a piece rate plan is not motivating.⁸⁹ Either way, managers must be mindful of the motivation for workers to decrease quality and thus increase their speed of output.

Thus, while piece-rate plans can be a powerful motivator in many organizational settings, an obvious limitation is that they're not feasible for many jobs. An emergency room (ER) doctor and nurse can earn significant salaries regardless of the number of patients they see or their patients' outcomes. Would it be better to pay them only if their patients fully recover? It seems unlikely that most would accept such a deal, and it might cause unanticipated consequences as well (such as ERs turning away patients with terminal diseases or life-

threatening injuries). Although incentives are motivating and relevant for some jobs, it is unrealistic to think they work universally.

Merit-Based Pay A **merit-based pay plan** ⓘ pays for individual performance based on performance appraisal ratings.⁹⁰ A main advantage is that high performers can get bigger raises. If designed correctly, merit-based plans let individuals perceive a strong relationship between their performance and their rewards.⁹¹

Most large organizations have merit pay plans, especially for salaried employees. Merit pay is slowly taking hold in the public sector. For example, most U.S. government employees are unionized, and the unions that represent them have usually demanded that pay raises be based solely on seniority. Claiming a new era of accountability, however, New Jersey governor Chris Christie implemented merit pay for teachers. The Newark teacher's union approved the plan, which included funding from Facebook CEO Mark Zuckerberg.⁹² In another unusual move, New York City's public hospital system pays doctors based on how well they reduce costs, increase patient satisfaction, and improve the quality of care.⁹³

A move away from merit pay, on the other hand, is coming from some organizations that don't feel it separates high and low performers enough. "There's a very strong belief and there's evidence and academic research that shows that variable pay does create focus among employees," said Ken Abosch, a compensation manager at human resources consulting firm Aon Hewitt. But when the annual review and raise are months away, the motivation of this reward for high performers diminishes. Even companies that have retained merit pay are rethinking the allocation.⁹⁴

Although you might think a person's average level of performance is the key factor in merit pay decisions, the projected level of future performance also plays a role. One study found that National Basketball Association (NBA) players whose performance was on an upward trend were paid more than their average performance would have predicted. Managers of all organizations may unknowingly be basing merit pay decisions on how they *think* employees will perform, which may result in overly optimistic (or pessimistic) pay decisions.⁹⁵

Despite their intuitive appeal, merit pay plans have several limitations. One is that they are typically based on an annual performance appraisal and thus are only as valid as the performance ratings, which are often subjective. This brings up issues of discrimination, as we discussed in Chapter 2. Research indicates that African American employees receive

lower performance ratings than white employees, women's ratings are higher than men's, and there are demographic differences in the distribution of salary increases, even with all other factors equal.⁹⁶ Another limitation is that the pay-raise pool of available funds fluctuates on economic or other conditions that have little to do with individual performance. For instance, a colleague at a top university who performed very well in teaching and research was given a pay raise of \$300. Why? Because the pay-raise pool was very small. Yet that amount is more of a cost-of-living increase than a pay-for-performance one. Unions typically resist merit pay plans. Relatively few teachers are covered by merit pay for this reason. Instead, seniority-based pay, which gives all employees the same raises, predominates.

The concept and intention of merit pay—that employees are paid for performance—is sound. For employee motivation purposes, however, merit pay should be only one part of a performance recognition program.

Bonus An annual **bonus** ⓘ is a significant component of total compensation for many jobs.⁹⁷ Once reserved for upper management, bonus plans are now routinely offered to employees in all levels of the organization. The incentive effects should be higher than those of merit pay because, rather than paying for previous performance now rolled into base pay, bonuses reward recent performance (merit pay is cumulative, but the increases are generally much smaller than bonus amounts). When times are bad, firms can cut bonuses to reduce compensation costs. Workers on Wall Street, for example, saw their average bonus drop by more than a third as their firms faced greater scrutiny.⁹⁸



Bonus plans have a clear upside: They are motivating for workers. As an example, a recent study in India found that when a higher percentage of overall pay was reserved for the potential bonuses of managers and employees, productivity increased.⁹⁹ This example also highlights the downside of bonuses: They leave employees' pay more vulnerable to cuts. This is problematic especially when employees depend on bonuses or take them for granted. "People have begun to live as if bonuses were not bonuses at all but part of their expected annual income," said Jay Lorsch, a Harvard Business School professor. KeySpan Corp., a 9,700-employee utility company in New York, combined yearly bonuses with a smaller merit-pay raise. Elaine Weinstein, KeySpan's senior vice president of human resources, credits the plan with changing the culture from "entitlement to meritocracy."¹⁰⁰

The way bonuses and rewards are categorized also affects peoples' motivation. Although

it is a bit manipulative, splitting rewards and bonuses into categories—even if the categories are meaningless—may increase motivation.¹⁰¹ Why? Because people are more likely to feel they missed out on a reward if they don't receive one from each category, and then work harder to earn rewards from more categories. Short-term bonuses can also have an effect: In a high-tech manufacturing factory, cash, family meal vouchers, and employee recognition (see later in this chapter) all increased performance by 5 percent, and *nonmoney*-based bonuses were actually more effective at improving performance.¹⁰²



Chinese Internet firm Tencent Holdings rewards employees with attractive incentives that include cash bonuses for lower-ranking employees. The young men shown here were among 5,000 employees who received a special bonus tucked in red envelopes and personally handed out by Tencent's CEO and cofounder Pony Ma.

Source: Keita Wen sz/ICHPL Imaginechina/AP Images

Profit-Sharing Plan A [profit-sharing plan](#) ⓘ distributes compensation based on some established formula designed around a company's profitability.¹⁰³ Compensation can be direct cash outlays or, particularly for top managers, allocations of stock options. When you read about executives like Mark Zuckerberg, who accepts a modest \$1 salary, remember that many executives are granted generous stock options. In fact, Zuckerberg has made as much as \$2.3 billion after cashing out some of his stock options.¹⁰⁴ Of course, the clear majority of profit-sharing plans are not so grand in scale. For example, Jacob Luke started his own lawn-

mowing business at age 13. He employed his brother Isaiah and friend Marcel and paid them each 25 percent of the profits he made on each yard.



Studies generally support the idea that organizations with profit-sharing plans have higher levels of profitability than those without them.¹⁰⁵ These plans have also been linked to higher levels of employee commitment, especially in small organizations.¹⁰⁶ Profit sharing at the organizational level appears to have positive impacts on employee attitudes; employees report a greater feeling of psychological ownership.¹⁰⁷ Recent research in Canada indicates that profit-sharing plans motivate individuals to higher job performance when they are used in combination with other pay-for-performance plans.¹⁰⁸ Obviously, profit sharing does not work when there is no reported profit per se, such as in nonprofit organizations, or often in the public sector. However, profit sharing may make sense for many organizations, large or small.

An Ethical Choice

Workers' Cooperatives

Workers' cooperatives are aimed at creating sustainable jobs for its owners/workers/members in order to generate wealth for their local community. Therefore, they differ from other enterprises in that their owners/workers/members seek to enhance their capacity to produce and serve their needs first, before pursuing profit maximization. Democratically, each worker owns one share, and all shares are owned by the workers.

The basis for the institutionalization of the modern cooperative movement was established in 1844 on the core principle of “one member, one vote,” when a group of weavers founded their food cooperative, the Rochdale Society of Equitable Pioneers, which diversified rapidly by opening its own mills and a solidary savings fund. Promoting similar values of benevolent assistance, Friedrich Wilhelm Raiffeisen, a pioneer of the cooperative movement, founded a German association for self-procurement of food during the starvation winter of 1846–47 and created the first cooperative lending bank in 1864. Nowadays, *Raiffeisenbanken* and the International

Raiffeisen Union (IRU) are powerful cooperative networks in Europe.

Employees who can decide how to allocate their own resources best, with their own considerations of work–family balance, are more committed to their jobs. As cooperative workers can make such decisions, they commit to their work, making their cooperatives successful. Additionally, cooperatives allow individual members to benefit from a pool of collective resources, allowing them to better market their products and negotiate prices. Cooperatives help enterprises' creation, development, and sustainability. Striking the balance between individual autonomy and common responsibility, between capitalism and socialism, the cooperative model is also sometimes viewed as immune to global economic crises.

One for all, all for one? Mondragón, which employs 80,000 people in 27 countries, was founded in Spain with the ideals of worker participation, solidarity, and equality; however, as it grew bigger, decision-making became more centralized, salary differentials increased, and job satisfaction dropped below that of employees of similarly sized private-owned companies—for example, a senior manager at Mondragón earns eight times the lowest-paid worker in the cooperative. In 2013, when Fagor, one of its constituents, had to declare bankruptcy after having run up debts of over €850m (\$1.2 billion), Mondragón decided not to lend Fagor any more money. Almost 5,500 workers lost their jobs in Spain, France, China, Poland, and Morocco. Such issues raise key questions: What are the limits of cooperative ideals? Is the cooperative model just some ethical window-dressing for ruthless businesses to hide behind?

Sources: G. Cheney, I. Santa Cruz, A.-M. Peredo, and E. Nazaredo, "Worker Cooperatives as an Organizational Alternative: Challenges, Achievements and Promise in Business Governance and Ownership," *Organization* 21, no. 5 (2014): 591–603; The International Co-operative Alliance, <https://ica.coop/en/international-co-operative-alliance>; "Trouble in Workers' Paradise," *The Economist*, November 9, 2013, <https://www.economist.com/news/business/21589469-collapse-spains-fagor-tests-worlds-largest-group-co-operatives-trouble-workers>; International Labour Organization, *Statistics on Cooperatives* (2013); J. Schaffer, "Historical Dictionary of the Cooperative Movement" (Scarecrow Press, 1999); S. Kim, M. Las Heras, and M.-J. Bosch, "A Matter of Love: Exploring What Enables Work-Family Enrichment," *International Business Research* 9, no. 8 (2016): 24–36.

Employee Stock Ownership Plan An **employee stock ownership plan (ESOP)** ⓘ is a company-established benefit plan in which employees acquire stock, often at below-market prices, as part of their benefits.¹⁰⁹ Research on ESOPs indicates they increase employee satisfaction and innovation.¹¹⁰ ESOPs have the potential to increase job satisfaction only when employees psychologically experience ownership.¹¹¹ Even so, ESOPs may not inspire lower absenteeism or greater motivation,¹¹² perhaps because the employee's actual monetary benefit comes with cashing in the stock at a later date. Thus, employees need to be kept regularly informed of the status of the business and have the opportunity to influence it positively to feel motivated toward higher personal performance.¹¹³

ESOPs for top management can reduce unethical behavior. For instance, CEOs are less likely to manipulate firm earnings reports to make themselves look good in the short run when they have an ownership share.¹¹⁴ ESOPs are also tools that can be used for community wealth building, such as the Cleveland model of networked worker cooperatives in Ohio.¹¹⁵ Of course, not all companies want ESOPs, and they won't work in all situations, but they can be an important part of an organization's motivational strategy.

Evaluation of Variable Pay Do variable-pay programs increase motivation and productivity? Generally, yes, but that doesn't mean everyone is equally motivated by them.¹¹⁶ Many organizations have more than one variable-pay element in operation, such as an ESOP and bonuses, so managers should evaluate the effectiveness of the plan in terms of the employee motivation gained from each element separately and from all elements together. Managers should monitor their employees' performance-reward expectancy because a combination of elements that makes employees feel that their greater performance will yield them greater rewards will be the most motivating.¹¹⁷

MyLab Management Watch It

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the video exercise.

Zappos Motivating Employees Through Company Culture

Watch it video.

A **transcript** of this video is available [here](#).

Transcript

Zappos Motivating Employees Through Company Culture

>> [Silence]

>> [Music]

>> In the late 1800s,

>> the average workplace wasn't very pleasant

>> for low-level employees.

>> Innovators such as F.W. Taylor were able to increase production

>> but also dehumanized the work.

>> Thankfully, things have improved dramatically since then due

>> in part to the influence of people like Abraham Maslow,

>> Leon Festinger, Frederick Herzberg,

>> Victor Vroom and others.

>> [Background Music]

>> One problem today is that while many corporations profess

>> to following these theories, often they are more focused

>> on the bottom line and employees are savvy enough

>> to know the difference.

>> It looks like you've been missing a lot of work lately.

>> I wouldn't say I've been missing it Bob.

>> [Laughter]

>> Good one.

>> Well that's terrific.

>> You're--

>> Fortunately, there is a new generations of CEOs

>> who are making a difference.

>> CEO's like Tony Hsieh of Zappos.

>> Walking around the Las Vegas company headquarters,

>> you'd be hard pressed to find a more energized,

>> driven yet genuine and fun loving group

>> of employees anywhere.

>> And to put this in perspective, people come from all

>> over the world to study this company.

>> It's a great day here at Zappos.

>> My name is Zee just like in Zappo, how can I help you?

>> We really want the Zappos brand to just be

>> about the very best customer service.

>> So why are all these employees so happy

>> and motivated, employees who sell shoes

>> over the phone eight hours a day earning normal industry wages.

>> According to Tony, it's because they all share the same company

>> culture which is outlined

>> in their 10 committable core values.

>> In fact, core values are one

>> of the few things Zappos takes seriously.

>> How seriously?

>> When is the last time you saw a company list their core values

>> in a TV commercial, yet there's number 3 for example?

>> Create fun and a little weirdness

>> but more on that later.

>> Let's go back to the late '90s.

>> Fresh out of college, Tony Hsieh sold a company he had started

>> because the corporate culture had become, well, corporate.

>> The company culture just went downhill.

>> We didn't know any better to pay attention to it and then,

>> what Zappos wanted to make sure we didn't make

>> that same mistake again.

>> So early on in the creation of Zappos, they sat down

>> and defined 10 committable core values.

>> We just sat around one day and just asked ourselves,

>> what do we want to be when we grow up?

>> Do we want to be about shoes or do we want to be

>> about you know something else, something bigger.

>> Core values to me are something

>> that I use in my daily life.

>> Zappos core values are a list of ideas,

>> suggestions on how we run our business

>> and how we treat customers, how we treat reps,

>> how we treat our employees.

>> What are the ten core values?

>> They are deliver wow through service.

>> Embrace and drive change.

>> Create fun and a little weirdness.

>> Be adventurous, creative and open minded.

>> Pursue growth and learning.

>> Build open and honest relationships

>> with communication.

>> Build positive team and family spirit.

>> Do more with less.

>> I have a lot of favorite core values but one

>> of my favorites is be passionate and determined.

>> Be humble.

>> I'd like to first say that I am the humblest person at Zappos.

>> A company's culture

>> and a company's brand are really just two sides of the same coin.

>> If you get the culture right, you don't need to worry

>> about a lot of stuff that a lot

>> of companies just spend their time

>> and resources worrying about.

>> You can let all of your employees be your

>> brand ambassadors.

>> Not just the marketing or PR department

>> and they could be brand ambassadors both inside

>> and outside the office.

>> Tony feels that many companies have core values

>> but they don't really commit to them.

>> Maybe you'll learn about it in day 1 of orientation

>> but then it's just kind of a meaningless plaque on the wall

>> and for us, by committable we mean that you're willing to hire

>> and fire based on that

>> and if you're not then you're not really,

>> you know, committing.

>> We actually do two sets of interviews.

>> The hiring manager and his or her team will do the standard,

>> you know, relevant-- looking for relevant experience,

>> technical ability fit within the team.

>> But then our HR department does a separate set

>> of interviews purely for culture fit and they have to pass both

>> in order to be hired because we actually have questions

>> for each of these core values.

>> Actually, the one that trips us up the most in terms

>> of the hiring process is number 10.

>> Be humble because there's a lot of people that are really smart,

>> really talented, really experienced,

>> except they're also really egotistical

>> and they would not fit in at Zappos.

>> The conversation on most companies if you interviewed

>> such a talented person would be oh, you know,

>> this guy is really talented.

>> He's gonna add a lot of values to the company

>> but you know he's probably gonna rub you the wrong way

>> and you're gonna be annoyed by him.

>> But you know we should hire him.

>> Well, keep making compromises like that over and over

>> and over again and I think that's why the company culture

>> just ends up going downhill.

>> Everyone that's hired into the headquarters goes

>> to the same training that the customer loyalty team

>> or the call center reps go through regardless

>> of department or title.

>> You might be an accountant or a lawyer or a software developer,

>> you go through the exact same four-week training program

>> in which they go over company history, the importance

>> of customer service, the long-term vision of the company,

>> the philosophy about company culture and then,

>> they are actually on the phone

>> for two weeks taking calls from customers.

>> And then later on in your career at Zappos we'll send you

>> to Kentucky for a week where you do all the different warehouse

>> functions, picking, packing, shipping, receiving and so on.

>> And this is all you know, having nothing to do with the job

>> that you're actually hired for.

>> Again, this goes back to the belief

>> that customer service shouldn't just be a department.

>> It should be the entire company.

>> After a week or so of training,

>> it's time for what Zappos calls the "offer".

>> And the offer is this.

>> We will pay you for the time

>> that you've already spent training and working

>> at Zappos plus an additional 2,000 dollars

>> to leave the company right now and that's a standing offer

>> until the end of the training.

>> As it turns out, on average, less than 1 percent

>> of people end up taking the offer.

>> We also have something called the culture book.

>> And it's close to 500 pages

>> and it's something we put out once a year.

>> We ask all of our employees to write a few paragraphs
>> about what the Zappos culture means to them.
>> Except for typos, it's unedited so it includes both the good
>> and the bad and it's organized by department.
>> You're gonna see how the warehouse culture might be
>> slightly different from the merchandizing culture,
>> for example, and we give it to your prospective employees,
>> employees that wanna work at Zappos and they can decide
>> for themselves if this is the culture
>> that they want to be a part of.

>> [Background Music]

>> What else makes Zappos unique?
>> Call the 800-number anytime day or night
>> and you find yourself talking to a knowledgeable
>> and entertaining call center employee who is in power
>> to do whatever it takes to help.
>> In fact, if they can't find you what you want,
>> they'll recommend the competitor's site.

>> There are no scripts, no time limits on calls
>> and they also offer postage paid 365-day returns
>> and in most cases, free overnight shipping.

>> [Background Music]

>> What are some of the other ways
>> that Zappos maintains their culture?

>> How about regular happy hours after work?

>> A nap room, free snacks and drinks,

>> professional development classes, theme celebrations,

>> free lunch in the cafeteria, awesome picnics,

>> even more awesome-er holiday parties,

>> non-profit fundraising events, full health insurance,

>> free annual haircuts, profit sharing, many bowling alleys,

>> tiki bars, daily comedy videos created in-house

>> and a full time life coach.

>> People come in to complain, get career advice,

>> talk about personal problems or just vent.

>> The only rule is that they sit on a red velvet throne.

>> So how has all of this paid off for Zappos?

>> Well, enough that Amazon purchased them

>> in the summer of 2009.

>> It was the most money Amazon has ever spent for an acquisition

>> yet they have no plans to change the company at all.

>> It will continue as a separate entity.

>> So what lies ahead for Zappos?

>> We're trying to build a lifelong relationship with each

>> of our customers one call at a time.

>> Now one thing we neglected to mention.

>> Tony leads by example when it comes to being humble.

>> Looking for his office, you won't find it.

>> He sits in the cubicle just like everybody else and refers

>> to himself and the executive team as monkeys.

>> Not bad for someone who is a multimillionaire

>> at the age of 24.

>> How is that you say?

>> Remember that company Tony sold two years out of college,

>> Microsoft bought it for over 250 million dollars.

>> That's right.

>> He was 24 and he never had to work another day in his life

>> yet he started Zappos, why?

>> Because sometimes, life isn't about money.

>> It is about finding a higher calling, about passion

>> and Tony's passion was to create a culture

>> where everyday he'd be excited about getting up

>> and going to the office.

>> You know you can accomplish stuff by motivating employees

>> but I think you can accomplish a lot more by inspiring them

>> to a bigger vision that has meaning to them

>> and that you're passionate about.

>> [Music]

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

8.5.1 Vance and Jared were both recently hired to be program directors at an urban university. Vance attended a large, historic university while Jared attended a branch campus of a regional university. Jared is paid 15 percent more than Vance. The best explanation for this is _____.

- ☐ Jared is a better negotiator
- ☐ Vance did not do well in school
- ☐ Jared's position is worth more to the university
- ☐ Vance's position is not important to the university

Check answer

Reset

8.5.2 Which of the following statements is true regarding an employee stock ownership plan (ESOP)?

- ☐ Under this plan, employees acquire stock, often at below-market prices.
- ☐ Research on ESOPs indicates that it does not affect employee satisfaction.
- ☐ ESOPs for top management tend to increase unethical behavior.
- ☐ Research on ESOPs indicates that ESOPs drastically improve employee performance.

Check answer

Reset

Using Benefits to Motivate Employees

8-6 Show how flexible benefits turn benefits into motivators.

Now that we have discussed what and how to pay employees, let's discuss two other motivating factors organizations must decide: (1) what benefits and choices to offer (such as flexible benefits), and (2) how to construct employee recognition programs. Like pay, benefits are both a provision and a motivator. Whereas organizations of yesteryear issued a standard package to every employee, contemporary leaders understand that each employee values benefits differently. A flexible program turns the benefits package into a motivational tool.

Flexible Benefits: Developing a Benefits Package

Todd E. is married and has three young children; his wife is at home full-time. His Citigroup colleague Allison M. is married too, but her husband has a high-paying job with the federal government, and they have no children. Todd is concerned about having a good medical plan and enough life insurance to support his family in case it's needed. In contrast, Allison's husband already has her medical needs covered on his plan, and life insurance is a low priority. Allison is more interested in extra vacation time and long-term financial benefits such as a tax-deferred savings plan.

A standardized benefits package is unlikely to meet the needs of Todd and Allison well. Citigroup can cover both sets of needs, however, with flexible benefits.

Consistent with expectancy theory's thesis that organizational rewards should be linked to each employee's goals, **flexible benefits** ⓘ individualize rewards by allowing each employee to choose the compensation package that best satisfies his or her current needs and situation. Flexible benefits can accommodate differences in employee needs based on age, marital status, partner's benefits status, and number and age of dependents.



Benefits in general can be a motivator for a person to go to work and for a person to choose one organization over another. But are flexible benefits more motivating than traditional plans? It's difficult to tell. Some organizations that have moved to flexible plans report increased employee retention, job satisfaction, and productivity. However, flexible

benefits may not substitute for higher salaries when it comes to motivation, as research in China suggests.¹¹⁸ As more organizations worldwide adopt flexible benefits, the individual motivation they produce will likely decrease (the plans will be seen as a standard work provision). The downsides of flexible benefit plans may be obvious: They may be costlier to administrate, and identifying the motivational impact of different provisions is challenging.



Given the intuitive motivational appeal of flexible benefits, it may be surprising that their use is not yet global. In China, only a limited percentage of companies offer flexible plans,¹¹⁹ as in other Asian countries.¹²⁰ Almost all major corporations in the United States offer them, and a recent survey of 211 Canadian organizations found that 60 percent offer flexible benefits, up from 41 percent in 2005.¹²¹ A similar survey of firms in the United Kingdom found that nearly all major organizations offer flexible benefits programs, with options ranging from supplemental medical insurance to holiday trading (with coworkers), discounted bus travel, and child care assistance.¹²²

Using Intrinsic Rewards to Motivate Employees

8-7 Identify the motivational benefits of intrinsic rewards.

We have discussed motivating employees through job design and by the extrinsic rewards of pay and benefits. On an organizational level, are those the only ways to motivate employees? Not at all! We would be remiss if we overlooked the intrinsic rewards that organizations can provide, such as employee recognition programs, discussed next.

Employee Recognition Programs

Laura makes \$8.50 per hour working at her fast-food job in Pensacola, Florida, and the job isn't very challenging or interesting. Yet Laura talks enthusiastically about the job, her boss, and the company that employs her. "What I like is the fact that Guy [her supervisor] appreciates the effort I make. He compliments me regularly in front of the other people on my shift, and I've been chosen Employee of the Month twice in the past six months. Did you see my picture on that plaque on the wall?"

Organizations are increasingly realizing what Laura knows: Recognition programs and other ways of increasing an employee's intrinsic motivation work. An **employee recognition program** ⓘ is a plan to encourage specific behaviors by formally appreciating specific employee contributions.¹²³ Employee recognition programs range from a spontaneous and private thank-you to widely publicized formal programs in which the procedures for attaining recognition are clearly identified.



As companies and government organizations face tighter budgets, nonfinancial incentives become more attractive. Everett Clinic in Washington State uses a combination of local and centralized initiatives to encourage managers to recognize employees.¹²⁴ Employees and managers give "Hero Grams" and "Caught in the Act" cards to colleagues for exceptional accomplishments at work. Part of the incentive is simply to receive recognition, but there are also drawings for prizes based on the number of cards a person receives. Multinational corporations like Symantec Corporation, Intuit, and Panduit have also increased their use of recognition programs. Symantec claims it increased engagement 14 percent in less than a year due to the Applause recognition program administered by

Globoforce, a corporation that implements employee recognition programs.¹²⁵ Centralized programs across multiple offices in different countries can help ensure that all employees, regardless of where they work, can be recognized for their contribution to the work environment.¹²⁶ Recognition programs are common in Canadian and Australian firms as well.¹²⁷

Research suggests that financial incentives may be more motivating in the short term, but in the long run nonfinancial incentives work best.¹²⁸ Surprisingly, there is not a lot of research on the motivational outcomes or global use of employee recognition programs. However, recent studies indicate that employee recognition programs are associated with self-esteem, self-efficacy, and job satisfaction,¹²⁹ and the broader outcomes from intrinsic motivation are well documented.

An obvious advantage of recognition programs is that they are inexpensive: Praise is free!¹³⁰ With or without financial rewards, they can be highly motivating to employees. Despite the increased popularity of such programs, though, critics argue they are highly susceptible to political manipulation by management. When applied to jobs for which performance factors are relatively objective, such as sales, recognition programs are likely to be perceived by employees as fair. In most jobs, however, performance criteria aren't self-evident, which allows managers to manipulate the system and recognize their favorites. Abuse can undermine the value of recognition programs and demoralize employees. Therefore, where formal recognition programs are used, care must be taken to ensure fairness. Where they are not, it is important to motivate employees by consistently recognizing their performance efforts.

MyLab Management Try It

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the Mini Sim.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

8.7.1 Which of the following is a form of recognition?

- ☐ personal congratulations
- ☐ job enlargement
- ☐ job-sharing
- ☐ flexible benefit packages

Check answer

Reset

8.7.2 According to research findings, which of the following is more likely to be motivating for the employees in the long run?

- ☐ commissions
- ☐ merit-based pay
- ☐ recognition
- ☐ bonuses

Check answer

Reset

Summary

As we've seen in this chapter, understanding what motivates individuals is ultimately key to organizational performance. Employees whose differences are recognized, who feel valued, and who can work in jobs tailored to their strengths and interests will be motivated to perform at the highest levels. Employee participation can also increase employee productivity, commitment to work goals, motivation, and job satisfaction. However, we cannot overlook the powerful role of organizational rewards in influencing motivation. Pay, benefits, and intrinsic rewards must be designed carefully and thoughtfully to enhance employee motivation toward positive organizational outcomes.

Implications for Managers

- Recognize individual differences. Spend the time necessary to understand what's important to each employee. Design jobs to align with individual needs and maximize their motivation potential.
- Use goals and feedback. You should give employees firm, specific goals, and they should get feedback on how well they are faring in pursuit of those goals.
- Allow employees to participate in decisions that affect them. Employees can contribute to setting work goals, choosing their own benefits packages, and solving productivity and quality problems.
- Link rewards to performance. Rewards should be contingent on performance, and employees must perceive the link between the two.
- Check the system for equity. Employees should perceive that individual effort and outcomes explain differences in pay and other rewards.

Gainsharing: Fair Shares?

Point

Gainsharing is an employment benefit whereby a company's profits are shared with employees based upon their contribution to the gains that are achieved. Therefore, it is considered an incentive to make employees perform their best at work.

Employees who know that they will receive financial rewards if the company does well have a vested interest in their company's success. Gainsharing reinforces the employees' feelings of being recognized by their employer as responsible for their company's profitability. It gives employees a sense of ownership and accountability. Therefore, it is an empowerment tool whereby employees become business partners, feel more attached to their employer, and adhere better to the company's objectives.

As gainsharing is a variable incentive, it seems only fair that the better you work, the better you are rewarded. It is also a self-funded system based on savings generated by improved performance. Provided that each individual's job performance is sufficiently tracked and recorded, you can tie individuals' performance to the company's bottom line. It thus fosters a culture of continuous improvement and helps promote positive change.

One other positive impact of gainsharing is that it sends the message that all of the employees contribute to the company's success and are working together on the same cooperative team toward this end. Gainsharing can therefore reinforce group cohesion and a collaborative work culture within a company—provided all employees are rewarded equivalently.

Counterpoint

Usually, gainsharing plans result in stocks, bonds, or straight cash being distributed as a percentage of annual pay; for example, 1–2 percent for basic employees and up to 40 percent for senior executives. Thus, what if a top executive makes a critical decision that will increase the company's profit within a year, and by extension their related annual bonus, but with an outcome that might be detrimental in the long run? In addition, less money is shared with employees in lower-paying jobs, and higher amounts in bonuses are shared with highly compensated employees. Is this fair?

The distribution formula behind any gainsharing system is key. Each employee needs

to identify the extent to which their contribution really makes an impact, and more particularly, which part of the work that they delivered counts the most. Consider when happy, loyal patrons leave tips in a restaurant—should waiters share these tips with kitchen co-workers, seasonal and extra service staff, and the restaurant managers? In what proportion? Ultimately, it is the waiter who personalized the service, smiled at the guests, reformulated the order, and made upselling suggestions—all ways by which the waiter has performed better. Thus, gainsharing requires employees' participation and employers' transparency regarding performance measures and the distribution formula.

Finally, because it results in all employees getting involved, gainsharing may increase the level of organizational stress, as everyone has more of a financial stake in the company's success.

Sources: R. J. Bullock and E. E. Lawler, "Gainsharing: A Few Questions, and Fewer Answers," *Human Resource Management* 23, no. 1 (1984): 23–40; J. Cloutier, D. Morin, and S. Reynaud, "Les régimes de rémunération variable: comment les choisir et les gérer?", *Gestion* 35, no. 1 (2010): 31–44; D. De Cremer and T. Tao, "Huawei: A Case Study of When Profit Sharing Works," *Harvard Business Review*, September 24, 2013, <https://hbr.org/2015/09/huawei-a-case-study-of-when-profit-sharing-works>; S. Fernandez, "Applying the Principles of Psychology in the Restaurant and Hotel Industry," *ehotelier.com*, April 13, 2017, <https://ehotelier.com/insights/2017/04/13/applying-principles-psychology/>.

Chapter Review

MyLab Management Discussion Questions

Go to www.pearson.com/mylab/management to complete the problems marked with this icon .

Questions for Review

- 8-1** How does the job characteristics model motivate individuals?
- 8-2** What are the major ways that jobs can be redesigned?
- 8-3** What are the motivational benefits of the specific alternative work arrangements?
- 8-4** How can employee involvement measures motivate employees?
- 8-5** How can the different types of variable-pay programs increase employee motivation?
- 8-6** How can flexible benefits motivate employees?
- 8-7** What are the motivational benefits of intrinsic rewards?

Application and Employability

Organizations and human resource departments can alter or supplement tasks, duties, and responsibilities in many ways to make them more motivating to employees. This chapter on job design and redesign, alternative work arrangements, employee involvement and participation, and rewards and benefits is directly applicable to how OB can make you more employable. Future OB and HR professionals can use this toolkit in their future work assignments to reduce turnover, improve employee satisfaction and retention, and reduce

conflict in the workplace. In this chapter so far, you have developed your critical thinking and knowledge and application skills by pondering whether money can “buy” happiness, considered whether flextime would be viable for your work situation, examined ethical issues underlying sweatshops and worker safety, and debated whether face time matters when considering telecommuting. In this section, you will continue to develop these skills, along with your communication skills, by working with a group to design an organizational development and compensation plan for automotive sales consultants; considering the effects of illegitimate tasks; forging an action plan for when employees provide feedback but their supervisors do not listen; and considering the value of small, frequent pay raises.

Experiential Exercise Developing a Motivation Plan for Your Museum Security Guards

Break the class into groups of three to five.

You are part of a team of human resource professionals working for an important museum of contemporary arts. You have been asked to develop a motivation plan for the museum security guards. Security guards are essential for the operations of the museum as they prevent works of art from being damaged by curious visitors and also carry out basic operations of the museum, like opening and closing the sites. However, the curator of the museum has noticed that some of security guards lack motivation, with negative repercussions on the visitors' museum experience. Last week, for example, the curator was told that one of the guards was looking at his smartphone and did not notice a visitor almost touching an important masterpiece. Luckily, the imprudent visitor was stopped by other people. You are worried that the repetitive and sometimes uninteresting duties of security guards are diminishing their motivation and attention on the job.

Using what you have read in this chapter, answer the following questions as a group.

Questions

- 8-8.** Reflect on the characteristics of the security guard role according to the job characteristic model (i.e., skill variety, task identity, task significance, autonomy, and feedback). Then, write down three to five recommendations, addressing each of the five characteristics, that the curator of the museum can follow in order to enhance the motivation of security guards.
- 8-9.** Job crafting is a recent approach in job design. It involves giving employees greater discretion over several components of their job to let them change the way they do their work and enhance the quality of social relationships in order to make the job more meaningful, interesting, and satisfying. Would you consider such an approach for enhancing the motivation of security guards? What changes could security guards make to their profession to make it more interesting? Focus on the relational dimension of job crafting aimed at enhancing the quality of social relationships at work. How this can enhance their motivation?
- 8-10.** Smartphones are a useful tool for enhancing employees' productivity and

responsiveness to work-related messages but, as shown in this example, they are also a potential distraction that can cause errors and inappropriate organizational behavior. As a team, think about a possible corporate digital philosophy aimed at regulating the use of smartphones during working hours and establishing when smartphone use is allowed and forbidden.

Ethical Dilemma You Want Me to Do What?

You're a bright, female investment analyst about to give a major presentation to a group of bankers supporting a corporate acquisition. After walking in and meeting the bankers before you give the presentation, you're asked by your boss to "be a dear and serve them coffee." Imagine the insult and awkwardness of such a situation—what do you do? Do you carry through with the task, sacrificing your dignity or doing something wrong because you can't afford to lose the job? Or do you speak up?

A group of Swiss occupational health researchers have recently started a program of research on *illegitimate tasks*, or tasks that violate "norms about what can reasonably be expected from a given person" in a job. Therefore, illegitimate tasks are unethical and violate or offend one's professional and task identity. What might cause supervisors and managers within organizations to allocate these kinds of tasks? One study points to a variety of organizational characteristics, including competition for resources among departments or units, unfair resource allocation procedures, and an unclear decisional structure.

Researchers have found that these sorts of tasks can have some nasty outcomes. For one, illegitimate tasks lead to increased stress and CWB, even after controlling for the effort-reward imbalance, organizational justice, and personality traits. Illegitimate tasks can literally keep you up at night: One study found that, on days in which these tasks were performed, the employees took longer to fall asleep and woke up more often in the middle of the night. Another study found that these tasks lead to high negative affect and psychological detachment at the end of the workday. Other studies found that illegitimate tasks lead to lowered self-esteem and job satisfaction from day to day, along with increases in anger and depression. Illegitimate tasks can also cause people to want to leave their jobs, although if their leader was appreciative of them, they were less likely to want to leave.

Questions

- 8-11.** How do you think employees should respond when given illegitimate tasks? How can an organization monitor the tasks it assigns to employees and ensure that the tasks are legitimate? Explain your answer.
- 8-12.** Is there ever a case in which illegitimate tasks should be tolerated or "rightfully" given? Explain your answer.

8-13. How should the criterion of “legitimacy” be determined? Explain.

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Case Incident 1 We Talk, But They Don't Listen

It's a great feeling to be sought for your opinion and participation when your organization needs to make an important decision. But what happens when the organization's managers don't listen? Management consultant Liz Ryan perhaps put it best: "When you work for a company that is not interested in your opinion, you can tell. They make it obvious. Once you know in your gut that your boss is not interested in your opinion, what other choice do you have than to find another job?"

Some suggest that these bosses perhaps should be let go. Given that bad members can lower employee satisfaction and engagement, supervisors who exercise this form of control often emphasize politics over productivity and abuse their power, while employees complain because of the lack of support they are getting. They are "thrown under the bus" and forced out of the loop, and communication is all one way.

Giving employees a chance to voice their opinions as part of the process leads to improved justice perceptions and satisfaction, and thus regularly not listening to feedback can be an issue. For example, one study found that both employees *and* managers recognize that paying lip service to employees and soliciting their suggestions without taking their advice occurs. Employees who became aware of this feigned interest were more reluctant to offer input later, experienced more conflicts with colleagues, bullied others, and refused to participate in meetings. Conversely, employees who had their ideas implemented spoke up more often and had better interpersonal relationships with their coworkers.

Questions ★

- 8-14.** Do you think sometimes managers are justified in not taking their employee's advice? Why or why not?
- 8-15.** How should managers handle their employees' dissatisfaction with not having their advice put into practice?
- 8-16.** Which do you think is the most effective form of employee involvement and participation (EIP) program, participative management or representative management? Is it possible to implement elements of both? Why or why not?

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Case Incident 2 Will More Money Fill the Gap?

In a referendum on June 23, 2016, a majority of UK voters decided that they wanted to leave the European Union. While negotiations will be lengthy and complex, it is anticipated that the United Kingdom will leave by March 2019. Being a member of the European Union meant that people from other EU nations were free to move to the United Kingdom for work. This was seen as a positive for the pro-Brexit campaign, with supporters stressing the benefits of controlling the movement of labor. But the question now is, will UK businesses find local workers to fill these soon-to-be vacant jobs?

According to the Office of National Statistics, in 2016, 7 percent—2.2 million—of the UK labor market were EU nationals. While these workers were employed across all sectors, the majority are employed in the lower-skilled jobs, such as cleaning, farming, hospitality, and food retail. If these workers are unable to work in the United Kingdom, organizations need to think about how they can encourage UK workers to take their place. Food retailer and restaurant chain Pret a Manger claims that only 1 in 50 applicants for their vacant jobs is British, so this is going to be a real challenge for them. This is supported by the UK Government, which believes that it will be years before British workers will be ready to fill these low-skilled jobs.

Pay could well be part of the solution; workers in these roles typically only receive minimum wage. It is anticipated that the UK hospitality pay bill will increase by £1.4 billion in the first year after Brexit as UK workers begin to fill the vacant roles. There will undoubtedly be a great deal of pressure to establish a new pay structure for the increasing numbers of UK workers. Some organizations may be happier to do this, believing that higher wages will lead to higher productivity through increased commitment and higher retention rates. However, considering the pressure to remain competitive, there may be more cost-effective ways to increase recruitment and motivate and retain workers.

Employers will need to improve the extrinsic rewards, which may motivate in the short term, while also increasing the intrinsic ones, which may provide better long-term results. Some organizations in the food retail industry are more effective than others at accomplishing this. In 2015, McDonalds UK came last in an employee fast-food poll, with some complaining about the lack of job rotation. In the same poll, one Pret a Manger employee complained about the inequity of the pay scheme, as pay is partly based on a

mystery shopper evaluation that could be ruined by the poor performance of a colleague. Greggs, the sandwich and fast-food chain, came top in the poll, with praise for their higher-than-average pay, social activities, and profit-share scheme.

The results from the survey above would suggest a number of possible improvements. A merit-based pay system would ensure that those employees putting in the extra effort would be individually rewarded. The praise the employee receives and the additional money would satisfy both extrinsic and intrinsic motivation. Job rotation would require employees to undertake additional training, which many would see as an intrinsic reward, while giving the organization greater flexibility within the workforce. As demonstrated by Greggs, these changes may need to go hand in hand with a review of pay and other employee benefits if the organizations hope to recruit (and retain) sufficient new UK workers.

Questions

- 8-17.** Can relational job design be factored into the roles carried out by the workers in food retail?
- 8-18.** What are some of the potential issues faced by a business looking to implement job rotation?
- 8-19.** Using the Job Characteristics model as a framework may identify changes that need to be made which will make the jobs in hospitality and food retail more attractive. How might this be problematic for jobs in these industries?

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If your instructor has assigned this activity, go to www.pearson.com/mylab/management for the following assisted-graded writing assignments:

- 8-20.** Refer again to Ethical Dilemma 1. Do you think there is a way to design or redesign a job (or reward structures) so that the allocation of illegitimate tasks can be minimized? Why or why not?
- 8-21.** Refer again to Case Incident 2. After Brexit, the UK industry will have to attract domestic workers. How might this be achieved? What steps would you take as a potential employer?
- 8-22. MyLab Management only**—additional assisted-graded writing assignment.

Endnotes

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End of Chapter Quiz

Test Your Understanding

1 Increasingly, research on motivation focuses on approaches that link motivational concepts to changes in the way _____ is/are structured.

- ☐ organizational design
- ☐ payment
- ☐ work
- ☐ benefits

Check answer

Reset

2 According to the job characteristics model, task significance is the degree to which _____.

- ☐ a job requires completion of a whole and identifiable piece of work
- ☐ work activities generate direct and clear information about performance
- ☐ a job provides the worker freedom in scheduling and procedure
- ☐ a job affects the lives or work of other people

Check answer

Reset

3 What is the main strength of job rotation?

- ☐ It eliminates management involvement.
- ☐ It increases motivation.
- ☐ It increases productivity.
- ☐ It decreases training costs.

Check answer

Reset

4 The job characteristics model describes five dimensions of a job. A job can be enriched by modifying one or more of these five dimensions. Which of the following methods of job enrichment involves modifying task identity and task significance dimensions of a job?

- ☐ combining tasks
- ☐ forming natural work units
- ☐ establishing client relationships
- ☐ expanding jobs vertically

Check answer

Reset

5 Singapore Airlines is rated one of the best airlines in the world and often requires ticket agents to serve as baggage handlers. What is the logic behind this action?

- ☐ Ticket agents often have attitude problems and need to be ‘punished’.
- ☐ Ticket agents often have stressful jobs and need a break.
- ☐ Ticket agents often deal with luggage and so cross-training makes them more efficient.
- ☐ Baggage handlers in Singapore often go on strike and replacements are needed.

Check answer

Reset

6 Which of the following is a job that does not lend itself to telecommuting?

- ☐ an attorney who spends most of her time researching on the computer
- ☐ a copywriter for an advertising firm
- ☐ a car salesman who demonstrates the features of a new model of car
- ☐ a telemarketer who uses the phone to contact clients

Check answer

Reset

7 Which of the following statements is true regarding job-sharing?

- It expands jobs by increasing the degree to which the worker controls the planning, execution, and evaluation of the work.
- It is also called cross-training.
- It allows two or more individuals to split a traditional 40-hour-a-week

job.

- It involves periodic shifting of an employee from one task to another with similar skill requirements at the same organizational level.

Check answer

Reset

8 Lavon has been feeling dissatisfied with his position of late. Particularly, he feels that he is underutilized. According to motivation theories, what should Lavon's supervisor do?

- ☐ fire him
- ☐ promote him
- ☐ include him in revising his job description
- ☐ mentor him to use his time better

Check answer

Reset

9 Which of the following statements is true regarding participative management?

- Participative management typically has only a modest influence on variables such as employee productivity and motivation.
- The two most common forms are works councils and board representatives.
- It is called ‘the most widely legislated form of employee involvement around the world.’
- Research evidence on participative management indicates that it is a sure means for improving employee performance.

Check answer

Reset

10 The _____ pay plan has long been popular as a means of compensating production workers by paying a fixed sum for each unit of production completed.

- competency-based
- gainsharing
- piece-rate
- profit sharing

Check answer

Reset

11 Patrick and Allison work at a local car dealership as sales persons and are paid on both salary and commission. What type of pay-related motivation is being used?

- ☐ variable-pay program
- ☐ internal equity
- ☐ external equity
- ☐ skill-based plan

Check answer

Reset

12 Research on employee stock ownership plans indicates that they _____.

- ☐ increase employee satisfaction
- ☐ decrease company profits
- ☐ reduce stress experienced by employees
- ☐ decrease productivity of employees

Check answer

Reset

13 Which of the following is an example of an intrinsic reward?

- ☐ bonus
- ☐ profit-sharing plan
- ☐ employee stock option
- ☐ employee recognition

Check answer

Reset

14 Which of the following statements is true regarding employee recognition?

- Employee recognition is an extrinsic reward.
- Critics argue that employee recognition programs are highly susceptible to political manipulation by management.

- ☐ Employee recognition programs are expensive.
- ☐ Nonfinancial incentives such as recognition are more motivating in the short term but in the long run financial incentives are more motivating.

Check answer

Reset

15 Connie works as a nurse at the local hospital. She was very pleased recently when she was awarded 'Employee of the Month', received her picture on the wall, and a gift card to the hospital commissary. Which type of reward has Connie received?

- ☐ both intrinsic and extrinsic
- ☐ just intrinsic
- ☐ just extrinsic
- ☐ neither intrinsic nor extrinsic

Check answer

Reset